

The Preobrazhensky Papers, Volume II

Historical Materialism Book Series

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VOLUME 260

The Preobrazhensky Papers, Volume II

The New Economics (Theory and Practice): 1922–1928

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Foreword

During the 1920s the Bolshevik leadership faced a particularly urgent need for a theoretical understanding of the road to socialism in Russia. This was due to the fact that previous theoretical schemes of a direct leap, a virtually immediate transition of the developed capitalist countries to communism, were hopelessly outdated (see particularly *The Communist Manifesto* by K. Marx and F. Engels, *Critique of the Gotha Programme* by Marx, and *State and Revolution* by V.I. Lenin). No such leap occurred. The first round of the world communist revolution ended in a 'draw': the proletariat triumphed, but only in a single country that was far from being one of the most advanced in capitalist terms. As a result, Soviet Russia was compelled to resolve three complex and interconnected problems simultaneously: 1) its survival as a link in the world revolution (was its survival possible in principle, and if so where should it focus its main efforts – on 'subversive activity' in the citadels of capitalism or on domestic economic construction, etc.?); 2) overcoming its technical-economic backwardness in relation to the leading countries (at what tempos, by attracting foreign loans and investments and/or by beginning primarily with domestic sources of accumulation, etc.?); and 3) its own transition to socialism and communism. While there was a starting point for interpreting the third problem (see the works mentioned above), the ways to solve the first two, and to subordinate them to the third, had to be developed from scratch.

The severity of the situation was intensified by two circumstances. In the first place, by the time the Civil War ended, the Soviet government controlled vast economic resources, with market mechanisms playing virtually no role in their distribution. Consequently, there was an urgent and immediate need for theoretical elaboration of the laws governing the operation of the 'new economy': the proportions and mechanisms of planned distribution of resources both within the socialised sector of the economy and also taking into account the organisation of this sector's exchanges to acquire resources from the non-state sector. Otherwise, the Soviet economy was threatened with a permanent crisis and the inevitable political result – collapse of the proletarian dictatorship. Secondly, though this unprecedented concentration of resources was in the hands of the Bolshevik Party, the latter had no coherent leadership. Deprived of its historical leader, V.I. Lenin, the Bolshevik Areopagus plunged into a prolonged struggle over leadership. As a result, the formulation, understanding and solution of urgent theoretical problems were often functions of the struggle for power between the 'leaders'.

Despite such an unfavourable context, however, it was precisely during the 1920s that a 'wealth' of theoretical work was created, which subsequently – even though it was 'buried' in the 'special depositories' – did not disappear. Periodically it found an echo in emasculated 'Soviet' discussions; it became a major starting point for the development of Marxist thought outside the USSR (particularly for devising models to overcome the backwardness of 'third-world' countries); and it provided one of the most important impulses in today's quest for alternatives to capitalist globalisation, which has driven humankind into a blind alley. In our view, perhaps one of the most important results of the development of Marxist thought in the Soviet Union during the 1920s came in the theoretical work of E.A. Preobrazhensky's *The New Economics*.

The book had a very troubled fate. By labelling him a 'Trotskyist', Preobrazhensky's opponents prevented him not only from publishing it in full but also, apparently, from completing the writing of his main work. Unfortunately, the compilers of this research have thus far been unable to find the author's texts for the unpublished parts of *The New Economics* (it is possible that they have not survived). Nevertheless, the search did lead to the discovery of interesting archival materials that were directly or indirectly connected with Preobrazhensky's work on the book. Together with the published portions and fragments of *The New Economics*, along with other works that were written as part of the same problematic, they do allow us to re-create the main body of the text of *The New Economics* in a way that we believe is close to what the author intended.

In volumes II and III of *The Preobrazhensky Papers* we attempt such a reconstruction. The materials for that purpose include: 1) the author's Preface to the first edition of *The New Economics*, in which he sets out the general plan of the book as a whole; 2) the text of the second edition of *The New Economics*; 3) published fragments that the author indicated are parts of *The New Economics*; 4) published materials that Preobrazhensky did not intend to be part of *The New Economics* but which might have been the basis for the chapters he did not get to write; 5) archival materials that relate directly to *The New Economics*; and 6) archival documents that, judging by the general design of the book, might have become the nucleus for the unwritten chapters.

According to Preobrazhensky's Preface to the first edition of *The New Economics*, the book was to consist of two volumes.

He planned to include two parts in the first volume: 1) an 'historical' part, involving 'a brief review of socialist and communist conceptions of socialism'; and 2) a 'theoretical' part, characterising the methodology for studying the Soviet economy and an analysis of the basic laws regulating its development, along with Appendices devoted to the polemic with his opponents.

There are no particular problems in reconstructing this volume, especially its 'theoretical' part. It was published entirely and in finished form in the second edition of *The New Economics*, which we have reproduced according to the text (see Part 2 of this edition). Preobrazhensky indicated that 'From the second, historical part of the first volume, the first chapter and one-half of the second were published. The whole of the second part, if circumstances permit, will go to press by the autumn of this year, 1926'. Unfortunately, 'circumstances did not permit': the second half of the second chapter of the historical part never saw the light of day. In this volume we have reproduced the first chapter and the first half of the second according to the text that was published in issues of the *Vestnik Kommunisticheskoi Akademii* (see Part 1). As regards the Appendices, they are published here according to the text of the second edition of *The New Economics*, together with some previously published materials and some that were found in the archives (see the Appendices).

The second volume (Volume III in this series) was more complicated. In the Foreword to the first edition of *The New Economics*, Preobrazhensky commented that

The second volume (Volume III of this series) will be devoted to a *concrete* analysis of the Soviet economy, i.e., Soviet industry, Soviet agriculture, the system of exchange and credit, the economic policy of the Soviet state, and also a study of the beginnings of socialist culture. The most important first chapter of the second volume, considering the problem of equilibrium under concrete capitalism and in the economy of the USSR, will be published in the near future.

The 'most important first chapter of the second volume' actually did appear in two issues of the *Vestnik Kommunisticheskoi Akademii* and will be published in Volume III, Part 1 according to those texts. However, the other chapters of the second volume were not published. By way of 'compensation', therefore, in Volume III of this series we include materials by Preobrazhensky (including archival materials), which, in our view, might have been the basis for his work on the unpublished (or unwritten?) chapters of the second volume of *The New Economics*, devoted to 'concrete analysis of the soviet economy' (see Volume III, Part 2) and also to 'a study of the beginnings of socialist culture' (see Volume III, Part 3). In the Appendices to Volume III we include the key chapters¹ of Preobrazhensky's futurological work *From NEP to Socialism*, in

1 [The English-language edition of our Volume III includes the complete text of *From NEP to Socialism*.]

which he projects the leading tendencies, conflicts and dates for exhaustion of the NEP economic model, as well as a survey article devoted to characterisation of Preobrazhensky's works.²

In preparing this volume for publication, the editors have provided the titles and enumeration of volumes, parts and chapters that appear in square brackets, while those without brackets come from the pen of E.A. Preobrazhensky.

Preobrazhensky's use of fonts in his published works (italics, boldface, and spacing) has been made uniform since the same concepts were at times treated differently.

Following modern norms of writing, we have also made uniform the abbreviations used, the numbers, references to the literature, and also the punctuation and spelling.

The archaeological preparation of the documents was done according to 'Rules for the publication of historical documents' (1990). Typographical misprints and grammatical errors in the original text have been corrected without reservation. A number of clarifications are provided in square brackets.

The scientific-reference apparatus of this edition includes this Preface, notes, a List of Abbreviations and the Name Index.

For their assistance in preparing this volume, the editors wish to thank S.V. Mironenko, Director of the State Archive of the Russian Federation; V.A. Kozlov and L.A. Rogovaya, Deputy Directors of the State Archive of the Russian Federation; E.L. Garanenkova, Director of the scientific library of the State Archive of the Russian Federation; A.A. Fedyukhin, researcher at the State Archive of the Russian Federation; L.P. Kosheleva, A.S. Massal'skaya, E.P. Karavayeva, and A.A. Oshchepkova, all at the Russian State Archive of Social and Political History. We express particular gratitude to those at the Centre for Scientific Use and Publication at the Main Archive of Moscow, who participated in the work on this volume. We also express particular gratitude to N.A. Tesemnikova for assisting with the search for archival documents and the archaeological treatment of them. This publication would not have been possible without the interest and participation of the English journalist Simon Pirani. The editors are especially grateful to Professor Richard B. Day, at the University of Toronto (Canada), who in fact initiated this project and has supported the editors and the authors' collective at every stage in bringing it to publication.

M.M. Gorinov, S.V. Tsakunov

2 [The English-language edition of Volume III also includes letters that Preobrazhensky wrote to Leon Trotsky while in exile early in 1928, his analysis of Stalin's 'left course' in the countryside, and a concluding essay by Richard B. Day, analysing the relation between Preobrazhensky and Trotsky and also the 'afterlife' of the New Economic Policy in China following the death of Mao Zedong.]

Abbreviations

Comintern	Communist International
GA RF	State Archive of the Russian Federation
Gosbank	State Bank
Gosizdat	State Publishing House
Gosplan	State Planning Commission
IKKI	Executive Committee of the Communist International
IMEL	Institute of Marx-Engels-Lenin
Komvnutorg	Commissariat of Internal Trade
Narkompochtél'	People's Commissariat of Posts and Telegraphs
Narkomprod	People's Commissariat of Food
Narkomtyazhmash	People's Commissariat of Heavy Industry
Narkomzem	People's Commissariat of Agriculture
NEP	New Economic Policy
NKF, Narkomfin	People's Commissariat of Finance
NKVD	People's Commissariat of Internal Affairs
OGPU	Joint State Political Directorate
Pomgol	Committee for Famine Assistance
Proletkult	'Proletarian Culture'
RAN	Russian Academy of Sciences
Revvoensovet	Revolutionary War Council
RKP	Russian Communist Party
RSDRP	Russian Social-Democratic Workers' Party
SNK	Council of People's Commissars
STO	Council of Labour and Defence
TsK	Central Committee
TsSU	Central Statistical Directorate
USSR	Union of Soviet Socialist Republics
VChK	All-Russian Extraordinary Commission for Struggle against Counter-revolution and Sabotage
VSNKh	Supreme Soviet of the National Economy
VTsIK	All-Russian Central Executive Committee

Preface to the First Edition¹

The work that the author has undertaken on a theoretical study of the Soviet economic system, the first part of which is presented here for readers' consideration, will consist of two volumes. This book is the first, theoretical part of the first volume. The second part of this volume is historical and will provide a short overview of socialist and communist conceptions of socialism. Two chapters of the book that is now being published – the second and third – have already appeared in the *Vestnik Kommunisticheskoi Akademii*; the same journal also published my response to comrade Bukharin, which is included below as an appendix. The first chapter, which is methodological, and my response to certain other opponents, are being published here for the first time.

From the second, historical part of the first volume, the first chapter and one-half of the second chapter have been published. The whole of the second part, if circumstances permit, will go to press by the autumn of this year, 1926.

The second volume (Volume III of this series) will be devoted to a *concrete* analysis of the Soviet economy, i.e., Soviet industry, Soviet agriculture, the system of exchange and credit, the economic policy of the Soviet state, and also a study of the beginnings of socialist culture. The most important first chapter of the second volume, considering the problem of equilibrium under concrete capitalism and in the economy of the USSR, will be published in the near future.

The chapter on socialist accumulation is reproduced here with minor changes, in which I have taken into account some objections of secondary significance that I consider to be correct. In addition, I have removed from the exposition the term 'exploitation' when referring to the process of alienating part of the surplus product from the private economy for the benefit of the socialist accumulation fund. In the interest of a more coherent exposition, I have also transferred a small part of the material from the second chapter into the third.

As far as substantial objections are concerned, which I consider to be incorrect, as well as the bitter political attacks on the second chapter of the book, devoted to the law of primitive socialist accumulation, I must say the following on that theme by way of summarising the polemics.

The objections of a methodological character amounted, in the first place, to saying that it is impossible, in an investigation of the Soviet economy, to abstract from the economic policy of the Soviet state, even if it is simply a mat-

¹ From *The New Economics*, by E.A. Preobrazhensky.

ter of abstracting at a certain stage of the investigation. This first objection, if one insists upon it, inevitably threatens, with ruthless logical inevitability, to throw my opponents back to the position of Stammer² and his school as well as to the viewpoint of the subjective sociology of Mikhailovsky, Kareev, etc. At the same time, in the area of economic theory this position prevents any escape from the swamp of vulgar political economy, even in its Soviet form, and thereby does not permit even a single genuine step forward in the matter of a scientific study of the Soviet economy.

The second methodological objection was directed against the view, developed in this book, that economic equilibrium takes shape in the Soviet economy on the basis of a conflict between antagonistic laws – the law of value and the law of primitive socialist accumulation – which means denial of a single regulator for the entire system.³

Those who have objected to this way of posing the question have been obliged, first of all, to provide their own naturalistic and non-historical understanding of the law of value, in which the form of regulation of economic processes under commodity production is confused with the regulating role in a social economy of *labour expenditures in general* – a role that these expenditures have played and will play in *any* system of social production. Secondly, by regarding the law of value as the sole regulator of the economic system of the USSR, my opponents have had to contradict completely both the view that our state economy is socialist in type (however primitive that type may be) and also the fact, obvious to all, of a struggle within our economy of the principle of commodity economy with socialist tendencies of development. My opponents have thereby been compelled to move close to the Menshevik conception of our economy as an historically belated offshoot of the capitalist economy.

The basic objection to my formulation of the law of primitive socialist accumulation, which is more fully justified only in the present book, amounted to the following argument: ‘Yes’, say my opponents, ‘we do have socialist accumulation in our country, but there is no law of primitive socialist accumulation, nor has the least proof of its existence been demonstrated’. In short, there is a struggle of the socialist planning principle with the market, but not a struggle of the law of value with the law of primitive socialist accumulation. The entire profundity and irresistibility of this objection is most readily understood, without any superfluous words, if it is stated in the way one of my readers put it in a personal conversation with me. He said: ‘Why speak

2 [Rudolf Stammler (1856–1938) was a neo-Kantian legal philosopher.]

3 In this connection, see the report of the debates at three sessions of the Communist Academy devoted to a discussion of my report on the theme of ‘The Law of Value in the Soviet Economy’.

of some law of socialist accumulation? However much the Soviet government decides to accumulate, within the limits of what is possible, will be accumulated'. In that sort of interpretation, the law of socialist accumulation is reduced to the law of Sovnarkom⁴ concerning socialist accumulation. I am convinced that there is no difference in principle between the first line of reasoning and the second. To admit objective regularity in relation to all the processes and tendencies of commodity economy, which are concentrated in the law of value, and to deny objective regularity in the process of expanded socialist reproduction, which is antagonistically developing in spite of and in a struggle against the law of value – and which is dictating to the Soviet state, with compelling external force, definite proportions of accumulation for every particular economic year – means excluding the latter process from the sphere of action of the law of causality and abandoning the ground of determinism, i.e., the ground of all science in general. If the matter is not to be so tragic, then my opponents must openly and honestly say: 'There is a law here, but what that law is – we do not know'. It is true that such an answer would not say much for my critics' understanding of the laws of development of the Soviet economy, but in that case, at the very least, they would not prevent others from working on a theoretical investigation of these laws. One can elevate a certain body of knowledge into a theory, but it is impossible to create a theory out of ignorance; it is not possible with limited, or if you wish, unlimited complacency to elevate general phrases about NEP, about the struggle between two principles etc., beyond the limits of what has actually been achieved in terms of analysing our economy. Nor is it possible to regard the sort of vulgar Soviet economist – who is now, with few exceptions, the hero of the day in our economic press, both the periodical and non-periodical press – as the normal type of Soviet, Marxist and Bolshevik economist in general.

The next objection concerns non-equivalent exchange with the private economy. I must openly admit to readers that I do not know to this day exactly where political considerations, propaganda considerations and simple misunderstanding end in this objection, and where the simplest theoretical ignorance begins. Under capitalism, the non-equivalent exchange between large- and small-scale production, particularly the non-equivalent exchange between capitalist industry and peasant agriculture – which is compelled to some degree to adapt in the area of prices to the value relations of large-scale capitalist agriculture – is, in terms of purely economic relations and causes, a simple expression of higher labour productivity in large-scale compared to small-scale

4 [The Council of People's Commissars.]

production. In our country, non-equivalent exchange is presently connected above all with the technical backwardness of our industry and its lower level of productivity compared to the leading capitalist countries; with the higher production costs of items; and finally, with the historically and economically inevitable alienation, on the basis of pricing policy, of a part of the surplus product of the private economy for the fund of socialist accumulation. This means that during the entire period when we have not yet caught up technically with capitalism and completed the period of primitive socialist accumulation, there will inevitably be non-equivalent exchange with the village. That is due to the causes that determine non-equivalent exchange in the world economy – and also, in normal conditions, the maximum prices of our agricultural products – as well as to causes that are specifically connected with the conditions of existence of the Soviet economic system. When the latter causes disappear, the former will still remain. That is the first point. The second is that the development of large- and medium-scale cooperative and socialist agriculture, and the proportion of exchange between them and state industry, will dictate non-equivalent exchange to non-cooperative agriculture – i.e., for a long time to the majority of the countryside – due not to the underdevelopment and backwardness of socialist industry but, on the contrary, due to development of the cooperative-socialist sector in agriculture and its growth in labour productivity. In that sort of situation, non-equivalent exchange will be a simple expression of the disadvantage of petty production compared to large-scale production. And conversely, equivalent exchange in these conditions would merely mean a tax on socialism to the benefit of petty production – a tax on machinery in favour of three-field agriculture, the wooden plough and Asiatic backwardness. Is that what my opponents are proposing? And what are they proposing, in general terms, other than impotent phrases in the spirit of a renewed Narodism?⁵

In conclusion, I would like to say a few words concerning the practical importance of a serious theoretical study of the Soviet economy. The leaders of capitalist enterprises and capitalist governments can afford the luxury of ignorance concerning questions of economic theory. The law of value is more reliable than they are, along with their directors, professors and parliaments, in fulfilling the function of economic regulator and correcting all their economic mistakes. In our country, where we have a centralised state economy of the proletariat and the law of value is limited or partially replaced by the planning principle, foresight plays a totally exceptional role compared to a capitalist

5 [‘Narodism’ refers to the ideology of Russian agrarian populists of the nineteenth century, or Narodniks, who believed that socialism could be achieved without a proletarian revolution, being based instead upon the traditional, communal organisation of Russian agriculture.]

economy; errors of foresight, due to the centralisation of leadership, can have far graver consequences than the mistakes committed by leaders of a private economy, where tendencies in one direction are often overridden by the law of large numbers and by opposing influences. But if managing and properly leading means foresight, then foresight means shining the spotlight of theoretical analysis on the sphere of phenomena where precisely those causes arise and whose consequences we want to know in advance. When the intuition of such a genius and exceptional economist as Lenin can no longer come to our assistance in the form of personal influence, theory is the only true and most democratic means for ensuring to all of our workers scientific foresight in the area of planned leadership. This explains the genuinely productive role of a correct scientific theory of the Soviet economy and also the fact, still insufficiently recognised among us, that socialisation of industry, by its very essence, means transfer of responsibility in the matter of economic leadership towards science on a scale that has never been witnessed in capitalist economics. The growing role of Gosplan⁶ is a direct indicator of this process.

But a theory of the Soviet economy can only be created as a result of collective work. And for that reason the task of this volume will to a considerable extent be completed only in the event that my current attempt convinces other economists to take up the same subject, so that through our common effort we will advance the work that the developing socialist economy of the country so insistently demands of us.

*E.A. Preobrazhensky*⁷

6 [The State Planning Agency.]

7 Preobrazhensky 1926, pp. 7–12.

*An Attempt to Provide a Theoretical
Analysis of the Soviet Economy*



PART 1

**[*Socialist and Communist
Conceptions of Socialism*]**



Introduction to Part 1: Socialist and Communist Conceptions of Socialism¹

How will a socialist society look in concrete terms? How will the elimination of spontaneous market regulation actually take place? How will it be replaced by a socialist plan? What will be the organisational structure of the organs that workers will create to manage the economy? What will be the system for distributing products in a socialist society? What will the relations be between the socialist part of the economy and pre-socialist forms, and how will the latter die out? What will the difference be between the type of human being created by the epoch of commodity production and the worker of a socialist economy? Will the socialist economy have a technical base different from that of capitalism, and what will that new base be?

Socialist thought has frequently considered all of these questions and many other related ones. In this section,² with which we begin our book on the new economics, we wish to provide an historical outline of the concrete conceptions of socialism held by socialists and communists. But in one respect we limit our essay in advance. Conceptions of socialism, in a strictly scientific sense of the word, can only arise on the basis of capitalist production. Attempts to weave into the history of socialism various thought constructs and utopias, which arose on the basis of other modes of production and had a completely different social-class meaning, on the one hand represent a serious departure from Marxism, and on the other hand indicate that the authors of such attempts do not themselves clearly understand the essence of a socialist economy in general. We begin our short review, therefore, with the conceptions and ideas about socialism that arose during the period when the development of capitalist production had just begun, i.e., with the so-called great utopians.

We must take the following into account.

The design of a socialist society is a theoretical overcoming of capitalism. But while *that sort* of overcoming of capitalism and socialisation of production is possible prior to the proletarian revolution, no *genuine* socialisation of production is possible without proletarian revolution. The obvious conclusion is that all designs of socialist production that either abstract from proletarian revolu-

1 This chapter is the beginning of the first part of the book *The New Economics*, which is being prepared for publication. It was published in the journal *Vestnik Kommunisticheskoi Akademii*, No. 12–13, 1925.

2 [The original text speaks of this 'chapter'.]

tion and the dictatorship of the proletariat or else regard proletarian revolution as the solemn moment when socialists in parliament have one vote more than the openly bourgeois parties – all such designs inevitably leave out the initial stage of the existence of socialist production and leap directly to the second.

Later we shall consider these utopias of the twentieth century in more detail, but for now we note how and to what extent the question of conquest of power by the proletariat, and of inevitable civil war for the working class, is associated with any concrete conception of the first stage of building a socialist economy. The question of the dictatorship of the proletariat was posed by Marx and has been most thoroughly developed and substantiated by Lenin. In our work, we are not interested in this question on its own. What interests us is how the duration and ruin of a civil war will affect the structure of socialist economy in the first period – how society, being driven backwards in terms of its productive capacity as a result of civil war, will, with a socialist organisation of its economy, overcome disintegration and move forward – and what laws it will develop during this period of its existence. We are also interested in the question of the economic structure of a socialist state that finds itself involved in an external war for a more or less prolonged period, since the epoch of capitalism's decay and proletarian revolutions is at the same time an epoch of socialist external wars.

Our essay does not in the least pretend to be exhaustive. As for the arrangement of the material, I have stuck to a chronological order. This has advantages but also disadvantages. The main disadvantage is the fact that the views of socialism held by Marx and Engels – which logically and in terms of their class content belong with our own communist conceptions of socialism – will be separated from the latter when we consider the conceptions of socialism held by the Second International, by syndicalists, and by the German literature on socialism.³ Nevertheless, a chronological arrangement is preferable because it allows us to treat the conception of socialism not as an idea that develops independently and according to its own internal laws, but rather as the expression of the proletariat's class struggle at each particular stage of its development or degradation.

Let us now consider how the first swallows of socialist thinking were hatched from the breaking shells of commodity-capitalist conceptions of society.

3 [Preobrazhensky did not manage to publish a survey of the conceptions of socialism held by the Second International and by the German literature on socialism.]

The Great Utopians

1 Saint-Simon

To the crude conditions of capitalistic production and the crude class conditions corresponded crude theories.

—ENGELS¹

It is only by a long stretch that Saint-Simon can be counted among socialists. It would be better to say that regarding him as a socialist is a misunderstanding. The reader will see the basis for our opinion in what follows. However, an examination of Saint-Simon's views is imperative in our essay, for he was the first to set out the necessity of a planned economy. At the same time – or, as it would be more accurate to say, precisely *because of the fact* that he went so far in considering this essential question of socialism – he had to broach and illuminate in a most interesting way several distinct problems of socialism: the elimination of class struggle and the corresponding advantages of a classless society, unproductive consumption, the system of education, the role of science in a planned economy, and so forth.

The essence of Saint-Simon's views on organisation of the economy amounts to the following: production is the basic activity of people and is involved in the existence of every society. The basic productive class consists of the workers, who do the physical labour, and their organisers and managers, i.e., industrialists and people of science and technique. Meanwhile, in contemporary society – that is, the society of Saint-Simon's time – the ruling class, which manages and commands, is the parasitic, feudal-aristocratic nobility. This class must be deposed, and in its place industrialists must take control, using the apparatus of royal power. Only with the ascendancy of this class, not only in production but also in the state, is it possible to organise the entire economy on new foundations: the planning principle, elimination of class struggle, the end of unproductive consumption (which at the time was much greater than it is now), the application of science to production and scientific organisation of the whole of society, a new system of education, etc. As for the question of who the manufacturers were and why they must rule in the society of Saint-Simon's time, this is what he wrote:

1 [Engels 1959, p. 353.]

Question: What is an industrialist?²

Answer: An industrialist is a person who works in production or in making available to the different members of society one or more of the various material means for satisfying their needs or physical tastes; thus, a farmer who sows wheat and raises poultry and cattle is an industrialist; a wheelwright, blacksmith, locksmith or carpenter is an industrialist; the maker of shoes, hats, linens, towels and cashmeres is also an industrialist; a merchant, a cabman and a sailor on a merchant vessel are industrialists. Taken together, all industrialists are involved in producing and providing members of society with the material means of satisfying their needs and physical tastes, and they form the three great classes that are called cultivators, manufacturers and merchants.

Question: What rank must industrialists occupy in society?

Answer: The industrial class must occupy the first rank, because it is the most important of all: it can do without all the others while not one of the others can do without it, and it subsists by its own resources and personal labour. Other classes must work for it, because they are its creatures and it maintains their existence; in short, since everything is made by industry, everything must serve it.

SAINT-SIMON, 'Catéchisme des industriels', in *Oeuvres choisies*, Vol. 3, Brussels, 1859, pp. 67–8³

In the same work, Saint-Simon summarises the existing state of affairs by saying that France, essentially an industrial nation, is ruled by a feudal government (*Ibid.*, p. 83).

Since the enormous majority of society consisted and always will consist of workers doing physical labour, the organisers and managers of this labour are thereby the natural representatives of the nation's majority ('*Opinions littéraires, philosophiques et industriels*' in *Oeuvres choisies*, Vol. 3, p. 239). In the concluding passage of 'On Social Organisation' ('*De l'Organisation sociale*', *Ibid.*, Vol. 3, pp. 281–2), Saint-Simon writes that workers doing physical labour are the foundation of today's entire social pyramid, that the organisers of production

2 [The term that Saint-Simon used is 'un industriel', which can also be translated as a 'manufacturer', 'tradesman' or even 'trader'. Preobrazhensky speaks of a 'промышленник' ('industrialist' or 'manufacturer'). Saint-Simon had in mind all those engaged in the productive activity of satisfying social needs, as distinct from parasitic classes.]

3 [The complete reference is: Claude Henri de Saint-Simon, *Oeuvres Choiesies*, Tome III (Brussels: Fr. Van Meenen et Cie, 1859), pp. 67–8.]

are situated directly above them, along with scientists and skilled people, while the ruling nobility and the bureaucracy are merely parasites on this production organism.

In Saint-Simon's opinion, power must go precisely to these leaders of the modern industrial system, i.e., the major agrarians, manufacturers, merchants and bankers. They must constitute an industrial council (*Conseil des industriels*) to take charge of finances and manage the entire system – a kind of soviet authority!

It is quite obvious from this that Saint-Simon, given all of his sympathies for the toilers and the poor classes of society – sympathies that he often expressed in his numerous works – is considered to be a socialist partly through a misunderstanding. He was more of an ideologist of the most progressive industrial bourgeoisie of his time, who during the restoration were side-lined from power by the nobility, and he spoke primarily for the industrial-technical intelligentsia. But Saint-Simon's views are still interesting for a history of socialist conceptions of socialism, because in some places they move beyond the limits of capitalism. Walther Rathenau,⁴ one of the most intelligent people of the bourgeois world, was also simply a representative of the bourgeois impulse to surmount the anarchy of capitalist economy; his utopia of centrally organised capitalist production and distribution is but a melancholy gasp of the terminally ill organism of modern bourgeois society. And just as the non-socialist Rathenau, and his wartime activity in the Ministry of Supply, cannot be left out of an historical essay on socialist conceptions of socialism, the same applies to the views of Saint-Simon, as a defender of the dictatorship of industry and the industrialists.

Saint-Simon already fully appreciated just how great the costs of internal struggle are in class society, and how much the human impact on nature would expand if a new social organisation freed up for production the forces that in contemporary society go to internal conflicts between classes.

Up to the present, people have had only purely individual and isolated effects upon nature. Moreover, their efforts in large measure cancel out one another, because the human species has until now been divided into two unequal parts; the smaller of them has constantly expended all its forces, and sometimes even the forces of the larger part, in order to dominate the latter, while the latter has used a significant part of its own forces

4 [Walther Rathenau (1867–1922) was a German industrialist and financier.]

in the struggle against this domination. It is certain, nevertheless, that despite this enormous loss of energy, in the most civilised countries the human species has still reached a quite remarkable degree of prosperity and well-being. Judge, therefore, what level it would reach if virtually no effort were lost, and if men, ceasing to command one another, organised themselves to exert their combined efforts upon nature, and if nations together followed the same system.

SAINT-SIMON, *Izb. Soch.* Gosizdat, 1922, p. 8⁵

In the same passage, dealing with the theory of social structure, Saint-Simon insists that productive labour is labour involving the action of man upon a thing. The action of man upon man, on the contrary, involves a double expenditure of effort and can only be useful when it indirectly affects nature.⁶

These profound thoughts from Saint-Simon are beginning to be tested by our own experience of the first years of socialist construction in the USSR. Below we shall see how many resources capitalism squanders in a single strike struggle, and how many are saved by proletarian industry thanks to the fact that the strike has ceased to be an instrument of class struggle.

As for the nucleus of an idea of planned economy, it involved the unity of purpose that Saint-Simon considered absolutely essential in the system of a new society, including the most rational and scientific organisation of labour and 'the most useful combination of all individual work in the areas of science, the arts and crafts' (*Ibid.*). The logical consequence of these embryonic thoughts concerning planned economy was inevitably to lead Saint-Simon to an understanding of the state's role that was in striking contradiction with the views of the Manchesterians in England and the Physiocrats in France, i.e., with the typical bourgeois point of view regarding the state during the period of the capitalist mode of production's initial development. Saint-Simon writes:

Everyone recognises that almost all measures by which government has attempted to influence social prosperity, in the final analysis, have only done harm; and this fact has led to the conclusion that the best thing government can do for the happiness of society is to stop interfering. But this way of looking at things, which is only correct in relation to the existing

5 [See Saint-Simon 1859, pp. 370–1.]

6 These views from Saint-Simon somewhat contradict his opinion that following the abolition of slavery there are only 'shades' of difference between the various classes.

political system, is clearly false if understood in absolute terms; it only applies so long as we have yet to rise to the idea of a different political system.

Ibid., p. 11⁷

Saint-Simon suggested that the state functions of repression and control must diminish in a society where the goal of the political system lies not in protecting the interests of a minority but rather in promoting the well-being of the toiling majority. Saint-Simon defends the kind of political system whose purpose is labour and the most effective organisation of labour.

On the question of the most effective system of distribution and incentives for labour, Saint-Simon took the view that the institution of profit is useful to society because it is thanks to this institution that a union occurs between personal and social interest. Saint-Simon's views on this point definitely resemble Bentham.⁸ Here is part of what Saint-Simon wrote:

In order to achieve the spiritual and material well-being of society it is necessary to encourage and stimulate labour as much as possible in the spheres of agriculture, industry and trade. It is necessary to stimulate all enterprises with the lure of private gain for draining land, ploughing virgin soil and for irrigation. We must not find fault with incomes that result from works of social importance, or object to the fact that they go entirely to those who undertake such works.

Oeuvres choisies, Vol. 2, Brussels, 1859, pp. 443–4

Elsewhere in '*Catéchisme des industriels*' Saint-Simon writes these words, which he emphasises, along with the preceding paragraph, by italics:⁹

It is certain that things of concern to everyone eventually end up being the concern of no one; it is certain that personal interest is the only agent that can direct the public interest. The difficulty is to find the combination that makes personal interest coincide with the public interest.

Ibid., Vol. 3, p. 99

We can see from these quotations that Saint-Simon is an energetic defender of the institution of profit. But his defence is conditional – in the sense that

7 [See Saint-Simon 1859, pp. 375–6.]

8 [Jeremy Bentham (1748–1832) was an English philosopher and political economist.]

9 [Preobrazhensky is mistaken: the previous paragraph was not italicised by Saint-Simon.]

he regards profit as a function of production. Consequently, from the moment when the institution of profit becomes an obstacle rather than a stimulus for development of the productive forces, it has no further justification in terms of the spirit of Saint-Simon's teaching. The luxury of such a defence of profit could be afforded either by a very young bourgeoisie, full of energy and confident of its future, or by its technical intelligentsia, for whom the bourgeois form of organising production is not the alpha and omega of all effective production in general as it seems to be for the bourgeoisie itself.

But, at the same time, Saint-Simon raises the enormously important general question of incentives to work and of the combination of individual and public interests. This question has colossal importance for socialism. It is of paramount significance for the period when the institution of profit is transformed, by the objective course of capitalism's development, from a stimulus for the development of production and the productive forces into an institution merely for private enrichment and for grabbing surplus value; when the individual producer is included in the grand system of the world economy; and when this world economy, following the socialist revolution, is turned into a planned economy. The issue of incentives to work in a socialist economy – that is, in a planned economy – is totally different from the question of incentives to work for the organisers of bourgeois production in the period of its development. We need to address the problem of socialist society set out by Saint-Simon. We shall see below that the way in which this question is posed for socialist society, and the answer that is given, is immensely different (except for its external form) from the conclusion that Saint-Simon thought was the correct one.¹⁰ We shall not deal here in any detail with the question of how Saint-Simon thought it was possible to implement his 'industrial system'. We merely note that his proposal to reorganise the existing system by submitting a petition to the king, signed by 25 million Frenchmen, differs very little from the utopia of Kautsky and other Social Democrats concerning the 'conquest' of power by the proletariat through a petition of election ballots. In both cases it is assumed that one system replaces the other without a revolution.

2 **Fourier**

For a historian of the concrete ideas of socialists concerning socialism, Fourier is of much greater interest than Saint-Simon. Fourier can least of all be

¹⁰ [See Preobrazhensky Papers, Volume III, Part 3, Chapter 2: 'On Morals and Class Norms'.]

reproached for a conception of the socialist system that is too generalised. On the contrary, excessive concretisation by Fourier creates the impression in many parts of his work of frivolity, doctrinaire utopianism and shallowness. Alongside of ingenious sections, full of depth and historical realism, one finds still-born designs, schemes, and the sort of pedantic detail and exactitude in describing a future system that not only has nothing to do with a scientific hypothesis but is not even amusing as utopian fiction.

Since our task with regard to Fourier is limited to outlining his ideas of socialism, and particularly those thoughts that continue to be interesting up to the present day, we shall not undertake a criticism of his views but simply bypass the parts of his system that are of no interest to us.

The main shortcomings that Fourier saw in the society of his day were its ineffective organisation of labour, the inexpedient character of distribution, and its inability to harness all of the positive and negative traits of human character for the good of society.

In terms of organising production, he saw the main drawback in the fragmentation of labour and the total lack of coordination between individual efforts. This is how he summarised all of these shortcomings:

Wage labour is indirect servitude. It entails a lack of economy in the mechanism of production, theft, fraud, general distrust, work stoppages due to lack of resources, the struggle of competing companies, the disparity between individual and collective interests, and the lack of a unified plan and its implementation.

Théorie de l'Unité Universelle, IV¹¹

As far as the distribution system is concerned, it allows the existence of a huge number of parasites, among whom Fourier included women, children and servants (domestic parasites). Next were armies and navies, tax collectors, manufacturers, merchants, transport agents, all of them being agents of positive destruction and agents of negative production¹² (social parasites). Sophists who were leisured by law were generally idle renegades.¹³ In the *'Théorie de*

11 [Fourier 1841, pp. 126–7. See 'The Evils Attendant on Individual Action in the Exercise of Industry', in Fourier 1876, pp. 159–61.]

12 See N. Bukharin on 'Expanded Negative Reproduction' in *The Economics of the Transition Period*. [Bukharin 1982, pp. 53, 57–8, 81–2.]

13 [See the 'Tableau des improductifs en Civilisation' and the accompanying commentary in Fourier 2001, pp. 123–6.]

quatre mouvements’, especially in the chapter on commercial crimes, Fourier demonstrates with remarkable brilliance the parasitism of the trading apparatus and the enormous waste of society’s resources in the modern system of exchange in general, including bazaars, etc. (*Théorie etc.* Leipzig, 1808, pp. 310–71).¹⁴

What is Fourier’s alternative to contemporary society in the areas of production and distribution?

It is association based on the consolidation of production, its mechanisation, the most effective division of labour, and its organisation according to a definite plan. As we know, Fourier considered the most effective form of organisation to be the phalanstery, a self-sufficient commune of 300 families on average, with a total of 1,500–1,600 souls, including adults and children.

The phalanstery was to include not only people of different professions, industrial workers and farmers, but also people from various social positions. The phalanstery had to unite labour, capital and talent. It is tedious to read Fourier’s detailed account of who should do what in the phalanstery, how people should live, how to divide income, etc. We are concerned with what he had to say that is interesting for our own time and shall limit ourselves to that.

Fourier’s idea of the phalanstery is one of the most vivid examples of how powerless is the consciousness, even of a most brilliant and progressive ideologist of the advanced class, to escape from the chains of existence at a time when existence itself is not promoting the idea.

Fourier’s phalanstery does not involve large-scale production with an extensive division of labour; it is not an enterprise that is linked with a chain of similar large enterprises, together constituting a single socialist economic complex on a given territory. No, Fourier’s phalanstery is a combination of craft industries and small-scale, intensive agriculture within a single self-supporting commune. This was a theoretical attempt to break out of French production, five-sixths of which involved crafts while one-sixth consisted of manufacturing. Fourier’s handicraft remedies could not conceive of the world economy as a single organism (in his day such unity did not actually exist), nor even of the economy of France as an internally connected system that was already a fact. In this regard, Fourier takes a step backwards compared to Saint-Simon. Consequently, we *should not look for* and shall not find anything in Fourier con-

14 [See the chapter ‘De La Licence Commerciale, de ses Vices Connus et ses Dangers Inconnus’, in Fourier 1846, pp. 222–76.]

cerning the question of a new technological basis for socialism, the question of the organisation of a unified economic complex, and still less about a socialist organisation of the world economy. In all of these respects his was handicraft socialism.

In Fourier's constructions, the following problems retain their significance, and not just for their historical interest: 1) the struggle against non-productive consumption; 2) the struggle in particular against the enormous costs of distribution, which are inevitable in commodity economy; 3) elimination of the contradiction between town and country in the form of associating industrial with agricultural labour; 4) the organisation of social nutrition and elimination of private kitchens; 5) polytechnic education and the worker's progress from one type of labour to another; 6) the association of childhood education with work; and 7) the utilisation of such human incentives for work, and for socially useful activity, as could not be used in the capitalist system and, to the contrary, were smothered by it.

As far as the struggle against non-productive consumption is concerned, and especially against the costs of the commercial apparatus in distribution, Fourier essentially saw the solution in a transition to associated labour in the phalansteries. Since the phalanstery, in Fourier's thinking, must be a self-sufficient commune, it made commodity mediation on the old scale redundant along with the entire system of capitalist exchange, although trade between phalansteries did remain. Fourier resolved the question through naturalisation of the economy, which from the viewpoint of socialism was correct in principle except that his naturalised economy was not socialist in the modern sense. The problem does not cease to be a problem. As we shall see in a later chapter on the system of exchange, difficulties in the struggle against distribution costs will remain even after the socialisation of production, i.e., after the system of commodity exchange through use of money has died out. The difficulties will be that industrial labour productivity grew under capitalism, and will grow even more rapidly under socialism than advances in rationalising the distribution mechanism. If the same unit of time results in two units of a product rather than one due to a gradual growth of labour productivity, then the distribution system will involve twice as much work unless the rationalisation of distribution keeps pace with the rationalisation of production. But this must inevitably lead to the search for new kinds of distribution, which in a number of branches will perhaps lead to special forms of decentralising not only distribution but also production, together with a different system of relations between industry and agriculture. While Fourier's proposed solution to the problem is not acceptable for a socialist organisation of labour as we now conceive it, the *direction* in which Fourier looked for an answer cannot

be regarded as inappropriate. It essentially means joining together industry and agriculture, and in this respect he truly captured the tendency of socialism. We should note, by the way, that Fourier's position regarding trade is more progressive (in a socialist sense) than Saint-Simon's. Saint-Simon considered making things available (*mettre à la portée*) – consequently including not only transport but also trade – to be productive labour. The merchant occupies a prominent place in his category of *industriels*, whereas Fourier considers merchants to be parasites and regards the costs of the entire circulation process in the economy of his time, i.e., in commodity economy, as *faux frais*.¹⁵

This brings us to Fourier's next viewpoint that has topical significance for socialism – the problem of overcoming the contradiction between town and country. In what follows we shall frequently return to this issue, particularly the way in which it is posed in the programme of the RKP.¹⁶ Let us recall how Fourier solved the problem. One-eighth of his phalanstery would consist of capitalists, scholars and artists, while the other seven-eighths would be workers in industry and agriculture.

Production workshops, public institutions and a residential section are all included in a single building especially built for this purpose. The cultivated fields, orchards and gardens surround this combined industrial and agricultural centre, which is neither a town nor a village in the modern sense. The phalanstery's workers sell a portion of their product to other phalansteries and purchase from them things that, for reasons having to do with natural or other conditions, they either do not produce themselves or do not produce in adequate quantities. Essentially, however, most needs of the association's workers are satisfied within the phalanstery. Fourier had an excellent understanding of all the advantages of joining industry with agriculture, not only from the viewpoint of enormous savings in labour and in the delivery and storage of products, but also in terms of hygiene and health.¹⁷

Fourier very convincingly defends the superiority of social kitchens and social meals over individual domestic kitchens – a question that retains immediate significance for an epoch of socialist construction. He is convinced that such organisation is not only much better from a social-economic point of

15 [Unnecessary expenses.]

16 [The Russian Communist Party.]

17 We must note here that Fourier considered industrial labour to be ancillary to agricultural labour. In this respect his views are not just non-progressive but reactionary even for his own time.

view – something that everyone understands – but will also be more attractive for all the members of a family who previously only assembled around ‘their own’ table.

Regarding the organisation of labour, its diversity and the movement from one trade to another, this is an issue to which Fourier attached great importance. He believed that the best way to increase the intensity of work and its attractiveness is to move from one type of work to another in the course of the same working day. Other conditions that Fourier thought necessary in order to increase the love of work and its attractiveness included the following:

- 1) That each worker be part of the association and receive a dividend, not a wage;
- 2) That each person – whether man, woman or child – be rewarded in proportion to three factors (*facultés*): capital, labour and talent;
- 3) That work sessions rotate, perhaps eight times per day, because enthusiasm cannot be sustained in agricultural or industrial work for more than 1½ to 2 hours;
- 4) That work be done by companies of voluntarily associated friends, who are stimulated and intrigued by mutual rivalry;
- 5) That working conditions in the shops and agriculture attract the worker by their elegance and cleanliness;
- 6) That the division of labour be extended to the utmost in order to utilise each sex and age group in functions for which they are best suited;
- 7) That, within this distribution, all men, women and children enjoy fully the right to work and the right to engage at any time in any branch of work that is most pleasing to them, while observing conditions of probity and aptitude for the work chosen;

Finally, and most importantly, that people in this new order enjoy a guarantee of prosperity, a sufficient minimum for the present and future that frees a person from all concern for oneself and one's family.

Théorie de l'Unité universelle. Oeuvres complètes. Paris, T. 2, pp. 15–16¹⁸

Leaving aside the fantastic system of distribution in point 2, we must note that all the other points retain their full interest for building a socialist society. Of course, the change from one sort of work to another every 1.5 hours is inconceivable with today's technology and the scientific organisation of labour to

18 [See Fourier 2001, p. 296.]

which it gives rise. Here, Fourier's fantasy was completely governed by the semi-craft production of his own day. But the basic sense of Fourier's suggestions was perfectly correct. There is a need to strive for a polytechnic approach in education and to make it possible for a worker at least to move from one trade to another. For a socialist economy, which unlike capitalism cannot have an industrial reserve army for the time when production expands, the reserve of labour power must consist of the suitability of workers for different sorts of labour, or their multiple skills. Fourier's point concerning the attractiveness of working conditions also retains its full importance, as does the combination of variety in work for the *individual worker*, with the most extensive division of labour for the *association*.

Fourier did enormous service in correctly posing (from a socialist and pedagogical point of view) the question of social upbringing and child labour. The separation of instruction from labour is characteristic of the bourgeois-landlord system of education. A socialist system of education, on the contrary, must be based upon a union of instruction with work, upon the transition from children's games to work, upon eliminating the divide between the book and the workbench, and above all upon eliminating the right of parents to bring up their children. Fourier's genius was perhaps most apparent on this point, for he anticipated by a century and a half the organisation of education required by socialism.¹⁹

The question of the stimulus for labour plays a most important role throughout Fourier's system of thought. His association, in terms of both its formation (a voluntary fellowship) and its method of management (an Areopagus whose decisions, however, are not binding because it must only act through the authority of its advice),²⁰ presupposes both an extraordinarily high level of consciousness and social instinct and also the personal interest of each in his work – and precisely in the sort of work that is simultaneously useful to everyone. This accounts for the enormous role of internal incentives for work instead of external compulsion. Among those incentives, Fourier notes the voluntary choice of work, the attractiveness of working conditions, an allotment that exceeds the necessary minimum, individual competition (within a group of co-workers), collective competition (of one phalanstery with another), social

19 [For Preobrazhensky's ideas on childhood and socialist education, see Day and Gorinov (eds) 2014, pp. 675–8 *et passim*.]

20 [Fourier's Areopagus consisted of elected representatives, headed by a council, but with each having a purely advisory role since a phalanstery would operate through the spontaneous co-operation of its members.]

approval, and utilisation of all human inclinations, with all their individual characteristics, to the benefit of labour. The reconsideration of human passions and vices, which Fourier undertook from a novel point of view, is also extremely important. As a result of his analysis he found that, with an appropriate social organisation, many of the so-called vices become incentives to work and activities that benefit society.

We shall not deal here with Fourier's specific views on this matter. Let us simply note that the very posing of this question, as we saw earlier with regard to Saint-Simon, is enormously important for socialism. The question of how to replace the external compulsion to labour, which existed with slavery or serfdom; of how to replace the scourge of hunger under capitalism; of what incentives for work might come after the stimulus of personal gain in a commodity economy; of what elements we might discover in the storage chest of our zoological heritage, under socialism, that were of no use in the system of commodity economy; of what aspects of our heritage from the latter system must be rejected – Fourier touched upon all these questions in one manner or another. And they are all questions that must be considered time and again by the working class and its theoretical vanguard after its victory.

Finally, I would like to note one idea from Fourier that places him head and shoulders above the 'socialists' of the Second International, who understood humanity to mean only its civilised part, the working class to be the working class of Europe and America, and socialism to be merely the product of a peaceful parliamentary bargain between the aristocracy of the working class and the class of capitalists, accomplished on the bent back of the oppressed toiling masses in the colonies. With regard to those peoples, who are not counted as civilised yet simultaneously constitute *the majority of humanity*, Fourier wrote:

You authors of the inexact sciences, who claim to work for the welfare of humanity, do you think that six hundred million barbarians and savages are not part of the human race? Meanwhile they suffer, and what have you done for them? Nothing. Your systems only apply to civilisation

Théorie de quatre mouvements, p. 409.^[21]

It is true that in his sympathies for uncivilised people, Fourier had much in common with Rousseau. For example, Fourier thought the advantage of uncivilised peoples lay in the fact that they preserved the foundations of their social

21 [Fourier 1846, p. 277.]

structure over thousands of years, whereas among civilised peoples all sorts of innovations fade away before they bloom. His protest against bourgeois-landlord civilisation had a rather reactionary flavour. But what is important for us here is that in his constructions Fourier did not forget the greater part of humanity, and in this respect, unlike the MacDonalds²² and Scheidemanns,²³ he was not an ideological prisoner of the imperialist plantation owners, for whom the territory of mankind is limited to the developed capitalist countries.

It often happens in history that some social construct or particular idea, which arises as a reactionary protest against a given social system and its progressive development towards another historical stage – that is, when the existing system itself becomes an obstacle to development – takes on new life. It begins to strike the existing system, if one may put it this way, from the historical rear. Then it comes to be included as an individual link in the chain of ideas that constitutes a new revolutionary critique of the existing system.

All of this fully applies to many of the petty-bourgeois critics of capitalism, including Fourier, in whose works a petty-bourgeois and reactionary protest against capitalism is whimsically intertwined with a genuinely socialist critique. At the same time some of his ideas, which arose historically as a petty-bourgeois protest against the development of capitalist relations, are resurrected and assume new life in the modern communist proletariat's system of views, that is, in our own views of the different aspects and features of a genuinely socialist system of society.

3 Étienne Cabet

Cabet's utopia, *Travels in Icaria*, is interesting to us in the sense that the author gave us a complete portrayal of communist production as it was imagined by a French socialist in the 1840s.

Cabet took a significant step forward by comparison with Fourier, mainly because his conception of the future socialist society was influenced not only by the French economy of the time, with its comparatively weak development of large-scale capitalist production, but also by the mechanised industry

22 [James Ramsay MacDonald (1866–1937) was one of the founders and leaders of the British Labour Party.]

23 [Philipp Scheidemann (1865–1939) was one of the leaders of the Social-Democratic Party of Germany.]

of England, with which Cabet became familiar during his stay in that country. Of course, Cabet's communism has a very primitive character, as does the technical basis of this 'communism'. One finds it curious today to read of the enthusiasm with which this utopian describes the social coaches of Icaria as the ideal mode of travel within the great capital city; the streets drained by underground pipes; the enormous workshops (essentially manufactories²⁴) for each trade, and so forth. Here Cabet provides a picture not of what will occur in a communist society but rather of what was lacking in France during the 1840s. In the leading bourgeois countries, capitalism has succeeded in accomplishing all of these things prior to any socialist revolutions and on a much larger scale. But this naiveté is not the essential feature of Cabet's work. The fundamental interest of his utopia lies in the fact that he provides us with a shut-in, natural communist economy that is coherently thought out in terms of its main outlines. Cabet's conception of communism is entirely typical and was the prevailing view of the subject among the majority of socialists during the second half of the last century.

Let us examine more closely the parts of Cabet's utopia that are most interesting for us. Speaking of the basic features of the social organisation of communist Icaria, Cabet writes:

Just as we are all one company, one people and one family, our territory, with its underground mines and its surface construction, constitutes a single *domaine* that is our social possession.

All the movable property of all members of society, together with all the products of the land and industry, form a single *social capital*.²⁵

This social possession (*domaine*) and social capital, as an indivisible whole, belongs to the people who cultivate and use it in common, who administer it directly or through their agents, and who then share all the products equally.²⁶

Regarding the future society as a single production collective, a single great commune with a population of millions, who – as we shall see later – are also

24 [A 'manufactory' implies craft-like production under the control of a capitalist, as distinct from a mechanised factory.]

25 We shall see below that this term, which Cabet threw in by accident, has been one that our economists cannot avoid using when analysing state capital. While this term is of no use in relation to communist society, for the economics of the transition period it is difficult to find any substitute.

26 Cabet 1842, p. 35.

creating a corresponding system of distribution, Cabet takes an enormous step beyond Fourier's phalansteries, which produce autonomously and trade with each other. He also excludes any special grounds for the claims by Fourier's mild-mannered 'capital' to participate in production and distribution.

Cabet's industry is something midway between the English factory and the French manufactory of the 1840s – increased in scale or multiplied, so to speak, by the coefficient of the author's futuristic fantasy – and nothing more. As for the sources of motive power, in this respect Cabet still thinks entirely in terms of steam and has no inkling of the role of electricity as the technical basis for a future society.

Our utopian thinks of future agriculture taking the form of small-scale farming without, of course, the use of wage-labour but including 'maximum use of every possible machine'. Obviously this maximum, from the point of view of rational large-scale agriculture, is in fact the minimum. The agricultural economy of Icaria consists of the rationalised homestead of a French peasant of modest means.

The contradiction between town and country is only partially overcome. This occurs not by means of urbanising the countryside, but rather by an egalitarian distribution of the entire national production of the city and the countryside on the one hand, and on the other hand by the free movement of labour from industry to agriculture and the reverse, since all young people are trained in agricultural work even before they choose a trade.

The means of transportation are altogether wretched for a communist society. The highest achievement consists of 12 railways; some things are flown using balloons; short distances are traversed by stagecoaches; and products are even carried about by dogs.

The dimensions of the commune are determined by the government of the Republic on the basis of a statistical calculation. In this respect we encounter a complete system of planned economy, replacing commodity production and commodity exchange. There is no buying and selling.

The list of foods having been thus determined (i.e., by a committee of experts), the Republic oversees their production by its farmers and workers, and distributes them to families. And since each can have only the foods that the Republic distributes, you will see that no one can consume any foods except those of which the Republic approves.

It first produces the necessities, then things that are useful, and then those that are pleasing – as much of all of them as possible.

It divides them equally amongst everyone, so that each citizen receives the same amount of any food that is available to all, and receives

them in turns if there is only enough available, during any year or on any day, for part of the population.²⁷

We can see that Cabet's equality is not at all communist. This sort of understanding of equality does not go beyond capitalist concepts, or more exactly, beyond the confines of commodity production, even though such ideas were a reaction against capitalist inequality. The Republic's organisational system for distributing products (everything is brought to enormous stores and then divided up between citizens) is closely reminiscent of Narkomprod's²⁸ way of distributing things during our period of War Communism. If one were not aware that our organisation of distribution during War Communism was a necessary part of a civil-war economy, one might think that in 1918–1920 we copied directly from Cabet. Generally speaking, Cabet is more interested in questions of distribution than of production. The strict regulation of food items and certain kinds of clothing, which are produced and distributed by the Republic, would be expedient if Icaria were the kind of 'commune' of poverty that existed during War Communism in the RSFSR. Yet it has everything in abundance, and every citizen sits at a royal table on a daily basis. This regulation plus prescription by the committee on nutrition, which dictates the meal, the quantity and quality of dishes, etc., smells very little like full-blooded communism, which is characterised by the greatest flexibility of the entire system. This is more of a reflection, in the socialist mirror of Cabet's fantasy, of the typical features of traditional French bureaucracy. It is interesting that in the conceptions of Owen, a representative of 'self-governing' England, we already find no such regulation.

Within the workshops, however, the rules of work are established by the workers themselves, who also elect their administration, a point of great importance in the schemes of the guild socialists (*Ibid.*, p. 105).

Among the interesting peculiarities of Cabet's utopia we should note the following. 1) The existence of a state but without classes, meaning the state has nothing to do except fulfil the functions of our VSNKh.²⁹ 2) The enormous role of competition in completing work, using contests conducted by the Republic. 3) A rather reactionary system of upbringing, which is mainly domestic rather than social. Family life is reactionary to the point that leaving through 'marriage' requires agreement between the parents. 4) For Cabet, involvement in

27 Cabet 1842, pp. 52–3.

28 [Narkomprod was the People's Commissariat of Food.]

29 [Supreme Council of the National Economy.]

the sciences, arts, etc. is still not work *in addition to* an obligatory minimum of physical work for everyone; instead, it is a profession for specialists, i.e., there is a separation between science and physical labour, which is a distinguishing characteristic of all exploiter systems. In addition, Cabet's communist society cannot live without the blessing of God, i.e., without religion and religious specialists, meaning priests, whose 'work' is considered to be socially useful and is compensated like any other.

Such, in brief, are Cabet's views concerning future society insofar as they are of interest to our investigation.

Cabet is no stranger to the idea of a transition period from capitalism to communism. At any rate, from the 'October Revolution' in Icaria to the organisation of full communism requires fifty years. But Cabet deals with the features of this period, which is the most interesting for us, only very vaguely and in general terms. As for the transition to this transition period, i.e., how we get beyond capitalist society, Cabet generally remains at the same level as the other utopians; that is, he does not connect the fate of socialism with the proletariat's class struggle and victory of the workers' revolution. Hence none of the utopians, including Cabet, is able to say anything coherent about the economic structure of the transition period.

Although Cabet's Icaria is born through civil war – and here lies the genius of his prognosis – it appears that the author himself does not take the prognosis seriously and is not guided by it in his own practical struggle for socialism. Cabet is involved in organising a commune that must defeat capitalism through the competition of its more advanced organisation. As with all such initiatives, however, it is defeated by the capitalist competition.

4 Robert Owen

While Robert Owen's work is far surpassed by the views of Fourier and Cabet in terms of the scale of their fantasy, it is enormously superior in another respect. This superiority is due to the influence on Owen's ideology of the economic base of a more highly developed capitalism, which makes certain of his constructions more modern and less old-fashioned by comparison with the French writers. In this exposition, as in our observations of the French utopians, we are interested not in Owen's entire system but only in the part that involves Owen's concrete conceptions of socialist society.

In Owen's works devoted to the future society, the problem of educating a new kind of man is given disproportionately more attention compared to other problems of socialism. In our presentation of Owen's views, we shall

not give special emphasis to this question but instead consider it as one problem among several others.

Let us consider the consistency of Owen's views concerning the system of production in a future society, the system of distribution, the education system, and finally, the manner of passing from capitalist society to socialism.

In Owen's opinion, a proper future society must be consciously organised on the basis of the most rational principles. He believed a scientific organisation of the entire society to be the most rational organisation that must replace the current, spontaneously formed social structure. Likewise, he thought it necessary to have production scientifically organised. Perhaps nowhere else is anticipation of the future as accurate and prophetic as in Owen's prognosis concerning the scientific organisation of production.

Above all, such organisation must eliminate the contradiction between town and country. Like many other socialists, Owen enthusiastically supported the unification of industry and agriculture, despite the fact that for him, as an inhabitant of a highly developed capitalist country, there were obvious difficulties in implementing this policy. To join together handicraft or semi-craft labour with agriculture – as in Fourier's thinking – is much simpler than unifying large-scale mechanised and thoroughly specialised production with agriculture. We shall see below that Owen thought it was possible, for this and other reasons (to reduce the costs of circulation), to situate people in closer proximity with food and other goods rather than moving the food and other goods to the people.³⁰

He never could have imagined that this problem could be partially resolved not only by locating certain industrial branches closer to the sources of materials (which was in line with Owen's thinking), but also by a revolution in transportation. It is precisely this revolution, rather than taking the country to the city and the reverse, that makes possible a rapid movement of people and products from town to country and the reverse, i.e., reducing the distance between town and country in terms of time rather than space. (This is a problem to which we shall often return at later points in our exposition.) To a number of purely economic motives for a coalescence of agriculture with industry, Owen added a different sort of motive: he was convinced that a great modern city corrupts human character and makes a rational upbringing impossible (Robert Owen, *The Book of the New Moral World*, London, 1849, Vol. 2, p. 16 *et passim*).³¹

30 When we said in 1918–20 that we carry the people to the bread instead of the bread to the people, this about-turn was cribbed from Owen.

31 [See Owen 1849.]

According to Owen, production must be organised in such a way that the maximum quantity of products, of the very best quality, can be produced with the minimum amount of labour by producers in the best possible working conditions. To achieve such effects requires both the technical preconditions and a corresponding economic structure. As far as technical preconditions are concerned, Owen considers the most advanced machinery and the full use of science to be necessary for production. With regard to the economic system itself, Owen is an opponent of monetary exchange and production for profit; more precisely, he opposes the system of commodity economy in general. In his opinion, the most productive labour will only occur when production takes place directly for consumption, not for profit or for sale in exchange for money and then for subsequent resale.

He thinks rationalisation of production requires an effective and very complex division of the country into discrete units. Then industrial production must be combined with agriculture; people must be assigned to work by scrupulously taking into account their natural aptitudes and vocations; and specific proportions must be established between the individual branches of work.

To accomplish all of this requires 'dissolving' the current organisation of society – 'dismiss at once all the existing divisions, institutions and arrangements' (Ibid., p. 17). This kind of organisation of society and production will lead not just to an increase of the quantity and quality of production but also to savings in the cost of supervision, administration, etc. It will also mean elimination of the parasitic classes and groups in existing society.

But such organisation will also lead to colossal economies in another area, namely in distribution, to which we now turn.

Like Fourier, Owen was a vigorous opponent of the capitalist system of exchange and distribution. He considered it to be the height of senseless waste. In particular, he regarded money as a completely unnecessary instrument for exchange and thought society would gradually learn to do without it.

In his lengthy book on the future society, which we have already cited and which gives a summary of Owen's socialist views, he wrote: 'The distributors of wealth, under the present system, are a dead weight upon the producers, and are most active demoralizers of society' (Ibid., p. 22).

Distributors add nothing to the value of wealth, but add to its cost by the whole expense of their living It becomes, then, the direct interest of all society, that there should be the least amount of labour that is practicable employed in distributing wealth; and that there should be the least transit and waste of wealth Under a wise and scientific arrangement of

society, the loss and waste of much transit and improper keeping in shops and stores would be avoided.

Ibid., p. 24

Just what does Owen propose in place of the commodity-money system of distribution and the existing capitalist commerce?

Instead of the current organisation of production and distribution, in which the process of production is clearly set apart from the process of distribution, thereby significantly increasing crowding in cities and the separation of man from nature – in place of all that, Owen proposes a close connection of the processes of production, distribution and consumption, and he expects enormous benefits from such a reconstruction of the existing relations:

When these arrangements shall be well executed and in full operation, then will be seen the difference between the principle in practice of taking food and other kinds of wealth to man, and bringing man to his food and the enjoyment of wealth where the food and other wealth are chiefly produced.

p. 26

Here Owen touches upon a question that is immensely important for the socialist organisation of society. His slogan, calling for 'a minimum of circulation and expenditures on circulation', involves the most immediate problem of socialist rationalisation of production in territorial terms, together with the curtailment of costs for the distribution apparatus. In our chapters on the economics of industry and the system of exchange in the economy of the USSR, we shall return to all of these problems. Let us simply note that this problem is far more complex and difficult for socialist industry than Owen himself realised. It involves not only reduction of expenditures on transport from the place of production to the place of consumption, but also the equally important problem of reducing expenditures on the transport of materials and fuel to the place of production. The first issue to be resolved is the concentration of industry where the materials are produced, after which further rationalisation can be considered. But resolving the latter issue creates extreme complications in terms of bringing the consumer into proximity with the place of production. The distribution of bakeries around the country³² is an altogether different matter from the distribution of steel plants. It is difficult to establish 'the simplest and most

32 We shall see later that in addition to the problem of the most rational distribution of

rational' division of society because the most rational arrangement of production, in terms of reducing costs, will never be the simplest. Essentially, however, Owen was right. With a scientific organisation of production, whose purpose is the most rational territorial distribution of industry together with the maximal urbanisation of the countryside, it is possible to minimise the expenditures involved in connecting production and consumption.

But besides the purely physical approximation of the consumer and the product – closing the spatial and temporal distance between them – they can also be brought into proximity on a social-economic basis, i.e., by entirely eliminating the existing distribution system. The product becomes removed from the consumer not just because of the separation of industry from agriculture and the concentration of industry in points far removed from consumption, but also because of the barricade of the money-commodity system that prevails in all exchanges. Rationalisation of production and distribution is unattainable without liquidating commodity economy and the whole monetary system of capitalist society. Owen saw this, but like all socialists who failed to understand the mutual dependence between all the elements of the capitalist system and the primacy of production, he pounced all the more forcefully on individual aspects of the commodity-capitalist system, especially money. Here he lashed out against an important issue, but not the most important one. After pointing out the absurdity, from the social point of view, of production for money rather than production for consumption, Owen wrote: 'In a rightly constituted or rational state of society, gold or silver, or paper money of credit, will never be used as a medium by which to distribute wealth' (p. 26). Owen regarded socialist production as production for use. Only with that kind of social system is it possible to eliminate the enormous and costly apparatus of commodity-capitalist distribution – which is strictly distinguished from production – to eliminate the current form of trade, to bring production closer to consumption, and to save for production the enormous expenses now squandered on the process of circulation. All of these issues remain fully topical for our own economy today and will continue to be interesting and important for decades to come.

Now we turn to Owen's views on education. All the socialist utopians considered the question of cultivating a new human being to be of the utmost importance. Owen devoted exceptional attention to this question. No matter what problem he began to consider, he always turned to the question of educa-

industry within a given country, socialism also faces the question of the most rational distribution of industry throughout the entire world.

tion. We have already mentioned why this question is supremely significant for socialism and why it is important for us – and not from a narrowly pedagogical viewpoint – to highlight how the problem was posed by socialists during the last century.

The fundamental idea that Owen persistently developed and demonstrated with regard to questions of education is that human nature is the same for all people. But human character is not given by nature; it is formed in the process of upbringing. With the appropriate upbringing, a child can develop in any number of ways. In his essay on the formation of human character, Owen writes:

Children are, without exception, passive and wonderfully contrived compounds; which, by an accurate previous and subsequent attention, *founded on a correct knowledge of the subject*, may be formed collectively to have any human character.

Essays on the Formation of Human Character by ROBERT OWEN, London, p. 34³³

[One of] the fundamental errors now impressed from infancy on the minds of all men ... [is] that they form their own individual characters.

Ibid., p. 114

Passionately objecting to the idea that people from different professions may have differences of character, inclination and habit that derive from nature, and not from upbringing, Owen says:

No! Human nature, save the minute differences which are ever found in all the compounds of the creation, is one and the same in all; it is without exception universally plastic; and by judicious training THE INFANTS ON ANY ONE CLASS IN THE WORLD MAY BE READILY FORMED INTO MEN OF ANY OTHER CLASS; EVEN TO BELIEVE AND DECLARE THAT CONDUCT TO BE RIGHT AND VIRTUOUS, AND TO DIE IN ITS DEFENCE, WHICH THEIR PARENTS HAD BEEN TAUGHT TO BELIEVE AND SAY WAS WRONG AND VICIOUS, AND TO OPPOSE WHICH, THOSE PARENTS WOULD ALSO HAVE WILLINGLY SACRIFICED THEIR LIVES.

Ibid., pp. 146–7³⁴

33 See Owen 1817.

34 [The capitalisation occurs in Owen's original text.]

We shall understand the role that all these views on pedagogy played in Owen's entire system if we recall that our utopian rejected any revolutionary path in the struggle for socialism. In those circumstances, the illusion of peacefully re-educating mankind represented the way to bypass a violent socialist revolution. On the one hand, the Owenite views on education were connected with his general idea concerning the ways and means of moving beyond capitalist society, and on the other hand they provided an outline of the education system in the future society itself. As for the latter, Owen depicted its system of education as follows. Children, especially during the transition period, are separated from their ignorant parents, who might have a harmful influence on their character formation, and are concentrated in special educational institutions. But during the transition period, and as a concession to the old order, children will only be returned to their parents in the evenings. Education, therefore, is social. It is to be joined with work; and the children, having passed through all the necessary stages, are to become workers in all the main branches of industry and agriculture. The most difficult question for Owen's system – the question of how it is possible for the old teachers to educate the new man – was not and could not be satisfactorily resolved by Owen, despite the fact that the difficulty was apparent to him and that he described in considerable detail a programme of future education in the fifth part of his book *The New Moral World* under the heading 'Of the Social State of Man'. While Blanqui likewise attached enormous importance to enlightenment of the masses and education of the new man, he posed the problem for society after the socialist revolution, under the dictatorship of the proletariat, whereas Owen raced ahead with his plans for education and wanted to begin implementing them in conditions of the capitalist system. Owen argued that his educational principles were 'harmless' to the capitalists. In so doing he proved that they are also of no use to the proletariat for the purpose of its real emancipation.

The fundamental mistake of Owen and the other utopians, as we know, was that they denied the proletariat's class struggle and did not understand that it was only through the raging waves of proletarian class struggle that their utopias might sail to the shores of reality. But their mistake was not simply that they failed to connect socialism with proletarian class struggle; they also incorrectly understood the very essence of socialism on one of the decisive issues. For example, Robert Owen assumed that socialism, beginning with tiny streams of voluntary associations, might defeat capitalism on the basis of formal equality in a competitive struggle. What we see here, essentially, is a conception based upon an analogy with the first steps of capitalist development within an environment of pre-capitalist forms. This analogy involves a complete misunderstanding of the historical specificities of capitalism and

socialism. The capitalist workshop, and even more the capitalist mechanised factory, could defeat the crafts in a free competitive struggle, if we may put it that way, merely through skirmishes and without any radical change of the political system. Socialism, meanwhile, can develop its superiority over capitalism only by opposing it with a scientific and planned organisation of the economy *throughout large-scale production as a whole*. This observation will be helpful to us later in our analysis of the Soviet economy. Here, we need only note that Owen's hope for the new society's victory over the old, through successfully developing small-scale commune-type associations, involved a failure to understand both the political and also the technical-economic preconditions for a socialist victory. We shall see later that the utopians of the Second International are repeating, although with some modification, this basic error of the utopians (from the standpoint of capital's strategy, of course, this is no error at all).

As we know, all of Owen's practical efforts to bypass revolution and initiate the reform of capitalist society ended in complete failure, including his labour exchange, New Harmony, and so on.³⁵ There was, however, one exception. In the area of exchange Owen enjoyed a certain success, not in the sense of reforming capitalism in the spirit of socialism but in terms of rationalising capitalist exchange and curtailing (even if quite modestly) the costs of circulation for consumers.³⁶ But this only proved that while the system of capitalist exchange is amenable to modest rationalisation and can be improved by cooperatives, the capitalist production system rejects any correctives and can only be rationalised through proletarian revolution and organisation of the state economy of the proletariat. And if cooperation has played an enormous role in rationally organising exchange under the dictatorship of the proletariat and socialist construction of the economy, while playing the same role in the state economy's transformation of small-scale production, all of this will be accomplished owing nothing to Owen's methods and despite his mistake on the *fundamental* question of building socialism.

Owen's views are also interesting to us today because he can be considered – no less than Morris and Ruskin,³⁷ and in my view more deservedly – to be

35 [New Harmony was a utopian colony established by Robert Owen in Indiana in 1825. The experiment failed within two years in economic terms, although New Harmony made numerous subsequent advances in public service and social reform, education and theatre.]

36 [Robert Owen is regarded as the father of the British cooperative movement.]

37 [William Morris (1834–1896) was a textile designer, poet, novelist, translator and socialist activist. In 1844 he founded the Socialist League. John Ruskin (1819–1900) was likewise

the father of guild socialism in England. Owen's Grand National Consolidated Trade Union was the forerunner of England's Builders' Guild. Owen's views on the organisation of production, distribution, and self-management are very close to those of the guild socialists. They also agree on the fundamental issue concerning the way to move beyond capitalism, which in both cases was to bypass the only route given by history, the dictatorship of the proletariat.

To conclude our comments on the utopians, I would like to mention a couple of comments from Marx and Engels in which they gave their own assessment of the utopians and their epigones.

In *The Communist Manifesto* we read:

The significance of Critical-Utopian Socialism and Communism bears an inverse relation to historical development [A]lthough the originators of these systems were, in many respects, revolutionary, their disciples have, in every case, formed mere reactionary sects. They hold fast by the original views of their masters, in opposition to the progressive historical development of the proletariat.³⁸

And in the foreword to *The Peasant War in Germany* Engels says:

... German theoretical Socialism will never forget that it rests on the shoulders of Saint-Simon, Fourier and Owen, who, in spite of their fantastic notions and Utopianism, were some of the most significant minds of all time and whose genius anticipated numerous things the correctness of which can now be proved in a scientific way³⁹

a man of multiple talents and interests, including critical commentary on the classics of political economy and a commitment to ethical socialism.]

38 Marx and Engels 1962, p. 63.

39 Engels 1926, p. 28.

The Communists

1 August Blanqui

Blanqui certainly deserves to be included among the communists in our historical essay. But if we include him with Marx and Engels in this respect, the same cannot be said of his views on other matters or his tactical methods. Blanqui's short articles on social and economic questions are extremely pathetic and impoverished compared to works by the founders of scientific communism. In those writings, which are collected in two volumes entitled *Critique Sociale* (Paris, 1885), Blanqui touches upon a number of economic problems, but he approaches them as a revolutionary-democratic publicist in an extremely superficial manner, says a great many naïve things, and is only occasionally rescued by socialist instinct. Generally speaking, Blanqui was not a writer but a man of direct action. In comparison with his life – which was full of heroism and epic beauty – and with his struggle for the dictatorship of the proletariat, the printed pages of most of his literary works seem to be some casual misunderstanding. But there is one very serious exception. The literary work that I have in mind is exceptional precisely because it concerns the very area in which Blanqui excelled, namely, revolution and the dictatorship of the proletariat. Lost among his many articles that treat various social-economic themes in a superficial and dilettantish manner, is a remarkable work that Blanqui wrote in 1869–1870 with the title *'Le communisme, l'avenir de la société'*. In this remarkable article or pamphlet, Blanqui comes out harshly on the one hand against socialist utopians, especially followers of Saint-Simon and Fourier, revealing their counter-revolutionary position in the real political struggle of the working class; on the other hand, he develops his own views concerning the tasks of the revolutionary proletariat on the day after the revolution. In his aversion to socialist utopians, Blanqui converges with the theorists of scientific communism.¹ The utopians were quite thorough in describing the charms of a future society, but they renounced the class struggle of the proletariat, i.e., they rejected the sole genuine path that leads to overcoming capitalist relations and to construction

1 'Communism is ... not a utopia. It is a normal development and has no relation to the three or four systems that have emerged fully equipped from fantasising brains'. Blanqui 1885a, p. 198.

of a new society. Blanqui, on the contrary, gives central emphasis to exactly this problem. He considers it the only one worthy of discussion. We shall see that the general divide between various socialist tendencies and socialist theories on the one hand, and communism on the other, is found precisely here. It makes no sense to discuss the detailed structure of a future society while omitting the question of revolution, the dictatorship of the proletariat, or the inevitable processes that are preconditions for any socialist construction.

In an article entitled 'Sects and the Revolution', which deals with the possibility, or better, the impossibility of giving a description of socialist society in advance, Blanqui writes as follows:

Is it possible to build right now a structure from which capital will be excluded? Do we have the plan, the materials and all the elements of this precious structure? The sectarians say yes, the revolutionaries say no: and there are no true socialists other than the revolutionaries, for they are a much better safeguard of the future, which belongs to socialism.

Critique Sociale, T.2, p. 114²

Saint-Simonism and Fourierism condemn themselves with their usurping presumption and the inanity of their creations Every social dogmatism will perish of its own accord.

Ibid., p. 115

No! No one knows or can grasp the secret of the future Only the revolution, by clearing the horizon, will gradually lift the veils and open the way, or better, the multiple pathways that lead towards the new order.

Ibid., pp. 115–16³

On this point Blanqui proved to be the ultimate realist. One need only remember the circuitous pathways and roads by which we are travelling to socialism during our so-called NEP. But the one fundamental road, which Blanqui saw clearly and from which he never diverged, was the dictatorship of the proletariat.

Let us look at what Blanqui wrote, in the work just mentioned, on this theme that interests us.

² See Blanqui 1885b, p. 114.

³ This was written by Blanqui in 1865.

He states categorically that communism is synonymous with revolution, that he must avoid utopian mantles, and that he cannot be separated from politics, which is his handmaiden. On the day after the revolution he sees the need immediately to carry out the following measures in the economic sphere:

- 1) An order to all the heads of industry and commerce, under penalty of exile, to maintain the *status quo* provisionally in terms of both personnel and compensation. The state will settle matters with them. Replace any bosses who are exiled for refusal.
- 2) Convocation of competent bodies (*assemblées*) to settle any questions concerning customs, mines, major industrial companies, and matters of credit and instruments of exchange.
- 3) An assembly charged with setting out the basis for workers' associations.

These orders to business people will deflect any blow from behind (*coup de Jarnac*) coming from the capitalists. At the outset, this is the most important concern. However, the workers will not be left standing on the pavement, waiting for new social measures.

'Le communisme, l'avenir de la société' in *Critique Sociale*, T. 1, pp. 204–5⁴

In the financial sphere, Blanqui decrees: 'Annulment of the ledger of public debt. A commission to regulate the savings bank (*la Caisse d'épargne*). Replacement of all direct and indirect taxes with a single direct and progressive tax together with a tax on inheritance' (Ibid., p. 206). Among Blanqui's political and economic measures, we must complete the picture by noting the following: elimination of the army and the bureaucracy; immediate dismissal of all officials of higher and intermediate rank, leaving the office workers in place temporarily; nationalisation of all property of the churches and congregations; elimination of the Penal Code and the Administrative Code; arbitration in civil matters and a tribunal for criminal cases; universal arming of the workers and the republican population. '*No liberty for the enemy*'.⁵

2 'The Parisian Dictatorship (*Dictature Parisienne*)'

The precipitous call for universal suffrage in 1848 was a calculated betrayal. We knew that since the press was gagged after 18th Brumaire, the

⁴ Blanqui 1885a, pp. 204–5.

⁵ Blanqui 1885a, p. 206.

countryside had become the prey of the clergy, the functionaries and aristocracies. To demand a vote for those subdued populations was to demand it for their masters....

To have recourse to the ballot on the day after the Revolution could only have two equally culpable goals: to take away the vote by force or bring back the monarchy. They will say that this is a confession of minority and violence. No! The majority acquired by terror and a gag is not a majority of citizens, but a herd of slaves. A blind court has been listening for seventy years to one of the two parties. It must now listen for seventy years to the opposing party. Since they could not plead together, they will plead one after the other (*Ibid.*, pp. 206–7).

... In 1848 the republicans, forgetting fifty years of persecution, agreed to full and complete liberty for their enemies. The hour was solemn and decisive. It will never return. The victors, despite long and cruel suffering, seized the initiative and provided an example.

What was the result? Extermination The day when labour is no longer gagged is the day when capital will be.

One year of Parisian dictatorship in 1848 would have saved France and history the quarter of a century that is now coming to an end. If it takes ten years this time, there can be no hesitating. In the final analysis, the government of Paris is the government of the entire country by the country, and the only one with legitimacy. Paris is no municipal city, confined to its own local interests – it is the true representative of the nation.

Ibid., pp. 207–8

The main obstacle to the realisation of communism after the seizure of power by the proletariat, according to Blanqui, is the ignorance of the whole population, including the lack of success in enlightening the proletariat. It is curious that Blanqui should consider the main obstacle to equality in distribution to be the lack of proletarian enlightenment. Recalling the experience of 1848, Blanqui writes: 'In 1848 the majority of workers did not accept equal remuneration, which was undoubtedly difficult to reconcile with their limited education' (*Ibid.*, p. 213).

Blanqui has interesting views on the peasant question under the dictatorship of the proletariat. He recommends the greatest caution with regard to introducing collectivism in the countryside, where life entails incomparably more suspicion and ignorance than in the city. Blanqui thinks there is hope for convincing the peasantry that communism for them is 'not a threat, but a hope'. A political association on the territory of France already exists. Why would an economic association not become its natural counterpart as ideas progress?

But it must be made totally clear that no one can ever be forced to join any association whatever, along with his parcel of land, and that if he does join it must always be a completely free expression of his own will.

p. 210

It must be made perfectly clear that confiscation of the large land holdings of the church and the aristocracy in no way affects the interests of small and medium property owners.⁶ 'The people who have to be swept out of the country with an iron broom, without any hesitation or scruple, are the aristocrats and the clergy. To the border, march!' (p. 211).

Blanqui refuses to answer the question of how long it will take for communism to prevail in France. He repeats that the chief obstacle is the darkness and lack of enlightenment in the country as a whole, a darkness that is not sufficiently evident from a place so enlightened as Paris. In this respect, i.e., the question of the role of enlightenment and education, Blanqui, as we have already seen, was close to the utopians, but the fundamental difference between their views was that *the utopians thought it possible to create the new man through education within the old society, whereas Blanqui thought it necessary first to overthrow the old society in order to raise the new man.*

Let us now appraise Blanqui's ideas, leaving aside his economic journalism. Also, we shall not take into account his brief and lively articles, written in 1870 and published in 1871 as *La Patrie en Danger*.⁷ These articles, showing how the stream of worker socialism entered into temporary alliance with a patriotic torrent and overthrew the monarchy, bringing the socialist boat to harbour in the Paris Commune, are of no particular interest for our theme. Nor are we concerned here with the question of the dictatorship of the proletariat as an historical-political problem. Our interest is in Blanqui's idea of the dictatorship of the proletariat and his programme of economic measures for the day after the seizure of power, first and foremost because he makes a decisive break with the utopian conceptions of socialism and starts with the issue that the great utopians of the first half of the nineteenth century omitted – and that the pathetic utopians of the Second International also omitted and still do omit – but which appears in Marx and Engels and in the programme that the Bolsheviks have made a living reality. The idea of proletarian dictatorship, which translated into the language of France at the time meant the dictatorship of workers' Paris over the peasantry and petty bourgeoisie of the provinces –

⁶ Blanqui supported land redistribution according to available labour: 'Labour ... gives a right only to the portion of land that can be cultivated by the possessor'. Blanqui 1885b, p. 47.

⁷ [Blanqui 1871.]

this idea is Blanqui's starting point for all of his thinking about socialism (or in his terminology, communism). The connection between concrete ideas of socialism and the idea of the dictatorship of the proletariat and civil war is the most essential thing that distinguishes revolutionary and scientific-communist conceptions of socialism from socialist, utopian and opportunistic conceptions. When views of socialism are categorised in these terms, on the one side we find the supporters of dictatorship – Babeuf, Marx, Engels, Blanqui and the Bolsheviks (despite some enormous theoretical differences) – while on the other side are the opponents of dictatorship and civil war, i.e., utopian socialism, the socialists of the Second International, all the bourgeois fantasiers of socialism such as the academic socialists, etc. This differentiation, which holds for the history of the world workers' movement in general, also turns out to be true in terms of the particular question that concerns us.

The first years and decades of practical socialist construction occur in conditions of proletarian dictatorship. This circumstance affects the entire context and all the conditions of socialist construction. In what follows, we shall see the immense importance of this fact for every aspect of the economics of building socialism. But even without a detailed analysis of this question, it is perfectly clear that there must be a cardinal difference between the structure of a new society in conditions of proletarian dictatorship and in conditions of a peaceful evolution from capitalism to socialism, as it was conceived by the great utopians at the beginning of the nineteenth century and is still conceived by the petty utopians at the close of the nineteenth century. The ingenious prognosis of Marx and Blanqui has been fully justified, both in the overture of proletarian revolution in Europe – the experience of the Paris Commune – and also in the first victorious workers' revolution: the October Revolution of the Russian proletariat and the ensuing construction of socialism in the USSR. It is impossible, without the idea of the dictatorship of the proletariat, to make any truly scientific prognosis concerning the structure of a socialist economy in the first decades of building socialism, which is the period of most interest to us. Blanqui's brilliant conception of the dictatorship of the proletariat immediately transfers the problem of building the new society from the heavens of utopia and clowning projections to the solid ground of historical reality. Blanqui made this colossal step forward in the scientific understanding of socialism thanks to his truly revolutionary-proletarian instinct and political far-sightedness, and *despite his complete lack of any familiarity with the theory of Marxism*. French Marxism, in contrast, *despite knowing the theory of Marxism*, contrived to erase the idea of dictatorship from the party's ideology. Instead of representing a step beyond Blanqui, in this regard it involved the most profoundly opportunistic reaction against both Blanqui and revolutionary Marxism. This idea of dictator-

ship was paid for by the blood of workers. It only appeared to Marx and Blanqui following the bloody suppression of the Paris proletariat in 1848. The conception of socialism then acquired a realistic basis. But in the following epoch, that of the Second International and of accommodating socialism to capitalism, the idea of dictatorship was erased from any thinking about pathways to a new society, with the result that all discussions of future society assumed the character of neo-utopianism.

To conclude with Blanqui, we should note in passing that the time has come to rehabilitate him after the criticism from Social-Democratic renegades during the period of the Second International, and to accord him his proper place in the history of the revolutionary workers' movement. It is also time for a proper appraisal of the relation between Blanquism and Marxism, establishing a direct relationship of Bolshevism with Blanquism and with the first truly revolutionary movement of the proletarian vanguard⁸ that took up the task of establishing dictatorship as an immediate practical objective.

Leaving Blanqui, we must note that his idea of dictatorship cannot be studied without an *historical* analysis of the views of Babeuf, who 'was simultaneously the last Jacobin and the first representative of modern socialism' (Levalis, A., *Auguste Blanqui*, Paris, p. 6).

3 Marx and Engels

With Marx and Engels, the theory of communism moved *from utopia to science*. The founders of scientific communism were extremely wary of anything that would lead them *back from science to utopia*. Hence, their utmost caution with regard to any formulations that claimed to describe the concrete elements of socialist society. In his letter to Marx of 28 May 1876, Engels bitingly commented on Liebknecht's 'passion for supplementing the deficiencies of our theory, for having an answer to every philistine's objection and for giving a picture of the society of the future because, after all, the philistine too asks questions about it'.⁹ On this point Marx and Engels never attempted to satisfy philistine curiosity concerning the future society, because it would be impossible to do so without abandoning science. Blanqui's views on this matter fully correspond with those of Marx and Engels.

8 The appraisal that Marx himself gave of Blanquism differs greatly from the traditional philistine critique of Blanquism given by representatives of s[ocial]-d[emocratic] opportunism.

9 [Marx and Engels 1965, p. 306. Wilhelm Liebknecht was one of the founders of the German Social-Democratic Party.]

But does this mean that Marx and Engels had absolutely nothing to say concerning future society? Does it mean that the corresponding part of our own work must be a blank sheet of paper unless we want to invent things that Marx and Engels never wrote?

No, it is more complicated than that. We do not find in Marx and Engels any descriptions or remarks concerning future society that would involve departing from science and appealing to utopia, yet we do find in their works a number of comments on the society of the future that they were not only able to provide, without abandoning science, but even *had to provide precisely in the interest of a scientific analysis of capitalist society*. Apart from the relevant pages in the 'Critique of the Gotha Programme' and certain other occasional observations, the great majority of passages in Marx concerning relations in the future society are extensions of a scientific analysis of the capitalist system. And this is completely understandable. Not every communist can give a correct theoretical analysis of the capitalist system as a whole, but anyone who does give such an analysis must be a communist. *Capital* could only be written by a communist, because a detailed explanation of the whole capitalist system inevitably requires a comparison of capitalism with the economic formation towards which capitalism must lead with iron necessity. Likewise, the historical uniqueness of individual details of the capitalist economy became perfectly clear to Marx through comparison not just with pre-capitalist forms but also with the relations of a socialist or communist society.

Only by thinking through the question of transforming the production relations of capitalism into a higher form was Marx able to describe with classic clarity and transparency the pure form of capitalism as a complete system, taken as a whole in the conditions of its movement. Sometimes, in order to be more precise when describing capitalist relations and to make their specific form stand out with reference to both past and future, Marx briefly looks into the future and thereby helps the reader to understand better one or another peculiarity of capitalism. There is no doubt that Marx had in mind, as a scientific prognosis and working hypothesis, a rather complete conception of socialism at least in terms of its general features. But in his works we see only excerpts from this picture or else extremely general and highly algebraic formulations. However, if we assemble all of these excerpts, the result is much more than what we would find in a cursory reading of Marx's works with no special investigation of this question. The reader will become convinced of this in what follows.

In contrast to the great utopians from 1820 to the 1840s, or to the pathetic reactionary utopians of the Second International, Marx and Engels (like Blanqui), conceived the way out of capitalist society only through workers' revolu-

tion and proletarian dictatorship. Consequently, their ideas of socialism also presupposed a more or less prolonged period of transitional conditions. However few and brief their comments on this theme, and however general and algebraic they were in character, we find no such gap in their conceptions of socialism as we do in the utopians. When speaking of Blanqui, we have already mentioned the importance in principle of such a view of the collapse of capitalism and the transition to a new society. It is precisely here that we see the watershed between communists on the one hand and socialists on the other, including social-democratic conceptions of socialism. Our theme does not involve a history of the question of the dictatorship of the proletariat. As far as Marx and Engels are concerned, this part of their thinking has been sufficiently clarified, above all in several works by Lenin. Our concern here is only to consider their views on the structure of socialist and communist society.

Marx was the first to advance the idea that a completed communist society must differ from the transitional forms that occur between capitalism and communism. It is true that we do not find any comprehensive exposition of ideas concerning the difference between socialism and communism, but it is also apparent, from a number of his formulations, that he made a distinction between these two stages in the development of society. He distinguished them not just from the point of view that under socialism classes still exist, and therefore also a state, but also in terms of the system of production and distribution under socialism and communism. But that is not all. We also find in Marx what can be called transitional measures from capitalism to socialism, although not to communism.

These can be seen first of all in some of the programmatic points of the *Communist Manifesto* and also in 'Demands of the Communist Party in Germany' (a document that was signed by a committee of the League, headed by Marx and Engels). The following points from the *Manifesto* should be recalled here. The authors of the document wrote:

The proletariat will use its political supremacy to wrest, by degree, all capital from the bourgeoisie, to centralise all instruments of production in the hands of the State, i.e., of the proletariat organised as the ruling class; and to increase the total productive forces as rapidly as possible. Of course, in the beginning, this cannot be effected except by means of despotic inroads on the rights of property, and on the conditions of bourgeois production; by means of measures, therefore, which appear economically insufficient and untenable, but which, in the course of the movement, outstrip themselves, necessitate further inroads upon the old social order,

and are unavoidable as a means of entirely revolutionising the mode of production. These measures will, of course, be different in different countries.

'Communist Manifesto' with introduction and notes by D. RYAZANOV, 2 edn, St. Petersburg, 1923, p. 87¹⁰

Of the ten demands that must, according to the authors of the *Manifesto*, be carried out in the first place by the victorious proletariat, we mention only those that go beyond the requirements of the most radical bourgeois-democratic revolution. They are:

- 1) 'Centralisation of credit in the hands of the State, by means of a national bank with State capital and an exclusive monopoly'.
- 2) In addition to centralisation of transport, 'Extension of factories and instruments of production owned by the State; the bringing into cultivation of waste-lands, and the improvement of the soil generally in accordance with a common plan'.
- 3) 'Equal liability of all to labour. Establishment of industrial armies, especially for agriculture'.
- 4) 'Combination of agriculture with manufacturing industries; gradual abolition of all the distinction between town and country ...'.
- 5) 'Free education for all children in public schools. Abolition of children's factory labour in its present form. Combination of education with industrial production, etc.' (Ibid., p. 88).¹¹

There are other variations in 'Demands of the Communist Party in Germany'. In point 7, for example, in addition to princely and other feudal estates, all 'mines, pits, and so forth' are to be nationalised, and 'The estates shall be cultivated on a large scale and with the most up-to-date scientific devices in the interests of the whole of society' (Ibid., p. 331. In the German publication by Grünberg, 5th edn, *Die Londoner Kommunistischer Zeitschrift*, pp. 91–2).¹² It must also be noted that the 'Demands'¹³ include an equal salary for all civil servants,

¹⁰ [See Marx and Engels 1962, p. 53.]

¹¹ [Marx and Engels 1962, pp. 53–4.]

¹² [See Marx and Engels 1977, p. 3.]

¹³ It is interesting to note that in the first draft of the *Manifesto*, written by Engels, i.e., in *Grundsätze des Kommunismus*, this point is expressed as follows: 'Gradual expropriation of landed proprietors, factory owners, railway and shipping magnates, partly through competition on the part of state industry and partly directly through compensation in assignments'. [This is the translation given in Marx and Engels 1976, p. 350. Preobrazhensky translates 'assignments' as '*paper money*', which is correct insofar as *assignats* were the paper money of the French Revolution. The translation as '*paper money*' fits with Preo-

the organisation of national workshops, and state provision for those who are unemployed or incapacitated for work. Finally, the motivation behind point 10 is extremely interesting. The complete paragraph reads:

A state bank, whose paper issues are legal tender, shall replace all private banks. This measure will make it possible to regulate the credit system in the interest of the people as a whole, and will thus undermine the dominion of the big financial magnates. Further, by gradually substituting paper money for gold and silver coin, the universal means of exchange (that indispensable prerequisite of bourgeois trade and commerce) will be cheapened, and gold and silver will be set free for use in foreign trade. Finally, this measure is necessary in order to bind the interests of the conservative bourgeoisie to the Government.

p. 332¹⁴

From all of the points that I have cited from the *Manifesto* and the 'Demands', it is perfectly clear, in terms of our way of speaking, that Marx and Engels advised the proletarian authority, following the conquest of power, to begin with a very moderate NEP, much more moderate in fact than our own NEP today.

The proletariat would have to begin that way and then only 'gradually take all capital from the bourgeoisie'.¹⁵ The extreme sobriety of Marx and Engels on this point is sufficiently confirmed by our own experience insofar as it concerns the inexpediency of universal nationalisation on the day immediately following the seizure of power. They are also ingeniously cautious with regard to the

brazhensky's own oft-repeated explanation that the issue of paper money is a means of taxing and expropriating the owners of land and capital.]

14 [Marx and Engels 1977, p. 4.]

15 In this connection, it is interesting to recall the following passage in Engels's article against the bourgeois radicalism of Heintzen, written in 1847:

All measures to restrict competition and the accumulation of capital in the hands of individuals, all restriction or suppression of the law of inheritance, all organisation of labour by the state, etc., all these measures are not only possible as revolutionary measures, but actually necessary. They are possible because the whole insurgent proletariat is behind them and maintains them by force of arms. They are possible, despite all the difficulties and disadvantages which are alleged against them by economists, because these very difficulties and disadvantages will compel the proletariat to go further and further until private property has been completely abolished, in order not to lose again what it has already won. They are possible as preparatory steps, temporary transitional stages towards the abolition of private property, but not in any other way (Frederick Engels, 'The Communists and Karl Heinzen', in Marx and Engels 1976, p. 295.).

monetary system: there is not a word about the rapid elimination of money or the naturalisation of exchange, although the point about the 'conservative bourgeoisie' does in general seem rather naïve. The course of events, however – at least in terms of the Russian Revolution – remedied this scheme in other respects. It demonstrated that the proletariat either completely fails to prevail, in which case it is in no position to implement any of the demands in the *Manifesto*, including those that are simply radical-democratic; or else it completely triumphs and then cannot limit itself to the nationalisation measures that are listed in the *Manifesto* and the 'Demands'.

Following this period and the second letter from the Central Committee of the League of Communists to local organisations in Germany, which was noteworthy chiefly from a political point of view, we again find in Marx and Engels mention of the future society and the road to it, mainly during the last one and a half or two decades of Marx's life. We find several such places in *Capital*, in the *Correspondence*, in *Critique of the Gotha Programme*, in *Anti-Dühring* and in *The Civil War in France*. Let us now consider everything that we can find in these works, with particular reference to organisation of the economy.

We begin with the general character of the transition period.

The passage most often cited from Marx's *Critique of the Gotha Programme* is the following:

Between capitalist and communist society, lies the period of the revolutionary transformation of the one into the other. There corresponds to this also a political transition in which the state can be nothing but *the revolutionary dictatorship of the proletariat*.

Kritika Gotskoi programmy, Gosizdat, 1923, p. 69¹⁶

As far as the character of the revolutionary process itself is concerned, from a political point of view, that is not part of our theme. We shall note only one passage from Engels, which demonstrates that he had no connection with German Social Democracy's philistine conception of the proletarian revolution.

The big mistake the Germans make is to think that the revolution is something that can be made overnight. As a matter of fact it is a process of development of the masses that takes several years even under condi-

16 See Marx and Engels 1962, Vol. 2, pp. 32–3.

tions that favour its acceleration. Any revolution brought about overnight only removed a reaction that was hopeless at the very start (1830) or led directly to the opposite of what had been aspired to (1848, France).

*Arkhiv Marks'a i Engel's'a, 'Pis'ma F. Engel's'a k E. Bernshteinu', p. 349*¹⁷

Engels thought it was very difficult to answer the question of how conditions during the transition period would develop concretely in the economic sphere and in the organisation of the new transitional society. He also recommended to others that they not give dilettantish responses to this question. Thus, in a letter to Conrad Schmidt on 1 June 1891 he wrote:

Your ... project – the transitional stages on the way to a communist society – is worth thinking about, but my advice to you is *nonum prematur in annum*,¹⁸ it's the most difficult subject on earth because conditions are constantly changing. For instance, every new trust¹⁹ causes them to change while the vantage points never remain the same from one decade to the next.

*Pis'ma, translated by Adoratsky, p. 288*²⁰

However, Engels himself did make some observations concerning the future. For example, in one of his letters to Marx, dating from as far back as 1851, he made the following suggestion concerning the personnel of the apparatus of proletarian power after the revolution:

It would be well to make a general recommendation that propaganda should be carried on everywhere among office workers. If one had to form an administration these chaps would be indispensable: they are used to assiduous work and intelligible bookkeeping, and commerce is the only practical school for serviceable office clerks. Our lawyers, etc., are no good at it. Clerks for bookkeeping and rendering accounts, talented, well-educated men for drawing up despatches, letters, documents – that's what we want. With six clerks I could organise an infinitely more simple, better

17 [Marx and Engels 1965, p. 364.]

18 [Let it (what you have written) be kept back until the ninth year. (Horace, *Ars Poetica* (18 BC), 388).]

19 Incidentally, it is interesting to recall the famous prediction Engels made in the third volume of *Capital* concerning the inevitability of an imperialist world war. See Marx 1981, p. 215.

20 [The date that Preobrazhensky gives for this letter should be 1 July 1891. See Marx and Engels 2001, pp. 212–13.]

arranged and more practical branch of administration than I could with sixty government councillors and bureaucratic financial advisers. The latter cannot even write legibly and would muck up all the books so that not a soul could make head or tail out of them.

Ibid., p. 30²¹

Engels returned to the same thought 40 years later, already in his declining years, when the prospect of power going to the proletariat, in his opinion, was near to hand. In a letter to Bebel of 24 October 1891, he raises the question of how the technical intelligentsia will relate to the proletarian authority in the event of a 'premature' transfer of power to the proletariat, and he predicts something like the sabotage that we encountered in 1917. Here is what he wrote in this letter:

If we are to take over and operate the means of production, we need people who are technically trained and plenty of them. These we do not have, and we have even been pretty glad hitherto to have been largely spared the company of the 'educated'. Now things have changed. Now we are strong enough to absorb and digest any quantity of educated riff-raff and I would predict that in the next 8 or 10 years we shall recruit enough young technicians, doctors, jurists and schoolmasters for the factories and large estates to be managed for the nation by party members. In which case our accession to power will take place quite naturally and will run a – relatively – smooth course. If, on the other hand, we come to the helm prematurely and as a result of war, the technicians will be our principal opponents and will deceive and betray us at every turn; we should have to inaugurate a reign of terror against them and would lose out all the same. This is what *always* happened to the French revolutionaries, if on a smaller scale; even in everyday administration they had to leave the subordinate, really operative, posts to their former reactionary incumbents – men who hampered and paralysed everything. I therefore hope and pray that this splendid, unerring progress of ours, evolving with the impassivity and inexorability of a natural process, will continue along its appointed course.²²

21 [The Russian translation that Preobrazhensky quotes speaks of 'sixty government councillors and students of the law faculty'. I have replaced that passage with the translation of the letter given in Marx and Engels 1965, p. 58.]

22 [See Marx and Engels 2001, p. 272.]

Now let us turn to the thoughts of Marx and Engels concerning the economy of a socialist society. The main feature of all their excursions into this area is the extreme caution and generality of their formulations, from which we can conclude that the less concrete they are, the longer they apply. We in the USSR already have some experience of socialist construction, and we can see from that experience how correct and durable all of these cautious and general formulations were and just how little their authors would have to retract. It is a completely different matter with purely concrete proposals. That is perfectly obvious in the example of Engels's clerks, with whom he was going to set in motion the machinery of the new state.

Let us begin with the technical basis of a socialist economy. In the first volume of *Capital*, Marx commented that 'It is not what is made but how, and by what instruments of labour, that distinguishes different economic epochs' (*Capital*, Vol. 1 p. 156, trans. Stepanova).²³ On the one hand, this idea follows from an analysis of the technology of different economic systems, but on the other hand it already involves an *a priori* assumption that the technical basis of a socialist economy will differ from that of capitalism. Marx was quite probably convinced that the principal basis of capitalism was the use of steam, whereas the typical technology of socialist society would be electrification. This assumption is supported by the fact that Marx was extremely interested in all the successful experiments in the productive use of electricity that were only beginning in his day. In a letter to Engels on 5 May 1851, he asked his friend about the use of electricity in agriculture (apparently in speeding up germination and vegetation), which he had read about in a journal and asked Engels to explain. At the time of the London exhibition in 1864, Marx was deeply interested in the advances of electro-technology, and before his death, as Engels explained in his speech at his friend's funeral, he was especially interested in the experiments by Deprez to transfer electrical current over long distances.²⁴ Engels drew the conclusions from these experiments because he was more able than Marx to follow the advances in electrical engineering. In his letter to Bernstein, on 27 February 1883, he wrote the following on this interesting theme:

Deprez's latest discovery, namely that electric currents of very high voltage can, with a comparatively small loss of energy, be conveyed by simple telegraph wire over hitherto undreamed of distances and be harnessed at the place of destination – the thing is still in embryo – this discovery frees

23 [Marx 1976, p. 286.]

24 [Marcel Deprez (1843–1918) was a French engineer who from 1876–86 conducted the first experiments in long-distance transfer of electrical power.]

industry for good from virtually all local limitations, makes possible the harnessing of even the most remote hydraulic power and, though it may benefit the *towns* at the outset, will in the end inevitably prove the most powerful of levers in eliminating the antithesis between town and country. Again, it is obvious that the productive forces will thereby acquire a range such that they will, with increasing rapidity, outstrip the control of the bourgeoisie.

Arkiv, p. 342²⁵

In this remarkable quotation, we find two extremely important and directly prophetic ideas from Engels. First, there is the thought concerning the role that electrification must play in overcoming the contradiction between town and country – a question to which we shall return in our analysis of Lenin's view of the socialist economy. Secondly, there is the idea that electrification is breaking apart the integument of capitalist property in purely technical terms and must have the same effect socially, i.e., it demands the socialisation of production. No matter how adaptable and flexible capitalist property may be in this respect, as demonstrated over the past two decades, Engels's basic idea is turning out to be absolutely true.²⁶

Obviously, when the proletariat has taken power it organises production by using the technique that it acquires from capitalism, and in chronological terms the history of socialist economy begins from the moment of the revolution. But according to Marx (and also to Lenin, as we shall see), socialist production can only reveal its own characteristic features, as distinct from capitalist economy, when it can rely upon a new technological basis.

As far as the organisation of production in a socialist economy is concerned, the formulations from Marx and Engels are highly algebraic. Nevertheless, they remain important as guiding principles because comparison with the capitalist system clearly distinguishes the unique features of the socialist structure.

We shall begin with the passages from Marx and Engels that refer directly to production and then turn to those in which the problem of production is interpreted together with that of distribution, or else where distribution alone is the issue.

The question of the socialist organisation of production is above all one of planned economy and the forms of organisation in a planned economy. But it is

25 [Marx and Engels 2010, p. 449.]

26 See the interesting work by our prominent engineer and Gosplan worker, Gorev, about electrification in France. [No publication data are provided.]

also a question of eliminating commodity economy and its spontaneous regulating principle – the law of value – and of replacing the activity of this law with public accounting. In various works by Marx and Engels, we frequently find a general distinction between anarchic commodity production and planned socialist production. Here we shall cite only those passages that refer to this question most concretely.

In *Anti-Dühring* Engels writes:

Active social forces work exactly like natural forces: blindly, forcibly, destructively, so long as we do not understand, and reckon with, them. But when once we understand them, when once we grasp their action, their direction, their effects, it depends only upon ourselves to subject them more and more to our own will, and by means of them to reach our own ends. And this holds quite especially of the mighty productive forces of today. So long as we obstinately refuse to understand the nature and the character of these productive forces – and this understanding goes against the grain of the capitalist mode of production and its defenders – so long will these forces work in spite of us, in opposition to us, so long will they master us, as we have shown above in detail.

But when once their nature is understood, they can, in the hands of the producers working together, be transformed from master demons into willing servants With this recognition, at last, of the real nature of the productive forces of today, the social anarchy of production gives place to a social regulation of production upon a definite plan, according to the needs of the community and of each individual.

Herrn Eugen Dührings Umwälzung der Wissenschaft. Stuttgart, 1921, p. 301²⁷

Engels also speaks of a new form of distribution and its connection with a new – that is, planned – mode of production. By the way, the fact that Engels here and elsewhere speaks simultaneously of surmounting spontaneity, of a planned economy and the mode of distribution, indicates that it was not yet possible for him to differentiate these problems and elucidate each of them more concretely. Concerning elimination of the law of value as regulator of production, and the fact that socialist society has no need for any indirect way of determining the quantity of socially necessary labour required for the production of different sort of products, Engels wrote:

27 [Engels 1954, pp. 387–8.]

Society can simply calculate how many hours of labour are contained in a steam-engine, a bushel of wheat of the last harvest, or a hundred square yards of cloth of a certain quality. It could therefore never occur to it still to express the quantities of labour put into (*niedergelegt*) the products, quantities which it will then know directly and in their absolute amounts, in a third product, in a measure which, besides, is only relative, fluctuating, inadequate, though formerly unavoidable for lack of a better one, rather than express them in their natural, adequate and absolute measure, *time*.

Anti-Dühring, German edn, p. 335²⁸

Dealing with the same question, and contrasting the spontaneous regulation of all processes in a commodity economy with the conscious regulation of a planned socialist economy, along with its clarity of relations within production, Marx wrote the following in Vol. 1 of *Capital*:

The total product of [an association of free producers] is a social product. One part of this product serves as fresh means of production and remains social. But another part is consumed by the members of the association as means of subsistence. This part must therefore be divided amongst them. *The way this division is made will vary with the particular kind of social organization of production and the corresponding level of social development attained by the producers.* We shall assume, but only for the sake of a parallel with the production of commodities, that the share of each individual producer in the means of subsistence is determined by his labour time. Labour time would in that case play a double part. Its apportionment in accordance with a definite social plan maintains the correct proportion between the different functions of labour and the various needs of the associations. On the other hand, labour time also serves as a measure of the part taken by each individual in the common labour, and of his share in the part of the total product destined for individual consumption. The social relations of the individual producers, both towards their labour and the products of their labour, are here transparent in their simplicity, in production as well as in distribution.

MARX, *Kapital*, trans. Stepanova, p. 47: *Kapital*, Vol. 1, 5th German edn, Hamburg, p. 45²⁹

28 Preobrazhensky notes: 'By the way, in the outrageous Russian translation of *Anti-Dühring*, published by *Moskovskii rabochii* in 1922, exactly the opposite idea appears on p. 175'. [The English-language source is Engels 1954, p. 429.]

29 [Marx 1976, pp. 171–2.]

As far as the organisation of a planned economy is concerned, we find nothing concrete from Marx and Engels except for two interesting passages in *Capital*:

Book-keeping, ... as the supervision and the ideal recapitulation of the process, becomes ever more necessary the more the process takes place on a social scale and loses its purely individual character; it is thus more necessary in capitalist production than in the fragmented production of handicraftsmen and peasants, more necessary in communal production than in capitalist. The costs of book-keeping are however reduced with the concentration of production and in proportion to its increasing transformation into social book-keeping.

Capital, Vol. 2, p. 111³⁰

... [E]ven after the capitalist mode of production is abolished, though social production remains, the determination of value³¹ still prevails in the sense that the regulation of labour-time and the distribution of social labour among various production groups becomes more essential than ever, as well as the keeping of accounts on this.

Capital, Vol. 3, pt. 2, p. 111³²

In Vol. 3 of *Capital* we also find an interesting comment on the role of the credit system during the transition period from capitalism to socialism. The role of this 'powerful lever' in the approach to a planned economy was clear to Marx, but he also warned against the mistaken idea that the credit system might continue to exist after the full victory of socialist production.

... [T]here can be no doubt that the credit system will serve as a powerful lever in the course of transition from the capitalist mode of production to the mode of production of associated labour; however, only as one element in connection with other large-scale organic revolutions in the mode of production itself. On the other hand, illusions about the miraculous power of the credit and banking system, in the socialist sense, arise from complete ignorance about the capitalist mode of production

30 [Marx 1978, p. 212.]

31 It is quite obvious that the word 'value' is being used here in a different sense [i.e., not in the sense of 'value' as the measure of abstract, socially necessary labour, sold as a commodity in conditions of commodity production and exchange].

32 [Marx 1981, p. 991.]

and about the credit system as one of its forms. As soon as the means of production cease to be transformed into capital (which also means the abolition of private property in land), credit as such no longer has any meaning, something incidentally that even the Saint-Simonians have realized.

Kapital, T. 3, Ch. 2, p. 148³³

We have already seen that Marx predicted a vast growth of accounting in the future socialist society, in which the concentration and rationalisation of all production need not lead to any increase of expenditures on this apparatus, which will replace the capitalist market. (It cannot be said that during the period of War Communism we organised book-keeping for the state economy 'according to Marx'.) On the other hand, Marx in *Capital* and Engels in *Anti-Dühring* pointed out that the capitalist system of supervising labour is unnecessary in a socialist economy in the sense of one class supervising another, as distinct from technical leadership in implementation:

... [T]his work of supervision necessarily arises in all modes of production that are based on opposition between the worker as direct producer and the proprietor of the means of production. The greater this opposition, the greater the role that this work of supervision plays. It reaches its high point in the slave system. But it is also indispensable in the capitalist mode of production, since here too the production process is at the same time a process of consumption of labour-power by the capitalist. In despotic states, too, the work of supervision and all-round intervention of the government involves both aspects: the performance of those common tasks that arise from the nature of all communities, and the specific functions that arise from the opposition between the government and the mass of the people.

Kapital, T. 3, Ch. 1, p. 370; See also p. 373³⁴

Speaking elsewhere of the stubborn endeavour of capitalists to economise on means of production in every way possible, which compels them to adapt the organisation of labour to this task, Marx wrote:

33 [Marx 1981, p. 743.] Referring to p. 742 of *Capital* III, Preobrazhensky adds here: 'Also important are the preceding pages of *Capital*, ending with the words: "Banking and credit ... also become the most powerful means for driving capitalist production beyond its own barriers and one of the most effective vehicles for crises and swindling".'

34 [Marx 1981, pp. 507–8; see also p. 509.]

If nothing is to be lost or wasted, if the means of production are to be used only in the manner required by production itself, then this depends partly on the workers' training and skill and partly on the discipline that the capitalist exerts over the combined workers, which would become superfluous in a state of society where the workers worked on their own account, just as it is already almost superfluous in the case of piece-work.

Kapital, T. 3. Ch. 1, p. 58; See also *Ibid.*, p. 60³⁵

With the production relations of socialist society, capitalist discipline disappears along with the entire supervisory staff of the class of exploiters. These and other non-productive social expenditures, arising from the need to support the system of capitalist exploitation itself, disappear as management costs that have nothing to do with production. 'This part will, from the outset, be very considerably restricted in comparison with present-day society, and it diminishes in proportion as the new society develops' (Marx, *Kritika Gotskoi programmy*. Gosizdat, 1923, p. 52).³⁶

But most of the unproductive expenditures of means and resources under capitalism are connected with its anarchic structure, with the resulting crises, with the method of distribution through trade, and with the fact that the greatest economy for the individual capitalist is a useless waste from the social point of view: 'for all its stinginess, capitalist production is thoroughly wasteful with human material' (*Kapital*, T. 1, Ch. 1, p. 62).³⁷

Thus, in describing capitalism, Marx either directly or indirectly highlights particular aspects of the mode of production that replaces capitalism. While it may not always be possible, on the basis of this description, to indicate what the future will bring in place of one or another capitalist institution, it is possible, through analysis solely of capitalist production, to say which aspects of the system are especially characteristic of capitalism and must collapse with it, and which can undergo a certain transformation during the transition period.

Marx and Engels often dealt with the question of the need for surplus labour and expanded reproduction in the future society, or to use terms from the capitalist epoch, the need for accumulation. In Volume 3 of *Capital* Marx wrote the following on that theme:

35 [Marx 1981, p. 76; see also p. 178.]

36 [Marx and Engels 1962, p. 22.]

37 [Marx 1981, p. 180. The full translation of this passage is: 'Yet for all its stinginess, capitalist production is thoroughly wasteful with human material, just as its way of distributing its products through trade, and its manner of competition, make it very wasteful of material resources, so that it loses for society what it gains for the individual capitalist'.]

Surplus labour in some form must always remain, as labour beyond the extent of given needs. It is just that in the capitalist, as in the slave system, etc., it has an antagonistic form and its obverse side is pure idleness on the part of one section of society. A certain quantum of surplus labour is required as insurance against accidents and for the progressive extension of the reproduction process that is needed to keep pace with the development of needs and the progress of population.

Kapital, T. 3, Ch. 2, p. 356³⁸

Later in the same volume Marx returns to this question and writes:

But the constant capital that is not the product of freshly added labour ... even though this product could not be produced without it, is exposed during the reproduction process, in its material aspect, to accidents and dangers that may decimate it One part of the profit accordingly serves as an insurance fund, and thus also a part of the surplus-value and surplus product in which the freshly added labour is expressed This is the only part of the revenue that is neither consumed as such nor serves necessarily as an accumulation fund. Whether it actually does serve as such a fund, or simply offsets the shortfall in reproduction, is a matter of chance. *This is also the only part of surplus-value and the surplus product, and thus of surplus labour, leaving aside the part serving for accumulation, i.e. for expansion of the reproduction process, that would have to continue in existence after the abolition of the capitalist mode of production.*

Kapital, T. 3, Ch. 2, p. 385: my italics – EF³⁹

According to Marx, therefore, a surplus product is also necessary in socialist society: 1) for expanded reproduction, or using the old term, accumulation; 2) for creation of an insurance fund. Expanded reproduction, or accumulation, is required due to growth of population and expanding needs. As for the insurance fund, it is needed to restore constant capital and because of unforeseen events that 'may decimate it'. If the diminution of this capital were to occur on a large scale during the transition from capitalism to the dictatorship of the proletariat, and if a society that is building socialism must begin the transition to a new technical base from the very beginning of its existence, then it would

38 [Marx 1981, p. 958.]

39 [Marx 1981, p. 986.]

not involve surplus product and accumulation in the normal circumstances of a functioning socialist society, but rather a surplus product and primitive accumulation in order to make socialist production itself possible. Hence, we inevitably come to the problem of primitive socialist accumulation, which we shall discuss further in another chapter of this work.

Polemicising with Dühring, Engels also shows the absurdity of any system of distribution in the future society that would ignore 'the most important, progressive function of society, accumulation' (*Anti-Dühring*, German edn., p. 338).⁴⁰

Concerning the productive capacity of the new society by comparison with capitalism, we find this particularly interesting excerpt in a letter by Engels to Lange on 29 March 1866:

You yourself raise the question of how the increase in the means of subsistence can be made to keep pace with the increase in population; but excepting one sentence in the preface, I find no attempt at an answer. We start from the premise that the same forces which have created modern bourgeois society – the steam engine, modern machinery, mass colonisation, railways and steamships, world trade – and which through the unending commercial crises are already now working towards its ruin (*Zerrütung*) and ultimate destruction – that these means of production and exchange will also be sufficient to reverse the relationship (*das Verhältniss umzukehren*) in a short while and to raise the productive power of every individual to such an extent that he will produce enough for the consumption of 2, 3, 4, 5, or 6 persons, that enough people will become superfluous to urban industry to devote far more manpower than before to agriculture, that science will at last be applied to agriculture on a large scale as well and as systematically as in industry, that those areas of South Eastern Europe and Western America, which have been inexhaustibly fertilised for us by nature itself will be exploited on a far mightier scale than before. Not until all these areas have been turned by the plough and there is then dearth, will it be time to say *caveant consules*.⁴¹

*Pis'ma, translated by Adoratsky. Izd-vo 'Moskovskii rabochii', p. 119*⁴²

Let us now turn to the problem of distribution in the future society. Here it is interesting to note that while we found almost no formulations concern-

40 [Engels 1959, p. 432.]

41 [Consuls (of the Roman Senate), be on guard!]

42 [Marx and Engels 1987, p. 137.]

ing the system of production in the foregoing excerpts from Marx and Engels that characterised the production relations of socialist society on the one hand and those of communist society on the other, they do give a much clearer distinction between socialism and communism with regard to the problem of distribution. When they discuss this problem, we find in both Marx (*Critique of the Gotha Programme*) and Engels (see below the letter to Conrad Schmidt on 5 August 1890) more precise formulations of the very idea of a transition period and also some thoughts concerning the evolution of the socialist mode of production itself. This can probably be explained in part by the fact that all conceptions of the future society that emerged in the circles of vulgar petty-bourgeois socialism put forth primarily the problem of distribution and thus forced Marx and Engels to give a more precise answer to precisely that question.

First of all, Marx and Engels had to be careful to pose the question of distribution in the future society properly, so that distribution would not be separated from a given society's production system but instead should be considered in close connection with the problem of production.

Considering this question in *Critique of the Gotha Programme*, Marx wrote:

Any distribution whatever of the means of consumption is only a consequence of the distribution of the conditions of production themselves. The latter distribution, however, is a feature of the given mode of production. The capitalist mode of production, for example, rests on the fact that the material conditions of production are in the hands of non-workers ..., while the masses are only owners of the personal condition of production, of labor power. If the elements of production are so distributed, then the present-day distribution of the means of consumption results automatically. If the material conditions of production are the cooperative property of the workers themselves, then there likewise results a distribution of the means of consumption different from the present one. Vulgar socialism (and from it in turn a section of the democrats) has taken over from the bourgeois economists the consideration and treatment of distribution as independent of the mode of production and hence the presentation of socialism as turning principally on distribution. After the real relation has long been made clear, why retrogress again?

Quoted from the above-mentioned edition by Gosizdat, p. 57⁴³

43 [See Marx and Engels 1962, Vol. 2, p. 25.]

Continuing with this thought, Marx adds in the same work:

The idea of socialist society as a realm of equality is a one-sided French idea deriving from the old 'liberty, equality, fraternity' – an idea which was justified as a *stage of development* in its own time and place but which, like all the one-sided ideas of earlier socialist schools, ought now be superseded, for they only produce confusion in people's heads and more precise modes of presentation of the matter have been found.

Ibid., p. 90⁴⁴

In a letter to Conrad Schmidt, Engels deals with the same question but from a different angle.

For him, distribution is without question determined by the system of production. But he also expresses another thought, namely, that even with a given system of production the ways of distribution can change depending upon the volume of products available for distribution. In other words, if production is organised on socialist principles, then in case of a shortage of one or another product, creating the need for regulation, the methods of distribution will be different from what would occur in the same society when abundant production makes such regulation redundant. Here is what Engels wrote:

There has also been a discussion in the *Volkstribüne* about the distribution of products in future society, whether this will take place according to the amount of work done or otherwise. The question has been approached very *materialistically*, in opposition to certain idealistic phraseology about justice. But strangely enough it has not struck anyone that, after all, the method of distribution essentially depends on *how much* there is to distribute, and that this must surely change with the progress of production and social organisation, so that the method of distribution may also change. But to everyone who took part in the discussion, *socialist society* appeared not as something undergoing continuous change and progress but as a stable affair fixed once for all, which must, therefore, have a method of distribution fixed once for all.

Pis'ma, translated by Adoratsky, pp. 274–5⁴⁵

44 [Preobrazhensky makes an error when giving the source. This comment actually came from Engels in a letter to August Bebel in March 1875. See Marx and Engels 1962, Vol. 2, p. 43.]

45 [Marx and Engels 1965, p. 415.]

When we return later to this and another profound idea from Engels concerning the evolution of socialist production and distribution, we shall find just how vividly these thoughts have been confirmed in our own experience of socialist construction. For now, let us consider how the founders of scientific communism conceived the system of distribution in the absence of typical capitalist features; that is, the conversion of surplus value into surplus product, and conversion of wage payments into the average provisions allotted to a worker in socialist society. Here is what Marx wrote on the topic:

If however wages are reduced to their general basis, i.e. that portion of the product of his labour which goes into the worker's own individual consumption; if this share is freed from its capitalist limit and expanded to the scale of consumption that is both permitted by the existing social productivity (i.e. the social productivity of his own labour as genuinely social labour) and required for the full development of individuality; if surplus labour and surplus product are also reduced, to the degree needed under the given conditions of production, on the one hand to form an insurance and reserve fund, on the other hand for the constant expansion of reproduction in the degree determined by social need; if, finally, both (1) the necessary labour and (2) the surplus labour are taken to include the amount of labour that those capable of work must always perform for those members of society not yet capable, or no longer capable of working – i.e. if both wages and surplus-value are stripped of their specifically capitalist character – then nothing of these forms remains, but simply those foundations of the forms that are common to all social modes of production.

Kapital, T. 1, Ch. 4, pp. 414–15⁴⁶

But Marx's most complete comments concerning distribution in the future society and the period of transition to communism come in the *Critique of the Gotha Programme*, and for that reason we shall provide the entire section of the text dealing with this question. The excerpt will be very long. But despite that fact, and despite the fact that this passage has often been cited in socialist and communist literature, a simple statement of Marx's views will not suffice here. I must make the general observation here that I consider it necessary, when presenting the views of Marx and Engels regarding socialism, to operate with actual quotations from their works. Only actual quotations, cited within a sys-

46 [There is an error in the text. The correct source is Marx 1981, pp. 1015–16.]

tem, can give us a correct idea of their views on this question. On the other hand, it is only with such textual exposition that we are in a position to assess, on the basis of our own experience of socialist construction, just how true their predictions have turned out to be. What is now occurring, in the full sense of the word, is an historical verification of their predictions. In this case, the greatest care is required to ensure that any exposition is neither subjective nor one-sided, and this means that we must refer to the actual words of the authors themselves. Let us turn, therefore, to Marx's text. Here is what he wrote in the work in question:

Within the cooperative society based on common ownership of the means of production, the producers do not exchange their products; just as little does the labour employed on the products appear here as the *value* of these products, as a material quality possessed by them, since now, in contrast to capitalist society, individual labour no longer exists in an indirect fashion but directly as a component part of the total labour. The phrase 'proceeds of labour', objectionable also today on account of its ambiguity, thus loses all meaning.

What we have to deal with here is a communist society, not as it has *developed* on its own foundations, but, on the contrary, just as it *emerges* from capitalist society; which is thus in every respect, economically, morally, and intellectually, still stamped with the birthmarks of the old society from whose womb it emerges. Accordingly, the individual producer receives back from society – after the deductions have been made – exactly what he gives to it. What he has given to it is his individual quantum of labour. For example, the social working day consists of the sum of the individual hours of work; the individual labour time of the individual producer is the part of the social working day contributed by him, his share in it. He receives a certificate from society that he has furnished such-and-such an amount of labour (after deducting his labour for the common funds); and with this certificate, he draws from the social stock of means of consumption as much as costs the same amount of labour. The same amount of labour which he has given to society in one form, he receives back in another.

Here, obviously, the same principle prevails as that which regulates the exchange of commodities, as far as this is exchange of equal values. Content and form are changed, because under the altered circumstances no one can give anything except his labour, and because, on the other hand, nothing can pass to the ownership of individuals except individual means of consumption. But as far as the distribution of the latter among

the individual producers is concerned, the same principle prevails as in the exchange of commodity-equivalents: a given amount of labour in one form is exchanged for an equal amount of labour in another form.

Hence, *equal right* here is still in principle – *bourgeois right*, although principle and practice are no longer at loggerheads, while the exchange of equivalents in commodity exchange only exists *on the average* and not in the individual case.

In spite of this advance, this *equal right* is still constantly stigmatised by a bourgeois limitation. The right of the producers is *proportional* to the labour they supply; the equality consists in the fact that measurement is made with an *equal standard*, labour.

But one man is superior to another physically or mentally and so supplies more labour in the same time, or can labour for a longer time; and labour, to serve as a measure, must be defined by its duration or intensity, otherwise it ceases to be a standard of measurement. This *equal right* is an unequal right for unequal labour. It recognises no class differences, because everyone is only a worker like everyone else; but it tacitly recognises unequal individual endowment, and thus productive capacity as natural privileges. *It is, therefore, a right of inequality, in its content, like every right.* Right, by its very nature, can consist only in the application of an equal standard; but unequal individuals (and they would not be different individuals if they were not unequal) are measurable only by an equal standard in so far as they are brought under an equal point of view, are taken from one *definite* side only, for instance, in the present case, are regarded *only as workers* and nothing more is seen in them, everything else being ignored. Further, one worker is married, another not; one has more children than another, and so on and so forth. Thus, with an equal performance of labour, and hence an equal share in the social consumption fund, one will in fact receive more than another, one will be richer than another, and so on. To avoid all these defects, right, instead of being equal, would have to be unequal.

But these defects are inevitable in the first phase of communist society as it is when it has just emerged after prolonged birth pangs from capitalist society. Right can never be higher than the economic structure of society and its cultural development conditioned thereby.

In a higher phase of communist society, after the enslaving subordination of the individual to the division of labour, and therewith also the antithesis between mental and physical labour, has vanished; after labour has become not only a means of life but life's prime want; after the productive forces have also increased with the all-around development of the indi-

vidual, and all the springs of cooperative wealth flow more abundantly – only then can the narrow horizon of bourgeois right be crossed in its entirety and society inscribe on its banners: From each according to his ability, to each according to his needs!

pp. 53–6⁴⁷

We shall have many more occasions to linger over these remarkable pages, which provide a statement of communist views that is brief but classical in its clarity regarding the future society and its stages. We shall also have to refer to this passage from Marx when analysing Lenin's views on socialism, particularly on the question of distribution, since Lenin translates these algebraic formulations from Marx into the language of arithmetic. We must also refer to them when considering the problem of eliminating the gap between science and physical labour, as well as other issues. But for now, we must note the following.

The idea that the principle of equality is simply a reaction against capitalist and feudal inequality, and that it is firmly grounded in class society, by no means appears in Marx's system of thought solely during the 1870s. Marx developed the same idea in his very earliest communist works, beginning with 'Saint Max', i.e., with his critique of 'Stimerian individualism'.⁴⁸ This demonstrates the whole depth of Marx's abstraction and shows how a deep and true understanding of the essence of class society, and of capitalist society in particular, already makes possible a correct grasp of the fundamental features of its antithesis – the communist system.

Secondly, it must be noted that in the excerpt quoted from Marx he speaks on the one hand of 'the first phase of communist society', and on the other hand of its 'higher phase'. He does not use the word socialism here as distinct from communism. But his meaning is perfectly clear: the 'first phase of communist society' is the period that Marx elsewhere calls 'the period of revolutionary transformation' of capitalist into communist society, when the state will be nothing other than the 'revolutionary dictatorship of the proletariat'.⁴⁹ The 'first phase', in other words, is socialism, a social system in which class division still remains – even though the exploiting classes have basically been removed – and in which, for that very reason, the state still exists and the distribution system is still stamped with the 'birthmark' of the capitalist system.

47 [Marx and Engels 1962, Vol. 2, pp. 22–4.]

48 [The reference is to the third chapter of *The German Ideology*, written by Marx and Engels in 1845–46.]

49 [Marx and Engels 1962, Vol. 2, pp. 32–3.]

In order to finish up with distribution and turn to the question of the division of labour, above all the problem of overcoming the separation of science from physical labour, we turn now to a part of *Anti-Dühring* that relates to the latter as well as to the question of distribution. Engels completes his chapter on simple and complex labour with these lines:

How then are we to solve the whole important question of the higher wages paid for compound labour? In a society of private producers, private individuals or their families pay the costs of training the qualified worker; hence the higher price paid for qualified labour-power accrues first of all to private individuals: the skilful slave is sold for a higher price, and the skilful wage-earner is paid higher wages. In a socialistically organized society, these costs are borne by society, and to it therefore belong the fruits, the greater values produced by compound labour. The worker himself has no claim to extra pay. And from this, incidentally, follows the moral that at times there is a drawback (*manchmal seinen Hacken hat*) to the popular demand of the workers for 'the full proceeds of labour'.

from the edition previously cited, pp. 213–14⁵⁰

This passage from Engels is extremely important in principle for a proper framing of the question of pay for skilled and unskilled workers in our state industry. Furthermore, it also relates to the issue of the pay going to red worker-engineers, despite all the unique conditions in which the first stages of socialist construction occur in a peasant country. But we shall deal with all of this at a later time.

The question of eliminating the gap between science and physical labour, which is so characteristic of all exploitive social systems and is but one of the types of domination of man by man, is one that all the utopians pondered. But they could not break away from the ideas imposed upon them by capitalist relations. With Cabet, for example, the profession of scientist exists in society alongside such professions as tailor, printer, farmer etc. With Fourier, 'talent' has the right to special compensation, and so on. The separation of mental labour is still regarded as one of the expressions of a necessary division of labour within society – not as a monopoly of education, of science and of technical leadership of the production process in the hands of the dominant classes, which represents just another side of the monopoly of property in the instruments of production. Rousseau's luxurious blossoming of the sci-

50 [Engels 1959, pp. 278–9.]

ences and arts is still overshadowed by the brutal features of the exploiting class, which are exercised here in the most sophisticated form of domination over the toiling masses – who also have their own monopoly, but it is merely a monopoly on physical labour and subordination to educated exploiters. With Marx and Engels, on the contrary, we find this question posed in a thoroughly considered way, from a communist point of view and with perfectly accurate formulations of the problem itself.

We have already read Marx's comment on both the 'servile hierarchy of individuals under the division of labour'⁵¹ and the 'contradiction between mental and physical labour' that is connected with it. Engels dealt with this point more exhaustively in *Anti-Dühring*. In the chapter of his book entitled 'Theoretical', Engels points to the connection between the division of labour and the class division of society. He points out that the division of labour and division into classes had their historical justification, which was connected with insufficient development of the productive forces, but they must also disappear at a higher stage of this development (pp. 303–4).⁵² We shall not deal here with the question of how to interpret these parts of *Anti-Dühring* in the spirit of all the other works by Marx and Engels. Let us simply note that here Engels is speaking, of course, not of elimination of the division of labour in *the process of production*, but rather of eliminating the fixed, ossified division of people according to occupation in society, as well as the division of labour associated with the division into classes. Development of the productive forces eliminates the old division of labour in the sense that, on the one hand it makes possible and facilitates movement from one profession to another thanks to a new system of education – of which we shall say more later – while on the other hand, by freeing a large part of the worker's day from work, it makes it possible for him to master science. When the surplus product of society was small and the worker's entire day was taken up by physical labour, this surplus product could only support education for small groups of the exploiting classes. Socialist society, on the contrary, and even more communist society, which makes complete material provision for *all* workers, also provides them *all* with more leisure time and thereby assures access for them *all*, in terms of science and the arts, to what

51 [No source is given for this quotation, and Preobrazhensky did not, in fact, use it earlier. In this same document he also refers twice to a hierarchy of 'invalids' rather than individuals, but in those cases, too, he provides no source. He is apparently referring to 'invalids' and the one-sidedness of labour in capitalist society compared to the universal development of skills in communist society.]

52 [See Engels 1959, pp. 390–1. Engels discusses the issue more extensively in the chapter headed 'Production', particularly on pp. 406–14.]

was previously a closed monopoly of the exploiting minority. Now this monopoly – that is, in the new society – not only ceases to be inevitable and necessary but, on the contrary, also becomes an obstacle to more rapid development of technology, science, the productive forces and the producers themselves. The new society, wrote Engels, will presuppose ‘the development of production carried out to a degree at which appropriation of the means of production and of the products, and, with this, of political domination, of the monopoly of culture, and of intellectual leadership by a particular class of society, has become not only superfluous but economically, politically, intellectually a hindrance to their development’ (Ibid., p. 304).⁵³

Also in *Anti-Dühring*, and addressing the same theme, Engels added the following:

Its place must be taken by an organization of production in which, on the one hand, no individual can throw on the shoulders of others his share in productive labour, this natural condition of human existence; and in which, on the other hand, productive labour, instead of being a means of subjugating men, will become a means of their emancipation, by offering each individual the opportunity to develop all his faculties, physical and mental, in all directions and exercise them to the full – in which, therefore, productive labour will become a pleasure instead of being a burden.

Ibid., p. 317⁵⁴

On the same theme, Engels also wrote this in *Anti-Dühring*:

For socialism, which wants to emancipate human labour-power from its status of a *commodity*, the realization that labour has no value and can have none is of great importance. With this realisation all attempts – inherited by Herr Dühring from primitive workers’ socialism – to regulate the future distribution of the necessities of life as a kind of higher wages fall to the ground. And from it comes the further realization that distribution, in so far as it is governed by purely economic considerations, will be regulated by the interests of production, and that production is most encouraged by a mode of distribution which allows *all* members of

53 [Engels 1959, p. 391.] Preobrazhensky adds in a note: ‘This also refers to elimination of inequality between the sexes. In *Anti-Dühring* Engels reminds us of Fourier’s profound idea that the degree of emancipation achieved by women in one or another social system serves as the measure of general emancipation’. See Engels 1959, p. 359.

54 [Engels 1959, p. 408.]

society to develop, maintain and exercise their capacities with maximum universality. It is true that, to the mode of thought of the educated classes which Herr Dühring has inherited, it must seem monstrous that in time to come there will no longer be any professional porters or architects, and that the man who for half an hour gives instructions as an architect will also act as a porter for a period, until his activity as an architect is once again required. A fine sort of socialism that would be – perpetuating professional porters!

Anti-Dühring, pp. 212–13⁵⁵

In terms of the point that we are considering, this remarkable passage – in which the conception of future society is connected with the basic idea of Marx's theory of capitalism, that is, with the idea of eliminating the law of value along with the end of capitalism – is a vivid, precise and principled formulation of the views of scientific communism on the question of eliminating the contradictions between science and labour together with the 'servile hierarchy of invalids under the division of labour'.⁵⁶ But in this case Engels is characterising the conditions of communist society. Another question is of enormous current interest for us; that is, the question of the transitional paths of development that a socialist society must follow in order to reach this final point. We are particularly interested in the question of why, in our eighth year of proletarian dictatorship, we have made so little progress in resolving this problem. There is a famous answer in another work by Engels, dealing with the same issue but from a different perspective. Considering the question of class divisions with reference to the social division of labour and the magnitude of surplus value, Engels says:

We may add at this point that all historical antagonisms between exploiting and exploited, ruling and oppressed classes to this very day find their explanation in this same relatively undeveloped human labour. So long as the really working population were so much occupied with their necessary labour that they had no time left for looking after the common affairs of society – the direction of labour, affairs of state, legal matters, art, science, etc. – so long was it necessary that there should constantly exist a special class, freed from actual labour, to manage these affairs; and this class never failed, for its own advantage, to impose a greater and greater

55 [Engels 1959, pp. 277–8.]

56 [See note 51 above.]

burden of labour on the working masses. Only the immense increase of the productive forces attained by modern industry has made it possible to distribute labour among all members of society without exception, and thereby to limit the labour-time of each individual member to such an extent that all have enough free time left to take part in the general – both theoretical and practical – affairs of society. It is only now, therefore, that every ruling and exploiting class has become superfluous and indeed a hindrance to social development, and it is only now, too, that it will be inexorably abolished, however much it may be in possession of ‘direct force’.

Anti-Dühring, pp. 130–1⁵⁷

This excerpt from Engels provides us with the fundamental and principle key for answering the question that we have posed. If we in the USSR have a dictatorship of the proletariat, and in juridical terms ‘every cook can run the state’, what this means is that the proletariat must in fact divide itself as a class in terms of professions and commit to the profession of management and leadership those who are best suited, the most developed and most cultured vanguard, while also making use of the old intelligentsia. Material need and the relatively long eight-hour working day – which are connected with the low level of labour productivity and culture inherited from the old order – make it impossible to move ahead quickly in liquidating the naturally formed and at this stage objectively inevitable ‘hierarchy of invalids’.⁵⁸ In such circumstances the worker-intelligentsia who come from the proletariat and are receiving higher schooling, together with the old management cadres – in the absence of any formal monopoly on management and leadership – must inevitably be distinguished, on the basis of the division of labour, from workers at the bench and those relocating back to the bench, and naming new groups of workers to the group of leading cadres will for a long time remain a weak palliative. Only the rapid growth of industry and industrial labour productivity can accelerate progress in converting production workers into actual leaders of the state and industry. But this is an issue to which we shall return in our chapter on the accumulation of socialist culture and work habits.⁵⁹

We shall not deal here with certain other passages in which Marx and Engels address this theme. The idea is clear. The future society, abolishing the entire system of exploitation, will also abolish the contradiction between physical

57 [Engels 1959, pp. 252–3.]

58 [See note 51 above.]

59 [See ‘On Morals and Class Norms’ in Volume III of *The Preobrazhensky Papers*.]

labour and science and thereby also eliminate any special caste or guild of scientific workers. Each must be involved in physical work and, according to abilities and aptitudes, in science. And every member of society, even the most gifted, must understand that while one may or may not be a scientist, everyone is obliged to be a physical worker.

Directly connected with this problem are Marx's views on the working education of children and the combination of physical labour with instruction in the sciences. Marx developed these views both in *Capital* and in the programme of the First International. Since this aspect of Marx's thought has been the subject of considerable propaganda in the USSR and is sufficiently well known even beyond pedagogical circles, I shall not dwell upon it here. The essence of Marx's view of education, as it relates to the problem of eliminating the contradiction between physical and mental labour, is that *the participation of children in productive labour, while also studying science, is simply the other side of scientifically educating all workers doing productive labour.*

All the utopians, as we have seen, paid a great deal of attention to the contradiction between the city and the countryside. But their main service was in raising this question and clarifying the causes and negative consequences of the separation, not in finding ways to overcome it. Marx and Engels also paid much attention to this question. Completing his chapter on machinery and large-scale industry in Volume I of *Capital*, Marx pointed to the progressive side of this process on the one hand, as it was accumulating in the growing cities 'the historical motive power of society', while on the other hand he emphasised its negative sides, including the fact that development of the city at the expense of the countryside 'disturbs the metabolic interaction between man and the earth' and degrades the rural population.⁶⁰ In *Capital* Marx also gave a vivid picture of the stupefying effects of the urban proletarian's work when separated from agriculture.

There are also several places in *Anti-Dühring* where Engels likewise touches upon this question. He says that 'The first great division of labour, the separation of town and country, condemned the rural population to thousands of years of mental torpidity, and the people of the towns each to subjection to his own individual trade. It destroyed the basis of the intellectual development of the former and the physical development of the latter' (p. 314).⁶¹

After describing the consequences of the concentration of industry in the cities, Engels writes:

60 [Marx 1976, p. 637.]

61 [Engels 1959, p. 405.]

... only the abolition of the capitalist character of modern industry can bring us out of this new vicious circle, can resolve this contradiction in modern industry, which is constantly reproducing itself. Only a society which makes it possible for its productive forces to dovetail harmoniously into each other on the basis of one single vast plan can allow industry to be distributed over the whole country in the way best adapted to its own development, and to the maintenance and development of the other elements of production Accordingly, abolition of the antithesis between town and country is not merely possible. It has become a direct necessity of industrial production itself The abolition of the separation of town and country is therefore not utopian, also, in so far as it is conditioned on the most equal distribution possible of modern industry over the whole country. It is true that in the huge towns civilization has bequeathed to us a heritage which it will take much time and trouble to get rid of. But it must and will be got rid of, however protracted a process it may be.

Ibid., pp. 319–20⁶²

All of these positions taken by Engels are beyond question for modern communism and are specifically included in the programme of the RKP. Among other proofs of the possibility of dispersing large-scale industry throughout the country, he notes the fact that ‘Capitalist industry has already made itself relatively independent of local limitations arising from the location of sources of the raw materials it needs’ (p. 320),⁶³ and he adds the example of the textile industry, parts of the metallurgical industry that depend on imported ore, etc. In this regard, it seems to me that the first task of a scientific, socialist-planned organisation of production will involve the movement of industry to the sources of material wherever possible. The problem of equally dispersing industry throughout the country has to be subordinated to this task and will not be applicable in all branches. Engels tended to assess this question from an English or European point of view. Certainly, if textile materials are imported into England from a location 3,000 versts⁶⁴ away, then the question of whether the textile factory is 50 versts nearer or further from the source of materials – *other conditions being equal* – has no essential economic significance. But the organisation of a planned, world-socialist economy will eliminate any need to regard *concentration of industry in the former capitalist countries as an immutable and irreversible fact*. A world economy faces a different question. In this case, the

62 [Engels 1959, pp. 411–12.]

63 [Engels 1959, p. 411.]

64 [One verst = 1.0668 kilometres.]

issue is not the distribution of large-scale industry within highly industrialised countries, but the dispersal of highly developed industrial concentrations throughout the entire world. If it is not necessary for a future society to inhabit the cities that capitalism configured in compliance with the laws of its own existence and development, it will be just as unnecessary to maintain the existing distribution of industry between countries, which the industrialisation of colonies during the World War has shown also to be subject to evolution. We shall return to this question in our chapter dealing with the economics of our own industry, not in general terms but in connection with the question of the most effective distribution of state industry within the territory of the USSR.

Now let us turn to the question of agricultural organisation in a socialist society and the relation between socialist economy and small-scale peasant production.

Marx frequently emphasised that capitalism wages a predatory policy in relation to the land. He declared that 'all progress in capitalist agriculture is a progress in the art, not only of robbing the worker, but of robbing the soil; all progress in increasing the fertility of the soil for a given time is a progress towards ruining the more long-lasting sources of that fertility' (*Capital*, Vol 1, p. 507).⁶⁵ In Volume 3 of *Capital* he wrote:

Quite conservative agricultural chemists, such as Johnston, for example, admit that private property places insuperable barriers on all sides to a genuinely rational agriculture But the way that the cultivation of particular crops depends on fluctuations in market prices and the constant changes in cultivation with these price fluctuations – the entire spirit of capitalist production, which is oriented towards the most immediate monetary profit – stands in contradiction to agriculture, which has to concern itself with the whole gamut of permanent conditions of life required by the chain of human generations.

Capital, Vol. 3, part 2, pp. 157–8n⁶⁶

But social control over the production of materials and food products is impossible for capitalism:

All ideas of a common, all-embracing and far-sighted control over the production of raw materials – a control that is in fact incompatible, by and

65 [Marx 1976, p. 638.]

66 [Marx 1981, p. 754.]

large, with the laws of capitalist production, and hence remains forever a pious wish, or is at most confined to exceptional common steps in moments of great and pressing danger and perplexity – all such ideas give way to the belief that supply and demand will mutually regulate one another.

Capital, Vol. 3, Pt. 1, pp. 96–7⁶⁷

For this and other reasons, Marx concludes that rationalisation of agriculture, using all available knowledge of science and technology, is impossible under capitalism.

The moral of the tale, which can also be extracted from other discussions of agriculture, is that the capitalist system runs counter to a rational agriculture, or that a rational agriculture is incompatible with the capitalist system (even if the latter promotes technical development in agriculture) and needs either small farmers working for themselves or the control of the associated producers.

Capital, Vol. 3, Pt. 1, p. 98⁶⁸

The Narodniks⁶⁹ and opportunists of all countries have frequently quoted this remarkable passage in *Capital* to prove that Marx considered a complete triumph of large-scale over small-scale production to be impossible in agriculture, and that he acknowledged both the possibility and the usefulness of the existence of small-peasant farming. In reality, it is obvious to anyone who is the least bit familiar with the basic direction of Marx's ideas that this comment from Marx is an argument *not for small-scale peasant farming but rather against capitalism*. To the argument against capitalism he adds the further argument against capitalism in agriculture and consequently the argument for socialist organisation of the latter.

As for the relation between socialist production and small-peasant farming after the proletarian revolution, Engels wrote in his essay on 'The Peasant Question in France and Germany':

What, then, is our attitude towards the small peasantry? How shall we have to deal with it on the day of our accession to power?

67 [Marx 1981, p. 215.]

68 [Marx 1981, p. 216.]

69 [Russian agrarian populists.]

To begin with, the French programme is absolutely correct in stating that we foresee the inevitable doom of the small peasant but that it is not our mission to hasten it by any interference on our part.

Secondly, it is just as evident that when we are in possession of state power, we shall not even think of forcibly expropriating the small peasants (whether with or without compensation), as we shall have to do in the case of the big landowners. Our task relative to the small peasant consists, in the first place, in effecting a transition of his private enterprise and private possession to cooperative ones, not forcibly but by dint of example and the proffer of social assistance for this purpose. And then of course we shall have ample means of showing to the small peasant prospective advantages that must be obvious to him even today.

ENGELS, *The Peasant Question*, ed. Plekhanov, St. Petersburg, Gosizdat, p. 37⁷⁰

And further, after pointing to the inevitable doom of independent peasant farming under capitalism, Engels writes:

That is how the matter stands. Now, we come along and offer the peasants the opportunity of introducing large-scale production themselves, not for [the] account of the capitalists but for their own, common account. Should it really be impossible to make the peasants understand that this is in their own interest, that it is the sole means of their salvation?

Ibid., p. 38⁷¹

Engels wrote these lines, in the first place, before the proletarian revolution began, and secondly, by starting primarily from the position of the proletariat in the industrial countries. He could have no knowledge of the mass of *additional* problems that arise when the peasant question is to be resolved by a proletariat that is realising its dictatorship and undertaking socialist construction in a *peasant* country rather than an industrial one. Nevertheless, the general principle of Engels's formulation has been fully confirmed in the experience of our revolution and, as we shall see later, Lenin often referred to Engels's view as justification for the policy of the RKP towards the countryside.

Our exposition of the views of Marx and Engels concerning the future society has become quite lengthy. We can finish with it for now, but later we shall return to certain parts of their writings. Here we have familiarised ourselves

70 [Marx and Engels 1962, Vol. 2, p. 433.]

71 [Marx and Engels 1962, Vol. 2, p. 435.]

with the communist ideas of Blanqui concerning socialism and also with the views of revolutionary Marxism. Later, we shall trace the development of these views among the communists of another epoch, i.e., among the Bolsheviks, during both War Communism and the period of NEP.

But before we do that, and in keeping with our chronological method of exposition, we must examine the views of socialism held by the Second International, by the various branches of syndicalism, and by the German literature on socialism.

French Syndicalism

In a study of socialist conceptions of socialism, we cannot omit the views of French syndicalism on this question or its English branch, guild socialism. Our investigation must consider not only the concrete ideas of syndicalists regarding future society on the day after the social revolution, but also their views of the path leading beyond capitalist society, i.e., we must consider the syndicalist theory of revolution. From this viewpoint, our examination of syndicalism must touch upon problems that are directly related to our theme and also certain political problems. In addition, we must note that, in appraising the views of French syndicalism concerning future society, we must not only deal with all that was written on this theme by syndicalist theorists *before the World War*, but also say something about the relation of certain syndicalists to the Russian Revolution and the Soviet system. This is interesting because Russian readers, for instance, know very little of the attitudes of syndicalists such as Sorel, Berth and others to the Russian Revolution, and also because the relation of syndicalism to the World War and the Russian Revolution plays an enormous part in any historical-sociological analysis of this tendency in the workers' movement.

As in our previous historical essays, we shall deal only with the core elements of socialist ideology and examine only the most prominent representatives of Franco-Italian and English syndicalism.

To begin with, in certain respects French syndicalism was a reaction to the defeat of the French Commune because it meant turning away from the struggle for the dictatorship of the proletariat. From another point of view, French syndicalism was a reaction against reformism and opportunism in the workers' movement of the West, a reaction that today, following the collapse of the Second International, deserves a new analysis and a partial reappraisal.

It is interesting to note that the first workers' congress in France, which met in Paris on 2 October 1876, adopted the following resolution among others:

We wanted the Congress to consist exclusively of workers, and everyone understood our reasons. We must not forget that *all the systems, all the utopias addressed to the workers, never originated with them; they all emanated from the bourgeoisie, no doubt with good intentions, but they looked for remedies to our ills in ideas and meditations instead of considering our*

*needs and the real state of affairs. If we had not decided, as an indispensable measure, that one must be a worker in order to speak and vote at the Congress, we would have seen a repetition of what happened in another epoch, namely, bourgeois system builders who simply thwarted our debates and imposed upon them a character that we have always rejected.*¹

The fact that syndicalism was a response to the defeat of the French Commune is evident not in its turn away from reformist intellectuals and the offspring of bourgeois circles, but rather in its exclusion of revolutionary elements of the labour movement who had attempted to seize power. Syndicalism responded negatively both to reformism and to Blanquism, whose kinship with Bolshevism we have already discussed in a previous chapter.

As far as the syndicalist reaction against reformism is concerned, it became all the more vivid and distinct as the socialist parties of the Second International became more opportunistic and as renegades from socialism, such as Millerand, Viviani, Briand and others, ascended to ministerial portfolios.

The basic elements of the theory of French syndicalism involved the following positions:

- 1) The future society, created as a result of the elimination of capitalism and based upon self-governing syndicates, will allow for much greater development of the productive forces than under capitalism.
- 2) The working class can only move beyond capitalism through the bitterest class struggle. This struggle must be waged not on the basis of the present political system, not within it, not by using its institutions (parliamentarism, for example) but outside of it. The modern bourgeois state must be destroyed, not reformed.
- 3) In the current conditions of revolutionary struggle, the method of barricades would be condemned to bloody failure. The only method of specifically proletarian struggle is the general strike, which allows the working class to realise its total strength as the producing class.
- 4) The current parliamentary socialism is not an instrument for proletarian struggle for a new social system; it is merely a struggle for power between one section of bourgeois society and another section. The working class must stand aside from this struggle.
- 5) Revolutionary syndicalism, coming out in opposition to the bourgeois state and aiming to destroy it, thereby adopts the path of anti-militarism and anti-patriotism.

¹ Pelloutier 1921, p. 77.

- 6) In the area of theory, revolutionary syndicalism proclaims itself to be a school of neo-Marxism to use Sorel's expression, or of *Marxist syndicalism* in the words of the Italian syndicalist Olivetti. It endeavours to take 'all that is revolutionary in Marx', after freeing his teaching from the opportunistic distortions of parliamentary socialism. On the other hand, it 'supplements and corrects' Marx by reconciling him with Proudhon and beginning with the experience of the revolutionary syndicalist movement.
- 7) Syndicalism conceives the structure of the future society in the form of voluntary cooperation by unions, each of which takes charge of production in its own branch. Coercive capitalist discipline is replaced by workers' self-management in the factories.
- 8) Almost all of the syndicalists (apart from the Italian Leone) deny the need for any transition period from capitalism to socialism or for any sort of transitional workers' state.

Let us now consider each of these positions in more detail.

1 **Against the State**

First of all, we must note that during the pre-war activities of the Second International it was precisely the syndicalists who defended the Marxist theory of the state concerning the inevitable destruction of the capitalist state as a result of socialist revolution. The syndicalists incorrectly adopted Marx's *general theory* of the state, but with respect to the *bourgeois* state their position at the time was much closer to revolutionary Marxism than that of the vast majority of 'orthodox' Social Democrats from the Second International. We can persuade ourselves of this fact with two or three quotations. Here, for instance, is what Sorel,² the principal theorist of French syndicalism, writes about the state in his *Reflections on Violence*:

Syndicalists do not propose to reform the State, as the men of the eighteenth century did; they want to destroy it, because they wish to realise this idea of Marx's that the Socialist revolution ought not to culminate in the replacement of one governing authority by another minority. The syndicalists outline their doctrine still more clearly when they give it a

2 [Georges Sorel (1847–1922) is best known for his writings on revolutionary violence and the 'myth' of the general strike, which made him the most prominent theorist of anarcho-syndicalism.]

more ideological aspect, and declare themselves antipatriotic – following the example of the Communist Manifesto.³

Édouard Berth, another prominent French syndicalist and student of Sorel, writes on the same theme:

... [R]epudiation of the army and the fatherland by revolutionary syndicalism marks the definitive rupture between the working class and the state: the Guesdist⁴ idea of conquering the state with the goal of destroying capitalism is a monstrous illusion; and the question is no longer one of using the state against the class of capitalists but rather, with a single blow, to overthrow both the state and capitalism, the state being nothing but an extension of the employers, which is itself more tyrannical than the private employers because it refuses its employees' right to strike and transforms the public services into veritable public servitude in which a man is nothing more than a slave.⁵

Pouget speaks of a 'reduction of the state to zero'.⁶

Certainly, not all syndicalists deny the state with the same motives as revolutionary Marxism. Coming from an anarchist milieu, the syndicalists have a completely different motive on this point. Take Pelloutier, for example. In his *Histoire des Bourses du Travail* he writes the following on this issue:

... [P]eople who believe in the providential state, and for whom 'scientific' collectivism means the employer-state, must feel some antipathy towards free associations of men, in which those being administered have too much to say for the tranquillity of the administrators.⁷

This motivation for the necessary destruction of the state has an anarchistic and individualistic character that has nothing to do with Marxism. But it must be said that anarchists of Pelloutier's type were a minority among syndicalist theorists, the majority of whom, to one degree or another, have been infected with Marxism.

3 Sorel 1950, p. 116.

4 [Jules Guesde (1845–1922) was one of the founders of the French Workers' Party.]

5 Berth 1925, p. 65.

6 Pouget 1910, p. 45. [Pouget (1860–1931) was vice-secretary of the CGT from 1901–08.]

7 Pelloutier 1921, p. 261. [Pelloutier (1867–1891) led the *Bourses du Travail* from 1895–1901.]

2 Against Parliamentarism

These general views of syndicalists concerning the state are directly connected with their positions on the question of parliamentary struggle and seizure of power by the proletariat.

The syndicalists eloquently argued that parliamentary socialists had nothing in common with workers' revolution or with proletarian socialism, and that their struggle merely involved a clash of one section of the bourgeoisie with another.

Sorel says 'all the parliamentary deputies agree that there is very little difference between a middle-class representative and a representative of the proletariat'.⁸

The same thought is even more dramatically expressed by Lagardelle in his article 'Mannheim, Rome, Amiens', where he said that 'A socialism led by the compromises of a Jaurès or the revolutionary phrases of a Guesde does not break with the capitalist world but simply adheres to it'.⁹

Contrasting the parliamentary struggle of socialist parties with the proletarian character of the syndicalist movement, Lagardelle wrote:

The rupture between bourgeois society and the workers' movement really takes place only on the basis of production. It is precisely in his role as producer that the industrial worker is outraged by the capitalist system of production and the social order that it generates; likewise, as a producer, he creates new institutions, overthrowing the systems of morality and law.¹⁰

Comparing the 'worker from the bench' with a petty-bourgeois intellectual from another class, Lagardelle adds:

The socialism of class struggle strives for *a rupture between the world of capital and the world of labour*. The basic question, therefore, is to determine *the basis on which this rupture occurs*. Syndicalism replies that

⁸ Sorel 1950, p. 55.

⁹ See Lagardelle 1906, pp. 5–25 and 250–65. Since the original publication could not be located, this quotation and the two that follow from Lagardelle have been translated from Preobrazhensky's Russian-language text. [Hubert Lagardelle (1874–1958), initially a revolutionary syndicalist, ultimately became Minister of Labour in the Vichy regime.]

¹⁰ Lagardelle 1906.

it occurs exclusively on an economic basis. In the shop, in the syndicate and in the strike, syndicalism rises up against the employers and their supporter – the state. In this rebellion it works out a new labour law, which is the antithesis of capitalist law, and it destroys the hierarchical division between masters and slaves. There is no other basis for this rupture. Elsewhere, there is a coalescence of the worker with the bourgeoisie or the petty-bourgeois in political committees and in philosophical, literary, and artistic societies; he is part of the *common life* of modern society and thereby merges with it.¹¹

The syndicalists oppose not only parliamentary struggle but political struggle in general; they oppose creating a political party of the proletariat because, in their opinion, political parties unite people on the basis of convictions rather than class and thus involve people from different classes. As production organisations, the syndicates are the sole class organisations of the proletariat. The syndicates oppose both political struggle and parliamentary struggle in particular, but they also oppose any struggle for proletarian seizure of power.

From that point of view, the following excerpt from Sorel is interesting:

All men of my age were very impressed by the calamities caused in 1871 by the indiscretion of the revolutionaries who seized governmental power in Paris when Thiers abandoned it. Yet the leaders of the Commune were far superior to the terrorists of 1793.¹²

Sorel adds that if people of Millerand's type took power, the consequences would be catastrophic. Sorel cannot conceive of any 'seizure of power' other than its transfer to the Millerands.¹³ Yet he and the other syndicalists also have a totally negative attitude towards Blanquism. He said that 'nothing great can come from a workers' movement led by politicians'.¹⁴

In his letter to the anarchists in 1899, Pelloutier wrote even more forcefully on this theme:

¹¹ Ibid.

¹² Sorel 1919, pp. 248–9.

¹³ [Alexandre Millerand (1859–1943) was nominally a socialist until 1920, when he became Prime Minister of France in 1920 and subsequently President until 1924. Millerand's socialist credentials were severely compromised when he served from 1899–1902 in the cabinet of Waldeck-Rousseau, alongside General de Galliffet, who had repressed the Paris Commune.]

¹⁴ Sorel 1919, p. 277.

We are forever revolutionaries, people really without a god, without a master, without a homeland, irreconcilable enemies of all despotism, moral or material, individual or collective, that is to say, of all laws and dictatorship (including that of the proletariat) and passionate lovers of the culture of oneself.¹⁵

I have not included these quotations from individual syndicalist authors in order to comment upon them. The validity of the syndicalist critique of opportunistic parliamentarism and opportunistic socialism in general has been confirmed by the shameful history of the Second International.¹⁶

The errors of the syndicalist positions on the question of political struggle in general, and on the dictatorship of the proletariat in particular, have been refuted by the experience of the Russian Revolution.

I have considered this element of syndicalist thinking only because it is closely associated with their general theory of revolution, i.e., with the theory of going beyond capitalist society. And this latter theory is inseparably connected with their views concerning socialist society on the day after the revolution.

3 The Way beyond Capitalism. The General Strike

The proposal for a general strike was first put forth by Pelloutier and was accepted at the Tours congress of the Federation of Worker Socialists of the West (the followers of Brousse).¹⁷ Although rejected by socialist congresses, the idea of the general strike was supported by syndicalist congresses, including the famous congress at Amiens.¹⁸ We can see, therefore, that while all the fundamental arguments against socialists participating in parliament, which became a dogma of French socialism, were put forth as early as 1878 by the mech-

15 Pelloutier 1921, p. 60.

16 It must be said that the syndicalists, starting from their position on the question of the state and displaying a true class instinct, were decisive opponents of bourgeois democracy and exposed its real class meaning; in this connection see Sorel 1919.

17 [Paul Brousse (1844–1912) was originally an anarchist. From 1880 onwards he became increasingly reformist, repudiated anarchism and in 1902 joined the French Socialist Party of Jean Jaurès.]

18 [The Charter of Amiens, in 1906, declared that emancipation of the workers can only be 'realised by the expropriation of the capitalists through the General Strike. The trade union, which today is a defensive institution, will be, in the future, the basis of production, distribution, and the re-organisation of society'. Quoted in Schecter 1994, pp. 27–8.]

anic Ballivet¹⁹ at the workers' congress in Lyons, and while syndicalist anti-parliamentarism was therefore unquestionably of worker origin, the idea of the general strike came from the intellectual Pelloutier. This does not mean, of course, that the idea only originated within the intelligentsia. It was intimately connected with a repudiation of parliamentary and political struggle in general, which occurred due to the French labour movement's reaction after the bloody failure of the Commune. A general strike is the way to avoid any political struggle with the bourgeois state and capitalism, and to replace armed uprising with the much easier and less risky tactic of folding one's arms. From this viewpoint the general strike, which the syndicalists outwardly defend with thoroughly revolutionary phraseology, was certainly a step backwards by comparison both with revolutionary Marxism and even with French Blanquism and the practice of the Commune.

But let us look at how the syndicalists themselves are motivated to defend what they take to be the only true instrument of struggle for socialism.

First we hear from Sorel, who provided the most comprehensive justification for Pelloutier's idea.

The social revolution is an extension of that war in which each great strike is an episode; this is why Syndicalists speak of this revolution in the language of strikes; for them socialism is reduced to the conception, the expectation of and the preparation for the general strike, which, like the Napoleonic battle, is to annihilate completely a condemned *regime*.²⁰

Sorel adds in another work, 'The Socialist Future of the Syndicates', that the general strike

expresses with infinite clarity the fact that *the time of political revolutions has come to an end* and that the proletariat must therefore refuse to allow any new hierarchies to emerge The partisans of the general strike intend to make disappear everything that preoccupied the old liberals, the eloquent tribunes, the management of public opinion, the combinations of political parties. This will be a world *overturned*, but has not socialism affirmed that it intends to create a totally *new* society? Yet not a single socialist writer, being too much nourished by bourgeois tradi-

19 [As a delegate representing the French mechanics' union, Ballivet denounced bourgeois democracy and called for collectivisation of the land and the instruments of labour.]

20 Sorel 1950, p. 274.

tions, is able to understand such *anarchist folly*; he asks himself what might follow the general strike? The only possibility is a society organised according to the plan of production itself, that is, the true socialist society.²¹

We ask the reader to make note of the final part of this quotation – which we shall have to recall a little later on – in which Sorel speaks of the immediacy of a transition from capitalist society to completed socialism. But, for now let us deal with other formulations of the idea of the general strike.

In the resolution of the Tours congress, which we mentioned previously, we read the following:

... [A]mong the peaceful and legal means ... there is one that must hasten the economic transformation and assure, with no reaction possible, the success of the fourth estate; ... this method is the universal and simultaneous suspension of production, that is to say, the general strike, which, even if it involves a relatively short period, will infallibly lead the workers' party to triumphant realisation of the demands formulated in its programme.²²

From this justification of the general strike, we can see the perfectly obvious fundamental motives that are at the basis of this suggested method of struggle. The fundamental motive, which is not at all concealed in this resolution, mentions achieving the revolution's success by using a fully 'legal' means – the general strike. This resolution breathes the same reaction to the Communards' defeat that we could see in the previous quotation from Sorel regarding the question of political struggle and the conquest of power.

Sorel distinguishes a general strike, which strengthens some politicians against others, from a general strike whose goal is victory over the whole of bourgeois society. In the first category, he includes the Belgian strike in defence of universal suffrage. He opposes such a centralised syndicalist movement that helps parliamentary socialists to use the force of the organised workers for their own political objectives while 'the people always remain a peaceful animal wearing the yoke of a beast of burden'.

The syndicalists have always objected to creation of a political party of the proletariat that would exist apart from the unions. But this does not mean that

21 Sorel 1919, pp. 59–60.

22 Pelloutier 1921, p. 117.

they regarded the struggle for socialism, and particularly the period of a direct battle against capitalism, as simply a fight by the mass of the workers without the emergence of more advanced elements from the proletariat. In his book *Reflections on Violence*, Sorel speaks of a few select elements from the working class who lead the struggle when the whole mass has not yet risen. He writes that 'they are the ones who train proletarian thought by creating the ideological unity which the proletariat requires in order to accomplish its revolutionary work'.²³ In 'Anarchism and Capitalism' Berth writes on this same theme that 'Revolutionary syndicalism presupposes, of course, as a psychological condition, the necessary and preliminary formation of a worker elite (*élite ouvrière*) inspired with the same enthusiasm as prevailed in the armies of the Republic'.²⁴ Sorel sees class struggle serving to generate these select worker cadres, who are reminiscent of artists in the Middle Ages, cathedral designers, or the soldiers of 1792.

Here we see a syndicalist germ of the idea of a political party, uniting the vanguard of the proletariat. Having expelled the party through one window, the syndicalists are compelled to admit it through another. But this minor amendment concerning a party does not save their general strike from its fundamental defect – its boundless utopianism in terms of the final results expected.

But before developing further these syndicalist utopias regarding their ideas of socialism, here we want to mention one part of Sorel's writing that deals with the general strike on the one hand and, on the other hand, touches upon one extremely important problem of socialist theory that we shall have to address later.

In his *Reflections on Violence* Sorel writes:

... [T]he general strike is indeed what I have said: the *myth* in which socialism is wholly comprised, i.e., a body of images capable of evoking instinctively all the sentiments which correspond to the different manifestations of the war undertaken by socialism against modern society. Strikes have engendered in the proletariat the noblest, deepest and most moving sentiments that they possess; the general strike groups them all in a co-ordinated picture, and, by bringing them together, gives to each one of them its maximum of intensity²⁵

23 Sorel 1950, p. 273.

24 Berth 1925, p. 74.

25 Sorel 1950, p. 127.

General strikes, whether successful or not, are by no means a myth. They have occurred more than once in the past, and they will probably also occur in the future. But a general strike that would be able to overthrow capitalism and the bourgeois state – without growing into an uprising – is indeed a myth, not just in the Sorelian meaning but also in the true sense of the word. Such strikes have never happened and never will happen.

But while Sorel was mistaken, along with all the other syndicalists, on the question of the general strike, thinking it to be the sole instrument of revolution, in this instance he stumbled upon a true and profound idea of the extremely important organising role of the strike for the working class in terms of building the future society. Indeed, the strike – as a phenomenon of the utmost importance, not so much for the reconstruction of capitalism as for conceiving the socialist principle within capitalist society – has yet to become the focus of an explicit sociological examination. A new system of relations between the producers appears and gathers strength within the strike, relations that sharply contradict those of commodity economy, including the system of relations that forms the basis of capitalist competition. We shall return to this issue when speaking of the new incentives for work under socialism and a new principle of relations between the individual worker and the collective.²⁶

4 Preparing for a New Society within the Old One

Since the syndicalists considered it possible to have a sudden move from capitalism to socialism, thereby attributing a miraculous effect to the general strike, they naturally had to ponder the question of how this sudden transformation, which inevitably presupposes a profound and rapid change in the whole psychology of the modern working class, might actually be possible. This explains their attention to the issue of how the social revolution matures within capitalism itself. It also accounts for all their hopes that the unions already undergo the kind of evolution within capitalism that makes them able not just to accomplish the revolution but also to build a socialist society on the day after the revolution. With regards to this theme, the resolution of the famous Amiens Congress of Syndicates, held in 1906, included the following passage: ‘The trade union, which today is a defensive institution, will be, in the future, the basis of

26 On the question of the way beyond Capitalism, see Sorel 1950; Sorel 1919; Sorel 1908. [On socialist culture and new incentives for work, see “On Morals and Class Norms” in Volume III of *The Preobrazhensky Papers*.

production, distribution, and the re-organisation of society'.²⁷ The Italian syndicalist Leone wrote in his work *Syndicalism*:

Within these new organs of social transformation, which we have in the trade unions, are forming the capacities for the technical and political skills required to manage material production on a social basis that sharply differs from the present one.²⁸

Édouard Berth has the following to say on this theme, showing, among other things, just how great the disagreements were among syndicalists themselves concerning basic issues and the significant distance that separated Pelloutier's ideology from the world-view of Berth and Leone. In his *Ideology of the Producers* Berth wrote:

Syndicalism owes its gratitude to capitalism not only for creating material riches, but mainly for the moral and spiritual change it has brought within the depths of the working masses; through the iron discipline of capitalism workers have been wrested from their primitive behaviour and individualistic anarchism and made capable of collective and far more cultivated work.

Capitalist compulsion was necessary because it 'disciplined humanity and made it possible to ascend to free, voluntary work'.²⁹

In *Reflections on Violence* Sorel writes on the same topic: 'The social war, for which the proletariat ceaselessly prepares itself in the syndicates, may engender the elements of a new civilisation suited to a people of producers'.³⁰ Developing the same idea in various parts of his work, and working up to the apogee of his utopia, Sorel agrees with the assertion that the proletariat is able to complete an important part of the work of destroying contemporary society already within the depths of that same society. The proletariat must, in his opinion,

use the influence it has acquired over public opinion or the authorities to destroy the existing relations of the political organisation and to tear from

²⁷ [See note 18 above.]

²⁸ Leone 1907b, p. 75. [The original source is Leone 1907a.]

²⁹ Berth 1908, pp. 122–3. Continuing this thought, Berth goes so far as to say that 'anarchism can be called the philosophy of the bourgeoisie, carried to its logical conclusion'.

³⁰ Sorel 1950, p. 275.

the state and the municipality all their functions, one by one, in order to enrich the proletarian organisms that are in the process of forming, that is to say, above all the syndicates.³¹

Other ideologists of syndicalism have fantasised over the same issue. Particularly zealous in this respect was the confused and banal Labriola, who in his work *Reformism and Syndicalism* dreamed of an organisation of syndicates, including all the workers of a given branch, that would secure a wage payment from the employers covering all members and then distribute the collective wage between the workers according to the principle of 'justice'.

After creating such a state within the state, Labriola also dreams of such syndicates leasing capitalist factories along with other means of ousting the capitalists from economic power.

The reformist character of such fantasies is even more typical, as we shall see later, of guild socialism, which in no way differs from the reformist illusions of parliamentary socialists, who held the working class back from revolutionary struggle, reassuring them with the hope that the Millerands, Bernsteins, Kautskys and others will have a majority in parliament and bring deliverance to the working class.

5 The Period of Transition to Communism

Let us now turn to the syndicalists' views on what we call the *transitional* period. Here the formulations of the syndicalists are mainly negative in character, beginning with the denial that it is possible, in principle, to say anything about this epoch.

Sorel gives the outward appearance of scientific caution, which then turns into flamboyance when he says that the passage from capitalism to socialism can be '*conceived as a catastrophe whose development defies description*'.³²

Yet none of the syndicalists, including Sorel himself, remained faithful to this command for abstention when it came to polemicising against the idea of pro-

31 [The text mistakenly cites Sorel's *Reflections* as the source for this quotation. The correct source is Sorel 1919, p. 132. Sorel said the proletariat '*doit user de l'influence qu'il acquiert soit dans l'opinion, soit dans les pouvoirs pour détruire les rapports actuels de l'organisation politique*'.]

32 Sorel 1950, p. 148.

letarian dictatorship. Sorel suggests that the entire episode defies description and foresight. However, this does not apply to his expectation that this period will exclude any kind of organisation of workers' power.³³ In the work that we have been citing, he writes the following on this theme:

It is said that the dictatorship of the proletariat will also weaken at length, and will disappear, and that finally an *anarchical society* will take its place; but how this will come about is not explained. The regal despotism did not fall by itself or by the goodness of sovereigns; one must be very simple to suppose that the people who would profit by the demagogic dictatorship would willingly abandon its advantages.³⁴

Echoing Sorel, the Italian Olivetti³⁵ writes:

The idea of state socialism already describes a new aristocracy of tomorrow in the form of a centralised bureaucracy, controlling the distribution of wealth and taking the form of an intelligentsia of bourgeois origin, which rules due to its high culture and its administrative and organisational skills Put the elect next to the amorphous, disorganised mass and once again you will get a new class domination.³⁶

Leone³⁷ writes of the French commune:

33 Sorel regards as highly debateable the distinction between socialism (or 'collectivism' for Sorel) and communism that Marx makes in the *Critique of the Gotha Programme*. He attributes Marx's formulation to the influence of 'Hegelian ideas' and thereby displays his failure to understand the term 'communism', which was never intended to mean 'the Marxist conception of free spirit'. On this issue, see Sorel 1921, pp. 347–8.

[On the question of a workers' state, Sorel wrote:

The *new school* approaches the question from quite another point of view: it cannot accept the idea that the historic mission of the proletariat is to imitate the bourgeoisie; it cannot conceive that a revolution as vast as that which would abolish capitalism could be attempted for a negligible and doubtful result, for a change of masters, for the satisfaction of theorists, politicians and speculators, all worshippers and exploiters of the State. It does not wish to restrict itself to the formulas of Marx (Sorel 1950, p. 171)]

34 Sorel 1950, p. 169.

35 [Angelo Olivetti (1874–1931) joined the Italian Socialist Party in 1892, began editing a syndicalist journal by 1906, and by 1914 authored a fascist manifesto.]

36 Olivetti 1908, p. 230. Italian edition: Olivetti 1906.

37 [For a biography of Enrico Leone, see Gianinazzi 1989.]

The commune ... this glorious episode of proletarian revolution, finally convinced even the most prominent worshippers of the creative force of proletarian power of the futility of any purely political revolution, i.e., a revolution that is not the expression of a preceding maturation among the subordinate class of their technical-economic abilities to manage production.³⁸

However, justice requires mention that Leone, a syndicalist, is closer to Marxism than all the others and considers organisation of a proletarian authority to be essential during a transition period. In his work we find the following interesting passage, which can be regarded as the beginning of syndicalism's transition to a Marxist position on the issue of proletarian dictatorship, a transition that some revolutionary syndicalists have experienced much more decisively as a consequence of the World War and the Russian Revolution. Leone writes:

As a result of the general strike the bourgeois state will be deprived of all power, of all sanctions over the new proletarian authority, which, as the period of revolutionary overthrow continues, will assume the character of a political organ.³⁹

We shall not dwell here on the syndicalist criticism of the theory of proletarian dictatorship. This entire question has already been decided by history. As for the danger, frequently mentioned by the syndicalists, of a new aristocracy being created under the dictatorship of the proletariat, tendencies in that direction might certainly exist if the successes of socialism come slowly in terms of production and culture. But we shall have more to say on this question a little later.

Here we must deal with two more places in which Sorel expresses one idea that is true and another that is false. First, consider the false idea. With a certain degree of revolutionary coquetry, Sorel chides the French bourgeoisie for being disorganised by pacifism and incapable of defending its own class interests. He seems to regret this bourgeois weakness in the sense that it does not provide sufficient impulse for awakening the class struggle of the proletariat. It is as if Sorel wanted to provoke the bourgeoisie into a more energetic defence of capitalism. All of this was written a long time ago. Communism's misfortune in 1917–25 has not been that the European bourgeoisie was weak, but that it

38 Leone 1907, p. 154.

39 Leone 1907, p. 160.

proved to be much stronger and more capable of resistance than the Russian capitalists were in 1917. Closely connected with this conception of Sorel was the idea that social revolution cannot be victorious during a period when bourgeois society is economically decadent. On this point Sorel refers in vain to Marx, whom he either did not completely understand, or else he understood certain parts of his work too literally. Sorel provides the following thought on this issue:

The Marxian theory of revolution supposes that capitalism will be struck to the heart when – having attained complete industrial efficiency – it has fully achieved its historical mission, and whilst the economic system is still a progressive one. Marx does not seem to have asked himself what would happen if the economic system were on the down grade⁴⁰

Elsewhere in the same work Sorel writes:

I have already called attention to the danger for the future of civilisation presented by revolutions which take place in a period of economic decadence; many Marxists do not seem to have formed a clear idea of Marx's thought on this subject.⁴¹

History, as we know, has not confirmed Sorelian ideas in this area. The World War, which gave birth to the Russian Revolution and attempts at proletarian uprisings in other countries, signified precisely the beginning of capitalism's economic decadence: it was the form in which the productive forces of bourgeois society began to rebel against capitalist relations of production and commenced to burst out of their capitalist integument.

But history does appear to confirm another of Sorel's ideas concerning the transition period, namely, the idea that 'in reality there are as many socialisms as there are great nations'.⁴²

This is true not only insofar as the socialist movement in each capitalist country had, and still does have, its own specific features, but also in the sense that we shall apparently have as many unique features in the socialist organisation of different countries as there are significant individual capitalist organisations. This applies especially to the first stage in the construction of socialism.

⁴⁰ Sorel 1950, pp. 92–3.

⁴¹ Sorel 1950, p. 136.

⁴² Sorel 1919, p. 202.

Sorel did not develop or adequately justify this idea, and the question was hardly as clear to him as it is to us today. If we give sufficient thought to Lenin's position concerning the consequences of capitalism's uneven development, we are fully justified in saying that when important individual countries eliminate capitalism, their socialist structures will differ one from the other. The unevenness of capitalism's development explains not only the victory of socialist revolution in the USSR sooner than in other countries, and not only the probable lag of the American proletariat behind the European working class in the matter of socialist revolution; it will also determine the different tempo of socialist construction in different countries after the triumph of proletarian revolution. A certain period will be required for the socialist countries to converge on a common level; and the most industrialised countries, in the course of this movement, will probably be ahead of agrarian countries, where petty-bourgeois economic forms play a bigger role. In other words, the unevenness of capitalism's development will lead to unevenness in the development of socialism.

Accordingly, we do not find among the syndicalists any theory of the transition period. The syndicalists limited themselves to objections to the idea of a workers' state during the transition period and to formation of a new aristocracy. It is not clear from these objections whether they considered a transition period, and particularly a transitional workers' state, to be *objectively excluded by the very course of events*, or whether, in their opinion, neither a workers' state nor a transition stage in the area of economic construction is *permissible* from the viewpoint of the syndicalist ideal. Whenever the syndicalists needed to speak about the process of transition from capitalism to socialism in unambiguous terms, their assertions turned out to be brief and naïve. Arturo Labriola,⁴³ for instance, simply declares without any further argument that 'replacement of the capitalist factory by the socialist one will be immediate, not gradual'.⁴⁴

And Édouard Berth⁴⁵ not only makes the same assertion but also, with a single stroke of the pen, abolishes both the capitalist factory and the state.

43 [Arturo Labriola (1873–1959) briefly published a syndicalist paper in Italy beginning in 1902. By 1913 he had abandoned syndicalism and was elected to parliament as an independent, reformist socialist. He supported Italy's involvement in the World War, served as Minister of Labour in 1920, went into exile when Mussolini was in power, was elected to the Constituent Assembly in 1946 and became a Senator in 1948.]

44 Labriola 1907, p. 239.

45 [Édouard Berth (1847–1922) was a disciple of Georges Sorel.]

He writes: 'Just as syndicalism hopes to liberate the factory from the master's tutelage, with the same blow it hopes to rid society of the tutelage of the state'.⁴⁶

It does not occur to Berth that even if socialist factories arose immediately on the ruins of capitalist factories in places where *capitalist* production actually existed, none of this would have any effect on pre-capitalist, petty-bourgeois, or small-scale capitalist production. In France itself no fewer than two-fifths of those productively employed are connected with small-scale rather than with large or medium capitalist production. In other words, even after the socialist revolution, and even if it occurred according to the syndicalist recipe, classes would remain in society. And once classes exist, the only people who can talk about the state vanishing are those without the slightest idea of the historical origin and social essence of this institution.

One can only marvel at how the theorists of syndicalism, beginning with Sorel, who knew very well the passages in Marx and Engels dealing with the transition period from capitalism to communism, could insist upon such naïve ideas about a sudden and miraculous transformation of one social system into another. It is all the more amazing since Sorel even cited the famous letter from Marx devoted to criticism of the Gotha programme, and in his polemic against the opportunists he also referred to Marx's theory of the transition period. He noted the passages in Marx that were opposed to opportunism, but he stubbornly ignored everything that contradicted syndicalist views.⁴⁷

Since they took the view that a sudden transformation occurs, of one social system into another, the syndicalists faced two possibilities. Either they would have to wait at least a couple of centuries for total maturation of the proletariat within capitalism, so that it would become capable⁴⁸ of overthrowing capitalism with a single blow and of immediately organising a new system of produc-

46 Berth 1908, p. III.

47 Mentioning the need to take into account Marx's conceptions of capitalism's transition to socialism, Sorel wrote:

These conceptions are well known; yet we must continually return to them, because they are often forgotten or at least undervalued by the official Socialist writers; it is necessary to insist on them strongly each time that we have to argue about the anti-Marxist transformation which contemporary Socialism is undergoing. (Sorel 1950, p. 87)

48 An even bigger question is whether the proletariat becomes more capable of socialist revolution if it 'matures' too long within the confines of capitalism for this operation. Does that not initiate a new process, one of the proletariat's degeneration and an organic accommodation with capitalism?

tion, i.e., they would have to become reformists and tail-enders, although of a somewhat different sort from the likes of Jaurès,⁴⁹ Bernstein⁵⁰ etc. Or else they would have to over-estimate the strength and social maturity of the proletariat, embellish what actually exists, and attribute to the working class qualities it has yet to acquire.

We can see that the syndicalists did both things at once. Under the cover of revolutionary phrases, they definitely slid towards Bernstein's type of programme of growing into capitalism, while talking about preparation of the proletariat for overthrowing the existing system. We have already seen where this led Labriola. Sorel and the other theorists of syndicalism likewise frequently addressed this question. Consider this passage from Sorel's article 'On the Socialist Future of the Syndicates':

It is precisely within the depths of capitalist society that not only the new productive forces but also the relations of a new social system must develop, namely, what can be called the moral strength of the future.⁵¹

Generally speaking, the idea that the elements of socialism are already prepared within capitalist society itself, together with the forces that must overthrow it, is one of Marx's fundamental positions. Here, Sorel only repeats what Marx and Engels said, beginning with their earliest works. But neither Marx nor Engels ever said that *all the elements* of socialism can already be prepared *to the same extent* within the capitalist system. Otherwise, it would be pointless to differentiate the concepts of capitalism and socialism or to write, as Marx did in his *Critique of the Gotha Programme*, of the birthmarks of capitalism on the body of the new society. The fundamental error of the syndicalists on the question of the sudden transformation of capitalist into communist society – they spoke of socialism, but that is inaccurate because socialism without a state is communism – consisted not merely of ignoring the inevitable preservation of certain classes after the socialist revolution and the inevitable organisation of a workers' state, but also of having a completely false idea of the very process of preparing the workers for socialism within the context of the old society. This preparation cannot possibly be uniformly completed within the limits of the capitalist system. On the basis of Marx's analysis of capital-

49 [Jean Jaurès (1859–1914) was one of the first social-democratic reformists, became leader of the French Socialist Party in 1902, opposed the World War and was assassinated in 1914.]

50 [Eduard Bernstein was the principal theorist of revisionism in the German Social-Democratic Party.]

51 [Sorel 1901a, p. 39.]

ism, of his conception of the transition period, and finally, on the basis of our own revolution's experience, we must distinguish the following moments in this preparation.

The *physical forces* of proletarian revolution fully mature within capitalism, i.e., the forces that ensure the possibility of 'overcoming the resistance of the exploiters', the destruction of the capitalist state, and the defeat of bourgeois counter-revolution. But preparation of the working class for *management* of the new state system is already another matter. When the destruction of capitalism is completed, with the active participation of the *entire* working mass, then begins construction of the new production system, in which the leading role *inevitably passes to the best prepared, most cultured, most conscious, and most disciplined elements* of the working class. Here it must immediately become evident that within the working class there are different strata from the point of view of their maturity for socialist construction. During this period, the working class begins by leaps and bounds to catch up, in terms of culture, with all that it did not acquire and *objectively could not acquire* while it remained an oppressed class within the confines of capitalism. It is enough to say that the working class exits from capitalism with completely different degrees of technical preparedness. Together with skilled workers, it includes cadres who are semi-skilled and, finally, an enormous mass of completely unskilled labour power. It also suffices to point out that the working class turns out to be completely differentiated in terms of developing socialist incentives for work. As a result, a very long interval of time is needed during which, on the basis of significantly increased labour productivity and increased social wealth, together with a reduction of working time and the universal extension of polytechnic education among workers, the entire mass of the proletariat more or less evens up in terms of its technical and cultural preparedness and becomes capable not merely of participating in production but also of managing it. A significant interval of time is required in order to abolish the division of the working class into rigid trades, more time is needed to realise fully the programme of joining physical labour with science, and still more time is needed for the new society to be able to organise its corresponding system of educating young people and fully eliminating privileged access to science for a minority of workers.

In the quotations that we have provided from a number of syndicalist authors, we can see three of the most essential problems of interest for syndicalist conceptions of socialism: 1) the question of the elimination of capitalist discipline and its replacement by the free co-operation of free producers; 2) the problem of eliminating professions in the future society; and 3) the fear concerning formation of a new aristocracy should the socialist revolution end up with the organisation of a new workers' state.

We shall not deal with the first question here. Later we shall encounter the same problem with the guild socialists, who developed this point in much more detail than the French syndicalists did, and in that context we shall appraise the views of both together.

With regard to the point about eliminating professions in the future society, on this issue the syndicalists said nothing new compared to Marxism, particularly the brilliant passages that Engels devoted to this problem in his *Anti-Dühring*. Here, the issue is not whether the future society will preserve today's division of labour into rigid professions, with all their professional privileges. As far as the elimination of professions under communism is concerned, there can be no doubt whatever. The problem is a different one: *how the professional division will really wither away in society during the transitional epoch*, and what the necessary social-economic prerequisites will be.

As for the ideas of Sorel and the other syndicalists concerning the inevitable creation of a new aristocracy with the workers' state, and the need to mount a new revolution to overthrow this new ruling class, here we shall limit ourselves to the following.

We have already pointed out that a transition from capitalism to communism would only be possible if bourgeois society, approaching the period of its doom, had already prepared all of the elements of communism, both material and moral. But this is not and cannot be the case. The working class becomes capable of destroying the bourgeois system sooner than it will be in a position to build a classless society, and sooner than it will be able to direct the economy *not merely through its vanguard* but with involvement of the entire mass. The preparation of the proletariat not just for communism, but also for a more or less far-reaching socialist structure of production, can only be fully completed after the socialist revolution, and this preparation will require a rather long time. Before the socialist state organises such a system of mass education as would guarantee the identical technical and general instruction for *every* worker, the working class must build an economic system and guide it by relying upon its own leading elements and those bourgeois elements that it acquires from capitalism. Here we shall have to reconcile socialism, which is under construction, with the inadequate inheritance that it received from the old order. The issue here is not the emergence of a *ruling class* from amongst the proletariat, but rather a more effective division of labour within one and the same class. In this case, inequality results not from differential rights in the instruments of production, but from different degrees of preparedness, in different strata of the proletariat, for the new system of production. We can make all the declarations we may wish about the rapid implementation of equality, but there can be no *factual* equality during this transition period. All that can

be accomplished in this period is a continuously growing tendency towards this equality. Successes in this direction will grow in direct proportion to the successes of socialist industry, the growth of labour productivity, the increase of material wellbeing, and the shortening of the proletariat's working day. We must not, of course, deny the fact that with a slow development of the productive forces during the first stages of socialist construction, together with progressive tendencies there will also develop a reverse tendency. In particular we shall see, as we already do see to some extent in the USSR, certain conservative tendencies and an attempt to consolidate the privilege of leading elements in the economy and the state for a certain circle of people and their offspring.⁵² But these conservative tendencies represent no threat in a socialist society that is quickly developing its productive forces. They will very quickly be swept aside by progressive tendencies that will be victorious without any revolutionary convulsions. But we shall return to this point later and in more detail.

6 The Future Society

Although the syndicalists, with Sorel in the lead,⁵³ decline at various places in their work to give any exposition of their concrete views concerning the future

52 Here is a small example. If a Soviet official or specialist, say, endeavours to place his children not in an ordinary school, not in a factory school, etc., but to give them a definitely higher education at a time when material and technical conditions are such that the state can provide such an education only to an insignificant minority of the most talented people, he will then seek to make his profession hereditary regardless of the personal qualities and merits of workers. Meanwhile, his own privileged position is due, on the contrary, to his personal merits and his special usefulness to the state and society.

53 It must be noted that Sorel was quite aware of the difficulty of all these problems since he did raise the question of how the compulsory discipline of capitalism can be replaced by perfectly conscious and voluntary participation in labour in the interests of the whole society. However, he avoided this most important issue with an empty analogy between workers of the future society and soldiers of the Great French Revolution. Sensing the reproaches that could be levelled against syndicalism to the effect that their conceptions of the future have a merely negative character, Sorel hides behind Marx's authority and tries to justify his position by appealing to the principles of scientific socialism. Thus he wrote in *Reflections of Violence* that

... Marx rejected all attempts to determine the conditions of a future society: too much stress cannot be laid upon this point, for it shows that Marx took his stand outside bourgeois science. The doctrine of the general strike also repudiates this science and many professors consequently accuse the *new school* of having negative ideas only;

society, in other places they step out of character and do make excursions into the future. This part of syndicalist theory is especially interesting for us.

Syndicalist views of the future society are expressed in a completely chaotic way, making no distinction between individual problems. Sometimes, within one and the same formulation, you find a few words about the question of discipline in future society, about its organisational structure, about the system of distribution, about the system of education, etc. For this reason we shall often cite, when considering one problem, syndicalist authors who simultaneously give voice to other problems.

During their excursions into the future society, the syndicalists were most interested in the problem of eliminating capitalist discipline and organising free labour. The organisation of production as such, or distinguishing the entire complex of socialist economy from the capitalist economy, were of virtually no interest for them, so that when they extended their interest to the future society they spoke most clearly of the things that they found most disturbing under capitalism. In *Reflections on Violence* Sorel wrote:

Marx supposes, exactly as the Syndicalists do, that the revolution will be absolute and irrevocable, because it will place the forces of production in the hands of *free men*, i.e. of men who are capable of running the workshop created by capitalism without any need of masters.⁵⁴

Then Sorel pounces upon socialist ideas of the future society because socialists think of it only in terms of a division between two classes, those who are managed and those who do the managing. In this context Sorel, like the other syndicalists, makes no distinction between a new class, which has been able to take power, and the vanguard of the proletariat, which, emerging from the general mass of workers for organisational functions, only reflects in itself the difference between individual strata of the proletariat in terms of their pre-

their own aim, on the other hand, is the noble one of constructing universal happiness. (Sorel 1950, p. 132)

Sorel pointlessly refers here to Marx, for it is one thing to fantasise about the future society and design various utopias but quite another to derive the foundations of the future from an analysis of capitalism itself. As we saw in the previous chapter, Marx and Engels did provide, even if only in general terms, certain views concerning the structure of the new society. They would not have been able to give a comprehensive analysis of capitalism had they not had in mind a conception of the system of society that must replace it. Moreover, Sorel was not true to himself here, because he often did refer to detailed questions concerning future production, as we shall see below.

54 Sorel 1950, p. 162.

paredness for socialism. These differences, as we previously mentioned, are a direct inheritance from capitalist society that carry over automatically to the first phase of socialism.

On this theme Berth writes:

A single word can be used to define and characterise the capitalist factory – it means compulsory cooperation, dependent upon coercion, whereas of socialist society we can say that it will be free cooperation.⁵⁵

Berth could not imagine that this is far from being the only difference and that the issue is not merely compulsion, because the voluntary character of cooperation in the first stage of socialism is generally still rather minimal. To begin with, in order to eat – the worker *must* work. This compulsion will result not from the system of social organisation but from the relation between society and nature. Neither socialism nor communism will emancipate future humanity from this compulsion. Secondly, he must work in the branches where he is *most needed*. His choice in this regard is already limited. Thirdly, his choice is limited because the workers inherit from capitalism a narrow set of skills, and they will not be able, for technical reasons, to change their trade at will. This means that compulsion will also exist during the first stage of socialism, but it will be acknowledged as inevitable and this is where freedom lies. Finally, it is incorrect to see the entire difference between a capitalist and a socialist factory simply in exclusion of the master's compulsion. A socialist economy is an enormous single organism; a factory is but a single cell, which cannot represent the whole. The most characteristic difference will not lie merely in the opposition between freedom and necessity, but rather between socialist economy on the one hand, as an organised entity, and a heap of autonomous producers, autonomous factories and capitalist trusts, on the other. This is what accounts for the many specific features of the socialist structure that differentiate it from capitalism on a whole number of points. Berth returns to this theme in his work *Les Derniers Aspects du Socialisme*.⁵⁶ We must note, however, that this author tried to disassociate himself from the anarchists, emphasising that 'syndicalist leadership, which will replace the leadership of the employer, will, without any doubt and with complete justification, be as firm, harsh and merciless for those who are undisciplined, lazy and dishonest as under capitalism'.⁵⁷ The German syndicalist Oerter writes the following on this theme:

55 Berth 1908, p. 121.

56 [Berth 1925, pp. 53, 67, 71–2.]

57 Berth 1925, p. 73.

Syndicalists are convinced that the organisation of a socialist form of economy cannot be settled either by government decisions or by government decrees, but only by uniting all the workers of mental and physical labour in each individual branch of production; the producers themselves must take charge of each individual enterprise so that separate groups of enterprises and branches of production will be independent members of the general economic system and, by way of free mutual agreement in the interests of the entire society, will plan and organise all production and distribution. In the event of a victorious revolution, if the workers face the problem of socialist construction, the labour exchanges turn into something like local statistical bureaux that will take charge of the whole matter – products, food, clothing, etc. Labour exchanges would have the task of organising consumption, and through a universal federation of labour exchanges it would not be difficult to keep accounts of the country's entire consumption and organise it in the simplest way.⁵⁸

In short, everything in the future will be done in the 'simplest' way. As we can see, the syndicalist theorists were completely unaware of every one of the most important and most difficult problems of the organisational construction of socialism. With regard to the theme that interests us, in a report presented on behalf of the labour exchange in the city of Nîmes we find the following interesting design of the future organisation of the economy:

... Each profession is organised in a syndicate; each syndicate names a council, which we might call the professional council of Labour; these syndicates, in turn, are federated by trade on a national and international scale.

Property is no longer individual: the land, the mines, the factories, workshops, means of transportation, houses, etc. have become social property. Social property! – listen well – and not the exclusive and inalienable property of the workers who improve them if we have no wish to see conflicts between corporations such as occurred between the capitalists, with society again being a victim of competition – this time competition between collective corporations instead of individual capitalists! ...

The society requires a certain quantity of wheat and so much in the way of clothing; the farmers and the tailors receive from society, in the

58 [Preobrazhensky quotes a Russian translation: Erter, *Chevo khotyat sindicalisty?* (Moscow: Golos truda), p. 18. The original is: Oerter 1920.]

form either of money – insofar as money will still exist – or else in the form of exchange, the means of individual or productive consumption produced by other workers. That is the basis on which work must be organised in order that society might be truly egalitarian....

The Bourses, knowing the quantity of products that must be made, advise the professional councils of Labour of each corporation, who employ all the members of their professions to make the necessary products On the basis of their statistics, the Bourses know whether production in their region is excessive or insufficient; they will then determine the exchange of products between territories that are endowed by nature for special production, such as Creuzot for metallurgy, Limoges for porcelain, Elbeuf for fine linens, Roubaix for fabrics, and different parts of our country for wines. They will make the products by means of which their populations will provide themselves with everything needed for their maintenance and their intellectual development⁵⁹

In its report on this theme, the Federal Committee of Labour Bourses writes:

The social revolution must therefore have as its objective the suppression of *exchange* value, of the capital that it engenders, of the institutions it has created. We start from the principle that the work of a revolutionary must be to liberate men not just from all authority but also from all institutions whose essential purpose is not the development of production. As a consequence, we cannot imagine the future society as other than 'a voluntary and free association of producers'. What is the role of these associations?

... Each of them is in charge of their branch of production Each must first of all inquire of the others about their needs and the resources they have to satisfy them. How much is needed each day to extract granite, to grind flour, to organise spectacles for a certain population? ... How many workers and artists are needed? How many materials or producers will neighbouring associations need to provide? How to divide the tasks? How to establish the public stores? How to utilise scientific discoveries as soon as they become known?

Knowing, in the first place, the relation between production and consumption, the workers of the association use the materials produced or extracted by their own members. Knowing just as well the quantity of products that they lack or have in excess, they submit a request elsewhere

59 Pelloutier 1921, pp. 251–2.

for the additional workers that are required or for the special natural products for which their land is not suited⁶⁰

We can see from these quotations that, according to syndicalist thinking, the entire organisational framework of the future socialist society is built upon the trade unions. Such a scheme is perfectly natural once the syndicalists exclude any transition period and the existence of a workers' state, transferring the entire role of organising production to the syndicates. They are also familiar with the idea that these syndicates must not become owners of their means of production and that a certain syndicalist centre should organise and coordinate the volumes of production and consumption in the country. We cannot object in principle to such a scheme insofar as it refers to a communist society. Of course, we cannot today conceive the concrete organisational structure of a completed communist society, but in principle there are no more grounds for objecting to the syndicalist conception than to the complete elimination of the state in the future. In communist society, after the state and rigid professions are eliminated, including specialists in organisational functions, there will remain only the producers and their organisations. It is a different question whether there will be many similarities between these organisations and today's trade unions. It is interesting to note here that in our party's programme the trade unions are assigned a completely exceptional role in directing the economy. Here is what our Programme, to which we shall often return in our commentary, has to say on that point:

The organisational apparatus of socialised industry must in the first place rely on the trade unions. The latter must increasingly free themselves from the narrow craft spirit and become major industrial associations, embracing the majority and gradually all the workers in the given branch of production.

Since, according to the laws of the Soviet Republic and by established practice, the trade unions already participate in all the local and central organs of management of industry, the trade unions must eventually concentrate in their hands the entire management of the whole national economy as a single economic unit.

The scheme that we have presented for a syndicalist organisation of society completely bypasses the problem of the organisation of agricultural work.

60 Pelloutier 1921, pp. 253–4.

While one might imagine the organisation of production through trade unions in large-scale capitalist industry, or in previously capitalist agriculture, it is not at all obvious how a syndicalist organisation might be extended to individual peasant farms. And that is not the only question for which we find no answer from the theorists of syndicalism.

On the question of education, the syndicalists generally and on the whole take a Marxist point of view, i.e., they consider it necessary to combine education with labour. In his article on 'The Socialist Future of Syndicates', Sorel writes on this issue:

For learning to be truly effective, it must occur at the factory, since the old preparation, which kept the craftsman within the narrow confines of a routine, is not suited to an industry that is destined to undergo frequent transformations. General education must be connected with manual labour.⁶¹

Likewise, syndicalism sided with the Marxist position regarding elimination of rigid professions and professional privileges, calling for an end to the contradiction between science and labour. Leone writes:

Socialism will be the graveyard of the intelligentsia as a caste. It will inevitably mean that every difference between the manual and mental worker will disappear The monstrous division of people into physical and intellectual toilers will seem to our descendants to be an incredible and amazing creation of the capitalist era.⁶²

The syndicalists also considered the question of new socialist incentives for labour, but they did not develop this issue. For example, Sorel adhered to the communist position that every worker of the future society must contribute to the collective the maximum possible in accordance with his abilities, without converting his efforts into the hard cash of a corresponding reward from society.⁶³

But neither Sorel nor the other syndicalists investigated the question of how the worker, coming from a commodity economy and accustomed to the work incentives cultivated precisely by a commodity economy, might suddenly behave quite differently in a collective economy. In part we have already seen,

61 Sorel 1919, p. 142.

62 Leone 1907, p. 68.

63 Sorel 1950, pp. 238–40.

and we shall see further below, that the matter is incomparably more complex than the utopians, especially Fourier, imagined.

Sorel, as we know, was an engineer. In his role as an engineer, who knew the structure of a large-scale capitalist factory and the basic incentives for the development of capitalist technology, he naturally had to reflect upon the problem of technical progress under socialism. He provided a few interesting considerations on the issue of how, in future society, to avoid narrow specialisation, routine, and the dictatorship of mediocrity, and he noted, among other things, the role played in technical progress by the imperceptible but numerous innovations and improvements that workers contribute to the production process.⁶⁴

7 Anti-imperialism and Anti-militarism

Capitalism groups people according to nationalities, creating national-economic organisms that are connected with national and capitalist states, while the transition to socialism means movement to a new, international grouping of people in production. This economic change is already prepared on the basis of capitalism by the international division of labour, world capitalist trade and all the other tendencies towards creation of a world economic totality. In such conditions patriotism is reaction, a struggle against progressive tendencies in the economy, an attempt to withdraw within the limits of a national-political association that has already been breached in the economic field. The preparation of people for a new grouping, on the scale of world relationships and the world division of labour, finds expression above all in the actual international association of the proletariat. Joining the united organisation of the revolutionary [Third] International, the workers of various countries are breaking out of the national-ideological cages in which capitalism confines them, and in this respect they are becoming psychologically prepared for creation of a new society. From this point of view, the worker's anti-patriotism, which is aimed above all at his own state, is of the utmost importance in preparing not only the revolution, which is overwhelming the material organisation of capitalism, but also the new system of productive bonds between producers. Whereas the bourgeois character of socialism⁶⁵ is confirmed during war by the fact that elements led by this social-

64 See Sorel 1901a and Sorel 1950, pp. 244–5.

65 [The reference is to Social-Democratic parties that supported the war effort of their own countries.]

ism find themselves within the orbit of the national association, and are therefore gripped by patriotism, chauvinism etc., the degree of the workers' psychological preparedness for creating a world socialist economy is measured, among other things, by the depth and breadth of workers' anti-patriotism and anti-militarism. The revolutionary syndicalists – and we must today give them their due – made a break with opportunistic socialism even before the war, and in this respect the correctness of their tactical line has been entirely justified by history. Long before the war Sorel, in his *Reflections on Violence*, wrote that 'anti-patriotism becomes an essential element of the Syndicalist programme'.⁶⁶

Berth wrote in his article 'Anarchism and Syndicalism':

In revolutionary syndicalism the opposition is expressed between democracy and socialism, between the citizen and the producer, an opposition that is most clearly revealed and at the same time abstractly completed in resolute repudiation of the idea of the fatherland, which is identified with the idea of the state.⁶⁷

Griffuelhes, who at one time was secretary of the General Confederation of Labour, developed in *L'Action Syndicaliste* the idea from the *Communist Manifesto* that the proletariat has no fatherland.⁶⁸ It is enough just to compare pages from Griffuelhes and other syndicalists with the questionnaire concerning patriotism and socialism addressed to figures of the Second International in order to be convinced of how cowardly, evasive or openly capitulationist to bourgeois patriotism was the position of the latter.

The syndicalists were not only logically correct in linking their position against the state in general with their denial of the existing bourgeois state, including all its attributes and all its foreign policy, but in practice they also conducted anti-militarist propaganda before the World War in both the factories and the barracks – propaganda from which the right and the centre of the Second International distanced itself, including its Guesdist detachment in France.

Additionally, it will be useful here to recall that Berth, a theorist of syndicalism whom we have often cited, pointed out even seven years before the World War that Guesde is only a second edition of a patriot from 1792, that he has a

66 Sorel 1950, p. 187.

67 Berth 1925, p. 104.

68 Griffuelhes 1908, pp. 37–43.

hostile attitude to the anti-patriotic and anti-militarist movement of the syndicates and finally, that Guesde's entire position on the question of patriotism and the state strikingly contradicts the whole spirit of revolutionary Marxism. Berth thereby predicted, long before the war, the shameful betrayal of socialism on Guesde's part, a betrayal that was totally unexpected by those who considered him to be a genuinely consistent revolutionary Marxist.⁶⁹

8 Syndicalism, Revisionism and Marxism

A major part of all the literary material left by the theorists of syndicalism is directed against socialist opportunism of all varieties. With the exception of syndicalists from the anarchist wing such as Pelloutier, the majority of syndicalist theorists claimed to be the natural and true followers of revolutionary Marxism. The syndicalists were entirely correct and timely when they noted the complete break with Marxism not only on the part of opportunists like Bernstein, whom they praised for bravely acknowledging the fact, but also the so-called 'orthodox' people of Kautsky's type. Sorel pointed out more than once that the only thing these 'disciples' of Marx retained of Marxism was the terminology: '... the preservation of a Marxist vocabulary by people who have become completely estranged from the thought of Marx constitutes a great misfortune for Socialism'.⁷⁰

Within this syndicalist critique of reformism and of the ideology of the Second International in general, correct positions are bizarrely intertwined with incorrect ones. We shall deal here first with the political aspect of the syndicalist critique. The syndicalists waged a harsh campaign against the parliamentary cretinism of opportunists, and here they were correct. But at the same time they also rebelled against the *revolutionary* use of parliament on the part of actual revolutionary Marxist elements.

Speaking out against subordination of the workers' movement to bourgeois leadership by way of opportunistic socialism, they threw out the baby with the bathwater and opposed *all political struggles in general*. This led to their fierce clash with Blanquism, not only with its negative aspects but also with the positive ones. Sorel, for example, comparing Marxism with Blanquism, went so far as to claim that 'Marxism differs from Blanquism especially in its discounting of the *idea of party*, which was basic to the classic revolutionary conception;

69 It is interesting to note that in the election manifesto of the Guesdist Workers' Party, published in 1893, it was said that 'the French Workers' Party' is the sole 'patriotic' party.

70 Sorel 1950, p. 64.

instead. Marxism returns to the *idea of class*.⁷¹ Needless to say, with Marx class was never opposed to party in the sense that Sorel intends here.

The French syndicalists were most timely in declaring war on the socialist intelligentsia of France, who used the workers' movement and the parliamentary struggle above all to make a deal with the bourgeoisie in the name of the workers and at their expense. But the leaders of revolutionary syndicalism have themselves all come from the intelligentsia.⁷² Historically, their struggle with the reformist intelligentsia turned out to be merely a fight for influence over the working class on the part of the same social stratum – just a part of it that was closer to the proletariat in terms of ideology. Instead of attacking the *reformism* of the intelligentsia, they attacked the intelligentsia as such and its leading role in the workers' movement, thereby using this argument to conceal their own candidature for this post. Generally speaking, the history of political struggle is familiar with this method of achieving one's end.⁷³

The syndicalists were quite correct in pointing out that the socialists of the Second International broke with the Marxist theory of revolution. But, on the other hand, they themselves boldly pretended that 'there is a fundamental identity between the chief tenets of Marxism and ... the picture of the general strike'.⁷⁴

This portrayal of black and white in the syndicalist critique of reformism could go on for quite a while. I shall limit myself to what has been said and turn now to the positions taken by syndicalists in relation to the general theoretical tenets of Marxism. I shall deal mainly with Sorel, who was the recognised theorist specifically of French syndicalism. First, a couple of words are due concerning the literary personality of this author.

Sorel's talent as a literary personality is like the surface of a pond, into which you throw several stones at once, creating circles in all sorts of directions: unsystematic and disconnected ideas spread like a meal of macaroni. The author's exposition follows his own personal paths, with very little concern for limiting the effort required of his readers. All of his writings,

71 [See Sorel 2009, pp. 242–3.]

72 Pelloutier, Sorel, Lagardelle, Griffuelhes, Berth, Labriola, Olivetti and Leone were strictly from the intelligentsia.

73 Incidentally, it is precisely in France that the role of the intelligentsia is most pronounced as the ideologists of different classes and cadres of stewardship (journalists and lawyers play the predominant role in parliament and in local self-government), while the working class is in no hurry to put forth ideologists from its own ranks. This applies equally to the syndicalists, to all sorts of socialists, and unfortunately even to communists.

74 Sorel 1950, p. 120.

including the most well-known, such as *Reflections on Violence*, are obviously designed to do violence to the reader's reflection. With his inclination towards profundity, Sorel is somewhat reminiscent of Rousseau, although he differs from the latter in that his thought process is much less energetic and there is great confusion throughout the entire system. In his sociological discussions there is a mass of platitudinous ideological ideas that he formulates as if they were great new discoveries. Heatedly attacking in political terms the bourgeois sons of French intelligentsia socialism, Sorel takes his own methodological stand squarely on the ground of this bourgeois-intelligentsia mode of investigating ideologies, which consists of comparing different systems and ideas – if one can put it this way – on a historical-horizontal plane that loses all connection between ideology and its social basis. Hence, all of his very boring exercises concerning ancient Christianity, Protestantism, Catholicism, the ideology of bourgeois revolutions, and so on. All of these bits of ideology are taken apart from their social characteristics and therefore without their genuine historical features. In place of a scientific historical-sociological study – a kind of card game with ideological hieroglyphics; in place of scientific conclusions – superficial dilettantism and more or less witty inventions; in place of a scientific description of the historical process – a process of describing the circles that radiate in the author's brain from some mental jolt due to reading some book or other. As a result of his defective and eclectic method, Sorel ruthlessly spilled his very great talent in works that were solid in terms of scope but whose content was beneath the author's capabilities in every respect. He was a unique individualist in the area of ideas, quaintly reflecting in his creativity the individual and individualistic features not so much of the French *workers' movement* of his time as the psychology of the socialist and anarchist intelligentsia. Sorel was the last great sigh of the socialist genius of France, which had a rich past in the persons of Babeuf, Saint-Simon, Fourier, Cabet, Blanqui, Lafargue and Guesde, but he did not have, does not have, and perhaps is generally incapable of having any successors.

Sorel frequently declared that he is a Marxist, but he thinks it necessary to supplement Marx with Proudhon on the one hand, and with the experience of the trade-union movement on the other. This intention to seat at the same table of proletarian ideology the author of *The Philosophy of Poverty* together with the author of *The Poverty of Philosophy* is enough on its own to demonstrate how deeply Sorel grasped Marxism. In his appraisal of Proudhon and Marx, Sorel is, of course, the most hopeless eclectic. What he likes in Proudhon is what we would now call the ideology of an enraged petty bourgeois. He likes Proudhon's anarchist critique of the state, his critique of parliamentar-

ism, of bourgeois democracy,⁷⁵ and every sentimental banality about justice, virtue, the common good etc. What he likes in Marx is his powerful ideological onslaught on bourgeois society, the justification of violent revolution against capital, the recognition that only the proletariat has a liberating mission, and the struggle to isolate the proletariat from petty-bourgeois influences.

Sorel is equally eclectic in everything that concerns the Marxist method of investigation. He regards himself as a supporter of historical materialism, but he learned it badly. The gravity of Sorelian Marxism is most readily assessed, in the realm of theory, not by the number of citations that Sorel provides from Marx, nor by the number of appreciative commentaries that accompany them, but by the application of Marx's method to interpret one or another part of concrete human history.⁷⁶ It seems that Sorel was much engaged with various historico-sociological problems, in which, unlike here, he was required to display a depth of historical analysis in the spirit of Marx and with the hard steel of Marx's dialectical logic, which was alien both to eclecticism and to dilettantish playing with various 'considerations' and speculation about historical facts. Alas! In precisely Sorel's historical, or more accurately, his philosophical-historical gymnastics, one can see how far he was from seriously assimilating the theory of historical materialism, how little he learned from it and how far he was from skilfully, systematically and scientifically applying it. Reading all of Sorel's discussions concerning ancient history, the Reformation, bourgeois revolutions and so forth, you see that for him Marxism occupied only a part of his mind, but the main part was taken up by Proudhon, Renan, Bergson and the most trivial eclecticism, with merely a misleading appearance of depth.

As far as the other syndicalist theorists are concerned, some of them, Berth for instance, basically just expounded the thoughts of their teacher and made them more readable, while others, such as Labriola, vulgarised both Marxism and syndicalism. Lagardelle was a talented publicist of syndicalism, primarily with regard to political problems. The syndicalist who was closest to Marxism, as I have already mentioned, was the Italian Leone, who, as we have seen, was close to the position of revolutionary Marxism on the question of the state. This author was least of all influenced by Proudhonism and uses little of the petty-bourgeois French rhetoric. Pelloutier occupies a special place among the French syndicalists, having provided much of the material for Sorel's *Reflections*. Eaten up by consumption, during the short life that nature allotted him

75 It should be noted that on occasion Proudhon was a rather good critic of bourgeois democracy.

76 See, in particular, his abortive attempt to apply the method of historical materialism in his work *La ruine du monde antique*. [Sorel 1901b.]

he hurried to project, along with pieces of his lungs, the massive hatred that he had accumulated for bourgeois civilisation, the capitalist state and capitalist oppression on the one hand, and for petty-bourgeois parliamentary socialism on the other. While many rank-and-file syndicalists evolved towards Bolshevism, and while such theorists of syndicalism as Sorel and Berth welcomed our revolution and the Bolshevik party despite the universal howling of opponents, Pelloutier scarcely abandoned his anarchist den and hardly evolved at all. Like Guesde, he knew how to move only in a straight line, wherever it may lead.

9 The Syndicalists and Bolshevism

To conclude, we must say a few words about how the syndicalist theorists related to the Russian Revolution and the tactics of the Bolshevik party. Whereas not just the followers of Jaurès but also the Guesdists were totally contemptuous and hostile towards the October Revolution and the Bolshevik party, on this issue the syndicalists sharply divided into two camps. One group of syndicalists, such as Lagardelle, became swept up in the patriotic wave of 1914 and participated in the general chauvinist psychosis of the bourgeoisie. The other part, to the contrary – and this is most remarkable – remained true to their convictions of anti-patriotism and adopted a hostile stance towards the World War. This group of syndicalists understood the historical meaning of the October Revolution in Russia and openly expressed sympathy with the Bolsheviks. Sorel, for example, in a postscript to the latest edition of his *Reflections on Violence*, included a statement in defence of Lenin. In this postscript he wrote, among other things:

I have no reason for believing that Lenin made use of some of the ideas in my books; but if that were the case, I would be uncommonly proud for having contributed to the intellectual formation of a man who seems to me to be, at one and the same time, the greatest theoretician that socialism has had since Marx and a head of state whose genius recalls that of Peter the Great.

At the moment when the Paris Commune was falling Marx wrote a manifesto of the Internationale, into which present day socialists are accustomed to look for the most perfect expression of the political doctrines of the master. The address given by Lenin in May, 1918 on the problems of the power of the *soviets* has no less importance than the study of Marx on the civil war of 1871. It may be that the *Bolsheviks* will end by succumbing, in the long run, under the blows of the mercenaries engaged by

the plutocracies of the Entente; but the ideology of the new form of proletarian state⁷⁷ will never perish; it will survive by merging with the myths which will take their substance from the popular accounts of the struggle sustained by the Republic of the *soviets* against the coalition of the great capitalist powers.⁷⁸

Sorel ends his defence with the following words:

Cursed be the plutocratic democracies that are starving Russia! I am only an old man whose life is at the mercy of trifling accidents; but may I, before descending into the tomb, see the humiliation of 'the arrogant bourgeois democracies, today shamelessly triumphant'.⁷⁹

In his foreword to the latest edition of his *Materials for a Theory of the Proletariat*, which appeared in 1921, Sorel wrote before his death: 'The idea of constructing a government of the producers will not perish; ... one would have to be blind not to see that the Russian Revolution is the dawn of a new era'.⁸⁰

Taking a view midway between these two directions in the workers' movement, Berth, in his article 'Bolshevism or Syndicalism', raised the question of why many revolutionary syndicalists welcomed the Russian Revolution while the followers of Jaurès and Guesde, with no exceptions, were hostile towards it. Berth agrees that the Russian Revolution is not of the sort expected by syndicalists. But this is no reason not to welcome it as the victory of the working class over bourgeois society.⁸¹

E.A. Preobrazhensky,
'Socialist and Communist Conceptions of Socialism',
in *Vestnik Kommunisticheskoi akademii*
(Moscow, 1925), no. 12, pp. 19–75; no. 13, pp. 3–33.

77 It is typical that Sorel welcomed the new form of proletarian state despite the fact that it excluded the syndicalist concept of revolution. He thereby acknowledged his own essential mistakes, and that was his second great service.

78 Sorel 1950, pp. 279–80.

79 Sorel 1950, pp. 285–6.

80 Sorel 1919, p. 53.

81 Berth 1925, pp. 8, 9, 12, 13, 15, 17, 26, 39.

PART 2

***[Foundations of a
Theory of the Soviet Economy]***

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On the Method of Theoretical Analysis of the Soviet Economy

Why do we raise the question of method for studying the Soviet economy? Surely it is obvious that we must study our economy by following the Marxist method.

Here is why the question must be posed. Of course, there is not the slightest doubt that in studying our economy we can, must, and will stick to the general foundations of the Marxist method insofar as it involves the method of dialectical materialism in general and Marx's general-sociological method in particular. However, when the question concerns the method that Marx applied in his political economy, i.e., the method for studying the production relations of pure capitalism, we are obliged to raise the methodological problem because the very material under study essentially changes. The research material changes fundamentally once it is a question of investigating not just the laws of capitalist development but also of capitalist degradation, the withering away of capitalist relations of production, and finally, analysis of the laws of the new economy that is replacing capitalism and has all the signs of a mixed transitional economy. In *Capital* Marx investigated *classical capitalism*; what we have to study is probably not completely classical and perhaps not classical at all, but it is nevertheless the living, real and first historical experience of a concrete commodity-socialist system of economy. There is only one circumstance in which we would not face the problem of method, and that is if we started with the assumption that the method of investigation that Marx used in *Capital* is *only* the general-sociological method of historical materialism, or that *Capital* provides an application of the method of historical materialism that is wholly and completely applicable, without the slightest changes or variations, to the study of any system of economy, whether it existed before commodity economy or is replacing commodity economy. But that sort of view, in turn, logically implies the assumption that theoretical political economy is a science that studies not only an historically determined system – namely, the commodity and commodity-capitalist system of relations of production – but also a science of production relations between people in general. We know that there is a small group of Marxists who support exactly such a viewpoint, as was demonstrated, in particular, in the report from I.I. Skvortsov to the Communist Academy 'On the Subject-Matter and Method of Political Economy'.

But we must consider it an incontrovertible fact, once again demonstrated by the debates concerning the report from comrade Skvortsov, that such a view of political economy completely contradicts everything that Marx himself wrote on the subject-matter and method of political economy. It contradicts his entire theory of capitalist economy, given in *Capital* and other works; and it depends, if we are speaking of the founders of scientific communism, only upon two-three imprecise formulations from Frederick Engels.

But if we take it to be given that Marxist political economy is the science of commodity and commodity-capitalist systems of economy, we thereby also directly face the issue of whether the method that Marx applied in *Capital* involves certain specific elements that are connected with the particular features of the material itself that is being scientifically investigated. Should it turn out that there are such elements, then the further question arises as to which of these elements are preserved and which disappear or need to be altered when turning to analysis of the sort of economic system that historically replaces capitalism, and that leaves aside the question of the need for changes even when analysing capitalism itself during its monopolistic stage and the period of decay.

It is quite obvious that we cannot respond to all of the questions that we have just posed unless we say a few words about the Marxist method of political economy in precisely the connection that interests us. Following this methodological excursion, it will also be easier for us to understand the question of method in a theoretical analysis of the Soviet economy.

1 The Marxist Method of Political Economy

To understand the method that Marx employed in *Capital* we have, on the one hand, a number of direct methodological formulations from Marx that are scattered throughout his works, and on the other hand, the concrete studies in which this method is actually demonstrated.

Touching upon the question of method, Marx often endeavoured to explain how applying the method of materialist dialectic differs according to the concrete material being studied. In the study of natural phenomena, for instance, he pointed out that when they cannot be observed in pure form it is possible to proceed by organising experiments that ensure such observation. On the contrary, 'in the analysis of economic forms neither microscopes nor chemical reagents are of assistance. The power of abstraction must replace both' (the preface to *Capital*).¹ Here, Marx provides the first great division of the research

¹ Marx 1976, p. 90.

material that we approach with the dialectical method, i.e., the division into nature and human society. With respect to social processes, which cannot be repeated or reproduced artificially, he thought it was necessary to replace the possible results of experimentation with the power of abstraction. The method of historical materialism is essentially a highly abstract method of investigation: within the single complex of a social organism, where direct relations of the production process are intimately interwoven with what Marxist terminology refers to as the 'superstructure', a Marxist begins the analysis with the transformative centre of all changes and all movement, i.e., with the economy, distinguishing it at a certain stage of the investigation from everything else by the force of abstraction.

But the difference in applying the method does not end here. When the base is abstracted from the superstructure, and when we turn to investigation of this base – in the present case, to the investigation of a commodity-capitalist economy – the very material of the investigation, the specific character of the laws precisely of the capitalist system, demands that we further exert the force of abstraction. The point is that lawfulness in the development of the capitalist mode of production has its own unique features. In order to grasp the fundamental dialectical law of the development of capitalist economy and its equilibrium in general, it is necessary first to get beyond all the phenomena of concrete capitalism that interfere with understanding its form and its movement in the most pure form. Marx writes in this connection:

In theory, we assume that the laws of the capitalist mode of production develop in their pure form. In reality, this is only an approximation; but the approximation is all the more exact, the more the capitalist mode of production is developed and the less it is adulterated by survivals of earlier economic conditions²

Consequently, in order to understand the laws of capitalism it is necessary to develop the concept of pure capitalism, as Marx does in *Capital*. Moreover, this use of abstraction is still not the most distinguishing difference between Marx's general-sociological method and the method of his political economy. That difference comes later, when the analysis of pure capitalism reveals specific aspects of this economic structure that require an abstract-analytical method suited to the particular features of the material being studied. Capitalism is a system of economy that, on the one hand, is a single coherent organism, with

² Marx 1981, p. 275.

mutual ties and the interdependence of all its parts, while on the other hand it is an unorganised system of economy in which equilibrium is only spontaneously achieved and, at the same time, the relations between people are reified or materialised for this very reason. The essence of things and the form of their manifestation do not correspond. The immanent laws of the development and equilibrium of the system assert themselves through a mass of spontaneous accidents and intersecting tendencies, and they can be grasped only on the basis of a deeply critical and abstract analysis of the system's fundamental law and its forms of appearance, i.e., by establishing the law of value, which is the law of the capitalist mechanism's self-regulation. The purer our conception of capitalism, the more distinctly do we see all the immanent laws of its development and equilibrium; and the more clearly, on the other hand, do we also see the exact specificity of the actual *type* of lawfulness in capitalist economy and the concrete meaning of the very word 'law' in relation to this form.

With the whole of capitalist production, it is always only in a very intricate and approximate way, as an average of perpetual fluctuations which can never be firmly fixed, that the general law prevails as the dominant tendency.³

It is very important to notice that Marx speaks here of the complexity and approximation of a law's manifestation not with respect to concrete capitalism, where all of this may be caused by the distorting influences of other economic forms, by the remnants of feudalism for example. No, Marx is speaking precisely of pure capitalism, of capitalism in general, whose analysis requires a *second degree* of abstraction. We can imagine capitalism at a stage when it embraces the entire world economy, and when the sphere of production includes only the two classes of capitalists and workers, yet we might still understand the laws of capitalism in the spirit of vulgar economics, i.e., by passing off as science the snapshots captured by a philistine consciousness, complete with the reified relations of commodity production. It is precisely the analysis of *pure* capitalism that also reveals in purest form this specific feature of the lawfulness of commodity economy, which is inherent only in an unorganised yet simultaneously a single and coherent economic complex. Hence, there is also a special methodological approach to studying an economy of this type. Only by the method of an abstract-analytical dialectic, and only by

³ Marx 1981, p. 261.

beginning with the conception of the law of value, is it possible to follow all of this complex process, which is so extremely confusing to the investigator. With regard to economic forms in which the law of value does *not yet* operate, and also the form in which it will *no longer* operate, there is no need for this second degree of abstraction and for the complexity of methodological approaches that characterise Marxist political economy and *Capital*.

To clarify this idea, consider one example. The law of the deviation of price from value, which is only a form of the law of value's manifestation, is inherent in the capitalist system; it flows from the whole structure of capitalism and its peculiar method of achieving equilibrium throughout the entire system of production, exchange, and distribution.

The possibility, therefore, of a quantitative incongruity between price and magnitude of value, i.e. the possibility that the price may diverge from the magnitude of value, is inherent in the price-form itself. This is not a defect, but, on the contrary, it makes this form the adequate one for a mode of production whose laws can only assert themselves as blindly operating averages between constant irregularities.⁴

In such circumstances, it is only through revealing the law of value, as the central law of the commodity-capitalist system, that it is possible to discern the lawfulness of the entire system and its movement through its 'constant irregularities', and then logically to derive from the activity of the law of value all the categories of political economy as a scientific description of the real production relations of capitalism that spontaneously develop on the basis of this law's functioning in real life.

In this context, it also becomes perfectly understandable why this entire structure appears in the investigation to be an *a priori* design, although Marx himself came to it through the critical examination of enormous factual material. It is only thanks to the study of concrete facts, combined with the abstract, analytical work of thought, that he constructed his theory of abstract capitalism, in which real capitalism, freed from everything that is contingent and not typical of this economic form, lives, moves and is illuminated by all the colours of the rainbow, while this whole edifice, in turn, projects an amazing spotlight back upon capitalist relations in the real world.

⁴ Marx 1976, p. 196.

2 Political Economy and Social Technology

Political economy is the science that reveals the laws of the development and equilibrium – and to some extent also the laws of the collapse – of the commodity and the commodity-capitalist mode of production, as an unplanned and unorganised mode of production. The antithesis of commodity production, which historically replaces it, is the planned socialist economy. In the sphere of economic life, the planned economy counterposes the product to the capitalist mode of production's commodity; the measurement of labour-time to value; the bookkeeping of a planned economy to the market as the sphere of the law of value's manifestation; and surplus product to surplus value. The result is that in scientific terms, political economy also gives way to social technology or the science of socially organised production.

Political economy, Marx said in his introduction to the *Contribution to the Critique of Political Economy*, 'really has nothing in common with technology',⁵ emphasising that political economy's direct and immediate task is analysis of the relations between people in the process of production (how they develop in the commodity and commodity-capitalist economy), rather than analysis of the relation of man to nature. This also means that political economy is not social technology. It studies only the production relations of a spontaneous and unorganised form of economy, together with the patterns that regularly inhere only in this form and how they appear on the basis of the operation of the law of value. Regular patterns appear here in such manner that the results of the law's operation fail completely to correspond to the goals, plans, wishes and expectations of the agents of production. They make their calculations only within the confines of a very restricted economic sphere; and due to the very essence of the whole system, they can never foresee the final objective results – for the economy as a whole – of their scattered activities, disconnected efforts and uncoordinated plans. Knowledge of the laws of capitalist production and exchange, which is very important for understanding what occurs in production in one circumstance or another, cannot eliminate the domination of things over people when precisely the production relations of commodity economy exist and operate in the sphere of everyday life. If every capitalist and merchant of today's world economy had a perfect understanding of Marx's *Capital*, they would probably make better calculations within the limits of their sphere of activity, and they might commit fewer stupidities, but they would not be able to overcome the economic

⁵ Marx 1970, p. 51.

consequences that flow from lack of organisation, from spontaneity and the inability to anticipate possible results or to plan the distribution of productive forces. Being proves to be stronger than consciousness. When Engels, in *Anti-Dühring*, ridiculed Dühring for attempting to preserve the law of value in the sphere of distribution 'in the society of the future', he wrote as follows:

The 'exchange of labour for labour on the principle of equal valuation', in so far as it has any meaning, that is to say, the mutual exchangeability of products of equal social labour, hence the law of value, is the fundamental law of precisely commodity production, hence also of its highest form, capitalist production. It asserts itself in present-day society in the only way in which economic laws can assert themselves in a society of private producers: as a blindly operating law of nature inherent in things and relations, and independent of the will or actions of the producers.⁶

The question is: What changes occur in this respect when society makes the transition to fully organised, planned socialist production? Is the activity of people still subordinated to necessity? Is there still a regular pattern in the sphere of social relations? Yes, of course. To think otherwise would be to overthrow the entire theory of dialectical materialism and replace it with a worldview founded upon relapse into the philosophy of free will, whether individual or collective. If we consider freedom to be consciously recognised necessity, then lawfulness in the area of people's economic and social activity continues also to prevail here, but what changes is its form. In a planned economy, law 'asserts itself' in a way that differs from the unorganised commodity economy. But in both cases there is lawful regularity, although in view of this difference of form it has been considered necessary to replace the term 'law' with something else. And to the extent that regularity asserts itself differently, the method of grasping this regularity also changes. The method varies due to the change of the material being investigated, and one social science replaces another when we turn to study this altered material.

Let us consider more concretely what changes occur in the material being investigated and why political economy must give way to a different science. With regard to this theme, we find in Engels's *Anti-Dühring* the following classical formulation, which he and Marx both frequently repeated elsewhere and

6 Engels 1954, p. 433.

which, to a considerable extent, is often understood in a simplistic, not to say vulgar, manner. I have in mind the famous phrase concerning the 'leap' into 'the realm of freedom'.

With society's seizure of the means of production, commodity production is eliminated together with the product's domination of the producer. Anarchy in social production is replaced by planned, conscious organisation. The individual struggle for existence comes to an end The whole sphere of living conditions that surround man and have ruled over him now comes under the dominion and control of people, who only now, for the first time, become the real and conscious lords of nature, since they now become masters of the conditions of their own social organisation. *The laws of their own social activity, which hitherto confronted them as the alien and dominating laws of nature, are applied with full understanding and are thereby mastered.* People's own social conditions of existence, which previously confronted them as the creations of nature or history, now become the product of their own free activity. The objective and alien forces, which hitherto dominated society, now come under the control of people themselves. Only now can people make their own history in a fully conscious way, and only now will the social forces that they set in motion bring results that are mainly, and to an increasing extent, willed by people. This will be humanity's leap from the realm of necessity into the realm of freedom.⁷

In connection with this question, it is also useful to note what Marx said about freedom and necessity in the economic sphere:

The realm of freedom really begins only where labour determined by necessity and external expediency ends; it lies by its very nature beyond the sphere of material production proper. Just as the savage must wrestle with nature to satisfy his needs, to maintain and reproduce his life, so must civilized man, and he must do so in all forms of society and under all possible modes of production. This realm of natural necessity expands with his development, because his needs do too; but the productive forces to satisfy these expand at the same time. Freedom, in this sphere, can consist only in this, that socialized man, the associated producers, govern the human metabolism with nature in a rational way, bringing it under

⁷ See Engels 1954, pp. 392–3.

their collective control instead of being dominated by it as a blind power; accomplishing it with the least expenditure of energy and in conditions most worthy and appropriate for their human nature. But this always remains a realm of necessity. The true realm of freedom, the development of human powers as an end in itself, begins beyond it, though it can only flourish with this realm of necessity as its basis. The reduction of the working day is the basic prerequisite.⁸

The reader can see from these formulations by Engels and Marx that neither of them mentions eliminating the 'laws of the social activity' of people, although concretely the historical law of value, i.e., the law that determines the activity of agents of production in an unorganised commodity society, does cease to exist along with the whole of this type of production. Moreover, Marx makes the very important comment that under socialism it is precisely the growth of needs that must increase the growth of necessity, i.e., in this case the growth of an economic need to satisfy them. Under socialism and then communism, laws are applied and utilised by people, and in that sense people become the masters. But one can only master something that exists; to master the power of steam, to master the spontaneous activity of nature's laws in general, does not mean to eliminate these laws. It only means to direct their activity into a desired channel. Yet it is obvious that to master 'the laws of their own social activity' also means profoundly changing the form in which these laws appear. This is what constitutes the difference between the laws of capitalist production and the social-economic regularities of a planned socialist economy. Determinism prevails here too, but the forms of conditionality and causality are different. Let us explain this with a very simple and typical example, in which the structural difference between capitalism and socialism appears most strikingly along with the ensuing difference *in the forms* of regularity.

Suppose that in some capitalist country there is underproduction of leather shoes, compared to the effective demand for this commodity in the market. To begin with, the disproportion is discovered *post factum*, after the increased demand has emerged. It cannot happen otherwise in the absence of any general organisation of production and with no accounting of its volume or the volume of effective demand. True, capitalist society generates its own palliative methods of accounting for future demand, but they merely mitigate the inevitable fluctuations of crises and cannot eliminate them insofar as the system for distributing the productive forces remains that of commodity eco-

8 Marx 1981, pp. 958–9.

nomy.⁹ The increased demand causes a higher price for shoes, and the consequence is an unforeseen redistribution of the national income – involving pleasant surprises for some and unpleasant ones for others – which is different from what would have occurred had there been an equilibrium of supply and demand. Then comes an increase of production in the existing enterprises of the leather industry, an influx of new capitals, and perhaps new construction. Since the volume of added demand is likewise completely unknown, just as the fact of underproduction was unknown before the warning issued by the market, the additional production may and usually does surpass the limits of the added demand; the period of underproduction is then replaced by a period of overproduction, followed by a fall in prices, a new spontaneous redistribution of the national income and of capitals between the various branches, and so it continues until the next disproportion. Any correspondence of supply and demand occurs by accident, and the rule is disproportion in one direction or the other. That is how the need to achieve equilibrium between production and effective demand asserts itself through the operation of the law of value. The laws of the social activity of people in the sphere of production confront the agents of production as uncontrollable forces of nature that are alien to them and act blindly. Just as the achievement of equilibrium in everyday life requires a regulator, one that inheres only in the given system, so an understanding of this entire mechanism and of the unique forms through which regularity is manifest requires special methodological procedures.

Let us now consider how lawfulness will assert itself in analogous circumstances with a planned economy. Suppose the increased demand for shoes occurs in socialist society. The statisticians of socialist production will, in the main, have taken it into account *in advance*, using the methods of calculating mass consumption that will be worked out with this form of production. Here the growth of needs – resulting from population increase and other causes that can be accounted for – will be taken into consideration when drafting the production programme of the shoe industry, along with all the consequences that this entails for other branches. But the very fact of growing demand for leather shoes *is an objective fact* (insofar as it is not affected by society's own conscious influence, leading to replacement of one type of footwear by another, or by production itself consciously creating a new need). The regulating centres of

9 Under monopoly capitalism, which means a growth of the organisation of production and exchange on a capitalist basis, there is a better accounting of production, and partly of effective demand, than with completely free competition.

economic life can *adjust* to this objective fact, but they cannot abolish or cancel it. And the adjustment of production to demand in one branch will cause a number of necessary measures in the distribution of labour power to adjacent branches, including those such as production of leather material, which, to the extent that it involves raising livestock, depends more than other branches upon natural conditions. The difficulty may be partially overcome by drawing upon warehoused reserves for distribution, which in a planned economy will always play an enormous role. But in this and any other case lawfulness, as an external and compelling fact, remains even though it asserts itself in ways completely different from those of a commodity economy. It neither asserts itself through the market nor makes itself known *post factum*, but instead asserts itself *in advance, ante factum, in the consciousness of society's regulating economic organs*. It is not prices in the market *following production*, but rather the columns of figures provided by socialist bookkeeping *before production* that sound the alarm and impress the consciousness of the planning centres: they notify the leading economic centres of the rise of new needs and thereby also of the economic necessity that must be accommodated. This anticipation of lawful regularity is precisely the first typical feature of the new socialist production, distinguishing it from what went before. This distinguishing feature also appears in the fact that the interdependence of the separate parts of the production mechanism likewise makes itself known not spontaneously but instead in the adjustments of proportionality that are laid down in advance by the Gosplan¹⁰ of the socialist economy. Society's mastery of the productive forces is achieved as the result of foreseeing the intended measures, together with their consequences and the preconditions they require. With this kind of adjustment to economic necessity, there is an extraordinary increase in the range of methods and opportunities to achieve new goals. Even with the same labour power and material resources available to capitalism, there is an enormous increase of the possibilities for economic manoeuvring; the change in the quality of the economic structure alone already makes it possible to increase the quantity of the results being achieved.

But insofar as the form of appearance of economic necessity changes, together with the form of an organised society's response to it within the sphere of everyday life, there is also a change in the method of studying this necessity and of adjusting to it in the sphere of consciousness. And in the sphere of science, with elimination of the law of value in the area of economic life, the old political economy is also eliminated. Its place is now taken by a new

10 [State Planning Commission.]

science, the science of foreseeing economic necessity in an organised economy and most expeditiously producing and otherwise doing what is required. This is a completely different science. This is social technology, the science of organised production and organised labour, the science of a system of production relations in which lawfulness in economic life appears in new forms and human relations are no longer reified, in which liquidation of the commodity also entails the end of commodity fetishism, in which anticipation of the results of economic measures and study of what *will be* is no less important and will soon become much more important than the study of objective consequences and analysis of what *was* and why it *was*. In a certain sense, this science differs from political economy in the same way as the market of a commodity economy will differ from the offices of the regulating socialist organs, with their extremely complex and extensive 'nervous system' of social foresight and planned guidance.

3 The Method of Studying the Commodity-Socialist System of Economy

It is a complicated matter to analyse an economic system in which there is simultaneous operation of the planning principle – within the limits resulting from the existing level of economic organisation – and also the existence of the law of value, with its external and compulsory force of action. Study of such an economy is difficult primarily because neither one nor the other form of production exists in pure form. While the law of value, insofar as it operates in such a system, is an old acquaintance of ours that has been studied in terms of classical capitalism and with reference to the system of simple commodity production, it is the opposite with planned economy; this is something unfamiliar that is making its first historical appearance in our economy and has only partly revealed itself to us. Moreover, this law of value and the planning principle, whose basic tendencies in the Soviet economy take the form of the law of primitive socialist accumulation, are functioning within a single economic organism and oppose each other as a result of the victory of the October Revolution. Consequently, neither law appears in pure form. The proletarian state is simultaneously guiding the state economy and conducting domestic and foreign policy, striving for preservation of the existing system, its reinforcement, and victory within it of the socialist principle. In doing so, it faces opposition from world capitalism on the outside and from the private economy within. As a result, its line of economic policy and the real results that are achieved in the economic arena do not optimally follow the law of primit-

ive socialist accumulation but are instead a resultant¹¹ that emerges from the existing relation of forces between socialist tendencies and the opposing influences that they encounter.

In these circumstances, it is perfectly obvious that a simple description of what is and what has been will not be scientific in any real sense of the word. Marx said that if the form of the appearance of things and their essence corresponded, then no science would be required. This refers not only to vulgar economists, who simply depict the surface phenomena of a capitalist economy; it also provides a note of caution against any future relapse into vulgar economics, including a vulgar study of the Soviet economy. A description of what results from the struggle of two different principles in our economy is incapable of explaining why precisely one result occurs rather than another, or of yielding any prognosis concerning the future. Consequently, in this case, too, it is necessary to turn to the abstract-analytical method of investigation to attempt to disclose the intersecting tendencies in their pure form. The main difficulty here does not lie in analysis of the law of value or even in the distortions and limitations of the activity of the law of value that we continuously observe in our economy. First of all, we know in this case what is being distorted and limited. We can compare a photograph of the distorted law of value with the original. On the other hand, we have already studied the experience of distortions of the law of value under monopoly capitalism, and consequently not all of the possible distortions of this law's activity are unique or surprising to us. The main difficulty is to be found precisely on the side of the law of primitive socialist accumulation. It is most difficult to reveal in pure form the tendencies of precisely this law and then to explain all the restrictions to which its inherent tendencies are subjected as a result of the activity of the law of value.

In the very attempt to analyse the law in pure form and to trace deviations from it, we encounter the following difficulties, sometimes expressed as objections, in formulating these difficulties. First of all, is it possible in general to speak of a law with reference to the process of primitive socialist accumulation, or would it not be more correct simply to speak of the planning principle and its operation? Secondly, is it possible and would it be methodologically correct to analyse the activity of the law in its pure form, including at a certain stage of the investigation abstraction from the real economic policy of the Soviet state, which is dictated by the totality of the political situation? Third, and finally, is it possible in general to begin with the assumption that two fundamental

11 [A 'resultant' vector in physics is the line (vector) that results from adding two or more vectors together. In this case, Preobrazhensky has in mind the vectors of planning and activity in the market.]

laws are struggling within our economy? Which of them is then the sole regulator of the economy?

Our previous exposition has already partly prepared the answer to the first question. Here is the sense in which we can speak of the law of primitive socialist accumulation. A law, in the social-political sense, refers to a consistency of effects resulting from reproduction of relatively the same causes in relatively the same social circumstances (absolute repetitions do not occur in nature and still less in society). A law, in the economic sense, is a consistency of effects issuing from reproduction of a determinate type of relations of production. Here is an example. The law of value begins to operate everywhere that the production relations of commodity and commodity-capitalist economy appear. Assume now that the planning principle begins to operate in a society. Does this mean that the law of causality ceases to function, that regularity is eliminated in the sphere of production relations? We have already answered that question in the negative. Lawfulness simply takes a different shape and enters into consciousness from the outset. What is economically necessary is known in advance, taken into account beforehand, and then leads to organised action in a certain direction. That is the only difference.¹² But once the new type of production

12 In his 'Syllabus of Political Economy', Comrade A. Kon writes as follows concerning the question of method in studying the Soviet economy:

However, we consider it categorically imperative to emphasise that *by including in a course on the theory of capitalism the question of the refraction of capitalist laws in the Soviet economy*, we do not intend, in studying political economy, *to study the theory of the Soviet transitional economy*, still less the economic policy of the Soviet authorities. We are fully aware that in our economy causal and purposeful principles are combined, and for this reason *a study of the Soviet economy on the axis of causality is impossible*. We understand very well that in a theoretical investigation of our economy, the basic problems of political economy (the problem of value, money, surplus value, income and so forth) are significantly modified and are being pushed into the background by the new problem of spontaneous and planning principles in our economy. We do not forget for a minute that our economy is, by its very essence, transitional, and for that reason even the methodological devices of the investigation are being modified (Kon 1923, pp. 19–20.).

The author is absolutely correct in saying that the theoretical analysis of our economy, as an economy of a special type by comparison with capitalism, demands modification even of the methodological devices of the investigation, which I also demonstrate in this book. But he is not correct, in terms either of the formulation or of the essential point, when he speaks of the impossibility of 'a study of the Soviet economy on the axis of causality'. Insofar as the law of value remains in force for a planned economy, changing only the form of its manifestation, and since it is only the form of determination of the will, as a collective and conscious will, that changes, a study of the lawfulness of our economy, as with any scientific study in general, remains a study 'on the axis of causality', and only the methodological approaches change. I note, in passing, that in his 'syllabus' the author should

relations begins to force its way through, it must first and foremost struggle to exist and become stronger, which in our economy, in conditions of growing capitalist relations within and the capitalist encirclement without, means struggling to exist through the reproduction of socialist relations every time on *an expanded scale*, with a definite *scale of expansion* being objectively imposed upon the Soviet state. This is a question of life and death for the entire system. But to struggle for reproduction of relations of the given type, i.e., of the socialist type, means first of all to struggle for an increase of the means of production belonging to the proletarian state; second, for unification around these means of an ever-increasing number of workers; and third, for an increase of labour productivity throughout the system. And this means to struggle for expanded reproduction of the system in question, or for the maximum of primitive socialist accumulation. The whole totality of tendencies, both conscious and semi-conscious, which are directed towards maximal development of primitive socialist accumulation, is also an economic necessity, a compulsory law of the existence and development of the entire system, which continuously reproduces its pressure upon the consciousness of the collective of producers within the state economy and leads them, again and again, to repeat their activities aimed at achieving the optimal accumulation within given circumstances. The necessity of these activities is known, even if not always clearly,¹³ but this changes the form of the law's appearance and does not abolish it. If we poorly understood the need to act – and to do so with increasing speed and energy in the spirit of accumulation – the objective facts would whip us onwards, such as growth of the goods famine, the growth of private accumulation, the threat to the whole system's existence due to the weakness of our industry and its military-industrial base, etc. In such circumstances, any objection to the term 'law', simply on the grounds that its form of appearance changes, or its character changes in terms of the way it determines people's will, would amount to nothing more than philological doctrinairism.

Consequently, we can speak of the law of primitive socialist accumulation. We not only can but *must* speak of it if we want to *advance* the scientific study of our economy and its specific features.

change the formulation regarding land rent in the soviet system, replacing an affirmative with an interrogative sentence.

- 13 The change to consciously planned regulation is both historically and immanently connected with socialisation of the means of production; such regulation is *inevitable* after the socialist revolution. However, the degree to which it is 'conscious' is an entirely different question. Even if it were true that the concept of 'law' is not applicable where there is conscious management of production, we could still speak of a law if only because the role of consciousness and foresight is with us quite modestly developed.

The following sort of counter-argument is frequently made: Why speak of some kind of law when it is simply a matter of struggle by the socialist planning principle with the spontaneity of commodity economy? This is the objection of a person who stubbornly resists a bath because he can do quite well without it. I agree that for those who do not want to become involved with a scientific analysis of our economy and the current phase of the socialist principle's development within this economy, there is no need to go any further. But anyone who wishes to *move forward* will agree that the phrase referring to a struggle of the socialist planning principle with the spontaneity of commodity production says nothing of the uniqueness, the peculiarities and the specific features precisely of *the current period* of this struggle. This phrase, in however many different forms it is presented to us, remains an empty and vacuous formula unless we give it concrete content that is connected with the current period and the current social-economic condition of the state economy's existence. We waged a struggle with commodity economy under War Communism. We are waging it presently, and we shall be waging it for ten, twenty, and probably thirty years. We shall also wage it when our socialist industry has acquired a new technical base and will perhaps have become part of a European system of socialist production, and so forth. With regard to such various conditions, such differing technical-production relations, such diverse systems of ties between organised and private economy, can we really be satisfied with one and the same general phrase, which, of course, will remain true for twenty or forty years but for that very reason will always be without content?

To the contrary, the moment we attempt to move beyond this general phrase towards a more concrete analysis of the lawfulness of the current period of our economy's existence, the moment we concretely pose the question of what the struggle of the planning principle with commodity economy means at the present historical stage, we immediately encounter the problem of primitive socialist accumulation and all the regularities of this process. The cognitive content of our analysis is enriched by a number of generalisations that allow us also to grasp the fundamental contours of an immanent law that inheres in the given stage of the struggle of the planning principle with the law of value, as well as separating the contingent from the general, the derivative from the essential, and the form of the appearance from the essence of the matter.

A second objection of a methodological character, which certain opponents already expressed after the appearance in the press of the second chapter of this book, involves the claim that it is incorrect to analyse the economy of the Soviet state separately from the politics of the Soviet state. This objection is completely unfounded and goes against both Marx's general-sociological method and the theory of historical materialism. It is by no means a coincid-

ence that in his first major economic work, i.e., *A Contribution to the Critique of Political Economy*, Marx included a preface in which he outlined his general-sociological method. With his concept of the 'base and superstructure', he justified his right to begin the analysis of capitalist economy with the 'base', even if a certain superstructure was always presupposed as an objective social fact. In theoretical economics, abstraction commences from the very beginning of the investigation since this science begins precisely with the base. This does not diminish the role of the superstructure or the importance of studying this side of the relations between people, but that is not where the investigation begins. In the first draft of the plan for *Capital*, Marx also listed a section on the state, but he preferred to turn to this question at a later point, following the analysis of capitalist economy in the strict sense of the word. Why, then, in a *theoretical analysis* of the Soviet economy, should we not likewise begin with the base? My opponents on this issue, without realising it, migrate from the Marxist method into the camp of the famous German sociologist Stammler¹⁴ and his school, while also extending their hand to all the other critics of Marxism who attack the theory of historical materialism precisely for its principled methodological way of posing the question of the base and superstructure. Here is what Stammler wrote on this theme. In his work *Economy and Law*, he says that it is impossible in political economy to take a purely economic point of view apart from a quite definite social regulation that logically conditions it. Objecting to investigation of the economy apart from politics and law, and criticising in particular Marx's preface in *A Contribution to the Critique of Political Economy*, Stammler wrote:

Thus it will be correct to counterpose not economic life, economic production or economic structure and so forth, on the one hand, to the legal order and the political superstructure, on the other, but the matter of social life to its form, as two elements of the single product of man's life.¹⁵

And again:

Whoever wants to take as the direct object of his scientific study the social economy itself, as a coherent system of collaboration, cannot put forward and substantiate a single socio-economic thesis which does not presuppose a previously determined regulation of social life. Every investigation

14 [Rudolf Stammler (1856–1938) was a neo-Kantian legal philosopher.]

15 Stammler 1906, p. 324

of land rent, wages, interest or profit also *depends* on the existence of a definite legal order, as also does every doctrine on money, credit, price formation or any other chapter of political economy.¹⁶

I shall not continue with other such typical quotations. It is quite evident that my opponents have found themselves in the company, quite embarrassing for them, of a prominent critic of Marxism and his school – with Biermann, Diehl, A. Hesse and R. Stolzmann¹⁷ – along with the Russian subjective sociologists, to whom they also risk gravitating at the next point of their arguments.

To confirm the correctness of their objections, my opponents refer to the formula that Lenin loved to repeat, to the effect that politics is concentrated economics. What they fail to show is how the concentrate can be understood without a prior analysis of just what is being concentrated in politics.¹⁸ However, if they are comfortable beginning the analysis at the place where Marxists usually finish it, then let them try to do so. We are listening to them. As for me, I am standing on the ground of Marxism and consider it imperative to begin the analysis with the base, with the action of the laws of economic life, and then to explain the necessity of a certain policy. That is exactly how Marx acted in analysing both capitalist *production* and the entire system of capitalist *society*. Replying to actual and potential objections concerning *Capital*, in his letter to Kugelmann on 11 July 1868 he wrote:

Where science comes in is to show *how* the law of value asserts itself. So, if one wanted to ‘explain’ from the outset all phenomena that apparently contradict the law, one would have to provide the science *before* the science.¹⁹

My opponents evidently consider themselves to be more powerful than Marx and think it is possible to ‘provide the science *before* the science’. I am clearly not up to such a task. I shall wait while they launch a study according to

16 Stammler 1906, p. 192.

17 [Eduard Biermann, Karl Diehl, Albert Hesse and Rudolf Stolzmann were all committed, like Stammler, to idealist interpretations of history, law and economics. I.I. Rubin, in *Sovremennye ekonomisty na zapade* (Moscow, 1927) provides an excellent critical analysis of the work of Rudolf Stolzmann.]

18 The statement that the state guides the socialist sector of the economy and is inseparable from it only shows that there are more difficulties involved here for abstraction than under capitalism; but that does not in the least refute the need to separate the economy from politics at a certain stage of the investigation.

19 Marx and Engels 1988, pp. 68–9.

their own method. History will be grateful to them if, 'before the science', they provide something other than the usual vulgar economics on a new basis, of which we have quite enough examples in our economic journals and newspapers. I am committed to the modest task of beginning by abstracting from the real economic policy of the state, which is the resultant of a *struggle* of two systems of economy and the corresponding classes, in order to investigate in pure form the movement towards the optimum of primitive socialist accumulation, to disclose the action of opposing tendencies in pure form, so far as that is possible, and then to try to understand why the resultant of real life follows precisely one particular line rather than another.

Of course, this sort of analysis is difficult insofar as the consciously conducted economic policy of the state is quite frequently not a reaction to practical difficulties encountered in the development of socialist reproduction but rather of *taking these difficulties into account beforehand*, of anticipating them. A policy that is externally imposed (as a consequence of opposition from the private economy) has the appearance of decisions freely carried out. Economic necessity asserts itself externally in the garb of free choice of a certain line of policy. However, the conscious decisions of leading state organs are dictated by the optimum of primitive socialist accumulation and also by the need to *curtail this optimum* due to opposition from the private economy and the classes that represent it. To separate the optimum here, in its pure form, from the real policy, which has been forced to retreat from this optimum, is a very difficult task. To resolve this task requires a concrete analysis of the whole economic and political situation for each interval of time, or at least for a definite period of economic development. This difficulty results, therefore, from the very type of our economic relations, *from the intersection within them of the socialist principle with the principle of commodity production*. This is exactly the point where, in applying the general principles of the Marxist method, it is necessary to modify the methodological devices that Marx used in analysis of the production relations of pure capitalism. It is precisely here (although not only here) that we encounter those changes in the material itself under investigation, which compel us in a certain sense to move from the ground of political economy to that of another science, which represents a transition from political economy to social technology. This transitional science has yet to be created by the collective efforts of our economists. This science will have to study the question of how the regularities of economic life appear in a mixed, commodity-socialist system of economy; how the will of participants is determined in collective production, which is tied by a thousand threads to the private economy; and how relations will take shape in the private economy, developing as a private economy or adapting to the state economy, in conditions where the law of value is

being increasingly restricted by the planning principle. The fact is that novelty arises not just in the state economy itself but partly also in the private economy, which exists in circumstances where the so-called commanding heights are occupied by the *collective economy* of the proletariat. I am not at all inclined to regard the methodological device that I am employing in the present work – which consists of an attempt to separate from the outset, in pure form, the tendencies of two struggling principles, two methods of distributing labour power and means of production, in order to explain the economic resultant of real life – as the only approach possible. If some other researchers (I say explicitly researchers, not representatives of vulgar economics) suggest an alternative methodological approach that turns out to be more applicable and more relative to the very essence of our economy, then such an attempt must only be welcomed.

It should be fairly clear from what I have said that a successful scientific-theoretical study of our economy requires, on the one hand, a more thorough analysis of the very concept of a law, of a regular pattern, and of necessity in conditions of the development of a collective economy, and on the other hand – continuation of the *sociological* analysis, initiated in the ingenious works of Lenin, of the entire system of *Soviet society* as a completely new and unique social formation. This demands an enormous collective work, continuously renewed and continuously tested in experience by the minds of all our theorists.

I now turn, finally, to the third difficulty and the third objection that arises on the basis of this difficulty. Does it not follow from what has been said that in our economy, with its struggle of two principles, there are also grounds for two different regulators of the system as a whole? Is this possible in general, and if so, what would it mean in terms of a definite unity of the entire economic system as a coherent economic organism?

That two principles are struggling in our economy is a fact no one denies, apart of course from those who regard our entire economy as merely one of the variants of bourgeois-capitalist economy. But if, within a single economic organism, there is a struggle between two principles – as the antagonistic form of the whole system's movement forward, which is typical of the dialectical process of development in general – then the question cannot be posed in terms of whether there can be two regulators in such a position, but instead whether it is possible for there *not to be* two regulators. The only unity possible is the *resultant* at every given moment of the two struggling forces, i.e., the distribution of labour and means of production that is really taking shape between the systems and the market form of the connection between them, whose *content* changes, above all, exactly at the opposite poles of the economic whole.

If each principle is struggling for prevalence throughout the entire system, it is thereby also struggling for the type of regulation that organically characterises the given system of production relations, taken in its pure form. We can explain this with an example. Suppose that in our economy commodity-capitalist relations were to prevail, which in the sphere of politics would mean inevitable liquidation of the dictatorship of the proletariat, and in the sphere of economics, free development of the commodity-capitalist regulator of the economy, i.e., of the law of value. The distribution of social labour and means of production would then take shape as it always does with the operation of the law of value, i.e., there would be a rearrangement of labour power and means of production that would *best of all spontaneously reproduce commodity-capitalist relations*. With abolition of the foreign trade monopoly, there would be elimination of some enterprises and development of others, along with a decline of the country's industrialisation as a whole; and this entire process would be spontaneously subordinate to the task of reproduction of capitalist relations within the country and in those capitalist countries that would be drawn into the whole process of the bourgeois reconstruction of our economy. The current industry of the USSR and the existing proportions in the economy, and particularly the distribution of productive forces between heavy and light industry, between town and country, would most fundamentally change. The question is first of all whether there is inherent in our private economy, and secondly in the capitalist countries – who are earnestly striving, as their minimum-programme, for liquidation of the monopoly of foreign trade and of socialist protectionism – a tendency or pressure in this direction. Of course there is. And if that is the case, there is inherent within them a striving for *their own* type of regulation, which is also making its way wherever it does not meet with resistance from the other sector of the economy.

Now consider that other sector, i.e., the state economy. If it enjoyed maximum opportunities for reconstruction of the whole system, thanks above all to the victory of proletarian revolution in Europe, then, of course, with the formalisation of socialist relations as the fully and unconditionally prevalent type in the whole economy, not only would the planning principle triumph as the method of organising and guiding the economy, but the proportions in the distribution of labour and means of production would be essentially different compared to the current position, and even more so compared to the position that would emerge as the result of a victory for capitalist forms and operation of the law of value as the economy's sole regulator.

But if that is so, then it must be asked whether now, when the socialist sector is waging a struggle to exist and develop, there appears from this direction the operation of another regulator, which is trying to subordinate the whole

system to itself, to reconstruct it differently, and for this purpose to gather up more and more resources for organising labour anew around means of production that are growing more and more in quantitative terms and being improved qualitatively. The answer is yes, without a doubt. And now all that remains is to ascertain more distinctly what the activity of this law consists of, where it is concentrated, and where this whole process finds expression.

Assume now that from a certain moment our economic system, taken as a whole, is not experiencing a process of expanded reproduction but one of simple reproduction. There is no doubt in that case that if it were photographed, say in 1926, the distribution of productive forces and much else in the country's economy would look quite different from the present situation, when the system is in motion and we are dealing with expanded reproduction in both the state and the private economy. But what would the change be? We can answer this question in part by analogy with the distribution of productive forces under simple and expanded reproduction in a capitalist economy. Those who have read the second volume of *Capital* know that Marx begins there with a scheme of the distribution of the productive forces under simple reproduction and then turns to a scheme of distribution under expanded reproduction. With the same general sum of capital in the economy as a whole, the proportions of the distribution of $c + v + s$,²⁰ within each subdivision and between the two subdivisions, are then completely different. It is as if they were lined up in battle formation, and they provide a photograph of proportionality in the dynamic of expanded reproduction. In our economy, with expanded reproduction in both the state economy and the private one, the arrangement of productive forces, the proportions between the socialist and private sectors, and also the proportion between the branches of the socialist sector, must be different not only from simple reproduction but also from the proportions of expanded capitalist reproduction at the same level of industrialisation, and they are inevitably different each year from the previous one. Each new year for the state economy, if it finds itself in a condition of development, means:

- 1) an absolute increase of production by comparison with the previous year,
- 2) relative growth by comparison with the growth of private production, and
- 3) each year a different arrangement of its own internal forces, resulting precisely from the proportionality of expanded socialist reproduction of the given year. But the law that regulates this whole process – both the regrouping and growth of socialist relations of production and also the pumping of values out

20 Including also the division between the fund for consumption and the fund for accumulation.

of the private sector – is also the law of primitive socialist accumulation. In each given year it compulsorily dictates to us such a distribution of productive forces within the whole state economy as will also anticipate their distribution for the *next* year and, in part, for several years forward. In the first place, the level of organisation already achieved by the state economy, however modest in general and however much lower than *the already existing objective possibilities* for such organisation, and in the second place, the very character of our capital works, especially new construction – both demand in each given year such regroupings of the productive forces as will partially anticipate the proportions of the economy in future years. Otherwise, in 1926 we shall inevitably create both a goods famine for 1930 and a rupture of the equilibrium between our economy and the world economy, as well as the defeat of our import plans, which are subordinated to the task of industrialisation of the country – all to the benefit of the private economy. The fact that Gosplan has already turned to working out a five-year plan is not a coincidence. Such an intensification of planning is not only our accomplishment; it is also an urgent necessity that is directly dictated to the collective economy as an external and compelling law. The October Revolution has its logic on this battle-front. But if the transition to such planning is inevitable – and *we cannot, it is not within our power, to abandon it* or evade it once we have socialised industry and transport (otherwise there would have been no need in October to take up arms) – then what inevitably follows, already in 1926, is such a grouping of productive forces within the state economy as will answer the demands of the entire economy for the current year but will also foresee, to whatever extent possible, the proportions of reproduction for several years ahead, something that the capitalist economy cannot, by its very structure, do on such a scale and in such form. If we partially squeeze out the operation of the law of value – which is salutary for an unorganised economy, with both its minuses and its *pluses* – we must correspondingly replace the regulating activity of this law with another law, one inherent in the state economy at its current stage of development, and that is the law of primitive socialist accumulation.

But if this law dictates to us definite proportions within the state economy that *diverge* from the proportions dictated by market conditions of *the given year*, those definite *proportions* likewise *forcibly* dictate to us, in exactly the same way, a certain scale of the entire process of expanded reproduction in quantitative terms, and consequently an objectively necessary minimum accumulation of material resources (both at the expense of the state economy's own resources and through pumping over part of the surplus product from the private economy into the socialist sector), that goes beyond the limits of this minimum. We may have some room for manoeuvring, but failure to achieve

the minimum will strike our system in the form of a crisis of underproduction, which is what we are facing in 1925 and 1926. And this crisis, resulting in the growth of private accumulation due to the rise in retail prices, weakens our position in the struggle against the bourgeois elements of our economy and is dangerous both for the currency and for the level of real wages, as well as being dangerous politically. All of this, from the point of view of the problem that we are considering here, speaks of the fact that the law of primitive socialist accumulation is the regulator from this direction as well. *Failure to understand the fact that such a law exists, that it has compulsory force for the state economy and also influences the private one, is not only a theoretical mistake, not only mental stubbornness and conservatism, but also dangerous in practice, dangerous from the point of view of the struggle for existence of our entire system of collective economy.*

I must be especially emphatic in underlining the danger of theoretical backwardness on this point: with centralisation and guidance of the whole state economy, foresight plays an altogether exceptional role in the development and preservation of our system, which cannot be compared to the role of foresight under a spontaneous type of regulation. And this is also the reason for the enormous role, not just in scientific terms but also directly in *production*, of a correct theory of the Soviet economy. When there is uninterrupted chatter and squabbling in the parliament of a capitalist country, and in the sphere of science every respectable bourgeois economist and financier, strolling along the surface of economic life, considers it a duty to flaunt the paradoxes of his own inventions in order somehow to distinguish himself from all the others, such luxury in management and science can be indulged by bourgeois society *because regulation of the economy by the law of value is more intelligent and reliable than all of its professors put together.* Not only the self-seeking class interests of the bourgeoisie (so strikingly shown by Marx), but also the very *structure* of capitalist production either restricts economic science, at best, to the role of a photographic apparatus for the current conjuncture, or else tolerates it as a clever luxury. The errors of bourgeois economists have very little effect upon the successes of capitalist accumulation. In our own economy, where the role of foresight is so great and growing so quickly, where errors of economic policy are so painfully overcome by the whole economic organism and so distort the movement forward, economic science, theoretical foresight and a correct analysis of the economic system must acquire an altogether extraordinary importance. And contrariwise, mistakes in the area of economic theory are for us practically, economically and politically dangerous. In the sphere of theory, it is particularly harmful and even dangerous for us to ignore the presence in our system not 'simply' of socialist accumulation (to

state this fact does not require even vulgar economics), but also of the law of primitive socialist accumulation, as an objective factor with all the attendant consequences.

Some of our economists cannot admit, as a matter of principle, that in our economy not one but two regulators are operating. This is not the fruit of some profound mastery of the science of theoretical economics, but rather the unmistakeable product of scientific prejudice and inability to apply the method of Marxist dialectics in new circumstances. This is dogmatism and pedantry, nothing more. These economists are accustomed to the analysis of developed capitalism and to the conception of a single regulator insofar as there really is a single regulator under capitalism. And they not only display conservatism and mental timidity but also contradict the spirit of Marxism, the general-sociological and general-philosophical method of Marx, when they fear to travel the distance from theoretical economics that our economy has already travelled from capitalism in the sphere of *everyday life* – even though the former distance is modest compared to the latter. They are afraid to show in practice that political economy only studies an historically transitory type of production relations, so that its transformation into another science is completely inevitable following the socialist revolution – if any advance can be said to be inevitable in the sphere of theory. This mental timidity – whose social roots I shall not undertake to pursue, speaking instead only in terms of logic – is all the more incomprehensible since the law of value, you see, also did not suddenly fall from the heavens. Its activity unfolded together with the development of commodity economy. Not only is it not the single regulator of our economy, but it was never so in the past. Did not the law of value, in the period when commodity economy was devouring and absorbing the craft system, clash with the still existing craft system of regulating labour? This dualism in the past, at the dawn of capitalism's development, is a fact. Why is this fact impossible now that capitalist relations have begun to die out?

A person who can offer no objection to this argument apparently has to abandon the sphere of methodological discussion and shift to another ground by declaring that 'The whole question involves how one estimates the relative weight of the planning principle; you overestimate it, while we stick to the ground of reality'. Suppose that is so. However, the social-economic consequences of the October Revolution can hardly be outwitted in the sphere of logic. As a funny story says, 'there are two possibilities', and we will consider them both. One is that a single fundamental law, the law of value, acts today as the regulator of our economy. But how in that case, on the basis of this law – which, if we understand it as Marx did, must spontaneously reproduce capit-

alist relations – can the expanded reproduction of socialist relations occur, or still more, an improvement in the socialist *quality* of these relations?

It this position is true, were not the Mensheviks correct in their analysis of our system? Was not the late Parvus²¹ correct in thinking that our economy is completely bourgeois, with enormous possibilities for an American type of development, but that workers' power, with its interference in the production process, is the main impediment to the development of productive forces in the type of economy that he thought we actually have, i.e., a bourgeois type of economy that is regulated by the law of value? If all that our planning amounts to is that we grasp the inevitable action of the law of value and, under its dictate, write [into our plan] what it would otherwise prescribe to us by way of a spontaneous kick in the rear or in the back of the head (in the event that we do not 'grasp' it correctly), would we not be justified in asking: Is not all our planning in this case, and all our 'socialist' regulation, merely a *function* of the law of value? How then, in terms of the proportions of the economy and the relations of production, can we *not* reproduce capitalist relations on an expanded scale and precisely the distribution of productive forces that meets with the task of capitalist reproduction? It must be one or the other. Either these relations cannot internally contradict their 'regulator' for a sustained period, or else this is not our regulator – or more accurately, not the only one. I think that those economists with whom I am presently debating will resolutely deny taking the point of view I have just described and will not dare to draw such conclusions.

But there is still another possible way of framing the question; namely, that we do have a *struggle* of two principles in our economy, but that the socialist principle has been very weak, weaker than I take it to be in this work. Everyone formally recognises the fact of struggle between two principles. But the point is that for a struggle, as we know, there must be at least two struggling subjects. Dualism is already evident. The struggle, if it is really occurring, cannot fail to be a struggle for two different *types* of labour organisation, for a different distribution of productive forces, for two methods of regulation. How, then, can there not be another regulator that is antagonistic towards the law of value? This is simply not possible either logically or in reality. In that case, I would strongly advise those economists of whom I am now speaking to introduce a modicum of the 'planning principle' into their thinking, and to show how they

21 [Alexander Lvovovich Parvus, born Israel Lazarevich Gelfand (1867–1924), was one of the original proponents, along with Leon Trotsky, of 'permanent revolution' during the first Russian revolution in 1905. He collaborated with German intelligence during World War I to support Lenin's return to Russia in the hope of terminating the Russian war effort.]

draw a balance in their theory between the position that our state industry is of 'a consistently socialist type' – at the stage of expanded socialist reproduction (and not at the stage of being increasingly eroded by commodity economy) – and their obstinate assertions concerning a single regulator. It is now time, high time, to draw up a balance regarding this question. To get away with a phrase about the struggle of the socialist planning principle with the market is just not possible. As we have already pointed out, during the period of War Communism there was also a struggle of the planning principle with the spontaneity of commodity economy, and it will be waged to one degree or another for 20–30 years. The question is: How do we distinguish precisely *the current type of this struggle* from that of seven years ago or from what will come in 25 years? What does its lawfulness consist of, and how is the lawfulness of this struggle expressed precisely in the socialist sector of our economy? If you reject the law of primitive socialist accumulation, what concept do you suggest?

The moving force of capitalist production is the quest for profit, and its regulator is the law of value. Capitalism satisfies the consumer needs of society precisely through such a mechanism. The worker, in particular, receives his portion from the fund of means of consumption through the sale of labour power. How does the state economy differ from capitalism in this regard? On the one hand, it is already not production for the sake of profit or surplus value. On the other hand, it is not *yet* production in the name of and for the sake of consumption by the workers of the state economy, and still less for all the subjects of the private economy. Here our state economy incorporates an internal contradiction. This contradiction is connected both with its nature and with the conditions of its struggle for existence and development. On the one hand, it could be overthrown should it not fulfil the function of every historical system of production and satisfy the social needs of the given epoch. Here, the stimulus that drives it is the consumer pressure of workers and peasants, which acts both directly – i.e., not through the mechanism of striving for the greatest profit, as in capitalism – and also in many ways indirectly (the impossibility of securing the exchange of things with the private economy in the necessary proportions, etc.). The state economy is still only feeling its way here, especially within its own system; it has only *its own* inherent factors of stimulation and their organisational expressions. On the other hand, it may be toppled from its moving equilibrium if the necessary proportions of expanded reproduction, which are dictated by the whole economic situation, are not guaranteed by an adequate and continuously growing scale of accumulation of the surplus product in material form, which always entails a limitation of individual consumption. Within the state economy there is not a contradiction between these two tendencies in the form of class antagonism, but a contradiction in

general terms does still exist. This contradiction, as a whole, is characterised by the law of primitive socialist accumulation itself when the question concerns distribution. On the one hand, expanded reproduction in the socialist sector means automatic quantitative growth in the reproduction of socialist relations of production, with corresponding proportions in the distribution of productive forces each year. But, on the other hand, this quantitative expansion of socialist relations, which also demands alienation of a determinate mass of surplus product from the state economy along with the subordination of wage increases to the function of accumulation, leads to curtailment of growth in the quality of socialist relations and preserves a gap between the level of wages and the value of labour power. Here we see expressed not only a contradiction of the law itself, but also its historically transitory character. This is very important to keep in view from the standpoint of the methodological analysis of the whole economy, and particularly the forms in which its characteristic patterns appear.

When the economists whom I already mentioned talk of grasping the activity of the law of value through our planned regulation,²² they commit the mistakes that we have analysed because they consider the proportions that are forming in an economy on the basis of the activity of the law of value to be natural as well for an economy that is not developing in a capitalist direction. But there are additional reasons. They not only fail to take into account the importance of the changes that have occurred in the whole economy due to the altered composition of the peasant budget as a result of the revolution; they are not only reluctant to understand that the value regulator is necessarily being displaced and objectively must be squeezed out and replaced by the regulator of the developing collective sector of the economy; they evidently also confuse objectively necessary proportionality in the economy with *the methods of achieving this proportionality*, which means they confuse industrialisation of the country under the dictatorship of the proletariat with the growth of large-scale production in general. Meanwhile, not only the form of value but also what we call value relations in terms of labour expenditures are changing as a consequence of the growth of technique and labour productivity, and also because of conversion of the entire state economy into a single trust, which, with growth of the scientific organisation of labour throughout the state economy, is creating a new factor that is engendered by the cooperation of enormous integrated economic units. This specific aspect of our state

22 [That is, creating a plan that would correspond to the requirements of the market and the law of value. Preobrazhensky's point is that the plan should be determining the market, not the reverse.]

economy, which results from its socialist nature, is not so evident with a low level of technique, but it is a factor of immense importance with the approach of the technical level of our industry to the technique of the leading capitalist countries. Can it be said that the changes coming from this direction are connected with the activity of the law of value and not with its elimination or restriction, not with the struggle for existence and development of our state economy as a type of collective economy? We can understand neither this fact nor our stubborn effort to squeeze private capital out of trade and replace it with state trade and cooperation if we are going to consider the law of value to be the fundamental regulator of our whole economy. It is precisely in terms of the costs of its apparatus that private capital is 'more profitable' for the economy as a whole, and the productivity of labour is higher in private trade. However, we are moving forward despite the law of value, advancing along the line of a different law and subject to the activity of a different regulator.

The second thing that we have to note is the evident confusion of proportionality in the economy, which is objectively inevitable for any system of social production with a division of labour, with the historically transitional method of achieving such proportionality on the basis of the law of value. A correct, proportional distribution of labour is required both for capitalism and for socialism, and likewise for our current commodity-socialist system of economy. But even if it were shown – and I have demonstrated that it is impossible to do so – that the distribution of productive forces actually emerging in our country on the basis of struggle corresponds by some miracle to the distribution that would form under the rule of capitalist relations and on the basis of the law of value – i.e., that the proportions within collective production at the current stage of the country's industrialisation correspond to capitalist ones – *even then* the proposition of a single regulator would not be proven. What reason is there to think that the proportions we require *are dictated* by the law of value as the regulator, and can only be discovered through it, when the law of value is historically and, if you will, materially and physically connected to and inseparable from commodity production in which private property prevails in the means of production? Is replacement of private property by social property in all the commanding heights really just a formal-juridical act, without any change in the *essence* of the system? What is impossible about the proposition that we find the proportions we require primarily by our own methods, which, despite our extremely meagre experience in the matter of planned regulation, are higher and more perfect methods than achieving equilibrium by a spontaneous route? Why is such a proposition objectively impossible now, when we already project the general outlines of proportionality through *our own methods* of statistically accounting for needs and effective demand, methods that

also include an account of our potential influence on the private economy and our dependence upon it, while the law of value spontaneously provides only correctives? And if that is possible, if it is even halfway possible, then to say that we have basically one regulator means to confuse profoundly the form of regulation, on the basis of labour expenditures *under capitalism*, with the objective economic necessity for a proportional distribution of labour that exists for both commodity and commodity-socialist economy and that can be established by methods other than capitalist ones. With a commodity-socialist system, this very proportionality can be established *only* on the basis of struggle with the law of value and will always be a resultant of that struggle, even if the direction of the activity of the law of value and of the law of socialist accumulation have sometimes coincided in particular cases and in real situations.

One might say: But the point is that the commodity-money form of relations is dominant, and does this not really mean the inevitable existence of a single regulator, namely, the law of value? This objection is important, but it is rather formal and in large measure skates along the surface of events.

If we quickly glance at the general history of mankind – at the history of class struggle and the history of economic forms, whether progress occurs by an antagonistic or a peaceful-evolutionary route, or perhaps by an alternation of one and the other – the rule is that a change of content always and everywhere precedes a change of the form of relations between people. And exactly the same holds for the economic system created by the October Revolution. The form of connection with the private economy is imposed by that same private economy upon our state economy, and it automatically penetrates into relations within the state economy itself. Private economy, as individual economy, cannot develop without the exchange form of relations (it is enough to recall our experience with grain confiscations); but the state economy, even under the old form of exchange, can advance very far in changing the *content* of the social relations of production. To confuse the form here with the content, and the relative weight of each, is for the moment still partly excusable for a jurist. For Marxist economists, however, such confusion cannot possibly be excused, just as they cannot be pardoned when they also see the objectively necessary consequences of the socialisation of industry and transport, for the entire system of economic regulation, mainly in terms of form rather than substance.

Furthermore, it is necessary to eliminate one misunderstanding that may arise for the reader when reading the chapters of this book that follow. In our country, the limited potential of planned regulation of the economy is often asserted by reference to the numerous errors and miscalculations of Gosplan and other organs that are directing the economy. In a theoretical analysis of our economy, we make the proviso that we consider it necessary to establish and

appraise only those possibilities of regulation that *objectively* exist and depend upon the real balance of forces between the state and private economy, upon the optimally possible degree of organisation of the state economy at the given stage, and upon how our state economy is influenced by market relations from within and by the pressure of the world economy from without. We cannot reduce the objective possibilities of planning to the whole sum of our mistakes and ineptitude for planning. This would mean dumping every blunder upon historical necessity, including the ineffectual allocation of people to various functions. It is equally incorrect to attribute our inadequate understanding of the system of economy that we are guiding and its laws – along with the accompanying mistakes, however serious their objective consequences have been – to economic necessity, thereby correspondingly diminishing in our theoretical analysis the possibilities of conscious regulation that are *objectively incorporated in our system*.

E.A. Preobrazhensky, *Novaya ekonomika*,
2nd edition, pp. 49–85

The Law of Primitive Socialist Accumulation

It is no exaggeration to say that, for all of our practical workers and theorists, the most interesting, vital and debated question following the 1917 October Revolution and its military victory is the question of just what the Soviet system is; the direction in which it is developing; what its basic laws are; and finally, how this first experience of an economy, whose leading elements are moving beyond the limits of capitalism, relates to our old and traditional ideas of socialism. But the latter question is more correctly framed this way: After eight years of the dictatorship of the proletariat in a vast country, how should we now regard our former conceptions of socialism?

Not a single economic formation can develop in pure form and solely on the basis of the immanent laws that characterise that formation. To do so would contradict the very idea of development. The development of any economic form means that it displaces other economic forms, which are subordinated to the new one and gradually disappear. In these conditions, the diagonal of a parallelogram of forces operating in the economic sphere can never follow the line of the internal laws of the dominant form but will always deviate from that line under the influence of opposing forces. And these opposing forces, i.e., the forces of other economic forms that are included within the given economic system, take shape by following the line of their own laws of development. These laws of development of the old forms now become simply the laws of resistance to the new form.

But analysis of a system of economy, in which two basic laws are operating, becomes extremely difficult in the event that the historically progressive form is not the one that already prevails in the economy but is only just becoming dominant. And that is precisely how matters stand in our Soviet economic system. The difficulty here, as will be shown in more detail in what follows, arises when analysing the role of a third economic force. In the present case, that means small-scale production. During the Civil War, the cadres of socialism, i.e., the working class and the village poor, waged a struggle for the mass of the middle peasantry against the cadres of capitalism, i.e., the bourgeois-landlord, kulak and bureaucratic elements. The middle peasantry constantly wavered in this struggle, but generally it sided with the working class. Now, the struggle has moved to the economic sphere. Small-scale production serves equally as a base that nourishes both capitalist and socialist accumulation. The question of whether disintegrating small-scale production is transformed

mainly in a capitalist direction – creating wage workers on the one hand and a kulak economy on the other – or instead increasingly becomes the periphery of the state economy, has enormous significance for the fate of socialism in a peasant country. In the first case, not only will the tempo of development be slower, but the method of struggle by the socialist form against the capitalist form will also be different. Ultimately, the entire structure of the economy will look very different. And I have not yet mentioned the major political consequences that will inevitably be connected with an advance according to this variant.

This is not the only difficulty in terms of a theoretical analysis of the tendencies of development in the Soviet economy. There are sceptics who consider any attempt at theoretical analysis of the Soviet economy to be hopeless on the grounds that this economy has only existed for eight years and therefore cannot provide enough concrete material for theoretical generalisations. The arguments include frequent references to *The Economics of the Transition Period*,¹ by Comrade Bukharin, which was and still is merely a theory of the Red-Guard period of social revolution and objectively could not be anything more. On the other hand, the example of Marx's *Capital* is cited, which could only appear after modern capitalism had existed for many decades and commodity economy for centuries.

Following everything that was said in the first chapter concerning method, I think there is absolutely no point in diverting part of this chapter into a formal proof that a theoretical analysis of the Soviet economy is possible. That would mean digressing here from the real proof, which must be an actual analysis of the Soviet economic system. For that reason, I shall turn directly to the essence of the matter.

1 Primitive Capitalist and Primitive Socialist Accumulation

To understand the Soviet economy's current phase of development, it is extremely helpful to make a systematic comparison of the initial steps of socialism with the first steps of the capitalist mode of production. This comparison is extremely instructive and greatly facilitates our entire analysis. Both the similarity and the difference – and the differences are incomparably greater than the similarities – serve equally well to set out the specific features of the Soviet system of economy.

1 [See Bukharin 1982, pp. 38–91.]

Let us begin with the most important difference, which determines a number of others.

Capitalist production arises and develops within the womb of feudal society or within a feudal society that has been partly dissolved by commodity economy over many decades prior to the bourgeois revolutions. This applies fully to the development of merchant capital as the necessary preliminary stage of capitalist production. It applies to the first steps of manufacturing in England and to the first steps of capitalist machine industry on the continent. Capitalism was already able to pass through its period of primitive accumulation during a period when absolutism prevailed in politics and simple commodity production prevailed in the economic sphere, along with relations of feudal serfdom.

Bourgeois revolutions begin after capitalism has done significant work in building up its own system in the area of the economy. The bourgeois revolution is simply an episode in the process of bourgeois development, which begins much earlier and continues with great speed afterwards. The socialist system, to the contrary, begins its chronology with the capture of power by the proletariat. This follows from the very essence of socialist economy as a single complex, which cannot be built up bit by bit within the milieu of capitalism. Whereas merchant capital could develop in the pores of feudal society, and the first capitalist enterprises could function without entering into implacable contradiction with the existing political structure and property forms – instead, as we shall see in what follows, actually sucking up its juices – the complex of state socialist production can only appear as a result of breaking through the old system, along its entire front, through social revolution. This fact has colossal importance for understanding not simply the genesis of socialism, but also the whole of the ensuing socialist construction. Conversely, an inadequate understanding, or forgetting the very essence of what socialism is, has often led and still leads many comrades to a purely philistine and sometimes even a directly reformist view of the Soviet economy and its paths of development.

In order for capitalist accumulation to begin, the following preconditions were required: 1) a preliminary accumulation of capital in individual hands sufficient for the application of a higher technique or a more advanced division of labour using the existing technique; 2) the availability of a cadre of wage labourers; 3) a sufficient development of the system of commodity economy in general as the basis for commodity-capitalist production and accumulation.

With regard to the first of these conditions, Marx says:

Where the basis is the production of commodities, large-scale production can occur only in a capitalist form. A certain accumulation of cap-

ital in the hands of individual producers therefore forms the necessary pre-condition for a specifically capitalist mode of production. We had therefore to presuppose this when dealing with the transition from handicrafts to capitalist industry. It may be called primitive accumulation [*ursprüngliche Akkumulation*], because it is the historical basis, instead of the historical result, of specifically capitalist production. How it itself originates we need not investigate as yet. It is enough that it forms the starting-point.²

The question is: How do matters stand in this respect with primitive socialist accumulation? Does socialism have its own prehistory, and if so, when does it begin?

We have already seen that primitive capitalist accumulation could occur on the basis of feudalism, whereas primitive socialist accumulation cannot do so on the basis of capitalism. Consequently, if socialism has its prehistory, it can only begin after the conquest of power by the proletariat. The nationalisation of large-scale industry is the first act of socialist accumulation, i.e., the act that concentrates in the state's hands the minimally necessary resources for organising the socialist management of industry. But here we immediately encounter the other side of the question. By socialising large-scale production, by this single act of socialisation, the proletarian state changes from the outset the system of property in the instruments of production: it adapts the system of property to all of the ensuing steps in the matter of socialist reconstruction of the entire economy. In other words, it is only through revolution that the working class acquires what capitalism already had in the institution of private property, without any revolutions and still on the basis of feudalism.³ Primitive socialist accumulation, as the period of creating the material prerequisites for socialist production in the proper sense of the word, can only begin with the capture of power and nationalisation.

Capitalist accumulation is accumulation on the basis of production that differs economically and technically from handicrafts. Capitalist manufacturing could prove its advantage over crafts only insofar as it turned out to be economically more advanced and as the division of labour in its system, along with the other advantages of large-scale over petty production, made it pos-

² Marx 1976, p. 775.

³ I do not deal here with the restrictions on the institution of private property in the period of feudalism. Despite these infringements, it was fundamentally private property that existed at that time.

sible to make a unit of the product in manufacturing with lower costs than in handicrafts. But the organisation of manufacturing, the erection of a building, supplies of material, the expenditure of circulating capital during the period of circulation – all of this, in conditions where the modern system of providing credit to industry was lacking, required the existence of significant resources that were created not in manufacturing but prior to it, in petty production, and were then looted from petty production by merchant capital. A previous accumulation of capital was even more necessary for large-scale machine industry to begin functioning. Therefore, in order for capitalist production to demonstrate its advantage over handicrafts in a technical and economic sense, a long period of plundering petty production was required. Exactly the same is true of socialist accumulation in the real meaning of the word. That is to say, accumulation on the technical-economic basis of a socialist economy, which is already developing all of its own unique features, can only begin after the Soviet economy passes through the stage of primitive accumulation. With the functioning of manufactories – and all the more so factories using mechanised technique – it is first necessary to have a certain minimum of accumulated resources in the form of the natural elements of production; it is likewise necessary to have a certain minimum in order for the complex of the state economy to develop all of its advantages and to establish for itself a new technical base.

Here we straightaway encounter another extremely important structural difference in principle between capitalism and socialism, to which we shall return when analysing the conditions of competition between the socialist and capitalist forms of economy. In order for a manufactory to prove its advantage over crafts, there was absolutely no need for organisation of an enormous number of manufactories all at once. One, two or five manufactories could already demonstrate their advantage over crafts and defeat them in a competitive struggle. Consequently, the volume of the previously accumulated capital, when compared to the scale of the national economy as a whole, could be quite insignificant. A few enterprises, constituting a leading shock-group on the economic front and representing the new economy, could begin a step-by-step offensive without waiting for the whole transition to occur simultaneously on a massive scale. And although in concrete terms, historically, primitive accumulation advanced far enough during the period of merchant capital's development for there to be no acute lack of free capital at the moment of organising manufacturing, nevertheless the whole movement in this case had an unorganised and spontaneous character. The same method of advance by the new form was later made possible by the export of capital. Capitalist enterprises could arise in petty-bourgeois countries where neither the technical nor the economic pre-

conditions for a new mode of production existed, or where all of this potentially did exist but required an external stimulus from the side of progressive foreign capital.⁴

In contrast, no partial or insignificant amount of socialist accumulation can resolve the fundamental problem of socialist organisation of the economy. In particular, insofar as it is a question of the economy of the Soviet Union, an accumulation is required that: 1) enables the state economy to acquire modern capitalist technique in areas where it is not possible to have a gradual transition to a new technical basis; 2) enables a change of the technical basis of the state economy, the scientific organisation of labour, and planned management of the whole complex of the state economy, which is impossible without large emergency supplies and planned reserves; 3) secures the advance of the entire complex, and not just of its individual parts, because the chain of interdependence in the movement of the whole complex makes it completely impossible to have an uncoordinated movement according to the capitalist method of partisan warfare, individual initiative and competition. We have established, therefore, that nationalisation of what capitalism accumulated not only does not complete the period of primitive socialist accumulation but rather the opposite is true. The period of such accumulation can only develop after the proletariat's conquest of power and after the first act of accumulation – the socialisation of the most important branches of the economy. But if that is the case, is it then possible and correct in general to speak of primitive socialist accumulation⁵ by analogy with primitive capitalist accumulation? The point is that the latter commenced before capitalist production, whereas the former must occur simultaneously with the beginning of the transition to socialist production and with accumulation within the socialist complex itself.

4 Later we shall see that if the very structure of capitalism and its method of subordinating petty production makes possible the export of capital, the socialist form can expand only through exporting proletarian revolution.

5 The term 'original [первоначальное] socialist accumulation' belongs to one of our most prominent economists, Comrade V.M. Smirnov. We do not particularly insist upon this term. It can be replaced by the term 'preliminary [предварительное] socialist accumulation', which we use from time to time as a synonym for the same concept. [The source for both of these expressions was Volume 1 of *Capital*, in which Marx spoke of '*ursprüngliche Akkumulation*', which is conventionally translated into English as 'primitive accumulation'. See Marx 1976, p. 775 *et passim*. The present translation follows that convention by rendering both of the Russian terms, which Preobrazhensky uses synonymously, as 'primitive socialist accumulation'. This is standard practice in the English-language literature dealing with Preobrazhensky and all his works.]

We believe that this term can be retained in a conditional sense; while primitive socialist accumulation is chronologically interwoven with socialist production and partly with socialist accumulation on a production basis, nevertheless the economic essence of this process in relation to socialist production is the same as that of primitive capitalist accumulation in relation to capitalist production.⁶ And even if this term were considered inappropriate, it would immediately have to be replaced with another one because the material substance of what it stands for remains. The distinction between primitive socialist accumulation and strictly socialist accumulation, however, is enormously important in principle. We shall see later that this distinction has vast significance for our economic policy, just as confusing these two processes entails a most profound error in terms of practical guidance of the economy.

We call *socialist* accumulation the addition to functioning means of production of a surplus product that is created within the already formed socialist economy and not further distributed among the agents of socialist production and the socialist state but rather serves expanded reproduction. In contrast, we call *primitive socialist accumulation* the accumulation in the hands of the state of material resources that mainly or simultaneously come from sources outside the complex of the state economy. In a backward peasant country, this accumulation must play a tremendously important role, accelerating to an enormous degree the coming of the moment when the technical and scientific reconstruction of the state economy begins and when this economy will finally acquire purely economic predominance over capitalism. It is true that during this period accumulation also occurs on the production basis of the state economy. However, in the first place this accumulation also has the character of primitive accumulation of the means for a genuinely socialist economy and is subordinate to that end. And secondly, accumulation by the first method, i.e., at the expense of the non-state milieu, through non-equivalent exchange with it, clearly predominates during this period. Hence, we must call this entire stage the period of primitive or preliminary socialist accumulation. This period has its own special features and special laws. The basic law of our Soviet economy, which at the moment is passing through this stage, is precisely the law of primitive or preliminary socialist accumulation. All the fundamental processes of economic life within the state economy are subordinated to this law. On the other hand, this law modifies and partially eliminates the law of value and all

6 It also must not be forgotten that while primitive capitalist accumulation, on the basis of merchant capitalism, preceded capitalist production, nevertheless the whole period of primitive accumulation also embraces the period of the development of capitalist industry.

the laws of commodity and commodity-capitalist economy to the extent that they can and do appear in our system of economy. Consequently, *not only can we speak of primitive socialist accumulation, but we can understand nothing of the essence of the Soviet economy unless we understand the central role played in this economy by the law of primitive socialist accumulation, which, in the struggle with the law of value, determines the distribution of means of production in the economy, the distribution of labour power, and also the scale of the alienated surplus product of the country for the purpose of expanded socialist reproduction.*

Now let us systematically consider the main methods of primitive capitalist accumulation and compare them, so far as it is possible to do so, to the analogous or nearly analogous methods and processes of primitive socialist accumulation. For the sake of comparison we shall take not just the period that preceded capitalist production but also the epoch of capitalist production's first steps, because primitive accumulation, as accumulation from outside the circle of capitalist production, also continued after the emergence of capitalist enterprises and assumed the most diverse forms.

Let us begin with the plundering of non-capitalist forms of economy. Essentially, the entire period of merchant capital's existence – from the moment when the labour of the craftsman for a customer and the local market was replaced by labour for distant markets, and when the buyer-up⁷ became a necessary agent of production – can be regarded as the period of primitive accumulation and systematically looting petty production.

Another extremely important form of looting was the colonial policy of countries involved in world trade. Here we have in mind not the sort of looting that is connected with the exchange of a smaller quantity of labour for a larger one on the basis of 'normal' trade, but rather looting in the form of taxing the natives, depriving them of their property, cattle, land and supplies of precious metals, enslaving defeated peoples, the infinitely diverse systems of crude deceit, etc. This includes all the methods of compulsion and plundering in relation to the peasant population of the metropolitan countries. The theft of small-peasant production in the interests of primitive accumulation assumed numerous forms. The famous 'enclosure movement', to which Marx devoted such brilliant pages in the first volume of *Capital*, was not the typical method of primitive accumulation for all countries. The most typical methods were: first of all, the plundering of peasant serfs by their lords and sharing the loot with merchant capital; and second, taxation of the peasantry by the

7 [The 'buyer-up' or 'putter-out' was typically a merchant who purchased materials, distributed them for in-home processing ('cottage industry'), and then collected and sold the finished products, such as textiles or shoes, before the industrial revolution.]

state, with a transfer of part of these means to capital. When the landlord economy began to be transformed from a purely natural one into a monetary or semi-natural one, and when the landlords, as a result of the growth of trade and expansion of their own needs, acquired the incentive to increase extortion from the peasants, they entered into a kind of unconscious cooperation with merchant capital. Everything that was looted in the countryside, apart from what was consumed on the spot, was sold to the merchants. In turn, the merchants supplied landlords with the products of urban or foreign production, which served to satisfy their growing and more refined needs. Merchant capital sold these products at a profit of 100% and more. Then they gave loans to the ruined gentry at usurious interest rates. As a result, the feudalists during this period were in a certain sense the agents of commercial capital, or transmission pumps in the business of robbing the petty production of the countryside in the interests of primitive capitalist accumulation. Being the 'upper class' by comparison with the third estate in legal terms, they cooperated economically with the merchants, taking for themselves not the primary but rather a secondary share in the resources extorted from the peasantry.

Another form of plundering petty production was state taxation. From taxation resources the absolutist states encouraged the development of manufacturing and gave out subsidies to the merchants who became industrialists, or to nobles who became manufacturers. This support was extended especially to manufacturers, who in one manner or another outfitted the army, i.e., to textile mills, armaments factories, metallurgical enterprises etc. The same sort of transfer of resources from the canals of petty production, through the state apparatus, to large-scale production, and especially heavy industry, likewise occurs in a much later period.

Regarding the role of the state, and particularly the role of state compulsion in the period of primitive accumulation, Marx wrote:

These methods depend in part on brute force, for instance the colonial system. But they all employ the power of the state, the concentrated and organized force of society, to hasten as in a hothouse, the process of transformation of the feudal mode of production into the capitalist mode, and to shorten the transition. Force is the midwife of every old society which is pregnant with a new one. It is itself an economic power.⁸

This force also played an enormous role in the formation of national states as the arena for the activity of commercial capital. Just recall the profound and

⁸ Marx 1976, pp. 915–16.

totally concrete historical truth of the class analysis to which M.N. Pokrovsky subjected the policy of the Muscovite tsars, and you will resurrect in memory those pages from the period we are considering. Conquest of the necessary territory, of trade routes, etc. – these are all nothing but links in the chain of primitive capitalist accumulation; without accumulation of the necessary material preconditions, the development of commercial capital and its transformation into industrial capital cannot successfully occur. From this point of view, the peasant paid tribute to the Moloch of primitive accumulation not only when he passed on part of his quit-rent to the merchant through the hands of the *seigneur*, and not only when he handed over a part of his taxes to the manufacturer by way of the state, but also when he gave the blood of his sons to establish new trade routes and conquer new countries.

An important role in the process of primitive accumulation is played by the system of state loans, by which part of the annual income of petty producers, in the form of interest, passes into the hands of the capitalist-creditors who lend to the state. In this connection Marx says:

The public debt becomes one of the most powerful levers of primitive accumulation. As with the stroke of an enchanter's wand, it endows unproductive money with the power of creation and thus turns it into capital, without forcing it to expose itself to the troubles and risks inseparable from its employment in industry or even in usury. The state's creditors actually give nothing away, for the sum lent is transformed into public bonds, easily negotiable, which go on functioning in their hands just as much as hard cash would. But furthermore, and quite apart from the class of idle *rentiers* thus created, the improvised wealth of the financiers who play the role of middlemen between the government and the nation, and the tax-farmers, merchants and private manufacturers, for whom a good part of every national loan performs the service of a capital fallen from heaven, apart from all these people, the national debt has given rise to joint-stock companies, to dealings in negotiable effects of all kinds, and to speculation: in a word, it has given rise to stock-exchange gambling and the modern bankocracy.⁹

Let us dwell for a moment on the methods of primitive accumulation that we have just listed – which were mainly based upon plundering petty production and exposing it to non-economic pressure – and examine how matters stand in this regard during the period of primitive socialist accumulation.

9 Marx 1976, p. 919.

As far as colonial plunder is concerned, the socialist state, conducting a policy of equality between nationalities and their voluntary entry into one or another national association, rejects in principle all of capital's forcible methods in this area. This source of primitive accumulation is permanently closed to it from the very outset.

It is entirely different with the alienation, to the benefit of socialism, of a part of the surplus product from all of the pre-capitalist economic forms. Not only does taxation of non-socialist forms inevitably occur during the period of primitive socialist accumulation, but it must also inevitably assume an enormous and directly decisive role in peasant countries such as the Soviet Union. This is a point that we must consider in particular detail.

We have seen that capitalist production could begin to function and further develop only by relying upon the resources that it acquired from petty production. The passage of society from a petty-bourgeois system of production to a capitalist one could not have been completed without primitive accumulation at the expense of petty production, and it would subsequently have moved at a snail's pace if additional accumulation, at the expense of petty production, had not flowed in along with capitalist accumulation through exploiting the labour power of the proletariat. The very transition presupposes, as a system, an exchange of values between large- and small-scale production in which small production gives up more to large production than it receives. During the period of primitive socialist accumulation, the state economy cannot do without alienation of a part of the surplus product of the countryside and crafts, and finally, without a deduction from capitalist accumulation to the benefit of socialist accumulation.

We do not know how devastated other countries, in which the dictatorship of the proletariat is victorious, will be as they emerge from Civil War. But a country such as the USSR, with its ruined and generally quite backward economy, must pass through a period of primitive accumulation and very liberally draw from the wells of pre-socialist forms of economy. We must not forget that the period of primitive socialist accumulation is the most critical period in the life of the socialist state following the end of the Civil War. During this period, the socialist system is still in no condition to develop all of its own organic advantages, but at the same time it is inevitably eliminating a number of the economic advantages inherent in a developed capitalist system. To pass through this period more quickly and arrive sooner at the moment when the socialist system will deploy all of its natural advantages over capitalism – this is a question of life and death for the socialist state. At least that is how the question stands now for the USSR and how it will perhaps also stand for some time in a number of European countries where the proletariat will triumph.

To count, in such circumstances, only upon accumulation within the socialist sphere, means risking the very existence of the socialist economy or else indefinitely extending the period of primitive accumulation, which, of course, does not depend upon the good will of the proletariat.

In the concrete sections of this work, which will be devoted to the industry and agriculture of the USSR, we shall provide numerical calculations of how long we would have to wait for restoration of our industry, even to the pre-war scale, if we relied solely upon the surplus product of industry itself. In any event, the idea that the socialist economy can develop on its own, without touching the resources of the petty-bourgeois economy, including the peasant economy, is without doubt a reactionary petty-bourgeois utopia. Here the task of the socialist state consists not of taking less from petty-bourgeois producers than capitalism took, but rather of taking more from an even larger income, which will be assured to petty production by the rationalisation of the entire economy, including the small-scale economy, on the basis of industrialisation of the country and the intensification of agriculture.

Another source of socialist accumulation can be taxation of private capitalist profits, i.e., systematic deductions from capitalist accumulation. The nature of this sort of resource can vary, but it is obvious that in the final analysis the issue here is also one of accumulating at the expense of the labour by workers on the one hand, and by peasants on the other. When the state takes high taxes from private capitalist enterprises, it is returning to the socialist accumulation fund a portion of the surplus value that would have been received as surplus product by the state itself, had it managed the given enterprises *with other conditions being equal*. Here the capitalists play the same role in relation to the socialist state as the feudal landlords did in relation to the knights of primitive accumulation. In exactly the same way, taxation of the class of village kulaks, who employ wage labour, in the final analysis means accumulation at the expense of poor-peasant labour in the countryside. Conversely, insofar as the socialist state taxes merchants, buyers-up, capitalists and kulaks, who also acquire part of their incomes from the peasantry engaged in *independent farming*, here too we shall have accumulation at the expense of the peasant economy in which, as before, the persons involved will be engaged in capitalist accumulation on the one hand, while on the other hand being transfer agents at one of the poles of socialist accumulation.¹⁰

10 In what follows, where the meaning is clear from the context, I speak of socialist accumulation in place of primitive socialist accumulation for the sake of brevity.

As far as state loans are concerned, which served as a very important channel of primitive capitalist accumulation, they have a different role in the period of socialist accumulation. Here we must distinguish two systems of loans that differ in principle. Our semi-compulsory loans, such as the first and second lottery loans, are better regarded as part of the system of accumulation from tax sources, i.e., accumulation through methods of non-economic pressure. It is altogether different with the type of credit operations associated with normal loans that are practised under the bourgeois system. This sort of loan – say a loan from English capitalists for 30 years at 7% – cannot be directly included among the sources of socialist accumulation, because the Soviet state will pay interest on the loan from its own incomes and thus will itself be an intermediary in capitalist accumulation and capitalist exploitation of the toiling masses of the [Soviet] Union by a foreign bourgeoisie. On the other hand, however, these loans can serve as one of the strongest stimuli for socialist accumulation, thereby providing the fund of socialist accumulation with a higher rate of return than occurs in the fund of capitalist accumulation. We shall touch upon this type of loan in another connection when we analyse the economic importance of foreign loans and concessions under the commodity-socialist economic system.

Before turning to the forms of primitive accumulation on an economic basis, we must still mention a kind of source for state revenue – and thus also a source of primitive accumulation for the Soviet system – which more correctly belongs with taxes but is not usually associated with them, externally and formally, in the theoretical economic literature. I am speaking of the issue of paper money. In my pamphlets *Paper Money in the Epoch of Proletarian Dictatorship*¹¹ and *Causes of the Falling Exchange Rate of our Rouble*,¹² I demonstrated that [currency] emissions, in a system with a falling currency, are one of the forms of taxation. Here we need only mention that emissions are also one of the methods of primitive accumulation. As far as the corresponding period in the history of the bourgeois economic system is concerned, in that case emissions did not play the role of a supplementary factor of capitalist accumulation. Debasement of the coinage, in which feudal knights and our tsars were involved, and the subsequent printing of paper money, both represented state taxation of the entire population, including a part of the money capital of the bourgeoisie. When the state is simultaneously the managing organ of the country and the master of an enormous economic complex, currency emissions serve directly as a channel of socialist accumulation. This accumulation occurs at the expense either of

11 [For the English translation of this work, see Day and Gorinov (eds) 2014, pp. 732–98. For *Causes of the Falling Exchange Rate of our Rouble* see Volume IV.

12 See Volume III of *The Preobrazhensky Papers*

the incomes of petty-bourgeois and capitalist elements, or else at the expense of reduced wages for state workers and employees. How substantial this source is can be seen from the fact that from the time when the Soviet authority was organised until the final introduction of a stable currency, the emission income, including the state's own losses,¹³ was equal to a sum of about 1,000 million gold roubles. Emissions also served as a most important financial resource for the government of Soviet Hungary during the four months of its existence.

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Let us turn now to the methods of primitive accumulation that lead to accumulation of capital by economic routes. Here we must distinguish accumulation that is acquired in production itself, at the expense of surplus value and the proletariat employed in the enterprises, from the exchange of a smaller quantity of labour in one economic system or one country for a greater quantity of labour from another economic system or another country.

As we have done thus far, let us first consider the methods of primitive accumulation on an economic basis for the period of the capitalist mode of production.

We begin with the second of our subdivisions, i.e., with what we call pricing policy in our economy. On this theme, we find in the third volume of *Capital* the following very important passage, which is not sufficiently used in Marxist economic literature for theoretical analysis of colonial exploitation or of capitalism's exploitation of pre-capitalist forms of production in general.

The privileged country receives more labour in exchange for less, even though this difference, the excess, is pocketed by a particular class, just as in the exchange between labour and capital in general. Thus in as much as the profit rate is higher because it is generally higher in the colonial country, favourable natural conditions there may enable it to go hand in hand with lower commodity prices.¹⁴

If we take any capitalist country in Europe, England for example, and on the other hand take a number of its colonies or semi-colonial countries that are connected with England by trade relations, then in a value analysis of what

13 [Preobrazhensky means losses incurred when new issues of paper money devalue the existing paper money supply, causing price increases for resources that the state acquires from the non-socialist sector of the economy.]

14 Marx 1981, pp. 345–6.

England exports to the colonies and what it imports from them, it is always possible to establish an inequality of labour expenditures in the mass of commodities that are being exchanged as equivalents. The exchange of a native's gold jewellery for a piece of red cloth, provided by a merchant from Europe, can serve as a most striking and flagrant example of this. But even in 'normal' trade with the colonies, the phenomenon observed by Marx continues to exist, because the country with low technique expends on a unit of the commodity more labour on average than a country with higher technique. Associated with this is the lower living standard of the working population, including the living standard and the level of wages for workers in the colonies or economically backward countries. With the identical technique, an enterprise in the same branch in the colony will have an added profit when compared to an analogous enterprise in the metropolis. This is very often seen, other conditions being equal, and it is only possible because on the basis of the law of value, which regulates prices within the given country, the value and price of labour power turn out to be lower than in the metropolis for every sort of labour, with the result that the country with higher technique and higher wages, but at the same time lower prices, turns out to be in better conditions for exchange than a country with lower technique, low wages and higher prices. The higher profit on the capital invested in the colonies is based upon making use of this fundamental difference between the position of the colonies and that of metropolitan countries. From this point of view, the added profit on the capital invested in colonies is essentially a profit that arises in the transition from one technical system to another, from one system of economy to another that is more advanced. This profit is not at all different in principle from the added profit acquired by the capitalist who is first to introduce a new machine into production, thus immediately reducing the costs. But just as capital is generally movement, and transition from one technical system to another and from one economic formation to another (for example, from the pre-capitalist to the capitalist formation) is never-ending, so the exploitation of this transition 'by a certain class' is no accident but rather a constant phenomenon throughout the entire period of capitalist development. This tax, which the capitalist class imposes upon the economic development of society, is paid both by the petty-bourgeois producers of the metropolis and by the colonial and semi-colonial countries, taking their economy as a whole.

In the present context, we are interested only in the beginning of capitalist development. It has its own specific features, which cause it to resemble somewhat the period of monopoly capitalism. We have to distinguish three periods in the history of capitalism's exploitation of pre-capitalist forms on an

economic basis. [The first is] the period of free competition but *in fact of the monopoly* of young capitalism, insofar as the first enterprises created by capital made use of a price level established by handicraft production and not at all in circumstances of widespread competition. Big capitals, and especially capitalist enterprises, were themselves a monopoly in the hands of a few. The same applies to merchant capital insofar as a shortage of capitals, the degree of risk and thus the added insurance costs, and finally, the existence in these circumstances of the emerging monopolistic foreign trade organisations, such as the East-India Company, also made colonial exploitation on the basis of exchange a monopoly of very small groups of capitalists. This period is followed by that of free competition. It does not abolish the form of exploitation of petty production or the methods of accumulation that we are discussing here, but instead confines them within definite limits in conditions of a certain equilibrium. Finally, the third period is that of monopoly capitalism. In this period, thanks to creation of a system of national-capitalist organisms that are fenced off by tariff barriers from foreign competition, the exploitation of small-scale producers within the country, on the basis of the monopoly prices of trusts, grows continuously, as in the period of primitive accumulation, and becomes the privilege of a narrow group of capitalist sharks.

As far as the corresponding exploitation of colonies is concerned, on the one hand we see here a tendency on the part of each major capitalist colonial power to extend the monopolisation of the domestic market to the colonies and to defend this right by force of arms. On the other hand, thanks to the export of capital to the colonies, the added profit from the colonies takes the form of supplementary profit from enterprises that have the same technique but lower wages. This leads to gradual replacement of one form of exploitation by another, together with a certain equalisation of conditions in the colonial economy compared to the metropolitan countries, which just intensifies the tendency to fortify the domestic market for each national capitalism in order to provide, for the purpose of increased accumulation, compensation for what is lost through the development of industry in the colonies.

We shall return later to the question of the enormous role, for understanding the law of socialist accumulation, of the fact that socialism arises historically on the basis of monopoly capitalism instead of the capitalism of free competition. Here we need only mention that primitive capitalist accumulation was not only based on the exploitation of small-scale production by way of taxes, and not only on feudal exploitation, which was only a stage of capitalist accumulation, but was also masked by a system of market exchange of quasi-equivalents, behind which was hidden the exchange of a smaller quantity of labour for a larger one. In this case, the peasant and the craftsman are exploited by capital in

somewhat the same way as workers are exploited when they receive in the form of a wage, or the market price of their labour power, only a portion of the newly created product of their labour.

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Following this historical excursion into the area of primitive capitalist accumulation, let us now turn to analysis of the corresponding moments in the period of primitive socialist accumulation.

The difference here from the period of primitive capitalist accumulation is first of all the fact that socialist accumulation must occur at the expense not only of the surplus product of petty production but also of the surplus value of capitalist economic forms. Secondly, the difference is conditioned by the fact that the state economy of the proletariat arises historically on the back of monopoly capitalism, and it therefore has at its disposal means of regulating the entire economy and methods of redistributing the national income in economic ways that were inaccessible to capitalism at the dawn of its development.

Let us begin with railway tariffs. This powerful lever for regulating the economy, which as a whole is in the hands of the state in the USSR, is used very little in the interests of such regulation and not at all as a tool of primitive socialist accumulation. The system of privileged rates for certain shipments (coal, oil, salt) is presently far more of a means for redistributing state resources than an indirect tax on the non-socialist sector of the economy. In exactly the same way, the few privileges enjoyed by state and cooperative shippers, when compared to private ones, are currently of negligible significance. The use of this lever of primitive accumulation is still, on the whole, music of the future. Only when transport is converted from making losses to making profits will it be possible to have a corresponding restructuring of railway tariffs, beginning with a distinction between state and private loads, so as to implement systematic taxation of private producers and merchants and to cut off from this direction a part of private capital's profit. In this context, there is no need to prove that all of this will be one of the blows against the law of value that make the economy of the period of socialist accumulation an epoch of the gradual change, restriction and partial elimination of this law.¹⁵

15 Here and throughout the following exposition I speak of the law of value as the spontaneous regulator under the commodity and commodity-capitalist system of production – not as the regulator of any economy that begins with labour expenditures independently of the historically transitional *form* of this regulation in an exchange economy. Such reg-

A second powerful lever of primitive accumulation is the monopoly of the banking system. During the period of primitive capitalist accumulation, usurious credit is a means for redistributing national income from the hands of feudalists to those of the nascent and strengthening bourgeoisie. As for credit serving as an instrument for mobilisation of society's free resources and for their redistribution through the channels of expanded reproduction, at that time this form of credit was either missing or in its infancy. By contrast, in the period of primitive socialist accumulation, which is being experienced by the economy of the USSR, i.e., in its first stages, the state's credit system operates more in the area of redistributing the country's free resources than in redistributing the national income. This may seem to be untrue insofar as the interest that the bank charges on loans (if we leave aside the period of a rapidly falling currency), is enormous compared to normal capitalist conditions, while the deposit operations are quite negligible. But we must not forget for a moment the real economic source that makes the issue of *chervontsy*¹⁶ possible along with the bank's loan operations from the sources of these emissions. If the bank issues 60 million *chervontsy* without disturbing the exchange rate, what this means economically is that, by one route or another, commodity values of the country in the same amount have been put at Gosbank's disposal for other times. If we consider that this 'loan from circulation' comes from both the state economy and the private economy in a manner proportional, let us suppose, to the participation of each in the cash-based commodity turnover of the country, and that the proceeds of this loan go almost exclusively to financing state and cooperative industry and trade, then what we see here is an acceleration of the process of socialist accumulation. In a special chapter of this book, we shall consider a detailed theoretical and numerical analysis of this whole process as well as the effect of the entire credit system upon the economy of the country.

As for the question of the redistribution of national income by means of the credit system, that is still basically a matter for the future. If Gosbank takes a high rate of interest from state enterprises that are receiving long- or short-term loans, that is not a process of accumulation within the state sector but mainly one of redistributing resources within the state sector. Redistribution from the private economy to the socialist sector can only occur directly when

ulation will also exist under planned economy, but it will occur by a different route, i.e., on the basis of a direct calculation of labour time.

16 [The reference is to the chervonets rouble, introduced for the purpose of currency stabilisation during the monetary reform of 1922–24. The chervonets replaced the 'sovznak', the original Soviet substitute for the tsarist rouble.]

the resources of the private economy, accumulated by the banking system through accepting deposits, will be redistributed in the private economy on the basis of a higher interest rate charged on loans, and the difference between the total sum paid by the bank on deposits and what the bank receives in interest from loans and other types of payments for its services will enter into the fund of socialist accumulation. The same result will occur if state resources grow through crediting the private economy. However, the latter operation, given a general shortage of capital in the country, and above all in the state sector itself, remains formally a source of accumulation but is obviously disadvantageous at the present moment because at this stage it becomes a clear instrument of capitalist accumulation at the expense of state credit. This operation can only occur at the expense of the more profitable operation of crediting state enterprises, because giving credit to the latter ensures not only interest for the bank but also accumulation of capital in the enterprises on a production basis. In such conditions, the crediting of private trade and industry, which, let us suppose, is able to pay the bank a 10% annual rate, is less profitable than giving credits to state industry, which, let us say, can pay the bank 8% for the borrowed capital but itself receives, on the basis of production, 15% on the borrowed capital. In this case, it is more profitable to Gosbank, as a bank, to extend credit to private industry and trade, whereas from the viewpoint of the state complex as a whole, and from the viewpoint of socialist accumulation in the entire complex, rather than simply from the part of it represented by Gosbank, such an operation clearly involves a loss. This is what explains the fact that Gosbank presently gives almost no credits to private trade and industry, despite their willingness to pay more than state enterprises, and instead credits the latter almost exclusively. From the point of view of the task of socialist accumulation, such a policy is the only correct one.

But in future the situation in this area must change, and the moment may come when crediting the private economy will become one of the most important instruments for redistributing national income in the interests of the state economy and also one of the most important means for subordinating it economically to the regulating centres of the state economy. In this respect, the credit system of the USSR can play a particularly important role with the development of long-term agricultural credit, particularly if we succeed in concluding major loans from abroad and if Gosbank becomes the distributor of these loans with the transfusion of foreign resources into the economic organism of the USSR.

From what has been said, therefore, we can see that our entire credit policy is presently subordinated to the law of primitive socialist accumulation, and it cannot be otherwise.

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Now let us turn to domestic and foreign trade. During the period of primitive capitalist accumulation, both of these sorts of trade are instruments of such accumulation. The first form, historically, is the exploitation of small-scale handicraft production by merchant capital. This type of exploitation, through trade and the performance of certain production functions (supplying the craftsman with material on credit, etc.), has nothing in common with trading the products created by workers in capitalist enterprises. In the first case, the merchant and the buyer-up, spending 100 units to purchase commodities that are produced by craftsmen, and receiving 150 units for them to cover expenditures on transport etc., acquires 50 units from the income of the producer. It is completely different when merchant capital operates with the commodities of capitalist production. Here the average commercial profit is simply a deduction from the surplus value created in the process of capitalist production. In this case, any added profit of the merchant, which does not arise from capitalist production, can only be acquired through the exchange of things from the capitalist system with the non-capitalist milieu and at the latter's expense.

When sufficient competition is lacking, especially in conditions that are particularly favourable for certain groups of merchant capital (where, say, the country is extremely poor in terms of capital in general), [added profit] can arise if trade itself is almost a kind of monopoly of these groups. When the commodity turnover of a country, in which products of petty-bourgeois production play the main role, advances more rapidly than development of the trading network and the process of forming merchant capital, merchant capital can intensify the exploitation of non-capitalist producers more than would be the case if there were a surplus of merchant capital and adequate competition. For the period of primitive accumulation, with its *de facto* monopoly both of merchant capital and of youthful industrial capital, no importance attaches to the theoretical question of whether the added profit that sticks to the pockets of commercial capital, when there is such a monopoly, should be regarded as the profit of productive capital that is only realised in trade or as the profit of merchant capital as such, because what is involved here is the looting not of workers but of petty producers. All that is required is to distinguish this sort of profit clearly from the normal profit of merchant capital in a developed capitalist society, especially since it is completely merged in a real enterprise with all the rest of the profit and no bookkeeping can separate it. Meanwhile, the distinction between the two is enormously important because two completely different sources of this profit are involved, and therefore also

the exchange of things between two different systems of economy, which in principle is very significant when analysing the sources of primitive socialist accumulation.

We turn now to exchange in the system of the USSR, and first of all to domestic trade. Here we must distinguish: 1) exchange within the state economy itself; 2) exchange within the private economy; 3) the exchange of things between the state economic sphere and the private economy.

As for the first category, there clearly cannot be any positive tasks here for socialist accumulation. The economics of exchange are reduced here to efficiency in exchange and reducing the costs of the circulation process. These costs represent a direct deduction from the surplus product of the state economy, and when private intermediaries participate in the exchange between state enterprises the result is not simply a deduction from the fund of socialist accumulation but also an incremental addition to the fund of 'secondary' capitalist accumulation. Just as the gods of Epicurus¹⁷ nested in the pores of the universe as private intermediaries, so private middle-men, during the period when state trusts first entered into the free market, attempted to settle not just in the channels of private commerce but also in the holes and crevices separating one state enterprise from another, and here they collected 'the costs of circulation'. The rationalisation of state trade means systematically squeezing these leeches of capitalist accumulation out of the socialist sphere, and it leads not only to reduced costs for the state economy in the process of circulation but also to the organisation of circulation itself by the state economy's own forces.

As far as the second subdivision is concerned, i.e., exchange within the private economy, here, to the contrary, socialist accumulation is possible. We have already mentioned the non-economic method of accumulation from this source, i.e., taxes on the trade of products coming from the private economy. Another kind of accumulation, i.e., on the basis of commercial exchange, is not only possible but is already partly occurring and will no doubt increase.¹⁸ An example of such accumulation can be seen, for instance, in the purchase of peasants' grain and food products in general by *Khleboprodukt*¹⁹ and the sale of them to private consumers in the urban markets. The commercial profit thus obtained is essentially a deduction from the revenue of the producers, who sell

17 [Epicurus (341–270 BC) was a Greek philosopher who interpreted the world in terms of a theory of atoms.]

18 An increase of railway tariffs for shipments by private capital, being realised within the private economy, belongs to the category of accumulation from this source.

19 [*Khleboprodukt*: the All-Russia Joint-Stock Company for the Sale of Grain and Agricultural Products, which operated under direct state control.]

to the state organ in order to realise their commodities. When the organs of state trade and cooperation realise among private consumers the production not just of peasants but also of artisans, craftsmen and private entrepreneurs, and thus receive a profit, this part of the profit of state trade and cooperation represents one of the sources of socialist accumulation that we are examining. The struggle by state trade and cooperatives against private trade in this part of exchange involves, from the viewpoint of socialist accumulation, positive rather than negative tasks. What happens here (for the present, unfortunately, on a small scale) is accumulation from the fund of one system of economy to the benefit of the other. What is captured from private trade, other conditions being equal, will to some degree or other be won for the fund of the state economy. I say 'other conditions being equal', because here a trade policy is possible that will serve the interests not of socialist accumulation but rather of petty- bourgeois producers, whose goal is to reduce the deduction from their revenues. Whether such policy is expedient depends upon what is more important for the state economy at the given moment: a cheapening of the commodities being sold and the displacement of private capital, or accumulation in the sphere of circulation. Economically, there is no doubt that in certain conditions it can mean a reduction of the fund of socialist accumulation and a gift to private production, *a gift that is all the more burdensome, the poorer this economy is in terms of capital and the less beneficial it is for it to divert into trade a part of the capital that is in short supply for production itself, rather than increasing the mobilisation of small producers' own resources for development of the cooperative turnover.* However, at the current stage of development state trade manages its affairs worse than private trade does, and the more immediate question for now is for it to reduce costs, even if only to the level of private trade. But it is theoretically important for us to pose the whole problem correctly here, because this issue concerns not just policy for today but also an understanding of fundamental processes throughout the whole period of socialist development. We shall see later what enormous difficulties lie on the path of state trade's competition with private capital and how these difficulties rest upon fundamental problems of socialist construction in general. We need only note here that because of the extreme poverty of the country in terms of capital, and in conditions of a relatively fast development of the commodity turnover, commercial profit is taking on enormous dimensions that are reminiscent of the situation in the period of primitive capitalist accumulation. In these conditions, this part of accumulation becomes extremely important; the successes of private capital here significantly interfere with the flow of resources from the petty-bourgeois environment into the fund of socialist accumulation and are consuming a portion of the surplus product of the state economy itself.

The third subdivision, i.e., exchange between the state economy and the private economy, is the point where socialist accumulation meets both with purely negative tasks, as in exchange within its own sphere, and also positive tasks, i.e., nourishing the state economy at the expense of the non-socialist environment. From this perspective we must examine realisation of the production of state industry outside of the socialist sector separately from realisation of production from the private economy within the state sector.

Let us begin with the first process, i.e., with movement of the mass of commodities from state industry into the non-socialist environment. In terms of socialist accumulation, the tasks involved here are negative, as when the state economy endeavours to reduce the costs of circulation on the part of its own organs, or to put it simply, to trade with the least expenditures on the commercial apparatus. The same applies when it is a matter of squeezing private trade from the whole path that a commodity follows from the trusts – from the factory to the final link, i.e., the consumer.

With regard to the first of these tasks, the issue is to improve organisation within the state economic system itself. The second task, to the contrary, is much more important because it is connected with the struggle of two hostile systems for the surplus product of the state economy. Here the enemy is almost in our own house. We must note the difference in principle that exists between the mutual relations of commercial and industrial capital in the epoch of primitive *capitalist* accumulation on the one hand, and on the other hand, of private merchant capital and state industry in the epoch of primitive *socialist* accumulation. In the period of capitalist accumulation, if merchant capital takes from private productive capital more of the surplus value created in industry, it is merely a matter of the redistribution of surplus value *within one and the same economic system*. What the merchant excessively accumulates from industry's surplus value today, he returns to industry tomorrow; the transfer of surplus capital from trade into industry is an uninterrupted process that occurs from the very beginning of the emergence of capitalist production. It is quite another matter when the major part of industry is in one system and the trade apparatus belongs to another system, a hostile one, as in the case we are analysing. Then, the accumulation of private commercial capital is a direct and irreversible deduction from the surplus product that is created by workers in state industry.

If, shall we say, the whole annual sum of new commodity values, created in state industry and entering into trade, is sold wholesale by the trusts for 1 billion, but in retail this mass of commodities sells for 1½ billion, then 500 million are directly deducted from the surplus product of industry to the benefit of the commercial apparatus. If four-fifths, or 400 million are collected by the

private trade apparatus, then that apparatus becomes an extremely dangerous breach in the very source of socialist accumulation – and not just of accumulation, but even of simple reproduction within the state economic system. In this case, private capital expropriates not the surplus product of petty production, on the base of which capitalism historically develops and which it never ceases to exploit, but the surplus product of socialist industry – a phenomenon unknown in economic history. For the state economy, the struggle with private capital at this point is a struggle against embezzlement of the values it has itself created. It is perfectly correct for the struggle with private capital to be carried over to precisely this site, just as it is correct to try to move from the solution of easier tasks to more difficult ones, i.e., to begin with a takeover of wholesale and wholesale-retail trade in the products coming from state industry.

Thus, in mastering the process of exchange of its own products, the state economy resolves for itself a task with a negative character – to avoid surrendering to private capital what essentially belongs to the state sector itself, its own fund, created on its own productive basis.

It is a completely different issue with the process of values moving from the private economy into the sphere of the state economy. Here, the struggle of state trading organs with private capital is, to a significant degree, a struggle for the surplus product of the private economy. When, for example, the procurement of material for industry on the peasant market is overseen by private capital, and the entire road from the producer of the material to the trust is blocked off by private middlemen, then the difference between the purchase price paid to the peasant and the selling price to the trust is basically a deduction from the income of the peasant economy. Conversely, if the state organs, say, manage the procurement of material themselves, then everything that is deducted from the income of the peasantry goes to the state economic sector. At the present stage of primitive socialist accumulation, the struggle with private capital is technically more difficult and has less significance than the struggle against private capital's embezzlement of the state economy's own surplus product. On the other hand, success in the latter struggle, i.e., driving private capital out of trade in the products of state industry, would no doubt strengthen the process of private capital's movement into private industry, which, generally speaking, is economically expedient and less dangerous when the state economy is growing quickly.

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Let us turn now to foreign trade and the system of socialist protectionism (Comrade Trotsky's term). The institution of the foreign trade monopoly has an

absolutely exceptional significance in the whole system of socialist economy. In the first place, it is itself one of the organs of socialist accumulation. Second, it is one of the most important organs for protecting this process of accumulation in all its variations and forms, and thus one of the most important levers of struggle against the law of value of the world capitalist economy. Third, this institution is one of the most important instruments for regulating the entire economy of the [Soviet] Union.

For present purposes, we shall deal with the monopoly of foreign trade only as an instrument of socialist accumulation.

As the peasant economy becomes more and more involved in commodity production, and as trade relations grow between the economy of the USSR and the world economy, the volume of exports is increasing. Before the war, the production of our industry played a smaller role in the general sum of exports than the export of agricultural products, and with restoration of the latter we have to expect that even if the previous proportions are not restored in the mix of exported commodities, there will still be a great development in the export of agricultural products compared to today. All of this means increased opportunities for socialist accumulation from the revenues of the peasant economy. The greater is the export of products from the countryside, the greater will be the dependence of the latter upon the authority that connects the peasant economy with the external market. The monopoly of foreign trade not only makes small-scale production dependent upon the state in the matter of realising surpluses, but it is also an important instrument for the acquisition of added profit on the external market. There are also branches of world trade in which the state economy of the USSR is a near-monopolist. It is enough to point to the trade in platinum, furs, flax to some degree, etc.

It is true that a state monopoly of trade in the commodities being exported by no means implies that Vneshtorg²⁰ ends up holding the entire difference between prices on the domestic market and those on the foreign market. Whereas Severoles²¹ for example, in realising the production of the lumber industry without any middlemen, ends up as owner of its entire surplus product, it is far from always the case that the state moves export commodities through all the stages that they travel to reach the foreign market. If, for example, grain is bought directly from the peasant by Khleboprodukt and sold abroad by Vneshtorg, then here the entire difference between the purchase and selling price passes through state hands. To the contrary, when procurements

20 [Vneshtorg: The People's Commissariat for Foreign Trade.]

21 [Severoles: The North Russia Timber Administration.]

are handled by representatives of private capital, and particularly when the state trading organs purchase export commodities from private wholesalers, the commercial profit of the state is significantly reduced to the benefit of private capital. On the other hand, even when export products are procured and shipped onwards by the organs of state trade themselves, this does not at all mean that in this case Vneshtorg receives the maximum profit. With our quite poor and expensive machinery of exchange, very often the whole difference (often an enormous percentage) between prices of purchase and sale on the foreign market represents so-called overhead costs, with the net profit amounting to nil.

But socialist accumulation, especially in the preliminary period of this accumulation, by no means always goes to increasing the productive capital of industry. Creation of a network of trading organs, as with creation of the whole structure that is minimally necessary to serve the state economy and eliminate private capital from decisive positions in the economic struggle, is also socialist accumulation only in a different form. As we shall see later, a narrowly commercial view of all the processes within the state economy, inspired by observations of private capital, can severely impede an understanding of the very essence of the socialist form of economy in its initial stages and frequently leads in practice to a completely false path. Behind the imperfections of one or another apparatus, people often fail to see the enormous importance of that apparatus for the entire system of the state economy. And in the present case the extreme unprofitability, from a commercial point of view, of our state trading organs, speaks of the need for rationalisation of this work, not for replacing these organs with private ones that are 'more profitable'. They are more profitable if the disadvantages of socialism in its first stage are regarded from a capitalist point of view, instead of appraising the 'advantages' of capitalism (to which must be added crises, wars etc.) from a socialist point of view, even when in some particular area the capitalist form has the edge.²²

In the foregoing analysis, we began with the supposition that prices on the products of industry that are absorbed by the private economy are given at a certain level. Now we must consider the extremely important question of the role played by pricing policy in the matter of socialist accumulation. Here we

22 In this context I am not speaking of another very important aspect of the matter, namely, that a commercially unprofitable export may be very beneficial from the viewpoint of the interests of the state economy as a whole if the currency thereby acquired goes to the import of machines for industry, which are presently many times more expensive for us to produce than is the case abroad. (Added to the second edition.)

consider the pricing policy for exported commodities, i.e., first of all the principles of our customs policy and its results, and secondly, the pricing policy of our trusts and state organs in general.

We begin with customs policy. We are speaking of customs duties on imported commodities, because taxation of the commodities exported by state organs and Vneshtorg is not a new source of accumulation, only a different distribution between various state organs (for example, between Narkomfin²³ and VSNKh,²⁴ along with its trusts) of one and the same sum of commercial profit or revenue from the trade turnover.²⁵ The customs policy of the USSR, with its nearly prohibitive rates on products of light industry and high duties on engineering products, represents a powerful barrier fencing off the country's domestic commodity turnover from the operation of the world law of value and protecting our socialist industry, which is short of capital and technically backward, from perishing under the blows of foreign competition. We shall consider this role of socialist protectionism, and also the role of the foreign trade monopoly, when analysing the clash of the law of socialist accumulation with the law of value. For the moment, we are speaking only of customs policy as a source of socialist accumulation.

The customs income of the USSR divides into two different categories that are not of equal importance from the viewpoint of accumulation. Customs revenue from levies on the means and instruments of production, which are imported to equip or re-equip state industry, are not in any way an instrument of accumulation. If, let us suppose, the textile syndicate buys new machines in England for the textile factories for 30 million roubles, and pays 10 million in customs duties, all that happens is a simple redistribution of a state fund between the textile industry and Narkomfin. The total of the state's funds would not change by a single kopeck if the duty on textile machines did not exist at all or if it were returned to the textile syndicate. True, we can say that the increase in value of the textile industry's equipment will force the trusts to increase their rates of amortisation and the corresponding selling price of their products. But this is an imaginary objection, because in that case the textile syndicate is only a pump for Narkomfin, extracting from the consumer a sum of 10 million roubles,

23 [The People's Commissariat of Finance.]

24 [The Supreme Council of National Economy.]

25 As mentioned previously, the revenue of the trade apparatus and the profit of this apparatus are completely different things. Revenue is calculated from the viewpoint of the whole national economy, whereas profit is the gross revenue minus the costs of the trade apparatus. The apparatus has to have revenue, i.e., make deductions from the national income, regardless of whether it has a profit or a loss.

while in essence it makes absolutely no difference whether it extracts this sum by raising the selling price to cover the additional amortisation costs or else simply raises the price and transfers it to Narkomfin as a profit transfer from state industry, with the 30 million worth of equipment being imported duty free. The question of technical convenience is a different one and amounts to the following. With given prices, and other conditions remaining equal, the accumulation fund of the textile industry, as of any other, is a constant sum. If customs duties are charged on part of this industry's fund and are not transferred to the consumers, the result is redistribution within the state sector *of one and the same fund*. If the price increases so does the fund, but this results from the price increase and not the customs policy. The possible extent of the increase is determined by a number of accompanying economic conditions, not by the rate of the customs duty. And whether it is generally expedient to tax the consumers of this branch of industry in response to taxation on equipment imported for the industry, or whether it is more expedient to construct a proper price policy and conditions for a transfer of profit from state industries into the vault of Narkomfin – this is a question of the technique of accumulation and has nothing to do with the origin of the revenue itself.

Accordingly, the taxation of imported instruments of production for state industry is a transfer of values from one of the state's pockets into another: from state industry's fund of fixed capital to Narkomfin's vault. Exactly the same applies to taxation of material for industry. Here, too, *with a given level* of prices, the question comes down to a redistribution of state resources within the state sector, although this taxation may be expedient for other reasons.

The case is entirely different with taxation of instruments of production that are imported for private industry, and with the import of products for consumption. Here, the entire taxation is a deduction from the incomes of the mass of consumers or from private industry's fund of fixed capital. Indeed, if Vneshtorg imports sugar from abroad, footwear etc., because our own production is insufficient, then the difference between prices on the domestic market and the purchase price abroad is paid by the consumer and acquired by the state trading organs. Even if the worker pays this difference, in this case we shall have an increase of revenues and accumulation by the state, although it occurs at the expense of the real consumer budget of the working class.

That is how things stand if the imported products for consumption merely compensate for a shortage of our own domestic production and are sold at domestic market prices. This import operation in no way impedes the process of accumulation and reproduction at other points of the state economy. It is another matter when more commodities are imported than can be absorbed by the market along with those produced domestically, and when they are sold

more cheaply than the latter. In this case, accumulation in the sphere of trade and through the instrument of the customs duty is purchased at the price of a partial curtailment of domestic production, i.e., at the price of halting in one sector not just accumulation on a production basis but even simple reproduction. If no more products are imported than the market demands, yet they are sold more cheaply, then here the profit at one pole will be offset by loss at another. Such a policy can be beneficial if the losses are compensated by gains, and if the reduction of prices leads to increased demand and is ultimately beneficial for industry. A practical decision, one way or the other, will be determined in this case by the results of a simple numerical calculation.

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Now let us turn to pricing policy for the products of industry. This policy is extremely important not just for socialist accumulation but also for the normal course of production in general, even when production is stable; it has immense significance for the peasant economy; and finally, it affects the political relations of the proletariat and peasantry. For the moment, we touch upon this policy only from the point of view of primitive socialist accumulation.

The basic theoretical question that must be resolved here from the very outset is this: Is it possible in general to have equivalent exchange between the state economy and the non-socialist environment? We can think of three possibilities:

1) When the state economy receives less value from the non-socialist milieu. In this case we will be dealing with a continuous decay of large-scale socialist production and a gradual selling off of its production below the cost price. This decay can assume the form of sales below cost of industrial fixed capital that is not completely reproduced while the wage remains constant, of selling off the labour power of the industrial proletariat for a song, or finally, of the two of them together. In the initial period of NEP we had numerous examples of such pricing of industrial production, which meant selling off both fixed capital and the labour power of the proletariat for a pittance.²⁶ There is no doubt that conversion of such a pricing policy into a system would mean a gradual scattering of large-scale industry and the victory of small-scale over large-scale production. The reader will find concrete examples in the section dealing with the economics of industry. This case must definitely not be confused with another,

²⁶ A vivid example of this, only taken from capitalist practice, can be seen in the pricing policy of German industry in the period of the falling currency after the World War.

when the price, as a result of competition, includes an allowance for the amortisation of fixed capital, but in fact the restoration of fixed capital does not occur because the corresponding sums that are being received go either to raise wages or to [buy] supplies of materials, i.e., to an increase of circulating capital. This sort of temporary borrowing from the fund of fixed capital, for other more urgent needs, has played a large role in the life of Soviet industry. This process was inevitable, given industry's extreme shortage of circulating capital, and it often occurred even with rather high prices that were not below replacement costs.

2) A second case. Prices for the products of state industry are calculated in such a way that when the production of this industry exchanges for products of the private economy, there occurs an exchange of equivalents, i.e., neither system of economy exploits the other. This condition is generally possible only as a very short episode. To consider such a position normal – would amount to thinking that the socialist system and the system of private commodity production can coexist side by side, within a single system of national economy, on the basis of a complete economic equilibrium between them. Such equilibrium cannot exist for long, because one system must displace the other. The possibilities here are either degradation or development, but it is impossible to stand in one place. Speaking in this context of capital as a process of movement, Marx wrote:

Capital, as self-valorizing value, does not just comprise class relations, a definite social character that depends on the existence of labour as wage-labour. It is a movement, a circulatory process through different stages, which itself in turn includes three different forms of the circulatory process. Hence it can only be grasped as a movement, and not as a static thing.²⁷

If capital represents movement – both in its individual turnover within some enterprise or other and in terms of the whole capitalist system's relation with the pre-capitalist environment – then how can the socialist form, in its relation with the pre-socialist environment, be 'a static thing'? And what does movement mean in this case? Movement in this case means one of two things: either the capitalist form quickly eats away at the monolithic bloc of the state economy, which was formed in the lava of the October Revolution and the Civil War, or else the socialist form develops at the expense of both its own

27 Marx 1978, p. 185.

accumulation and the non-socialist milieu, nourishing itself from its juices. If capitalism is movement, then socialism is *even more rapid movement*. And what it loses in speed during the period of primitive accumulation, in the sense of developing its technical-economic basis, due to the extreme shortage of capital, it *must* make up with intensified accumulation at the expense of the non-socialist environment. One of the most important means of such accumulation, in addition to what was said above as well as another method that we shall mention below, is the non-equivalent exchange of values with the non-socialist environment. This exchange, with an active balance accruing to socialist forms, is possible only with the corresponding pricing policy on the products of state industry.

3) Thus we come to the third case, which is not only possible but inevitable in our conditions, i.e., a pricing policy that is consciously designed to alienate a *definite* part of the surplus product of the private economy in all its forms. Such a policy is possible because the state economy of the proletariat arises historically on the basis of monopolistic capitalism. The latter, as a result of eliminating free competition, leads to creation of monopoly prices in the internal market on the products of domestic industry, acquires additional profit through exploiting petty production, and thus prepares the ground for the pricing policy of the period of primitive socialist accumulation. But concentration of all the large-scale industry of the country into a single trust, i.e., in the hands of the workers' state, enormously increases the possibilities for implementing, on the basis of monopoly, the sort of pricing policy that will be only another form of tax imposition on the private economy. The obstacles that the state economy meets on this road are not to be found in any lack on its own part of the economic force to implement this policy, but mainly in the need to combine this policy with a policy of reducing prices, which is only achievable if the reduction of costs proceeds even more quickly. And this, in turn, presupposes the need to re-equip industry as soon as the limit of rationalisation with the old technique has been reached. Another difficulty arises from the fact that the state is not a monopolist in all the branches of industry. Consequently, the pricing policy must be calculated in such a way that state accumulation does not automatically bring with it private capitalist accumulation. Finally, I am not speaking here of the difficulties of a political nature that flow from the relationship of the working class and the peasantry and often make it necessary to speak of equivalent exchange, although the latter, given the socialisation of large-scale industry in an economically backward country, is even more of a utopia than under the domination of monopolistic capitalism.

Accumulation by way of the corresponding pricing policy has its advantages over other types of direct and indirect taxation of the small-scale economy. The

most important of them is the extreme ease of collection, which requires not a single kopeck for special taxation apparatuses.

The objection, which amounts to saying that taxation on the basis of a definite pricing policy will hurt worker's wages and the village poor, is complete nonsense. (I deliberately avoid saying 'on the basis of an increase in prices', because taxation is not only possible with falling prices but for us it will occur precisely with falling prices or during periods when prices do not change; this is possible because, with the reduction of the cost of products, the prices fall not by the total amount of the reduction but something less, and the difference goes to the fund of socialist accumulation and to a rise in wages.) The village poor are not the main purchasers of products from our industry. What they lose in this connection they can receive back from the state in the form of credit, in the form of the compulsory accumulation of fixed capital for their farm, etc. As far as the workers are concerned, this objection is just as unfounded as the objection to indirect taxes, which are completely transferable to wages. Here is a numerical example: if, due to a corresponding pricing policy, the working class pays to industry, along with the entire population, say 50 million, the state can easily return this sum to workers with a wage increase, while the sum received from bourgeois and petty-bourgeois consumers is not returned to them and serves to increase the fund of socialist accumulation. In our chapter on the economics of industry we shall return to this whole problem with figures in hand.

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Now we turn to accumulation on a production basis, i.e., to the increase of values that are being created on the basis of expanded reproduction within the [state] system itself and by its own forces.

As we have done previously, let us begin by recalling the corresponding moments of primitive capitalist accumulation. Giving a definition of what is called the period of primitive capitalist accumulation, Marx wrote:

So-called primitive accumulation, therefore, is nothing else than the historical process of divorcing the producer from the means of production. It appears as 'primitive' because it forms the pre-history of capital, and of the mode of production corresponding to capital.²⁸

28 Marx 1976, pp. 874–5.

In other words, the period of primitive capitalist accumulation by no means ends with organisation of the first capitalist manufactory but is still found at the very peak of its development. In order for the capitalist mode of production to become the ruling form of production, in order for the period of primitive capitalist accumulation to give way to a period of 'normal' capitalist accumulation, in order for separation of the producer from the means of production – i.e. creation of a class of wage workers – to advance sufficiently, together with dispossessing the peasants of their land and transferring independent craftsmen into the ranks of proletarians, the process of using these cadres in production had to advance with sufficient speed. In order to fulfil, for the most part, the main task of primitive accumulation, 'divorcing the producer from the means of production', and even in the process of doing so, capitalism also had to initiate and develop such accumulation increasingly on a production basis. This process went ahead and developed uninterruptedly; alongside of it, accumulation by economic and non-economic methods also continued, as described above. But the role of accumulation on a production basis continuously grew in pace with the conversion of all production in the main branches into capitalist production. Marx expressed the dialectical development of this process, in which the result becomes the cause, with these words: 'With the accumulation of capital, therefore, the specifically capitalist mode of production develops, and, with the capitalist mode of production, the accumulation of capital'.²⁹

The source of capitalist accumulation on a production basis is the exploitation of labour power. The forms of this exploitation are more primitive and crude in the early stages, when absolute surplus value has priority over relative.³⁰ Later, the relation between these two appears in reverse.

During the initial period of the development of capitalism, in the first capitalist enterprises, the working day was longer than in mediaeval handicraft production, the holidays were fewer, and the intensity of labour was inevitably higher. Accordingly, the total amount of labour, expended by the individual worker in a day, was higher than in mediaeval handicraft production. On the other hand, wages in the first capitalist enterprises were lower than the wage of an apprentice craftsman. Thus, the wage was lower and the working day longer than in the preceding economic system, and all of this occurred on the basis of a higher technique and with higher labour productivity – these were the sources of intensified primitive accumulation on a production basis in the

²⁹ Marx 1976, p. 776.

³⁰ See Marx 1976, p. 645 *et passim* for the distinction between absolute and relative surplus value. The former depends upon the length of the working day, the latter upon changes in technology that increase the intensity or the productivity of labour.]

initial period of the development of capitalism. During this period, the state intervened in the production process not with the goal of reducing or moderating it, as it did later, but, to the contrary, with the goal of reducing the strength of working-class resistance to exploitation. The state stands guard over primitive accumulation when it supports the process of dispossessing the peasants, when it issues vagrancy laws and remorselessly hangs 'homeless vagrants' who resist the yoke of capital, and when it issues laws concerning the maximum wage and the minimum working day.

The enemies of socialism, particularly opponents of the Soviet system of economy, gloat when remarking that in the first years of primitive socialist accumulation our wage is lower than before the war and the revolution. These gentlemen should remember that in the period of primitive capitalist accumulation, the living conditions of wage workers in capitalist factories, as Marx showed in *Capital* and several other studies, were far worse than the living conditions of apprentices, and worse still than those of master craftsmen in the Middle Ages. And this was despite the enormous technical superiority of capitalist production over crafts. In other words, the external deterioration of the life of the working masses in the period of primitive socialist accumulation, by comparison with the position of workers in a developed capitalist system, says just as little about the economic advantage of capitalism over socialism as the deterioration of the position of workers in the first capitalist manufactories and factories, compared to the crafts, could say about the economic advantages of petty independent production over capitalist production.

All of the basic methods of the exploitation of labour power by capital are dramatically described in *Capital* and are generally known. Here I wish to dwell upon one aspect that has great significance for making an appropriate comparison with the period of primitive socialist accumulation. The issue involves the predatory squandering of the labour power of the proletariat in the name of all-round economy in the means of production, and therefore in the interests of reducing the cost of commodities. Here is what Marx has to say about this:

This economy extends to crowding workers into confined and unhealthy premises, a practice which in capitalist parlance is called saving on buildings; squeezing dangerous machines into the same premises and dispensing with means of protection against these dangers; neglect of precautionary measures in those production processes whose very nature is harmful to health or involves risk, as in mining, etc. Not to speak of the absence of all provisions that would make the production process humane, comfortable or simply bearable for the worker. From the standpoint of the capitalist this would be a senseless and purposeless

waste. Yet for all its stinginess, capitalist production is thoroughly wasteful with human material, just as its way of distributing its products through trade, and its manner of competition, make it very wasteful of material resources, so that it loses for society what it gains for the individual capitalist.³¹

This barbaric attitude to labour power, which is typical of all the stages of capitalism, assumes monstrous forms precisely during the period of primitive accumulation, when the economic struggle of the workers had hardly begun and the balance of forces was extremely unfavourable for the working class. For this period it is also necessary to note that capitalism at the time did not bear the costs of an industrial reserve army, which became an economic imperative in the following epoch. Furthermore, the capitalists themselves reduced in all manner of ways their own personal consumption fund in the name of an expansion of production. Here is a brief illustration in this regard:

‘The trade of Manchester may be divided into four periods. First, when manufacturers were obliged to work hard for their livelihood.’ They enriched themselves chiefly by robbing the parents whose children were bound as apprentices to them: the parents paid a high premium, while the apprentices were starved. On the other hand, the average profits were low, and, in, order to accumulate, extreme parsimony was needed. They lived like misers, and were far from consuming even the interest on their capital. ‘The second period, when they had begun to acquire little fortunes, but worked as hard as before’ (for the direct exploitation of labour costs labour, as every slave-driver knows) ‘and lived in as plain a manner as before ... The third, when luxury began, and the trade was pushed by sending out riders for orders into every market town in the Kingdom ... It is probable that few or no capitals of £3,000 to £4,000 acquired by trade existed here before 1690. However, about that time, or a little later, the traders had got money beforehand, and began to build modern brick houses, instead of those of wood and plaster,’ Even in the early part of the eighteenth century, a Manchester manufacturer who placed a pint of foreign wine before his guests exposed himself to the remarks and headshakings of all his neighbours. Before the rise of machinery, a manufacturer’s evening expenditure at the public house where they all met never exceeded sixpence for a glass of punch, and a penny for a screw of

31 Marx 1981, p. 180.

tobacco. It was not till 1758, and this marks an epoch, that a person actually engaged in business was seen with a carriage of his own. 'The fourth period', the last thirty years of the eighteenth century, 'is that in which expense and luxury have made great progress, supported by a trade extended by means of riders and factors through every part of Europe.' What would the good Dr. Aikin say if he could rise from the grave and see the Manchester of today?³²

Now we turn to the question of accumulation on a production basis in the state economy. The source of this accumulation is the same as under capitalism, i.e., the labour of the working class, whose wage must be below the total value of the new production created by this working class. But here there are a number of fundamental differences both in the general conditions of primitive socialist accumulation and in the forms of utilising labour power and paying for it.

Above all, we must recall the fact noted above, that socialist accumulation in general can only begin *after the proletarian revolution*, whereas the process of primitive capitalist accumulation begins and proceeds in advance of the bourgeois revolutions. In some countries it is in full swing at the time of these revolutions (England, France), while in others, by this time, it has already run through its principal stages (Germany). For the very opportunity to begin restructuring the entire economic system, the bourgeoisie did not have to pay the tribute, in the form of destruction of productive forces and exhaustion of existing supplies, involved in a proletarian revolution and civil war in the twentieth century. We do not know how much the proletariat's seizure of power will cost in other countries, but for us this conquest was so costly that accumulation on a production basis could not even begin immediately. It was preceded by a period in which the general sum of values, being created within the state sector and distributed both within and outside of it, did not exceed but was actually less than the total cost of production.

The period of War Communism confronted the state not with the problem of accumulation and expanded reproduction in conditions of a new system of property, but rather with the task of military victory, on the one hand, and of feeding a commune of impoverished people – the proletariat and the poorest peasantry, together with their army – who were fighting against the entire capitalist world. The economy of this period was a military-and-consuming communism. Its task was to hold out and somehow to feed itself and win. The deficits of the state economy could not, in any circumstances, be a motive

32 Marx 1976, pp. 741–2.

for curtailing it, still less for shutting it down. Production, which was incurring losses from the capitalist point of view and in terms of accumulation, was necessary and useful from the point of view of the specific tasks of this period.

Here is a small and random numerical example: if we were to calculate the cost of production in relation to typical enterprises of that period, we would get the following picture (the numbers are chosen arbitrarily). The cost of material and the amortisation of instruments of production, i.e., constant capital – 1,000; wages, i.e., variable capital – 500; the cost price of the product – 1,500; the commercial value of the product in pre-war prices – 600. In that kind of situation, there is not only no surplus product but a colossal loss of $1,500 - 600 = 900$. However, under the system of War Communism, and given its tasks, such effect was by no means negative. The workers produced their wage, and something more, namely 100, went into the common pot of the state commune. These 100 were not a surplus product but rather a loan from the fixed capital or an expenditure of fixed capital. But this loan, this expenditure, was a plus in that period because the fixed capital and supplies of material would have been idled as dead capital if labour power had not transformed them into products for consumption. There were times when it could have happened, and in fact did happen, that the commercial value of production was lower even than the wages; in our example, 400 as opposed to 500. But it was expedient in this case to continue with a part of production because workers still had to be fed and the costs of maintaining factories had to be met. It was more profitable (although not measured in value terms) for the state to incur a deficit of 100 on the products being created in *working factories* than a deficit of 200 or 500 *with the factories closed*. This was a totally unique economy, fundamentally opposed to capitalist production in terms of its tasks and its methods of calculation.

With regard to the fundamental incentive for capitalist production, i.e., profit, Marx wrote: 'It is the rate of profit that is the driving force in capitalist production, and nothing is produced save what can be produced at a profit'.³³

In the period of primitive capitalist accumulation, the capital that had moved from trade into production as a rule yielded a profit. As a rule capitalism did not know, and by its very structure could not know, any period when it 'worked' for a long time 'in vain' from the capitalist viewpoint, i.e., without a profit or at a loss, covering the latter from other sources of primitive accumulation that lay beyond the limits of capitalist enterprises. On the contrary, production without profit, i.e., production without surplus value, which can exist for private capital only as an exception, an episode, was the rule during

33 Marx 1981, p. 368.

the period of War Communism. Rephrasing the comment just cited from Marx, we could say with regard to the period of War Communism: Use all possible means to produce everything that can increase today's consumption fund, even by way of squandering fixed and circulating capital and without any hope for their speedy replacement.³⁴

But such an economy cannot exist for long. This pre-history of primitive socialist accumulation came to a close with the end of the Civil War, and its history then began. *But this accumulation did not begin with an increase of the annual fund of surplus product within the state economy, but rather with a reduction of the annual deficit in this economy.* This is the first typical feature of our socialist accumulation by comparison with capitalist accumulation.

Socialist accumulation does not start with nothing and then increase: it starts with a level that is less than nothing. Zero surplus product in the state economy as a whole, and zero losses – this line of zero was the ideal in the transition from the period of War Communism to the period of primitive socialist accumulation.³⁵ While the motivating stimulus of capitalist production is the striving for *maximum profit*, in the period of War Communism there was a quest for *the maximum quantity of products being created*, even if at the price of *maximum loss*; but from the start of socialist accumulation the basic goal is to achieve *minimum loss* for the whole state economy (and, to the extent that it is possible, for individual enterprises). At the present moment, i.e., in 1925–26, the state industry and transport of the USSR is profitable as a whole. If the value of industry's gross product is 2500 million roubles, with a net of 1000 million, there will be no accumulation if this 1000s = v , i.e., if net production equals the total wages, while s – which in this case is not surplus value but surplus product³⁶ – is equal to zero. Conversely, if the sum of all wages is less than the sum of new values being created in the course of a year by the workers in state industry, then there is a surplus product even if the whole of industry gave none of this product to the state but demanded many millions in subsidies for the restoration of fixed and circulating capital. During the World War, the Revolution and the Civil War, there was not only no normal

34 A certain analogy to this in the capitalist world can be seen in the economy of Germany during the period when the mark was rapidly declining insofar as there is no doubt that it occurred at a loss.

35 I deliberately avoid saying 'to the period of the New Economic Policy' because this term has now become perfectly meaningless, and below I make a suggestion to replace it with a different term.

36 On the question of which term is more correct – surplus value or surplus product – see the next chapter of this book.

reproduction but an enormous exhaustion of the basic elements of production. Now, they are being restored. If, in this process, the basic resources for this restoration came not from accumulation on a production basis, but instead from the non-socialist environment with the methods described previously, this would by no means imply that the first form of accumulation has not occurred.

If, let us say, the annual net product of state industry is 1000 million roubles, the sum of all wages paid out for the year is 700 million, and the reconstruction of fixed and circulating capital takes not only the sum invisible to the state budget – $1000 - 700 = 300$ – but also a visible and very burdensome 200 from Narkomfin, this does not at all mean that there is no surplus product. It does exist in this case, and furthermore, to the sum of 300 must still be added the whole sum of state and local taxes paid by industry for the year, expenditures on supervision, etc. In the present case I am assuming, of course, that the value transferred to the product, i.e., of the constant capital, which in this example is 1500, is correctly calculated, and that the loss by industry, due to incorrect amortisation and low prices, does not eat up the surplus product created by the workers; and on the other hand, that the calculation in the reverse direction is also correct, i.e., that the result of increased monopoly prices is not attributed to increased productivity by the workers but instead comes from taxation on the private economy, the tax being barely visible in this case due to the corresponding pricing policy.

Thus, at the very beginning of socialist accumulation, the state carries on production despite losses, and it strives only for the least loss in the economy as a whole, but not by any means always for the least loss when selecting the enterprises that must be set in operation (otherwise it would be necessary in the first stage to shut down transport). This basic difference from capitalist accumulation entails a number of secondary differences. But even when the zero line in the sphere of accumulation has been crossed, and when the state economy, as a whole, externally appears to follow the same policy of accumulation as an individual capitalist economy, we see an enormous difference between primitive capitalist and primitive socialist accumulation. The difference lies not only in the fact that the principle of accumulation in a separate enterprise and the principle of accumulation in an entire complex are two different things, which is extremely important for the economic policy of individual trusts. This difference is [also] connected with the circumstance that capitalist enterprises were from the very outset more technically advanced and economically stronger than the individual enterprises of the mode of production that they had to marginalise and subordinate to themselves, i.e., petty production, whereas socialist production is compelled to pass through a long period of accumulating mater-

ial resources, in the course of which an individual enterprise of the state economy will inevitably be technically not higher but instead lower, economically not stronger but instead weaker than a modern capitalist enterprise of a leading bourgeois country.

The whole economics of the state economy in this period will inevitably be subordinated, on the one hand, to the task of the most rapid possible accumulation of resources sufficient for reconstructing the technical base of industry through electrification, together with an economically efficient distribution of industry in terms of territory, and on the other hand, to the task of protecting this new economy from the still powerful capitalist economy. In this sense, the period of primitive socialist accumulation, with its inherent laws, will be inevitable not just for backward peasant countries such as the USSR, but probably also, in part, for the socialist economy of Europe insofar as today's European economy (even without the ruin it will experience from civil war) is economically and technically weaker than the economy of capitalist North America. Only in the most advanced industrial countries will primitive socialist accumulation be based much more upon the surplus product of the workers than the resources acquired from pre-socialist forms of production in Europe and the colonies.

But in the epoch of primitive accumulation capitalism did not face these two tasks. Certain measures were taken against crafts, but this was more a product of capitalist excesses and enthusiasm than an economic necessity for capitalism since in conditions of full equality it still defeated petty production decisively. On the other hand, the protective tariff policy in countries with weakly developed industry was aimed at protecting that industry from the competition of capitalistically more developed countries, which also has nothing but an external similarity to socialist protectionism. In their case it was a matter of protecting one industry from another *belonging to one and the same economic system*. For us it is a matter of defending one mode of production, which is in a condition of infantile weakness, from another economic system that is a deadly enemy and that will inevitably, even in the period of its senility, be economically and technically stronger than the new economy for a certain time. To see in socialist protectionism a complete analogy with capitalist protectionism is only possible with a complete indifference to theory. The comparison would only make sense if a single socialist country, with a weakly developed domestic industry, introduced duties to protect that industry from the socialist industry of a more advanced country, instead of becoming part of a single economic organism of the socialist economy of all countries in which the proletariat has prevailed. Then we would have, as in the case of capitalism, customs duties within a single system of economy. But such an absurd outcome is hardly

likely to happen anywhere. Let us note, by the way, that even this example, like all examples coming from a comparison of the capitalist with the socialist economy, reveals a difference in principle between the two in the sense that capitalism develops on the basis of competition and the mutual repulsion of its parts, whereas the method of socialist expansion in the economic (and also the political) sphere is one of mutual attraction between the parts, mutual assistance, and the tendency towards a single economic complex. This is associated with not just military but also economic necessity.

We said earlier that capitalism, especially during the period of primitive accumulation, typically treats labour power in a ruthless, barbarous and wasteful manner, striving to control it in the same way as it does any other commodity that is purchased and becomes one of the elements of production. The limits of exploitation and oppression in this context are the purely physiological limits of exploitation (the worker has to sleep and eat) or else the resistance of the working class. Later, the balance of forces between workers and capitalists in the economic struggle is the most important factor in limiting the tempo and scale of capitalist accumulation on a production basis. In contrast, from the moment of its victory the working class is transformed from being an object of exploitation into being also its subject. It cannot have the same attitude to its own labour power, health, work and working conditions as the capitalist does. This involves a definite limit for the tempo of socialist accumulation that was unknown to capitalist industry in the first period of its development. True, we are familiar with the enthusiasm and heroic self-restraint of the working class during the first years of organising state industry, especially during the period of the Civil War. But such moments are not typical for the whole period of socialist accumulation.

The first and perfectly obvious difference between the state economy of the proletariat and the typical capitalist economy is the fact that although the state economy works for the market and involves commodity production in the sphere of exchange, in relation to the worker it *begins* (but for now is just beginning) to emerge as a system of production for the sake of consumption by the producers. The laws that govern the movement of wages in the period of socialist accumulation are completely different from the laws of wages under capitalism during the period of primitive accumulation. The clearest evidence of this can be seen, for example, in the fact that in 1920, when unemployment was lower and for a time there was a partial shortage of skilled labour power (which required certain measures on the part of Narkomtrud³⁷), the wage was

37 [Narkomtrud: The People's Commissariat of Labour. The reference is to labour conscrip-

significantly lower than in 1924, when 1,300,000 were unemployed in the country. Under the capitalist system, where any deviation of the wage level from the value of labour power is determined by the demand and supply for labour power and by the degree of organisation and strength of working-class resistance, the relations would have to be exactly the opposite. Thus, in this period the law of wages is subordinate to the law of socialist accumulation, which finds expression in the conscious self-restraint of the working class. This self-restraint replaces the resultant of the spontaneous struggle between labour and capital, which, other conditions being equal – i.e., mainly with the given level of the value of labour power – determined the level of wages and surplus value in the system of capitalist production. Socialist accumulation is a necessity for the working class, but here it appears as a conscious necessity.

The fact that in the state economy of the USSR, in spite of its poverty, the 8-hour working day is firmly preserved, and that broader measures are introduced each year for the protection of labour, is likewise possible only insofar as the working class is the master of production. With the current scale of production, anything of the kind would be absolutely impossible for the capitalist system.

Among the specific features that characterise the period of primitive socialist accumulation, by comparison with the corresponding epoch of capitalism, we must note the fact of enormous unemployment, which requires the expenditure of significant means from the fund of accumulation – an expenditure that the knights of primitive accumulation did not bear when they opened their first factories and fed them with reserves of labour power from agriculture and the crafts.

We must also mention here that the terrible poverty of the period of war and revolution, and the enormous curtailment of the customary requirements of the working class, served and will serve as one of the factors of socialist accumulation, in the sense that is easier for the working class, after such a recent experience, to exercise self-restraint in its demands during the years when the tasks of socialist accumulation are in the forefront.

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The fundamental law of primitive socialist accumulation is the central mainspring of the entire Soviet state economy. But this law probably has universal

tion and militarisation under the supervision of Leon Trotsky at the height of War Communism. See Trotsky 2007.]

significance, with the possible exception of those countries that are last to go over to the socialist form of economy. In light of what we have said previously, we can formulate this law, as it concerns redistribution of the material forces of production, as follows.

The more economically backward, petty-bourgeois and peasant is one or another country that is going over to the socialist organisation of production, and the smaller is the inheritance that the proletariat of a given country receives at the moment of social revolution for its fund of socialist accumulation, the more will socialist accumulation be compelled to depend upon alienation of part of the surplus product of pre-socialist forms of economy, and the less will be the relative weight of accumulation on its own production base, i.e., the less will it be nourished by the surplus product of workers in socialist industry. Conversely, the more economically and industrially developed is one or another country in which the social revolution wins, and the greater is the material inheritance in the form of highly developed industry and capitalistically organised agriculture that the proletariat of this country receives from the bourgeoisie after nationalisation, the less will be the relative weight in the given country of pre-capitalist forms of production, the more imperative will it be for the proletariat of the given country to reduce non-equivalence in the exchange of its products for products of the former colonies, and the more will the centre of gravity of socialist accumulation shift to the production base of socialist forms, i.e., depend upon the surplus product of its own industry and its own agriculture.³⁸

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The period of primitive socialist accumulation is not simply a time of assembling the material resources of the new economy for its final victory over the capitalist form; it is also a period of direct struggle of the state economy with the private one, which also involves the distribution of labour power. One of the most interesting questions for the theory of the Soviet economy is the question of how, in what concrete forms, the historically higher socialist system of economy will displace the pre-socialist forms. The problem, moreover, can be broken down further: How will the methods of struggle by the socialist form against the private economy differ, during the period of primitive socialist accumulation, from the methods of struggle in the period of genuinely socialist industry; and secondly, what is the difference in the relations between

38 Of course, this law must undergo certain modifications when means of production are transferred from an advanced socialist country to one that is backward.

the socialist and capitalist form, on the one hand, and [between the socialist form and] petty-commodity production on the other?

How did matters stand with the victory of the capitalist mode of production over pre-capitalist forms? Here is what Marx has to say on this topic:

As capitalist production advances, so also do its requirements become more extensive, and it subjects all the social preconditions that frame the production process to its specific character and immanent laws.³⁹

Its tendency ... is to transform all possible production into commodity production; the main means by which it does this is precisely by drawing this production into its circulation process; and developed commodity production is itself capitalist commodity production. The intervention of industrial capital everywhere promotes this transformation, and with it too the transformation of all immediate producers into wage-labourers.⁴⁰

... [T]he same circumstance that produces the basic condition for capitalist production, the existence of a class of wage-labourers, encourages the transition of all commodity production to capitalist commodity production. To the extent that the latter develops, it has a destroying and dissolving effect on all earlier forms of production, which, being pre-eminently aimed at satisfying the direct needs of the producers, only transform their excess products into commodities. It makes the sale of the product the main interest, at first without apparently attacking the mode of production itself; this was for example the first effect of capitalist world trade on such peoples as the Chinese, Indians, Arabs, etc. Once it has taken root, however, it destroys all forms of commodity production that are based either on the producer's own labour, or simply on the sale of the excess product as a commodity. It firstly makes commodity production universal, and then gradually transforms all commodity production into capitalist production.⁴¹

Capitalist production holds no terror for natural economy when the latter has no points of contact with it, when both systems are completely non-communicating vessels. Natural economy simply does not take up the fight insofar as it is not drawn into monetary commodity exchange. Capitalism is

39 Marx 1981, pp. 297–8.

40 Marx 1978, p. 190.

41 Marx 1978, pp. 119–20.

then like an athlete, who calls in vain upon a weaker opponent to fight, to make an appearance, while the latter remains silent and does not respond. It is only when this weaker opponent is pulled into the capitalist arena by the development of commodity exchange that capitalism pins it down by both shoulders in the process of free competitive struggle. It is extremely important for us to emphasise here that for the victory of the capitalist mode of production over the primitive natural and petty-bourgeois modes, the economic advantages that each capitalist enterprise had over more primitive forms of economy, even at the stage of the manufactory development of capitalism, were quite sufficient. Force played mainly a supplementary role. It accelerated the process of capitalist development primarily by helping to drag natural economy into the arena of struggle. The Manchesterian theory of the bourgeoisie was not just a product of the defence against absolutism and its interference in the economic process to the detriment of the third estate; it was also a product of capitalism's awareness of its purely economic superiority over pre-capitalist forms, a superiority that was based upon many years of experience in successful competitive struggle. Each capitalist enterprise, taken separately, was both technically and economically stronger than any handicraft enterprise or group of such enterprises. An *arshin* of calico, made with the expenditure of ten units of time in a capitalist enterprise, was a deadly weapon for capitalism in the struggle with a hand weaver who worked up this *arshin* at the cost of two or three times as much labour time. The outcome of the struggle was decided by the consumer, who, in purchasing the cheaper product, thereby voted for the capitalist mode of production and supported it against the craftsman by becoming the purchaser of capitalist production.

State industry finds itself in a completely different position in relation to capitalist industry during the period of primitive socialist accumulation. An individual enterprise of state industry is also in a completely different position in relation to a capitalist enterprise of the same type. We must not lose sight of this for a moment, since this is the only way that we can conceive the burning question of how, in general terms, the process of the socialist form replacing the capitalist one can and must occur. The vulgar idea that the socialist form, already in the first period of its existence, defeats the capitalist form in competitive struggle, just as the capitalist factory defeated the craftsman, is a crude, superficial and uncritical analogy with the past. This analogy does not illuminate the question but rather obscures the whole problem. Of course, it is much easier to make such superficial and uncritical analogies than to understand the unique singularity of the period of primitive socialist accumulation. Quite enough of them have been made in our economic literature following the end of War Communism, and with notably miserable success. The economic policy

of the proletarian state, to the extent that it was correct and did not stray to the path of such socialist Manchesterism, gropingly and spontaneously did exactly the opposite of what logically and practically flowed from this sort of analogies, which at one time replaced a scientific-Marxist analysis of our economy.

At the moment our state economy is both technically and economically weaker than the capitalist economy of Europe and America. The Soviet economy of Europe, after the victory there of the dictatorship of the proletariat, will probably be weaker than the economy of capitalist America. In the initial period of its development the socialist form – due to the absence both of the material preconditions required for restructuring its technical basis and of the necessary prerequisites of socialist culture and socialist education of the working proletariat – cannot develop all of the advantages that inhere organically in socialism and whose presence makes the socialist form historically more progressive than capitalism. In the period of primitive accumulation, as we have mentioned, the socialist form does not yet develop all of its advantages, although it does lose certain advantages of the capitalist economy. Conversely, the latter is fitted in the full armour of its fundamental advantages, which even in the period of the decline of capitalism make a competitive struggle with capitalism, on the basis of equality, generally impossible for the socialist form. For the state economy of the proletariat, it would be utterly (and stupidly) suicidal to attempt to defeat capitalism in the arena of free competitive struggle at the present stage of development of the socialist economy. The latter would disintegrate and, in the final analysis, be beaten in this struggle. It must not be forgotten that if our entire state economy, other conditions being equal, was on the whole weaker than capitalist economy during the first years (for a precise comparison, I would mention that our state industry from 1915 to 1925 was weaker than our pre-war large-scale capitalist industry), a separate state enterprise, other conditions being equal, was also weaker than a capitalist enterprise. In relation to foreign capitalist industry, this is expressed in the fact that a great majority of the products of our industry are more expensive and of poorer quality than foreign ones, and it cannot be otherwise.⁴²

Private industry is only weaker within the country because it does not have equal conditions for the struggle. From the very beginning, the large and technically most advanced enterprises have been in state hands. Secondly, and this is most important, private industry on every other count is placed in less favourable conditions than state industry. Thanks to a perfectly correct socialist policy

42 For example, the technique of our textile industry after the revolution lagged by fifteen years behind that of England, many of the (Urals) metal-working enterprises are old trash etc., etc.

the state economy, and therefore individual state enterprises, merely as *parts of this whole*, turn out to be stronger than private ones, i.e., stronger in the [existing] conditions of inequality between the two sides. And if all this is true – and this is exactly how it is – then it follows that the victory of the socialist form over the capitalist one, in a period of economic and technical weakness of the state economy, i.e., in the period of primitive socialist accumulation, cannot possibly occur as a result of the competitive struggle of individual state enterprises, or groups of them, with analogous individual enterprises of a capitalist character. For a victory by this route, state enterprises lack the main thing that was available to the capitalist enterprises that struggled with crafts: they do not have an individual economic and technical advantage over the enterprises of an historically lower form. But if the socialist form must win, and it is already gradually winning in the stage of primitive socialist accumulation (accumulation itself, i.e., expanded socialist reproduction, is already a product of the struggle and one of its trophies), then this must entail some other causes that go beyond the limits of the competitive struggle between individual enterprises of two different economic systems. What are these causes, what is it that especially differentiates socialist from capitalist expansion, and what makes the socialist form more stable in the struggle with the capitalist form?

The first and most important distinguishing feature consists of the fact that the state economy enters the struggle and must do so only as a single whole. A separate state enterprise, if detached from the whole and abandoned in a phase of competitive struggle, would probably not survive and would be beaten. But that same enterprise, within a single complex of the state economy, has behind it the whole force of this complex, and for that reason it has already ceased altogether to be a single enterprise or trust of the old capitalist type, even when it is ‘converted to economic accounting’⁴³ and externally appears to be similar to an individual enterprise of commodity economy or a capitalist trust. *Just as labour on the basis of cooperation represents something greater than a sum of the labour power of the individuals who have come together in cooperative work, so the integral complex of the state economy is something greater than an arithmetic sum of all the enterprises and trusts that enter into it.* Added strength is acquired here from vast cooperation of a new type – as the result of the activity of a great and organised economic mass. When our trusts were created and transferred to economic accounting, the external appearance of those trusts, their capitalist shape and capitalist methods of calculation, led a number of vulgar econom-

43 [The reference is to maintenance under NEP of individual enterprise accounts, or ‘*khozraschet*’.]

ists to create some sort of 'theory' of a competitive struggle of separate state enterprises with capitalist ones – a theory that suspiciously united Marxist-educated, or at least literate people, with the shallow thinkers and philistines of bourgeois 'science'.

But the practical needs of the huge machine of the state economy and its individual units, the actual policy dictated to this machine by economic necessity, is something far more substantial than these petty philistine discussions, which are an attempt to represent the temporary and superficial phenomena of the transition of the state economy from War Communism to the period of socialist accumulation (or, as we usually say, to NEP)⁴⁴ – i.e., the phenomena of a certain disorganisation, dispersion of the trusts, their lack of management etc. – as the normal type of relations between the trusts themselves and with the private market. Meanwhile, as soon as the period of reorganisation, the period of rearranging the economic forces of the state economy in a way appropriate to the conditions of commodity exchange was completed, and the first steps were taken in the new context, the process began of 'mustering' the state economy as a single whole, of grasping for and utilising in practice the advantages that come from the cooperation of great economic entities, and finally, of gradually narrowing the field of 'free' competition of the state economy with the private economy.⁴⁵

Another factor that stabilises the socialist form in the struggle with the capitalist one, and also has nothing in common with a free competitive struggle (but precisely the opposite), is the coalescence of state power with the state economy. In the period of primitive capitalist accumulation, the state often facilitated the process, including measures of force, but this state assistance to capitalist development – and also its resistance to it, as in the case of the feudal state – is not at all comparable to the role that the proletarian state plays in the economic process. Some idea of this from the past can be seen only in the

44 The New Economic Policy was 'new' when memory was alive of the 'old' economic policy of War Communism, with which it was being compared. This term must be eliminated. When the word NEP was invented it was used in three senses, meaning: 1) a new economic policy, 2) the whole of our mixed system of commodity-socialist economy, 3) the bourgeois principle in our economy. Instead of 'the new economic policy' it is now more correct and useful to say: the policy of primitive socialist accumulation; the period of socialist accumulation.

45 What once inspired all the White Guards to clamour hysterically about a return to the methods of War Communism was in fact only the process of consolidation of the state economy and the beginning of the transition to the methods of struggle for its existence and development that will be typical for the entire period of primitive socialist accumulation.

period of military-state capitalism during the epoch of the imperialist war. The enormous degree to which coalescence of the capitalist state with the capitalist economy can increase the strength and stability of this political-economic mechanism is shown by the experience of military-state capitalism in Germany from 1914–18. With the proletarian dictatorship, this process of coalescence goes much further. The proletarian state and the proletarian economy are an integral whole in the full sense of the word. This fusion of political and economic might tremendously increases both the political power of the state and the economic power of the state economy.

We have already indicated the enormous role played by non-economic methods of socialist accumulation. The authority of the proletarian state, which extends to the surplus product of the private economy (of course, within the limits of what is economically possible, expedient and technically achievable), is not only itself an instrument of primitive accumulation but also a constant reserve for this accumulation – a potential fund, so to speak, of the state economy. On the other hand, the monopoly of foreign trade and our protective barrier of customs duties, against which the waves of the world economy's law of value break, is a realisation of the internal political power of the proletarian state and of the external support for it coming from the world proletariat. The economic significance of using these powers in this area is directly and decisively important for the very existence of the socialist form during its infancy.

We come to the conclusion, therefore, that while there is a formal similarity between capitalist and socialist expansion, and while both forms immanently strive to develop not only through their own resources but also, inevitably, by displacing historically backward forms of production that they constantly exploit, the methods of struggle against the old forms are completely different for capitalism and socialism. Capitalism wins through loosely organised skirmishes with pre-capitalist forms of economy in the conditions of free competition. Socialism wins through the closed structure of the state economy, which acts as a single whole, amalgamated with political power, in the conditions of a systematic restriction and near elimination of free competition. The appearance of free competition, after ending the policy of War Communism, was merely a pedagogical measure for improving and rationalising the work of state enterprises; it was not a return to capitalism's typical historical relation during its first and second stage of development with the old mode of production. Socialism has *its own inherent form of relation with pre-capitalist forms*, which cannot in any way be a revival of the condition of primitive capitalist accumulation or of the free competition that capitalism itself has left behind in moving towards the stage of monopolistic associations. We can say nothing about the forms in which socialism will displace other economic forms in

the period when the socialist economy will be supported by a new technical base. But for the period of primitive socialist accumulation that is being surveyed here, the methods of stimulating expanded socialist reproduction are: the restriction and even liquidation of free competition, comprehensive use of the advantages of state monopoly, the struggle waged by a single complex of the state economy, and the combination of economic with political means.

As far as direct relations between the state economy and the petty-bourgeois mode of production are concerned, those relations must introduce something quite novel to the economic history of human society just as the whole new socialist economy in general does. Subordinating neo-capitalism, the state economy also subordinates neo-capitalism's own subordinates, i.e., the elements of simple commodity production from which this second edition of capitalism arises. But, in addition to this, a whole system of direct relations between petty production and the state economy is inevitable. The essence of these relations must be determined by the following. Small-scale production divides into three parts. One part remains as petty production over a long period; another enters into cooperation⁴⁶ along capitalist lines; and the third, bypassing the latter process, unites on the foundations of some new kind of cooperation that represents a special type of transition of petty production to socialism and involves neither capitalism nor simple absorption of petty production by the state economy.

This new form of cooperation under the dictatorship of the proletariat, one of whose streams evidently consists of peasant communes and artels, still has to develop. We cannot, for that reason, give a theoretical analysis of something that does not yet exist but is only about to arise. We can say, in passing, that we have not yet found ways of using the state monopoly in the interests of cooperation, which, given the conditions of limited freedom of competition for the capitalist form, would yield the maximal results.⁴⁷

In order to finish up with the question that concerns us, we must add the following. In the period of primitive socialist accumulation the state economy, even though it has not yet reconstructed its technique, is already in a position to utilise those advantages of a single organised complex that are not avail-

46 I am speaking here not of a consumer or some other kind of cooperative in the usual sense, but rather of cooperation as associated labour, i.e., in Marx's sense when he speaks of cooperation in the chapters of Vol. 1 of *Capital* devoted to manufacture and the machine.

47 The historical task of capitalism consists, among other things, of the fact that on the basis of exchange it makes all of the economic forms participating in exchange into parts of a single economic organism. Thus petty commodity production from the very beginning has the capacity to enter into direct connection with state production.

able to capitalism, which wastes a great deal of energy due to the anarchy of its structure. The attempts to make use of these advantages during War Communism were not a failure, but their fruits were lost and drained into the hole of the general economic deficit that was characteristic of that economic system. Now those advantages would be much more remarkable if we finally accomplished the most urgent organisational and general economic task of managing the entire state economy as a single entity.⁴⁸

We must also mention here an advantage that capitalism has over the state economy in the sense that the epoch that preceded it also provided the human material that it requires, a type of agents of production and distribution who were educated in capitalist incentives for work and were suited for capitalist discipline. In contrast, the 'workers of a state economy', as a special social type, are still only being formed, a fact that compels the new system of economy to depend upon the old type of people and thus incur enormous losses from mismanagement, abuse etc. As we shall see in a special chapter of another volume, the accumulation of socialist habits and socialist culture are exceptionally important in the struggle of socialist with capitalist production.⁴⁹ During the first decade at least, capitalism has clear superiority over socialism in this area because it has in its hands the fruits of age-old cultural accumulation.

Another cause for the persistence of the capitalist form in the struggle with the socialist one, which is especially notable in small and medium trade, consists of the fact that private enterprises exploit the labour of their workers and employees, and also of the owners themselves, in a way that exceeds all the bounds permitted by Soviet legislation for the protection of labour. The socialist system cannot reduce its costs of production and circulation by that route. And throughout the period in which this form cannot defeat the private economy on an economic basis, such an advantage on the part of the private economy is enormously important, especially in trade. Under the system of merchants' self-exploitation, with no accounting expenses, and given the personal trust of the owner in his employees (a product of the worker's adaptation to the requirements of capitalist relations), state trade will hardly ever be associated with lower costs per unit of turnover. The advantage of socialism (strict protection of labour) turns here into capitalism's advantage when it is a question of competing to reduce the costs of circulation.

After all that has been said, the problem of foreign loans and concessions during the period of socialist accumulation will also be clearer for us. On the

48 Since these lines were written, this process has already advanced significantly. (Added to the second edition.)

49 [In this edition see Volume III, Part 3, Chapter 2: 'On Morals and Class Norms'.]

one hand, a long-term foreign loan from abroad is one of foreign capital's ways of exploiting the young new economy. But, on the other hand, it can greatly accelerate the process of socialist accumulation. It means a one-time, sudden increase of the fund of socialist accumulation; it accelerates the process of technically re-equipping the state economy; and it therefore shortens the period during which state industry is in the preparatory class for socialism. It offers the possibility of employing many tens of thousands of unemployed workers, who are presently cut off from the production process because of the shortage of material elements of production in the hands of the state, and it thereby makes these unemployed workers participants in socialist accumulation.

Speaking theoretically, foreign loans constitute a synthesis of capitalist and socialist accumulation. But, in the period of capitalism's decline, they can become much more a factor of socialist than of capitalist accumulation. The interest rate that the state economy will pay for credit will no doubt be much less than the new values that will enter into the fund of socialist accumulation. In this context we assume, of course, that the state is completely free to dispose of the credits and that the obligation to pay interest is the sole form of connection between the lender and the borrower. It will be interesting to remember that investment of capital, from economically senescent countries into younger and developing capitalist organisms abroad, played a very important role in the period of primitive accumulation. Thus, for example, when Venice lost its hegemony over commerce in the Mediterranean Sea, the resources accumulated by Venetian merchant capital began to move into the trade and industry of Holland. After a time, however, capitals from Holland began to migrate to England, and then from England to America.

By the beginning of the eighteenth century, Holland's manufactures had been far outstripped. It had ceased to be the nation preponderant in commerce and industry. One of its main lines of business, therefore, from 1701 to 1776, was the lending out of enormous amounts of capital, especially to its great rival England. The same thing is going on today between England and the United States. A great deal of capital, which appears today in the United States without any birth-certificate, was yesterday, in England, the capitalized blood of children.⁵⁰

In any case, if the resources of decadent European capitalism were able, for example, to migrate on a significant scale to the young Soviet economy dur-

50 Marx 1976, p. 920.

ing the interval between the present moment and the proletarian revolution in Europe, this would be a plus not for capitalism but for socialism. If, in this process, Hegel's cunning of world Reason must reveal itself in the lure of interest for these capitals, then there would be no point in begrudging even a higher than normal rate of interest.⁵¹

But it is a different matter with concessions. Here the relation between socialist and capitalist accumulation is more likely to be exactly the reverse. The organiser of accumulation is private capital, and the state receives interest in the form of a share deducted from the output, rent, taxes, the right to purchase at preferential prices, etc. But the negative side of concessions does not lie in the fact that the state receives less than the capitalist from the surplus value. With a favourably arranged concession, the state receives something in the accumulation fund, generally speaking, where nothing would have been received without the concessionaire, thus increasing by a still greater sum the national income of the country, consisting of $v + s$. The basic negative aspect of concessions consists of the fact that here the state economy in the period of primitive socialist accumulation, i.e., in the period of its maximum weakness, enters into direct contact with foreign capital, which is armed with all of its technique, its surpluses of fixed and circulating capital, and has great reserves of new capitals in its bourgeois rear. Large concessions in the basic branches of state industry, which are suffering from a lack of capital, will show from the very outset that these enterprises are not on equal terms with state enterprises. They immediately realise the advantages that developed foreign capitalist industry has over our own. Here we will have a bypassing of our customs cordon and a contest of two systems of economy with a balance of forces that is unfavourable for state industry. The result may be that too large a dose of concessions, taken into the organism of the state economy, will begin to dissolve the latter just as capitalism, in its day, disintegrated the weaker natural economy. This disintegration will be expressed, among other things, in the fact that the workers in capitalist enterprises will find themselves in better material conditions than the workers of state industry, which, no doubt, will have political consequences. All of this refers, of course, only to the first period of the state economy's existence, the period of primitive accumulation. When the socialist form becomes stronger economically and technically, concessions will not be dangerous. But by then there will also be less need for them, for it is only the extreme need for new capital that compels us to take the route of concessions. What has been

51 Unfortunately, there is no less reason to expect that world capital will look to resolve the problem of new markets and the export of capital not in this form but rather in the form of a new [military] intervention against the Soviet Union.

said does not apply, of course, to concessions taken in a small dose and not in the economic centres of the USSR or in the decisive branches of production. Timber concessions can serve as an example of the more useful and less dangerous sort of concessions.

In any event, caution in the area of concessions policy is a reflection of the very same economic necessity that compels the economy of the USSR to support in every way possible the monopoly of foreign trade and a system of the most rigid protectionism. Here, too, the issue is one of ensuring the necessary preconditions for socialist accumulation. And what we have here, consequently, is the struggle of the law of socialist accumulation with the law of value of the world capitalist economy.

2 The Struggle between Two Laws

Now let us turn to the final problem, which is the most interesting from a theoretical point of view: the question of the struggle between two laws – the law of value and the law of primitive socialist accumulation – within the economy of the USSR.

It was apparent from the preceding investigation that the entire economic policy of the Soviet state and the economics of the state economy are subordinate to the law of socialist accumulation. It is not possible to speak either of any laws of wages in the state economy of the USSR or of any theory of wages without an analysis of the law of socialist accumulation and its manifestation in this part of the economic field. To this same law is subordinated – and insofar as it is not yet so, it must become subordinated with iron necessity – the pricing policy on the products of state industry and the system of rail and water tariffs. The structure of the revenue side of the budget is subordinated to the law of socialist accumulation, with the system of taxation of the private economy going to benefit the socialist economy (with corrections, of course, in light of economic possibilities and political expediency). The structure of the expenditure side of the budget is also subordinated to the law of this accumulation. The monopoly of foreign trade and the system of socialist protectionism are a defence of the socialist economy at its given stage, i.e., protection of a certain area that is secured for socialist accumulation and against the penetration of these limits by the bearers of capitalist accumulation. To the law of socialist accumulation is subordinated our entire credit system in terms of its methods of organisation and the principles of its policy, above all the principles of allocating the country's credit resources. To the same law is subordinated our trade policy within the country, with its constant endeavour to squeeze private

capital out of the turnover of the private economy and to implement a series of measures aimed at regulation of the domestic market. This regulation⁵² is a struggle for a different form of labour organisation, and from the viewpoint of the allocation of material resources it is also either a limitation upon the rate and volume of capitalist accumulation in the process of circulation, an increase of socialist accumulation within this sphere, or the achievement of both of them together. Our policy for the protection of labour, on the one hand, is a policy of preserving and qualitatively improving the most important productive force, the most important element of socialist accumulation, namely, the labour power of the proletariat. On the other hand, through its extension to the private economy, this policy means curtailment of the rate and volume of capitalist accumulation.

In short, all the basic processes within the state economy, including the general principles of the economic policy of the proletarian state, are subordinated *at the current stage* of development first and foremost to the economic necessity of every sort of accumulation and every possible type of economy and thrift. This policy is not being implemented in all areas in a sufficiently comprehensive and consistent way; for example, it is not being enforced in the area of struggle with non-productive consumption etc., but all of this is just a question of time.

But the state economy of the USSR is only part of the whole economy of the country. A large portion of the values is being created in the private economy, more precisely, in the sphere of simple commodity production, as we shall see in the next volume from a detailed numerical analysis of our economic budget. Our economy, as a whole, is a commodity-socialist system of economy. The law of socialist accumulation is rooted above all in the leading socialist links of the economy, i.e., in the state economy, and to a certain degree it extends its activity to the private economy only as into an alien environment. Conversely, the immanent law of simple [commodity production] and capitalist economy is the law of value, which also extends its activity into the state economy. Since the economy of the USSR is an example, never seen before in economic history, of the coexistence of two different and by nature antagonistic systems of

52 Generally speaking, the regulating principles in our economy are the organisational shoots of the new economics – the economics of a state-organised economy. But at the present stage these shoots are sinking their roots and becoming stronger, above all fulfilling the functions of primitive socialist accumulation, understanding this term to include the struggle for existence by the whole complex in the present circumstances. Arising historically mainly to serve this function, in the future they will play a different role.

economy, with different types of regulation, it must also be an arena not just of struggle but also of a certain equilibrium and thus, objectively, of a certain coexistence of two different economic laws.

The law of socialist accumulation is limited by the 'democracy'⁵³ of commodity economy, with the tendencies of development and the methods of regulation inherent in the latter. Commodity economy is restricted within the country, embraced if you will and squeezed by the law of socialist accumulation, by the laws of development of a social body alien to it, and it is fenced off from the world market by the monopoly of foreign trade and the system of customs duties. For this reason our economy, which is not yet socialist, is also not purely a commodity economy.

The question of a scientific-economic categorisation of our system of economy has aroused numerous disputes and will continue to do so for some time to come (let us hope that it will not be long). There was a time when it was considered the height of practical realism⁵⁴ and communist courage to interpret our economy as one of the varieties of commodity economy, just a somewhat distorted one as a result of state property in large-scale industry. This point of view tacitly presupposed the existence in our economy of only the single basic law that operates in a commodity economy – the law of value. If that were so, then under the operation of this law, which exerts pressure from within and from without, state industry would have dissolved into NEP or completely disappeared by now; the state monopoly would have become increasingly fictitious; loss-making enterprises would have been closed, leaving only the profitable ones etc. In particular, transport and metallurgy would either have ceased operating or passed into the hands of foreign capital. None of this is to be seen. What we do see is a development and strengthening of exactly the opposite process, together with the development of commodity production in the peasant economy. Why is this happening? If this process is developing not in accordance with the regulator of a commodity economy but in spite of it, and if state industry is developing and growing stronger in spite of the operation of the law of value, then this is only possible because the law of value is being opposed – because this law is being modified, deflected or partially eliminated by some other law. We have already seen in some measure just what this law is.

This conclusion has tremendous significance in principle for a correct understanding of our system of economy and the basic tendencies of its devel-

53 [That is to say, central regulation is regulated by the competitive forces of the market.]

54 [The term that Preobrazhensky uses is 'верхом делеческого реадизма'.]

opment. But, in acknowledging the presence in our economy of two fundamental laws, we still are not providing any answer to the question of the relative economic weight and dynamic of each of them. This must be the subject of a special analysis. We must simply observe that it is only by starting from recognition of these two laws, as the prerequisite for every concrete investigation of the general tendencies of our economy, that we are in a position to understand correctly the mass of new and unique features in this economy. These new features and phenomena cannot possibly be deduced from the development of commodity economy as such. For this reason, people who regard our economy merely as a commodity economy must either leave these phenomena without any explanation, pile up a mountain of 'exceptions' that cry out for some general rule, or alternatively (as often happens) profoundly ascribe them to an account of the peculiarities of 'an economy with a dictatorship of the proletariat'. I believe that we have outgrown this kind of 'theoretical analysis' and that we long ago became fed up with repetition, for years in a row, of the same vacuous and barren phrases about NEP.

Let us look at how far the activity of the laws of commodity production are extending into our economy, particularly their influence on our state economy, and from the other direction, at the degree to which the laws of commodity production have changed or are being partially eliminated by the law of socialist accumulation.

We shall begin with the laws of commodity production.

Commodity production, both simple and capitalist commodity production, is production for the market. In the sphere of circulation, monetary commodity exchange has prevailed in our country since the end of War Communism. It prevails not only within the entire private economy (minus, of course, natural exchange), and not only in the exchange of things between the state and private economy, but also to a great extent in the exchange of things within the sphere of the state economy. It is this nearly universal form of commodity exchange in our country, through money and monetary calculation, that many people take to indicate the range of application and the dominating force of the law of value as regulator of all economic processes. No doubt, this circumstance lies at the basis of the whole over-estimation of the role and significance of the laws of commodity economy, which has prevented and still prevents many people from understanding the real essence of our economic system. *However, in no circumstances can an equal sign be drawn between the extent of monetary commodity exchange and the significance of the law of value.* This must not be done even in the case of pure capitalism, because already in capitalism's monopolistic period the law of value is partially eliminated, as are all the other laws of commodity production associated with it. In the very foundations of commod-

ity production profound changes are occurring. Citing the bourgeois economist Kestner,⁵⁵ who described the changes that the period of monopoly capitalism brings to trade, Comrade Lenin wrote in his brochure *Imperialism, the Highest Stage of Capitalism*: "Translated into ordinary human language this means that the development of capitalism has arrived at a stage when, although commodity production still "reigns" and continues to be regarded as the basis of economic life, *it has in reality been undermined ...*".⁵⁶ And in the same work, at another point, Lenin writes:

In other words, the old capitalism, the capitalism of free competition with its indispensable regulator, the Stock Exchange, is passing away. A new capitalism has come to take its place, bearing obvious features of something transient, a mixture of free competition and monopoly. The question naturally arises: into what is this new capitalism 'developing'? But the bourgeois scholars are afraid to raise this question.⁵⁷

We now know from experience, following the October Revolution, 'into what' this capitalism of the period of monopoly is developing. In any case, it is not developing towards free competition but rather towards a monopoly that is much more expansive and all-embracing than that of the American trusts. It is developing towards a state monopoly over all large- and medium-sized industry, over transport, the credit system, wholesale and part of retail trade, and is surrounding itself with a powerful cooperative network. In this sense, our state economy is an historical continuation and deepening of the monopolistic tendencies of capitalism and also, as a result, a continuation of these tendencies in the direction of further decay of commodity economy and further elimination of the law of value. If commodity economy was already 'undermined', to use Comrade Lenin's expression, in the period of monopolistic capitalism, then to what extent have it and its laws, and consequently its fundamental law of value, been undermined in the economic system of the USSR?

Between the sea of our simple commodity production and our state economy there are extremely weak intermediate links of capitalist production, and only in the area of exchange is there a vast link in the form of private merchant capital. In such a position, i.e., when private industrial capital is still very weak, the monopoly of state industry is predominant and is limited within the

55 [The German economist Fritz Kestner described the struggle between cartels and outsiders in terms of modern capitalism's 'organisational compulsion'. See Kestner 1912.]

56 Lenin 1961, p. 729, my italics.

57 Lenin 1961, p. 740.

country only by competition mainly from crafts and artisan industry. But this competition, with respect to the whole of state industry, is limited by the technical superiority of the latter, and with respect to heavy industry it is completely impossible.

But if the strength and importance of specific laws of commodity production cannot be judged by the volume of the monetary commodity turnover, because such an approach to the problem would be purely formal and superficial, it would be just as formal and just as superficial to reach a conclusion about the influence of the laws of commodity production on the state economy if the measure of this influence is taken to be the volume of commodities moving from the private economy to the state economy and the reverse. The American farmer, much more than our peasant, participates in the commodity turnover with American industry; his grain and materials are likewise extremely vital to that industry, which also needs him as a buyer. Nevertheless, this does not alter that fact that, being subject to the economic balance of forces, the farmer finds himself in bondage to commercial capital, the trusts and the banks, and there is no equivalent exchange between him and the city. One cannot say: The more the commodity turnover develops between town and country in the USSR, the more state industry becomes dependent upon commodity economy and the more it is subordinated to the functioning of that law. In certain respects *exactly the opposite is true*. Our industry would have been in an even worse position had the peasant economy increasingly become a natural economy. The proof of this is the epoch of War Communism. Conversely, the more commodity exchange develops between town and country, the more the balance of forces is determined by the extent of each side's organisation. In this case, therefore, the peasant economy will become all the more dependent upon the state economy only if industrialisation proceeds at a normal tempo.

An estimate of the activity of the laws of commodity production on the state economy requires a more detailed and thorough analysis. We shall provide that analysis in the next chapter and also when we discuss the economics of agriculture and the system of exchange in the USSR.

Here we shall only point out in a preliminary way, in passing, what is most fundamental. There is no doubt that the spontaneity of market relationships, and consequently the law of value, exert their influence when the state sector buys from the petty producer commodities for which there are simultaneously competing purchasers within the country. It also operates when the state is the predominant buyer but the peasant is in a position to move from one crop to another in the event that this monopoly buyer pays unacceptable prices to the producer. In this case, the pressure of the law of value not only finds expression

in prices, i.e., in its monetary expression on the periphery of exchange with the private economy, but it will also penetrate deeply into the state sector and be reflected in calculations both by the branch of production that is affected and in all the related branches, including the general level of wages.

But are there many such values realised in the exchange between private economy and the state, and what is their relative importance? The activity of the law of value is very significant in the exchange of food involving animal products (meat, butter, eggs). It is also very significant in the exchange of such materials as leather, sheepskins and wool, where there are many competing buyers and the producer himself, in unfavourable market conditions, increases his own handicraft processing of the material, boycotting the city. It has less influence in market relations involving exchange of other technical materials, such as hemp, flax and especially cotton. It is true that here the regulation of price limits comes from the external market, i.e., from the law of value of the world economy, but in the very substantial range between average domestic prices and the price on the external market, the control of prices, to a very great extent, lies in the hands of the monopolist exporter or the semi-monopolist of factory processing, i.e., the state.

Finally, as far as prices are concerned in the grain trade, the master of the situation, to a very great extent, is the state. It would seem that the law of value would nowhere rampage so freely as here! But in reality the situation is exactly the opposite. With a bad harvest, the spontaneity of demand and supply come to the fore in the sphere of the grain trade, but with an average harvest or surpluses that have to be realised abroad, the master of the situation in the market is the state. During the poor harvest years of 1920 and 1921, which were also accompanied by enormous shortfalls in sowing, the state shut down the activity of market spontaneity within the country by requisitioning and the food tax, and also by importing grain from abroad. Today, with surpluses, it is much more successful in reaching its goal by way of the monopoly of grain exports. Controlling hundreds of millions of poods of domestic surpluses, it also controls domestic prices to a certain extent. This was shown clearly enough by the experience of the autumn of 1923, when, in the presence of grain surpluses, a delay in grain operations, which was the equivalent of a temporary boycott by the state of peasant grain that needed to be sold in order to make tax payments, drove down grain prices in some places to 20–30 kopecks for a pood of rye, i.e., to one-sixth or one-seventh of the prices of 1920–21. That is how matters stand in normal conditions, i.e., with an average harvest. In future, i.e., with expansion of the grain trade, which also means development of commodity production in the peasant economy, the regulating role of the state (within limits defined in this area by the world law of value) will not diminish but grow, provided

only that the development of industry and satisfaction of the peasants' effective demand for industrial products proceed normally and do not lag behind as we saw in 1924–1926.

But the laws of commodity production also have an influence upon the state economy in another sense. I am speaking of the realisation of state industry's production on the private market. Our industry works for market demand. It works for market demand when this demand originates within the state sector and also when it comes from outside of it. But market relations within the state sector by no means flow organically from the immanent laws of the development and structure of the state economy itself. Here, market relations are formal and are imposed upon the state economy from without by the form of its relations with the private economy. The regulation of state industry's demand for products of this same state industry can extend very far. With preservation of the market form and monetary accounting, a very high degree of planning can be achieved here in the distribution of orders despite all the fluctuations that will come from branches that are directly connected with the private economy. Exchange with the private economy is another matter. At this point, proportionality in the development of state industry depends upon proportional development in the private economy, and the latter occurs spontaneously. Here, state industry is tied fast to the chariot of the private economy. And it is precisely its work for market demand that is the necessary precondition for socialist accumulation itself. If accumulation at the expense of private economy means an active balance for the state economy of the values being exchanged, that balance will be all the larger, other conditions being equal, the greater is the numerical volume of exchange. But the spontaneous fluctuations of commodity economy also break into the state economy through this doorway of its dependence upon the effective demand of the private economy. These fluctuations can be limited through a planned pricing policy and planned development of the state economy, based upon a prior accounting of demand from the private economy, but they cannot be completely eliminated.

Moreover, the strength of the private economy's influence upon the state economy is expressed at this point in the fact that at the stage of primitive socialist accumulation, and given the extreme shortage of capital, the state economy is subordinated in its development to the volume of effective demand. It cannot free itself from the laws of commodity production and gradually increase the speed of transition to the socialist type of production in order to satisfy the consumer demand of its own workers in the socialist sector. A gradual increase of the fund of reproduction, at the expense of exchange with the private economy, is only possible on the basis of market demand and with all of the ensuing consequences. In the absence of other basic forms of link-

age between the private and state economy, apart from commodity exchange in the market, the latter itself becomes the necessary precondition for socialist accumulation.

The operation of the law of value in a commodity economy with free competition, i.e., with its inherent social spontaneity, is essentially different, therefore, from this law's force of action in the Soviet economy, and all the more so in the state economy. The difference here is approximately the same as the force with which a stone, dropped from a great height, affects the surface of the water compared to the bottom of the reservoir. The more organised is the state economy, the more closely its separate links are connected by an operational economic plan, and the more it represents a compact economic whole, the stronger will be its resistance to the law of value, the greater will be its active influence upon the laws of commodity production, and the more will it become, through its own iron law of socialist accumulation, the most important element of lawfulness throughout the whole economy, including the private economy.

Summarising this preliminary balance between the activity of the law of value and the law of socialist accumulation in our economy, we come to the conclusion that no scientific analysis of our economy is possible without recognising the presence of these two laws and without investigating the product of their interaction. Now we are able to provide a more complete formulation of the law of primitive socialist accumulation by comparison with what we have done thus far, insofar as this law not only dictates to us, with objective necessity, a definite volume of accumulation of material resources for expanded reproduction, coming from both the state and the private economy, but also opposes the law of value along the whole front of the struggle, opposes it as the regulator of a different type of economy that is antagonistic to commodity production. This definition, the individual parts of which will later be filled in more precisely in an analysis of the law of value in our economy, generally amounts to the following.

By the law of primitive socialist accumulation, we mean the whole sum of conscious and semi-spontaneous tendencies of the state economy that are directed towards the expansion and strengthening of the collective organisation of labour in the Soviet economy and that are dictated to the Soviet state on the basis of necessity, including: 1) determinate proportions in the distribution of productive forces, which take shape on the basis of a struggle with the law of value within and beyond the borders of the country and have as their objective task the achievement of optimal expanded socialist reproduction in the existing conditions and a maximal defensive capacity of the whole system in the struggle against commodity-capitalist production; and 2) determinate proportions in the

accumulation of material resources for expanded reproduction, especially at the expense of the private economy, insofar as determinate volumes of such accumulation are dictated with compulsory force to the Soviet state under the threat of an economic disproportion, the growth of private capital, a weakening of the link between the state economy and peasant production, a collapse in future years of the necessary proportions of expanded socialist reproduction, and a weakening of the whole system in its struggle with commodity-capitalist production within the country and beyond its borders.

The following items are inevitably subordinated to the law of primitive socialist accumulation: the volume of the surplus product alienated from the private economy; the level of wages in the state economy; the pricing policy; the regulation of foreign and domestic trade; the tariff system; credit policy; the structure of the budget; the structure of import plans, etc.

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Let us now turn to the relative weight of the law of value in our economy and the extent to which the categories of Marxist political economy apply to our commodity-socialist system.

E.A. Preobrazhensky, Novaya ekonomika,
2nd edition, pp. 86–163.

The Law of Value in the Soviet Economy¹

1 General Observations

In our analysis of the preconditions of primitive socialist accumulation, we have already shown that the law of socialist accumulation is not the only basic law of the Soviet economy. The peculiar feature of our commodity-socialist system of economy lies in the fact that *two laws*, with diametrically opposite tendencies, operate simultaneously within its framework. The second of these two laws is the law of value. Whereas the tendencies of our future economy are expressed in the first law, in the second our past weights upon us, stubbornly striving to persist in the present and to reverse the wheel of history. In the law of value is concentrated the entire sum of tendencies of the commodity and commodity-capitalist elements of our economy, and also the entire sum of influences upon our economy coming from the world capitalist market. Now, we must examine in more detail how the law of value manifests itself in our economy, what is its relative importance, how the struggle of these two laws proceeds and what social consequences result from the struggle, i.e., from the interaction and the compulsory coexistence of two basic tendencies in the economic organism of the country.

In the chapter on the law of primitive socialist accumulation, we only touched upon this question in passing. Now we must coherently and systematically analyse the functioning of the law of value in our economy. This can be done best if, following a few general observations, we analyse the fundamental categories of political economy and establish the degree to which they apply in our economy.

The law of value is the law of spontaneous equilibrium in a commodity-capitalist economy. In a society that lacks leading centres of planned regulation, it is due to the direct or indirect operation of this law that everything needed for a relatively normal functioning of this type of production system is achieved: the distribution of productive forces between separate branches of the economy, involving both people and means of production; the distribution of society's annual product between workers and capitalists; the distribution of surplus value between different branches or countries for expanded reproduc-

1 Chapter 3 of Preobrazhensky's book, *The New Economics*.

tion; its distribution between other exploiting classes; technical progress; and the victory of economically advanced forms over backward forms along with subordination of the latter to the former.

What we call the categories of political economy are logically pure and ideal copies of the real relations of production, distribution and exchange that take shape on the basis of commodity and commodity-capitalist production. Under this system of economy we have, if one may put it this way, groups of people that have congealed in the process of production and distribution, groups that are formed on the basis of the economy's spontaneous self-regulation due to the law of value. With all of the fluidity of their personal composition, these groups are continuously reproduced at each new stage of capitalist development, forming determinate types of relations of production and distribution. The scientific portrayal of these types of relations of people to people (not of things to things or people to things), on the basis of commodity and commodity-capitalist production, is what Marx calls the categories of political economy, which are adequate, therefore, to describe real relations of capitalism in everyday life, although science reproduces these relations abstractly and in their pure form.²

Rent, as a category of capitalist economics, does not refer to the real values that the capitalist tenant pays to the landowner, but to the distributive *relation* between tenant and owner that guarantees that part of the surplus value is systematically pumped over from the one to the other. Wages and surplus value are essentially a relation of production and distribution between workers and capitalists. The category of profit, as another form of surplus value, is a *relation of distribution* between the capitalists, which occurs due to the mechanism of profit rate equalisation and the entire mechanism of capitalist society in relation to the distribution of labour and means of production. In this case, it is a production relation of capitalists to capitalists, viewed not as consumers (as in the case above) but as the organisers of production. The category of price, on the one hand, is a production relation, summarising both the level of labour productivity within separate branches and the distribution of labour power between the different branches of production; it is also, from the other direction, a relation of distribution insofar as the price level determines the volume of the flow of values that moves from the hands of one group of people into those of another group. And thirdly, it is again a production relation because, through the deviation of prices

2 There is no need, of course, to explain here that in political economy the relationship between categories of being and categories of thought is understood in the same way as throughout the general-philosophical conception of dialectical materialism.

from values, a redistribution of productive forces occurs between the different branches of the economy. Finally, the commodity is the most general category of political economy, characterising the whole of this type of production relations between people as the relations of separate and independent commodity producers who are connected in a single economic whole by the system of market relations. These categories can be logically deduced from the law of value.

Here is our reason for making these preliminary comments. Ninety percent of all the mistakes, misunderstandings and mental torture, which our young people experience in the study of Marx, result from a 'naturalistic' understanding of the law of value. Having formally learned that the categories are relations of people to people, many stubbornly revert to understanding them as the categories of things, especially when they explain them not with quotations from Marx but rather in their own language. Behind the flow of things, moving, shall we say, from exploited workers to capitalists, from capitalists to bankers or landlords, from one branch of production to another, being purchased and sold on the market and then consumed etc., they often do not see how permanent are the groups of people from whom and to whom this movement occurs, or how permanent are the production relations between people in the system of commodity economy – which is exactly what political economy studies. This mental materialisation of human relations, which are also externally materialised in real life, also leads to an incorrect understanding of many of the relations in our economy. Here, too, behind the movement of material values, which *in natura* are the same as under capitalism and often move externally along the same lines (wages, 'accumulation', 'rent'), and behind the identity of the relations of people to nature (the same technique, 'the same' workers), people do not see the changes that have occurred in production relations.

This is why it is particularly important to begin our intended analysis with a perfectly correct idea on the reader's part of how the categories of capitalist society must be understood in Marxist terms, so that this understanding will be preserved when we analyse production relations in the Soviet economy. In the course of our analysis, the question will provide its own answer as to whether it is correct to designate our whole economy, or at least its prevailing type of relations, by the term 'state capitalism'.

2 The Law of Value and Monopoly Capitalism

What is the precondition that makes it possible for the law of value to operate? It is not sufficient to answer this question with a general phrase by saying

that the precondition is existence of the society on whose basis this law operates, i.e. commodity production. The economy of a society of independent and autonomous producers, working for the market, involves commodity production. Classical capitalism of the period of free competition is likewise commodity production. Monopoly capitalism, capitalism that is trustified on a national and in some places on an international scale, is also commodity production. Finally, the state capitalism of Germany from 1914–18, and the very strong tendencies in this direction in the economies of the Entente countries during the war – in formal terms they were all commodity economies. But is anyone really prepared to claim that in all four of these types of commodity production the law of value can operate identically and reveal all of its most typical features? I have not yet mentioned early capitalism, which still suffered from the remains of guild regulation of production and from interference by the feudal state in the production process.

Insofar as the law of value is the *spontaneous* regulator of the production process in commodity society, in order to have the most complete and most typical operation of this mechanism of regulation the most spontaneous type of production relations are required, with minimal distortions of such spontaneity on the part of organising principles in production and exchange. A storm at sea is best photographed in the open ocean. Likewise, the law of value is theoretically best photographed in its pure form, in its native element, i.e., in the period of free capitalist competition, and that is what Marx did in *Capital*.

The most complete manifestation of the law of value requires the most complete freedom of the commodity turnover both within a country and between countries on the world market. It is also necessary that the worker be a free seller of labour power as a commodity and that the capitalist be in no way constrained as a buyer. The interference of the state in the production process, and the number of the state's own enterprises, must be reduced to a minimum, and there must also be no regulation of prices on the part of monopolistic organisations of the owners themselves. Such ideal conditions for freedom of competition on the scale of the world economy have never existed, because tariff barriers between national economies, the interference of the state in the production process, and the impossibility of freely applying capital in agriculture without paying tribute to private property in the land – all of these meant certain restrictions upon freedom of competition. However, in *relative* terms the most ideal period for freedom of competition on the scale of the world capitalist economy, and thus the maximally favourable period for operation of the law of value, was the epoch of classical capitalism that preceded its transition to the stage of imperialism.

‘The rise of monopolies, as the result of the concentration of production, is a general and fundamental law of the present stage of development of capitalism’.³

The ideal period of free bourgeois competition ends with development of the monopolistic tendencies of capitalism. Several of the most important branches of production in the biggest capitalist countries are being taken over by powerful trusts; in the worst case, not only are purely production associations being created but also associations for the realisation of production, i.e., syndicates and cartels. Coalescence is occurring between the biggest trusts and banking capital, or else banking centres are becoming the starting points for far-reaching control over production. Freedom of competition is either completely eliminated in fully trustified or syndicated areas within a given country, or else it is being seriously curtailed due to the control of bank capital, which has no interest in a bitter struggle between the enterprises that it finances or controls. The monopolistic tendencies extend beyond national borders; attempts are being made with some success to create single international capitalist trusts in certain branches, or else the whole of free competition is being reduced to rivalry on the world market between two-three gigantic trusts in a given branch of industry.

Restriction of free competition also leads to restriction of the law of value’s operation as it meets with several obstacles to its manifestation and is being partially replaced by the form of organisation of production and distribution that capitalism can generally attain while still continuing to be capitalism. In the sphere of price regulation, the law of value is experiencing the following change. With trustification or syndication of the most important branches within a given country, prices systematically (though not necessarily always) become detached from values in an upward direction. With the ‘dumping’ of exports on the external market, prices systematically become detached from values in a *downward* direction – while within the country they move upwards. The possibility of equalising the rate of profit between trustified branches of production becomes extremely difficult as they become closed worlds, a feudal kingdom of separate capitalist associations. In terms of the future, it is very important to notice here that economic necessity is also forcing its way quite differently from what happened under the law of value; consequently political economy, in the analysis of these forms, is opening a new chapter insofar as the very concept of the ‘law’ that we have to deal with in free competition is beginning to be transformed.

3 Lenin 1960, p. 724.

During the World War, under the influence of changes that this war introduced in the economies of the belligerent states – particularly in the economy of Germany, which was virtually detached from the world market – the monopolistic tendencies of capitalism received a powerful impetus for further development, leading the economy of a country such as Germany, for example, to the system of state capitalism. The needs of defence forced the state to do an accounting of the country's entire production capacity – distributing war orders between trusts according to a definite plan – and led to compulsory cartelisation of previously independent enterprises. Forced development began in some branches and contraction in others, while redistribution of the country's productive forces began according to a definite plan. Prices were administered by the state, and the state thereby regulated the level of surplus value, i.e., actually distributed it among the class of capitalists. A shortage of material encouraged centralisation of supply and gave rise to the famous committee for the supply of raw materials to industry, headed by Rathenau. Regulation of the whole of capitalist production by the bourgeois state reached an extent never before seen in the history of capitalism. What was formally commodity production in fact became planned production in the most important branches. Free competition was strangled, and the operation of the law of value, as the spontaneous regulator of economic processes, was in many respects replaced by the planning principle of state capitalism.

In the Entente countries, the wartime economic system was much less one of state capitalism, but the tendencies in this direction were very strong here too. In England, especially, the Ministry of Supply, headed by Lloyd George, achieved far-reaching regulation of almost every large-scale industry, not just the war industry.

Generally speaking, the period of the war showed perfectly clearly where the system of monopoly capitalism is heading; it became perfectly obvious that the current economic system has objectively fully matured for socialist planned production and that everything awaits the arrival of the proprietor, i.e., the working class.

When the war ended, when the whole 'nightmare of a compulsory economy' ended for the bourgeoisie, and its economists welcomed the rebirth of an era of free competition, it turned out that the monopolistic tendencies of world capitalism were not yet over but merely entered a new and more decisive stage.

When the war brought partial collapse of the world economy as a relatively connected economic whole, when a great step backwards was taken from the world division of labour that was achieved before 1914, the economic autarky of separate national economic units was clearly revealed. This autarky is still being underpinned by the end of gold circulation and the transfer of all coun-

tries, with the exception of America, to a paper currency system. The value relations of production in the world economy have found it difficult to make their way into the economies of individual countries not only because of a reduction of the absolute volume of world trade, and not only because of increased tariff barriers in many states, but also because the masses of commodities in separate states have lost touch with world money, with gold as the measure of value on the world market. The gradual reconstruction of world ties, the growth of production from the post-war level, the increased volume of world trade, partial restoration of former proportions in the world division of labour, and finally, the need for American loans for the economy of Europe, which was exhausted by the war, have led to a reduction of autarky. A return to gold-based money has even begun with Sweden and England.

However, the near restoration of the pre-war position, in terms of the volume of world production and exchange, by no means includes restoration of all the regular features of the pre-war economy or the former proportions in the distribution of productive forces between separate countries. The restriction of the law of value, which began under monopoly capitalism, has not only failed to be halted as a result of the war but has actually acquired greater force since the war and has assumed a completely unique form.

Before the war, the country with the greatest trustification of industry was America, while the one with the greatest coalescence between banking and industrial capital was Germany. The growth of monopolistic tendencies beyond the national framework, i.e., the tendencies towards formation of world trusts, came mainly from these same countries. The war ended with Germany's defeat, and the economy of that country no longer plays its former role in the world economy. But America's move to the forefront of the world economy, which began even before the war, continued with great speed during and after the war. *But if America is acquiring the dominant role in the world economy, the monopolistic tendencies of American capitalism are thereby becoming dominant domestically and, at this stage, are rapidly breaking out beyond the limits of America's national economy.* Lenin already foresaw the potential for such a turn of events in his book *Imperialism*, and with particular clarity at one point in his article 'A Caricature of Marxism and Imperialist Economism'. Here Lenin wrote:

Economically, imperialism is monopoly capitalism. To acquire full monopoly, all competition must be eliminated, and not only on the home market (of the given state), but also on foreign markets, in the whole world. Is it *economically* possible, 'in the era of finance capital', to eliminate competition even in a foreign state? Certainly it is. It is done through a rival's

financial dependence and acquisition of his sources of raw materials and eventually of all his enterprises.⁴

If financial dependence is understood to include conquest through the credit system, then this will provide, basically and in the most general outlines, a picture of what we see at the present moment in the relations of American monopoly capitalism with Europe and the entire world.

The subordination of the whole world economy to the value relations of America is expressed, first of all, in the fact that America is the only country that still retains a gold-backed currency, and consequently it is only on its territory that gold still comes directly into contact with the world of commodities. Of course, the American dollar played and still does play its dominating role as the measure of value because it is tied to its base in gold. Because of America's completely exceptional economic power, it has not been severed from that base or suffered from the war, but has instead benefited. The currency dictatorship is a reflection of the general economic ascendancy of America over other countries.⁵

Secondly, subordination occurs through credit. This is always and everywhere the mightiest lever of subordination. In the hands of American capital, refusal of credits is the most powerful means of pressure on both the governments and the capitalist circles of other countries. If a country falls into the orbit of American pressure from this direction, certain branches of that country's industry also come under simultaneous pressure from the corresponding trusts. This or that American trust, which has monopolised production and sales within its own country, draws into the orbit of its influence the trustified or non-trustified industry of other countries. To the general pressure of American capitalism as a whole, in the general areas of politics and finance, is added the pressure of individual trusts.

4 Lenin 1964a, p. 43.

5 It is interesting to recall that throughout history a currency dictatorship has usually belonged to the country that played the dominating role at any given moment in world trade and the world economy. In the period when the Phoenicians and Greeks dominated trade in the Mediterranean Sea, the Greek and Phoenician talent played a great role. The florin ruled in the period when Italian merchant capital dominated the Mediterranean. The commercial role of Spain brought the piastre to the forefront of relations between currencies. Holland ruled not just with its fleet, its cloth and trade in general, but also with the guilder. When the centre of gravity in the world economy and world trade moved to the 'ruler of the waves', the role of the English pound advanced. Finally, the 'economic supremacy' of America in the world economy has led to the dictatorship of the dollar in the currency sphere.

A third method is direct displacement of its competitors from the world market by the superiority of its products in terms of quality and cheapness, and mainly by the credit benefits extended to purchasers. Meanwhile, movement in the same direction occurs most directly and without any struggle insofar as a greater and greater part of world production *in natura*, and thus of the world's mass of commodities, is concentrated on America's territory.

The ever-growing tendency towards the autocracy of America in the world economy, given the already established autocracy of capitalist monopolies in the trustified branches of American industry itself, automatically entails the spread of monopolistic tendencies from the American centre to the entire world. But the growth of monopolistic tendencies, despite the formal existence of free competition, inevitably brings with it further restriction and transformation of the law of value's operation, not just within separate national economies with a high degree of development of monopolies but now *in the arena of the whole world economy*. That is the unique characteristic of the post-war economy. I shall not dwell here on all aspects of this problem, perhaps returning to it in a special work on the world economy.⁶ For now I shall deal only with the conclusions that are important for the theme at hand.

It is by no means accidental that in the period when free competition flourished, the ruling country in the world economy, i.e., England, was itself a country of free trade. Conversely, it is no coincidence that in the period of monopoly capitalism the ruling country in the world economy is the classic country of monopoly capitalism. But while other countries, in the period when free competition prevailed, struggled against English expansion by erecting tariff barriers and developing their industry, the struggle with America and its monopolistic tendencies does not at all take the form of a struggle for free competition against monopolies. American capitalism surpasses other capitalisms not only with its general economic might and enormous credit resources in the form of both commodities and money, but also with its technique and its high labour productivity. Other countries do not have the strength to resist American competition by appealing to free competition. Exactly the opposite is the case. It is not Europe that struggles with American monopolism on the basis of free competition, but rather American monopolism often appeals to free competition for the victory of [its own] monopoly. The European countries are waging a miserable struggle against the American offensive with tariff

6 [Preobrazhensky's work on the world economy eventually appeared as *Zakat kapitalizma* in 1931. See Preobrazhensky 1985.]

protection that is not becoming more effective (as in the nineteenth century) but instead less so; with industries whose movement has been frozen, i.e., with monopolistic distortions of free competition in order to strengthen their own country's state-protected monopolies based upon backwardness; or by begging credits for economic reconstruction, i.e., Europe is struggling against American exploitation and the movement towards monopoly just as a poor peasant struggles against usurious exploitation by borrowing new and even larger sums. Essentially, America is subordinating the entire world to itself also on the basis of the law of value, even if not mainly by that means. But even more interesting is the whole historical context: the law of value is entering the stage of its transformation and gradual withering away – also on the basis of the law of value.

American expansion cannot encounter insurmountable opposition in a single country of the capitalist world so long as the countries that are subject to attack and pressure remain capitalist. It is extremely important to take note of this. The very economic structure of modern capitalist countries excludes the possibility of serious resistance to American conquests, because the already established level of the world division of labour, of world exchange, given the enormous and ever-growing economic, technical and financial superiority of America over all the rest of the world, inevitably subordinates the world to the value relations of America. Not a single capitalist country, without ceasing to be capitalist, can escape the operation of the law of value, even though it has been transformed. And this is exactly where the avalanche of American monopolism strikes. Resistance is really only possible on a political basis, or particularly on a military basis, but it is precisely because of America's economic superiority that this scarcely promises any success.

During wartime, especially in modern war, the economy even of a capitalist country is subject to certain domestic consolidation and is compelled to adhere to a single line not only in the sphere of political relations with other countries, but also in contacts between the domestic economy and the national economies of other countries. In peacetime, the achievement of a single policy on the part of separate capitalist trusts, banks and other associations represents an inordinately difficult task for the bourgeois system, for to accomplish it demands either agreement between all the basic interests of the largest capitalist organisations and individual enterprises, whose interests never correspond, or else supremacy within the country of some single grouping of trusts and banks that dominates the entire economy and subordinates to itself the whole of the state's economic policy, including tariff policy. But the latter variant turns out to be unachievable for contemporary Europe. The development of monopolistic tendencies in pre-war Germany, and the devel-

opment of those tendencies to an even greater extent in America, relied and was based upon an enormous natural concentration of production, which in turn depended upon rapid development of the productive forces. In contemporary Europe, with its poverty of capital and its stagnation in production, to which France and Belgium are the only exceptions – and probably not for very long – an American type of concentration of production and an American tempo are excluded. And consequently, the economic organism of the European capitalist countries is in no condition to mount a strong resistance to the pressure of American monopolism and is giving way at one site after another. In fact, American capital could already make much bigger conquests in Europe than it has carried out to date – and which have occurred, if one might use the expression, at the invitation of a Europe that is begging for loans.

It must also be remembered that America has not yet fully realised all of the opportunities for pressure in another direction, namely, on the tariff policy of the European countries. America stands for the policy of open doors wherever it can beat its competitors on the basis of free economic rivalry. But it can go over to a system of violently breaking open for itself, i.e., for America, the doors that protect the shabby industry of individual backward countries from its competition. It can advance from this direction wherever the system of credit intrusion in the European economy, with all of its consequences for the spread of American monopolies throughout the entire world, turns out to be insufficient. A struggle against American monopolism is possible only by changing the whole structure of one or another country, i.e., by transition to a socialist economy, which makes the country into a monolithic organism and prevents American capitalism from pulling it apart, one branch after another, subordinating them to American trusts and banks, which is what happens with the 'natural' contact between contemporary American capitalism and the economy of other capitalist countries.

The pressure of capitalist monopolism can only encounter a limit in socialist monopolism. A country that turns to socialism, while being both economically and technically weaker than American capitalism, will struggle against it – until it has restructured its economy on a new base – not with the economic superiority of the trustified branches of its own economy but with a more advanced organisational structure of the economy as a whole. And this means, in turn, that further elimination of the law of value, i.e., its elimination beyond the historical bounds of American monopolism, occurs through planned socialist organisation of the economy in countries that do away with the capitalist regime. For contemporary Europe, the old freedom of competition is *impossible*

in any sense. It must choose either capitalist monopoly, externally imposed by the United States, or a domestic socialist monopoly.

Finally, as an indicator of the degeneration of the law of value as regulator of economic life, it is necessary to point out the consequences in the economic sphere of the degeneration of the bourgeois-parliamentary type of state into a state of fascist dictatorship. This degeneration affects one of the most important, indeed, the most important point of market relations, the relation between the sellers of labour power as a commodity and its buyers. In the period when free competition prevailed in economic relations, when capitalism was on a rising trajectory, it could allow itself the luxury of buying organised labour power on the basis of the law of value of this labour power. Conversely, in the period of its decline, of reduced reproduction and the growth of unproductive consumption, it must introduce a new type of discipline for labour, which is compulsorily organised and repressed by the fascist state through fascist unions. And this means restricted operation of the law of value on the market for labour power to the benefit of the class of exploiters. Consequently, from this direction too, the law of value undergoes significant change and distortion compared to the epoch of classical capitalism. Unfortunately, in the present context I cannot deal further with this problem; for that analysis, sufficient factual data are already provided by the fascist dictatorship in Italy and other countries.

From what has been said, the reader can see that we have to deal with the law of value in our economy during an historical epoch when this law is sufficiently undermined in bourgeois society itself thanks to powerful development of the monopolistic tendencies of modern capitalism, which are creating a unique American monopoly of monopolistic conquests. This is also important to us from another point of view, since our economy is compelled to strengthen its economic and above all its trade ties with world capitalism and with the world market. We must be aware that this world market is not the one that Marx observed when he was working on *Capital*. Its spontaneity has an entirely different character from before, and freedom of competition within it is much more limited than previously. And the further that condition develops, the more distinctly the gigantic silhouette of American capitalism looms over the horizon of this market, having already extended its tentacles into almost all of the major capitalist countries and become the lawgiver for prices on the world market.

3 The Law of Value with Socialisation of Industry in a Peasant Country

If commodity economy turns out already to be 'undermined', as Lenin put it, during the period of monopoly capitalism, this process must advance even further where the whole of large-scale industry is in the hands of the proletarian state. But insofar as the issue involves nationalisation of industry not in a typical industrial country, but rather in one where a significant part of values are created in petty production, above all in the small-peasant economy, to that extent, along with further movement towards monopolism, there are tendencies of a pre-monopolistic character that are stronger than, say, in today's America. That is the unique feature of the Soviet economy. It is why, in our analysis of this economy, we must not only trace the historical development of capitalist monopolism into socialist monopolism but also weigh all the consequences of the existence of a vast sphere of simple commodity production. The peculiarity of our Soviet economy lies precisely in the fact that post-capitalist forms of production confront 22 million peasant farms, plus crafts and the artisan industry, while purely capitalist or state-capitalist forms are relatively weak. In such conditions, the law of value and the planning principle are competing in the extremely unique circumstance of a strong separation, in the area of production and in the sphere of exchange, between the concentrated force of the state economy and the unorganised sea of simple commodity economy. The uniqueness of this condition is further increased by the fact that large-scale socialist production confronts small-scale production as *industry* to agriculture, i.e., the socialist forms confront simple commodity economy as two different spheres for the application of labour.

American monopolism, both before the war and today, as well as pre-war German monopolism, grew up on the basis of a powerful concentration of production and the enormous predominance of industry over agriculture. Both American and German capitalism significantly subordinated each country's small and medium production, in both industry and agriculture, to a small number of powerful organisations of commercial capital, trusts and the biggest banks. In America, in particular, the farmer economy, despite its relative fragmentation – compared, for instance, to large-scale agricultural production in England and Germany – turned out to be fully subordinated, in terms of credit, supplies, and sales, to the largest trading firms, the banks, the shipping, elevator and refrigeration companies, etc. Despite the fact that the American farmer, as a grain producer, competes on the world market with the farmer in Canada and Argentina, with the peasant in Romania, Ukraine, etc., and despite the fact that America's agricultural production is not that of a single agricultural trust, it is

nevertheless sufficiently tied organisationally to American commercial, industrial, and banking capital, which overflows the barrier separating agriculture from industry and achieves a certain cohesion of both branches (within capitalist limits), especially in the sphere of exchange and credit.

In the Soviet economy, to the contrary, the connection of trustified state industry with the independent peasant economy is infinitely weaker in terms of both exchange and credit, while the organisational structure of industry is historically of a more advanced type than in any capitalist country. The result of such a unique condition is that we must inevitably have a very far-reaching atrophy of the law of value within the sphere of the state economy, together with very extensive development of the law of value's operation beyond the limits of the state economy, and continual blows of market spontaneity against the entire state economy as a unified whole. This circumstance, as we shall see later, is what explains the predominant type of all the shocks and depressions that we have already had to deal with, are still dealing with, and will continue to deal with in our economy, in addition to the complications that must arise from our economy's connection with the world market.

On the other hand, due to the general economic and technical weakness of the state economy, the socialist character of production relations within it can only emerge more clearly at a certain level of development of the productive forces. At the same time, the planned administration of our economy is also frequently disrupted due to the shortage of supplies for economic manoeuvring⁷ and despite the quite advanced structure of the state economy as a collective economy. In a theoretical analysis of the Soviet economy, therefore, there is a very great risk of slipping from an analysis of production relations into measurement of the level of our wealth, i.e., of slipping into a vulgar-naturalistic point of view. There have been many examples of this.

Having made these preliminary observations, I now turn to a concrete analysis of which categories of capitalist economy are applicable to our economy and to what extent.

7 In his brochure 'Autumn Hesitations and Problems of Economic Development', [see 'Osen'ie 'zaminki' i problemy khozyaistvennogo razvertyvaniya', in Grigory Ya. Sokol'nikov, *Finansovaya politika revolyutsii*, Vol. 3 (Moscow: Finansovoe Izdatel'stvo, 1928), pp. 31–47] published by Narkomfin, Comrade Sokol'nikov, with whom I disagree on a number of fundamental questions concerning economic policy and the theoretical assessment of our economy, quite correctly and opportunely noted this fact. In itself this fact is just another weighty argument in support of my views on how the law of primitive socialist accumulation is, together with the law of value, the fundamental law of our economy.

4 The Commodity, the Market and Prices

I begin the analysis directly with these three most general categories because they cannot possibly be separated in any investigation. We counterpose commodity production to the socialist planned economy, the market to the book-keeping of socialist society, value and price to the labour costs of production, and the commodity to the product. The clarity with which we can theoretically counterpose some concepts to others contrasts with the difficulty of analysing them when forms are involved that are transitional from capitalism to socialism. At what moment here does quantity turn into quality? At what stage in the development of socialist economy do the production relations, to which the categories of political economy correspond in terms of science, dissolve?

Let us turn to a consideration of the separate parts of our economic field. Here we have railway transport, which is completely in the hands of the proletarian state. The People's Commissariat of Means of Communication orders locomotives, wagons, rails etc. from Glavmetall.⁸ Are the prices on these orders determined by market relations? These prices are not determined by market relations within the country since there is neither private capitalist production of locomotives and wagons nor any private metallurgy.⁹ Nor are these prices wholly determined by the market relations of the world economy, because the orders are given out for domestic manufacture, entirely independently of corresponding prices on the world market. It is not the law of value of the world economy that is the basis for allocating orders within the country. Prices are arrived at through a specific planning calculation, and they are adjusted to the cost of production in Glavmetall's factories, including the calculation of a certain profit for the producer,¹⁰ or else with no profit or even the anticipation of a loss when the state consciously adopts prices below the cost of production and provides the factories with a subsidy from its budget. All of this is decided not through the spontaneous methods of competition, but by aligning the financial plan of individual branches with the budget of industry as a whole, in the first place, and secondly, with the state budget. In these conditions, the influence of the world market is expressed in the fact that we continuously

8 [Glavmetall: The Main Directorate of the Metal Industry.]

9 *Note added to the second edition:* But this does not mean that prices are not determined at all by market relations. If the deductions for amortisation were excessive and could not be borne by shippers and passengers, then people would frequently have to turn to transportation by cart.

10 [The text says 'customer' (*заказчик*), but the intended word is clearly 'producer'.]

compare our domestic prices with foreign ones and thus acquire the stimulus to aim for reduced costs when they are higher than those abroad. This, too, is an influence of the world market's law of value, but it is manifested in a unique way; here, the world market puts pressure on the entire organism of our state economy as a single organisation. It would similarly put pressure on us in the event that at one time or another we would have to import a certain portion of our railway equipment if our own production was insufficient.

If we go further and add the case of transport's order to Glavmetall to the whole mass of cases where the state itself is *the monopolist producer and the sole monopolist purchaser* of some product or other from its trusts, then we will have before us a sector of the state economy where there is a *minimal effect of the law of value upon prices*. In the case where the state appears both as the monopolist producer and the sole purchaser of its monopolistic production, the relation between state trusts approaches the internal relation of a single combined trust. Here *the category of price has a mostly formal character*; it is simply an entitlement to receive from the pot of the overall state economy a definite sum of resources for further production and for a determinate level of expanded reproduction. In the part of this work that will be devoted to our industry, we shall see how important this sphere of the state economy is in quantitative terms and how it changes from one year to the next. There is only a single sense in which we can speak here of an important influence of the law of value, and that is from the direction of labour power and the payment for it. We shall soon turn to this question in relation to our state economy as a whole. But, in the example that we have just given, the role of the market that lies beyond the limits of the state economy is minimised, and the concept of a commodity in relation to a locomotive from Sormovsky factory recedes into the background compared to the concept of a state product that is manufactured for the state.

Let us continue according to the increasing operation of the law of value. Now take machine building for the textile industry. We make some of the machines and other tools ourselves, and some of them we import from abroad. The influence of the world market is expressed in the fact that, depending upon the conjuncture in capitalist machine building, we can acquire machines that are either expensive or inexpensive. If we get them inexpensively, then we can either buy more of them or free up resources for other needs of the state economy. Here, the law of value meets with the law of primitive socialist accumulation, but it does not influence the level of prices on the machines that we produce, because the prices of domestic production are not determined by the prices of the world market. With the defence of socialist protec-

tionism, we preserve, develop, or create individual branches for production of means of production, starting from considerations of economic expediency for the whole state economy. Here, too, the operation of the law of value is extremely restricted and, in addition to the above, can have an influence primarily in terms of the effect of amortisation on the price of textile products in the domestic market. The world market influences our domestic economic relations in exactly the same way when we import equipment that we do not produce at all in the country. In this case, the world market can influence either the magnitude of our accumulation or the amortisation surcharge on prices of consumer goods that are produced with the help of imported equipment. The world economy's law of value can operate not only as a factor in the distribution of material resources, but also as a *factor in the distribution* of labour within our economy in the event that – not sporadically but systematically and over the long term – we would have to delay, curtail or completely eliminate the production of certain means of production in individual branches where, with given prices on the world market and the given level of development of our machine-building, it would not be expedient for us to support or develop our own production. But, in this case, too, the question would be decided first and foremost on the basis of a balance-sheet accounting of all our production of means of production, of the necessary resources and the prospects of improving and reducing the cost of our own production.

Generally speaking, the areas in which we import means of production can change not only depending upon the movement of prices for the corresponding production abroad and at home, but also because of factors that result from an optimum, worked out in a very complicated way, according to a general economic plan. Consider such an example. Assume that we have the potential to import equipment worth, say, 300 million per year. From considerations of the optimum for the entire process of re-equipping, it may prove advantageous for us in the current year, instead of the 150 million allotted to import of means of production that have the greatest price differential between here and abroad, to import only 100 million worth of the given machines and to expand domestic production by 50 million, paying significantly more for them with *chervontsy* and expanding our import of another type of machines that are not so inexpensive. In this case, the operation of the law of value will be completely distorted by the interests of the economic plan as a whole, i.e., by the interests of expanded reproduction in a socialist type of economy – the sort of case that, as a rule, is completely impossible in conditions of capitalist reproduction. Generally speaking, the further we proceed, the more we are compelled to maximise the rationalisation of our imports, striving to take max-

imum advantage of the world division of labour, i.e., by importing more of the machines whose domestic production is least profitable in the given economic conditions.¹¹

As for importing means of production for the state economy that are not produced at all within the country, through price fluctuations the law of value of the world market only influences accumulation and amortisation but introduces no changes in the distribution of labour power.

Let us now turn to production of means of production when the state is a monopolist producer but not a monopolist purchaser. The issue involves some means of production that by their essential nature can figure only as means of production, and others that, depending upon their use, can simultaneously figure both as means of production and as means of consumption. An example of the first kind is equipment and metal for the private economy. Examples of the second kind are: kerosene, alcohol and fuel, which go into both technical and individual consumption. Regarding the part of production of this sort that goes to the state economy, we have the case that we have already analysed. Here the state produces for itself, and the prices assigned by the state, the price of metal for GOMZa¹² for instance, the price of oil for the railways, etc., has only an external and formal resemblance to the prices of the capitalist market. Essentially, what occurs here in the form of prices is a planned distribution of resources within the single organism of the state economy. We know that the state has very often assigned one price for the sale of oil to the railways and of kerosene to the factories and motor transport, another for the domestic private market, and a third for export. However, not all of this part of production can be attributed to the case that we considered previously, when the state appeared as both monopolist producer and monopolist purchaser.

In cases when the main bulk of production does not go to the state sphere, the producing organisations find themselves strongly influenced by the main consumers. Take, for example, the production of agricultural machines, only

11 Comrade Trotsky drew our attention in timely manner to the problems of our connection with the world market in his work *Towards Capitalism or Socialism*. [The correct title of the book, published in 1925, was *Towards Socialism or Capitalism?* An English translation appeared in 1926 and has been republished several times since.] It is extremely necessary for us in each given concrete year, with all of its peculiar features, to have a scientifically drawn up plan for imports, not a mechanical summation and then a trimming of the 'requests' from individual trusts. That sort of summation is not an import plan of socialist industry, only a crude adaptation of imports to the available currency without ascertaining any thoroughly considered optimum for imports.

12 [GOMZa: State Association of Machine-Building (or Engineering) Plants.]

a small part of which go to *sovkhozy*¹³ while the great majority are sold to the peasantry. True, insofar as the state is a monopolist producer and is threatened by no domestic competition, here too it can assign prices guided by its own economic plan, which can be constructed according to considerations both of expanded reproduction and of restoring the equipment of the peasant economy (which has been the practice in our agricultural machinery supply service, with its extremely favourable prices for the peasantry and sometimes loss-making prices for the state). For planning, however, there are certain limits here; namely, the volume of the effective demand of purchasers from the sphere of the private economy for the products in question, and also, if export is involved, the absorptive capacity and prices of the external market. A purchasers' strike is the limit placed on state planning in the case where state prices exceed a familiar level that is acceptable for the private market. In this case, not only the process of expanded reproduction but even that of simple reproduction in the corresponding branches of the state sector can be halted. The law of value, in this case, influences not only the scale of accumulation in the state sector but also the distribution of productive forces within it, i.e., the distribution of labour power above all. In the absence of any possibility of achieving a price reduction by organising competing enterprises with a lower cost of production than those belonging to the state, or with a slower rate of accumulation, pressure on state production follows the line of a reduction in demand and a direct refusal to make purchases in general. As we know, we had such an example in our economy during the autumn of 1923. Conversely, when effective demand from the private market exceeds the volume of state production, the state's room for economic manoeuvring and the potential for accumulation at the expense of the private economy expand: the state is master in setting prices within limits that range from the cost of production to [a price that causes] exhaustion of effective demand (taking into account, of course, the influence of prices on the volume of demand).

From the examples that we have provided, the reader will see that when the state is a monopolist producer but not the monopolist purchaser of means of production, the category of prices acquires a dual character: on the one hand, it remains a method of calculation, a pseudonym for the planned distribution of resources within the state sector, while on the other hand, where the issue involves exchange of things between the state and the private economy, it is a function of primitive socialist accumulation but limited by operation of the law of value. And this involves a second duality of the role of price in the case we

13 [State farms.]

are examining. If the private economy receives fewer means of production, this influences both the amount of its fixed capital and the distribution and application of labour power. In other words, one or another result of a clash between the law of primitive socialist accumulation and the law of value entails a different distribution of productive forces, including labour power. Whereas on the capitalist market, with free competition, price is a function of value, the price of a state monopolist in the private market is a function of primitive socialist accumulation limited by the law of value. But we shall discuss this later in more detail. There we shall see how the law of value also makes its way through an increase of surcharges in retail trade, which, in circumstances of the goods famine, acts as a factor of *capitalist* accumulation.

Let us continue. Consider the position when the state is neither a monopolist in producing means of production nor a monopolist as purchaser. An example: Winnowing machines and blacksmith items such as axes and nails are made, and equipment is repaired, in both the state and the private economy, both of which are also purchasers. I deliberately take means of production that in their natural form are instruments of labour and not raw material for further production, which will be discussed later. Generally speaking, this part of production is small in quantitative terms because handicraft and leased industry cannot play any significant role here with the exception of repair work. If the predominant part of the output here is state production, then market prices, naturally, will in general and on the whole be the prices that the state assigns to its production, starting from its cost of production and its level of accumulation. In such conditions, competing enterprises or independent producers, trading at state prices, can accumulate more if their costs are lower, or else sell their products more quickly at prices that are lower than those of the state. If their production costs increase relative to those of the state, the competitors will perish. They do not control the market, and state prices in this case will play exactly the same role as in the case we just examined; it is only in a few relatively unimportant kinds of production, where competitors will produce more cheaply than the state (for instance, various types of small-scale repairs), that a reduction in the number of state enterprises is possible together with the shifting of labour power into other kinds of production. Here, the law of value operates by chance in one and the same direction as the law of socialist accumulation. But the branches that we are considering are so few, and their role in the production of means of production is so minor, that we have only mentioned them in the interest of a full classification.

Now, we turn to branches that are incomparably more important, first of all to the production and sale of means of production that serve as raw material for state industry and are produced for the most part in the private, or more accu-

ately in the peasant economy. These include all of the technical crops such as cotton, flax, hemp, all types of oilseeds, sugar beets, distillery potatoes etc., and from the other direction, livestock raw materials, including hides, wool, sheep-skin etc. How do matters stand here with the operation of the law of value?

It is perfectly obvious that its influence here must be incomparably greater than in the case, say, when the state produces machines from metal that is smelted in its own blast furnaces, using ore and coal that also come from its own mines. Only an insignificant quantity of technical crops and livestock materials is produced on state *sovkhozy*, and the main bulk is produced in the sphere of peasant, i.e., simple commodity economy. On the other hand, the state here is not always a monopolist purchaser. Whereas cotton and flax are mainly bought by the state, a significant amount of leather, for example, is processed into footwear, harnesses etc. by handicrafts, artisans and semi-artisans. This means that the state procurement agencies face very strong competition from the private economy. However, it would be totally incorrect to think that this branch of means of production is an arena of *complete* domination by the free market and the elemental force of the law of value. On this account we have quite a wealth of experience during recent years that says exactly the opposite. Let us take a closer look at how matters stand here.

We begin with technical crops and raw materials, where the state is either a monopolist purchaser or at least the predominant purchaser. That is the case with cotton, flax, hemp, oilseeds, sugar beet, etc. The activity of the cotton committee on the one hand, and of procurement agencies for the purchase of flax on the other, is an interesting experimental demonstration of what a strong influence state industry can have on the private market, and then on the whole of small-scale production, when it is the main purchaser and acts in an organised way as a single economic organism. The market here does not dictate prices to the state so much as the state does to the market. We know that up to now prices for cotton have been fixed and continue to be fixed not by the free market in Tashkent, but in Moscow by the economic planning organs of the state. And up to now there has been no disruption of the prices established by the state, despite the fact that these prices have always been lower, by a significant percentage, than the prices of the world market. The state procurement prices on the materials we have listed are an extremely interesting case of a certain resultant emerging between the law of value and the law of primitive socialist accumulation.

How is the law of value mainly evident here?

It is evident in the fact that state planning in the area of procurement prices encounters two boundaries imposed by the law of value; one is a maximum, the other a minimum. The maximum boundary is the average price on the world

market insofar as export crops such as flax and hemp are concerned and import crops such as cotton, soft wool etc.

It makes no sense for the state, for example, to buy cotton within the country at a price higher than on the world market unless it is forced to do so by its limited import capacity due to a shortage of foreign currency. Likewise, the state will avoid buying flax for its own linen industry and for export at prices that, together with transport and other overhead expenses, exceed the selling price on the European market. The world market's law of value thus sets a limit on the maximum side.

How does the same law determine the minimum?

Obviously, the minimum limit is determined by labour expenditures and the profitability of a given crop for the producers, compared to other crops in the peasant economy. If the state assigns prices so low for flax that it would be more profitable for the peasantry of the flax-growing regions to replace flax with grain crops, and if low prices on plantation beet and cotton grown by Central Asian peasants cause an expansion instead of wheat etc., then we will encounter the boundary on the minimum side imposed by the law of value in simple commodity production. Anyone familiar with the activity of our Main Cotton Committee knows what efforts it has had to undertake, using an appropriate policy of cotton procurement prices on the one hand and delivery of wheat to Turkestan on the other, to get the Central Asian peasant, who during the war transferred from cotton to wheat cultivation, to resume sowing cotton and to increase the area of cotton plantations once again to nearly the pre-war level. On the other hand, the catastrophic drop in flax sowing in the north-western regions during the famine years and the replacement of flax by grain crops came to an end, and the peasantry gradually returned to sowing flax, only because the policy of state procurement prices encouraged this process in every way. Were it not for that, rye would still be sown where flax has now reappeared.

We can see from these examples how the operation of the law of value appears in this sector of the economy of the USSR. Now, let us examine how the operation of the law of socialist accumulation simultaneously appears, restricting the law of value or, if you will, being restricted by the law of value.

As mentioned previously, the limits to supremacy of the state's planning principle in pricing policy lie between world market prices on the one side and prices that verge on curtailment of a given crop on the other. The area for manoeuvring is very broad here, probably up to 30–40% below the world price. The state keeps procurement prices at a level sufficient for expansion of the given crops but below the prices that would form with free competition between foreign and domestic purchasers if our industry were not state-owned but private,

and therefore did not act in an organised manner on the market for raw materials. Everything that distinguishes procurement prices from the prices that would form on the basis of free competition by bourgeois purchasers must be entirely attributed to operation of the law of socialist accumulation. When the state, on the basis of an organised procurement system, keeps prices at a certain level and even reduces them, despite a growth of demand that outstrips supply – as happened in 1925 with flax and cotton (their prices were reduced somewhat by comparison with 1924) – we witness a striking example of restriction of the law of value by the planning principle, taking the form in this case of the law of primitive socialist accumulation. At the same time, we can see in this example the sense in which it is possible to speak here precisely of a law. Whereas the law of value makes its way in bourgeois society only as the average resultant of spontaneously colliding processes, as the resultant of pressure and resistance, in this case the state begins by anticipating resistance and avoids it, but at the same time it consciously limits its own rate of accumulation, restricts price increases to a certain level, and forces them lower.

Whereas the spontaneous law of commodity production, the law of value, can be counterposed to the bookkeeping of a fully formed planned economy, in which operation of this law is replaced by conscious calculation of socialist statistics for the production and distribution of products (not commodities), it is a different matter during the period of struggle for planned production, the period of strapping down and restricting the law of value. The struggle for the planning principle is first and foremost a struggle for accumulation of material resources by the state economy that will ensure the growth of some types of production relations at the expense of others. This accumulation is limited by the operation of the law of value, which still exists, and is consequently subject to the operation of spontaneity. From this point of view, the law of primitive socialist accumulation is the form in which a dialectical transformation occurs of the spontaneous patterns of an unorganised economy, resulting in a new way of achieving equilibrium in an economic system that is secured by the enormous role of conscious foresight and the practical accounting of economic necessity. Is this a law in the generally accepted sense of the word? The answer is much more weighted towards yes than no, if one takes into account the country's economy as a whole and not simply its more organised part. However, we shall meet with the same duality and the same contradictions of development in all the categories of capitalist economy that we analyse on the basis of our own economic system.

In order to finish up with industrial raw material produced in the peasant economy, we have to mention the following point. The system of state credit, of advances made by the procurement agencies, is already beginning to play a

major role in mastering the market for technical material. This system, which is also familiar in capitalist relations, will greatly restrict the operation of the law of value in our country insofar as the advances are given out not by competing purchasers of material but by the single organised state economy. On the other hand, it is perfectly obvious that the pricing policy of the state, as the predominant buyer, can have a most profound effect on the distribution of productive forces within the peasant economy, encouraging some crops at the expense of others and introducing the elements of a plan in the territorial distribution of crops in the peasant economy.¹⁴ The system of planned prices is here transformed into a powerful lever of state industry's influence on the peasant economy; the more rapidly our industry grows, the more forcefully will it attract to itself the peasant production of material, subordinating it by economic means to the socialist plan. Here, price is also transformed from a category of commodity economy and a function of the law of value into something in transition to socialist calculation in the exchange of things between town and country, even though the commodity coming from the peasant economy, which is paid for at the state's fixed price, has still not begun its conversion into a product in terms of the sphere of production. Here, finally, money has also changed its function somewhat, as it has within the state sphere. This is particularly interesting to trace in the calculations of Glavkhlopkom,¹⁵ involving cotton prices relative to those for wheat.

With regard to procurement of material that is also bought in large quantity by private producers or is processed in the peasant economy itself, here the regulating role of the state is significantly weaker and the operation of the law of value significantly stronger. Time and again the price limits of the state are broken here by private purchasers, forcing the state either to revise its limits or discontinue procurements, with the danger of leaving its enterprises without material. In turn, the fluctuations of procurement prices are inevitably reflected in the calculations of finished articles, restricting the state's ability to plan. Moreover, if prices on raw wool, say, seem unprofitable to the peasantry, they will increase their own production of felt boots, homespun cloth etc. And from this direction the law of value puts pressure on the corresponding branches of

14 For more detail see my brochure *From NEP to Socialism*, pp. 99–103 [included in Volume III]. By the way, I want to note here a curious fact. S.B. Chlenov, who wrote a very disapproving review of that work in No. 3 of *'The Press and Revolution'* for 1923, noted, among other defects, what he considered to be the completely unfounded prediction that the Donbass, five years after the end of the Civil War (that means in 1926), would reach the pre-war level of coal output. Unfortunately for the reviewer, it is precisely in 1926 that the Donbass is approaching pre-war output.

15 [Central Cotton Committee.]

the state economy. A weakening of the law of value's operation here can perhaps be achieved only by cheapening and expanding state production, which will reinforce the state's influence as the main purchaser and make domestic processing of their own material unprofitable for the peasantry. But such progress, of course, depends entirely on successes along the whole front of primitive socialist accumulation.

Let us turn now from production and procurement of means of production to production of means of consumption. It is obvious that the influence of the law of value, as a whole, is significantly greater here than in the area of production of means of production. Setting aside for the present, as we have been doing thus far, methods of payment for labour power – i.e., the labour market (if one may use that term) – let us trace the influence of the law of value from a different perspective. From the point of view that we are examining, the characteristic features of production of means of consumption, as compared with production of means of production, are: 1) a more important role of competition from the private economy in production and sales; 2) a more significant influence of the law of value coming from price fluctuations on material; 3) a more important and more direct dependence upon the effective demand of the private economy for state production; 4) a more significant influence of the relation between supply and demand on retail prices.

As far as competition from the private economy in production and sales is concerned, it is quite evident from a direct enumeration of various branches. The food industry, with the enormous role of private bread making, sausage production, fishing and the processing of fishery products, confectionery production, private brewing, up to and including village moonshine – all of these branches, which require neither major equipment nor significant circulating resources, and which also have a quick turnover of capital, are most accessible to small-scale production and small capital. There are giants of state monopolism here such as the sugar industry, yet the milling industry, for the most part, has a predominance of private production. Likewise, small production plays an enormous role in the processing of leather, wool, wood, hemp, and clothing production. The largest branch of the state economy, manufacturing industry, also meets with significant competition from small-scale production, which ceases to be dangerous only at a certain stage in the development of labour productivity with the advanced technique of large-scale production.

State production of means of consumption is further subject to the influence of the law of value insofar as the state either receives raw material from private production within the country or imports it in large quantities from abroad. We have already mentioned how matters stand with domestic procure-

ments. Here the operation of the law of value is greatly restricted thanks to the organised character of the state economy. As for imported material, in this area state industry, through the doorway of imports, is beaten by the waves of the world law of value, which, within certain limits, alters production calculations depending upon world prices for cotton, soft wool, rubber etc. A weakening of the world market's influence is achieved in this area only by development of domestic materials production, for which our country has rich prospects in terms of cotton and soft wool.

A third type of dependence on the private economy is reliance upon effective demand coming from outside of the state sector. Here we have in mind almost exclusively the effective demand of the private economy, since regulation of the scale of effective demand from state workers and employees – if we leave aside competitive sales from artisans and small-scale industry – depends upon the workers' state itself and its own wage policy. If the prices of state products are too high, this can lead either to reluctance to purchase, together with increased household output of a number of articles – which we have already discussed – or else to a buyers' strike. The first response is most feasible exactly in branches producing means of consumption. Whereas the peasantry itself is in no position to make ploughs – and if ploughs are very expensive, they will be repaired and used more intensively until the old inventory is worn out – when it comes to production of means of consumption, i.e., clothing, footwear, and food products, the peasantry has much greater opportunity to bypass state industry. As we have already mentioned, though, such a detour can only occur if the cost of articles from industry is very high.¹⁶ It is more difficult, the greater is the difference of labour productivity between large-scale industry and household production. And this means that with the growth of labour productivity in urban industry, the opportunities automatically grow for planned manoeuvring by the state, as do opportunities for primitive socialist accumulation at the expense of private production.

The operation of the law of value is manifested quite differently with a goods famine. Generally speaking, the goods famine that we are talking about, i.e., the scarcity of industrial commodities, is a consequence of the disproportion between industrial production and the country's effective demand. In conditions of free competition, the disproportion would be overcome in the normal way, i.e., first through a price increase in branches where production is not sufficient, and consequently a rise in the profit on capital invested in these

16 A major influence on this process comes from the enormous level of disguised unemployment in the countryside, a product of agrarian over-population, but here, too, the cure is more rapid industrialisation of the country.

branches, which then would quickly cause an influx of new capitals, new construction, and ultimately the expansion of production to levels that would correspond to or possibly exceed effective demand. In that way the goods famine would be eliminated, and the price increase, having played its role in a realignment of productive forces, would have to come to an end. The question can also be resolved by another route, i.e., together with the one just described – by way of expanded imports of foreign production if customs rates allow. Thus, on the basis of the law of value's operation, the disproportion could be eliminated in the distribution of productive forces along with the goods famine. Conversely, when 80% of industry belongs to the state, eliminating the disproportion is only possible – if an increase of imports is excluded – on the basis of planned expansion of state industry until it is level with the increased demand. Even a partial and very modest rise in prices can lead to the expansion of small-scale artisan and craft production in the branches involved in a goods famine. The goods famine is a warning to state-led industry: it is a demand for the establishment of proportionality, for which the whole economic organism of the country is crying out.

But, let us assume that due to a mistaken economic policy on the state's part during the current year or the previous year – the results of which only become evident after a year's delay – or because of a shortage of new capital and limited import opportunities, the state does not increase production to correspond with the growth of effective demand. What will happen then? We shall then have, on the one hand, a sharp rise of retail prices in the branches with an acute goods famine involving the whole of private trade, i.e., an actual rise of 40% for the whole retail turnover if we are talking about 1925. At the same time, under pressure from market spontaneity, cooperatives inevitably follow the line of least resistance, i.e., they will break through the restrictions on retail surcharges that are added to state wholesale prices. At this point, the law of value will inevitably fracture the state's policy of stable planned prices. A reduction of selling prices by the trusts, in branches with an acute goods famine, would have no positive effect in the sense of reducing retail prices and would be completely senseless in practice and ignorant from the point of view of economic theory.¹⁷

17 I remind the reader of the hail of objections, misunderstandings and distortions that had to be endured by the author of these lines for this idea, as expressed in the chapter of this book dealing with socialist accumulation. Now, of course, there will be no objections after the state has paid tens of millions or more for the opposite experience. But the objectors have yet to acknowledge their mistakes publicly. We are not yet sufficiently mature for that to happen.

In general and on the whole we would have, as we in fact did have in 1925, an incomplete and therefore wholly deformed and perverted operation of the law of value, because this law can cause an increase of retail prices but it is incapable of leading, through this instrument of increased prices, to a redistribution of the country's productive forces in the direction of more rapid industrialisation. To use a physiological comparison, what we face here is *a delayed reflex of the law of value*, which does not pass from the sphere of distribution into the sphere of production. Private merchant capital is raking in hundreds of millions, but this has almost no influence on production. It can be said that the increased accumulation of private capital is directly proportional to the operation of a curtailed law of value.

This fact is also a classical example – and the example needs to be studied in every course on the theory of the Soviet economy – of the economic consequences that can result from a situation in which the operation of one fundamental law, in this case the law of value, is paralysed, or more accurately semi-paralysed, and the operation of another law, which historically replaces the law of value, for one reason or another cannot develop in proportion to the degree and tempo of the law of value's elimination. It is perfectly obvious that if industry's primitive socialist accumulation, including above all accumulation at the expense of the private economy on the basis of taxes and pricing policy, corresponded to the level of new production relations already achieved, i.e., the collectivisation of industry and the demands made upon it by the whole economy – demands that, due to the very structure of the state economy, cannot be satisfied by way of spontaneity – then there would be no goods famine and the delayed reflex of the law of value would not have put tens, if not hundreds of millions in the cash-box of capitalist accumulation.

Leaving aside for now the general issue of how the very fact of industry's socialisation demands, with iron necessity, a certain proportion in socialist accumulation every year, I shall now summarise what has been said in these paragraphs. We have seen that if we abstract from the problem of labour power, the law of value is least influential in the sphere of production of means of production when the state is both a monopolist producer and a monopolist purchaser of means of production. And this means that heavy industry is the most socialist link in the system of our state economy, the link in which the greatest progress has been made in replacing market relations with a system of firm, planned orders and firm prices within the single organism of the state economy. Here, the greatest advance has occurred in the process of transforming prices into planned distribution of resources within the state sphere, and in converting the commodity into the product. In the sphere of state production of means of consumption, the influence of the law of value is much greater. It is

greater insofar as state industry is not a monopolist and the calculation of production costs involves material produced in those branches of petty production that are most subject to the spontaneity of market relations. Finally, when we turn to the private economy, i.e., above all to the peasant economy, the law of value is most constrained by the law of socialist accumulation in the branches of peasant production of means of production for large-scale industry, i.e., in the sphere of production of technical materials that are bought overwhelmingly by the state.

Now, proceeding according to the growth of the law of value's influence, let us turn first to production in the peasant economy of means of consumption that are purchased by the state sphere, and then to the branches that involve exchange among the peasants.

Let us first of all look at the relative weight of this part of peasant production in the total production of the country, and the relative weight of the commodity component of total peasant production. According to Gosplan's control figures, during the economic year 1924/25, out of the peasantry's total marketed production, i.e., out of 2,857 million roubles at pre-war prices, the share of technical crops was 631.4 million or 22.6%.¹⁸ We see from these figures that the share of technical crops that are subject to limited operation of the law of value is very significant. However, the share of means of consumption is far larger. Moreover, it must be kept in mind that the state does not buy all of the means of consumption originating in the peasant economy and being sold on the market, only a part. For example, in 1924/25, of 833.7 million poods of commercial grain, the urban market and exports absorbed only 305.7 million or 36.5%. Now we must ask ourselves: How do matters stand with the operation of the law of value in this sector of our economy?

It is quite obvious that with an insignificant volume of our own production in the area of grain crops and livestock farming, i.e., with the relatively trivial production coming from *sovkhozy*, the state is in no position to influence the market for means of consumption from the production side, which is the foundation of all regulation and plays a major role within the sphere of Soviet industry. Generally speaking, regulation in such conditions is possible only in the sphere of exchange and credit. The state's influence on the peasant economy through the credit system is presently so slight that we need hardly discuss this lever of regulation. That leaves only the sphere of exchange. Here,

18 *Note added to the second edition:* According to the control figures for 1925/26, the production of technical crops, as part of the overall production in agriculture, was to be 715.3 million roubles, plus hides worth 260.3 million (gross production); of this sum, commodities worth 583.3 million roubles went to the market.

the state is a massive and organised buyer for domestic urban consumption and a monopolist in the sphere of foreign trade in grain, oil and other food products. That is its advantage. At the same time, however, its freedom of manoeuvre in the area of pricing policy is more limited here than in any other part of large-scale trade. The first barrier is imposed by the world grain market. World grain prices depend very little upon our Vneshtorg,¹⁹ since we presently deliver only a small percentage of the vast quantity of grain being sold on the world market. Fluctuating world prices for grain crops bear down with full force upon our policy, as an external and objective force that is virtually independent of us. On the other hand, the domestic grain market is subject to our influence in a very limited way insofar as a large part of commercial grain goes to satisfy peasant demand for grain and to the unorganised part of the urban market, bypassing state procurement. Finally, we must also take into account the very important fact that our peasantry, as a result of the sharp reduction in the tax levy compared to pre-war times, and also because of the elimination of rent payments for landlords' land, faces a much smaller need for *domestic sales* than before the war.²⁰ This gives the peasantry a greater opportunity to manoeuvre with grain surpluses, to accumulate larger supplies of grain, to increase grain consumption, and *most importantly, to feed more grain* to cattle and poultry. The opportunity to expand livestock farming, including commercial livestock, makes the peasantry less dependent upon the state's fixed procurement prices for grain.

But we must not exaggerate here and generalise seasonal phenomena or the phenomena of individual years during the recovery period. We must also take into account the long-term tendencies of development. Insurance supplies can only be accumulated up to a certain point. The use of grain surpluses to expand livestock farming also has a certain limit insofar as the domestic market for meat, for instance, is growing comparatively slowly, and to conquer the foreign market still involves much effort and great capital expenditures (refrigerators, bacon factories, etc.). If the peasant economy is to develop, the basic tendency in this area is not towards reduction but rather expansion of the state's regulating role. Indeed, the more quickly commodity surpluses of products for consumption grow in the peasant economy, the greater will be their role in export, and consequently, the greater will be the role that the state plays in the sphere of procurements as the monopolistic vehicle for taking peasant production to the foreign market. Limited by world market prices on the maximum

19 [People's Commissariat of Foreign Trade.]

20 See my article on the goods famine in *Pravda* of 15 December 1925. [See Volume III, Part 2, Chapter 4.]

side, on the minimum side it will acquire greater opportunities for manoeuvring, and thereby the general dependence of the peasant commodity economy upon the state will increase. Here, the influence of the state cannot quickly catch up with its regulating role in the procurement of technical crops, but there is no doubt that it will grow in line with the growth of commodity production and export opportunities for our agriculture. Whereas in years of poor harvests market spontaneity rages much more forcefully and may meet with regulatory restriction from the side of state imports of grain from abroad, a wave of *falling* grain prices in periods of good harvests, to the contrary, can be restrained with much greater success by a timely expansion of state grain procurements and grain exports. The regulating role of the state in the area of exchange will increase in line with the growth of resources that the state will be able to allocate to formation of its planned reserves in monetary and natural form. On the other hand, our cooperatives are destined to play a significant role precisely in the sphere of regulation through exchange, particularly as credit coverage extends to agricultural exchange, not to mention the influence of cooperation in the sphere of production.

Finally, the area of least planned regulation is that of exchange among the peasants themselves and the exchange of peasant products with that part of crafts and the artisan industry that is either not controlled at all or is very little controlled by large-scale collective production. As we know, the absorptive capacity of the rural market for peasant production of means of consumption, above all for grain, is very substantial. The number of peasant households that buy grain is enormous. In 1924/25 the inter-peasant purchase of grain reached 528 million poods, or 63.3% of the whole of marketed grain.²¹ It would seem that the state's influence on grain prices must automatically affect prices on the inter-peasant grain market as well. There is no doubt that such influence exists, but it is limited by the fact that it is mainly the poorest peasantry who buy grain. They buy it both for food purposes and for seed. They do not always pay with money, and they rarely pay market prices due to their enslaving dependence upon the well-to-do peasantry and the kulaks. Very often payment occurs by working it off, i.e., in the form of grain being exchanged for the labour of the peasant poor, which, given the enormous amount of surplus labour power in the Soviet countryside, means a very high valuation of the grain being sold to the poor. State regulation of grain prices does not affect these

21 *Note to the second edition:* In 1924/25 the whole inter-peasant turnover came to 1,497 million pre-war roubles, and in 1925/26 it was 1,781 million roubles (control figures from Gosplan for 1926/27).

relations of exploitation. The market for labour power and the relation of concealed exploitation thwart the state's regulating influence on grain prices in the important area of inter-peasant exchange.

As for such spheres of inter-peasant exchange as the trade in draft animals, and also the trade in artisan and craft products that are not produced in state factories, here relations of simple commodity production prevail completely and everywhere – this is a limitless area of domination by the law of value.²² This part of our economy is the complete antithesis of the sphere of production of means of production in the state economy. The sixteenth-eighteenth centuries coexist with the highest achievement of the twentieth century – the industry of the socialist state that is guided by a plan.

5 Surplus Value, Surplus Product, and Wages

The question of whether surplus value or surplus product exists in state industry has provoked and continues to provoke numerous debates among our economists and among the student youth. From what has been said above, the reader can already see to some degree that from the point of view of economic theory this is a rather tough nut to crack. There is no way to answer this question correctly in isolation, apart from a systematic analysis of the entire system of our economy and of all the categories of political economy as they apply to the Soviet economy.

If the opposite of the commodity in the completed system of planned socialist production is the product, if the opposite of value is the calculation of labour time, and if the opposite of the wage is the consumption allotment of the collective worker, then the opposite of surplus value must be the surplus product. Following the method that we have adopted, this means that we must examine the extent to which we have progressed in our state economy along the historic path from surplus value to surplus product and which term is more correct here. I must also observe here that two types of disagreements are encountered in the question under investigation: disagreements that are terminological and consequently of a secondary character; and secondly, disagreements in principle that are connected with a difference involving the theoretical and historical assessment of our system of state economy in general. Disagreements of

22 We speak here of undivided domination in the sphere of simple commodity production because, as Marx often pointed out, the law of value 'only begins to develop freely on the basis of capitalist production', that is, when labour power is a commodity along with other commodities. [See Marx 1976, p. 676.]

the second type cannot, for this reason, be limited strictly to the sphere of the problem under consideration, for they inevitably extend to all the other problems of a theoretical analysis of our economy.

Let us begin with a precise definition of the concept of surplus value as we find it in Marx. The category of surplus value is inseparable from the following basic preconditions. In order for surplus value to exist, it is necessary that value in general exist, i.e., that the product of human labour be a commodity. And this means that the issue concerns an historical category inherent only in commodity production. Furthermore, a product of human labour assumes the form of a commodity not only in capitalist but also in simple commodity production. A second basic condition is thus required, namely, that labour power has assumed the form of a commodity, i.e., that a free market exists for a special commodity, the commodity of labour power. But the existence of labour power as a commodity presupposes at one pole the existence of a proletariat who are separated from the means of production, and at the other pole, the existence of a class of purchasers of labour power who have a monopoly over the right of property in the means of production. Consequently, the concept of surplus value presupposes not just a relation of exploitation but a relation of exploitation between employers and wage workers. Finally, the latter precondition is connected with the adjective 'surplus'; that is to say, the general level of labour productivity must develop to the stage where productively employed workers produce more than what is minimally necessary for reproduction of their own labour power. This means that the concept of surplus value presupposes the existence in society of a surplus product, which only takes the form of surplus value at a specific stage in the development of commodity economy.

Before turning to analysis of the category of surplus value in our economy, we think it useful to take a look backward at the history of this category's development. Insofar as our economy is experiencing a transformation of the productive relations of capitalist economy into the historically higher form of socialist production relations, and insofar as we must investigate the dialectical growing over of one type of relations into the other, the reverse is equally interesting, which in this case is the process of dialectical transition from surplus product to surplus value during the initial period of capitalism's development.

Marx often warned against confusing the concept of surplus product with the concept of surplus value. Surplus product is an incomparably broader concept than the concept of surplus value. Surplus product existed long before the development of capitalist production and will exist after the elimination of the bourgeois social system, although no longer as a relation of exploitation. It is only at one historical stage that surplus product assumes the form of surplus value. In a natural, slave-holding economy there is no surplus value

in Marx's sense – although there is both exploitation and surplus product – to the extent that the slaves, in a natural slave-holding economy, create only items of consumption for their masters and the purpose of exploitation is extortion of these items of consumption. There is also no surplus value in a natural economy of serfdom, where, for example, *corvée* labour prevails as a means of creating items of consumption for the large feudal landowners. Things change only when the product created by the labour of the exploited classes assumes the form of a commodity and is transformed into value, while surplus product is thereby also transformed into surplus value. Then the goal of exploitation also becomes the systematic extortion of surplus value. In this case, Marx switches from one term to the other. Thus, in the third volume of *Capital*, for example, Marx speaks of 'the transformation of a patriarchal slave system oriented towards the production of the direct means of subsistence into one oriented towards the production of surplus-value'.²³ In the first volume of *Capital*, Marx discusses not only the exploitation of Negroes but also transformation of the surplus labour of the enserved peasant into surplus value. He writes:

... [T]he Negro labour in the southern states of the American Union preserved a moderately patriarchal character as long as production was chiefly directed to the satisfaction of immediate local requirements. But in proportion as the export of cotton became of vital interest to those states, the over-working of the Negro, and sometimes the consumption of his life in seven years of labour, became a factor in a calculated and calculating system. It was no longer a question of obtaining from him a certain quantity of useful products, but rather of the production of surplus-value itself. *The same is true of the corvée, in the Danubian Principalities for instance.*²⁴

However, all we have here are undeveloped and transitional forms of surplus value that are not fully developed for the capitalist mode of production. In fact, we have all of the preconditions for surplus value except the final one, which is typical precisely of the development of capitalism – the transformation of labour power into a commodity 'freely' sold by its owner on the labour market. The slave is attached to the slave owner on the basis of the slave owner's right to own his person; the consumption of his labour power in production occurs not according to the specific laws of developed commodity-capitalist production

23 Marx 1981, pp. 449–50.

24 Marx 1976, p. 345 [Preobrazhensky's italics].

but rather on the basis of excepting from the laws of commodity economy the purchase, sale and reproduction of his labour power. The same must be said of the peasant serf, where the possibility of exploitation does not arise 'freely' and spontaneously from the monopoly of one class in the means of production, but instead exists on the basis the juridical dependence of the peasants on the landlords.

Finally, as the last transitional step towards genuinely capitalist surplus value, we can cite artisans and their work at home for the buyer-up, when they work up materials for the buyer, use his tools and essentially are already wage workers in fact, despite the external attributes of independent producers. With one further step we encounter the proletariat, who is separated from the means of production, and at the other pole, the owner of the means of production, the capitalist, extorting surplus value precisely on the basis of the developed and generally operating law of value, in this case on the basis of the exchange of capital for labour power – as a commodity.

Now, let us turn to analysis of the categories of surplus value as applied to our economy, above all to the state economy of the proletariat. Whereas in the pre-capitalist period of economic history we had, if one may put it this way, growth of the elements of this category in step with the development of commodity production and its growing over into commodity-capitalist production, in our country we see exactly the opposite process, a dying off of the elements of the category of surplus value in step with development of the productive forces in socialist forms: in one case the dialectic of growth, in the other, a process of withering away. Let us sort out this process more concretely by analysing the individual preconditions of the category of surplus value.

As we have already mentioned, the first precondition of the transformation of surplus product into surplus value is conversion of the product into a commodity. In our state economy, as we have seen, the reverse tendency is developing – conversion of the commodity into a product, which is most rapidly progressing and most far-reaching in the sphere of state production of means of production. The reader can see the importance of this fact from the following circumstances. As we know – and Marx had much to say about this – the development of the productive forces of capitalist society and the development of technique lead, *as a general rule*, to a rise in the organic composition of capital, which, from the point of view of the distribution of labour throughout the whole of society, more or less means a growing importance of production of means of production. The possibility of an expansion of production of means of consumption and their reduction in cost comes from a relatively greater expansion of production of means of production. This law does not depend upon the specific traits of capitalist production relations; it must also operate in

socialist society insofar as the society's productive forces are going to develop. It is also fully applicable to our system of economy. *But once this is so, development of the productive forces must inevitably mean an increase in the relative weight of production of means of production, and this increase quite automatically strengthens the tendency towards a withering away of commodity production in the state economy and, from this direction, also undermines the category of surplus value.*

If we take the entire production of our state industry for a given year and ask whether it is a mass of commodities in Marx's usual sense of the term, then our answer to this question must be both yes and no. Yes, insofar as we produce as a monopolist, relying on the market; no, insofar as we produce as a monopolist for our own state sphere, preserving only the *form* of market relations within this state sphere; and partly no, insofar as the tendencies of socialist monopolism lead to undermining the commodity economy, elimination of competition in many cases, and a transformation of the very essence of the commodity market. Whereas the commodity character of production grows in the peasant economy in line with development of the countryside's productive forces, encountering the restrictions upon market relations described in the previous section, the commodity character of production in the state economy declines according to the growth of the absolute sum of production and the increase of planning and organisation in its entire economic organism. The result, consequently, is this: the category of surplus value in the state economy is undermined in terms of the precondition that we are examining, and to a certain extent it has already been shattered by the development of socialist relations of production.²⁵

Now, let us take the second precondition of the concept of surplus value – the relation of exploitation between two classes and the system of appropriation of the surplus product of the workers by those who own the means of production. There is no doubt that here we have advanced incomparably further than in the relation we have just considered, and we have made this advance not by an evolutionary route but by a leap, by the socialist revolution, by the elimination of capitalist property in the means of production and their transfer

25 *Note to the second edition:* The author has many times been reproached for ever-estimating the planning principle in our economy and under-estimating the law of value. With regard to all of these charges, I must note once and for all that I am *nowhere* involved in an arithmetical measurement of the operational force of one principle or the other, only in studying the tendencies of development. It is possible for the balance of forces between the law of value and the socialist tendencies to be appraised differently at any given moment, but this does not alter the correctness of the analysis, provided only that our system of economy will develop.

into the hands of the proletariat, organised as the state. In terms of this attribute, we are much more able to speak of the transformation of surplus value into surplus product than in other respects. Generally speaking, the fundamental point is that the working class cannot exploit itself.²⁶ Division of the proletariat into workers who serve organisational functions and are better paid and the remaining mass of the workers is a division within one class; it is no different in principle from division of the same class into skilled and unskilled workers. This condition is connected with distinctions within the working class in terms of managing industry, differences of technical training, organising abilities etc. The new system inherits this heterogeneity from capitalism and can gradually eliminate it as labour productivity grows, as the cultural and technical education of the whole mass is elevated on the basis of a new system of education, development of the system of workers' democracy in all areas of leadership and management, and finally, a fully conscious struggle against tendencies of conservatism and stagnation. The existing material inequality and comparative slowness of the general mass of the working class in rising to the level of the organising cadres does not result from the current structure of production relations but instead lingers on *despite* this structure, and it will be liquidated *in pace with the withering away of the hardened division by occupations*, elimination of the gap between science and labour, and disappearance of the 'enslaving subordination of the individual to the division of labour', inherited from bourgeois society, which Marx spoke of in his *Critique of the Gotha Programme*.²⁷

Development of the productive forces in the state economy, systematic growth of wages, inclusion of all proletarian and semi-proletarian youths in the socialist system of general and technical education, together with the retraining of adults, will lead to a rapid increase of skilled workers at the expense of the unskilled and will prepare such a mass of workers for organising functions as will many times exceed the number of organising and managing posts. And this will mean dissolution of hardened occupational divi-

26 It will be useful here to remember the following observation by Marx, who refers directly to this theme. In the first volume of *Capital* Marx says:

We know that the means of production and subsistence, while they remain the property of the immediate producer, are not capital. They only become capital under circumstances in which they serve at the same time as means of exploitation of, and domination over, the worker. But this, their capitalist soul, is so intimately wedded, in the mind of the political economist, to their material substance, that he christens them capital under all circumstances, even where they are its exact opposite (Marx 1976, p. 933).

27 [Marx and Engels 1989, p. 87.]

sions and a gradual transition to a genuinely socialist solution of the problem of cadres and the mass through a rapprochement of the mass with the cadres, and by the conversion of occupations, as hardened groups of the same people in given functions, into the whole mass fulfilling functions in turn. The necessary functions remain; the people fulfilling them change. In this case, as in many others, further socialist development, with socialisation of the instruments of production, already depends upon purely quantitative growth and the rate of this growth of productive forces within the state economy. And conversely, a hardening of the division of cadres and occupations can be the consequence of a suspension or slow development of the productive forces.

Thus, the inequality that we have mentioned in the sphere of distribution of material resources, along with the preservation of occupational divisions and actual inequality in the matter of acquiring scientific and technical knowledge and organisational experience, by no means results from the monopoly of a small section of the proletariat over the instruments of production. There is no such monopoly of the means of production by, say, red directors, proletarian engineers and executives. All of them are employees of the workers' state, and they carry on production using the state's collective means of production just as all other workers do. This is the difference of principle in the very structure of production relations in state industry as compared to the corresponding relations of capitalism, and lodged here also are the preconditions for overcoming those bourgeois features in the system of distributing compensation and responsibilities that still remain during the period of the first steps of socialist construction.

However, when examining the problem of exploitation in the state economy we cannot restrict ourselves only to relations within the proletariat. The point is that the proletariat can also be subjected to a certain degree of exploitation by other classes even if it is itself dominant in the sphere of large-scale industry. Depending upon the balance of class forces, upon the weakness and immaturity of the new form of production and the strength of the commodity and commodity-capitalist economy, a relation of exploitation can develop that does not exist within the customary limits of production and distribution relations between capitalist and worker in bourgeois society. In that case, to the extent that this new type of exploitation exists, so too will surplus value.

Let us consider the existing real and theoretically possible types of such exploitation.

First, a portion of the surplus labour – true, a relatively quite small portion – goes to that part of the compensation for specialists that exceeds the pay for highly skilled labour. This form of exploitation of workers in state industry res-

ults from the underdevelopment of socialist relations in the area of the new system of education that is inherent in collective production and is an inseparable element of it.

Secondly, there is part of the surplus product that is captured in the form of commercial profit by private capital. Exploitation here follows from underdevelopment of the system of distribution that results from socialisation of the means of production. There is no doubt that this is the largest part, in quantitative terms, of the surplus product of state industry that is appropriated by a hostile class.

Third, there is the interest on internal loans that accrues to the peasantry, the Nepman, the urban petty bourgeoisie, etc., and also the potential payment of interest and principal on the old foreign loans as well as interest on new ones. To this we must add the theoretical possibility that, due to an incorrect policy in the area of primitive socialist accumulation, the surplus product acquired by the state from the private economy for general state needs may be exceeded by the part of the state economy's surplus product that goes, in one form or another, to the private economy.

Let us turn now to the final point, namely, the question of the degree to which the labour power of workers in the state economy figures as a commodity sold on a labour market. Does the sale of labour power, as a commodity, exist in our economy as a whole or does it not? On the whole, this question must be answered in the affirmative. In the state economy, as in a number of other relations of production, we have a transitional type of relation, and the answer to the question we have posed must both yes and no.

We answer this question in the affirmative insofar as the issue concerns the economy as a whole, first of all because there are no more workers and office workers employed by the state and in local soviets and cooperatives than in private industry, private trade and agriculture, especially if we take into consideration not just agricultural labourers but also all the disguised forms of exploitation of labour power in the countryside. Secondly, the reproduction of total labour power generally occurs in such a way that half or more than half of the average worker's budget goes to purchases of means of consumption from private production, and above all from peasant production, and thus the very process of the reproduction of labour power is very closely connected with commodity economy. As far as workers and employees of the state economy are concerned, the distinct aspect of the situation emerging here is the process of the elimination of labour power as a commodity, which has begun and is progressing apace with development of the productive forces. This is connected, above all, with the very method of calculating the wage fund.

In capitalist society, the price of labour power gravitates towards its value, which emerges in the given historically formed conditions; any deviations depend upon the conjuncture in the labour market, i.e., they are connected with the relation between the demand and supply of labour power. In the state economy of the proletariat, the magnitude of the total wage fund is regulated by the law of primitive socialist accumulation, and only the gradation of the wage grid is still significantly, if not primarily, determined by the demand and supply of skilled and unskilled labour. While the wage fund as a whole, given the approach of total production to the pre-war level, is also close to what it was before the war, this quantitative coincidence is mostly fortuitous and determined by the demands of accumulation, not by the operation of the same law of wages as before the war. What is especially characteristic of our conditions is the fact, first of all, that the growth of wages for unskilled workers in our country has become significantly detached from the condition of the labour market. The increase of wages for uneducated workers, beginning with the transition to NEP, has occurred along with an increase of unemployment and has generally depended on the growth of labour productivity and the tempo of accumulation in the entire state economy; it has consequently been separated from the operations of demand and supply for unskilled labour power.

Next, it is also very important to notice here and correctly assess the fact that the proportions of wages in individual branches have markedly departed from those before the war (the wages of food, leather and textile workers on the one hand, compared to those of metal, mining and transport workers, etc., on the other), and the change has depended above all on the tempo of recovery and accumulation both in individual branches and in the state economy as a whole. The operation of the market for labour has also been subject to immense changes under the influence of the change in the system of production relations. Thus, in light industry wages have risen more quickly not because (or more accurately, not so much because) there was less unemployment here. And the wage for unskilled workers has increased not because unemployment among unskilled workers declined. These changes are related to the whole sum of conditions in which the law of primitive socialist accumulation has developed its operation. The future rise in wages for all workers in general, and particularly for unskilled workers, will depend less and less upon the labour market and more and more upon development of the productive forces in the state economy. As of yet, this is by no means an approach to the system of distribution that characterises socialist relations of production. This is merely an initial preparation of the preliminary conditions for such distribution, for which one of the prerequisites is detachment

of the total wage fund from the operation of the law of value. This detachment is already underway and will progress further. Here, we see another extremely interesting example of the fact that, with socialisation of the instruments of production, purely quantitative changes – in this case, growth of the productive forces and the material wealth of the state economy – *automatically* reinforce the process of dissolving the categories of capitalist society.

As far as the process of distribution within the general wage fund is concerned, it still remains almost completely bourgeois, just as the form of wages itself remains capitalistic. Our wage scale does not and cannot have anything in common with socialism.²⁸ So long as the training of skilled workers is not adapted to the socialist production relations of the state economy, the wage scale will be an adaptation to the bourgeois inheritance that the Soviet authority receives both in the division of workers into trades and in the preservation of many (if not most) of the elements of bourgeois rather than socialist incentives for work. The latter do not fall from the sky; they must develop through prolonged re-education of the human character as it was formed in commodity economy – a re-education in the spirit of collective relations of production. However, I do not mean to imply that our present wage scale is completely adequate for the conditions of labour in the state economy, or that there is no need to begin now to reform it in pace with a general offensive on the front of socialist construction. No doubt, we often copy capitalist relations where this is not only unnecessary for raising labour productivity but even where such copying is directly harmful from the economic and cultural point of view.

With regard to the form of wages, in connection with the extraordinary expansion of piece-work it is useful to remember what Marx said on this theme: ‘... piece-wage is the form of wage most appropriate to the capitalist mode of production.’²⁹ If that is so, the question naturally arises: What form of wage corresponds best to conditions of work in the developing state economy of the proletariat? As we know, we began during War Communism with a system of rationing and very quickly became convinced that this method of distribution, which was an abrupt and immediate departure from petty-bourgeois and individualistic incentives to work, ended in complete failure – even though it might have been inevitable in conditions of famine and civil war. The so-called col-

28 It is also necessary to keep in mind the fact that piece-work and wage scales are connected with the operation of the law of primitive socialist accumulation and with accumulation at a compulsory rate of speed.

29 Marx 1976, pp. 697–8.

lective supply and collective bonuses, which we then adopted, were somewhat more successful because they were a transitional measure in the direction of the current system of wages. Today, piece-work broadly prevails in our country, and where that is not possible due to technical conditions, daily and monthly wages. The piece-work system makes it possible to squeeze everything possible from individual, bourgeois incentives to work, which, with socialisation of the means of production, generally means lagging by an entire epoch behind the new form of property. The development of technique itself, the increased role of transport, electrification etc., reduces the sphere of labour where piece-work is possible. On the other hand, piece-work begins at some point to hold back the new system of labour organisation and the education in new incentives for work even where this is technically possible. No doubt, as socialist elements in our economy strengthen, we shall face the necessity of going over to a combined method of individual and collective payment, and we can be certain that in future there will be a changeover to payment of 'the collective worker' instead of paying the individual worker according to individual work. However, movement in this direction is now scarcely beginning. Consequently, in this area it seems that we have advanced much less than elsewhere, if we leave aside the growth of a number of social institutions such as workers' clubs, crèches, children's homes, factory canteens, etc., whose development is essentially a partial transformation of the old system of wages into one of the forms of collective supply.

With regard to the final precondition for the possible existence of surplus value – namely, that a surplus product, which takes the form of surplus value under capitalism, may exist *in natura* – the existence of such a product could surely be doubted in relation to certain branches during the period of War Communism.

Now let us summarise the total results of all these 'yes' and 'no' answers and resolve the question of what term can be used most correctly in relation to the surplus fund that remains in the state economy after the consumption needs of workers in state industry are met: surplus value or surplus product? I personally consider the term surplus product to be more correct, insofar as the issue concerns characterisation not only of what is but also of the tendency of development. As we have seen, Marx applied the term 'surplus value' to systems of exploitation that did *not yet* include all the elements of this concept in its classical, pure form. When applying this designation, he looked ahead to production relations that were only developing in the direction of capitalist forms of the exploitation of labour power. We have the same justification for looking ahead when we apply the term 'surplus product' to relations of production and distribution that contain the elements

and categories of surplus value but also elements of the surplus product of collective expanded reproduction, with a growing preponderance of the latter.

That is how things stand in the state economy, which is of the greatest theoretical interest for this study precisely because what is occurring there is the withering away of old production relations and their displacement by new ones; consequently, one has to study the interweaving of both at the given stage of socialist construction. With regard to private industry and all the other points where wage labour is used in different forms, in those areas of our economy everything that Marx wrote about wage labour, surplus value etc. remains in force, taking into account, of course, those changes of an external compulsory character that result from the existence of the dictatorship of the proletariat in our country.

Finishing up with the category of surplus value, I still wish to underline one extremely important circumstance. The law of primitive socialist accumulation, insofar as it regulates the level of wages in the state economy, conceals within itself an internal contradiction. As the law that expresses all the conscious and spontaneous tendencies towards accelerating the rate of expanded reproduction in the collective state economy, it is thereby the law of the development of socialist production relations in general. But, on the other hand, as the law that restricts wages in the interests of socialist accumulation, its tendency is to limit the tempo of the conversion of wages into the consumption allotment of a worker in a socialist economy. From the moment when the instruments of production are socialised, it is precisely a rapid growth of wages that also leads to their detachment from the value of labour power and to the material preconditions for development of a socialist, proletarian culture. This internal contradiction of the law results entirely from its historically transitional character. The tendency to overcome the category of wages, i.e., the tendency towards strengthening the socialist *quality* of production relations, enters into contradiction with the tendency towards quantitative expansion of the territory of the state economy and its production relations in their *current* form, i.e., production relations that are at a very low stage in terms of their socialist quality. The very term 'primitive socialist accumulation' already reflects this dual nature of the law: the adjective 'socialist' contradicts the important noun 'accumulation', to which it is attached not only grammatically but also in a real historical process.

Let us now turn to other categories whose analysis will take up much less of our time.

6 The Category of Profit in the State Economy

As far as this category is concerned, in certain respects the question is much easier and more transparent than in the case of others, the sole exception being the terminology, which is uniformly unsuitable. Neither the term 'capital' nor 'accumulation' nor 'profit' – nor, as we have just seen, even the term 'surplus value', strictly speaking – is suitable, without any reservations, for characterising relations within the state economy. One must either use them provisionally or add an adjective to the noun – state capital, socialist accumulation – or else anticipate the tendency of development as we did with the term 'surplus value', replacing it with the term 'surplus product'.

With the domination of capitalist relations of production, equalisation of the rate of profit on equal capitals plays an enormous role in the distribution of productive forces between various branches of production. The question is: What instrument of regulation fulfils the same function in the state economy? What determines the rate of profit for state trusts, in the first place, and secondly, what system operates in the deployment of new capital between individual branches of the state economy? What is it here that replaces operation of the law of equalisation of the rate of profit and the price of production?

The extent to which the concept 'rate of profit' is transformed in the state economy, with a new relation of production and distribution, becomes obvious when we compare any of our trusts to a corresponding group of capitalist enterprises in conditions of complete or restricted freedom of competition. Suppose that, in place of our GOMZa,³⁰ several capitalist companies operate, such as the Bryansk Company, the Company of Sormovsky factories, etc., and in place of the textile trusts, which in the sphere of exchange are headed by the textile syndicate, the manufacturing firms of the Morozovs, the Korzinskis, etc. are operating. When they begin their fiscal year, capitalist engineering and textile enterprises cannot have, beyond the firm orders that they already possess, even approximate knowledge of how much they will produce, of the prices of materials, of the surprises that await them in the labour market, or of the selling prices for their own products, and consequently they cannot know the rates of profit that await them. An enormous part of the elements of a 'capitalist plan' remains an unknown quantity. New competitors may shake up prices for materials or bring down selling prices; workers may strike for a month, etc. For this reason, the balance-sheet of the enterprise may bring great surprises at the conclusion of the operating year. A graph of profits may indicate that during the

30 [GOMZa: State Association of Machine-Building (or Engineering) Plants.]

given year more capital was invested in the particular branch than was needed, and this announcement is delivered by a fall in the profit rate or a roaring deficit. Alternatively, the opposite may happen. An abrupt jump in the rate of profit, thanks to an increase of market prices for the company's products and other causes, may indicate insufficient addition to capital in the given branch. The spontaneous forces of the market, whose elements include our Morozovs, the Company of Sormovsky factories, etc., upon noting different numbers in the profit column of individual branches and enterprises, will facilitate the establishment of equilibrium in the distribution of productive forces thanks to the activity of the law of value and, in this case, through the instrument of a spontaneous distribution of profits. Despite the different proportions of constant and variable capital in the different branches of capitalist production, equilibrium will be achieved on the basis of the law of prices of production; thanks to its operation, enterprises with a higher organic composition of capital and a correspondingly lower rate of surplus value will, in the final analysis and due to equalisation of the profit rate, receive the average profit just the same as an enterprise with a low organic composition of capital.

Things are entirely different in the state economy. GOMZa knows its production programme in advance and possesses this knowledge because its programme includes all of its customers. The textile trusts also know their programme, although they may experience greater fluctuations in fulfilling it because realisation of their manufactured products is not limited to the state sphere and its workers and employees. But with any accurate data of urban and rural effective demand, this programme cannot significantly diverge from planning assumptions; when there is a goods famine, the whole problem disappears since there is no longer any concern about the possibility of realising the entire production. The whole issue will then involve magnitudes of fixed and circulating capital, which are completely subject to planned accounting. Furthermore, GOMZa can expect no surprises from metal prices, because prices are determined by the state itself. The textile trusts can expect no surprises from prices for equipment that is produced within the state sphere; nor from the two-thirds of cotton that is produced domestically; nor from flax and hemp, whose prices are dictated not so much by the market as by the planning organs of the state; nor from wages, whose level is determined according to plan on the basis of the resources available to the state economy in the given year and fixed by collective agreements.

Due to such strengthening of the planning principle in the whole state economy and in the domestic market for industrial material, the very essence of profit and the instrument for equalising the rate of profit changes. Whereas private entrepreneurs can only guess what will turn up in their balance-sheets

on the basis of various indirect indicators, $4/5$ of the balance for Soviet trusts is already established *before* the economic year begins in the form of production programmes that also provide norms for the trusts' delivery prices on their products. The effect of establishing these norms is that prices and the corresponding rate of profit lose their regulating character for the distribution of productive forces; this distribution occurs not by a circuitous, indirect and spontaneous route but is directly foreseen by the general economic plan for the particular year. This is no longer a rate of profit in the capitalist sense of the word – a rate that is broken down further into the parts capitalised and consumed by the capitalists, which also greatly complicates the achievement of equilibrium in the system of reproduction – this is the rate of socialist accumulation for each particular branch of production. The corresponding rate is already established in the elements of the production programme, above all in the level of delivery prices. As a result of the socialisation of industry and development of the planning principle in the state economy, above all the planning principle in the sphere of socialist accumulation, the category of profit not only disappears as a distributive relation of bourgeois society, along with elimination of the class of capitalists, but profit, as the regulator that emerges on the basis of the operation of the law of value, is also radically transformed in distributing the productive forces between individual branches of the collective state economy.

Now, let us consider another side of the question: the method of allocating new capitals in production – or better, since the issue involves the state economy, of allocating new means and new elements of production.

In capitalist society the part of surplus value that goes to production – and cannot simply be added to the capital of functioning enterprises – is allocated between different spheres of production in the form of issuing shares. For this purpose joint-stock companies are formed, either with the assistance of banks or by the banks themselves, which issue shares and place them with commercial, industrial or other enterprises that have uncommitted capital, or else with private individuals. The form of issuing shares is a purely spontaneous way of assembling and productively allocating new capitals, and from this point of view it corresponds to the whole structure of capitalist society. The changes that the production relations of monopoly capitalism bring to the practice of issuing shares will not be examined here, but how should that problem be addressed in the Soviet economy?

As we know, we already have numerous joint-stock companies owned exclusively by the state, and also a small number of mixed and private companies. It would appear that we are following in the footsteps of capitalism when it comes to distributing and investing new productive resources.

However, such a claim would involve a perception of external form rather than the essence of the matter. Leaving aside the fact that only a very small part of new capital in our country is raised through the system of issuing shares, the actual structure and methods whereby joint-stock companies work with state capital are scarcely distinguishable from the operation of any trust, and the method of assembling capital is one of signing up state institutions for state or communal enterprises (which are one and the same) or groups of enterprises. A difference arises only where state and private capital are involved in the issuance of shares.

The basic form of distributing new capitals that are not added to the capital of functioning enterprises – with the sole exception, let us hope, of a short-lived joint-stock company for new industrial construction – is our banking system: Gosbank, Prombank³¹ and other banking institutions, and to some extent the distribution of resources to industry through the state budget. This distribution cannot help but be planned because it is utterly senseless to think that the process of expanded reproduction of state industry and transport, together with all new construction etc., will occur in a planned manner when it comes to *fulfilling production programmes* but can still be left unplanned and dependent upon some process of autonomy and spontaneity within the state economy insofar as *assembling resources* for expanded reproduction is concerned. Nevertheless, we must still note in passing that our state economy has not yet found satisfactory organisational forms to serve the process of expanded reproduction in this area – the kind of forms that inhere within it and at the same time correspond to the present stage of primitive socialist accumulation.

Finally, in terms of the law of primitive socialist accumulation, we must also note the very important fact that our state economy is still developing quite spontaneously in the sense that the accounting balance of accumulation for each year – which results from the existing level of development of the productive forces in the state sector and in the economy as a whole, together with the volume of effective demand in the private economy and the necessary scale of new construction – is neither determined in advance nor consciously implemented in a planned way through a comprehensive system of planned prices. The general level of prices of production, so to speak, within the state economy as a single trust, is instead found by groping spontaneously, more by way of arithmetically adding things up than by dividing the general sum of necessary accumulation among the corresponding spheres of production. The existing

31 [Prombank: the Bank for Industry.]

structure of our state economy often turns out to be more progressive than its system of economic management.

The question of the transformation of the law of prices of production in the conditions of the Soviet economy will be examined in more detail in the second volume. Here we shall limit ourselves to general theoretical observations on that theme. Under capitalism, the law of the equalisation of the rate of profit ensures the necessary proportions in the distribution of labour between the various branches of production despite any difference in the organic composition of capital, and thus despite the different quantity of surplus value attributable to each unit of capital expended in production. This levelling of the rate of profit, on the one hand, guarantees to each group of capitalists approximately the same level of consumption fund, and on the other hand it also guarantees to them the same level of accumulation. Without the operation of the law of prices of production, reproduction would be impossible in some branches of a capitalist economy. The whole process of regulation occurs on the basis of competition. How does our state economy differ in that respect?

First of all, the profit of state enterprises is not divided into a consumption fund for the capitalists and a fund for accumulation. We have only the accumulation fund, which is somewhat reduced by Narkomfin either because of the technical advantages of distributing a certain portion of it through the state budget or else, sometimes, simply because of our inadequate understanding of the nature of the economy that we are managing and of its laws.

Secondly, the total accumulation fund is not constituted by adding up all the sums of surplus value acquired on the basis of a spontaneous struggle between workers and capitalists over the magnitudes of s and v , which is then distributed between capitalist enterprises on the basis of the law of equalisation of the rate of profit. We do the opposite. We endeavour to determine the necessary fund of accumulation in advance, on the basis of a production plan, and then we figure out what portion of it can be covered by the budget and what portion on the basis of pricing policy. The fund of accumulation on the basis of pricing policy is established in relation to the state economy as a whole, and the task of individual trusts consists of fulfilling this fund with their own profits, which, as a rule, will not be equal in such a system and will be all the less equal the more successfully the state economy manoeuvres on the market. As a result, in place of the law of prices of production, what we have in our economy is a pricing policy that is dictated by the task each year of acquiring a determinate fund of accumulation for the entire state economy taken as a whole. The price levels of individual trusts and their volume of profits are adapted to this basic task. In any event, that is the tendency, although it is still not sufficiently understood and has not always been clearly

expressed in our pricing policy. Often it is quite the opposite: pricing policy has retreated from this line to the detriment of the task of expanded reproduction.

7 The Category of Rent

There is a great deal of confusion concerning the problem of rent in the Soviet system, given our existing nationalisation of the land and the quite insignificant role of purely capitalist leasing. Adopting a serious demeanour, people have often discussed and still continue to discuss the question of whether the peasants pay absolute or differential rent (in the Marxist understanding of those categories) to the state in the form of the tax in kind or now in the form of the single tax, what sort of rent a state enterprise pays to the local Soviet on whose territory it is located, etc. All of this confusion stems from the fact that the categories of a developed capitalist society are being uncritically and pedantically carried over to relations in which, on the one hand, the state economy dominates with its specific production relations of the transition period to socialism, and on the other hand, there is simple commodity production with a very weak veneer of capitalism precisely in the sphere of *production*. Meanwhile rent, in the Marxist understanding of this term, is a category of the developed capitalist mode of production that has captured the sphere of agriculture. In other words Marx, in his theory of rent, analyses pure capitalism's relations of production and distribution when all the land is worked by capitalist lessees while the right of property in it belongs to another class, the landowners. Foreseeing the confusion that might occur about his understanding of capitalist rent, and struggling against the confusion that various economists before him had created on this question, Marx frequently emphasised the difference between capitalist land rent and the various forms of rent that existed in the pre-capitalist period, which had an entirely different character and nothing in common with capitalist land rent except the right of private property in the land as a source for appropriating a certain share of the country's national income. Let us cite here a couple of excerpts from Marx that we require for our further exposition. In the third volume of *Capital* Marx wrote the following on the theme that concerns us:

Whatever the specific form of rent may be, what all its types have in common is the fact that the appropriation of rent is the economic form in which landed property is realized and that ground-rent in turn presupposes landed property, the ownership of particular bits of the globe by

certain individuals – whether the owner is a person representing the community, as in Asia, Egypt, etc.; whether this landed property is simply an accidental accompaniment of the property that certain persons have in the persons of the immediate producers, as in the systems of serfdom and slavery; whether it is pure private property that non-producers have in nature, a simple ownership title to land; or finally, whether it is a relationship to the land which, as with colonists and small peasant proprietors, appears as directly implied, given their isolated and not socially developed labour, in the appropriation and production of the products of particular bits of land by the direct producers.

This common character of the different forms of rent – as the economic realization of landed property, the legal fiction by virtue of which various individuals have exclusive possession of particular parts of the globe – leads people to overlook the distinctions.³²

Continuing to develop the same idea regarding the confusion of different forms of rent, in another chapter of the same volume of *Capital* Marx wrote:

The whole difficulty in analysing rent thus consisted in explaining the excess of agricultural profit over average profit; not surplus-value as such, but rather the extra surplus-value specific to this sphere of production; i.e. not even the 'net product', but rather the extra net product over and above the net product of other branches of industry. The average profit itself is a product, formed by a process of social life proceeding under quite particular historical relations of production, a product which, as we have seen, presupposes very elaborate mediations. If we are to speak of an excess over the average profit, this average profit must first be established as a measure and, as is the case in the capitalist mode of production, as the overall regulator of production. Thus in forms of society where it is not yet capital that performs this function of extracting all surplus labour and appropriating it for itself, at least in the first instance – i.e. where capital has not yet subsumed society's labour or has done so only sporadically, there can be no question at all of rent in the modern sense, of rent as an excess over and above the average profit, i.e. over and above the proportionate share of each individual capital in the total surplus-value that the total capital produces.³³

32 Marx 1981, p. 772.

33 Marx 1981, p. 918.

From these excerpts from Marx, as from his entire exposition of the theory of rent, it follows quite obviously that the category of capitalist land rent has very little applicability for an understanding of Soviet relations. We shall explain later what we have in mind when we say 'very little', but for now let us look at why it is incorrect to speak of rent in the Marxist sense in relation to our Soviet economy and also, in most cases, in relation to rent assessments in the cities.

We begin with the concept of absolute rent. The source of absolute rent is the portion of surplus value, created by wage-workers in capitalist agriculture, which is connected in terms of its origin with a lower organic composition of agricultural capital and does not participate in the process of equalisation of the overall profit rate in capitalist production. This part of the surplus value, as Marx put it, is 'appropriated' by the owners of land parcels, while the capitalist lessees are left only with the usual average profit on the capital that is invested in cultivation of the land. It is perfectly clear that, even apart from the fact of nationalisation of the land, absolute rent cannot exist where there is no capitalist agriculture, because in that case there are no relations of production and distribution under which absolute land rent can exist at all. From this point of view, and also for the purpose of correctly understanding the category of differential rent, the following excerpt from Marx's preliminary remarks for his analysis of land rent is very important:

As far as we are concerned, the farmer produces wheat, etc. just as the manufacturer produces yarn or machines. The assumption that the capitalist mode of production has taken control of agriculture implies also that it dominates all spheres of production and bourgeois society, so that its preconditions, such as the free competition of capitals, their transferability from one sphere of production to another, an equal level of average profit, etc. are also present in their full development.³⁴

It is quite obvious that in our country the preconditions that Marx spoke of scarcely exist, including the proviso that the capitalist mode of production prevail in 'all spheres of production'. This passage in Marx also fully applies to the category of differential rent, which Marx always understood as capitalist land rent. If the source of absolute rent is the extra surplus value of capitalist agriculture, then the source of differential rent, as of all excess profit in industry, is the general fund of surplus value of capitalist society as a whole; its *distribution* and the *titles* to it depend upon private property in land of *differing fertility*.

34 Marx 1981, p. 747.

This means that differential rent does not arise from the land, which Marx constantly reiterates, but from the common source of all surplus value. All that arises from the land is the right to a certain part of it for the owner of one or another plot of varying fertility.

The great temptation to apply the concept of differential rent to the prevailing form of agricultural production under the Soviet system comes from the fact of differing fertility of land parcels and the different distances that separate cultivated land from markets for the sale of agricultural products. But this difference, insofar as it is connected with a difference of fertility and geographical conditions, *does not depend on the system of production and distribution*, whereas the concept of capitalist land rent is connected precisely with *an historically determined and specific system of production*. To forget this fact is to commit the same error – of naturalising and reifying the production relations of the Soviet economic system and of vulgarising Marxism – that I mentioned at the beginning of this chapter. If the financial agents of Narkomfin take into consideration the different yields on individual peasant holdings, which are connected with differences in soil fertility, the differential in taxation, let us say, between two middle-peasant holdings that are identical in all other respects except for yields, is by no means a method of ‘appropriation’ of differential rent in the Marxist understanding of this category. If we were motivated in exactly this way when taxing the countryside and levying different tax rates on different groups of the peasantry, then any peasant who was economically literate and familiar with Marx could pick us to pieces and be perfectly correct. To justify the need for differential taxation of the countryside, we have absolutely no need, apart from the sphere of capitalist or semi-capitalist agriculture, to refer to Marx’s teaching on capitalist land rent. It is useful to re-read his warning about the possibility of an erroneous understanding and interpretation of his theory. As for the question of what we actually do tax in the form of the single agricultural tax, we shall return to that subject shortly.

Thus we can only speak of capitalist land rent in the Marxist sense to the extent that capitalist methods develop for working the land and capitalist renting of land parcels occurs for other reasons, i.e., by no means as the *prevailing* system of production relations in the agriculture of the USSR.

Let us examine more closely how matters stand with us in this area. In our country pure land concessions, such as the well-known Krupp concession in the Ukraine, belong to the capitalist type of land leasing. The concessionaire’s workers create surplus value, and the concessionaire can capture both the portion that we might provisionally regard as the source of absolute rent and also the portion that might provisionally be considered differential rent. Hence,

it is perfectly correct and economically possible for the state, in the form of taxes and royalties, to appropriate in turn the product captured by the concessionaire. The same applies to pure timber concessions. In cases of mixed agricultural and timber concessions, we have a state-capitalist³⁵ type of rent. It is also possible to speak of capitalist rent in terms of the assessment levied on the land where capitalist factories and mills are situated, where land is leased for private agriculture, etc. This must also include rent from state land that is let out to be worked by large-scale capitalist farms using wage labour. Finally, (and here we have lagged very badly) we have yet to introduce a rental levy on all the kulak farms that employ wage labour and on allotment land. It is true that these are not the farmer-capitalists mentioned by Marx, but in essence and in terms of the tendency of development, regardless of the very low economic level of kulak farming from the viewpoint of the capitalist form of working the land, what we are dealing with here is a group that can and must be subject to a special rental levy, either jointly with or separate from the general tax on income (it makes no difference which). While the state does not tax the peasant for the right to cultivate community land when there is no exploitation of the labour of others, to those who do exploit such labour this kind of taxation can be applied.

In all of the cases that we have listed, we have grounds for speaking of capitalist land rent from the viewpoint of its origin in the unpaid labour of workers. But the novelty of our relations of distribution in the sphere that we are considering consists of the fact that the subject, who is levying the rent, is neither a private landowner nor a capitalist state, but the socialist state. The resources from the rental levy flow into its state budget and indirectly into the fund of socialist accumulation. In this instance the rent is capitalist in origin and socialist in purpose. And that means we are dealing here with a completely unique relation of distribution that arises only after the socialist revolution and, as such, was not at all examined by Marx, who provided us only with an analysis of the classical relations of abstract, pure capitalism. With regard to the land taxation to which state enterprises are subjected either by the state or its local organs, it would be ridiculous here to speak of capitalist rent coming from developed parcels in Marx's sense. Just as we cannot speak of the 'profit' of GOMZa in the Marxist sense of the word, so we can even less speak in this instance of rent, even though in common parlance and for lack of an alternative it has not been considered necessary to replace it. What we have here

35 In the conditional sense of this term as Lenin used it.

is not rent but simply one of the forms of distributing state resources within the state's own sphere; it merely has the external appearance of the relations of capitalist society, copying the form and the term but in fact being one of the ways in which planned distribution is misrepresented. If you rearrange the corresponding entries in the local and state budget, as well as in the balance-sheets of the state-owned enterprises being assessed, then the entire rent, without the slightest change in the sphere either of production or distribution *between classes* (as distinct from departments of one and the same class) will disappear like smoke.

In conclusion, all that remains for us to deal with is the tax imposition on non-capitalist agriculture. Following everything that we have already said, it is perfectly obvious that the direct taxation of peasants who do not exploit wage labour, as well as the taxation of kulak incomes *insofar as they are created by the personal labour of the kulaks*, are not land rent in the Marxist understanding of the word but rather an alienation, to the benefit of the state, of part of the surplus product of small-scale production. This levy involves no difference in principle, for example, from the taxation of handicrafts and artisan industry. This levy is economically possible to the extent that such a surplus product exists. And this product increases in pace with the development of productive forces in the peasant economy. Poor- and weak-peasant holdings, which do not as a rule create a surplus product, are exempted from such a levy according to our taxation practice, and quite rightly so. This taxation is not only possible in economic terms but also necessary and expedient insofar as expenditures through the state's general budget must be covered by both peasants and workers. It is also necessary because a sufficiently rapid tempo of expanded reproduction in industry, and development of the railway network, canals, electrification etc., are also extremely necessary for the peasant economy, which, without support from a rapidly developing industry, cannot develop its productive forces within the limits of petty production and is still less able to advance to the higher stage of cooperation in production. The October Revolution and the socialisation of industry and transport have their logic. If we follow the path of restricting and eliminating the operation of the law of value, and if this law is not replaced quickly enough by the operation of the law of socialist accumulation, along with the inevitable alienation of a defined level of surplus product from the countryside, the normal economic development of the country and achievement of the necessary proportionality in the country's economy will be impossible.

The production relations in Soviet agriculture are extremely complex. It is enough just to point to the extremely peculiar relations of primitive exploitation, associated with the underdevelopment of purely capitalist relations,

that Comrade Kritsman portrays in his recently published book.³⁶ What we have said about rent does not in the slightest degree exhaust the analysis of all the capitalist types of relations in the Soviet countryside. We have said nothing about the 'rent' that a non-cultivating peasant receives for leasing his land to the kulak, thus realising and selling off his right to land that is guaranteed by the Soviet constitution. Nor have we examined the peculiar forms of 'hiring' that Comrade Kritsman considers in his book, whereby the person who formally hires is the one who is exploited while the one who is 'hired' is the exploiter. These and other relations of exploitation, for example, exploitation through usury; the many aspects of production relations connected with agrarian over-population in conditions where there is a scarcity of means of production; the revival of seasonal work; the combination of cottage industry production with agriculture – all of these, which are partly connected with land rent, we intend to examine not in the theoretical part of our work but in a special volume devoted to the concrete analysis of our industry and agriculture.

Likewise, in the final section of this chapter, which is devoted to interest and the credit system, we shall not go beyond the bounds of a most general theoretical analysis, leaving a more concrete analysis of factual material to the next volume.

8 Interest and the Credit System

A theoretical analysis of the category of interest in the Soviet economy presents no great difficulties; the part of the corresponding relations that involves interest in the proper sense merely reproduces phenomena that are old, have long been familiar, and have been studied to perfection by political economy, no matter whether it is a case of money used for trade that subsequently becomes an element of productive or merchant capital, or usurious interest in the sphere of the peasant economy. As far as interest in name only is concerned, interest as one of those imitations of capitalist forms that we have already dealt with in relation to other categories, there is little left to analyse here because the fictitiousness of this category is too obvious. From behind a pathetic curtain of capitalist form and bourgeois terminology and phraseology (to which, however, other 'experts' devote themselves with a most serious and important-looking countenance) the real body protrudes in all its nakedness. It is only more

36 Kritsman 1926.

complicated when the issue concerns the credit system and its tendencies of development and transformation.

The role of usurious interest in our petty production, above all in the peasant economy, was enormous before the war and revolution, and it is still very significant and continuously expanding at the present time. As a parasitic growth on small-scale production, usury is centuries old and has been sufficiently studied. Historically it has played a dual role: either preparing the material elements for socialisation of the labour of petty producers, from whom it sucked both surplus product and part of the minimal means of subsistence, or else merely sucking the juices, exhausting and devastating petty production with no influence on its transition to a higher type of labour organisation. Usury in our countryside played, and in the great majority of cases is still playing, the latter role. We shall not dwell here on certain specific features of our usury, postponing examination of that question for a concrete analysis of the whole economics of Soviet agriculture.

With regard to capitalist interest, Marx, as we know, defined it in the following way:

Interest ... originally appears, originally is, and remains in reality nothing but a part of the profit, i.e. the surplus-value, which the functioning capitalist, whether industrialist or merchant, must pay to the owner and lender of capital in so far as the capital he uses is not his own but borrowed. If he simply uses his own capital, there is no such division of the profit; it belongs to him completely.³⁷

The question is: To which area of the Soviet economy does Marx's definition apply? In the Soviet Union, the sphere of interest in the capitalist sense is found in the relations of buying and selling money-capital on the legal and illegal private money market. This means, firstly, private credit institutions such as mutual credit societies, and most of all and mainly – the illegal market for loan-capital, with its specific rules, a very high interest rate, hiding its transactions from the law, etc. The peculiar features of the private money market in the USSR are connected not with some new kind of interest – since this is an area where the relations of the state economy are not interwoven with the private economy – but with the fact that only a very small part of private capital in the USSR is industrial capital. It takes the form mainly of merchant and loan capital, with the relative role of loan capital increasing because, due to devel-

37 Marx 1981, p. 493.

opment of the network of state and cooperative capital and its transactions, the scope for applying private capital in trade is narrowing. It avoids industry owing to a number of reasons connected with the socialisation of large and medium-sized industry, taxation policy, legislation for the protection of labour, the recently implemented restrictions on the right of inheritance, the slower tempo of the turnover and accumulation of capital in industry and, finally, private capital's fear of transferring mobile money capital into the congealed form of industrial means of production, a form in which private capital is liable to much greater and better control and accounting from the direction of the state, which is hostile to it in class terms. This natural narrowing of the sphere for applying private capital keeps the relations of private credit in an under-developed capitalist form, which is reflected particularly in the usuriously high rate of interest.

A somewhat different situation, from a theoretical point of view, must be noted in the sphere of credit relations when private capital uses the credit of the State Bank and other such state institutions. Here the category of interest reflects the specific uniqueness of our economy as a sphere of the coexistence and interweaving of capitalist, state-capitalist and socialist relations of a transitional type. The scale of the legal³⁸ use of state monetary credit by private capital is extremely insignificant; the illegal use of state resources is probably greater. But this sort of credit, despite its extremely modest dimensions in practice, presents a certain theoretical interest. The essence and specificity of the interest [charged to private capital for use of state credits] lies in the fact that here surplus value from the private capitalist sphere is being pumped into the fund of primitive socialist accumulation. From the organisational side, we are dealing here with the sort of entanglement of two types of production relations to which the conventional Leninist term 'state capitalism' can most appropriately be applied. From the viewpoint of distribution, the state is participating in a division of surplus value, which, in material terms, often represents that portion of the state's own surplus product that, in other forms and by different routes, and first and foremost through the private trade apparatus, is 'captured' by private capital from the fund of socialist accumulation.

Exactly the opposite character attaches to interest that the state pays on its domestic (and foreign) loans insofar as those who subscribe to them are private merchants, industrialists and the petty bourgeoisie, i.e., the peasantry above

38 By illegal exploitation of state credit I refer to the use by middle-men, for the ends of private capital, of resources provided for state procurements, various machinations with commodities provided to the cooperatives, etc.

all. In this case, the interest represents a deduction from the state economy's surplus product that the state accepts in order to acquire from the private economy, on the basis of credit, additional resources for expanded reproduction. The state appears as borrower, with the private economy as the lender, exploiting for its own benefit a part of the surplus product being created by workers in the state economy. When the loan is undertaken to replenish the treasury's resources and goes to general state needs, the interest is paid not only by workers, from the surplus product of the state economy, but also by peasants as taxpayers. If the loan is fully or partially covered by the peasantry, and correspondingly goes fully or partially to raising the peasant economy, we will have a case of redistribution, through the state, of the private economy's resources for the same private economy, i.e., a case of credit, if one can put it this way, that is neutral from the point of view of any direct influence on socialist accumulation. This sort of credit may in future become very widespread in the USSR as a country that is still primarily agrarian.

With regard to the part of domestic loans that is covered by workers and employees of the state economy, and also the corresponding portion of interest that the state pays to them, this relation of distribution has nothing in common with the previous one from a principled theoretical viewpoint. The workers and employees set aside part of their wages and give it to the socialist accumulation fund, and they receive in return not interest but something in the nature of a bonus for curtailing personal consumption, which simultaneously means an increased opportunity for expanded reproduction involving the state economy and its workers. Here, we have essentially an *internal* redistribution of resources between the consumption fund and the reproduction fund within the single state sphere. As with inter-peasant redistribution through the state apparatus, this internal redistribution within the socialist sector can play a very important role in the future as wages increase. However, this system of internal credit and bonuses for saving must not be unreservedly included in the category of interest in the usual sense of the word.

Finally, in the subscription to internal state loans, and especially the loan for economic reconstruction, state enterprises also participate. To speak here of interest, in the sense of political economy, is just as senseless as it is to speak of rent, in the Marxist meaning of the term, when referring to the rent on land that state enterprises pay to local Soviets. This is simply redistribution within the state sector of new, uncommitted state resources. This is nothing more than an imitation of the *form* of capitalist relations, which will end when the state economy discovers new methods through experience and institutionalises them for the planned distribution of new resources that will correspond more closely to its whole internal structure.

It is similarly absurd to speak of interest in the capitalist sense when this 'category' is applied to a broader sphere in the Soviet system, i.e., to the sphere of extending credit to state industry, transport, and state trade by the state's own credit institutions. This is the most extensive sphere in which the production-distribution relations of the state economy are disguised in the garb of the capitalist category of interest.

Let us suppose that the state has some definite quantity of resources that it can use to increase the fixed and circulating capital of its trusts. Suppose that some trust, needing these resources, acquires the corresponding credit at the State Bank or Prombank.³⁹ It pays 'interest' on the capital lent to it. What is the source from which it pays this interest? It is surplus product. To whom does this surplus product belong? To the socialist state. Where do all the sums of money go that are received from the interest on the capital lent to state trusts? To the same state. It is perfectly clear that here we have a completely different relation by comparison with capitalism, where one stratum of the capitalist class, namely the entrepreneurs who are not working with their own but rather with borrowed capital, relinquish a part of their surplus value to the owners of loan capital in the form of interest, the scale of which is furthermore determined, among other factors, on the basis of the spontaneous play of the demand and supply for loan capital. Conversely, our socialist state, if we compare it in similar circumstances to capitalist relations, is in the position of an entrepreneur who works with his own capital and pays no interest to himself, although he may soothe his book-keeping conscience by attributing some interest to himself in his ledger.

If we were to introduce into our practice, say, a formally different procedure of crediting state industry, i.e., if we distributed all credit resources according to a definite plan from a single centre and its departments, and if we concentrated in that centre and its departments all of our current fund for lending plus the whole of the newly created surplus product for each year, coming from all the state enterprises without exception, then the interest would happily disappear without any essential change of production relations within the state sphere. Even now, with a rather unorganised distribution of credits, we essentially take into consideration the needs of all branches, their own surplus product that is being added to the capital already functioning, the necessary new construction, etc. I do not know how efficient is the existing system of extending credits, which often reflects the balance of forces between departments. But even in its imperfect form, with its possibly unnecessary copying of the forms of capitalist

39 [The Bank of Industry.]

banking, in everything that involves relations within the state it essentially represents a variant of the planned distribution of the state economy's resources.

Following everything that has been said thus far, little remains for me to mention concerning our credit organisation from the viewpoint of its role in the whole system of commodity-socialist relations of production and distribution, especially since the role of the state's credit organisation in the area of primitive socialist accumulation was already sufficiently discussed in the chapter on socialist accumulation.

As we know, on the one hand Marx pointed out the important role that the credit system of bourgeois society can play in the matter of *transition* to a new mode of production; on the other hand, he also warned against any exaggeration of the importance for socialist production of the system of accounting and control that capitalist society attained thanks to its credit organisation.⁴⁰

It is no accident, of course, that we have incorporated into our system, not just in the area of the state economy's entanglement with the private economy but also in the distribution of resources within the state sector, the methods and forms of capitalism's credit organisation. However, it is perfectly obvious that if the forms of extending credits within the sphere of state relations are entirely filled with a new content, that is the result precisely of an historically higher type of state economy, an economy that is first of all collective and secondly planned. Planning, accounting and control, which flow organically from socialisation of the instruments of production in the most important parts of the Soviet economy, are by their very essence *a higher type of planning and accounting by comparison with those that the most complete and most centralised capitalist credit system can attain*. This explains the quite obvious fact that during recent years the growth of elements of planning and organisation in our economy, if one may put it this way, has completely exhausted the whole progressive content that may be found in capitalism's banking system, and the state economy has had to move beyond the comparatively limited opportunit-

40 '... [T]here can be no doubt that the credit system will serve as a powerful lever in the course of transition from the capitalist mode of production to the mode of production of associated labour; however, only as one element in connection with other large-scale organic revolutions in the mode of production itself. On the other hand, illusions about the miraculous power of the credit and banking system, in the socialist sense, arise from complete ignorance about the capitalist mode of production and about the credit system as one of its forms. As soon as the means of production cease to be transformed into capital (which also means the abolition of private property in land), credit as such no longer has any meaning, something incidentally that even the Saint-Simonians have realized' (Marx 1981, p. 743).

ies that this institution can generally provide for exactly the leading part of our economy, i.e., the collective economy of the proletariat.

It is a different matter in the area of the state economy's relations with the private economy. The hopelessness of the system of requisitions and the 'planned' supply of industrial products to the countryside during War Communism (according to the principle that those who provided the most to the state, in the way of surpluses, received the least or even nothing from the state) lay in the fact that we were compelled, in wartime conditions, to impose a semblance of socialist *distribution* on a peasant economy that remained petty-bourgeois in the sphere of *production*. With the present commodity-socialist system, to the contrary, it is the state economy that has to adapt its own system of exchange (internally in a formal way, but outwardly in fact) to that of the private economy, which can only be a commodity-money system of distribution. And in this area the credit system must play a *tremendously progressive role*, because capitalism's banking system is historically a far higher way of organising control, accounting and the distribution of productive forces than the unorganised and almost mediaeval market of simple commodity production, which is all that simple commodity economy can achieve in the way of spontaneous economic regulation 'without outside help'. When Lenin frequently and insistently emphasised the progressive character of state-capitalist relations of production and exchange, compared to relations of simple commodity production in the peasant economy, he always had in mind this aspect of the relation between the state and private economy, and thus the corresponding relations by way of credit. This 'uplifting' role of our credit system is also expressed, and must increasingly be expressed, in the area of extending credits to different sorts of peasant cooperatives, including credit cooperatives and commodity credit, land-improvement credits, the system of internal loans placed in the countryside, and advances to producers (presently this applies only to flax, cotton, tobacco and butter producers, but in future it will no doubt include those producing grain for the market, and so forth).

In conclusion, it must be said that while money is the category of commodity economy in which the reification of production relations between people reaches its apogee, in the Soviet economy a certain degree of progress can also be noted here, above all in decreasing the element of reification and achieving more transparency in production relations. This has been accomplished within the state sector more than anywhere else, as monetary relations are acquiring the character mainly of calculating and accounting for the means of production and consumption while they wither away in their role as one of the instruments for reaching spontaneous equilibrium in production.

Money fetishism, however, which is gradually being driven from the state economic sphere, still prevails in the private economy and in the connections between the state and the private economy. In the area of ideology, this leads to a situation in which workers at the People's Commissariat of Finance – the commissariat that sits at the junction of the private and state economy – are inclined to resurrect this fetishism in a quite peculiar, not to say degenerate form. In a country that does not have gold convertibility and is compelled in the sphere of economic management to replace the spontaneous wisdom of gold, as the instrument of regulation under the law of value, with a planned policy of distributing means of production and consumption through the use of paper currency, they systematically appeal to the golden wisdom of the black market and, in the event of a deviation of the paper chervonets from the ten-rouble gold coin, they collapse in panic and make unnecessary interventions with gold that involve losses to the state and permit Nepmen to convert their paper chervontsy into gold. This most profound error in financial policy results from a thorough misunderstanding of the role of gold in our economic system, an error that follows in turn from misunderstanding the role of gold in general.

During a period of industrial crisis that becomes or is accompanied by a financial and credit crisis, a bourgeois country, with *circulating gold*, sacrifices the value of tens of millions in commodities to gold. All transactions begin to be conducted in cash, with gold thereby playing the role of *ultima ratio*, or the final court of appeal, for determining how appropriate the proportions are both in the distribution of production forces between branches and in the relation between total production and effective demand. This is the spontaneous way of preserving the circulation of gold in a society that has no other way to regulate economic relations. But to preserve black-market parity between the paper chervonets and the gold ten-rouble note, in a country where *there is no gold circulation* but *there are* other methods for regulating economic relations, currency relations in particular, amounts to an uncritical imitation of the most irrational and costly aspects of capitalist regulation in general. Given the organisation of the state economy that we have already accomplished, with the concentration of nearly the entire credit system in the state's hands, and especially with preservation of the foreign trade monopoly, the only need that we have for gold is in balancing accounts with other countries if imports exceed exports – not for finding evidence in the black market of the trustworthiness of our chervonets. On this question I turn to Marx for support and will cite a passage from the third volume of *Capital* that is remarkable in its own right and could have been written especially for us. Here it is.

A devaluation of credit money (not to speak of a complete loss of its monetary character, which is in any case purely imaginary) would destroy all the existing relationships. The value of commodities is thus sacrificed in order to ensure the fantastic and autonomous existence of this value in money. In any event, a money value is only guaranteed as long as money itself is guaranteed. This is why many millions' worth of commodities have to be sacrificed for a few millions in money. This is unavoidable in capitalist production, and forms one of its particular charms. In former modes of production, this does not happen, because given the narrow basis on which these move, neither credit nor credit money is able to develop. As long as the social character of labour appears as the monetary existence of the commodity and hence as a thing outside actual production, monetary crises, independent of real crises or as an intensification of them, are unavoidable. It is evident on the other hand that, as long as a bank's credit is not undermined, it can alleviate the panic in such cases by increasing its credit money, whereas it increases this panic by contracting credit. The entire history of modern industry shows that metal would be required only to settle international trade and its temporary imbalances, if production at home were organized. The suspension of cash payments by the so-called national banks, which is resorted to as the sole expedient in all extreme cases, shows that even now no metal money is needed at home.⁴¹

I highly recommend this quotation to our financial specialists. Unfortunately, lack of space prevents me from developing here all of my own views on the role of paper money and gold in the Soviet economic system. That is a subject to which I shall have to return not in the general theoretical but rather in the concrete section of this work.

9 Cooperation

On the question of cooperation in the Soviet system of economy, the fundamental issues have already been discussed by Lenin both in his final articles on this theme and earlier. In this section I shall say only a few words on cooperation in connection with my previous comments.

The relations that develop through cooperation do not represent any unique category in the capitalist system of production and exchange. Cooperation in

⁴¹ Marx 1981, p. 649.

production involves small islands not of social but rather of collective-group property in the instruments of production – islands that are subordinated in the sphere of production to the basic laws of capitalist economics and only exist in the sea of capitalist relations insofar as they are so subordinated. Wherever cooperative production cannot adapt to the law of value, it perishes. The same must also be said of consumers' cooperatives, which are much more widespread and important. This type of cooperation, whether it is based on the Rochdale principles⁴² or some others, is likewise subordinated to all the laws of capitalist exchange and is only able, through a certain rationalisation of distribution, to capture a portion of commercial profit for its members.

Cooperation only acquires special importance after the socialist revolution, and particularly in a country such as the USSR, where the organised state economy – or more accurately, the state economy that is organising more and more on the basis of a production plan – confronts a vast sea of dispersed petty production, handicrafts and artisan industry in the countryside. The unique role of our cooperatives results directly from the coexistence of these two systems of production, which are joined together in a single economic organism through exchange and credit. The fundamental question that has to be considered here involves the role of cooperation in the struggle of the planning principle with the law of value, and the degree to which cooperatives are themselves either a passive battleground in this struggle within a defined sphere of exchange and production or a vehicle for one principle or the other.

Under capitalism, as we have said, cooperation can only exist by adapting to the law of value. In our system, it inevitably becomes an arena of struggle between the two fundamental laws of our economy and must adapt to the one that is winning, and only secondarily to the one that is closer to it in terms of the type of social organisation of labour involved.

Let us begin with the first point. Since cooperation has managed to survive in the capitalist system without posing any threat to its existence, this fact makes it perfectly clear that in itself it involves no active principle of transforming production relations in the direction of socialisation. The utopians of cooperation claimed otherwise, but they were beaten by capitalist practice and by cooperation itself. Cooperation can only play a socialist role insofar as it becomes one link in a system that is developing towards socialism *on the basis of its own inherent forces and tendencies*. The state economy of the proletariat is such a system, relying in its development upon the growth of socialised

42 [The Rochdale Society of Equitable Pioneers was formed in 1844 by workers in the textile trades who organised a cooperative store for the purchase of consumer goods.]

production. Due to its own immanent laws of development and to external circumstances, the collective economy of the proletariat must develop quickly or perish. There is no other option. To the extent that the state economic system develops quickly, cooperation, while not part of that system, can at least become a kind of less stable, less connected and less organised *extension* of it (like the tail behind the nucleus of a comet), sending out tentacles into the pores of exchange between small-scale production and the state economy and, in some cases, initiating small-scale cooperation in production.

As far as the second point is concerned, we have to take note of the following. The expanding operation of the law of primitive socialist accumulation, in which the tendencies of movement towards socialism are presently concentrated, means the strengthening of a definite type of labour organisation – collective organisation. Any strengthening of the law of value's operation reflects and at the same time facilitates tendencies towards a different labour organisation, a private capitalist one. As a type of social organisation, cooperation is closer to the collective type of labour organisation. In this sense, its coalescence with the state economy is a more natural process in Soviet conditions than its orientation towards private capital. However, that is not the decisive point, as we have already mentioned. If the development of socialist relations, which are based in industry, were to halt or markedly decelerate in our economy, and if capitalist relations were to begin growing more rapidly, then despite its social structure cooperation would either slowly break up or by and large abandon its role as rear-guard of the state economy in order to move in the direction of capitalism. After all, it must not be forgotten that with the exception of workers' cooperatives, which essentially only rationalise the system of distribution *within the state sector* and thus represent another branch of distribution, all the other cooperatives rely upon petty-commodity production. This petty production in bourgeois society is at best neutral towards socialism, while it organically exudes capitalist relations and robustly continues to do so under the dictatorship of the proletariat.

Experience has shown that consumer cooperatives can play and are playing an important role in establishing a direct link between petty producers and state industry. Insofar as state industry implements a policy of planned prices for its commodities and fixed prices for those it procures from small producers, and insofar, consequently, as it imposes a certain limitation on the operation of the law of value, the network of consumer cooperatives contributes to this limitation. On the other hand, however, experience has shown that they are much weaker than state organs in resisting the pressure of the law of value. Despite an agreement with state organs, in retail trade they exceed the limits on mark-ups over wholesale prices. They resell to private capital commodities that they

acquired on a 'most-favoured' basis and even on the basis of credit. Their purchasing operations often deviate from the fixed prices, etc. In all of these cases and many others, the law of value overpowers the planning tendencies of the state economy.

Cooperation of small-scale producers in the sphere of exchange meets with no serious obstacles under the dictatorship of the proletariat. Just the opposite is true if we recall the privileges that the Soviet state extends to cooperatives, which would not be possible with any other regime. Association occurs quite smoothly here – not just because of such privileges but also because it has yet to affect the sphere of production, which remains the petty and fragmented commodity economy. The small producer has every basis for supporting a trade apparatus that sells more cheaply. And when cooperatives and private trade sell at identical prices, he can choose on the basis of quality, credit terms, etc. It must never be forgotten, however, that consumer cooperatives, for example, are not state organisations and still less social organisations in terms of the sum of share capital contributed by the members, or the organised and systematic control of these members over the activity of management. A consumer society, in most cases, is more like a shop without a strong proprietor than a stable organisation of people who control the shop themselves. It is easier to build a network of shops than a network of social organisations.⁴³

But even ideal small-scale co-operation in the sphere of exchange does not solve the problem of cooperation in the sphere of production. Cooperation in exchange only begins to approach this fundamental problem.

We have already said more than once that the struggle of the law of primitive socialist accumulation with the law of value means a struggle for dominance between two different types of organisation of human labour – collective and private-capitalist. If we weigh up the struggle of these two types of labour organisation only on the territory of agricultural production, placing our communes (although they are still very primitive forms of collective labour) together with the state farms on one side of the scale, and kulak operations on the other, then we must note the following. Until recently the state farms have *been losing* acreage to the benefit of petty production; the communes and artels have been expanding slowly; and the acreage of kulak and semi-kulak farms has grown more rapidly.⁴⁴ The reason for this is that the kulak economy, which

43 In his article 'On Co-operation' Lenin wrote that by assistance to cooperative trade '... we must mean aid ... in which *really large masses of the population actually take part* Strictly speaking, when a cooperator goes to a village and opens a cooperative store, the people take no part in this whatever' [Lenin 1964, p. 469.]

44 I am not speaking here, of course, about the balance on the scale of the entire economy. In

grows organically out of fragmented petty-commodity production, has up till now provided greater opportunities for the organisation of agricultural labour along capitalist or semi-capitalist lines than the state economy has provided for its own type of organisation. This relation cannot change on the basis of some socialist miracles on the terrain of petty rural production, taken in isolation, but only through a more pervasive influence of large-scale urban industry on peasant farming. As to the forms in which this will concretely occur, for now we can only speak in the most general terms.

Take, for instance, tractorisation of agriculture. When the tractor is acquired by society as a whole, it will expedite the transition to social cultivation of the land throughout the entire countryside. The delivery of state tractors on a mass scale to the rural poor, on the basis of leasing or some other method, and cultivation of independent producers' land by poor-peasant tractor drivers, can signify the beginning of *mechanisation of the functions of ploughing and threshing and their separation from farming*, i.e., a separation from petty production of the operations that are most accessible to socialisation. Electrification will mean a separate source of motive power for part of the agricultural work, with production of this power being concentrated in the state's large-scale electrical stations. Certain functions of agriculture are being cooperatively organised under pressure from the cooperation *already* accomplished in the area of exchange, and particularly in sales, as in the case in butter cooperatives.

When Lenin, in his article 'On Cooperation', spoke of how cooperative enterprises, under our system, are no different from socialist enterprises, he had in view not cooperation in *exchange*, relying upon the small-scale commodity economy in *production*, but cooperation in production, which is an *extension* of the state-planned economy. He wrote:

Under our present system, cooperative enterprises differ from private capitalist enterprises because they are collective enterprises, but do not differ from socialist enterprises if the land on which they are situated and means of production belong to the state, i.e., the working-class.⁴⁵

Lenin's thinking here is perfectly clear. Cooperation, centred on means of production that belong to the state, is the organisation of labour that is typical of

that context, the state economy is winning; during each successive year it gathers around its machines, in cooperation, far more of the ruined poor peasants than are involved on the territory of its own farming activity, and we must expect that in this manner alone it will involve more territory in cooperation than the kulak holdings do.

socialism. Historically and in class terms it is the opposite of the cooperation of workers centred on machines that belong to the class of capitalists. But this means that the transition to socialism is completed in the sphere of cooperative *production*, for which cooperative exchange merely clears the way. Yet it is precisely in the sphere of such cooperation among small producers that our successes remain minimal and the *forms* of the process (although not the general direction) are still quite unclear. Only one thing is clear: the whole issue depends upon maximum speed in the development of industry, which is the transformative centre of the entire economy and the sole active principle of *socialist* cooperation.

As for the city's influence upon the village through credit, here we must note the following. With a systematic goods famine, which means a famine of new capital for developing industry, credit cannot assume wide dimensions. It will acquire major significance only with the accumulation of commodity supplies in industry, first and foremost in heavy industry, because rural cooperation in production can receive the greatest impetus only from the sphere of production of means of production for the peasant economy.

E.A. Preobrazhensky, Novaya Ekonomika,
2nd edition, pp. 164–248.

Preface to the Second Edition^{1,2}

The first edition of the first part of *The New Economics* sold out within a few weeks. The author cannot complain, therefore, of the reading public paying too little attention to his work. Still less can he complain of silence on the part of his numerous opponents. Over a period of two to three months the book has been subjected to attack no fewer than ten times by critics who range from the most incompetent, who will be discussed in the appendix,³ to the most learned, among them comrade Bukharin, whose objections I shall focus on in this foreword.

In his articles entitled 'A Contribution to the Question of the Economic Laws of the Transition Period', which were published as feuillets in Numbers 148, 150 and 153 of 'Pravda' [1, 3 and 7 July, 1926], comrade Bukharin attempts to provide a systematic criticism of the basic positions taken in this book while at the same time here and there setting out in positive form his own view on certain points that he managed to understand. Generally speaking, I would have preferred a different method of dividing the labour between us; namely, that comrade Bukharin provide a positive exposition of his own point of view concerning the laws of development in the Soviet economy so that I would be left only to criticise whatever I considered to be mistaken in his scheme. That would have better suited his theoretical 'stature'. But if it cannot be otherwise,

1 See Preobrazhensky 1926.

2 Comment from the editorial board of the Communist Academy:

Publishing the second edition of comrade Preobrazhensky's *The New Economics*, the editorial board of the Communist Academy considers it necessary to point out that *this work presents views that the editors do not share* and that have been used as theoretical justification of their position by groups of comrades who are at odds with our party. But the problems of the transition period, which are attracting heightened interest from both the theoretical and practical side, call for a many-sided analysis. In the sphere of theoretical analysis, naturally, various tendencies of our Soviet and Party activity are reflected, including tendencies of a deviationist character.

Comrade Preobrazhensky's book has been assessed in articles by several comrades, including comrades Bukharin, Gol'denberg and others. The problems analysed in this book were also the subject of a special discussion in the Communist Academy, and we shall more than once have to return to them in the pages of the 'Vestnik Kommunisticheskoi Akademii'. For that reason the editors, while not sharing comrade Preobrazhensky's views, still consider it possible to publish his work in the interests of a comprehensive analysis of the important problems posed by the economics of the transition period.

3 [The reference is to the appendix to *The New Economics*, in which Preobrazhensky replies to his opponents, including Bukharin, Motylev, Thalheimer, Ksenofontov, Kviring, Bogolepov, Astrov, Gol'denberg, and Nagiev (in this edition see Part 2, Appendix 2).]

if nowadays comrade Bukharin can only develop his own point of view in a polemic with others, leaving it to them to carry the entire risk of posing and resolving new problems, then there is nothing to be done about it: one has to accept what one is given.

Comrade Bukharin has not yet finished with his feuilletons. But since there is no knowing when they will be completed – while the thoughts that they express, the polemical attacks and the simply incorrect interpretations of my work have circulated widely among the reading public – I consider myself justified in answering a still unfinished criticism. My answer is not final and will continue when Bukharin's criticism resumes.

Comrade Bukharin begins his criticism with ironic remarks concerning the 'professorial self-importance' that he noticed in my work, and he recalls that Lenin gave us 'what we deserved' for such 'erudition'. Without nourishing any inclination to self-importance, I must say that I, like every Marxist, have struggled and will continue to struggle for a Marxist distinction between economic science and a conjunctural view of our economy, regardless of whether others consider such a struggle against vulgar economics to be immodest. It has long been commonplace for Marx and Marxists to be accused of scientific arrogance, and we have always reacted with complete indifference.

As for Lenin's dislike of 'erudition', comrade Bukharin's own quotation marks clearly indicate just what sort of erudition was at issue. Lenin had no love for imaginary erudition, but he responded most attentively to any novel and serious investigation, regardless of what form it took. Comrade Lenin's modesty as a theorist, something we must all emulate, has nothing to do with the struggle against vulgar thinking. At the same time, while he was the utmost democrat in relation to science, he also had no love for excessively erudite terminology, which he regarded as empty ornamentation that makes it difficult for workers to understand what we are writing about *if we can say essentially the same thing more simply*. But he would gladly have forgiven the author of *The Political Economy of Rent*, *World Economy and Imperialism*, and *The Economics of the Transition Period* for everything that displeased him in those works, and even for the serious points with which he disagreed, had he foreseen that comrade Bukharin would interpret his [Lenin's] critical comments as an exhortation to turn from those outstanding works, by way of deceitful articles against 'Trotskyism', to the grey emptiness and banality of his book on Kautsky.

Having made these necessary remarks, I shall now move directly to the substance of the dispute.

1 The Basis and Superstructure in Soviet Society

The most characteristic feature of comrade Bukharin's entire criticism is that, on a number of important questions posed in my book, he has no position of his own if we speak in terms of his views having any positive content. This barren character of his criticism is so glaring precisely because throughout the polemic my opponent had to preserve an appearance of superiority over me in order to convince the reader that I simplify the most complicated problems and that he, Bukharin, has thought them through to the end in all their difficulty. As a result, following the criticism of my position, the reader is avidly waiting for comrade Bukharin's presentation of his own point of view in positive form in order that he [the reader] might find comfort there for his theoretical conscience. But – alas! – in comrade Bukharin's work [the reader] either comes to a full stop when the presentation should just be beginning, or else he hears all of the commonplace ideas that he knows from elementary textbooks on Marxism. In the smoke of his polemical fire, comrade Bukharin hides his complete failure to understand the laws of the Soviet economy's development. In this respect he clearly under-estimates his cultivated reader, who has matured considerably in recent years and will not be taken in by tattered phrases about a 'revision of Leninism' if the critic himself has nothing to offer.

All of this fully applies to the first question with which comrade Bukharin launches his attack, i.e., the question of method in investigating the lawfulness of the Soviet economy. As the reader will perhaps recall, I assert in my book that for a scientific analysis of the Soviet economy it is necessary, at some point in the investigation, to abstract from the policy of the Soviet state and from its concrete economic policy and to concentrate on an analysis of tendencies in their pure form – the tendencies of development of the state economy on the one hand and of the private economy on the other. To explain the state's economic policy in terms of economic policy is completely meaningless; in logic it is called *idem per idem*,⁴ or explaining something by itself. Such a 'study' can provide nothing beyond a description of external facts. But since with us the organs of the state, as a political organisation, are merged with the organs that direct the state economy, and since factors of a purely political nature also influence the state's economic policy, together with the economic necessity resulting from development of the state economy and the private economy, it follows that in order to separate the action of each of these factors it is necessary to begin with the most important, i.e., with the economics of the state economy and of the private economy, viewed in terms of their basic tendencies of development, and then to analyse the operation of conjunctural factors, particularly the conjunctural resist-

4 [An illustration that adds nothing to the original question.]

ance of the private economy to development of the state economy, as well as the operation of purely political factors.

What does comrade Bukharin propose in opposition to this methodological approach?

In the first place, he quite mistakenly thinks that I am proposing to abstract either from the state's economic policy or from politics in general. What I propose is to abstract temporarily from both of them. As far as politics is concerned, comrade Bukharin appears to agree, but not with regard to economic policy. This merely demonstrates that he has not sufficiently thought through the whole problem and that his objection against me is that of an eclectic. I invite the reader to imagine, for example, that for political reasons we conclude a trade agreement that is not beneficial to our economy, an agreement that we would not have concluded apart from these reasons; or imagine that political considerations lead us to reduce taxes on petty production, even though economic considerations dictate to us not reduced but rather increased taxation. In such cases the acts of the Soviet government, rendered necessary by the political situation, are acts of economic policy and have long-term economic consequences. How is it possible in such cases to abstract from politics without also abstracting from that part of economic policy into which pure politics intrudes? The norms of 'pure' politics are transformed into norms of economic policy. If comrade Bukharin agrees that it is possible to abstract from politics, he is thereby also compelled to agree on the possibility of abstracting from the corresponding parts of economic policy. But ... a claw gets caught and the whole bird perishes.

This logical inconsistency on comrade Bukharin's part becomes perfectly evident if we focus on his first argument against my methodological approach.

On the one hand he writes:

Indeed, let us pose for ourselves this sort of question: *what is it* that expresses growth of a rational principle at the expense of the irrational? The answer will be quite unambiguous: the growth of planning. What is the basis of this planning? The answer here is also obvious: growth of the state-socialist elements of the economy, growth of their influence and their relative weight. Finally, what expresses this process from the viewpoint of the special features of the *lawfulness* of the transition period? It is the fact that spontaneous regulators are replaced by conscious ones, i.e., by the *economic policy* of the proletarian state (which loses its class character after a certain period, i.e., negates itself and ceases to be a state).

To abstract from the economic policy of the proletarian state means to take the laws of the transition period apart from their historical characteristics, *apart* from the growing over of the 'spontaneous' into the 'conscious', i.e., to do exactly what comrade Preobrazhensky quite properly protests against.⁵

5 *Pravda*, No. 148.

But, on the other hand, comrade Bukharin finishes with this question by declaring:

It follows from our analysis that it is *absurd* to abstract from *the economic policy* of the proletarian state authority, for that would mean abstracting from the planning principle. But it is perfectly admissible at a certain stage of analysis to abstract from the specifically political influences arising from *purely political-conjunctural fluctuations*.

It turns out that it is not permissible to abstract from economic policy because that would mean taking the laws of the transition period '*apart* from the growing over of the "spontaneous" into the "conscious"; but it is permissible to abstract from politics, which grows over into the norms of economic policy, even though the state *quite consciously* takes one decision or another based upon political considerations. In this case consciousness, according to Bukharin, does not stand in the way of abstraction. This miserable confusion on the fundamental methodological question, throughout one and the same article, demonstrates with total clarity either that my critic does not attach any serious significance to his first argument or else that he feared to draw from it the logical conclusions, which, as we shall see below, inevitably lead, after the socialist revolution, to exempting the entire area of social phenomena from the sphere of historical-materialist investigation. But let us consider this whole argument from another point of view. Suppose that the Soviet state outlines in a fully conscious way a whole system of measures in the area of economic policy. The question is: Are the actual decisions concerning implementation of these measures, and their implementation in practice, causally conditioned? My critic answers this question in the affirmative, regards the opposing view as 'cheap idealism', and generally does not consider it worthwhile to spend time on this perfectly clear problem.

But if the consciously implemented economic policy of the state is causally conditioned, the question now arises: What is it conditioned by, and what is the easiest and truest way, in methodological terms, to identify this conditioning? Is it not necessary for us here, too, in order to remain consistent with Marxism, first to distinguish the influence of purely political factors on this economic policy from the economic ones, and then, within the sphere of economics, [to specify] the influence of other economic forms on the state economy?

On the matter of separating politics from economics at a certain stage of the investigation, my opponent agrees. Here, the conscious character of the economic policy implemented by the Soviet state does not prevent abstracting from purely political influences on economic activity. But why does this 'consciousness' not permit us to distinguish the influence of non-socialist forms of production on the development of the state economy of the proletariat? Comrade Bukharin has said nothing coherent in terms of proving such impossibility, and we are confident that he will never undertake

to do so because he has sucked the whole argument out of his own finger. Likewise, he has not provided nor will he provide any concrete example of the impossibility of the sort of abstraction we are considering. We, on the contrary, can provide any number of concrete examples to prove that the method we are recommending for analysis of the regularities of the Soviet economy is both completely feasible and the most appropriate one.

Let us examine, for instance, the economic policy of the Soviet state regarding the central problem – drafting and implementing in real life a general economic plan for a particular concrete year. Suppose that a certain level of wages, a certain volume of exchange with the private economy, a specific scale of accumulation, and definite requirements of proportionality in the distribution of productive forces between branches ensure the possibility of expanding state production up to a maximum of 25 %. This is the optimum of expanded socialist reproduction and, at the same time, the normative goal of state economic activity for the year in question. But then, due to political considerations, the state must reduce taxation of the country's petty production by, let us say, 150,000,000 roubles, which lowers the level of accumulation. And this reduction of accumulation reduces the potential for expansion of industry, we shall say, by 3 %. Suppose that this is the total deduction that 'politics' makes from the optimal expansion of the state economy. But the economics of the private economy also involve deductions. Suppose it turns out that the peasants withhold sale of 200,000,000 poods of grain, which were counted upon as an export fund, because they prefer to wait for better prices. As a result, our exports fall short of the projected potential by 200,000,000⁶ roubles, and imports are reduced by a corresponding amount, with the consequence that we have fewer imports of machines, cotton, wool, rubber etc. Due to opposition from the 'peasants' plan', the development of state industry is cut back, say, by a further 5 %. The total result is that instead of industry expanding by 25 % compared to the previous year – an expansion that with favourable conditions is fully possible economically – we have an increase of production by just 17 % due firstly to political causes and secondly to the pressure we experience from the private economy.

All of this can be taken into account from the outset in devising the plan, or else it can show up when implementing the maximum plan of development. None of this changes the essence of the matter in the least. In practice we usually observe both things happening together in our country, i.e., both allowance in advance for resistance from the private economy and its influence on the state economy – which finds expression in a plan for development of the state economy that is scaled back from the optimum, and also corrections that are introduced by the private economy and made on the run in implementing one plan or another. However, both in the case when the consequences

6 [There is an error in the text, which speaks of imports contracting by 250 million roubles.]

of resistance from the private economy and its tendency of development are foreseen in advance, and also in the case when the resistance is revealed *post festum*, surfacing spontaneously – in both cases they function as objective forces whose influence we can most easily take into account if we begin the analysis with a study of the optimum development of the state economy.

Needless to say, the analysis of optimum tendencies fundamentally presupposes, as its basis, all the main features of the Soviet economy. To attribute to me such stupidity that I abstract from the working class as subject of the state's economic policy, that I abstract from the peasant character of the country, that I abstract from the economic apparatuses of the state and so forth, is only possible given a complete poverty of any real arguments or a destitution that, in the case of my opponents, is connected with the absence of any considered point of view of their own concerning the laws of development of the Soviet economy and all of the problems that I formulate in positive form in my book. The method of analysis of the Soviet economy, which I have suggested and actually applied in concrete studies, has its difficulties. But not one of my opponents, including comrade Bukharin, has any idea of these real difficulties or mentions a word about them because not one of my critics, apparently, has even thought about all of these questions in a concrete study of the laws of our development.⁷

Next, I must note a number of completely inadmissible distortions of my point of view by my critic. My work is devoted not to an analysis of the commodity-socialist system *in general* (although it does have some elements of general theory), nor even to a theory of *the Soviet economy in general*, but rather to the theory of the economy of the USSR during the period when the law of primitive socialist accumulation is operating. And this means that the investigation, however abstract it may be in its general part, can never abstract from the existence of the Soviet authority and its organs, from the role of the proletariat as subject of the economy, from the existence of petty production and its tendency of development, or from replacement, within certain limits, of the spontaneous method of regulation by a planned policy, along with all of the particular features that result from the latter fact. I only mention the need to abstract every time, at a certain stage of the investigation, from the concrete economic policy of the Soviet state, insofar as it can never be adequate to the tendencies of development of the state economy, taken in their pure form, which are pushing the Soviet state towards the optimum of expanded socialist production. But this is an abstraction *from* the resultant of various factors; in order to explain this resultant, comrade Bukharin misrepresents it as abstraction from the structural foundations of the system and from its organisational forms. He writes: 'The economic organs of the state apparatus are the essential summit of our specific base. To look aside and abstract from them means abstracting

7 This will be discussed concretely in the second volume of this work [In this edition see Volume III].

from the fundamental character of the “new economics”’. The reader will see what the focus of my theoretically impoverished critic is. I speak of the concrete policy of the Soviet state, from which it is necessary to abstract at a certain stage of the investigation in order to clarify it, but comrade Bukharin has me abstracting from the foundations of the system itself. Everyone understands that an economic policy, implemented by a given system, is something completely different from the system itself. The system remains, with all of its structural peculiarities and all the basic lines of development of its inherent tendencies, while the policy can change; and it concretely does so every year in certain respects insofar as it is a matter of arithmetical sums. Thus, comrade Bukharin ascribed an absurdity to me and then labours ‘by the sweat of his brow’ to refute it. It is perfectly obvious that people do not engage in such operations in a polemic because they have an excess of new ideas in their own heads.

All of comrade Bukharin’s objections generally consist of three elements: 1) Repetition of a few common truths about ‘social laws changing their historical skin’ and so forth, i.e., general truths that in the present case have no relation to the issue and, by their proximity to quite trivial objections, must apparently give some substance to the latter. (‘A wild flower finds itself in the same bouquet as a carnation!’) 2) Statements of the kind just mentioned. The attentive reader, who compares my book to comrade Bukharin’s criticism, will discover all of these substitutions for himself, and this allows me to address more interesting matters on the pages of this preface than a boring ‘criminal investigation’. 3) References to the fact that when analysing bourgeois economics we deal with a state superstructure that is not ‘a component part of the production relations that economic theory is called upon to study’, and that economic processes unfold spontaneously, whereas in our state economy the base merges with the superstructure and the planning principle, in the sphere of economic activity, begins to displace spontaneity.

Strictly speaking, this is the sole argument that comrade Bukharin repeats in various forms and which has already been partly discussed above.

We pose the following question to our critic: ‘If the state, as a political organisation, has merged with the organs that manage the state economy, do we then apply the method of historical materialism to analyse the given area of social life or do we not?’ If comrade Bukharin says no, that will mean that Stammmler’s sociological theory is false only in relation to bourgeois society and becomes true when applied to the socialist state and its economy.⁸ In this case, I also suggest to comrade Bukharin that he compare

8 [Rudolf Stammmler (1856–1938) denied the historical materialist view that economic forces are the fundamental determinants of state policy and emphasised instead the *conscious* role of law in ensuring social justice. Preobrazhensky is arguing that the policy of the Soviet state must be understood as being driven by *objective* contradictions represented by the struggle between the law of value and the law of primitive socialist accumulation; he is suggesting

his position with the point of view of Lukacs⁹ on the theory of historical materialism as a conception that is meaningful only for class society and consequently is beginning to lose its significance for a transitional epoch. If the theory of historical materialism can also be applied to the socialist state and its economy, and if the fusion of the political organisation with the economic demands only a certain variation in applying the method, as I mentioned in the book, then comrade Bukharin has nothing to debate with me.

By the way, I should repeat here that a fusion of the political organisation of society with a part of its economic organisation by no means prevents a separate analysis of the different functions of each, separating political from economic factors and treating economic activity as the base. In our case, moreover, it must not be forgotten that the economic organisation of the proletariat by no means corresponds to the entire economic base of Soviet society, in which more than half of the material values are created outside of the sphere of the state economy.

Comrade Bukharin avoids a clear statement of the question concerning my comment that my opponents encroach upon the significance for our system of the method of historical materialism. He reproaches me for not seeing 'the originality in the relation between base and superstructure in the regime of proletarian dictatorship', but he mentions not a word as to whether this originality is a sufficient motive for replacing Marx's sociological method with some other one. Well then: is it yes or no? And does my critic not suggest, in passing, that the method of historical materialism needs to be shaken up for all those cases where the state plays a much greater economic role than in the period when bourgeois Manchesterism ruled, for example, for certain periods of the feudal history of society, for state capitalism during the period of the world war, for a Jesuit commune in Paraguay, for Italian Fascism, etc.?

As for the argument concerning the role of the social principle in our economy, we have already seen how little the consciousness of the state's economic policy prevents us, at a certain stage of the analysis, from distinguishing what is dictated by the demands of expanded socialist reproduction from what is imposed in the area of the state's economic policy by the resistance of the private economy, regardless of whether this resistance is anticipated in advance or the state only learns of it after being prodded from behind. This entire argument from comrade Bukharin is either incoherent or a ruse. My critic agrees that a conscious policy is a policy that is conditioned. But he has nothing to say about how, and by what method, this conditioning is to be found. Yet at

that Bukharin regards *state policy* as having already *consciously* allowed for and incorporated a rational response to any economic contradictions – without referring to any *objective* law of primitive socialist accumulation. In other words, Bukharin is denying that Preobrazhensky has provided any case for an objectively necessary acceleration in the rate of accumulation.]

9 [The reference is to the Hungarian Marxist philosopher Georg Lukács.]

the same time he attempts to cast a shadow over my method with reference to replacement of the spontaneous principle with the conscious one, i.e., he wants to scoop up a little argumentation from the resources of that same 'cheap idealism', against which he thinks it would be a superfluous luxury to wage any polemic. I can see now that my polemic in that direction was far from superfluous.

• • •

Comrade Bukharin considers my position on the question of two regulators in the Soviet economy to be 'a fundamental and central error'. We have a right, therefore, to expect that on precisely this point his argumentation will be most pressing and convincing. Alas! The disappointment that awaits us here is even greater than when assessing what our critic provided on the question of the method of the investigation.

Comrade Bukharin begins by agreeing with my criticism of the naturalistic interpretation of Marx's law of value. This is to be expected if we remember that comrade Bukharin has done great service in this field as an economist and commentator on Marx. It would seem that this agreement between us on such an extremely important point would immediately resolve a heap of misunderstandings and, at the least, eliminate all the objections that have been made to me by consistent or inconsistent supporters of a naturalistic understanding of the law. To my amazement comrade Bukharin, while rejecting the position of 'naturalists', could not resist the temptation to trump me with an argument drawn from their arsenal, just as in the previously discussed case with the 'cheap idealism'.

Indeed, my critic devotes several columns of his feuilleton to a presentation of the idea, murderous in its novelty, that two sides of the law of value must be distinguished: first, the law of proportionality of labour expenditures as a general-sociological foundation, and second, the historically transitory form of this law's manifestation under commodity production, i.e., as the fetishistic value form of regulation. My critic needs this exposition to prove the contention that, in counterposing the law of value as regulator of commodity economy to the law of primitive socialist accumulation, I am clashing not only with this law's historically transitory form but also with the sociological basis of the law of value, i.e., the law of proportional distribution of labour. It turns out that for me 'the proletarian planning principle' is a principle of struggle not with the value integument of the law of proportional labour expenditures, but rather a principle of struggle, so to speak, with this law's 'material essence'. I shall indicate below what confusion can be found in the 'material essence' of Bukharin's objection and how he beats about the bush of this material essence without himself contributing anything positive. Here I must categorically brush aside the objection aimed at me, for the text of my book leaves no doubt as to my true point of view on the character of the struggle between two laws. Knowing my opponents well, and foreseeing exactly the objection

being raised here against me, I made the specific reservation in my book that in counterposing the law of primitive socialist accumulation to the law of value I take the latter law in its historical and transitory aspect, which is connected with commodity production, and not the law of labour expenditures. Thus, in a note especially written for the Bukharinist type of objections, I say:

Here and throughout the following exposition I speak of the law of value as the spontaneous regulator under the commodity and commodity-capitalist system of production – not as the regulator of any economy that begins with labour expenditures independently of the historically transitional *form* of this regulation in an exchange economy. Such regulation will also exist under planned economy, but it will occur by a different route, i.e., on the basis of a direct calculation of labour time.¹⁰

On the other hand, in my methodological chapter the reader can find the following:

The second thing that we have to note is the evident confusion of proportionality in the economy, which is objectively inevitable for any system of social production that has a division of labour, with the historically transitional method of achieving such proportionality on the basis of the law of value. A correct, proportional distribution of labour is required both for capitalism and for socialism, and likewise for our current commodity-socialist system of economy What reason is there to think that the proportions we require *are dictated* by the law of value as the regulator, and can only be discovered through it, when the law of value is historically and, if you will, materially and physically connected to and inseparable from commodity production, in which private property prevails in the means of production? ... What is impossible about the proposition that we find the proportions we require primarily by our own methods? ... And if that is possible, it if is even halfway possible, then to say that we have basically one regulator means to confuse profoundly the form of regulation, on the basis of labour expenditures *under capitalism*, with the objective necessity for a proportional distribution of labour that exists for both commodity and commodity-socialist economy and that can be established by methods other than capitalist ones.¹¹

Comrade Bukharin failed to notice the first of these passages in my book. But he quotes the latter one himself and is obliged to recognise that it represents 'a kind of counter-

10 *The New Economics*, 1st edition, p. 70. [In this edition see note 14 of Part 2, Chapter 5.]

11 *Ibid.*, pp. 47–8. [In this edition see Part 2, Chapter 1.]

objection' (such modesty in that recognition!). But instead of accepting the warning addressed to him and refraining from spouting off, he devotes eight columns of his feuilleton to forcing an open door. I ask everyone who is familiar with Marxist political economy: Are not the two excerpts that I provided to characterise my point of view enough for any literate economist, and would not even one of them be sufficient for any conscientious polemic? Thus, when speaking of the struggle of the law of primitive socialist accumulation with the law of value, I have in view the struggle of two regulators, taken in their historical form, i.e., from the standpoint of what separates them specifically one from the other, and also in terms of the consequences of their operation for economic life – but not at all in terms of the law of labour expenditures, which is the underlying cause of each of these regulators and lies at the basis of all economic regulation in general. The question of whether it is more correct here to speak of two regulators, or of two different forms of manifestation of one and the same regulator, is an essential question for the supporters of a naturalistic understanding of the law of value, but not for supporters of the view that the law of value is the regulator of commodity economy and disappears together with it. After all, the law of proportional labour expenditures under commodity production can emerge only as the law of value, i.e., as a law, where the historical form of manifestation is merged with its sociological basis, i.e., with regulation on the basis of labour expenditures. Only thanks to that fusion does the law of value reproduce precisely the relations of commodity economy, whose existence and development alone permit it to be the regulator. And conversely, the disappearance and dissolution of the production relations of commodity economy dissolve the very basis of the existence and manifestation of the law of value as regulator.

But this does not eliminate the regulating role of the law of the proportionality of labour expenditures. It simply assumes another form now, insofar as the production relations between people also assume another form. With the complete victory of the planning principle, with communist relations of production, regulation on the basis of labour expenditures will be reduced to regulation on the basis of calculating the labour time spent, with the given level of technique, on the production of products in the various branches. The distribution of labour power will then take place according to a rational plan, whose task is to satisfy, with the least effort, a determinate sum of human needs with a determinate sum of productive forces that are being put to use. However, that is how matters stand when we counterpose the law of value to rational, planned regulation in a society that is *the complete and final antipode of capitalism*, i.e., in communist society.

But now this question arises: What form must the law of regulation on the basis of labour expenditures assume during the long transition period from capitalism to communism? Will some other sort of law-regulator exist here, based on the same general-sociological law of proportionality of labour expenditures but now taking a new form

and, unlike the law of value, reproducing socialist relations of production on an expanding scale rather than capitalist relations? Or perhaps there will be no specific law of the transition period, and the law of value, losing its economic basis, will be replaced by 'the law of simple labour expenditures', i.e., liquidation of the specific historical features of the law of value will lay bare its sociological foundation in pure rational form.

Comrade Bukharin holds the latter point of view. In his opinion, 'it follows from Marx's analysis, just as two times two equals four, that the law of value cannot grow over into anything other than the law of labour expenditures, and that any other "growing over" is "scandalous nonsense".'

Let us sort out this problem, which is extremely important for understanding the pattern of development in the Soviet economy.

But, first of all, we will dispose of the reference to Marx, which my critic not only puts forth as evidence of his ignorance of the laws of the Soviet economy but with which he also intends to force Marx to join him in saying *ignorabimus*, i.e., *we shall never know*.¹² In the first chapter of the second part of my book, entitled 'Socialist and Communist Conceptions of Socialism',¹³ I cited the most essential places where Marx and Engels, our teachers, speak about socialist production as opposed to capitalism. In drawing such a contrast, it is obvious that they also counterposed the law of value to regulation on the basis of the expenditure of labour time, and they were neither able nor did they wish to say anything else, which would mean abandoning the ground of science. Marx did not investigate the laws of transitional economics in their concreteness; in his work there are only a few general comments on this theme, mainly in his *Critique of the Gotha Programme* and a few remarks in the outlines for *The Communist Manifesto*. Marx and Engels spoke of the law of value eventually being replaced, but they did not pose the question of the transformation of the law of value in the course of a transitional epoch. Their general contrasting of capitalism and communism does not directly answer the concrete question that we are posing because we start from the experience of an actually existing transitional Soviet economy, and there is no taboo on investigating its laws. In fact, Marx and Engels nowhere spoke of the struggle of a plan with the market, of a *smychka*¹⁴ in our sense, of industrialisation or of the array of other problems that development of the Soviet economy has brought forth. Does this mean that to pose this problem contradicts Marxism and is 'scandalous nonsense'?

Turning to the essence of the matter, I must say the following. The law of the proportionality of labour expenditures can only prevail in its pure form in a society where the class struggle will have fully and completely ended, where distribution of the labour

12 [The full expression is *Ignoramus et ignorabimus*: 'We do not know and shall never know'.]

13 *Vestnik Kommunisticheskoi Akademii* [1925], No. 12. [In this edition see Part 1.]

14 [The worker-peasant alliance.]

power of a non-class society will be carried out for the direct purpose of control over things, and the struggle of man with nature will not be complicated and mediated by any survivals of the inter-group struggle between people, a struggle that is connected with the remnants of private production. It is perfectly obvious that during the transitional epoch the law of regulation in terms of labour time cannot manifest itself in its classically pure form, because the transition period will abound with the struggle of socialist with commodity production, or with the remains of commodity production, and this means that the distribution of people and of the instruments of production *cannot be completely rationalised and subordinated to the single task of satisfying the needs of society*. Adjoined to this task is the still unfinished challenge of reconstructing the social structure itself on a non-class basis.

What form can the law of the distribution of productive forces on the basis of labour expenditures assume in the transitional economy?

I answer this question as follows. If the issue involves an economy with a mixed structure, where the socialist sector has succeeded in developing all of its inherent advantages over private production and is displacing it just as automatically and steadily as the capitalist factory in its time displaced crafts, then, while remaining on the ground of science, I can say nothing reliable concerning the laws of this period since there is no such case available to study. Here I can only construct hypotheses. It may happen that the law of the proportional distribution of labour will take the form of the law of *socialist accumulation* in some far more concrete expression than can be characterised by this excessively general term.

But the matter is completely different with the Soviet economic system at its current stage of development.

We do know the Soviet system. It is an historical fact, and we can already partly discern the laws of its development in their specific uniqueness. This uniqueness is connected, above all, with the fact that the socialist sector of our economy has still not developed all of its advantages over capitalism; it still rests upon a backward technical base that is totally inadequate for the level of its social structure, which is historically more progressive than the most advanced modern capitalism. This sector still has to wage a struggle in the preparatory class of socialism, i.e., simply to assemble, in the gravest of conditions and in an extremely dangerous international situation, the basic preliminary elements for the kind of production that will defeat capitalism on economic grounds, i.e., by a more rapid development of its productive forces. During this period, on the basis of our state economy, the law of labour expenditures must inevitably take the form of the law of primitive socialist accumulation, and inherent in the latter form is its clash and uninterrupted struggle with the law of value. From this point of view, the law of primitive socialist accumulation is the law of overcoming our socialist backwardness, and it is operative only during that period of development when our state economy has not yet achieved technical and economic predominance over capitalism.

That the law of primitive socialist accumulation is a regulator of economic life, operating alongside of and in struggle with the law of value, as the regulator of a different system of social production, can be proven by the whole concrete history of our industry, by the concrete history of the state economy in general, and by the history of our foreign trade in particular. Not wishing to set out in the present context a number of conclusions from the second, concrete volume of my work, I shall merely note here why we have every reason to regard the law of primitive socialist accumulation as the specific form of manifestation of the law of labour expenditures in our economy.

What is it that underlies the distribution of productive forces under capitalism, i.e., on the basis of the law of value? With the operation of the law of value, the distribution of labour on the one hand satisfies (on the basis of the economics of commodity production) a certain level of requirements of the given society, and on the other hand it reproduces production relations of a particular type, whose regulator is the law of value.

The distribution of labour in our state economy also has an objective goal: on the one hand, satisfaction of social requirements on the basis of production relations of a particular type, i.e., the collective type, and on the other hand the reproduction on an expanded scale of precisely this type of production relations. Reproduction of these relations on an expanded scale means, first and foremost, accumulation of the material resources for such reproduction. This is a question of the system's self-preservation. It is exactly this second task that also determines a distribution of labour different from what would occur with the free functioning of the law of value. As a result, the distribution of labour that we have in our system of state economy cannot in any manner correspond to the one that would occur if the system were built simply for satisfaction of the needs of workers in collective production, i.e., if the whole economy had completed its cycle of transformation. On the other hand, it also cannot be the same as the distribution that is dictated by the law of value of the world economy. This lack of correspondence in both directions, this discrepancy, is due to the law of primitive socialist accumulation as the regulator of our system of state economy and its antagonism to the law of value.

Let us take one of an endless number of possible examples and demonstrate the operation of this regulator. In the total sum of exports for a given year, suppose we export products from our agricultural economy worth 400 million, and for this sum we import machinery and materials for industry, which, with small corrections for the simultaneous import of agricultural machinery, seed etc., resembles the actual state of affairs. Our planned imports and the character of our inclusion in the world division of labour are subordinated to the law of primitive socialist accumulation. This will be clear to us immediately if, for a moment, we imagine being included in the world division of labour on the basis of the law of value. In that case, for the 400 million, minus payments and domestic purchases, the peasantry would purchase far cheaper foreign-produced

commodities with a far wider range of choice, and our industry would not have the currency for purchasing materials and machinery, or the rural market for purchasing its own products. Meanwhile, by currently using, say, 100 million in peasant exports to import 100 million of machinery, whose domestic production would cost 200 million, we now get an accumulation of fixed capital in the state economy on the basis of the law of primitive socialist accumulation and partly at the expense of petty production. If we import raw material, the additional production of which would cost twice as much at home, or material that is not produced at all in our country, we restore part of our circulating capital only due to the activity of this same law. Finally, this law, which compels us to secure our domestic market for ourselves on the basis of struggle with the law of value, enables us to depreciate aging fixed capital that is technically backward and gradually replace it with technically more advanced capital, i.e., we acquire the opportunity to underpin our economy with a new technical basis, which means that we advance towards overcoming our economic weakness compared to capitalism.

If we take the distribution of labour in all other spheres of the state economy, and also to some extent its distribution between the state and private economy, we consistently see the following: the law of proportional labour expenditures also operates in our country, but with the existence of collective production in the state economic sector it must reproduce these relations on an expanded scale, with the consequence that its form of manifestation becomes the law of primitive socialist accumulation. With the operation of this law, the state economy currently supports and develops enterprises that would be eliminated in conditions where the law of value was operating. Under the influence of this law, we have proportions in exchange with the private economy that could not exist under the operation of the law of value (given higher capitalist technique). All of this, taken together, is a product of our economic backwardness compared to capitalism and of our socialist isolation. And the law that concentrates in itself all of the tendencies towards overcoming this backwardness is the law of primitive socialist accumulation. With the operation of precisely this regulator, we distribute the productive forces differently from what would happen under capitalism. Comrade Bukharin cannot help but acknowledge the correctness of this assertion. But he does not agree that this difference occurs as a result of precisely this law that I have formulated.

But then what other law could be at work?

Comrade Bukharin replies. There is no such thing as your law of primitive socialist accumulation, only the degeneration and replacement of the law of value with the planning principle. In other words, while I answered a totally concrete question – arising from facts that call out for generalisation – with the formulation of a totally concrete law that explains the fundamental facts of our economy, comrade Bukharin dismisses it with a general phrase about the law of value growing over into the law of labour expenditures. But the point is that this process of growing over will last for decades and will extend to all countries that are making the transition to socialist organisation

of production, ranging from agrarian countries to the most highly industrialised. And you, my most esteemed critic, are expected by the audience to respond to this question not with a general phrase, since everyone knew that sort of answer before your feuilletons. The audience is waiting for a concrete answer to a concrete question: Is there or is there not a specific law, precisely in our Soviet economy and precisely in the first decade of its existence, in which the basic tendencies of development of the state economy are concentrated? If not, what other conception do you propose?

Comrade Bukharin senses the pressure of this unspoken question from his most educated listeners, and he cannot get around it without risking his reputation as a theorist. But his attempts to grind out a concrete answer are leading him to total failure. While the first part of his second feuilleton was devoted to an exposition of truths that everyone has long known about the law of value, the second part is taken up by this process of grinding out a convoluted response.

My opponent cannot circumvent the question of why one and the same regulator, i.e., the law of the proportional distribution of labour, yields such different results with different economic formations of society. He writes in No. 153 of 'Pravda':

We ask ourselves, however: how is it possible for a regulator, which is one and the same in its material essence, to lead to such varied results in the area of economic relations? Do we in fact have, within different social structures, the identical proportions between the different branches of production? Are the dynamic and the relations of these proportions the same? Finally, what is the meaning of the vast difference in the tempo of development? Take the development of feudal society and the furious development of capitalism. Or compare the tempo of development of a primitive commune with the tempo of development under socialism. How can all of this be linked with a single regulator, the law of labour expenditures?

It seems to me that these are the sort of questions that also vaguely hover before comrade Preobrazhensky. He wants our development to proceed more quickly than capitalism. This is a perfectly legitimate wish. And since – comrade Preobrazhensky thinks – we need more rapid industrialisation than previously, and a more rapid tempo of accumulation, we must then obviously have some other law.

These questions 'vaguely hover before comrade Preobrazhensky' and result from a 'legitimate wish' for 'more rapid industrialisation'.

Just what questions hover vaguely before whom, while others do not even hover at all, we shall see from an examination of comrade Bukharin's criticism. And as for his patronising pat on the back regarding the legitimacy of our wish for more rapid industrialisation, this polemical device on my critic's part is quite hopeless because it in no

way results from the material content of the fact that each of us has been brought before the court of public opinion to answer the question concerning the laws of development of the Soviet economy.

Comrade Bukharin's answer to the question posed above is that the mechanism of regulation decides the matter. And as proof he sets out, among other things, the argument that the law of value itself, while remaining the form of manifestation of one and the same regulator, i.e., the law of labour expenditures, undergoes a change in the transition from simple commodity to capitalist production. And that is why 'it is absurd to say that under capitalism there are two laws: the law of value and the law of prices of production; it is absurd to say that one law contradicts the other, for the law of prices of production is the mechanism through which the law of value manifests its operation'.¹⁵

Secondly, a comparison is not, generally speaking, a proof. And here there is not even any real comparison because it is impossible, by comparing two different mechanisms of regulation *of one and the same economic system*, to draw conclusions regarding the regulators of two different systems (or mechanisms of regulation of *two different systems*, if that terminology suits Comrade Bukharin better). Both simple commodity and commodity-capitalist production, while having visible differences, belong to one and the same genus in terms of economic structure, i.e., to commodity production, whereas the commodity-socialist system and pure commodity production are *two different types of economic structure*.

But the attempt to compare the mechanism of two different economic systems in order to explain divergent results in the area of the distribution of labour power demonstrates, first, that it is impossible to detach the mechanism of regulation from the economic structure in which it appears. Any attempt to imagine the law of value as the regulator of socialist production and the planning principle as the regulator of commodity production is quite enough to make it clear how inseparable the mechanism of regulation is from the entire structure of the given economy. And it becomes clear at the same time that differences in the distribution of labour are determined by the fact that the satisfaction of social needs is also subordinated to the conditions of existence *of the given system* and demands such a distribution of productive forces as will – besides this task, which is common to all economic structures – also reproduce the given system in all its historical uniqueness. A capitalist enterprise cannot exist, as a rule, without acquiring profit, even if [the enterprise] is socially necessary. And this is completely logical from the point of view precisely of capitalist production since, in the absence of an average profit, the opportunity to produce for the sake of surplus value is not reproduced, with the consequence that private property in the instruments of production becomes pointless. Capitalists do not install machines that economise on

15 *Pravda*, No. 148.

labour power while not increasing profit, although from the point of view of production for the sake of consumption such a position is completely irrational. In our state economy we have the kind of distribution of labour that would not be retained under the operation of the law of value or with the operation of the law of labour expenditures in its pure form, i.e., with production for the sake of consumption, because today's distribution of labour must also answer the task of *reproduction on an expanded scale of the given system*, i.e., of the system of a collective state economy, regardless of the fact that the state economy is still technically and economically weaker than capitalism and that expanded reproduction of the given type of relations, fused with backward technique, is completely irrational from the point of view of the world law of value and can only occur on the basis of a struggle against it.

Secondly, to reduce the entire problem of the struggle of two different regulators, which are fused with different systems of social reproduction, and the entire difference in the material consequences of regulation to a difference between mechanisms of regulation in the narrow sense, i.e., particularly to counterpose to the law of value an increased role of the planning principle as a method for fulfilling the tasks that face the state economy, means substituting one aspect of the problem for the whole problem. We carry out non-equivalent exchange with the countryside and a strict import plan – whose task is to reproduce the given system – and much else in consequence of the relation between our system and the world market along with the whole private economy in general, but we do not do so in response to growth of the planning principle *as the cause*. Were it not for all of these measures, we would perish as a system, completely apart from whether we implemented the policy of our ruination in a planned or unplanned way, i.e., a policy contrary to what the law of primitive socialist accumulation dictates to us.

Comrade Bukharin's attempt to answer the concrete question concerning the laws of development of the state economy with a general phrase about 'the growing over of the law of value into the law of labour expenditures' makes it quite obvious that he has no answer in general. He admits that he confined himself to 'the most general considerations' and promises to speak more concretely at a later date. We shall wait. After all that we have heard from my critic, however, I remain very much a sceptic concerning the theoretical value of these 'future blessings' of a Bukharinist response.

Comrade Bukharin's reasoning that *even* socialist accumulation *cannot be counterposed* to the law of value (which implies saying nothing about the law of primitive socialist accumulation), because our economy is growing 'on the basis of market relations', is an egregious theoretical mistake upon which could be erected a genuine programme of theoretical and practical opportunism. Indeed, if our state economy is growing in conditions where market relations exist but is not dissolving in commodity economy, it is only thanks to a desperate struggle for its existence. We are able to 'accumulate', selling our products for twice as much as foreign ones, only due to the fact that

we have fenced off our territory from the world market and are defending it by force, relying upon the defensive capacity of our system as a whole. We are fighting for our existence within the framework of market relations, *without changing their content on the basis of the struggle*. To fail to see the absolutely exceptional conditions of our existence, and to represent the struggle that is being conducted in various forms with the private economy – including the form of necessary collaboration with capitalism – as a peaceful life, means hovering on the surface of events and substituting philistinism for revolutionary Marxism in the field of research.

In order to finish up with this theme, I shall refer to one place in comrade Bukharin's second feuilleton that demonstrates how recklessly he writes his entire rebuttal and how he fails at the end to read what he wrote at the beginning. Here is the passage:

The process of the growing over of the law of value into the law of labour expenditures finds expression in the fact that, by way of a plan, 'prices' in their semi-fictitious function (i.e., already as prices that are not determined from the viewpoint of the 'barometric fluctuations of the market') are developed consciously in a way that *differs* from how they would develop spontaneously.¹⁶

The question is: What spontaneous regulation is being mentioned here? If it is spontaneous regulation on the basis of the law of value, and in conditions of the restoration of capitalist relations, then comrade Bukharin has already acknowledged earlier that in this case the proportions of labour distribution will be different from those currently prevailing in our state economy. If it is simply a matter of theoretically imagining spontaneous regulation under conditions in which a state economy exists, then the conclusion to be drawn from this proposition unravels everything that comrade Bukharin has to this point woven together concerning the basic question. If the distribution of labour will be the same with both spontaneous and conscious regulation, this merely proves that the issue does not concern the mechanism of regulation as such, and that no growing over of the law of value into the law of labour expenditures, on its own, can possibly explain the peculiar features of the distribution of productive forces in our country by comparison with capitalism.

The reader will see that this is not the first contradiction in the Bukharinist critique. Both this contradiction and the one already pointed out earlier have the same origin. That is the lot of all those who have no conception that they have thought through for themselves but instead hope to cook one up in the course of their polemical voyage. However, driven by polemical interests, my opponent's critical canoe has been forced to take on board all sorts of arguments of a conjunctural character, including ones that

¹⁶ *Pravda*, No. 150.

contradict each other, with the result that our boatman, at the start of his voyage, does not even know himself which shore he will ultimately arrive at and what freight he will be carrying.

Comrade Bukharin's third feuilleton, devoted to a detailed criticism of the law of primitive socialist accumulation, strictly follows the current fashion with the title: 'The Law of Primitive Socialist Accumulation, or Why We Should Not Replace Lenin with Preobrazhensky'.

As for myself, I earnestly recommend to the reader that Lenin not be replaced by Preobrazhensky, but I would also advise against replacing Lenin with today's Bukharin or with any of the others who will cover up their own mistakes with Lenin's great name. A vivid example of how Bukharin uses Lenin's legacy in his own interests can be seen in the case of publication of one of Lenin's many remarks written on the margins of comrade Bukharin's book *The Economics of the Transition Period*. Lenin did not like the term 'primitive socialist accumulation', which he called 'extremely unfortunate', 'a childish game', and 'copying the terms used by adults'.¹⁷ In comrade Bukharin's opinion, 'this harsh opinion of the great proletarian chieftain and outstanding theoretician annihilates comrade Preobrazhensky'.

Permit the 'annihilated' Preobrazhensky to make the following observation. The term under discussion was used in Bukharin's book, which was written during the period of War Communism and had attempted a theoretical interpretation of precisely that period.¹⁸

The economics of War Communism involved a state economy of military consumption, when we did not accumulate but were forced to *dissipate* our resources in the most economical way possible, and when production itself was not *reproduction* but a means of converting material and fixed capital into means of consumption and defence. In relation to that type of economy, comrade Lenin considered the term completely inappropriate, and *he was right*. But the point is that I have used this term, or the parallel term 'preliminary socialist accumulation', with reference to our economy *of a different period and a different character*, when accumulation is occurring and represents the central problem of our economic policy. Consequently, Lenin's comment refers not to me but to Bukharin, who in Lenin's opinion used this term, taken from comrade Smirnov, 'unfortunately' and in a childish way. How does Comrade Bukharin's mistake suddenly become Preobrazhensky's mistake, and how is it that Lenin's comment does not annihilate 'the hero of the day' but instead the author of a book that Lenin could neither read nor comment upon?

17 [See Lenin 1929, Vol. XI, p. 375.]

18 [For Bukharin's comments on 'primitive socialist accumulation' in his *Economics of the Transition Period*, see Bukharin 1982, pp. 64–5.]

Then there is a second question. Why is it that for six years comrade Bukharin kept Lenin's comment under wraps and then brought it to light only in the interests of a polemic – and then in such an embarrassing way that Vladimir Il'ich's birch rod is obviously applicable explicitly to Bukharin's back and not to mine? Furthermore, why would comrade Bukharin not publish *all* of Lenin's comments on *The Economics of the Transition Period*? I have read them and find them to be most interesting for the general public. Finally, why not inform the public of how Lenin evaluated Bukharin's book on historical materialism?¹⁹ To know Lenin's opinion of books that have been transformed into school texts would be most useful both for teachers and for students.

Let us turn now to the Bukharinist criticism of the law of primitive socialist accumulation. As usual, he takes from the oven quotations from Marx that everyone knows, some of which I have also provided, but he does not clearly say exactly what they are meant to prove. Typically, however, in his exposition of Marx's understanding of the law of primitive capitalist accumulation, comrade Bukharin leaves out one quotation that is enormously important for clarifying the question at issue. In this passage the author of *Capital* is discussing the fact that primitive capitalist accumulation also means – in addition to the separation of producers from the means of production, i.e., in addition to the formation of a class of wage workers – accumulation in the hands of individual capitalists of sufficient resources for setting in motion larger enterprises than those of the handicraft type.²⁰ He omitted this important point not by chance but because it strongly emphasises how appropriate my analogy is.

Comrade Bukharin now asks me for a second time what period I have in mind for operation of the law of primitive socialist accumulation: in his opinion, my definition of the law can lead to the conclusion that it must apply throughout the entire period of realising socialism. It is perfectly obvious from the text of my book that the matter concerns the period when the socialist sector has not yet achieved technical and economic ascendancy over capitalism, but by no means up to the moment when the last artisan or the last small producer disappears from the countryside. Bukharin concludes that in the first case 'the process extends over a very long period'. In this connection I would note that the period of the law's operation, i.e., the period when our state economy is at the stage of struggling for a new technical base and for the opportunity to develop its superiority over capitalism, depends first of all upon international circumstances, since a socialist revolution in the West could reduce this time to a minimum (just as the pressure of world capital might also disrupt this process, liquidating

19 [For a critical commentary on Bukharin's *Historical Materialism*, including Lenin's view of the work, see my Introduction to Bukharin 1982.]

20 Marx 1976, p. 875.

our entire system); and secondly, it also depends to a certain degree upon the character of our own economic policy, i.e., on greater or lesser consistency in terms of accomplishing the country's industrialisation.

Comrade Bukharin apparently thinks that his weightiest argument against me is to point to the methodological impossibility of determining the optimum developmental tendencies for the state economy. He returns to this point time and again and exercises his wit most often in precisely this context. All of comrade Bukharin's objections on this point, as we shall now see, are wholly and completely based upon refusal to understand my point of view. Here is the essence of these objections:

No optimum development of the state economy can be determined without analysing the private economy. This law (i.e. the law of primitive socialist accumulation – E.P.), if it existed and *were formulated* correctly, would be a law of the relation between the 'state' and the 'private' economy But ... the law of a relationship presupposes both sides of the relationship If we undertake the task of investigating the transitional economy in its historical specificity, then, as the limiting abstraction, we must take a two-class society, i.e., *a combination* of proletarian industry with the peasant economy. We can abstract from foreign trade (however important it may be empirically), and in the early stages of the analysis we must in fact do so, but to abstract from 'third parties' in an analysis of the transition period is inadmissible; it also means discarding all of the *specific* theoretical problems Comrade Preobrazhensky sees the contradictions, but he does not see the *unity* of the national economy; he sees *struggle*, but he does not see *collaboration*.²¹

In the first place, the law of primitive socialist accumulation, in my formulation, is also the law of the relationship between the state and the private economy (including the world economy) during the current period of the [state] economy's development, and it is thereby also the law of the specific distribution of productive forces within the state economy. It is totally senseless to reproach my conception on the grounds that it ignores the second member of the relationship, since without this member the law itself cannot exist. Comrade Bukharin falls into a pathetic contradiction with himself when, on the one hand, he finds that I say too much regarding alienation of the surplus product of the private economy, yet on the other hand I forget about the second member. The second law of our economy, the law of value, which is discussed just as much as the law of primitive socialist accumulation, is a law that is based on the second member of the relationship, i.e., on the private economy both within and beyond the USSR.

21 *Pravda*, No. 153.

I speak of an analysis of tendencies in their pure form not only in the state economy but also in the private economy.

Of course, a determination of the optimum tendencies of the state and private economy cannot be complete without a concrete analysis of both the state and the private economy, but a concrete investigation is the subject for a later exposition. In the first part of my work I can only outline the general-methodological approach to such an analysis. Such a general approach greatly facilitates a concrete analysis. In particular, it is only thanks to this [approach] that I could provide an explanation of the goods famine as the result of a change in the structure of the post-revolutionary peasant budget²² – an explanation that is now generally accepted. Meanwhile, this is only a small excerpt from the part of my work that will be published as a second volume of *The New Economics*. If comrade Bukharin finds that little is said about the private economy, that is an objection to *the arrangement of material in the work*, not an objection in principle to *the method of research*.

I have already mentioned that it is not only possible but also necessary to abstract from conjunctural obstacles that originate in the private economy and impede the state economy's development on an optimal scale, just as it is necessary, when analysing the tendencies of development in the private economy, to abstract at a certain stage of the study from the concrete and conjunctural obstacles that development of the private economy runs into in its endeavour to overturn the entire Soviet system. Only then is it possible to understand the resultant of the state's economic policy. It is foolish to think or ascribe to me the idea of recommending abstraction first from the fact of the private economy's existence (and not only domestically), and second from the fact of the state economy's existence. When Marx, at a certain stage of his exposition of the law of value, abstracts from the influence of supply and demand upon price, assuming equilibrium between them, and likewise when he does not yet investigate in the first volume of *Capital* the law of the prices of production, only vulgar economists could accuse him of abstracting from the existence of individual private producers, from the market and from the foundations of commodity-capitalist production in general.

Comrade Bukharin says that no plan for industry can be drawn up by following my method, because that would mean failing to take into account the absorptive capacity of the peasant market, the harvest and many other things. From this argument of comrade Bukharin it is evident that he has no wish to understand anything about what he is criticising. Every concrete industrial plan is a programme of economic activity *in which the resistance of the private economy has already been taken into account insofar as it can be foreseen*. But in order to take this resistance into account, it is first neces-

22 See my article 'Ekonomicheskie zametki' [Economic Notes] in *Pravda* for 15 December 1925. [See Volume III of *The Preobrazhensky Papers*.]

sary to know the optimum in terms of industrial development. Before retreating one must know the position from which one is retreating. Generally speaking, the method of analysing the economy, its tendencies of development and its laws – the method of explaining the phenomena of economic life for a determinate period of time – is not yet a recipe for drawing up, shall we say, an economic plan for the given year. But this method can greatly assist in accomplishing this practical task. If we put together, for example, a plan for the economy for the next year and a half, i.e., at a time when we do not know the dimensions of the coming harvest and many other necessary figures, we operate with average figures and we prepare two variants: one for an average and one for a poor harvest. There are a number of other variable magnitudes that cannot be accounted for in advance. But when we know the tendencies of development of the state economy, we can calculate what its production would be in conditions of *the most favourable relationship of the state economy with the private economy*. On the other hand, knowledge of the direction in which the private economy is spontaneously rushing, on the basis of its internal tendencies, makes it possible to foresee the most important points of resistance coming from the private economy. In the final analysis, the algebra of an economic analysis of the tendencies, which lie at the basis of the two sectors of our economy, cannot in principle be counterposed to the arithmetic of concrete figures for a given concrete plan or a concrete economic year once it has ended. But comrade Bukharin's argumentation, if we exclude from it all the elements of confusion or deliberate misunderstanding, essentially teeters within the confines of this opposition.

Thus, Bukharin's assertion that I recommend abstracting from private production, including the peasant economy in general, is absolutely untrue because all that is involved is abstracting at a certain stage of the investigation from the conjunctural resistance of the private economy, i.e., the issue concerns an analysis of the basic tendencies and not a work of concrete economics or a study of one or another economic year. Nor can I accept the method of abstracting from foreign trade that Bukharin recommends. This is not just because abstracting from it in a concrete study means abstracting from the textile, rubber, wool and leather industries, which work to a significant extent with foreign material, not to mention the problem of restoring the fixed capital of industry on the basis of imports of equipment. I must point out to my critic that, while he reminds me about the role of the harvest in drawing up an industrial plan, from his own point of view such abstraction [from foreign trade] is impossible because, without a plan of exports and imports, no industrial plan can be put together at all. But I have no desire to participate in his muddle,²³ and I reject his suggestion on

23 The muddle consists of the fact that comrade Bukharin mixes up the method of putting together a concrete economic plan with the method of studying the foundations of a given economic system. This leads to confusing structural contradictions and their dynamic with clashes of a conjunctural type.

other grounds. To abstract from the foreign market means abstracting from our relationship with the world economy; it means abstracting from our completely unique value relations with it, from non-equivalent exchange, from the foreign trade monopoly, from our nearly prohibitive tariffs, from the coercive force upon which all of our industrial development literally depends in the period of primitive socialist accumulation. It would mean abstracting from the basic conditions of our existence, which is neither what I do (despite the accusations levelled at me) nor what I recommend to other investigators.

My critic further accuses me of talking only about the *struggle* between two sectors of the economy but failing to notice their collaboration, and of not seeing the unity of our whole economic system. This is a very important point of my disagreement with comrade Bukharin and with his rather numerous co-thinkers. It is connected with an assertion by Bukharin that we have already partially examined, to the effect that socialist accumulation is incorrectly counterposed to the law of value.

Let us begin with the latter point. At the basis of Bukharin's assertion is the elementary fact that our industry, realising its production in the conditions of market exchange and also acquiring the greater part of its raw material from the market, is in a position to accumulate *with the given level of prices*. And what underlies this elementary fact? It is based upon another elementary fact that is much more threatening to us, namely, that the current prices of our products are almost double those abroad. We only accumulate in these circumstances because we forcibly, on the basis of struggle against the world law of value, tie our internal market to our technically backward industry, while the products of the peasant economy that we export are sold at world-market prices and the import programme is subordinated to the task of accumulating fixed capital and restoring circulating capital in its natural form. This means that we accumulate not on the basis of or parallel with the operation of law of value, but on the basis of a ruthless struggle against it, which in the social sphere means growth of class contradictions with the groups in the countryside that are exporting, i.e., mainly with the well-to-do strata. This contradiction will grow in pace with industry's lag behind agriculture, and it will only be moderated to the extent that we succeed in technically re-equipping our industry and transport. To fail to see the enormous and threatening silhouette of the world market beyond our miserable domestic commodity exchange; to fail to see how thin the wall is that separates this colossus from our hundred-million peasant population; to fail to see the tension in this whole situation and the continuous struggle of one system with the other, means in practice to lull the vigilance of one of the contending parties, i.e., the working class; it means keeping them in the dark about the threatening dangers; it means weakening their will with Potemkin villages of childish optimism in a period when they must continue the heroic struggle of October, only now against the entire world economy on the economic front and with the slogan of the most rapid industrialisation of the country. But all of this also means – forgive me

for the bitter truth of my words – such philistine thinking, such theoretical stupidity, that upon reading the lines of Bukharin's feuilleton about the harmony between the law of value and socialist accumulation I could not help thinking: 'Comrade Bukharin must keep a special diary for posterity, alongside of his current official writings, and as far as the "ideas" just mentioned are concerned, he must have written into it: "All of this is nonsense, of course, but it was necessary for tactical reasons"'.

There is, of course, a certain unity in our economy, a certain cooperation between the two economic sectors. But neither this unity nor this cooperation can be correctly understood unless the axis of the research is the struggle of the socialist sector with the private economy, especially with the world economy, and especially with the capitalist and kulak elements of this domestic economy and with those who are developing into kulaks. If we take only our domestic relation with the private economy, then, of course, we have here both struggle and collaboration, especially if we draw a line between private capital and the kulak economy on the one side and the poor and middle peasants on the other. But, first of all, even our partnership with the poor and middle peasantry is only a special form of the struggle for socialisation of agriculture. There is a sufficiently clear formulation of this matter in the agrarian section of our programme. And secondly, we must not forget the compulsory character of our cooperation with the private economy. There is also cooperation in a prison. And really, are we not in a kind of concentration camp with the capitalist elements of our economy? We are simultaneously jailers and prisoners. We are prisoners because we are separated by a prison-wall of time from the world socialist revolution, for which the socialist sector of our economy yearns with every fibre of its being. We are jailers because with the wall of our foreign-trade monopoly, the tariff system, planned imports and, consequently, compulsory domestic prices, we have separated our private economy from the world private economy, towards which the former is drawn above all by its capitalist elements. It is true that, with certain exceptions, the middle peasantry is neutral in this struggle, but this means that it is not so much an active participant on one side or the other as it is an arena for the struggle of two hostile systems. And we have yet to mention that the orientation of a part of the middle peasantry towards the kulak type of economy implies its struggle against socialism, while bringing the middle peasant into cooperatives is one of the forms of socialism's struggle against the private economy in general.

And now a few words concerning my most terrible crime, which caused comrade Bukharin to raise such an outcry that even I was frightened until I realised what it was all about. It turns out that my crime consists of the fact that, with no forewarning to the public, I revised three lines of the second chapter of my work prior to its publication as a complete book. Generally speaking, an author can improve his work whenever the opportunity presents itself and is not obliged to inform the reading public of every revision. It would be a crime if he responded to a polemic involving *the first draft of his work* by referring, without any warning, to the *revised text*. In this case, nothing of the kind

occurred. Here is what I did in the relevant passage of my work. Instead of pointing to the narrow absorptive capacity of the peasant market as the obstacle to accumulation, I mentioned, as a factor that limits accumulation, our need to reduce prices as a programmatic task, since that formulation emphasises our link with the world economy. The gap between our prices and the world market is so great that the entire period of primitive socialist accumulation will be required to realign them in pace with the technical re-equipping of our industry; in some years the need for realignment will be imposed mainly by the absorptive capacity of the peasant market, but the need will be imperative throughout *all years* due to the general relation between our prices and those of the world economy. If comrade Bukharin very much enjoys comparing my drafts, and if he considers such work so productive, then I recommend that he compare the text of the second edition with the first. There are also changes there, but I consider it redundant to catalogue them.

Practice is the final court of appeal that decides the question of the truth or falsehood of any particular theory or theoretical dispute. The central practical idea of this book is the problem of accumulation in the state economy. The far-sightedness of my opponents is most evident in the fact that they consider it to be an assault on the worker-peasant bloc even to raise this question. But now Gosplan, which has drafted its economic programmes apart from our disputes and on the basis of objective facts (which, by the way, have also been influenced by our concrete economic policy of previous years), is assuming an increase of industrial production for 1926–27 by 13–15 %, and significantly less for 1927–28. And this in circumstances of increasing agrarian overpopulation and the intensifying goods famine, which in 1925–26 amounted to a 380 million deficit of commodities and an expected deficit of 500 million in 1926–27. The obstacle to a more rapid growth of industry is not a lack of labour power, not an absence of effective demand, but above all the shortage of fixed and circulating capital, including insufficient opportunities for imports.

These dimensions of industrial under-production, established by Gosplan, summarise in a certain sense the results of our disputes and represent the resounding [failing grade of] one²⁴ that history has assigned to the theoretical insight of my opponents.

E.A. Preobrazhensky, Novaya ekonomika,
2nd edition, pp. 13–48.

24 [One was the lowest grade assigned in the Russian grading system for schools and universities.]

Once Again on Socialist Accumulation: A Reply to Comrade Bukharin

A lengthy article by comrade Bukharin appeared in 'Pravda' on 12 December 1924, in which he attacked a chapter from my book *The New Economics*, which appeared in No. 8 of the 'Vestnik of the Communist Party' with the title 'The Fundamental Law of Socialist Accumulation'.

The questions raised in my article concern fundamental issues of the theory of the Soviet economy, whereas comrade Bukharin's article raises vital questions of our economic policy. They both deserve the most thoughtful attention. My present article is a quick and incomplete response to comrade Bukharin. My entire book will be a more detailed reply to him.

First of all, I must forewarn the reader that neither comrade Bukharin's article nor my answer here can be fully and completely understood without having read my article in the 'Vestnik'. In the account from comrade Bukharin, at any rate, I could not always recognise the ideas that I developed in the journal article. For that reason, I must very briefly outline my own point of view here, with my own words and occasionally with quotations from the article.

The fundamental and completely inadmissible mistake (if it is a mistake) of comrade Bukharin, which he holds to throughout his entire article and which leads him a mile off target in terms of the basic question of the dispute, is this. My article is an attempt at a theoretical analysis of the Soviet economy, or to put it modestly, an attempt to approach such an analysis. Our Soviet economy is divided into the state economy and the private economy. The state economy has its own inherent pattern of development, as does the private economy. But both of them are joined in the single organism of the economy of the [Soviet] Union as a whole. For a theoretical analysis it is methodologically necessary to examine both these and other patterns separately and then to explain how the resultant emerges in real life. But the state economy's tendencies of development must be studied in their pure form, i.e., they must be analysed as if the development of the state economy proceeded without encountering any resistance from the private economy, so that the pattern of the optimum can be examined. This is the only correct method that we have inherited from Marx and the only one that enables us to sort out the diverse facts of real life and understand the inner meaning of all that has happened.

But what does comrade Bukharin do?

He analyses the state economy's patterns of development (an analysis that involves temporary abstraction from the economic and political resistance of the private sec-

tor) and confuses the conclusions from such an analysis with the real economic policy of the proletarian state. The understandable result is that he easily 'discovers' a contradiction here. I am at a loss to describe such a mix-up and such a mistake. Comrade Bukharin understands the difference perfectly well. He himself has often successfully applied the same research method in his own economic works, and all of our young people are learning this method. There are two possibilities: either he refuses now to understand the essence of this method of analysis, which is not very likely, or else he has sacrificed the theoretical integrity of research to the polemical tasks of today. In that case, he must be photographed at the scene of the crime.

What is the essence of my method and my construction?

The October Revolution meant humanity's breakthrough, in one part of the globe, to a new economy. This new economy is taking form, struggling to survive and grow stronger, and developing a number of patterns inherent in it alone. The basis of this new economy, which is disrupting the laws of commodity production and changing them, is the state economy of the proletariat. Once this economy exists, it must continue to struggle for its survival. And the struggle for survival, on the part of a state economy that is surrounded by an ocean of world capitalism, means a struggle for expansion – in some cases for subordination of pre-socialist forms to itself, in others for their modification, and in some cases for their absorption. For the state economy at the current stage, to struggle for survival means to pass through, as rapidly as possible, the dangerous period of its life when it is both economically and technically weaker than capitalist economy. This process of the expansion and strengthening of the state economy can occur at the expense of its own forces and resources, i.e., at the expense of the surplus product of workers in state industry, and also at the expense of the private sector, including the peasant and middle-peasant economy. Can it be otherwise? Let me express it in the clearest possible terms: Can the development of state industry and the reconstruction of its entire technical base be shouldered just by our 3 million workers, or must our 22 million peasant households also take part? The experience of our seven years of revolution has answered and continues to answer the latter question in the affirmative, and the issue will not be any different in future. But insofar as the state economy must inevitably expand also at the expense of the private economy, it is necessary to clarify the channels through which this inflow of resources will occur and what the tendencies of development of the state economy are in this direction, taking them in their pure form, i.e., abstracting from resistance of the surrounding private economy and thereby also from the actual policy that the workers' state *has to* implement out of economic and political considerations.

Do the spontaneous tendencies of the state economy, in its development at the expense of private production, exceed what is actually achievable for state economic policy? Of course they do. But does that mean that a *scientific analysis* of these tendencies, a formulation of the optimum of these tendencies, involves criticism of the

economic policy of the state and the party? Does it mean a criticism of policy, which, whatever it may be, will *always* diverge from this optimum? That question is quite meaningless. But comrade Bukharin forces us to put this meaningless question because he does not provide a single word of warning to the reader that my article is devoted not to the economic policy of the state but to a theoretical analysis of the fundamental patterns of our economy. These lawful patterns grow historically out of the October Revolution and the very fact of the existence and development of the state economy of the proletariat. They can be observed and described. This helps us to navigate the economic environment and make fewer mistakes in practical policy. In the area of policy, they can only be vaguely sensed and acted upon, groping from case to case and receiving necessary 'notices' from life *post factum*. But once these laws have been analysed, what must be done [by critics] is to show that the analysis is *incorrectly done*, and not to confuse the tendencies of development with economic policy or find fault with the terminology if there is no essential criticism to be made.

But this certainly does not imply that there are no definite conclusions for the economic policy of the state resulting from my work. Such conclusions do emerge. They will be specified in the chapter of my book where the relation between economic systems is considered in the context of class relations between workers and peasants, and where an analysis of our economic policy is also provided. Comrade Bukharin should have waited for publication of that part of my book. Then he probably would have seen that the political conclusions he draws from my article are not the ones I draw myself. He also would not have been required, in order to justify the scope of his own polemical horizon, to criticise his own constructions – which he attributes to me – rather than my own views.

1 The Children's Colonies of Comrade Bukharin

The first point of assault in comrade Bukharin's article is his quotation of my formulation of the law of socialist accumulation, where first of all the term 'exploitation' is used, and secondly the word 'colony'. Without taking the trouble to understand what is meant, and while admitting that it is 'not clear' to him, comrade Bukharin suddenly makes the categorical declaration: 'There is no doubt that comrade Preobrazhensky sees the workers' state possessing colonies'. To anyone who reads even just the passage that comrade Bukharin quotes about colonies, the utter nonsense of this assertion must be perfectly clear. In the second part of my formulation of the law I said that after the socialist revolution in the capitalist countries, the victorious proletariat will have to reduce the non-equivalence of exchange with those countries that were colonies of the capitalist states and with whom relations must now be established on new foundations. That is to say, colonial slavery will be abolished, along

with national inequality and the whole system of capitalist colonial plunder (p. 58). Non-equivalent exchange will be abolished insofar as it was connected with the specifically capitalist system of exploiting colonies, but non-equivalence will remain to the extent that it is connected with the general relationship between socialism and pre-socialist forms of economy. *In other words, it is not the peasant economy that appears in the position of a colony, rather all the colonies appear in the position of a peasant economy and of petty-bourgeois economy in general* insofar as the economic structure of colonies is identical with them, i.e., economically backward. Comrade Bukharin is himself aware that I am speaking of *former* colonies, which cease to exist as colonies but remain as members of a union, with full rights, in the system of industrial countries that have turned to socialist organisation of production. But instead of simply pointing out that the word 'former' should be included in the text, comrade Bukharin bursts out in moral indignation and with a serious face confuses a perfectly clear question.

Now, consider the word 'exploitation'. Comrade Bukharin himself recognises that socialist industry acquires and must acquire 'surplus value in the accumulation fund from small producers'. Having acknowledged this – i.e., having acknowledged both the fact and the necessity for non-equivalent exchange with the private economy, or in any case for an active balance for the state economy in the exchange of material items – he accepted my basic way of posing the question and thereby deprived himself of any possibility of waging a principled dispute concerning all the essential conclusions that follow from this position. The only thing remaining to him was to drag to the height of principle a dispute over terms, to treat particular details as if they were fundamental questions, and furthermore to confuse the relation between classes with the relation between forms of economy. I spoke in my article of the exploitation of pre-socialist forms by the socialist system of economy. If comrade Bukharin thinks up some other term – he has always been a great master at that – then I have no objection so long as the term reflects the essence of the matter, i.e., that the balance from the exchange of material items between the private and the socialist economy (which is not the same as the balance of *trade* between the two systems) remains with the latter and not the reverse. I only note that if the term 'exploitation' is carried over from the relations between classes to relations between systems of economy, then that term is hardly so incorrect as it seems to comrade Bukharin. After all, the socialist form, which passes over to the communist one at a certain level of development, endeavours to perpetuate itself not only by its own expansion but also by compressing the territory of pre-capitalist forms of economy. I understand perfectly comrade Bukharin's political considerations when he pounces so vehemently upon the term 'exploitation'. From a scientific point of view these objections have no great importance. They rather remind us of Narodnik indignation at use of the scientific Marxist term 'petty-bourgeoisie' with reference to the peasantry. The transfer of a term from one sort of phenomena

to another does not presuppose an identity of the phenomena being described, only a certain analogy at the point of comparison.

But terminology is a trivial matter. Much worse is the fact that under cover of his noisy indignation Bukharin replaces one of my concepts with another one. I spoke in my article of the socialist form of economy exploiting the pre-socialist forms, but nowhere did I even once speak of the proletariat exploiting the peasantry. I deliberately did not do so because *exploitation by socialism of small-scale production in no way necessarily presupposes exploitation by the proletariat of small-scale producers*. Take the following example. Suppose that workers in a given year produce 1.5 billion roubles of new values, of which 700 million of the surplus product, together, shall we say, with 800 million taken from the peasantry, go first to maintaining the state apparatus and secondly to expanded reproduction. In the following year, thanks to the growth of production and a rise in labour productivity, the workers produce 1 billion 800 million, of which the surplus product is 800 million; from the latter sum 750 million now go to the state and 50 million to increasing wages. Suppose that 50 million more are also received from the peasantry during this year, i.e., 850 million. It turns out that wages rise due to growth of the workers' own labour productivity, while the share that the workers contribute to the state apparatus and to the accumulation fund also grows. But meanwhile, as we see in this example, the share that is alienated from small producers for the same purposes grows as well. *The fact of growing exploitation of small-scale production by the socialist form of economy is evident, but there is no exploitation of the peasants by workers, not even when wages rise*. This case is typical nowadays and will remain so for many years to come. The peasant economy, in such conditions, is not a colony of state industry but a participant in expanded socialist reproduction. The worker is not an exploiter of the peasant but a partner in making deductions for expanded reproduction, which is necessary not only to him but to Soviet society as a whole, to all the toiling classes. At the same time, the exploitation of one system by the other is obvious. However, comrade Bukharin is not opposed to a positive balance for the state economy; he even agrees with surplus value going to the working class as a class, i.e., apparently not just into the state economic system but also into its consumption budget, which, from my point of view, is not at all necessary. And after making such a radical gesture,¹ he asks only one thing: remove the word 'exploitation'.

1 Here are his own words:

Is it the case that socialist industry will acquire surplus value in this accumulation fund from the sphere of petty producers? Yes, there is no doubt of it. Does this mean that a transfer of values occurs here from the hands of one class into the hands of another, the ruling class? Yes, this too is not subject to doubt. But can this unique relationship, by using the crudest analogy with capitalist society, be called one of *exploitation*? Can we, on this basis, call the proletariat an exploiting class (which is the inevitable result of the foregoing position)? No, a thousand times no.

I am perfectly willing to remove this word. But while removing it, I still think it appropriate to remind the reader of the words that Lenin used concerning the struggle of two systems: 'Dictatorship does not mean only force, although it is impossible without force, but also a form of the organisation of labour superior to the preceding form'.² 'Force can be used even without economic roots, although in that case history will doom it to failure. But force can be applied with the backing of the advanced class, relying on the loftier principles of the socialist system, order and organisation. *In that case, it may suffer temporary failure, but in the long run it is invincible*'.³ These lines were written at the end of October 1920, i.e., at the end of the period of War Communism.⁴ But Lenin's formula has a general character and defends, even more forcefully than necessary, my basic framing of the question of the struggle between two systems against any accusation of a divergence from Leninism. I emphasise once again that for me the issue is absolutely not one of *what real concessions the workers' state must make to the peasantry*. This is an altogether different question that I am not dealing with in this article. It is also useful to recall the words quoted from Lenin for another reason. It is only through a vulgar understanding of the Leninist relation to the peasantry during the period of NEP that Leninism in this area can be regarded *merely* as meaning maximal concessions to the peasantry. Lenin set out and defended concessions to the countryside as a communist, i.e., he put them forth in the name of strengthening the concrete foundation of the proletarian dictatorship; above all else, these concessions had achievement of this fundamental goal in view, and in his eyes they were never an end in itself. Comrade Bukharin knows all of this and a good deal more of what is written in the collected works of Vladimir Il'ich. But his attacks on me concerning this point have the sort of character that would suggest he sees no need to dissociate himself from a vulgar interpretation of Leninism. After all, mere repetition of the words 'worker-peasant bloc', without any analysis of what the real relationship is between the systems of economy represented by these classes, only reinforces a vulgar, philistine, petty-bourgeois understanding of Leninism on the peasant question, an understanding that spontaneously attracts those groups of Soviet society that reflect the pressure of the country's hundred-million mass of peasants.

2 Lenin 1965a, p. 373.

3 Lenin 1965a, p. 374.

4 [The source given by Preobrazhensky for footnotes 2–3 is incorrect. Preobrazhensky cites a note by Lenin entitled 'A Contribution to the History of the Question of the Dictatorship', dated 20 October 1920 and published in No. 14 of *Kommunisticheskii internatsional*. For the English translation of that note see Lenin 1966a, pp. 340–61. The correct reference, as indicated in our notes 2–3, should be to Lenin's speech on 19 May 1919 to the First All-Russian Congress on Adult Education.]

2 On 'Devouring' the Petty-Bourgeois Economy

On this matter, as on the question of colonies and in many other parts of his article, comrade Bukharin first erects a windmill and then aims and fires at it with an appearance of being deeply convinced that he is in the right.

At one place in my article, I wrote of the fact that the socialist form of economy cannot survive in the encirclement of commodity production on the basis of peaceful co-existence. I mentioned that the very existence of these two systems, even when included within the country's common economic system, inevitably leads to the fact that socialist production will in some cases subordinate the petty-bourgeois economy to itself, in other cases make it adapt, and in still others swallow it up, or else it will itself be dissolved by the spontaneity of commodity economy. In this context, the word 'devouring' is a synonym for the victory of one system over the other. This word 'devouring' allows comrade Bukharin to assert that I am deviating from Leninism in my understanding of the peasant economy's further evolution.

In the first place, I consider my assertion to be such an elementary truth, repeated many times by Lenin, that it is simply absurd to defend it. To object to this idea is only possible if one begins from the proposition that the struggle of two systems in our country has ended with the establishment of equilibrium between them, so that between socialism and commodity economy there has been a peaceful delimitation of economic 'spheres of influence' and the two systems are developing without invading the territory of the other. Just how foolish this idea is will be clear at the first attempt to think through the relationship between the economy of the USSR and world capitalism. Our domestic capitalism, our simple commodity production that nourishes this capitalism, and our merchant capital are cut off by our monopoly of foreign trade and our tariff barrier from the world capitalist economy, i.e., from the main forces of our enemy. As a distinct separate detachment of the world capitalist economy, our domestic capitalism, with its base of simple commodity production, has been cut off by us, surrounded and subjected to a corresponding attack by the state economy in this artificial milieu that is guarded by the entire state and its armed might. But imagine for a moment that this dam is breached by world capital. What would happen? The result would be the devouring of our socialist economy by the capitalist system; in the process, the forces of our domestic capitalism and commodity production as a whole would play an extremely active role in the funeral of the first experiment of socialist industry. This possibility knocks all the more forcefully at our door, the greater is the pressure on us from capitalist countries on the economic front, the more the capitalist countries really begin to think of us in their calculations as a market for sales, as a source of materials and as a sphere for applying exported capital.

On the other hand, however, the more successfully our state economy develops, and the more forcefully it binds the country's entire private economy to itself, the more suc-

cessful is the process of subordinating pre-socialist forms of economy to socialist forms, of making the former adapt to the latter, and ultimately of the latter absorbing them.

Of course, for Russia this whole process will be incredibly long and incredibly slow; it will occur at different tempos in different periods, with interruptions, pauses and a new movement forward. But however slow this process may be, especially up to the time when the proletarian revolution in the West comes to our assistance, it still advances and must advance if our state economy is generally destined to survive. Equilibrium will come only when the private economy approaches the level of the socialist economy, i.e., when it will be liquidated precisely as a private economy.

But comrade Bukharin fastens upon the word 'devouring' not for a debate over the essence of the matter – how can there be any general dispute here? – but rather to attribute to me a concrete plan for this devouring, namely, development of the proletariat's 'own' *agriculture*, i.e., development of Soviet farms that must 'devour' the peasant economy in conditions of the proletariat's general pressure upon the countryside. In this case, the proletariat acts 'by analogy with the knights of primitive accumulation'. After composing such a scheme for me, which has no relation to what I in fact said, comrade Bukharin decisively announces that 'all of this is fundamentally incorrect'.

What is fundamentally incorrect, first and foremost, is everything that comrade Bukharin attributes to me here. Nowhere in my article did I mention a single word about proletarian farming in our country. I did not refer to it even once in dealing with the question of paths of socialisation for our peasant economy. I speak of the proletariat's 'own agriculture' only in relation to the leading industrial countries, once the proletariat is victorious there and today's large-scale capitalist agriculture is transformed into socialist agriculture. Comrade Bukharin can find nothing of this sort in my work, although this was a necessary prerequisite for the scheme that he attributes to me and upon which he concentrates his fire. Here he has not hesitated in operating with a device that is long established in a certain kind of polemics and consists of 'substitution'. As a friend, I am very sorry for comrade Bukharin, because he would not have resorted to this method were it not a matter of extreme necessity. I think that at some other time it would be more interesting for him to debate the essential issue if he were not constrained by certain political tasks when entering into a polemic with me. I did not speak of proletarian agriculture in our country because it will scarcely play any significant role for the foreseeable future. Only in the event of proletarian revolution in Europe can we expect much interest from the western proletariat in our uncultivated lands, which might significantly change the whole picture. In general I only spoke of, and for now one can only speak of, a basic form of the socialisation of agriculture, i.e., of the peasantry's agricultural production cooperatives.

How do matters stand in this regard?

On this subject I write the following in my article:

Small-scale production divides into three parts. One part remains as petty production over a long period; another enters into cooperation along capitalist lines; and the third, bypassing the latter process, unites on the foundations of some new kind of cooperation that represents a special type of transition of petty production to socialism and involves neither capitalism nor simple absorption of petty production by the state economy.

This new form of cooperation under the dictatorship of the proletariat, one of whose streams evidently consists of peasant communes and artels, still has to develop. We cannot, for that reason, give a theoretical analysis of something that does not yet exist but is only about to arise.

pp. 100–1⁵

Comrade Bukharin also cites this passage. How correctly he understood me, or more accurately, how accurately he presents my views, can be seen from the conclusion he drew from the words just quoted. Comrade Bukharin writes: 'Comrade Preobrazhensky thinks that the laws of evolution in agriculture have remained the same under the rule of the proletariat as under capitalism'. In other words, comrade Bukharin asserts that in my article I see the main road to socialisation of agriculture in the devouring of this economy by the state economy. All of this is completely untrue and totally contradicts what I wrote in my article. Nowhere did I speak of which route would be the primary one or of the time frame for development of all the processes connected with socialisation of the peasant economy. The essence of my view on this question is the following: for the present, *no one knows or can know* how agriculture will be concretely transformed into a type of agricultural cooperation in production that will be the transitional stage to the socialisation of agriculture. This reluctance in a scientific work to describe something that does not yet exist in real life will be understood by anyone who first of all has studied Lenin (recall how Lenin defended our programme at the VIII congress of our party), and who secondly understands how science differs from belles-lettres. In my work *From NEP to Socialism* I analysed this question in quite some detail, but I did so in the form of an hypothesis, for to fulfil comrade Bukharin's wish in this regard is possible only in the form of an hypothesis and a utopia. On the question of the evolution of peasant agriculture, that book not only includes what comrade Bukharin parades against me after a delay of two years but also goes beyond that.

However, comrade Bukharin finds all of that unconvincing. How so? Preobrazhensky [according to Bukharin] thinks he can give an analysis of the law of accumulation in the eighth year after the proletarian revolution in our country and prior to the revolution in the West, but with regard to agricultural cooperation he refuses to say anything at all.

5 [In this edition see Part 2, Chapter 5.]

He does not polemicise with Lenin, who, after all, set out a specific and far-reaching plan that was at the same time a theoretical projection; he simply 'asserts' that it is not possible to give a theoretical analysis of something that does not yet exist but merely has yet to appear. In our view this is simply a subterfuge.

In the first place 7 years, generally speaking, is a short period but it is still sufficient for undertaking a theoretical analysis of what has occurred over this whole period and of what is happening before our eyes. I remind comrade Bukharin that he too – before the revolution in the West, and not 7 years but only 2 years after our revolution – undertook an exposition of 'the general theory of the transformation process' (*The Economics of the Transition Period*). Secondly, if I disagreed with Lenin concerning the role of cooperation, I would write about it directly. Lenin's works are not the *Talmud*, and Leninists have no need to be Talmudists. Thirdly, what Bukharin demands of me is not to be found in Lenin's article 'On Cooperation', i.e., there is nothing concerning the forms and paths of producers' cooperation in the countryside, only a statement in principle concerning the role of cooperation in a peasant country. Lenin could say nothing on this point because he had no love for utopias and never involved himself in devising them. In the fourth place, I not only agree completely with Lenin's article 'On Cooperation', but in all my contributions during the discussion of 1923 I emphasised the programmatic significance of this article, pointing out that the importance of the article was not sufficiently understood by the party, and just about every resolution that I proposed included a corresponding point that referred to this article. The fact that comrade Bukharin was compelled here to invent a new contention concerning my imaginary disagreement with Lenin on this point only proves how difficult it was for him to accomplish his political and polemical task without distorting the meaning of my words.

Now I turn to the essence of this whole question. We shall see here that my conception of accumulation not only does not contradict Lenin's last article 'On Cooperation' but, on the contrary, has a direct internal connection with it. What, in fact, does Lenin say in this article?

A social system emerges only if it has the financial backing of a definite class. There is no need to mention the hundreds of millions of roubles that the birth of 'free' capitalism cost. At present we have to realize that the cooperative system is the social system to which we must now give more than ordinary assistance, and we must actually give that assistance.⁶

⁶ Lenin 1966b, p. 469.

In the same article Lenin speaks of how we must materially support cooperation. Comrade Bukharin also cites this passage to demonstrate my divergence from Lenin, but he discreetly leaves out the sentence that speaks of how much the birth of free capitalism cost. Meanwhile, the thought expressed in this sentence points directly to the problem of accumulation. In fact, if cooperation in the countryside can only advance quickly with 'the financial backing of a definite class' – in this case, with support from the ruling class – then the first question that arises here concerns where these resources are to come from in a Union of 22 million peasant households. A credit of 100 roubles per household already comes to 2 billion; a credit of 50 roubles comes to a billion. In order for credit to the peasant economy to have a serious effect, billions are needed; in order for it even to be noticeable at all, hundreds of millions are required. Where will the proletarian state acquire them? Where will they come from if the restoration of fixed capital in industry and the expansion of circulating capital even to pre-war levels require at least a billion in coming years? Indeed, the latter credits are most urgently needed. I am not saying that credit for the countryside and assistance in the formation of peasant cooperatives is a hopeless prospect. On the contrary, I consider that long-term credit, especially, will play an enormous role in the development of rural cooperatives in our country and will, at the same time, represent the most important element in linking industry with agriculture. But a plan for the development of long-term credit is not hopeless only insofar as successes in primitive socialist accumulation are not hopeless. In fact, until the period of primitive socialist accumulation is completed, long-term credit – indeed, any credit – to the countryside, while it will increase, cannot be particularly extensive. Only when the period of primitive socialist accumulation is completed and industry stands on a new technical base – only then can the stream of values from the city to the country, through the channels of long-term credit, become a wide river. The following example demonstrates how matters actually stand in this area. During the past half-year industry invested in cooperatives, through the process of trade on credit, only 100 million roubles. But even this sum has now proven beyond its capacity; it has had to beat a retreat and enlarge the volume of deliveries to private capital for ready cash. This fact cries out loudly enough about how impoverished our state economy is and what enormous efforts it will have to make in the matter of accumulation.

Thus the assistance to cooperation that Lenin mentioned – along with other forms by which the city finances the countryside that he did not mention – is possible only on the basis of enormous successes of accumulation in industry. Until these successes occur, our assistance will be modest and will often be more likely to irritate the peasantry by its miserliness, compared to our inevitably large expenditures on the apparatus, than to evoke a sense of gratitude to the class that is extending the credit. And I believe that it will not be difficult to explain all of these thoughts to the

broad mass of the peasantry, who are quite capable of grasping elementary concepts concerning our economy as a whole.⁷

That is the first point. And secondly, in the passage quoted from my article I spoke of agricultural cooperation in production, whereas Lenin, in his article, speaks about cooperation in general and among consumers in particular. Nowhere does he say that a large part of the peasantry will form cooperatives in production simply through exchange, that is, mainly through consumers' cooperatives. We can move towards cooperation on a production basis in our country from the exchange side, including long-term credit, from the side of electrification, and also through the developing use of tractors for working the land. What this still unknown agricultural cooperation in production will look like, and what will be the main way of approaching it, or by what combination of approaches we will carry it out – this is something no one currently knows, and that is why Lenin did not mention a word of it in his article. But he does speak of financial support for cooperation coming from the ruling class, and thus he brings us directly to the question of accumulation in the state economy. If comrade Bukharin is convinced that formation of cooperatives in the countryside will proceed exclusively or mainly through exchange, which, generally speaking, cannot be excluded and is even quite likely, then he has first of all to prove this, especially since he asserts that this issue is omitted in my article. Let him demonstrate precisely how cooperation will advance beyond the sphere of exchange to embrace production. If he writes more on this theme than I did on the same question in the book *From NEP to Socialism* and in my articles on long-term credit, and if he writes more than others have done on this theme, we shall be grateful to him. But let him write something instead of hiding behind Lenin's article, which does not deal with this question at all in such concrete terms.

But if Lenin says nothing in this article about how he anticipates transformation of the peasant economy, and if this article says nothing concerning the role of large-scale industry in this transformation, there are other places in his speeches and articles where he frequently deals with this question. In order not to prolong our exposition, we shall mention just a few of these passages. In his speech to the VII All-Russian Congress of Soviets Lenin said:

Anyone who has carefully observed life in the countryside, as compared with life in the cities, knows that we have not torn up the roots of capitalism and have not undermined the foundation, the basis, of the internal enemy. The latter depends

7 This is precisely why we must not scatter our modest resources when extending credits to the countryside but instead concentrate on lending to the peasant as a producer, not as a consumer. In the former case that means maximum credits for a plough, a tractor and other means of production, with preference given to collectives.

on small-scale production, and there is only one way of undermining it, namely, to place the economy of the country, including agriculture, on a new technical basis, that of modern large-scale production. Only electricity provides that basis.⁸

In his report on the tax in kind, delivered to the All-Russian Party Conference on 26 May 1921, Lenin said:

Large-scale industry is the one and only real basis upon which we can multiply our resources and build a socialist societywe can, must and will lay the basis of large-scale industry for our economy. Without it, no real socialist foundation for our economic life is possible.⁹

Speaking to a session of the III Congress of the Comintern on 5 July 1921, Lenin said, among other things:

We say: large-scale industry is the only means of saving the peasantry from want and starvation. Everyone agrees with this. But how can it be done? The restoration of industry on the old basis will entail too much labour and time. We must give industry a more modern form, i.e., we must adopt electrification. This will take much less time.¹⁰

I do not expect that comrade Bukharin will accuse Lenin of under-estimating the role of the peasantry and over-estimating that of state industry. Nor, I think, will he decide to accuse him, in the first of the passages cited, of putting forth the prospect of 'devouring' the peasant economy when he mentioned the electrification not only of industry but also of agriculture. But comrade Bukharin must think carefully about one issue that automatically arises here. How does he propose to balance his complaints against me with the words quoted from Lenin? This brings us to the central point of our dispute. The fundamental question is the following: either comrade Bukharin must demonstrate that Lenin's article 'On Cooperation' contradicts the above-mentioned quotations from Lenin, and then, in the event that he does so successfully, he would have grounds for talking not about my departure from Leninism but rather of his own departure from everything that Lenin wrote and said prior to this article 'On Cooperation'; or else he must demonstrate that Lenin's article does not contradict but merely elaborates in a particular area the views that Lenin developed previously concerning the prospects of our economic development, views that he developed in a general way concerning not

8 [Lenin, 'Report on the Work of the Council of People's Commissars', in Lenin 1966a, p. 516.]

9 [Lenin, 'Report on the Tax in Kind', in Lenin 1965b, p. 408.]

10 [Lenin, 'Report on the Tactics of the Russian Communist Party', in Lenin 1966b, p. 493.]

just the question of peasant cooperation but also the overall prospect of our socialist movement forward. In the latter case, however, comrade Bukharin would have to withdraw the entire argument that he has constructed against my article. In that case he must adopt a balanced understanding of Leninism, but there is no balancing on this issue. The question is straightforward: it is either-or.

Personally, I am convinced that Lenin's article on cooperation does not contradict all of the views that Lenin developed regarding the future of socialism in our country. Cooperation among the peasantry, whatever forms it may take, is only part of the general question of our socialist movement forward. Without rapid development of the state economy, there also cannot be a sufficiently rapid development of peasant cooperation unless it would be cooperation directed against us. And any rapid development of state industry is impossible without a sufficiently rapid accumulation within our state industry. To investigate the conditions of this accumulation, its successes and the obstacles that it encounters, is to investigate one of the most fundamental questions of our country's socialist development. Comrade Bukharin's objections against me would make sense only in one single instance: if he were thinking of revising all of our party's views on the perspectives of our economic development, as well as the understanding of the dictatorship of the proletariat and the basic line of our relations with the peasantry, which we have held from the moment when we adopted a course towards the socialist revolution and the socialist reconstruction of a society emancipated from the power of capital. But that revision would be a revision of Leninism not in a polemical sense but in the real sense of the word, in which case comrade Bukharin's arguments would aim far beyond the modest mission involving my article in the present case.

As we have partly demonstrated above and shall now see, comrade Bukharin has also overdone his polemic and failed to establish a Leninist balance in his arguments on another question that is enormously significant – the question of the worker-peasant bloc in conditions of the dictatorship of the proletariat.

3 The Worker-Peasant Bloc

Comrade Bukharin said a great deal throughout his article on the theme of the worker-peasant bloc. But everything he says absolutely misses the point; all of his general formulations, to the extent that he presents Lenin correctly, are completely indisputable truths that that no-one in our party contests. And insofar as he presents my article inaccurately and incorrectly, they have nothing to do with me and I have no need to be reminded of them. All of his efforts to demonstrate that my theoretical construction contradicts the Leninist position regarding the worker-peasant bloc turned out to be totally barren. He cannot quote *even a single line* from my article to demonstrate

his contentions, and the reason why he cannot do so is that I do not touch upon this problem for the time being and it will have to be considered after an analysis of the economics of industry and agriculture. I have already mentioned that I have yet to clarify, in pure form if possible, the tendencies of development in our commodity economy and thereby to ascertain the economic basis of those forces (the petty producers), with whom a bloc must be achieved. Comrade Bukharin's strongest argument against me is that I explore the problem of primitive socialist accumulation by comparing this process with facts taken from the epoch of primitive capitalist accumulation. Comrade Bukharin thinks this is a 'monstrous' analogy because there can be no bloc between the knights of primitive accumulation and their victims.

To begin with, if I develop my views by comparing two economic systems and two epochs, this refers above all to the method of *exposition* and not to the essence of the overall construction. Some other method of exposition may be possible, without any comparisons involving similarities and differences, but that would not alter the concept in any way, and in my opinion it would suffer for not providing a more graphic illustration of the different aspects.

Secondly, since when is a scientific comparison – say between man and the dog – humiliating for homo sapiens? I do not understand why, for example, we cannot scientifically compare the proletarian state with the bourgeois state, or our justice system with the capitalist one, etc. Is the proletarian state really less proletarian because of this comparison? Can we not see better and more clearly the unique features of the proletarian state when we compare it to that of the bourgeoisie? All of this is so obvious that it is tedious to repeat it instead of taking up the investigation of new problems. But comrade Bukharin is also unlucky on this point from another perspective. By an irony of fate it is precisely in Lenin's article 'On Cooperation', and precisely in the sentence that comrade Bukharin discreetly omits from his quotation, that Lenin – with no embarrassment whatever about disrupting the worker-peasant bloc – discusses how much cost was involved in the birth of 'free capitalism'; that is, he compares the builders of socialism – oh horror! – to the knights of primitive accumulation. But if the 'right to compare' requires logical justification, especially with quotations from Lenin, all that this shows is the theoretical blind alley we can stumble into if each successive step in a scientific study of our economy involves climbing over the sort of barricades posed by the article that we are deciphering from comrade Bukharin.

In my comparison, I limited myself to an analysis of economic systems from the point of view of the material exchange between them. I did not touch upon inter-class relations in our economy precisely because politics is concentrated economics, and one must first provide an analysis of the economy, with all its tendencies taken in *pure form*. I do not know, but perhaps comrade Bukharin, in a similar investigation, would take a different approach, i.e., he might begin with politics, then turn to economics, and then return again to politics. It seemed to me that such an approach is

much longer, requiring inevitable repetitions, and it is also awkward because causes would often be confused with the consequence. After all, the law of primitive socialist accumulation is a law rooted in the economy of the state sector. In order to get to politics, to a concentrate of the whole, it is necessary in our circumstances to analyse, as I have already mentioned, the laws of commodity economy, which is based above all in the private economy, and also world capitalism's influence upon us. When comrade Bukharin accuses me of eclecticism and of saying very little about politics, that simply shows that it is precisely in the interest of politics and a political polemic that he has made no effort to understand either my method of investigation or my method of exposition.

But since comrade Bukharin puts words in my mouth and is himself tempted by the method of analogies, I must briefly mention the relations of the proletariat with the peasantry from an historical-sociological point of view. Let us begin first of all with an analogy from comrade Bukharin. I shall quote his words:

Today the working class controls power and industry; the peasantry has factual control of the land and agriculture; the peasant sells agricultural products and purchases industrial products; the worker generally does the opposite. Their direct interests clash precisely along this line. Moreover, the peasant is a residue from ancient times, albeit a 'residue' of enormous relative weight.

This has no resemblance to the relation between the knights of accumulation and the peasants. What it does resemble is the relation between the industrial bourgeoisie and the landowners at a certain stage of their development, although even here, of course, the analogy is extremely tenuous and does not take us very far in any direction.

The bourgeoisie has power and the factories. The landowners have the land. The contradiction between their interests occurs along the line of price. *Hence* their struggle, which sometimes and in certain circumstances is quite acute. *But at the same time* (we are speaking of the *bourgeoisie's* period in power), this is a *bloc*, an alliance of the capitalist and the landlord against the working class. The bourgeoisie leads this bloc; the bourgeoisie *relies* upon the landlords and is supported by them.

What has the *evolution* of these classes been in recent times? It involves the fact that through the process of circulation, through banks, through the form of joint-stock companies, etc., both of them (i.e., both the industrial capitalists and the landlords) have gone a long way towards conversion into a single group – the recipients of dividends. The dividend has become, so to speak, a synthesis of previously diverse types of income; at least this was (and remains) the basic tendency of development in the sphere of relations we are considering.

Something formally similar will also occur, in a broad historical context, with the worker-peasant bloc. To the extent that the peasant economy, through the circulation

process, will more and more be drawn into the socialist orbit, class distinctions will be erased and will disappear in a classless society.

Of course, this is music of the future. To be sure, different problems are on our agenda, but we must see the prospects in order to be 'flexible' in our direction. 'And the prospect that comrade Preobrazhensky starts from is fundamentally mistaken'.

I have no objection to exploring the question on the plane of the analogy that comrade Bukharin puts forth here. I simply object once again, categorically, to having this analogy counterposed to my own. I said that the socialist system must be nourished not only from its own resources but also from the resources of pre-socialist forms, just as early capitalism was nourished in its development from the resources of pre-capitalist modes of production. As we have seen, comrade Bukharin agrees with me on this basic point, challenging only the terminology. Meanwhile, my analogy does not extend beyond an analysis of the exchange of things between systems and the balance of the exchange. But comrade Bukharin raises a new question and pursues the analogy on a completely different plane.

What is the weakness in comrade Bukharin's analogy?

It is that by adopting 'broad historical dimensions' he has vaulted beyond the specificity of the *current period*, and he has done so deliberately because his analogy, as opposed to my own, serves precisely no purpose unless one takes *arbitrarily chosen periods* of the relations being compared rather than *analogous historical periods* in the development of the classes being compared. We are presently in the stage of the first years of socialism. For these early years and initial decades it is necessary to take the corresponding period in the history of capitalism, i.e., roughly speaking, the period prior to the bourgeois revolutions or at least the epoch of those revolutions. And this period fundamentally differs from the epoch when the serf-owning landlord was transformed into the capitalist landowner, when not only capitalist industry but also capitalist agriculture coalesced with the banks. That epoch was preceded by the most intensive class struggle of the urban bourgeoisie against the large landowners, a struggle in which the large landowners joined with the priesthood in a bloc against the third estate. During this epoch the bourgeoisie 'does not lean upon the landlords' but is often pushed from power by the landlords through a series of counter-revolutions or else is compelled to make the most serious compromises – compromises that delay bourgeois development, diverting it onto the Prussian rather than the American path (to use Lenin's terminology).¹¹ That is the first point. The second point is that the bloc between these classes comes about, in the final analysis, precisely on the basis of the large-scale capitalist mode of production, which converts the feudal estate into the capitalist agricultural

11 [For Lenin's distinction between Prussian and American agriculture, see Lenin, 'The Agrarian Programme of Social-Democracy in the First Russian Revolution, 1905–1907', in Lenin 1962, pp. 238–42.]

factory, overgrown with sugar mills, distilleries, breweries and other factories. Yet the state economy of the proletariat and today's peasant economy represent *two distinct types of economy*, whose unification requires a protracted historical period of struggle between these forms and adjustment of the lower forms to the higher ones.

In order to draw his 'extremely provisional' comparison, comrade Bukharin is obliged to leapfrog over this period, whereas the whole issue consists precisely of showing how we will move through this period and how, in the first place, we will move through just the first two decades of Soviet power, during which time the class struggle will not generally come to an end but merely changes form. When comrade Bukharin says that these constructions are just music of the future, and that 'today's agenda involves different problems', he thereby completely devalues his own construction precisely for today's purposes. He recognises himself that he is telling us nothing about *today's tasks or the real relations of the present*.

What is the essence of the worker-peasant bloc? It is that the proletariat, as the ruling class and therefore the class that answers for Soviet society as a whole, leading the peasantry in its struggle for survival of the Soviet system, thereby fulfils its great historical mission of the development and strengthening of a new type of economy and struggles against all of the vacillations, disappointments, resentments and retreats from that goal on the part of its ally.

Against whom is this alliance directed? Against domestic forces – the landlords and capitalists – and, after their defeat, against world capital above all. Here the peasantry inevitably wavers, because the penetration of our system, a rupture of the monopoly of foreign trade and the tariff barrier, promises the peasantry a less expensive foreign commodity and a somewhat higher price on agricultural products, i.e., promises an improvement from the viewpoint of today. But, at the same time, this rupture means the victory of world capital over our Soviet system, and thus payment to this capital of 18 billion roubles in gold by one account, or 16 billion by another, for pre-war and wartime debts and other claims. That sum would be sufficient for the complete restoration of our industry and agriculture far beyond the pre-war level. Such a turn of events would be much worse than all the temporary benefits that the peasantry would receive by exchanging the bloc with the proletariat against world capital for a bloc with capital against the proletariat, not to mention the fact that such an outcome would mean the conversion of our country into a colony. If things were to go so far as a war against the capitalist countries, then for success in such a war a corresponding attitude on the part of the peasantry is obviously of paramount importance. But no less important are successes in industry, without whose development, and without whose success, successes on the military front are impossible.

The worker-peasant bloc must not be regarded only from the viewpoint of a compromise with the countryside. We need this compromise not as an end in itself, but in order that the peasantry, in one of its waverings to the side of capital, not truncate the

structure of world-historical significance that the proletariat is erecting in the form of the state economy, with all of its potentials, including potentials for the peasantry itself. From this point of view, the following excerpt from our programme – and everything that Lenin said concerning the bloc of workers and peasants – does not at all contradict the viewpoint that I put forth in my article, because that exposition is an analysis of the conditions for survival and development of the system in whose name we are now entering into necessary compromises, which we will continue to enter into in future to the extent that they will prove necessary for preservation of the proletarian dictatorship and for preventing disruption of the developing state economy. Here is what we read on that point in our programme:

In relation to the middle peasantry, the policy of the vkrp [All-Union Communist Party] consists of a gradual and planned inclusion of them in the work of socialist construction. The Party assumes the task of separating them from the kulaks, attracting them to the side of the working class through an attentive attitude to their needs, struggling with their backwardness by measures of ideological influence and by no means using measures of compulsion, endeavouring in all instances where their vital interests are affected to reach practical agreement with them, making concessions to them in determining the ways in which socialist reforms are implemented.

All of this has been firmly adopted by our party; none of it has required nor does it require any revisions; and none of it, so far as I know, has until now met with any call for revisions. In our party there is no such madman who would fail to understand that if the whole building of the proletarian dictatorship is shaken to its very foundations due to a rupture between the proletariat and peasantry, then the proletariat will also not fulfil its historic task in developing the state economy.

But, on the other hand, it would be a vulgarisation of Leninism if, when presenting a Leninist understanding of the problem of the worker-peasant bloc, we avoided illuminating the other side of the question: the goal of our concessions, their limits, if only in general algebraic terms. It was not for nothing that Lenin often addressed this theme. It is enough to quote the following words from his report to the All-Russian Party Conference on 26 May 1921.

The enemies of the Soviet power discuss the formula of agreement between the working class and the peasantry with such frequency, and so very often use it against us, because it is so vague. Agreement between the working class and the peasantry may be taken to mean anything. Unless we assume that, from the working-class standpoint, an agreement is possible in principle, permissible, and correct only if it supports the dictatorship of the working class and is one of the

measures aimed at the abolition of classes, then, of course, it remains a formula on which all the enemies of the Soviet-power, all the enemies of the dictatorship, operate.¹²

But the point is that the dictatorship of the proletariat can be endangered not only insofar as we fail to 'get along' with the peasantry, due to errors of policy in relation to the countryside, but also because our economic base may develop more slowly than capitalist economic shoots on the basis of commodity economy. And in this case it will be difficult 'to get along' *precisely due to the slow development of industry*. And that is why, in the interests of this bloc and of assessing its fortitude, we must study everything that occurs within our state economy. We must study most attentively the fundamental preconditions for development of our economy. Only after such study shall we be in a position to know, at any given moment, how matters stand with our base, what is the condition of the production base of the leading element of the bloc, what its resources are for making concessions to its ally, and what the natural limits are for these concessions.

Under the dictatorship of the proletariat, the unique conditions of the peasantry consist of the fact that this class is not a ruling class in the customary sense of the word, yet it also is not an oppressed class, even though it represents a lower form of production that must be defeated and transformed through the activity of an historically higher form. On the other hand, we see in our system the following interesting phenomenon. Part of the ruling class, that is, a section of the workers, is intimately connected with the peasantry in economic terms; therefore, within the depths of the ruling class itself, the peasantry has its natural representation. The growth of state industry, and the new flows of labour power from the countryside that will stream into it, will ensure this system of representation for many long years into the future – representation that is perhaps no less important than the rights given to the peasantry according to our Soviet constitution. The proletariat and peasantry, in our Soviet society, are connected vessels. With a disturbance in the peasant sea, the waters of the proletariat are always likewise stirred. Analysis of the proletarian dictatorship in a peasant country, from precisely this point of view, would be far more fruitful than an arbitrary comparison of the peasantry with the landlord class and of workers with the capitalists – a comparison that violates all historical perspectives.

Finally, an analysis from this point of view is even more important for another reason. Our current peasant economy, in terms of its type, differs very little from the pre-war peasant economy; the changes within it are, unfortunately, still very minor. Meanwhile, our economy and the direction of its development, and likewise the relations between the peasantry and the ruling class, have fundamentally changed compared to

12 [Lenin, 'Report on the Tax in Kind', in Lenin 1965b, p. 404.]

the pre-revolutionary period. Consequently, the transforming centre is the city and the state economy, and thus the new type of bond between classes and the new foundations of Soviet society, as a social formation not previously seen in history, must be studied from the viewpoint of the transforming centre, which is what I do in my work.

4 Concerning Economic Policy

Here, though it may be tedious, it is necessary first of all to free ourselves from the 'substitutions' of comrade Bukharin in the interpretation of my text. I write in my article:

... [T]he idea that the socialist economy can develop on its own, without touching the resources of the petty-bourgeois economy, including the peasant economy, is without doubt a reactionary petty-bourgeois utopia. Here the task of the socialist state consists not of taking less from petty-bourgeois producers than capitalism took, but rather of taking more from an even larger income, which will be assured to petty production by the rationalisation of the entire economy, including the small-scale economy¹³

We have seen above that comrade Bukharin agreed with the fact that the state economy cannot avoid using additional resources from petty production. We have taken such resources up to now, we are taking them currently, and we shall inevitably take them in future. How amazed we are when this perfectly indisputable idea is regarded by comrade Bukharin as an arrow aimed at 'the petty-bourgeois policy of our party'. It is astonishing how comrade Bukharin failed to notice this contradiction in his own article. Generally speaking, I am only describing here what has happened up to now in our country. If comrade Bukharin examines our state budgets for recent years, and if he turns his attention in those budgets to the graph showing estimated allocations to industry, he will see that our real policy has been precisely the one that I described and that must continue during the period of primitive socialist accumulation. This policy has been implemented despite pressure from the country's petty-bourgeois mass. And in future, as comrade Bukharin has agreed, we shall have to take resources from the private economy for the restoration and development of industry, for technically re-equipping it. If I speak of petty-bourgeois utopias it is because, first of all, there are never *peasant countries without petty-bourgeois utopias*, and secondly, because in future we may encounter an attempt to revise economic policy on this point. This is something we must anticipate and struggle against. The best means of combatting attempts to

13 [In this edition see Part 2, Chapter 5.]

revise our economic policy in this direction is to study the conditions of existence and the prerequisites for development of the state economy.

Comrade Bukharin has formulated my viewpoint in the sphere of pricing policy with two words: 'Take more'. To put it mildly, this is a blatant falsehood. I never once spoke in my work of a rise in prices. I expressly stipulated that the policy of accumulation in our country is not only possible but will in fact proceed along with falling or stable prices. Comrade Bukharin's assertion is a distortion of both the text and the meaning of my words. My real viewpoint concerning this question is the following. A correct pricing policy for the products of state industry must pursue the following three goals: accumulation for expanded reproduction and for technically re-equipping industry, a rise in wages, and a reduction in prices. Can these goals be achieved simultaneously? Are they not contradictory? They can be achieved. There would only be a contradiction in the event that the entire economy found itself in a stable condition, and if that stable condition included the magnitude of incomes in both the state and the peasant economy. In that case, accumulation could only occur at the expense of a wage reduction or a price increase; a price reduction would only be possible at the expense of accumulation and a wage reduction, etc. But, with the growth of labour productivity, this three-pronged problem can be solved simultaneously. Comrade Bukharin is preaching to me the very things that I knew and said long before he did. With the accuracy typical of his article, he says that I am dealing only with the division of a stable income. I have no need for such edification. But it may help comrade Bukharin, for if he understood this point he would be able to grasp what follows in my exposition.

And so, with the growth of labour productivity, the three-pronged problem can be solved. This is also, essentially, the formula for the bloc of workers and peasants with regard to the most important point in the economic field. I shall provide a numerical example. If, let us say, our industry in a given year – thanks to a more complete utilisation of the enterprises, an improvement in technique, more productive labour by the workers, a better organisation of the entire process, and more planning throughout the whole of the state economy – produces a unit of output 10% more cheaply; and if, translated into money for the total production, it yields, let us say, an extra 150 million, then the correct policy for prices will consist of this 'saving' being distributed in three ways: to accumulation, to a reduction in prices and to an increase of wages. Such a distribution is itself not merely a function of the growth in production and labour productivity, but also its necessary prerequisite. Only with such a system of distribution is it possible not just to stimulate the sale of a growing mass of products and gradually to satisfy the needs of the countryside (which is only one of the conditions of the task and not the whole task) but also to meet two other conditions without which no advance is possible. *The financing of rising labour productivity, i.e., an increase of wages, is the necessary condition for avoiding stabilisation in this area. Finally, it is only by ensuring accumulation that a further development of production will be possible.*

Expansion presupposes the availability of new capital in different proportions, '*in natura*' and allocated to all branches, as the most imperative condition for expanded reproduction in the following stage. Just as expansion of capitalist reproduction is impossible without a volume of surplus value that exceeds consumption by the class of capitalists and the groups they maintain, so without a determinate volume of surplus product on the part of state industry its further development is inconceivable. The ideal pricing policy for us is a policy in which the level of prices, despite their reduction on the basis of successes in production, anticipates not just reproduction but expanded reproduction plus electrification, and all this is ensured automatically from one cycle to the next. If such a policy is not possible for certain branches, it is all the more imperative in this process to rely upon the influx of resources from spheres that lie beyond the limits of the state economy. The extent to which approximation to this ideal is presently possible is an altogether different question. Here, we must inevitably take into account all the conditions for resolving the tasks, including the relatively slow growth of accumulation in the peasant economy, the relatively *slow* growth of its purchasing power, the problem of proportionality in the development of industry and agriculture, the volume of a given year's harvest, the volume of possible exports, prices on the world grain market, prices for all of the exported items, etc. etc.

When implementing such a policy of reducing prices, we encounter one important difficulty. Insofar as most of retail trade is in the hands of private capital, our policy of reducing prices, in branches where production lags behind demand, runs into a most serious difficulty that is paralysing the policy of price reduction for the consumer. Since a large portion of retail trade is in the hands of private capital, with a reduction of prices, in the conditions of a goods famine, we inevitably have accumulation precisely in the sphere of private capital.¹⁴ A large portion of the reduction falls into its hands, and we achieve only a partial improvement in the position of the consumer, especially the rural consumer. If the price reduction disrupts the process of accumulation, i.e., the possibility of expanded reproduction in a given branch, then the road is closed for us for to achieve a real reduction at the next stage. The point is that expansion demands additional capital. If we have not acquired this additional capital in the preceding cycle, then in the following year we shall have last year's volume

14 Consider just one striking example of reducing prices when demand exceeds supply. The entire production of the textile industry for 1923/24 was estimated at 570 million roubles. With just the latest reduction of prices, this industry had to sacrifice more than 40 million roubles. What the middle or poor peasant gained from this reduction is evident from the following figures. Out of this entire production of the textile industry, last year the countryside received 35% of the cotton cloth, 27.6% of the woollens, and 9.7% of the linens. And out of the entire rural consumption of manufactures, the poor and middle peasants bought about 60%. At the same time last year's surcharge on retail prices, compared to

of production. The scissors between wholesale and retail prices will persist, and the consumer, as before, will not be able to benefit from the policy of a new price reduction. As a result, we shall have stagnation in production and high prices in retail trade. In this case it is obviously advantageous for us either not to lower prices until we have expanded production, or else to have recourse to commodity intervention if it is able, on the one hand, to eliminate a temporary goods famine, and on the other hand, to provide us with additional resources for expanded reproduction in the given branch during the following season. Hence, it is clear that a crude slogan of lowering prices, not controlled by other tasks, can in certain circumstances halt the development of one or another branch of our industry without bringing any benefit to the broad masses of consumers, particularly rural consumers. We must adopt the viewpoint not of the consumer but rather of production, and begin with production. After all, we do not yet live in a socialist society, with its production for the consumer; we live in the period of primitive socialist accumulation and under the iron heel of the law of such accumulation. Of course, a production-oriented position, including that of the conscious production-oriented worker, is not as popular as a policy of naked price reduction no matter what may happen, nor is it as popular as a consumer-oriented approach to our economy. But we must understand one thing: a policy of price reduction will avoid becoming a mere phrase for the poorer consumer only insofar as it is the result of accumulation, of expanded reproduction in the previous stage. We must proceed not from price reduction to accumulation, but rather from accumulation to price reduction. While it was easy for us to cut prices sharply in order to overcome the crisis at the end of 1923, and while this reduction also had a positive effect for production itself, that was only because we had accumulated enough for this operation in the previous cycle and perhaps accumulated even more than was necessary. With more or less normal conditions for the development of our industry in future, such leaps will be both materially impossible for us and inexpedient for the economy as a whole.

It must be added here that one of the most difficult problems of our life – the problem of unemployment – despite all attempts at its radical solution, depends entirely upon the problem of accumulation. Hundreds of millions of values, in the form of the unused labour of unemployed workers, in the form of idle factories with unused equipment and the non-economic use of capital in factories that are operating – these

wholesale, was on 1 April 1924, 31%; on 1 August, 38.5%; on 1 December, 44.7%. That means that the surcharge increased in spite of the reduction of wholesale prices. Consequently private capital in petty trade snatched for itself an enormous share of the price reduction. That is what results from the policy of reducing prices no matter what, in circumstances where there is insufficient domestic production, i.e., insufficient accumulation for expanded reproduction.

hundreds of millions are perishing and people are going hungry because we have still hardly turned to accumulation and are still managing little success in this area.¹⁵

Meanwhile, the question of unemployment concerns not only the worker but also the peasant. A special investigation could demonstrate how much today's countryside would gain, with its enormous reservoir of unused labour power, were we to succeed in establishing the pre-war relations between industry and agriculture and thereby to employ hundreds of thousands of new workers in production and still greater masses of peasants in various forms of work.

A second question that we must consider here concerns the magnitudes of taxation of the private economy in the interests of industry's development. I quoted above a passage from my article where I mentioned that our task in this area consists not of taking less than capitalism took, but rather of taking more from a still larger income. Comrade Bukharin calls this idea 'sound' (just think what an honour that is!), but he does not understand how this idea has wormed its way into the graveyard of errors that he has manufactured from my views to facilitate his polemical tasks. Yet there is nothing in my work that would contradict this idea. If, say, our peasant economy, thanks to intensification – of course, over a rather long period of time – will yield, let us say, three times more revenue than it did before the war, which is by no means a utopia (our agronomists think an even greater increase of yields is possible), then why can we not take from it one and a half times more than capitalism took? Or, to take an arbitrary numerical example: if capitalism took, shall we say, 20 roubles from 100 roubles of peasant income, why can the socialist state not take 30 roubles from 300 roubles of income? This applies all the more because through the channels of long-term credit, which is equally beneficial to the success of accumulation in industry and agriculture, we shall return a portion of these resources to the peasant economy in the form of capital. None of this provokes any objections from comrade Bukharin. In fact, getting carried away with this prospect, he even provides a formulation here that hardly differs from my own

15 How difficult it will be in our country to implement this process of accumulation is evident even in the sphere of theory. The theoretical comprehension of this process has hardly begun and the 'guards' are being called in. Meanwhile, without successful accumulation in industry, the problem of a further reduction in prices cannot be solved. This is a difficult road, but it is the only one possible for us. If we departed from this road or slowed our advance along it, there would objectively remain only a single way to reduce prices at any cost: liquidation of the foreign trade monopoly and a *smychka* between the peasant economy and foreign industry, i.e., the road of the liquidation of state industry. Once the latter is excluded for us, the only road that remains is by way of accumulation. This means that for the sake of reducing prices, for the sake of strengthening the worker-peasant bloc, for the sake of fortifying our dictatorship, for the sake of eliminating unemployment, and for the sake of a growth of wages – we need the most successful accumulation possible.

and declares: 'Accumulation in socialist industry, given the greater relative weight of peasant households, is a function of accumulation in the peasant economy'. Comrade Bukharin just cannot understand how my thesis is reconciled with the prospect of the state 'devouring' the peasant economy, how it fits with a colonial programme of fleecing the countryside, with ignoring the capacity of the peasant market, etc. But if one takes into account that the 'devouring', the colonial policy and so forth are merely products of my opponent's 'negative expanded reproduction' in the sphere of polemics, then the contradiction is immediately 'removed' – and it is removed with much less effort than would be necessary according to Hegel.

In the very same way, comrade Bukharin's argument to the effect that I propose to kill the goose that lays the golden eggs for our state industry, i.e., that I suggest holding back development of the peasant economy, strikingly contradicts the text of my work. But I must again point out that my article does not provide a quantitative analysis of the economy; it does not estimate the relative weight of these separate components in terms of figures. Here, too, comrade Bukharin has been too eager to rush into battle without waiting for an exposition of my views concerning the economics of the present-day peasant economy of the Soviet Union. And when comrade Bukharin instructs me to the effect that accumulation in the peasant economy is a function of socialist accumulation, what he is doing, in the first place, is using different terms to lecture me on my own thesis; and secondly, he is teaching it to me without offering any improvements. Indeed, when speaking of the state economy's dependence on the volume of exchange between this economy and the private one, I write:

At this point (i.e. the point of the exchange link with the private economy – E.P.), proportionality in the development of state industry depends upon proportional development in the private economy, and the latter occurs spontaneously. Here, state industry is tied fast to the chariot of the private economy. And it is precisely its work for market demand that is the necessary precondition for socialist accumulation itself. *If accumulation at the expense of private economy means an active balance for the state economy of the values being exchanged, that balance will be all the larger, other conditions being equal, the greater is the numerical volume of exchange.*¹⁶

In other words, the volume of accumulation is connected with the volume of exchange. The increase of exchange on the part of the countryside is only possible on the basis of the peasant economy's increased production for the market, while increased production for the market is a synonym for an upsurge of that economy and its profitability;

16 [In this edition see Part 2, Chapter 5.]

hence the dependence between the volumes of exchange and accumulation. What a resemblance there is between all of this and what comrade Bukharin writes about me!

But comrade Bukharin's exposition makes no improvement upon my own, because it does not reflect the enormous significance of the dialectical contradiction that is connected with the process being described. This contradiction consists of the following. The more rapidly the peasant economy develops and its production for the market grows, the greater is the basis for socialist accumulation in this sector. That is the first point. But the more rapid is this growth, the more extensive is the basis for development of the fundamental laws of the commodity economy, the deeper and wider are the waves of elemental market fluctuations, and the wider is the scope for formation on this basis of capitalist relations along with all the ensuing economic and political consequences for the socialist system. The conditions for growth at both poles are simultaneously conditions for the growth of contradictions between the two systems, because there is simultaneous increase of the potential for more extensive regulation of the economy from the side of the state and also of the forces that are working against this regulation and disrupting it. Generally speaking, this is not a new idea. It has been expressed more than once. Comrade Lenin spoke of it using different terms. In any event, it is important for us to keep close track of the development of this contradiction at any given moment and always to be aware of the arithmetical expressions of contradictions that are growing in some areas while abating in others. Carried away by the task of 'crushing Preobrazhensky' at any cost, comrade Bukharin focuses attentively on one side of the problem while the other escapes his field of vision.

As for the capacity of the domestic peasant market and the appraisal of its role for our industry, here I am least of all in need of instruction from comrade Bukharin. I set out this problem a year and a half ago in my lecture and also in my brochure on *Economic Crises under NEP*,¹⁷ for which, by an irony of fate, comrade Larin accused me at the time of Narodism. This problem will also receive a great deal of attention in my book, one chapter of which comrade Bukharin is criticising. Comrade Bukharin says that I make only a single mention of this theme. I agree that not much is said of this, but for a perfectly understandable reason. After all, if I could immediately write about everything in a single chapter, there would be no need for a book. There is little discussion of many things in the article! For example, there is also nothing said about the capacity of our urban market for the peasant economy, an issue that is also enormously important for our economy and that accentuates, precisely for the peasantry, the whole significance of rapid accumulation, i.e., of expanded reproduction in industry. This year's crisis in cattle breeding is an eloquent illustration of that fact.

17 [See Volume III of *The Preobrazhensky Papers*.]

Comrade Bukharin does not agree with my assertion concerning our need in coming years for falling or unchanging prices; he thinks the only correct slogan is falling prices. To this I must reply as follows. First of all, we have certain branches of industry in which it makes no sense for us to be especially concerned about lowering prices: they would include, say, all types of production connected with bourgeois demand; for instance, the production of luxury goods. Another example would be alcoholic beverages etc. It is necessary to strive to reduce production costs here too, and to transfer the profit from these branches into other types of production that are suffering from a shortage of capital, to the extent that this task is not resolved by raising the excise duty. Next, I spoke in the article not only about the current year but also of those that follow. When the problem of reconstructing the fixed capital of our industry becomes even more acute in our country than it is now, and when the scissors between prices on industrial and agricultural commodities approach world relationships or our own pre-war proportions – then our pricing policy will have to alternate with lengthy periods of stable prices; and when materials become more expensive, especially from abroad (cotton, rubber, soft wool, heavy leathers etc.) – which does not depend upon us – it cannot be excluded that there will be an upward fluctuation of prices. That is why I took care not to speak *only* of declining prices.

Comrade Bukharin comes down hard on one of my comments about ‘philanthropic’ trade not being profitable for us. What is the issue here?

At that point in my article I was speaking of the inexpediency, from the point of view of accumulation, of tying up a portion of state capital in the sort of trade that brings no profit and does not solve other more important problems, i.e., above all the problem of further expansion of production. Given our extreme poverty in terms of capital, at every moment the state must decide the question of where it is urgently necessary and beneficial, right now, to direct its resources. This question presently confronts us most acutely. Is it to our advantage to tie up our resources in trade when there is an acute shortage of these resources in industry? Of course, we cannot avoid the commitment of a portion of state capital to state trade and cooperation. The resources that we have committed to these areas, i.e., to the sphere of exchange, will no doubt grow. But it is completely inappropriate, at just this moment, to commit these resources to the sort of trade that yields nothing in terms of accumulation and only addresses the problem of curtailing exploitation of the petty producer by private capital. In general terms, the latter task is also important, but here we must focus our policy on attracting the capital of small producers themselves into this sort of trade, so that the peasants develop sales cooperatives with their own means and we do not tie up part of our own state capital in this trade, diverting it from production. At present we still cannot afford to take significant control of this part of trade. That is all that I meant to say here. On the basis of previous experiences and that of the past year, the correctness of this idea has been fully confirmed.

5 On the Driving Forces of Our Economy's Development

In one paragraph of his article, entitled 'Monopolistic Parasitism or Socialist Movement Forward', comrade Bukharin develops a number of perfectly correct ideas about how we must move our industry forward in conditions of a state monopoly of large-scale industry and transport. The only thing that I fail to understand is why these ideas, which I myself expressed before comrade Bukharin's article appeared (as he knows), must constitute any objection to my own point of view. While the driving force of capitalist development was and to some degree still is competition; while capitalist enterprises, under threat of bankruptcy, had to struggle to survive, improving technique, raising labour productivity and cutting prices; and while the stimulus for capitalists is at the same time the quest for profit, the state economy of the proletariat is developing other stimuli and regulators of production that are inherent precisely in this particular economic system. The fundamental instrument of pressure here is exerted by the working class, as consumers, upon their state and its apparatus. From this point of view, it is not only the pressure of non-party workers on the trade unions, and of trade unions on the economic organs and the state, that represents a most essential component of this mechanism of the new economy, but the same role is also partly played by the spontaneous pressure of workers, right up to and including so-called 'slowdowns'. Here, our system is consciously organised on the one hand, while on the other hand it is spontaneously searching within itself for the sort of regulators that will replace the stimuli of the capitalist competitive struggle and thus fulfil the same functions only by other means. These means depend directly on the fact that the state in our country is a workers' state, that our industry is state industry, and that this state industry is fused with the proletarian state.

As far as consumer pressure from the peasants is concerned, this is not a socialist form of internal pressure; it comes from without, although in terms of objective consequences it is close to pressure from the working class. It differs from workers' pressure in the following way. Just as competition between capitalist enterprises does not affect the foundations of the system's existence and results at most in the bankruptcy and destruction of weak individual enterprises, so workers' pressure on their state cannot shake the state's foundations but merely accelerates the tempo of industry's development and improves the methods and the quality of work by its organs. Peasant pressure, to the contrary, is external pressure in terms of its social and class content, and it can exceed the limits of pressure of one ally upon another; in this respect it is different in principle from the workers' pressure. Still, as a stimulus for the increase and rationalisation of production, and provided it does not destabilise the Soviet system, this pressure can have the same consequences as the consumer pressure coming from the proletariat.

It is precisely the presence of these levers in our economic system – which is under external pressure from foreign capital – that safeguards the state economy from stagnat-

ing and resting on the laurels of monopoly; and the longer they operate, the more they will drive the entire system to advance more rapidly. I did not touch upon this question in my article because it must be considered in a different chapter of the book, which will discuss the organisational structure of our economy, accumulation and socialist culture, and the emergence of a new type of worker in the state economy.

Since nothing that comrade Bukharin wrote in this paragraph is in any way a rejoinder against me, in order to find here any disagreement with me comrade Bukharin claims that I am advocating a policy of increasing prices, which must serve as 'another form of taxation'. Yes, I do stand for reducing direct taxes from the countryside to a minimum, say to a single tax on income, all the rest coming from excise taxes and a corresponding pricing policy.¹⁸ (This was also, by the way, the thinking of Vladimir Il'ich, which I often heard from him in the period of NEP). But if we take this path – and in part we have already done so – that does not at all mean that we can reach our goal solely through raising prices. I have already mentioned not only that this is unnecessary for us in the present circumstances, but also that we can, on the contrary, implement this policy with falling or stable prices.

6 On the Law of Socialist Accumulation

Comrade Bukharin is sceptical of the way I formulate the fundamental law of primitive socialist accumulation, not just from a political but also, evidently, from a scientific-theoretical point of view. But just what has comrade Bukharin put forth in opposition to this law? I must admit that I was very interested in this part of comrade Bukharin's article, which actually does relate to me, and I studied it most attentively. On the basis of past experience, I had reason to expect that comrade Bukharin, precisely here, would either offer new material for a different way of posing the question itself or else would counter my construction with his own, as he has usually done in such circumstances. But I was disappointed. The entire focus of his article turned out to be the political sphere, i.e., an area that I did not directly touch upon and in which my opponent, as we know, is no great specialist.

It was only at the end of his article that comrade Bukharin remembered where he should have begun and the topic to which the main part of his response should have been devoted. And what did he put forward in opposition to me?

At the basis of my law, in comrade Bukharin's opinion, lies a simple truism: in a country of proletarian dictatorship with a more developed industry, far more of the surplus

18 I spoke about this at the party conference in January 1924, with the result that Comrade Larin, with his usual swagger, accused me of a petty-bourgeois deviation.

product will be derived precisely from industry rather than from small producers. The opposite will happen where industry is weaker and petty production is very strong. I do not deny that this is a truism, just as comrade Bukharin probably will not deny that the logical starting point of any law is some truism or axiom. The whole point is the ensuing chain of conclusions. Comrade Bukharin sees no need to connect the truism logically with the assertion that the greater is the specific gravity of petty production in a socialist state, compared to the state economy, the greater will be the non-equivalence of commodity exchange between these systems. In the first place, I spoke of the law in terms of the overall balance in material exchange between two economic forms, not simply of the balance of commodity exchange between them. Comrade Bukharin's objection on this point is completely wide of the mark. After all, if we accept, say, that for us in Russia the non-equivalence of exchange, in conditions of free competition with the capitalist countries, will be less than it is within the leading capitalist countries, this tells us nothing as to whether, with the same technique but in the absence of free competition and with a socialist monopoly, all of this would remain unchanged precisely during the period of primitive socialist accumulation. Indeed, having begun with the truism, we now encounter the fact that in the period of primitive socialist accumulation, and for the entire period in which primitive socialist accumulation occurs, industrial prices must not only include all the elements of reproduction but also ensure (unless this is done through taxation) the transition of industry to a higher technical base. How drawn out this entire process will be, how slowly or how quickly this accumulation will occur – that is an entirely different question. Of course, given our general poverty and the low level of our agriculture, this whole process, unless it is supported by a European revolution, will occur very slowly. But this process is inevitable; this is a question of life and death for the Soviet system of economy.

The law of primitive socialist accumulation is the law of struggle for the survival of the state economy. The non-equivalence of exchange, which it requires also in the sphere of commodity exchange, is not simply reproduction of the proportions in which this non-equivalence exists in the capitalist countries; it also involves a certain addition that goes beyond that. As for the question of whether, let us say in socialist Germany, exchange between the city and the peasant countryside would be more equivalent than in the Soviet Union, that issue is purely academic. No one can accurately say, on the one hand, what percentage of the prices for our domestic industrial production will represent the technical re-equipping of the economy; on the other hand, no one can likewise determine the relative weight of labour-intensive crops in the agriculture of socialist Germany. While in my formulation of the law I referred to the lessening of non-equivalent exchange with former colonies, what I had in mind was that aspect of non-equivalent exchange that is specifically connected with capitalist and imperialist exploitation and politics. Comrade Bukharin writes that the question of non-equivalent exchange is not so simple as I suppose. I by no means consider that this is a simple

question or that it does not require the most detailed theoretical study. I understand perfectly well the difference in this regard between countries that have small-peasant as well as large-scale capitalist agriculture (which will become socialist with the dictatorship of the proletariat) and those countries that have large-scale production in industry but in agriculture have only small-scale or nearly all small-scale production, and where the struggle of large-scale with small-scale production takes the form of a struggle of industry with agriculture and of the city with the countryside.

But from comrade Bukharin's objections I do not see that he has in any way complicated this problem compared to what I said on this theme in my article. Unfortunately, despite all my willingness, I see very little of value in comrade Bukharin's objections concerning this point.

The same holds for the central point of my article, which deals with the struggle between the law of value and the law of socialist accumulation. Comrade Bukharin confines himself to just one comment in which he again tries to show that 'the matter is far more complex than it appears to Comrade Preobrazhensky'. Here I shall quote this comment by comrade Bukharin in its entirety:

We cannot enter here into a detailed analysis of one of comrade Preobrazhensky's general theoretical positions, in which he (Preobrazhensky) portrays the process of accumulation as a struggle of two laws: the law of socialist accumulation and the law of value. In comrade Preobrazhensky's opinion, the law of socialist accumulation partially paralyses, or partially 'annuls' the law of value, which for the time being completely recedes into the background. Here we note only the following: the surplus 'profit' of advanced economic complexes derives: 1) from the fact that the individual cost of production here is lower than the social cost, i.e., on the basis of the law of value; 2) from the fact of monopoly. If we consider a long interval of time, it is not difficult to see that the first law expresses and is based upon *development* of the productive forces, whereas the second is more or less connected with conservative tendencies in the sense that we mentioned in the text. On the other hand, the law of value, which in an unorganised society is also the law of the distribution of social labour, is a definite limit for monopoly. For there is an objective frontier in the distribution of productive forces; if this frontier is crossed, an acute crisis is inevitable. Finally, a universal 'monopoly', i.e., the universal organisation of society, converts the spontaneous law of value into a planned, conscious 'law' of economic policy, the law of the rational distribution of productive forces. Thus, the matter is far more complex than it appears to comrade Preobrazhensky.

I think that it is not I but comrade Bukharin who has a simplistic understanding of the law of primitive socialist accumulation. The struggle here is between the law of value

and the planning principle. But at the given stage, i.e., at the initial stage of the planning principle's struggle with the market, in the conditions of poverty in terms of capital and the technical-economic weakness of the state economy, *this struggle inevitably takes the form of a struggle of the law of primitive socialist accumulation with the law of value*. The law of this accumulation is only the first stage, the childhood of the planning principle. Regulation unfolds not for the sake of regulation but is rather subordinated to the tasks of primitive accumulation, just as in the period of War Communism the construction of a planned economy was subordinated not to the abstract goal of a socialist plan but instead to the tasks of defending the country during the Civil War. If we abstract from the dialectic of this entire process, if we divide the whole field of the investigation into formal quadrants of abstraction and in that event hold up the course of history, then, of course, we shall struggle in a vice of irreconcilable contradictions: between monopoly on the one hand and the law of value on the other, between capital in the old sense of the word and state capital in the new sense. But there is a way out. It lies in the fact that real life develops according to Hegel, Marx and Lenin, i.e., it develops dialectically and thus sorts out contradictions, which are created by the schematics of our thinking and by the inflexibility of the terminology that is worked out in the analysis of one system and frequently refuses to serve when there is an historical transition from one system to another.

From this viewpoint, comrade Bukharin's remarks to the effect that the term 'product' must not be applied to capital are perfectly correct in terms of statistical terminology, but they are incorrect for describing a dialectical process. I made no terminological slip of the pen here but rather consciously started from the fact that conversion of the commodity into the product, and the replacement of private capital in the old sense by state capital, occurs after the revolution on the basis of the gradual growth of one system at the expense of the other. If comrade Bukharin can suggest here some felicitous way out of this terminological difficulty, I shall be the first to welcome it. But he has yet to do so. On the contrary, he expends an entire column on correcting my oversight; that is, my use in 2–3 places, for the sake of brevity, of the term 'socialist accumulation' instead of 'primitive socialist accumulation'. I acknowledge my oversight here and shall correct it at the first opportunity. However, I shall expect comrade Bukharin not to limit himself in future to firing cannons at terminological sparrows and slip-ups and instead to say something about the essence of the question.¹⁹

I must protest most emphatically against comrade Bukharin's concluding remarks when he writes:

19 I agree that I incorrectly used the term 'fixed capital' when I should have said 'functioning capital'.

The reader who is accustomed to dealing with the analysis of different ideological nuances immediately detects here a narrow workshop ideology that has ‘no concern’ for other classes, no concern for the fundamental problem of proletarian politics, the problem of the worker-peasant bloc and of proletarian hegemony within that bloc. Just one small step further in this same direction and we come to the finished form of the semi-Menshevik ideology of smoke-blackened trade unionists of the Russian variety: spit on the bumpkins, more concessions to foreign capital, not a kopeck for cooperative nonsense and agrarian issues, more pressure on the peasantry for the glory of the ‘proletariat’, and so on. *That* is what this ideology grows into.

Just how untrue these remarks are – how false and fabricated, to put it mildly – can be seen from a single concrete point of the accusation, namely, the point concerning ‘more concessions to foreign capital’. With regard to concessions, I write the following in my article:

The basic negative aspect of concessions consists of the fact that there the state economy in the period of primitive socialist accumulation, i.e., in the period of its maximum weakness, enters into direct contact with foreign capital, which is armed with all of its technique, its surpluses of fixed and circulating capital, and has great reserves of new capitals in its bourgeois rear The result may be that too large a dose of concessions, taken into the organism of the state economy, will begin to dissolve the latter just as capitalism, in its day, disintegrated the weaker natural economy In any event, caution in the area of concessions policy is a reflection of the very same economic necessity that compels the economy of the USSR to support in every way possible the monopoly of foreign trade and a system of the most rigid protectionism.

pp. 104–5²⁰

It is clear from my whole article, and especially from this quotation, that a cautious attitude towards concessions is integrally connected with my whole conception in general. If comrade Bukharin, without any evidence and despite the letter and intent of the article, asserts the contrary, all of this has its own internal logic – the logic of a political polemic. When I, along with other comrades, was prosecuted in 1910 in one of the trials for belonging to the party, I pointed out to our counsel (the well-known Kerensky) that his plan for the defence included a version that departed from the truth even when it would be more advantageous for the defendant simply to be truthful. He replied to me:

20 [In this edition see Part 2, Chapter 5.]

'We must create a version of the defence that will be easier to accept and most credible for the judges, and not complicate our story with considerations of what happened in particular instances'.

Such are the rules of defence in a court. But they are also the rules of political attack. In an attack it is not always imperative to say, and sometimes it is even quite imperative not to say, what is actually true. It is important to create the most beneficial and simultaneously the most hackneyed version of accusations that can easily be stowed in the reader's head. This is the rule of both juridical and political aesthetics that comrade Bukharin is apparently beginning to adopt. And this is the only way to explain how he decided to accuse me of being soft on concessions when I write exactly the opposite.

Just as close to the truth is the accusation of shop-minded narrowness, trade unionism etc. This term was used by Lenin concerning our internal party affairs. He quite correctly understood shop-minded narrowness to mean sacrificing to the workers' *consumer* interests the interests of preserving the dictatorship, the interests of the development of the whole socialist economy, the interests of the future of the working class and of all the toilers. The line of accumulation, conversely, is one of defending the interests of the economy as a whole, of its leading state component, which is the vital centre of any gradual advance towards socialism; it is the line of strengthening the economic foundation of the proletarian dictatorship in the struggle against the pressure of consumerist spontaneity.

With his article, comrade Bukharin has launched a crusade against one of the attempts to think through the state economy's laws of development, the conditions of its self-preservation and its contradictions with the private economy in the epoch through which we are now passing. What is going on? Is such an approach required for the success of the worker-peasant bloc on the basis of preserving the dictatorship of the proletariat? No, what this requires is exactly the opposite; it requires a cool analysis of what we stand for, the purposes of our compromises and the limits of our concessions. *And the greater the concessions are, the more imperative is this analysis.* What the peasant needs from us is an inexpensive commodity and lower taxes; he by no means demands our theoretical capitulation or failure to analyse our economy's conditions of development. And if these demands were to go that far, they must be met with a most decisive rebuff. Meanwhile, comrade Bukharin's response is aimed in exactly the opposite direction, and from that point of view his article deserves thoughtful scrutiny. Is it not a first attempt at a retreat, in face of petty-bourgeois pressure on our party, on an issue where we never retreated while working under Lenin's leadership and must never retreat in future?

My article on socialist accumulation is devoted to a question that will be the focus of our attention for at least two decades. We shall still have much to debate with regard both to general questions of accumulation and the arithmetic that it involves. This is a completely new question. That is precisely why I wanted to present it first for a prelim-

inary discussion by readers who are prepared for it, and why I submitted the article to an academic journal. Instead of taking part in such a preliminary academic discussion of the question, comrade Bukharin, shifting the discussion to a newspaper, had to gloss over the very essence of the question and keep silent about whatever he did not want to vulgarise. For the sake of polemical objectives, he has given an absolutely untrue interpretation of the article in its entirety and of its specific passages. Instead of gradually bringing the whole problem, in all its complexity, to the party's attention, he has utterly confused the whole question.

I consider such a method of discussion to be harmful, I reject it, and I concede to comrade Bukharin all the laurels of his cheap 'victory'.

7 Other Opponents

7.1 *Comrade Motylev*

In a small brochure entitled 'Surplus Value and Socialist Accumulation in the USSR', comrade Motylev came out in print against the chapter of my book devoted to socialist accumulation (*Burevestnik*, 1925).²¹

I must refer here not only to that part of his brochure that is aimed directly against me, but also to other works by comrade Motylev that touch upon problems of the theory of the Soviet economy. I shall demonstrate in passing that the measure of self-assuredness and aplomb on the part of this prolific economist is inversely proportional not only to his scientific 'discoveries' but even to his *knowledge* of the subject.

Four-fifths of the objections that comrade Motylev levels against me are simply repetition and narration in his own words of everything that was written against me by comrade Bukharin in his article that has already been analysed above. Comrade Motylev has added virtually nothing of his own. I shall focus on the questions that I only briefly addressed in my answer to comrade Bukharin.

Comrade Motylev, following comrade Bukharin, is compelled to agree that socialist accumulation cannot avoid diverting a portion of the surplus product of the countryside into this accumulation fund. He writes:

It is completely beyond dispute, of course, that the greater is the significance in a given country of petty-bourgeois economic forms, the more significant will be their role in primitive socialist accumulation. We established in the first part of our article that all sections of the national economy participate in primitive socialist accumulation. It is perfectly obvious that the role of each section

21 [See Motylev 1925a.]

is determined primarily by its relative weight in the national economy. If the essence of comrade Preobrazhensky's law consisted merely of establishing this fact, then it could be considered indisputable, but at the same time it would hardly represent any scientific discovery.

Of course, the 'essence' of the law of primitive socialist accumulation lies not only and not so much in a statement of this fact. The most serious among my opponents aimed nearly all of their rejoinders not against the need for pumping part of the surplus product of the private economy into the state economy, but rather against my motivation for doing so. And yet the fact simultaneously eluded them that it is only through establishing the law of primitive socialist accumulation that this process can be subjected to scientific study in terms of its necessity and of the minimum proportions to be pumped over, as dictated by objective pressure. To the contrary, my opponent is obliged to dismiss the question of the balance of the exchange of values between the state and the private economy by using general phrases that demonstrate that he does not even understand precisely where the real problem lies.

Thus, comrade Motylev allows that something should be taken, but it must be proportional to the 'relative weight' of each sector of the national economy. To begin with, I have to say that the state and private economies are not some joint-stock company, and such a way of posing the question will not withstand criticism from a scientific-theoretical point of view. And that is not to mention the fact that accumulation according to 'relative weight' and not, let us say, according to the relative weight of the surplus product, would horrify comrade Motylev by its scale of taxation levied upon the countryside if he were to estimate his formula as an arithmetical proportion.

But our author has a formulation that is even more 'profound' and 'compelling'. He writes: 'We have thus established that there can be no unwarranted appropriation by the state of the products of the peasant economy' (pp. 17–18), to which he adds: 'His mistake (i.e. my mistake – E.P) is his opinion that this appropriation can and must be lavish and significant'.

All of this is so scientifically interesting, is it not? The most important question of our economy and our survival is decided on the basis of a proportion between the adjectives 'not excessive' on the one hand, and 'lavish and significant' on the other. This, you see, is the application of theoretical economics to our economy!

In the first place, in my article on accumulation I do not pose the question in terms of an arithmetical calculation of the dimensions of the surplus product alienated from the private economy; instead, I only explain the inevitability of that alienation and the objective need for such proportions of that alienation as are dictated by the law of primitive socialist accumulation. 'By the law' means proportions that have an external and compulsory character for our economic policy, insofar as insufficient accumulation is punishable by a goods famine, by the possibility of a rupture

of the monopoly of foreign trade, by the growth of private capital and numerous other economic and political consequences.

Secondly, I list the ways and methods by which accumulation can be accomplished in terms of the part that consists of alienating the surplus product of the private economy; and by the way, I always speak of the entire private economy, not just of the peasant economy. What objections can comrade Motylev have to the *methods* of extraction when he himself recognises its necessity? None. To the contrary, he writes that for purposes of socialist accumulation 'both pricing policy and measures of taxation will be used' (p. 15). So, what is the issue?

The issue, you see, is that I consider non-equivalent exchange with private production, including peasant production, to be inevitable. In my opponent's opinion, this means that petty-bourgeois production 'is turned into a colony' of socialist industry. But now a natural question arises: If comrade Motylev agrees to alienate part of the surplus product of the countryside into the fund of socialist accumulation not just by way of taxes, but also through the pricing policy, then *how can exchange in this operation be equivalent for the peasantry from the point of view of the law of value?* It turns out that the peasant economy is already converted into a colony of socialist industry by the very fact of the alienation of part of its surplus product through pricing policy. If everything is collected through taxes, then, apparently, there will be no 'colony'. Conversely, the 'colonial' character of the relationship increases when the state takes the same sum through pricing policy but tax levies are completely eliminated.

This is what is called theoretical economics! How is our Soviet economy served by such theoretical economics?

In the third place, on the question of the equivalence of exchange, the following must be said. The prices on products of our industry are significantly higher than foreign prices, while prices of grain, generally speaking, must converge on world grain prices *that are formed in the world economy on the basis of the competition of large- and medium-scale capitalist agriculture with small-scale*. Therefore, even if we accept that the exchange between agriculture and industry in the world economy is equivalent – which is unproven and cannot be proven – it follows that, given the aforementioned conditions, the exchange between Soviet industry and Soviet agriculture cannot possibly be equivalent. That is a fact. If we were to attempt to approximate equivalence of exchange by approaching the exchange proportions that exist in the world economy, and if, for that purpose, we allowed free foreign trade, then 2/3 or 3/4 of our industry would cease to exist. It is currently preserved and developing *on the basis of non-equivalent exchange*, which is fenced off from the world economy's law of value by means of socialist protectionism and the monopoly of foreign trade – by this unique fusion of political and economic power that characterises our entire system of state economy under the dictatorship of the proletariat. Non-equivalence is presently based, above all, on our economic backwardness, and it will naturally be reduced in line with

the reduction of production costs and the reduction of prices for industrial commodities. But if large-scale collective agriculture is successfully developed in our country, then the greater the role it plays, the more will the value proportions of exchange between the small-scale private peasant economy and the state economy depend on the proportions of the distribution of labour between cooperative socialist agriculture and petty private agricultural production, and consequently the non-equivalence of exchange will once again grow between private agriculture and socialist industry *due to* the growth of labour productivity in socialist and cooperative agriculture. Consequently, there can again be no equivalence of exchange. This will be obvious from a numerical example. Suppose that the present position is characterised by the following proportion of exchange between fabrics and grain:

Industry	Agriculture
100 hours	150 hours
100 arshins	100 poods
100 roubles	100 roubles

With an increase of labour productivity in industry and the same labour productivity in agriculture, we shall have:

Industry	Agriculture
100 hours	150 hours
120 arshins	100 poods
100 roubles	100 roubles

Or, what amounts to the same thing:

Industry	Agriculture
80 roubles	80 roubles
100 arshins	80 poods
80 hours	120 hours

This means that whereas previously, for 1 arshin of cotton fabrics, agriculture paid 1 1/2 hours of its labour and 1 pood of grain, now it pays only 1 1/5 hour or 4/5 of a pood of grain. When labour productivity begins to rise in cooperative agriculture, this will lead, let us say, not to the exchange of 1 hour of industrial labour for 1 pood of grain, but to 1 hour of industrial labour for 1 1/5 poods of grain, which will mean an increase of the non-equivalence of exchange for private agriculture that is imposed upon it by the development of large-scale cooperative agriculture. The same tendency remains in the case of a rise of labour productivity in both socialist industry and socialist agriculture, although it will be less pronounced. It is perfectly obvious that the whole problem will remain only for petty private agriculture, because it is only in the relations between this part of agriculture and industry that exchange will exist. The relations of large-scale socialist and cooperative agriculture with state industry will take shape as relations within a single complex, with gradual elimination of the market character of the connection – at first more in terms of essence than of form, and then later in terms of both form and essence. *Non-equivalence of exchange between private agriculture and the entire complex of state industry plus state and cooperative agriculture, in this case, is only a reflection of the unprofitability of small-scale private production by comparison with large-scale socialist and cooperative production.*²² To seek equivalence here means to support petty production at the expense of socialism, and the Middle Ages at the expense of the twentieth century. Such a policy would have nothing in common not just with Marxism and Leninism, but even with common sense. Even the progressive part of the peasantry, not to mention the workers, would be decisively opposed to supporting Asian-ism and barbarism at the expense of machines and socialism.

As for the continuously repeated observation from Comrade Motylev and others among my opponents, concerning my reticence on the topic of producers' cooperation in agriculture, to that I say, as in my response to comrade Bukharin, that I consider such cooperation to be both theoretically possible and in practice inevitable if the principal basis of socialism, the state economy, develops and becomes consolidated with sufficient speed. But I do not see an issue here for theoretical study so long as this process remains only in an embryonic state and any scientific prognosis is extremely difficult. My opponents have also provided *nothing* in the sense of such a prognosis, even though not only has no-one prevented them from doing so, but the entire position that they are defending *obliges* them to do what they con-

22 My opponents harass me with the question as to whether I believe in cooperative agriculture. They thereby pose as monopolists of that belief. It is only surprising that they have not yet realised that the success of rural cooperation in production, other conditions being equal, means an increase in the non-equivalence of exchange with non-cooperative agriculture, that is, with most of the countryside.

sider to be possible. Let them write and we shall read, because apart from general phrases, 'faith' and petty sallies against me, from the point of view of cooperative fideism,²³ which is in no way scientifically substantiated, we have heard nothing from them.

In order to conclude with comrade Motylev, I must here produce just a couple of examples of how our economist carries out a 'theoretical analysis of the Soviet economy' in his course on political economy.²⁴ In this course, which is warmly recommended to our institutes of higher learning for merits that are not obvious, comrade Motylev uses the following method for studying our economy. After presenting some problem or other in theoretical economics, the author automatically rides out into our economic system, changing neither horses nor carriage, and then begins to busy himself with analogies. All of this would be fine if our author firmly took the position that our system is a variant of commodity-capitalist economy, as the Mensheviks believe for example, for then such a method would be natural. Within a fundamentally singular system, a single regulator operates – the law of value – and the method of investigation would be uniform; the modification of forms would be all that remained to study. But the author takes no such firm position on this question. On page 4 of his 'work' he writes:

The economy of the USSR can be an object of theoretical study. The conflict between spontaneous and planned regulation gives birth to a multitude of theoretical problems. In a course in economic policy, the economy of the USSR is regarded from another point of view, a teleological one At the same time, the economy of the USSR, in terms of form and to some extent of essence, is a commodity-exchange economy. Moreover, it contains elements of a capitalist economy. Many of the laws and categories of political economy appear directly relevant to it. But in reality that is not so. All of the laws and categories of capitalist economics undergo essential modifications in the economy of the USSR, and many of them do not apply to it at all.

On page 137 of the same work we read: 'Labour value continues for the time being to be *partially* (my italics – E.P.) the regulator of the national economy and the internal regulator of the distribution of productive forces in the economy of the USSR'. At the same time, in another work, *Price and Value in Capitalist Economy and the Economy of the USSR*, our author says: 'Labour value continues for the time being to be the regulator of the distribution of productive forces in the economy of the USSR'²⁵ – without the word 'partially'. The only difference lies in a single word, just as in the expressions 'I know'

23 [Fideism: the doctrine that knowledge depends upon faith.]

24 Motylev 1925a.

25 [Motylev 1924, p. 80.]

and 'I know not' the only difference is in the word 'not'. Now here is the question: Which formulation does the author uphold, and what must the puzzled reader think? After all, if the law of value operates 'partially', then there must also be other, methodologically different devices for investigating the economy as one of an antagonistic type, in which equilibrium takes shape on the basis of the struggle of two principles that operate in different directions. If the law of value is basically *the single regulator*, and the planning principle is merely one of its functions, then no special theory of the Soviet economy is needed at all. In that case, the passing comments that comrade Motylev has made thus far about the USSR, when studying theoretical economics, can meet with no objections from a methodological point of view. But then a question of a different order arises: How does comrade Motylev combine this single regulator, on the basis of which the spontaneous reproduction of capitalist relations of production occurs – not the expanded reproduction of socialist relations – with industry 'of a consistently socialist type'? While comrade Motylev under-estimates the planning principle in our economy, on the other hand, after all that has been said, it is very difficult to over-estimate the role and importance of the planning principle in his own system of thought.

A couple of words in conclusion concerning this same [author's] *Course in Political Economy*. On pages 330–40 of this 'classic' work, the author speaks of 'socialist surplus value' in the enterprises of the USSR. But a few lines later we are amazed to read the following about 'developed communist society': 'But in developed communist society the productive forces will reach such a mighty level of development that, despite the *existence of surplus value* (my italics – E.P.), the needs of the toilers can be satisfied to an unprecedented extent'.²⁶

Hence, while in the state enterprises of the USSR surplus value turns out to be 'socialist', in 'developed communist society' it will simply be 'surplus value' – evidently as the product of communist capital!

There is more. On the same page we read the following concerning rent: 'As far as land rent is concerned, due to nationalisation of the land capitalist absolute rent cannot exist in the USSR. Differential rent, resulting from differences in the fertility and location of land parcels, given skilful taxation, will be at the disposal of the Soviet authority' (p. 340).

Thus differential rent, whose existence, according to Marx, requires that the capitalist mode of production embrace agriculture, with the presence of private property in land, is seen by Comrade Motylev as happily springing from the land itself.

All of this is called a *Course in Political Economy* and has a yellow label stuck to its cover with the inscription: 'This course has been adopted as a textbook for institutions of higher learning'!

26 [Motylev 1925a, p. 340.]

7.2 *Comrade Thalheimer*²⁷

Comrade Thalheimer, in an article published in *Bolshevik* with the title 'On the Formal and Material Relation of Socialist Economy in its Initial Stage to Pre-Capitalist Economic Forms',²⁸ mentions the author of these lines in two places. At the beginning of the article, Comrade Thalheimer writes: 'The questions put forth by comrade Bukharin in the article "Economic Growth and the Worker-Peasant Bloc" (*Bolshevik*, No. 14), and in the dispute with Preobrazhensky, are of general importance. In the debate with Preobrazhensky, Bukharin is in principle correct' (p. 15).

After that categorical declaration, one would expect a crushing argument against the person who is not correct. But in the article, to our astonishment, there is absolutely nothing said against the author of these lines, with the exception of a single comment that will be discussed below. Also, it does not seem that the author read my article at all, or at least he did not understand it. He sketched a skinny skeleton of some sort of plan for an article that has no direct relation to the chapter of my book that provoked the polemic but rather resembles a shot fired into the sky just in case. I shall, therefore, only mention here a couple of passages in comrade Thalheimer's article, only one of which has any direct relation to my position.

Comrade Thalheimer asserts from the very beginning, using arithmetic for some reason, the completely indisputable idea that if a socialist revolution occurs in Germany, this will lead to an organic union of the economy of the USSR with the socialist economy of Germany, and consequently 'the problem of the Russian peasantry' will not disappear. It will then exist both for the socialist economy of the USSR and for the socialist economy of Germany, insofar as both economies will represent a single complex.

I agree completely. My thinking is the same. But this simply means that comrade Thalheimer, perhaps due in part to his inadequate familiarity with my chapter on socialist accumulation, has introduced a supplementary argument to my position that the law of primitive socialist accumulation, to some degree and for some period or other, must operate after the socialist revolution in other countries as well, including industrial countries. In complete agreement with this conclusion, and partly with the same motives as I cite in my chapter on socialist accumulation, comrade Thalheimer supported my way of posing the question in his earlier article in the same journal 'Bolshevik', which was devoted to the programme of the Comintern. In that article comrade Thalheimer quite correctly comments: '... [T]he capitalist economy of individual countries will pass into the hands of the working class, not in its most developed form of course, but more or less in a *state of decline*. The further development of economic forms

27 [August Thalheimer (18 March 1884–19 September 1948) was one of the founders of the German Communist Party. In 1929 he was expelled from the party and from the Comintern.]

28 *Bol'shevik*, No. 8, 30 April 1925, pp. 15–24.

will only begin after restoration of the highest forms of the old society' (p. 16). I agree with that as well. And this is an argument that supports my own view that it may also be necessary, following the revolution, for the industrial countries of Europe to pass through a stage of primitive socialist accumulation.

I must say that I have absolutely nothing against such a successful polemic against me, and I can only ask that it continue.

Now let us turn to another place in comrade Thalheimer's article, the only place where he attempts to argue directly against my 'erroneous conclusions'. After pointing out that the relation between the peasantry and the proletariat, between the peasant economy and socialist industry, will develop in a way different from the relation between the peasantry and industry in the epoch of capitalism, and that it will already not be a relation of exploitation; and after emphasising at the same time the possibility and inevitability of frictions and conflicts even 'within the confines of these new relations', Comrade Thalheimer writes:

Generally speaking, it must not be expected that since a socialist economy represents an harmonious system, it will be free from all contradictions, from real antitheses. If that were the case, then *it would not be a developing system*. But while the contradictions of the capitalist order have a tendency to destroy the order itself, with a socialist order they have the opposite tendency, striving for its development, its fortification, its external expansion and its internal perfection.

The mistaken conclusions (of Preobrazhensky for example, but also of the theorists of Social Democracy and the bourgeoisie), arise from the fact that in terms of its *external form* the relation between simple commodity production and capitalist economy is *at first glance* the same as between it and socialist economy (the money form, market relations). But in the second case the money form conceals a socialist content; now, when at the other pole there is socialist economy, money serves a diametrically opposite purpose.²⁹

We have provided this lengthy quotation in order to show the reader first of all a sample of a very strange polemic. Which of my mistaken conclusions are being addressed, where were they made, on which page in my article? Why does all that is written here have anything to do with me?

From the article itself you will find no answer, and perhaps that is because – as we mentioned before – comrade Thalheimer simply did not read my article and knows of it more 'by rumour'. I do not make that assertion, but such suspicion is completely natural after what has been said.

29 Bol'shevik, No. 8, 30 April 1925, p. 22.

Turning to the essence of the excerpt I have quoted, I must express complete agreement with the assertion that the socialist system, precisely as a developing system (*Widerspruch ist fortleitende*), will experience its own unique type of internal contradictions, just as I agree that such contradictions will not 'have a tendency to destroy the order itself'. The pity is simply that this assertion, which is true in itself, has absolutely no relation to the subject matter of the dispute. *At issue are not the internal contradictions of a socialist system itself, which is already basically triumphant, but rather the contradictions resulting from the struggle of the socialist system with a different one, the commodity-capitalist system, for its existence and development.* The contradictions arising from this struggle 'strive' not for development of the socialist system, not for its 'internal perfection', but for its destruction. This liquidation of our system is required for 'perfection' of the capitalist map of the world, which has clearly been distorted by the October Revolution. In my article on socialist accumulation, I studied the laws that arise from the cruel struggle for the survival of our system; I did not dream academically about the harmonious contradictions of a future society.

With regard to the misunderstandings attributed to me concerning the external form of the current relations of the state economy with the peasant economy, which conceal a completely different content from that involved in the relations of the peasant economy with capitalism, this accusation is completely unjustified. Others have seen justification in the word 'exploitation', but I have already noted that I am removing that term – although the exploitation of one system by another remains once there is alienation of surplus product from one form of production into another. Finally, I do not deny at all the uniqueness of the relations of small-scale production to the socialist sector of the economy following the proletarian revolution, even though the socialist sector also undertakes alienation of a part of the surplus product of the small-scale economy for the expansion of production. The originality, novelty and uniqueness of these relations are created on the basis of cooperatives in the countryside and the coalescence of rural cooperation by the peasants, above all in production, with the state economy. As to how this process will take place, that is something we can only speak of now in terms of general outlines. There is almost no material for a theoretical analysis, although there is already material to warn us against communist 'Narodism', and that matter deserves at some time to be studied seriously.

In summary, comrade Thalheimer's article leads me to the following comparison. One person promises at the top of his voice to thrash the other. Yet when the time comes to do so, he turns his eyes to the heavens and undertakes to demonstrate that the sun must not be confused with the moon, the moon with Mars, or Mars with Marx's *Capital*.

7.3 *Comrades Ksenofontov,*³⁰ *Kviring,*³¹ *Bogolepov*³²

A very long article, written in an extremely indecent tone against my chapter on socialist accumulation, was published by comrade Ksenofontov in the Tashkent newspaper *Pravda Vostoka* on 16 December 1924. The article contains the usual pearls of polemical swagger and irresponsibility, such as 'Trotskyism', 'Menshevism' and others, which our 'elders' have introduced into everyday life. I do not know what experience comrade Ksenofontov has in the party. Judging by the indecency of his tone, I suspect it has not been very long. But if the author is the same comrade Ksenofontov who sided enthusiastically with the opposition in the discussion of 1923, and who came out particularly sharply, together with the author of these lines, against comrade Bukharin, then his coarseness no longer requires any special explanation.

Comrade Ksenofontov begins with a recital of Leninist views on the relation between the proletariat and peasantry, which I myself have *always* shared and have at no time or place ever opposed, and which I now share fully and completely. I object only to the simplification, vulgarisation and Narodnik manner of their interpretation, which is especially dangerous for our young people who did not participate with the Old Bolsheviks in the twenty-year struggle against the Narodniks, SRs, revisionists such as David and Vollmar, etc. In a country with 100 million peasants and a comparatively thin stratum of the proletariat, with the constant inflow from the countryside of new workers who have not had proletarian tempering, and with the endlessly growing pressure of the rural commodity economy on state industry and state power, the danger for our young people of succumbing to petty-bourgeois influences from the countryside and to petty-bourgeois utopias is just as grave as the danger of under-estimating the importance of the working class cooperating with the middle peasantry.

Comrade Ksenofontov saw in the law of socialist accumulation nothing but a 'term' for the exploitation of one system by the other. This characterises the polemical methods of my opponents, but not my article. The law of primitive socialist accumulation is the law of expanded socialist reproduction, which is connected with specific patterns of development in a *given* period. It is incomprehensible how the expanded reproduction of our industry contradicts the interests of the peasantry, even though we have taken for this purpose not only the surplus product of the workers but also of the peasants. Those guilty of under-estimating the peasantry and of weakening the *smychka* with the countryside are not the people who in good time, i.e., *prior to* the acute outbreak

30 Not to be confused with the recently deceased Ksenofontov, who was a long-time member of our party and Deputy People's Commissar of Social Security.

31 [E.I. Kviring (1888–1937) was Deputy Chairman of the Supreme Council of the National Economy from 1925–27 and from 1927–30, Deputy Chairman of Gosplan. From 1932–36 he headed the Economics Institute of the Communist Academy. He was later purged.]

32 [D.P. Bogolepov (1879–1945) Soviet economist at Gosplan, specialising in financial issues.]

of the goods famine, spoke of the importance of the problem of accumulation and the danger of under-accumulation – which also signifies a systematic and extremely dangerous political crisis due to under-production – but those who refused to understand the inescapable necessity for us of specific proportions of accumulation and thus of objectively inevitable proportions of alienation of the surplus product of the private economy.

My opponent can take back, in the same package he sent them in, all of his charges concerning disruption of the worker-peasant bloc: history is sending the package back because the real addressee, upon checking the facts, has turned out to be its sender and the people who think as he does. The XIV Congress of the Party approved a decision concerning industrialisation of the country. But it is impossible to have either industrialisation or a struggle against the goods famine, *on the basis of developing our own industry*, without rapid accumulation in each previous phase of reproduction.

Learn how to be *Leninists in substance* in these new conditions, not in the realm of chatter.

The same author responded to my reply to Bukharin in a review of No. 11 of the *Vestnik Kommunisticheskoi Akademii*.³³ He takes my reply to be capitulation. I expected that this method of capitulation would at some point be circulated by my opponents, and I was not mistaken. What is important for me, however – the essence of the matter and what is really significant – is that the views I have been developing be recognised as correct, regardless of what literary form my opponents' self-consolation might take, once all of the misunderstandings resulting from my initial article, or the polemical distortions of my viewpoint, have been eliminated.

Besides his political 'arguments', which amount to the usual declension of the word 'Trotskyism' and have long ago made everyone sick, comrade Ksenofontov³⁴ puts forth two considerations: one is methodological and another concerns the area of economic policy. As for the latter argument, the reviewer objects to my claim concerning the need to move from accumulation to the lowering of prices, and not the opposite. He writes: 'Before accumulating, we had to unleash the peasant market, the purchasing power of the peasantry, to "unlock our market" and only on that basis turn to accumulation. That is how it happened: from a policy of price reduction to accumulation, not from accumulation to price reduction'.

But I assert that it *was* exactly the opposite and *will always be exactly the opposite*. The autumn sales crisis [of 1923] turned out to be an episode connected not just with the fact that prices for products of our trusts were high but also that grain prices were too low. It was overcome so easily, by reducing industrial prices and raising grain

33 *Pravda Vostoka*, 5 August 1925.

34 The author signed with the initials F.K. but also identifies himself as the author of the first article.

prices through state procurements, only because state industry was able to reduce prices as a result of previous accumulation. And it could sustain further reductions only due to the expansion of production, a higher utilisation of capacity in the factories, etc.; that is, once again, thanks to expanded reproduction, i.e., accumulation. Other conditions being equal, only expanded reproduction can create the prerequisites for reducing production costs, and only on this basis is price reduction possible as a *function* of expanded reproduction, i.e., of accumulation (by accumulation, broadly understood, we mean expanded reproduction, which inevitably includes the accumulation of material resources in the previous cycle). That is how it happened and the only way it can happen, especially in a period when each year brings enormous and ever-growing outlays on the restoration of fixed capital and new construction. Anyone who suggests reducing prices on metal or cottons *before* the reduction of production costs is suggesting the suspension not just of expanded but even of simple reproduction. We can undertake dramatic and noteworthy price reduction following the construction of new factories and the standardisation of production in the American style. But for such new construction to occur, the resources must be available in advance, and in this new situation, too, that means *accumulation* first, followed by *price reduction*.

Since my opponents carried over into economic policy the dispute waged against my chapter on socialist accumulation, they *have been beaten not in the press but by history, beaten totally and completely, beaten by the fact of the prolonged goods famine*, while my article on socialist accumulation was the scientific *forecast* of what happened.

Now for a few words concerning the methodological comments of comrade Ksenofontov. My opponent, contrasting my method of investigation with Marx's abstract-analytical method, writes that:

Marx's method starts from the 'primary concrete' Then Marx dissected this 'primary concrete' into its abstract categories and from them reconstructed the 'secondary concrete' – known as capitalist reality.... But Comrade Preobrazhensky built his 'Capital' differently. He took the concrete relations of Soviet society, in a cross-section that was erroneous to start with, abstracted from all the distinguishing features of the economic laws of a workers' state in a peasant country, and ended up in his work with a formal-logical reality of an abstract workers' state but not that of a real workers' state in a peasant country.

I do not intend to analyse the question of how well our author outlines Marx's method. What matters to me here is that he does not understand the difference between the methodological approach to analysing a system in which a single basic law operates, *one* basic regulator – under capitalism that means the law value, from which all the categories can be derived (regardless of the method of exposition) – and a system in which two laws operate.

Above all, the 'commodity' that Marx analyses in the first volume of *Capital* is a more abstract entity – not a less abstract one – than the law of value and the law of socialist accumulation *in the concrete country* with whose economics I am concerned. Secondly, the author does not understand that my entire construction concerning the law of primitive socialist accumulation follows, first and foremost, precisely from the country's peasant character (which is particularly obvious even in the Narodnik howling that this chapter has provoked). When the country in which the socialist sector of the economy begins the struggle for its existence and development is more peasant and less proletarian, the real economic policy of the workers' state must *further* deviate from the theoretically conceivable direct law of primitive socialist accumulation, or the law of expanded socialist reproduction, which means the same thing. The more of a peasant character the country has, the more abstract must be the method of research, because it is more important to distinguish in the policy of the state what *is dictated* by the law of socialist accumulation from what is called for by the peasant character of the country. The more industrial a country is, and the more proletarian, the less – in analysing its socialist economy and the dynamic of expanded reproduction – will the line of operation of this law in its pure form deviate from the real economic policy of the workers' state, and the less will it be necessary to resort to abstraction. The issue, therefore, is exactly the opposite of what comrade Ksenofontov claims.

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From amongst my other opponents, I shall mention comrades Kviring and D. Bogolepov. Comrade Kviring, for various reasons, has long pursued me with his polemic, to which I did not see any need to reply because of its inanity. Concerning the question that we are discussing, he has not added any new arguments to what other opponents have said and operates mainly with a single argument: the under-estimation of the peasantry. We have already seen who really under-estimated the peasantry and its opportunities to make purchases. There is no need for me to dwell at length on comrade Kviring. When you read his literary works, for some reason what always stubbornly comes to mind is Bismarck's comment about the journalists of his day. Bismarck said they had clearly chosen the wrong vocation.

Comrade D. Bogolepov is obstinately pursuing me with his reviews in *'Ekonomicheskaya Zhizn'*, but he does not see any need to prove his utterances. Regarding the chapter on socialist accumulation, he once wrote: 'The article, however, cannot in any way be recognised as a work of serious scientific-Marxist thought'.³⁵

35 *Ekonomicheskaya Zhizn'*, 3 December 1924.

I do not know how the ‘serious scientific-Marxist thought’ represented by comrade Bogolepov relates to the present work. I must admit, however, that I do not tremble before the verdict of this Themis,³⁶ who has long ago been surpassed by schoolboys in his understanding both of Marxism and of our economy. I have much more regard for the unprejudiced opinion of our student youth and especially of young workers, and also for the response of all those who have long been fed up with the hollowness of general phrases about NEP and who, for the sake of orientation in an increasingly complex situation, are looking for a way out along the lines of a more thorough analysis of our economy.

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In conclusion, I would like to explain to readers why, in my polemic against my critics, I maintain such a mild tone, which is completely out of proportion to their injustice and the forcefulness of their expressions. If one has something of substance to say, it is easy to refrain, in the interests of the matter at hand, from polemical acerbity, which in the case of my opponents often conceals a lack of their own viewpoint on a number of new problems. Moreover, I still have a great deal to say in defence of my positions, and will do so with figures in hand. I have used this natural advantage of my position in the present book.

7.4 *Comrades Astrov, Gol'denberg, Nagiev*

The number of my opponents is inversely proportional to the theoretical quality of their criticism. And the low quality of the criticism is expressed above all in the fact that they undertake to prove too much. My opponents collect arguments like rag-pickers – gather them wherever they fall – and as always, by trying to prove too much they ultimately prove nothing. Moreover, given the logical coherence of my conception, which none of my opponents has denied, the critics should have concentrated their fire on destroying a few basic premises, and then all of the conclusions would collapse of their own accord. That is how real criticism proceeds, criticism that defeats the opponent rather than smashing itself to pieces against the object of the attack. But such criticism requires one trifle that my opponents lack: their own thoroughly considered counter-conception of the Soviet economy and a formal rupture with Marxism. But they still cannot find such a counter-conception, and here is why. All of my critics, without exception, are eclectics. They have begun an evolution away from revolutionary Marxism and Leninism, i.e., in theory they have begun a retreat from the classical positions of the proletariat, but they

36 [In ancient Greek legend, Themis was a female Titan who personified divine order and fairness. Her symbols are the scales of justice.]

still have no idea of where they will end up. Some of them, no doubt, will turn back to the established positions of Leninism, and others will travel further in their current direction. The ideological limit of this journey is a Soviet edition of *Narodnichestvo*.³⁷ But for many of them a stop mid-way is possible – which is perfectly typical of the intelligentsia – between the two stations that are named ‘proletariat’ and ‘petty bourgeoisie’. If they end up balancing between two classes, then, from such an incommodious position, my critics will never provide any meaningful and coherent counter-conception. As far as the position of consistent *Narodnichestvo* is concerned, to think it through thoroughly just now, overcoming time and historical space not yet travelled, and then to defend it – that is something of which hardly any of my critics is capable. Being people of a passing conjuncture, both in politics and in theory, they are equally incapable of either a consistently proletarian or a consistently petty-bourgeois point of view.

That is why I am not threatened by the danger of any serious criticism. That is why I must deal with a selection of my opponents’ arguments and not with a system of arguments.

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I shall begin with what outwardly appears to be the most substantial objection, made against me somewhat belatedly by comrade Astrov and then repeated by comrade Gol’denberg and others. They reproach me for making a fundamental methodological error that consists of counterposing to the socialist sector the entire private economy, without differentiating the latter into capitalist elements, petty rural production, poor peasants, etc. Comrade Astrov writes:

The ‘fundamental’ law of development of the socialist sector of the economy, which is overcoming the private economy, turns out to be one and the same whether one is speaking of the relations of socialist elements with small peasant farms, with capitalists, concessionaires, etc.³⁸

Of course, all private economic establishments are distinguished by the fact that they are not socialist. Of course, one can find certain general principles with which socialism approaches the whole private economy in general. But whoever is tempted, on the basis of these all too general principles, to construct a very simple and, it would seem, coherent system of two camps – socialism on the one side and everything else on the other – and to look for a single ‘universal’ law of socialist accumulation for the transition period at the expense of the private

37 [The Narodniks (Populists) of the 1860s–70s believed that a uniquely Russian form of socialism could arise from the village commune, or *mir*.]

38 *Bol’shevik*, No. 13 [1926], p. 9.

economy, thereby risks engaging in unnecessary 'simplicity', and his scheme will remain a crass and politically harmful 'simplification'.³⁹

... The theory of the transition period must be *fundamentally* the theory of a two-class society (workers and peasants). This is where it must begin '*Socialism plus small-scale production*' must be the initial level of abstraction here, after which the question of capitalism must be brought into the analysis by way of concretisation.⁴⁰

Such is the objection. First of all, let us eliminate from the very outset any possible misunderstandings. When I counterpose the tendencies of development of the state economy on the one hand, and of the private economy on the other, what is involved is an investigation of *relations that form objectively*, not *the economic policy of the Soviet state* in relation to particular groups of the peasantry, to private capital etc. Moreover, when speaking of 'general principles with which socialism approaches the whole private economy in general', comrade Astrov is apparently speaking not only of a scientific approach, not only of an investigation of that which exists, but also of economic policy. To mix up these things would create confusion.

In the general-theoretical part of my analysis of the Soviet economy, I do not undertake a more concrete investigation of the relations of particular groups of the peasantry to the socialist sector, because that will be the theme of the second volume. In the first part of the work I confine myself to emphasising the basic contradiction between the developing socialist sector of the economy and the entire private economy, because this contradiction in the sphere of regulation is developing as the struggle of the law of primitive socialist accumulation with the law of value, i.e., as a struggle between two systems, one of which is historically replacing the other: the system of commodity production and the system of planned socialist production. Between *simple* commodity production, which is represented in our economy by peasants who are not exploiting the labour of others, along with handicraftsmen and artisans, and capitalist production, there is, to use a zoological term, a species difference, yet both of them are economies of one *genus*, i.e., both of them are *commodity production*. When counterposing *the whole of commodity production* to socialist tendencies of development, the researcher is *obliged* to abstract from the species differences between simple commodity and capitalist production. Failure to investigate the laws of development of our economy at this level is capitulation to the petty bourgeoisie in the sphere of theory.

That is the first point. The second and most important proof of the correctness of precisely my method of analysis consists of the following. Who is our *fundamental*

39 *Bol'shevik*, No. 13 [1926], p. 10.

40 *Bol'shevik*, No. 13 [1926], pp. 11–12.

enemy, and from what direction comes the fundamental threat to the Soviet system? Of course, [it comes] from world capitalism. When I counterpose the socialist sector of our economy to the private economy, the fact is that the private economy, as the territory of operation of the law of value, includes the world economy and the world market as a fundamental element. The longer our system exists, and the more its connection grows with the world division of labour, the clearer it must become for everyone, even for people with a provincial outlook, that the basic line of struggle of the socialist sector of our economy with the bourgeois system corresponds precisely with the line of struggle against the world capitalist economy, which must be reflected in the totality of our relations with domestic capitalism and with domestic petty production. The law of value is the law of the world economy; its operation is distorted in our system or partially liquidated not because there are 100 million peasants in our country, but *despite* the fact that there are so many of them and *thanks to* the existence of our economy's socialist sector.

Comrade Astrov thinks he can sneak out of recognising the presence in our economy of the law of primitive socialist accumulation after making the theory of the transition period a theory of a two-class society. I assure him that if one begins the investigation from this direction and willingly conducts it in the spirit of revolutionary Marxism and Leninism, without falling into a national-peasant limitation, then the law of primitive socialist accumulation will inevitably overtake the investigator, even if only as a law arrived at inductively. The point is that the investigator will not be studying the relations between workers and peasants under the dictatorship of the proletariat in general, but the relations between these classes in the concrete Soviet economy of the present period. Just try in such an investigation to circumvent the fact of the differentiation of the peasantry, as a result of which there is presently development of the productive forces along the line of the creation of *kulak* and well-to-do farms, i.e., not by a socialist route but by the anti-Soviet organisation of agricultural labour, which is advancing more quickly than the creation of producers' cooperatives in the countryside (mainly collective farms). Just try to get around the problem of export, import and the groups of the peasantry that are exporting; try to forget the relationship between our prices and foreign ones; try to bypass the problem of the goods famine, accumulation and industrialisation in such conditions, i.e., with the existing relations between the economy of the USSR and the world economy. The law of primitive socialist accumulation is the law of the relation of the socialist sector of our economy not only with the domestic private economy but also with the entire world economy. To convert it into a theory of the relation between the state economy and the peasant economy means subordinating the entire problem to one of its parts. To be distracted from the world market and from our fundamental opponent, and to concoct a theory of a shut-in worker-peasant society and its economy, means replacing a Marxist investigation of the question with a Poshekhonskian or Glupovskian theory of the

Soviet economy.⁴¹ I would very much recommend to Comrade Astrov and others among my opponents who share his point of view that they hurry up with such an investigation. It would probably be such a mockery that three-quarters of our disputes would be resolved through the intervention of a new factor, laughter, which, as the French say, kills.

The entire second section of Comrade Astrov's article, entitled 'The Theory of Comrade Preobrazhensky as Justification for a Policy of Expropriation of the Peasantry', represents a 'justification' of this political slander. I have no intention of replying to a political polemic in this book, and for that reason I am passing over this thrust. I simply advise comrade Astrov to inquire into the history of the workers' movement and see what name it gives to people who busy themselves with inciting the small property owner to adopt socialism, and how such exercises have usually ended.⁴²

In the process of compiling the arguments against my book, I shall focus only on two. To enumerate and sort them all out would first of all be boring and pointless (in *this kind of dispute* hundreds of them can be concocted), and besides that, it would amount to encouraging my opponent to continue his efforts. In Comrade Astrov's opinion, when I set out the struggle of two principles, i.e., of socialism against the private economy, 1) I forget the Leninist demand for an enumeration of all 'the five forms of economy'⁴³ that he mentioned in his pamphlet on the tax in kind, and 2) it is not clear from my book which form is the prevalent one in our country. I shall dwell on this 'composite' argument not because it makes my opponent and his companions appear to be stupid, but rather because of the importance of the question of characterising our system as a whole.

Raising objections against me in his feuilletons in *Pravda*, comrade Bukharin rebukes me on the grounds that I see a struggle but I do not see the unity of our whole economic system, as if the unity of our economy were not the result of struggle – the resultant of the struggle by the proletariat, organised as a state, armed with the state economy, and supported by the poorest peasantry, against the world economy.⁴⁴ And

41 [Poshekhon'e was a provincial town in Yaroslavl oblast. Glupovsk was the town that figured in the satirical novel by M.E. Saltykov-Shchedrin, *The History of a Town*. The implication of Preobrazhensky's remark is that such a theory would suit a provincial peasant or a fool.]

42 The relation of the state economy to the peasant economy, from this point of view, is becoming more and more simply a function of our relation with world capitalism, which, of course, does not exclude but rather requires us to analyse concretely the relations between workers and peasants in the Soviet system in terms of all their uniqueness and their dynamic.

43 [Lenin, 'The Tax in Kind', in Lenin 1965b, p. 344.]

44 All of the charges against me concerning 'colonies', plundering the peasantry etc. are exercises of the same sort and merely agitate the peasantry against the construction of socialism.

Comrade Astrov, apparently in order to bolster comrade Bukharin and reinforce the 'unity' of the system, reminds me of the five forms.

In the first place, Lenin *never* ceased to insist upon the struggle of precisely two principles in our system, and he sometimes did so in such a pointed way as would nowadays positively frighten off our Communist Narodniks. Secondly, mention of the five social-economic structures that really do exist in our economy does not at all prevent analysing them from the viewpoint of the struggle between two principles, i.e., from the viewpoint of classifying them according to the fundamental forms of historically existing production relations. Here we have two basic links: first, the socialist form is connected with most or part of the cooperative periphery (with the periphery of workers' cooperatives at any rate⁴⁵), and then there is commodity production, both simple and capitalist. And it is upon these two basic links that we must orient ourselves in order to characterise the whole system, because relations of the state-capitalist type and partly also of cooperation are intermediate relations that fall between these two basic links. They are the connecting tissue between two different economic forms. The system cannot be defined in terms of the connecting tissue, which only exists because the initial two links co-exist within a single system as two conflicting principles. Nor can the system be defined in terms of only one of its basic links. In our country the socialist principle and the principle of commodity production are struggling and also cooperating on the basis of their struggle. That is why I suggested long ago that our whole system be called a transitional commodity-socialist system. I have not heard a single convincing argument against such a characterisation apart from references to the awkwardness of a dual term. But the awkwardness of the term reflects the 'awkwardness' of our entire economy. With the victory of socialism in Europe, the socialist principle will prevail everywhere from the outset, and for that type of economy there will probably be no need for the term commodity-socialist economy. In any event, since the time when Lenin adopted his term 'state-capitalism' in relation to our economy, taken as a whole, our system has been 'travelling incognito'. It is time to make some kind of a decision. However, not much can be expected from my opponents: the social subsoil of their criticism is not one of those 'foundations' upon which the flowers of theory bloom.

As far as the question of the predominant principle in our economy is concerned, I must interrupt at the very start the attempts by comrade Astrov to palm off on me recognition of capitalism as the predominant one – an effort that just maintains the brilliant prospect of extending the dispute along a road already well-travelled and on the basis of the 'predominant' morality in our polemics.

45 [The mention of workers' cooperatives underlines the weakness of cooperatives in agriculture.]

Comrade Astrov knows, of course, that all these stratagems are nonsense because they contradict the basic presuppositions and conclusions of my book and in many places the text itself. But because of the hopeless eclecticism of his views and his lack of any coherent view of his own concerning our economy, which deprives him of the ability to wage a polemic concerning the fundamental points on which there are genuine disagreements, he is trying to add to the pile an argument concerning my pessimism, not realising that his own co-thinkers have previously rebuked me, and are still doing so, for excessive optimism concerning the possible role of the socialist planning principle in our economy. Our country is currently experiencing a conflict between two systems, and the one that rules will be the one that triumphs. In general terms, one can see a striking contradiction in the arguments of my critics. Each of them wants to 'distinguish himself' in the polemic and collects his 'bits and pieces' wherever he can. But since not one of them has a coherent, well thought-out conception but only a general line of communist Narodism, at every step they offer up completely contradictory arguments. One could write an entire article on the theme of the contradictions in the writings of my opponents, were it not for the fact that an investigation of new problems requires me to put off this not very productive task to some other time. To those who have stressed in their polemic with me (I should add, without any reason being given on my part) the harmful consequences of the 'monopolistic stagnation' of our industry, I would like to recall the harm caused by the monopolistic stagnation of a certain part of our press and the extraordinary danger of the monopoly over criticism being exercised by such 'writers' as my opponent.

Now I turn to comrade Gol'denberg. In *Bolshevik* No. 15–16, of 31 August [1926], I have already responded to one of his articles, and I have no intention here of repeating my rejoinders. Here I wish to deal with comrade Gol'denberg's article in No. 11 of *Bolshevik*, under the heading 'Questions of Economic Policy', and with his reply to me, which was published in No. 15–16 of *Bolshevik*.

As distinct from those of the 'previous orators', comrade Gol'denberg's objections do not have the character of a crudely concocted political slander. But the piling together of arguments is evident here, too. Thus, for example, in the first of the articles mentioned we have the following observation from my opponent concerning a contradiction in my entire construction. After outlining my view that an optimum development of the state economy is presently impossible due to resistance from the private economy, and after pointing out that development towards socialism will mean the strengthening of socialist tendencies and their relative weight, and thus an approximation to the optimum of the law of primitive socialist accumulation, my critic concludes:

... [I]n other words, the more socialist industry is developed and the closer we are to socialism, the less equivalent will our exchange be with agriculture, the higher will taxes be on the countryside, and the higher will prices be on industrial

commodities, for what else can it mean to approach the optimum of primitive socialist accumulation, which must be the result of a change to our advantage in the 'balance of forces'? The nearer we are to socialism, the greater the alienation and the more will be pumped out! This is manifestly absurd, it is crazy nonsense, but let comrade Preobrazhensky try to draw any other conclusions from his own words.

I have paused to deal with this 'argument' from comrade Gol'denberg in order to demonstrate to every conscientious reader how 'objections' are being written these days. This is one of the consequences of the polemic against comrade Trotsky, which has poisoned the whole atmosphere and created unprecedented irresponsibility in polemics generally and in theoretical polemics especially. Comrade Gol'denberg's objection is essentially a perfectly childish misunderstanding and failure to handle not just dialectical but even elementary logic.

Why do I speak of primitive *socialist* accumulation?

Because it precedes genuine socialist accumulation, preparing the elements for the latter.

And how will socialist accumulation be different from primitive socialist accumulation?

By the fact that it will occur in conditions where the socialist sector of the economy will have created for itself a new technical base and will have developed all of its inherent economic advantages over capitalism. Conversely, primitive socialist accumulation occurs on the basis of technique that is lower than that of capitalism and with a lower level of culture among the workers of the state economy.

What is the law of primitive socialist accumulation from this point of view?

It is the law of overcoming this economic and technical backwardness of the state economy by comparison with the most advanced capitalism. To overcome backwardness requires, first, the accumulation each year of material resources for expanded reproduction from the state economy's own resources and from the resources of the private economy, including the peasant economy; and secondly, such proportions are needed in the distribution of labour within the state economy as will each year reproduce, on an expanded scale, the socialist sector on the basis of specific equations of proportionality with the private economy.

What is meant by an increase of the optimum accumulation and expansion of production in the socialist sector *during each particular, concrete year*?

An acceleration of the entire process, which means shortening the period of operation of the law of primitive socialist accumulation, which is a product of our socialist backwardness.

Does this mean that the more successfully the law of primitive socialist accumulation extends its operation, the more it undermines the condition of its own existence?

That is exactly right, comrade Gol'denberg! The nearer we approach to socialism, the smaller after a certain time will the 'alienation' become – not larger – because the accumulation of the state economy on its own basis will be greater, and thus exchange will be more equivalent than it is presently. The non-equivalence of exchange with petty *individual* production in agriculture will emerge and grow in future on the basis of the growth of large-scale socialist and cooperative agriculture – *not as the result of operation of the law of primitive socialist accumulation, but due to the general economic superiority of large-scale over small-scale production.*

The entire meaning of my opponent's argument can be summarised by this sort of example. Suppose that comrade Gol'denberg is at a congress of committees for the struggle against illiteracy and he says: 'Comrades, your work is based upon something "manifestly absurd". If you increase illiteracy, you will be at odds with your basic task. But if you decrease it, then the further you go, the more you will destroy the very reason for the existence of your committees'. After that sort of speech the orator would probably be subjected to some sort of medical examination with regard to his mental capacities. In a theoretical debate, all such 'crazy nonsense' is being published in a serious journal, without arousing any doubts, and the readers are being made fun of as if they were little children.

In his response in No. 15–16 of *Bolshevik*, comrade Gol'denberg, returning at one point to the 'argument' just analysed, puts forth a few additional considerations that we shall deal with briefly.

Comrade Gol'denberg continues to accuse me of crudely and abstractly counterposing socialism to capitalism and of holding the view that 'a study of the transitional period must be built upon analysis of an *abstract* transition period'. In fact, I have no interest in any 'abstract transition period'; I study the Soviet economy, i.e., a concrete economy during a perfectly concrete period of its development, the period when the state economy is overcoming its technical and economic backwardness compared with advanced capitalism. And the law of this period (apart from the law of value, which is rooted in conditions of commodity production) is the equally concrete law of primitive socialist accumulation, which represents the generalisation of a mass of concrete facts from the life of our economy. Conversely, my principal opponent, comrade Bukharin, is wholly and completely guilty of the sin that comrade Gol'denberg attributes to me. His attempt to counterpose my conception to his own comes down to a series of general arguments about the transformation of the law of value into the law of proportional labour expenditures, yet the specific features of the current period of our economy escape his analysis. I have no doubt that comrade Gol'denberg must have been sorrowful to note this fact when reading comrade Bukharin's *feuilletons*.

Next I must cause comrade Gol'denberg some grief by reminding him that my first volume will be followed by a second, which, with a great deal of factual material, will study how the law of primitive socialist accumulation manifests itself concretely within

the state economy, how it operates at the junction of the state economy with the private economy, and how a general economic equilibrium takes shape in our system and is reflected in our economy's numerical balance for past years. Then it will be much more difficult for my opponents to struggle with my point of view than it is now, when they have only to dream up arguments 'in general'. What I have provided thus far has been simply a general theoretical introduction to the concrete analysis of our economy, and not at all a theory of an 'abstract transition period', because the material itself does not exist for such an investigation insofar as our country is the only country of socialist construction and is not typical in terms of its economic structure.

Comrade Gol'denberg's mention that I do not, in the theoretical introduction, give any concrete analysis of the relations between classes in our country is formally correct. But I have already pointed out in response to comrade Astrov that the law of primitive socialist accumulation, in its general form, is the law of the relation of the socialist sector of our economy with the entire economy of commodity production within and outside of the country, just as the law of value, abstracting from its transformation – for instance, the law of the price of production under capitalism – is the law of all commodity production in general and manifests itself in the sphere of simple commodity production regardless of whether we are dealing with production and exchange that involves the middle peasants or the poorest of the poor. That the law of primitive socialist accumulation, transformed into the conscious norm of the state's economic policy and regarded from the standpoint of the distribution of national income, must concretely manifest itself differently in the state economy's relations first with the *kulak* economy, secondly with the middle-peasant economy, and thirdly with the poor-peasant economy, is perfectly obvious. But I intentionally did not concern myself in the first part of my work either with more concrete studies of the production relations of the working class with different strata of the peasantry (apart from individual remarks) or with analysis of the economic policy of the Soviet state. It would be ridiculous to raise to the level of principle objections that concern the allocation of chapters in one or another work.

But the carrying over of polemics against me on precisely this plane has still another meaning. My opponents persistently harass me with the suggestion that I address the matter of the paths of *producers'* cooperation in the peasant economy and the lawfulness of this process. I understand the burning desire of my opponents to hear, even from their opponent, about a theme whose theoretical elaboration they have been completely unable to accomplish. But would it not be more appropriate for them to have the first word themselves? Since I suggested to my critics that instead of expressions of their 'faith' in this process they provide even a few passages of 'knowledge', not a single theoretical work on this theme has been registered in the book market. And that is no surprise. Marx once acidly remarked that no-one has yet thought of a way to catch a fish in waters where it does not swim, which, when applied to our theme, implies the

impossibility of providing the theory of a process that has still not begun on a mass scale and has hardly even begun at all.

Not wishing to enter into a dispute with comrade Gol'denberg on questions of economic policy, here I would like to expose, on two points, his complete capitulation on the questions connected with our theoretical dispute. As is customary in such cases, the capitulation is hidden by swindles and presented in the form of an offensive.

I caught comrade Gol'denberg in a failure to understand the law that I formulated,⁴⁶ which pointed out that our state economy can accumulate 4–5 billion roubles, according to the prospective five-year plan for the economy, only thanks to the operation of the law of primitive socialist accumulation, because we shall have wholesale prices much higher than foreign ones, which means a much more non-equivalent exchange with agriculture than is the case abroad. To this my critic replies: But, after all, prices are still to be reduced, and those of industrial products by 20%. What a miserable way of responding! And where did I say that they will be increased? I said that during the entire period of this accumulation they will be much higher than foreign prices, and that is precisely the essence of the matter. We accumulate only on the basis of struggle with the world law of value, although the magnitude of the non-equivalence gradually declines, which constitutes the goal of our policy and is achievable precisely through accumulation.

The second question. Why are we *compelled*, even according to the rather minimalist five-year plan of Gosplan, to increase the fixed capital of industry during the five-year plan by 10.5%, i.e., by a faster tempo in relation to our miserable fixed capital than the increase of this capital in capitalist countries?

Precisely because such a tempo, or even a higher one, is dictated to our economy by the law of primitive socialist accumulation, as the regulator of economic life; and it is dictated in the struggle with the world law of value. With the free operation of this law such accumulation, in the conditions of Europe's over-industrialisation, is economically quite senseless. And conversely, from the viewpoint of expanded reproduction in our socialist sector, such accumulation is the most essential precondition for the self-preservation of our entire system.

Why is such accumulation possible?

As I pointed out to comrade Gol'denberg, [it is due to] the change in the composition of the consumer budget of the country as a result of the October Revolution and elimination of the landlord class and the big bourgeoisie. However, the problem of adjusting social consumption to production, on the basis of new proportions of accumulation and the distribution of labour, is in practice resolved only thanks to the economic

46 See 'Economic Notes' in *Bol'shevik*, No. 15–16, 1926, p. 74. [In this edition, see Part 2, Appendix 5.]

policy that is being dictated by the law of primitive socialist accumulation, as the law of the system's self-preservation given our existing relations with world capitalism. If our country were now to become bourgeois, such proportions of accumulation would not be called for by economic necessity, and the expansion of foreign trade would resolve many of the problems that we can now resolve *only* by way of intensive accumulation and rapid industrialisation.

Finally, comrade Gol'denberg's comment that there is nothing specific in the law of primitive socialist accumulation that is unknown to bourgeois economics, and particularly that protectionism is very familiar to all bourgeois countries, is a real pearl. In the first place, the specific character of our economy alters, in terms of social essence, the role of various institutions, the methods of economic policy, etc., that resemble the bourgeois regime. In the second place, as far as our protectionism in particular is concerned, not to mention the monopoly of foreign trade, one would truly have to be blind in order not to see and not to understand the following things. When a young capitalist country introduces protective tariffs, 1) the law of value continues to function and to reproduce within it precisely capitalist relations, only with a different relation between national and foreign capital; 2) protectionism does not prevent but frequently facilitates the import of capital into the given country thanks to the higher rate of profit that prevails within it by comparison with older capitalist countries; 3) protectionism does not interfere with the conclusion of foreign loans to the given country, which, to the extent that they are for productive purposes, are a means of increasing the capital in domestic production by using foreign resources. In our country, to the contrary, protectionism and the monopoly of foreign trade protect the process of expanded reproduction of *socialist relations*, i.e., an economy that is in a state of covert war against the economy of world capitalism, an economy that is included within the world division of labour by a means that is completely exceptional and unprecedented in the history of commodity production, i.e., on the basis of the monopoly of foreign trade, planned exports, and what is even more important, planned imports. In such conditions, protectionism is not compensated by the import of foreign capital, which has no desire to flow on a large scale into an alien economic system, and thus the problem of accumulation for us is completely different from that of any young capitalist country of the past or the present. Not to see here the difference between socialist and capitalist protectionism, between the role of non-equivalent exchange here and there, etc., is the same as not seeing the difference between the Soviet state system and the bourgeois state simply because in both cases there is a class court, a militia, an army, etc.

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In the review by Dzh. Nagiev, published in *Ekonomicheskaya Zhizn'* on 6 June, what interests me is not the acutely hostile tone of the review, because I did not expect

anything else in the bibliographic departments of our press, but rather one essential illiteracy that the editors of the newspaper overlooked in Nagiev's note. This illiteracy concerns the very important question of principle as to how developed socialism differs from full communism, and it can lead to confusion among our young students, who may take the ignorance of the reviewer to be the official viewpoint of Marxism and Leninism on this question. In my report to 'Proletkult'⁴⁷ on the theme of 'The Material Basis of Culture in Socialist Society', there is the following passage: 'I shall understand a socialist society to be one in which classes still exist, at any rate two basic classes: the class of workers in the state socialist economy on the one hand, and on the other hand the petty-bourgeois strata of the population, who in economic terms are already completely subordinated to the planned economy but nevertheless still exist as a separate class'.⁴⁸ With regard to this passage the reviewer writes: 'It seems to us that such a childish error would not be committed by any student in a course in a workers' faculty. We have checked almost every work by Marx and Engels, and there is not one of them in which they do not both say that under socialism and communism classes will not exist'.

Dzh. Nagiev wasted all that labour in checking the texts, because there are some things that one must look for not so much in texts as in one's own head. If a man does not understand 1) what the dialectic means in general (and understands it even less, the more *frequently* he speaks about it), and 2) what role terminology plays in designating one or another level of the dialectical process, then in resolving any question that requires knowledge of these issues, such a man will gain nothing from reading Marx, Engels and Lenin ten times over.

In the developed system of communist society, there will be neither classes nor a state. This will not provoke any disputes or misunderstandings. But in the first or lower phase of communist society – although there will be no classes and all the means of production will be socialised – bourgeois right still remains in the system of distribution, and the institution of the state is still not completely eliminated. On this latter theme Lenin writes, in complete agreement with Marx on this point (in 'The Critique of the Gotha Programme'):

The state withers away insofar as there are no longer any capitalists, any classes, and, consequently, no class can be suppressed.

But the state has not yet completely withered away, since there still remains the safeguarding of 'bourgeois law', which sanctifies actual inequality. For the state to wither away completely, complete communism is necessary.⁴⁹

47 [Proletkult (Proletarian Culture) was an organisation established in 1917 to promote proletarian culture and art.]

48 [See Volume III of *The Preobrazhensky Papers*.]

49 Lenin, 'The State and Revolution', in Lenin 1964b, pp. 467–8.

And a little further on Lenin writes:

It follows that under communism there remains for a time not only bourgeois law, but even the bourgeois state, without the bourgeoisie!

This may sound like a paradox or simply a dialectical conundrum of which Marxism is often accused by people who have not taken the slightest trouble to study its extraordinarily profound content.

But in fact, remnants of the old, surviving in the new, confront us in life at every step, both in nature and in society.⁵⁰

Let us look further into this. What is socialism as distinguished from communism? To this Lenin replies that what is usually called socialism is what Marx terms 'the "first", or lower, phase of communist society'.⁵¹ This means that with developed socialism the socialisation of the means of production has been fully accomplished, classes have been liquidated, but there are still remnants of bourgeois law and the bourgeois state. Developed socialism is, therefore, under-developed communism. Well then, how do things stand with 'the first or lower phase' of socialism? Is that how it will be, or will mankind leap directly from capitalism to developed socialism because comrade Dzh. Nagiev, having 'checked' the texts, could find nothing in them on this theme?

If we remain on the ground of Marxism and also, if you will, of healthy thought, applying to socialist society the same historical division into two phases as Marx and Lenin do in relation to communist society, taking into account that 'remnants of the old, surviving in the new, confront us in life at every step, both in nature and in society', I consider that developed socialism will be preceded by undeveloped socialism, containing 'remnants of the old', which must include above all the still not completed process of socialisation of the means of production, which will mean the presence of remnants of the petty-bourgeois mode of production and, consequently, the presence of two classes, the workers and peasants, even though the former constitute the enormous majority. No one will deny the inevitability of such a phase of development from capitalism to communism.

And what is it to be called? Can it be called socialism?

Certainly [it can], because socialism in such a system is the *predominant* mode of production. Otherwise we would have no right to apply the term 'capitalism' to present-day England, Germany, America and so forth, since we see everywhere in those countries very significant remnants of the petty-bourgeois mode of production, and pure capitalism only exists in Marx's *Capital*.⁵²

50 Lenin, 'The State and Revolution', in Lenin 1964b, p. 471.

51 Ibid.

52 It is another question whether socialism at this stage can be considered to be 'the first

Starting from the wish to define exactly what importance I invest in the term 'socialism', I say in my report: 'All of the questions connected with socialist society are extremely difficult to examine concretely unless we agree in advance on what we take the period and conditions of development of this socialist society to be'. And for that reason I cautioned the audience from the very outset that in my report 'I shall understand a socialist society to be one in which [there are still] ... petty-bourgeois strata of the population, who in economic terms are already completely subordinated to the planned economy ...'.⁵³

But Dzh. Nagiev, upon hearing of a petty-bourgeois class in socialist society, decided that I was posing neither 'a paradox nor a dialectical mind game' but simply a 'childish error', and due to the absence of dialectical games in his own mind he undertook, like a student, to find references in the texts of our teachers. It is as if the latter were obliged to leave traces in their works of all truths – even as simple as two times two equals four – especially for such readers as comrade Nagiev. But he also conducted the search rather badly. On the question that concerns him he might have found the following words in a letter from Engels to C. Schmidt: '... [T]o everyone who took part in the discussion, "*socialist society*" appeared not as something undergoing continuous change and progress but as a stable affair fixed once for all ...'.⁵⁴

But if completed socialisation and the absence of classes is the limit to the evolution of socialist society, so that in further stages the very term 'socialism' falls into disuse, then conversely there must be remnants of the old in the socialist society of the preceding period beyond which it might progress. And such remnants involve the incomplete socialisation of the instruments of production, the remnants of petty-bourgeois strata of the population, and a more significant role for the state compared to developed socialism.

It follows that what Comrade Dzh. Nagiev calls my 'childish error', which 'would not be committed by any student in a course in a workers' faculty', is the product of a Marxist use of the term socialism, while his utterly vacuous review displays, if not ignorance, at the very least a feeble student's understanding of Marxism.

It is into the hands of such connoisseurs of Marxism, or reviewers who seek to please such people, that most of the bibliographic departments of our periodical publications have been transferred. If the authors of what are usually tedious and vacuous pamphlets and books occupy responsible positions, these people write laudatory reviews; they

phase of communist society' or whether this phase only commences after full completion of the socialisation of all the means of production. This is a debated question, but it is also merely one of terminology.

53 E. Preobrazhensky, *The Material Basis of Culture in Socialist Society*, p. 14. A publication of 'Proletktl'. [See Volume III of *The Preobrazhensky Papers*]

54 Marx and Engels 1965, p. 415.

write reviews that sing each other's praises; and they consider scientifically dishonest criticism to be political virtue when dealing with books such as mine.

For the intellectual life of our class and our party, and for any progress in the sphere of theory, such a state of affairs represents a very grave danger.

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Now, I shall add a few words concerning the worker-peasant bloc, upon which all of my opponents, without exception, accuse me of encroaching. I have always had, do now have, and will continue to have a Leninist understanding – a Bolshevik understanding – of the bloc and the *smychka*, as laid out in our programme and in the actual articles and speeches of Lenin. Re-reading today both our programme and all the passages from Lenin that pertain to this question, I do not have even the slightest disagreements with these documents either in principle or with the details. Lenin taught us to find what is most characteristic in a changing situation at any given moment and to grasp the decisive link. He considered commodity exchange with the countryside to be such a link in the period of NEP. The party caught hold of that link and did a great deal to forge the state-cooperative trading apparatus, and now it faces the problems of industrial under-production and rising retail prices. The struggle against this scourge, the struggle with the threat to the *smychka* in this field, means the struggle for a more rapid tempo of industrialisation. The struggle to speed up the process of industrialisation is the struggle for more rapid accumulation in industry. Hence the conclusion: those who first pointed out the danger of industrial under-accumulation were the first to think through the question of the fate of the worker-peasant bloc in the new stage of our socialist construction. A revision of Leninism in the sense of communist Narodism does not add commodities for the countryside or reduce retail prices; insofar as it is reflected in economic policy, it merely prolongs the current period of under-production. Conversely, a timely summons to catch hold of this link, the link of more rapid socialist accumulation, means fulfilment of Lenin's real precepts in the sphere of both theory and practice. Life is very quickly revealing who is right in our dispute. I am profoundly convinced that the best of my opponents, among whom I include comrade Bukharin first of all, will have many occasions to blush over what they have written against the present book.

What is the fundamental and original sin, so to speak, of my younger critics, and what is the error of the Old Bolsheviks who are encouraging them, on the matter of understanding Lenin as far as the question of the mutual relations between the proletariat and the peasantry is concerned? It is that the young people quite seriously see the tactical side of Leninist views as the programme of Leninism regarding the peasant question, while the programmatic and general formulations are treated as conjunctural and tactical slogans connected to the conditions of War Communism. The error of the elders, who know very well Lenin's position from the whole of his activities, beginning

with the struggle against the Narodniks in the gos and ending with the struggle against the SRS and Mensheviks during and after the February and October Revolutions, is that they do not take into account the real danger in a peasant country of educating a younger generation that is ideologically a hybrid between Bolsheviks and Socialist-Revolutionaries.

Re-read everything that Lenin wrote on this question. You will find a proletarian revolutionary who is attempting to steer the ship of proletarian dictatorship through the reefs and submerged rocks of the raging ocean of world capitalism and the surging inland sea of petty-bourgeois spontaneity. He has no fear of making major concessions to the peasantry to avoid shattering the worker-peasant bloc, but he knows the limits of these concessions. Those limits are dictated by the goal itself, i.e., preservation of the dictatorship of the proletariat. But my young critics are most naively seeing the concessions as the goal, and they are building their understanding of the principled and programmatic aspect of Leninism upon the present static relation of class forces in a single country rather than on the dynamic of class struggle during the entire epoch of the conflict between communism and capitalism on a worldwide scale. They are lurching, so to speak, towards a Slavophile⁵⁵ and nationally restricted interpretation of Leninism as opposed to its international-class essence. It is imperative to struggle decisively against such a deviation, against such a revision of Leninism, which reflects the pressure on the proletariat of the country's 22 million peasant households. It is one thing to make necessary concessions to the middle peasantry in the area of economic policy and in the matter of socialist construction, as our Party programme says; it is another thing to make concessions on our own inalienable class territory, concessions in the area of Leninist theory, which can only facilitate and justify the kind of concessions and manoeuvres in economic policy that Lenin himself considered incompatible with the fundamental goal of our struggle.

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To conclude, [I shall say] a couple of words in response to those who consider my analysis of the Soviet economy to be unjustifiably optimistic. Whereas comrade Astrov, as we have seen, creates a version that reproaches me 'on the grounds of pessimism', my critics have much more frequently accused me of exactly the opposite, and they have done so honestly, without any intentions of political discreditation. To these latter objections I can respond with the following brief comment. In my work I am trying

55 [In the nineteenth century, the Slavophiles, who included both conservatives and progressives, emphasised the unique values expressed in Russian history and the communal life of the peasantry, and the need to protect those values against the commercialism, materialism and individualism of Western liberal civilisation.]

to give a theoretical analysis of the development of the Soviet system of economy. This development is possible only in one circumstance: if the domestic expansion of the state sector proceeds more rapidly than growth of the private economy and, obviously, if we are not smothered from the outside by world imperialism. From the viewpoint of the present day, my analysis may appear to be too optimistic, but it is a different matter if we take *the line of development over an entire period*. If our state economy develops with sufficient speed and on the basis of its inherent tendencies, then things will progress towards a transformation of the Soviet economy that will occur fundamentally as described in my book. I am trying to provide a theory of our development towards socialism. I thereby decline to provide the theory of a second variant, i.e., the theory of our dissolution in commodity economy, which is the theory of the death of our system. No social science 'views good and evil with indifference'. Least of all are Marxism and Leninism such a science, for they represent, in the final analysis, only a guide to action for the revolutionary proletariat.

E.A. Preobrazhensky, Novaya ekonomika,
2nd edition, pp. 249–335.

Reply to Comrades Kareev and Kapitonov

I shall begin my rejoinder to the criticism of my book, which comrades Kapitonov and Kareev give in their theses,¹ with a very brief statement of the core ideas of all my work. This is necessary because, first of all, a number of objections based upon misunderstanding will be removed after such a statement; and on the other hand, comrades who have not yet fully read my book will then be better qualified to participate in the debate or to form an opinion.

The object of the analysis is the Soviet economy during a period when the socialist sector has not yet established a new technical basis for itself, has not created a socialist culture adequate for the structure of a socialist economy, and has yet to develop all of the advantages of the new form of production over capitalism, i.e., a time when the new form is still technically, economically and culturally (in the sense of its relation with the base) weaker than the most progressive capitalism. This means that my conception is not a general theory of the transitional economy but merely an outline of a theory of one stage in the history of the Soviet economy, or more precisely, a theory of the period of primitive socialist accumulation. It includes only *certain elements* of a general theory of the transitional economy.

The specific feature of the economics of the Soviet economy during this period is the unfinished struggle for the very possibility of the socialist form victoriously displacing all of the pre-socialist forms, or for their adaptation on the basis of subordination to this historically higher form. Lenin characterised this situation with two laconic words: '*kto kovo?*'² Hence the inevitable internal dualism of the entire Soviet economic system, its internal antagonism, which cannot be characterised at the present stage simply as a unity of opposites. Hence also the uniqueness of the methodological techniques for investigating the whole system.

The socialist sector, in its struggle for existence and development, has the inherent tendency to make the planning principle the basic form of regulation of the whole economic life of the country, while the fundamental objective goal is the speediest possible expansion of socialist reproduction. Conversely, the private sector of the economy, insofar as it too is waging a struggle for survival and development in the form of private economy, has the inherent tendency to make the law of value the fundamental form of regulation. The principal content of that process is dissolution of the state economy

1 [The theses from Kareev and Kapitonov appear at the end of this document.]

2 [Who (will defeat) whom?]

into commodity production, elimination of the obstacles to development of commodity production, expanded capitalist reproduction, and inclusion of the country in the world division of labour on the basis of the law of value – which means, in the event of success, liquidation at some stage of the Soviet system, and above all of its socialist sector, as a foreign body in the system of the world commodity economy.

A unique feature in our country is the fact that the class struggle within Soviet society also acquires, in addition to other forms, that of a struggle of two economic systems. Thus, it is clear that to look for a single regulator of the whole of economic life within the present Soviet economy means either to regard this economy as a variant of commodity production, i.e., basically to admit that the whole struggle has ended in defeat of the socialist principle and its specific tendencies, or else to declare that the planning principle is already the predominant form of regulation, i.e., to mistake the wish for the reality. Eclectic attempts to fold the two regulators into one (as Comrade Kon did with his 'twofold regulator') represent rhetorical exercises unworthy of scientific criticism. The very attempts to find a single regulator are usually built upon a crude analogy between our system and capitalism in the sense that capitalism, where it is the dominant form of economy, possesses an internal unity; its economic equilibrium is achieved on the basis of a single regulator, the law of value, which in turn presupposes the uniformity of a specific system of property in the means of production, in this case the bourgeois system of property. The profound and fundamental contradiction that characterises capitalism is the social antagonism between the bourgeoisie and the proletariat, whereas in our country this contradiction, as a result of the October Revolution, has also assumed the form of an antagonism between two economic systems, in which the domestic antagonism between the state and private sector is merely one aspect of the antagonism between our state economy and the entire system of the world capitalist economy.

A scientific-Marxist analysis of our economy leads to the establishment of two laws that lie at the basis of the whole system: the law of value on the one side, in which all the spontaneous tendencies of the private economy are concentrated, and another law, in which are concentrated the tendencies and patterns of the socialist sector that determine the collective will of the state as the managing subject. Only from the viewpoint of the struggle of these two laws can we understand, without abandoning the position of class struggle, how two antagonistic forms of production, which are connected with two different systems of property in the means of production and included within a single economic system following the breach of capitalism in one part of the world economy, are compelled, on the basis of involuntary cooperation, to satisfy a definite volume of needs on the part of Soviet society. The general-sociological law of the proportional distribution of labour, which operates in every system of social production and takes the form of the law of value in the uniform structure of the capitalist economy, inevitably implies a dual form of regulation in a dualistic system such as ours, so that the

achievement of equilibrium occurs on the basis of a struggle between two regulators. In this context, the sporadic disruption and restoration of equilibrium in the economy always leaves unresolved the question of the survival of the system itself; whether it triumphs or perishes depends upon a change in the world balance of forces between the proletariat and the bourgeoisie.

As far as the law of value is concerned, in its pure form it is sufficiently familiar to us from Marx's analysis of capitalism. The difficulties of investigating it in our economy spring from the fact that it cannot manifest itself in pure form because it is subject to distortion, restriction, and sometimes partial nullification thanks to the existence and development of the socialist sector. Whereas in the struggle of individual capitalisms – with the creation of the tariff systems of individual bourgeois states – the issue is not replacement of one form of production and property relations by another but merely a change in the distribution of means of production between different groups of the world bourgeoisie, of economic territory and the privilege of exploiting specific groups of the working class, in our country the system of socialist protectionism and the monopoly of foreign trade, to the contrary, signify the struggle for existence and development of a completely different economic system with different class leadership and, in present conditions, the struggle to fence off Soviet territory from the disintegrating operation of the world law of value. The influence of this law upon our economy has a specific character that is refracted through the resistance of the whole economic organism. Likewise, the operation of the law of value within the country, to the extent that it has a basis in our own economy, is powerfully transformed, which leads to a number of phenomena that are characteristic only of the Soviet economic system. Analysis of these particular features is inconceivable without examining the simultaneous operation of the second law of our economy.

Before establishing the characteristics of this second law, or how to formulate it correctly and designate it more precisely, certain general features of this law must be identified. But the fact that such a law exists becomes evident in the first attempts at a scientific investigation of the tendencies of development of the socialist sector (whose existence gives rise to all the unique features of our system) and the patterns that lie at the foundation of the state's economic policy. Since the issue involves regular patterns that emerge in the economic field not as a result of the existence and development of some already *dominant* form of production, but rather patterns that are manifest only in a struggle for the survival and dominance of a new form, both in the economy and in the whole sphere of social relations, the law that is being sought, for this reason alone, cannot be a purely economic law but must also, to some extent, be a sociological law. Secondly, insofar as it is a matter of regular patterns involving a collective economic subject that is consciously undertaking both economic tasks and the tasks of preserving an entire system, as a norm that is founded upon foreseeing objective necessity, the law that is being sought also cannot be a *law* in the proper sense of the word,

one that functions as a spontaneous regulator behind people's backs. And thirdly, since what is involved is a class society, in which the spontaneous laws of social life cannot be fully overcome prior to the elimination of classes – because all the factors that yield one result or another cannot fully be taken into account, not to mention the general infancy of the planning principle in our economy – the law that we are seeking also cannot be a norm in the proper sense. Provisionally retaining the term 'law' with respect to a regularity of economic life that is becoming a sociological pattern, and also with respect to a regularity that is determining the conscious will of the collective and becoming a norm, I propose to call this second law-norm of the Soviet economy the law of primitive socialist accumulation (without insisting upon that term). The term itself reveals the transitional character of the law.

Within the sphere of relations between the Soviet economy and the world economy, the law of primitive socialist accumulation, as the concentrated expression of all the tendencies of the socialist sector of the Soviet economy that are directed towards preservation and development of the whole system, means the following:

1. The law of the defence of the whole system, during its period of economic weakness, against the disintegrating operation of the world market. Since a duel between the state economy of the proletariat and world capitalism, in conditions of free trade, would mean that capitalism's artillery shells of cheap prices would rapidly eliminate the artillery of Soviet industry, the law of p[rimitive] s[ocialist] a[ccumulation] necessitates keeping Soviet industry out of range of capitalist industry's competitive fire in order to shield the process of technically re-arming the state economy while forcibly tying the domestic market to still backward Soviet industry. Hence socialist protectionism and the monopoly of foreign trade are mandatory factors of our survival as a Soviet system and a vitally important manifestation of the law of p[rimitive] s[ocialist] a[ccumulation] in the sphere of relations between the state economy and the world economy.

2. The law of overcoming the technical and economic backwardness of the state sector compared to advanced capitalism, involving a compulsory speed of development of the whole process of expanded reproduction and technical reconstruction, whence the necessity of planned imports with an enormous preponderance of them being means of production, which in turn entails the compelling necessity of maximal exports.

3. The law of proportional distribution of productive forces in the Soviet economy in a manner that guarantees: a) more rapid growth of the state sector relative to the private sector, b) satisfaction of a definite minimum of social needs, in particular rising wages and increasing demand from the country's small-scale production for the products of large-scale industry; and [c] a gradual and systematic reduction of prices and their approach to the world level. In turn, in the sphere of distribution of the national income, this means defined proportions, for every given year, between productive and individual consumption – proportions that guarantee the necessary level of accumulation of material resources for expanded reproduction. The compulsory tempo of this

accumulation inevitably dictates non-equivalent exchange with the entire private economy, including the country's petty production, and also a definite level of taxation levied on the private economy. Thus, in terms of the material results of its operation, the law of p[imitive] s[ocialist] a[ccumulation] is the tendency towards maximum speed in the development of socialist reproduction and the fastest possible surmounting of the state economy's technical backwardness compared to the advanced capitalist countries. In terms of the form of its manifestation, it has the tendency, after becoming the norm of the state's economic policy, to subordinate to the latter's planning principle the entire process of regulating the whole economic life of the [Soviet] Union.

Conversely, the development of commodity economy in the USSR, and especially of its capitalist element in town and country, has the tendency to undermine the state economy and to subordinate its planned policy to the interests of development of the productive forces precisely in bourgeois forms. This duel between two economic systems, two forms of property in the means of production and two methods of regulation, is possible in the economic sphere insofar as the state and private economy are connected through the form of market exchange. The state economy is fighting within the confines of market relations (if we leave aside other methods of regulation such as the budget, long-term loans etc.), but it is changing their content in the course of the struggle and striving for economic hegemony over the market, with the tendency towards a subsequent change of form in the whole sphere of its contact with the private economy. Within the state economy itself, capitalist categories even now have largely a formal character. Conversely, the private commodity economy, taking up the fight on the same basis, presses for conversion of the market form of exchange into a weapon for transforming the entire economy of the country into commodity production, not just in form but also in content. The development of commodity economy in the USSR inevitably creates pressure to render the collective form of property in large-scale industry and transport purely formal and fictitious and, after squeezing from this form its whole socialist content, to return it to the juridical framework that prevailed before the October Revolution. Should this tendency prevail, it could lead in future to adaptation of the property form to the laws of development of commodity economy, i.e., to denationalisation of industry and a rupture of the foreign trade monopoly. The basic factor pushing the country's economy in exactly this direction is first of all the development of capitalist relations in the USSR's agriculture, i.e., in the sphere where the state and cooperative economy is weakest. In particular, the further the capitalist development of the countryside proceeds, the more it must inevitably undermine nationalisation of the land. There is no need to prove that in the event of a strengthening of capitalist tendencies this whole struggle in the economic field can pass over at a certain moment into open class struggle in the social-political arena.

The tendencies that we have described in the state economy – towards the fastest possible expansion of socialist reproduction in terms of the content of the process, and

towards the maximal expansion of the planning principle [...] ³ as the form of regulation – while they meet with resistance from the side of the private economy, also lead to a certain average resultant for economic life as a whole. In a case when, due to errors of planned regulation, there occurs a disruption of proportionality in this type of economy, the law of value breaks through into the sphere of regulation with elemental force, and in such moments the presence of two regulators in the whole economic system is most distinctly revealed. A concrete analysis of the economic life of the USSR indicates that the sphere of the planning principle's most successful operation, or to put it differently, the sphere of the freest expression of the law of p[rimitive] s[ocialist] a[ccumulation], as the law of the planned proportional distribution of labour, occurs in state production of means of production to serve state demand. The sphere of the freest expression of the law of value is in private production for the private market, in branches where there is no competition from the state economy, and especially in the sphere of peasant production serving peasant demand.

The collective system of property in the means of production within the state economy, and the planning principle that is immanently connected with it, inevitably mean, even at the current very low level of productive forces in the state sector, a significant advance in the sense of the withering away of the categories of capitalist economy within this sector. This refers to: 1) a change in the character of the country's market resulting from appearance within it of a unified powerful organism in the form of the state sector, which includes transport and the banking system in addition to all large-scale industry. Within the state economy itself, the market link between individual state enterprises has a mainly formal character insofar as the relation between state trusts, which are connected by the unity of a general economic plan, essentially cannot be regarded as a relation of the market type. 2) The growing revelation, through the planning principle, of the fetishised value relations of the commodity world – despite the inevitable weakness of this principle during the period of p[rimitive] s[ocialist] a[ccumulation] – leads, together with change in the character of the market, to a change in the character of the commodity and to greater transparency of all economic relations as relations between people in the process of production. Hence also the growing role of accounting in kind for elements of production and for measuring their value. 3) Transformation of the law of prices of production and equalisation of the profit rate into the norm of planned selling prices, which are subordinated to the task of achieving the obligatory minimum of accumulation in the state sector, means price is converted into an instrument of the planned distribution of productive forces between the state and private sectors of the economy. 4) The process of converting the categories of surplus value within the state economy into the surplus product of the

3 [A part of this line is illegible.]

working-class collective has advanced far due to the change in the system of property, but is also being held back due to the very low level of the productive forces. Unemployment is connected not with the capitalist character of production but rather with insufficient accumulation in state industry. 5) The withering away, within the state economy, of the categories of interest in its capitalist function, and conversion of the state credit system, in relation to the state economy, into one of the instruments of planned distribution of the means of production and of new accumulations in the interests of socialist⁴ reproduction and development of the state-cooperative system of distribution. 6) A system of connection with the world economy, through the monopoly of foreign trade and planned imports, that is completely alien to commodity economy and signifies, in terms of its content, the most rapid accumulation and reconstruction of the state sector's fixed capital, while in terms of form it represents such a high degree of market organisation, at the juncture of the USSR's economy with the world economy, that it is becoming the strongest possible barrier against the disintegrating effect of the world law of value upon our economy. In particular, it is only thanks to this exceptional regime in the area of foreign trade that our *chervonets* currency is maintaining its parity in most of our turnover with the outside world, despite the wide gap between the value relations of the economy of the USSR and those of the world economy and given the obvious violation of the laws of the world market as they are reflected in the rate of exchange. This means that money, at the junction of the economy of the USSR with the world economy, is undergoing a quite fundamental change of its nature as one of the mechanisms of spontaneous regulation of economic life.

Conversely, the factors that are delaying development of our economy in a socialist direction, the factors that are creating a threat to the very existence of our system and a basis for manifestation of the law of value's activity in our economy are: the petty-bourgeois character of the country, particularly of agriculture, the capitalist encirclement, the low level of the technical base of the state economy and the industrial culture of the country in general. Hence 1) the extremely slow process of detaching the level of wages from the value of labour power, which is connected with the need, given the very low level of the productive forces, for a very significant accumulation at the expense of the surplus product of the proletariat. 2) The inadequate production of industrial commodities, their expensiveness compared to foreign ones, which does not make it possible to bring into material exchange all the surpluses of the peasant economy and is holding up the growth of agricultural production, including production of technical crops and, even more dangerously, is orienting the peasant commodity economy upon a *smychka* with foreign capitalist industry. 3)

4 [The text says 'capitalist', but obviously it should say 'socialist'.]

The goods famine, which is connected with the economic weakness of the state economy and insufficient accumulation in industry, is leading to a deformed manifestation of the law of value in the sphere of exchange, increasing the accumulation of private capital, disrupting planned management by the state in the sphere of cooperative exchange, and impeding rationalisation of the trading apparatus. In such conditions the Soviet system of exchange, being freed from the stimulating lash of free competition, is unable, given the generally rudimentary level of socialist culture, to reveal all of the advantages of organised mass distribution. 4) The low technical level of the state economy, and the need to establish its technical base in the shortest possible time on a level with the most advanced capitalist countries, requires a maximal increase in the import of foreign equipment. Our planned imports, partially compensating the economy of the USSR for [the loss of] imports of foreign capital that occurred before the war, and ensuring replacement in natural form of the circulating capital of industry, which is working with foreign materials, probably represents the most striking display of the regulating influence of the law of p[rimitive] s[ocialist] a[ccumulation] in the sphere of our economy's connection with the world market. At the same time, however, this economic inevitability, in the interests of the most rapid development of maximal imports and exports, makes our economy increasingly dependent at the current stage upon the world market and opens up a wider area for the world economy's law of value to affect our economy. 5) The economic weakness of the state economy, the impossibility at its current stage of development of attracting into its own domain, or into the sphere of the productive activity of agricultural cooperation, all of the social groups of the countryside that are related to the proletariat but are being excluded from the production process of the petty-bourgeois economy (agricultural labourers, semi-proletarians, the rural poor), is leading to the formation of enormous cadres of disguised rural unemployment and creating general instability in the social relations of the Soviet system. On the other hand, the same economic weakness of the state economy prevents implementation of far-reaching, purely economic control over capitalist development of the countryside, so that at this stage development of the village in a bourgeois direction inevitably becomes the predominant form for development of the productive forces of the peasant economy.

The fundamental dynamic contradiction of the whole economy of the USSR consists precisely of the fact that the Soviet city is developing overwhelmingly in a socialist direction, while the Soviet countryside is developing, and for quite a long time will continue to develop, primarily in a capitalist direction if we are speaking mainly of the most important economic regions of commercial agriculture. 6) It goes without saying that the whole sum of socialist tendencies and opposing capitalist tendencies, which we have been describing, finds reflection in the area of social and cultural relations, enormously slowing the reform of our state apparatus in a socialist direction; giving pre-

dominance in the sphere of economic management to bureaucratic methods that are extremely disadvantageous and backward in economic terms; impeding the formation of genuine elements of socialist culture; and subjecting these shoots of the new culture to a relentless siege that never ceases, even for a single hour, coming from the side of the reviving bourgeois culture, bourgeois and petty-bourgeois incentives to work, the petty-property instincts of a peasant country, etc.

On the basis of everything we have said, it is imperative to recognise, in the most categorical way, that a scientific-Marxist and Leninist theoretical analysis of our economy, an analysis from the viewpoint of the class struggle of the proletariat, must start from the presence in the economy of the USSR of two distinct economic systems at a time when the struggle for the future predominance of one or the other has yet to be decided. So long as the Leninist question of *'kto kovo'* remains in force, there can be no single regulator in our economy. Our system has no internal organic unity; it provides a terrain for the operation and struggle of two different regulators. In this context, the elements of enforced cooperation between capitalist and socialist elements must be examined from the viewpoint of an unfinished struggle for domination of one formation or the other, and not as the product of an organic unity of the entire system. That sort of unity that has yet to be established. And conversely, all theories of the Soviet economy that start from a unity of our system, from a single principle of regulation of the economic processes occurring within it, must inevitably lead: 1) either to opportunistic banalities concerning a tranquil and smooth growth of the kulak and the well-to-do peasant into socialism, which presupposes recognition of our system as being already fundamentally socialist and would be a mockery of the very idea of socialism and of the working class on the part of some bleary-eyed and cocksure Soviet bureaucrat; or else 2) to recognition of our whole system in its entirety, i.e., of both the state and the private sectors, as a commodity economy regulated by the law of value (since an economy that in form and content is a commodity economy, yet is not regulated by the law of value, is nonsense), in which case collective property in large-scale industry and transport, the foreign trade monopoly, etc., must appear not as the sources of planned regulation of the socialist type, signifying a general dualism of the entire system of regulation, but rather as legal remnants of the October Revolution that will not long survive.

In the works of Lenin, which are concerned with an analysis of our economy from the viewpoint of an objective description of its actual elements, not a single assertion can be found, not a single phrase, to show that Lenin regarded the Soviet economy as an organically unified economic organism rather than an arena of struggle between two hostile principles. In his pamphlet *'On the Tax in Kind'*, which represents the most systematic exposition of his ideas concerning the character of our economy, Lenin, after listing the five elements of our economy, wrote: 'It is not state capitalism that is at war with socialism, but the petty bourgeoisie plus private capitalism fighting together

against state capitalism and socialism'.⁵ These words emphasise with the utmost clarity that two principles are at war in our economy: the principles of planning and of spontaneity, and this means that our economy is dualistic in its methods of regulation and that every scientific analysis of it must have at its core an investigation of the struggle between these two principles – not an opportunistic blurring of the basic historical contradiction between socialism and commodity economy.

Since the foregoing pages constitute a supplementary final chapter to the third edition of *The New Economics* and serve as a *résumé* of the entire book, it will not be difficult for me now to demonstrate the entire futility of the 'comments' from comrades Kapitonov and Kareev.

1) The first fundamental accusation to be eliminated is that the starting point of all my work is 'a presupposition of the possibility of building **communism** (emphasised by the authors – E.P.) in a separate country with no connection to the world proletarian revolution'. The reader can see that all I had to do was set out all of my basic positions and fundamental arguments in a different sequence in order for the groundlessness of this accusation to become perfectly obvious. And that is before mentioning the fact that I nowhere speak of the construction of communism but study only that period in the history of so[...]⁶ its technical base, is catching up in this area with advanced capitalism. Even in the event of completing this process, there is still a very long way to communism, leaving aside the foolishness of the very idea of a communist society, i.e. a classless society, in one country and surrounded by capitalism on all sides. If I analyse the conditions of an auspicious variant, i.e., the conditions of development of our system towards socialism, and not the variant of our collapse under the pressure of our opponent's superior forces, I also frequently refer to the possibility of the latter outcome and nowhere do I identify with any fatalistic belief that, since our system is historically of a higher type than capitalism, its triumph is automatically guaranteed. If that were the case, then work specifically on a theory of the Soviet economy would simply amount to 'clever uselessness', to borrow Herzen's expression.⁷

2) I consider the characterisation of our system as commodity-socialist to be correct if we constantly keep in mind the inevitable dualism and the entire sum of this system's internal contradictions. If there are also elements of capitalism in our state

5 [Lenin, 'The Tax in Kind', in Lenin 1965b, p. 331.]

6 [The page ends here and there is a gap in the text.]

7 By the way, I note for our one-hundred percent optimists that Marx thought the death of human culture might result from an equality of forces in the struggle between two warring classes. This means the possibility not only of the defeat of socialism in the USSR but also of the whole of modern culture if the working class is not strong enough to prevail. There can be no doubt here of Marx's 'pessimism, lack of faith and liquidationism'. [These were terms of abuse being hurled by supporters of Stalin and Bukharin against Preobrazhensky and others associated with the 'Trotskyist Opposition'.]

sector, and even very weighty ones, this does not warrant banishing the word socialism from the characterisation of the system as a whole. Even when introducing the term state capitalism for the whole system, Lenin called the fifth element of our economy socialism. And the very concept of state capitalism (in the Leninist sense of this term) presupposes the presence of a socialist part as the organising centre of this new and historically unprecedented 'state capitalism' under the dictatorship of the proletariat. However, how do my critics themselves suggest calling the whole system after Lenin chose the term state capitalism?

3) The indication in my criticism that the question of '*kto kovo*' remains on the agenda is perfectly correct, and this is precisely the basis of my theory of the two regulators of our economy. Moreover, my critics themselves have not sufficiently thought through the question of what the existence of the unresolved problem of '*kto kovo*' entails precisely for establishing a correct position on the question of regulation in our system. They themselves adopt an eclectic position on this point, or more accurately, they have no position at all on this question. And when they do attempt to outline their views, they evidently side with opportunistic representations of the Soviet economy that arise from a petty-bourgeois pacifist fantasy – from the standpoint of class struggle – concerning the internal unity of our economic system. That is the central point: that is what four-fifths of all the objections to my point of view come down to, and for that reason I shall consider it in more detail.

On the question of the regulation of our economy, the typical vulgar-opportunistic view can be reduced to the following conception: a) Our economy is unified, with an organic connection of all its parts. b) Our economy is one with a market type of connection and with value regulation on the one hand, and with the presence of the planning principle on the other. c) In order to stick with the first assertion, in the presence of the second, some sort of average regulator is invented, some sort of hybrid of the planning principle and the spontaneous one. This naïve standpoint is flawed not because views of the Soviet economy appear here in a simplified embryonic state, but because they are untrue from the start and thoroughly opportunistic. In reality, our economy is not a unified organic whole. To speak of its organic unity on the grounds that state industry buys from and sells to the private economy, including the peasant economy and *vice versa*, means to misunderstand exactly what is most unique and most characteristic of our system.

Between the capitalist economy and natural economy there was no direct link except through the state apparatus – exploiting natural economy in the form of natural taxes – and the serf-owning landlord economy, taking from the peasants in kind and already being drawn into commodity-money turnover with merchant capital. Here, two different types of economy exist and two different systems of property: the bourgeois and the feudal, and the latter has property in the person of the peasant serf. An organic link is established between the bourgeois city and the feudal countryside only insofar

as feudal relations are corroded by commodity economy. Likewise, the link between manufacturing and the guild organisation of labour is antagonistic even if a country is united by a single state apparatus and has a certain resemblance to a unified nation. Conversely, developed capitalism, with an appendage of petty-bourgeois production, already represents an organically unified economic system, because here there is a uniform system of property, i.e., bourgeois property in the means of production with personal freedom of the producers and a single regulator of economic life – the law of value.

Our system, to the contrary, is once again a non-organic system with an antagonistic connection between its parts, one of which is the bourgeois form of property in the means of production with the law of value as regulator, while the other is the collective form of property with elements of planned regulation. In our country there is still a *struggle* for an organic connection between the two halves of the economy, in which the question of '*kto kovo*' precisely characterises the current stage of the whole process. Our system can become one with an organic connection between its parts only if there is a victory of capitalist reaction, or else at the stage of development in the economy's socialist sector when the private economy, including peasant production not yet in cooperatives, represents an element of the whole system in which private methods of farming occur but there is a single production plan, worked out by the socialist sector and tailor-made for development of the latter. In our present economy, there is neither the organic connection inherent in a capitalist economy nor the organic connection inherent in a planned system of economy, but rather the struggle between two antagonistic forms of property and regulation. To the extent that the socialist sector is obliged to cohabitate with the private sector of the economy (the reason for such cohabitation is a question for history and sociology, not for a theory of the Soviet *economy*), social needs must be satisfied and there must be a definite proportionality of labour distribution in the system as a whole. But each form strives for different proportions in labour distribution and in the annual accumulation, and the average resultant emerges on the basis of the antagonistic clash of two methods of regulation. Neither any predefined harmony in these proportions nor any proportionality reached on the basis of a *single* regulator's operation exists here. The whole history of our state economy is one of impulsive advance, retreats, failures, and correction of the failures – in a word, a history of the struggle of the law of p[rimitive] s[ocialist] a[ccumulation] with the law of value. If the leaders of our economy, in these circumstances, do not understand the whole mechanism of this struggle and its internal causes, what that shows is only that the October Revolution and the organisation of labour it has created are more logical than the people who 'lead' this mechanism but are [in fact] led by it.

Generally speaking, to acknowledge the significance for the present period of the Leninist '*kto kovo*', while at the same time looking for an organic link and a single regulator in the economy, means failure to tie the most fundamental ends together. On

the other hand, it is absolutely incomprehensible how and whence the prospect of our collapse can arise in the absence of proletarian revolution in other countries ('we are doomed'⁸) if there already exists an organic link between all the parts of our economy. Whence this menacing thunder if the skies are clear? How can sudden overthrow of the entire system result from such a fine, 'non-mechanically' co-ordinated economy? Does this not mean seeing the threat to construction in our country coming only from intervention, which is quite logical for those who support the organic unity of our system but not logical for those who express doubt concerning the possibility of building full socialism in one country? It is time to understand the following: the theoretical conception that sees an organic connection throughout our entire economy, with a single regulator (which the former implies) and socialism's automatic advance, is the economic foundation for an anti-Marxist, anti-Leninist, nationally limited utopia of the construction of socialism in one country; the theoretical conception that sees an organic connection between the parts of our economy, with a single method of regulation (the value method) and, of course, no guarantee of any automatic advance towards socialism (but, on the contrary, a guarantee of the development of commodity economy) – that conception is a 'theory of no socialism in one country' (to use the expression of comrade Sokol'nikov⁹ in another connection). How comrades Kareev and Kapitonov propose to align themselves between these two positions is completely incomprehensible to me. Let me add that I completely agree with their ideas on page 6, which correspond with a passage on page 37 of my book. What that demonstrates, however, is that these arguments on the part of my critics do not refute me.

4) I cannot agree with the authors, who in turn agree with comrade Bukharin, that under the dictatorship of the proletariat 'the economic policy of the state becomes an element of the economic structure'. At the very least, this is a terminological error. Instead of revising the content of terms in the era of the birth of planned regulation, the authors, in a completely uncritical manner, adjust a changed content to the terms of historical materialism. There is no need to demonstrate that the structure of the Soviet economy and the economic policy of the Soviet state must not be confused. There is

8 [Preobrazhensky is quoting a comment from Kareev and Kapitonov in the document that follows.]

9 [G. Ya. Sokol'nikov became Finance Commissar in January 1922 and presided over the chervonets currency reform. By 1925 he broke with Stalin and Bukharin and repudiated the slogan of 'Socialism in One Country', fearing that Gosplan's control figures ignored the needs of peasant consumers. By this time Sokol'nikov and Trotsky shared the view that 'commodity intervention', or strategic imports of low-cost consumer goods, would be required to ease the 'goods famine' and increase the supply of marketed grain coming from the countryside. It is noteworthy that at precisely the same time Preobrazhensky stuck to his view, evident in this document, that most imports should consist of elements of fixed or circulating capital for investment in state industry, and especially in the heavy industrial branches.]

absolutely no need to use a formulation as clumsy as that of my critics in order to demonstrate that the subject matter of economic science concerning the Soviet economy is both the economic policy of the state, with all that causally conditions it, and also the objective consequences of this policy. The difficulty of the investigation here lies in the fact that politico-economic analysis, during the emergence and growth of the planning principle, fuses with a sociological study insofar as economic laws are partially transformed into norms of the state's conscious policy, and the economic investigation becomes interwoven with a sociological one. This is a point, however, that I intend to develop in a separate article devoted to a study of how, with the transition from commodity economy to planned economy, the very notion of economic law and lawfulness changes.¹⁰

5) The reproach levelled against me, that my method of investigation of the struggle of the law of p[rimitive] s[ocialist] a[ccumulation] with the law of value means the private economy is interpreted without taking account of class divisions (the Nepman, the kulak, the middle peasant and the poor), is true only as an objection to the way the materials are ordered in my work, since I propose to speak of this division in detail when analysing the economic policy of the state and also in the agrarian section of the book. It is impossible in a general analysis (apart, perhaps, from stipulations in one or another footnote) to make the desired division because, in the sphere of market relations between the state economy and the private economy, we do not deal either with class prices¹¹ in the sale of production from the trusts or with class procurement prices (the supplement to the poor for grain, materials etc.), and consequently our entire system of non-equivalent exchange functions in a levelling manner. The uniqueness of the operation of the law of p[rimitive] s[ocialist] a[ccumulation] stands out in our budget and credit policy, which are investigated in the second half of the work. I can only agree that in the first volume it would have been appropriate to say a few words [to that effect] exclusively for the sake of not provoking objections based upon a misunderstanding.

6) Objections to the fact that my law was constructed as the law of primitive socialist accumulation have been addressed to me more than once and result from: a) confusing a law, insofar as it dictates definite proportions of the distribution of national income in the interest of accumulating the material resources of expanded socialist reproduction, with a law in general as one of the two regulators of the distribution of productive forces in general;¹² and [on the other hand] from b) a failure to understand that the law

10 [In Volume III see 'On Morals and Class Norms'.]

11 [Preobrazhensky means that at this stage his analysis deals with prices in general, not with prices associated with different classes and strata of purchasers.]

12 [Preobrazhensky noted earlier in this essay that 'The general-sociological law of the proportional distribution of labour ... operates in every system of social production ...', but

of expanded socialist reproduction, in conditions of the state economy's technical and economic backwardness compared to advanced capitalism, must inevitably take the form of the law of p[rimitive] s[ocialist] a[ccumulation] throughout the entire period of this backwardness.

7) The accusation is incorrectly made against me that I am building some sort of general theory of the transitional economy, based upon the experience of a single backward country with the dictatorship of the proletariat. I gave notice in my book that what is at issue is first of all a theory of the economy of *the USSR*, and secondly, a theory of the economy during a determinate period that is chronologically shorter than the whole transition period. What I wrote on that score must be read more attentively. I deal only with 'certain elements' of a general theory of the transitional economy.

In particular, if we suppose that the proletariat will be victorious in the leading capitalist countries of the West, then those countries will also have to spend a number of years during which reconstruction of the economic system, the concentration of industry, the introduction of technical improvements that cannot be made with private property in the means of production, etc., demand special and specific social proportions between production and distribution and a special regime of socialist reconstruction. I am not guessing today about what to call the basic patterns of this process in the future socialist Europe. But I can find no better term than the law of p[rimitive] s[ocialist] a[ccumulation] for the specific law that is determining the economic policy of the state in the USSR during a period of much more protracted, profound and painful reconstruction – that is, for the law that imposes upon us special and specific proportions in the sphere of production and distribution. If you can find a more suitable term, go ahead!

My counterposing of the law of p[rimitive] s[ocialist] a[ccumulation] to the law of value seems crudely mechanistic only to someone who has already constructed in advance for himself an unconscious working hypothesis concerning the Soviet economy by analogy with capitalism, i.e., who imagines our system to be an organic and unified whole rather than being dualistic. The market form of the state economy's link with the private economy only obscures the contradiction in terms of content and the tendencies of development of the two different formations in the economy of the USSR, thus deceiving superficial investigators; the contradictions that result precisely from a link through exchange, in conditions of development of the socialist sector, become more elastic only in form while constantly threatening to spill over into the sphere of social-political confrontations. If War Communism laid bare all of the contradictions

his point here is that the law of primitive socialist accumulation is the historically specific manifestation of that general law in emerging socialist society, just as the law of value is the specific manifestation applying to production for profit in capitalist society.]

between the private economy and the collective economy, NEP has turned out to be much more elastic in the sense of accumulating hidden contradictions, which only means postponement until a later time of the decisive clash with the capitalist elements of Soviet society.

E. Preobrazhensky

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1 **Comments on E.A. Preobrazhensky's *The New Economics* (1st edition)¹⁴**

1) The basic flaw that invalidates *the whole* of comrade Preobrazhensky's analysis is the assumption concerning the possibility of building *communism* in a separate country having no connection with the world proletarian revolution. There is not even a hint in the book concerning the mandatory economic dependence of the fate of our socialist construction upon the further course of the world revolution. [Preobrazhensky believes that] the USSR has all the economic and political guarantees required for building communism, and the world economy is regarded as organically disconnected from our economic system, putting pressure on the country that is building socialism only insofar as we mechanically come into contact with it [the world economy] through foreign trade.

The opposite will be true: we are living in the epoch of the world economy, and the country of the victorious proletariat remains a part that is *organically* connected with the whole of the world economy; exclusion of the USSR from the system of *capitalist* countries still does not exclude it from the system of the world economy, which for the present remains overwhelmingly capitalist. We are capable of resisting for a long time thanks to our monolithic character and the joining of political and economic power in the same hands, but, with a significant delay of the further unfolding of the social-

13 [There are minor corrections in Preobrazhensky's handwriting.]

14 [Readers will note that there are certain interesting points of tangency between the views expressed at the beginning of this document by Kareev and Kapitonov and Leon Trotsky's misgivings at the same time concerning the relation between the domestic law of primitive socialist accumulation and the world law of value. We explore Trotsky's concerns in our conclusion to Volume III: 'Preobrazhensky and Trotsky: The Transition to Socialism and the Afterlife of NEP'.]

ist revolution, conflict is inevitable with the capitalist encirclement; and should it not grow over into proletarian revolution in other countries, we are doomed. This circumstance (of *organic* connection with the world capitalist economy) must find reflection in the theory of the transition period insofar as it involves the initial socialist breaches in the system of world capitalism.

Essentially speaking, this observation eliminates any further necessity for analysis of the author's entire conception, since otherwise one would have to adopt the viewpoint of Preobrazhensky and presuppose a construction of communism in the USSR that is economically guaranteed. But let us concede that point to him.

2) The next issue is Preobrazhensky's incorrect appraisal of the general character of our economic system: he calls it 'commodity-socialist'. Lenin spoke of *capitalism* + socialism. In Preobrazhensky's work there is an undoubted exaggeration of the socialist character of our industry and of the entire system. This conforms to the incorrect understanding of socialism itself, which he set out in 1923 (in his brochure on 'The Material Basis of Culture in Socialist Society')¹⁵ as a system in which two classes remain: the workers of the socialist economy and the petty producers.

At the same time, it is important for us to recognise that the question of '*kto kovo*' still persists, and that the possibility remains for both a socialist and a capitalist development. This is precisely the meaning of the debate concerning 'state capitalism' – not as one or another part of our economy, but as a general characterisation of its connections, in which a socialist content (state industry) is still enclosed within a capitalist integument, using capitalist forms and categories, while also waging a growing struggle against them.

3) The question of the relation between economic necessity (an economic law) and the economic policy of the proletarian dictatorship, is incorrectly resolved by Preobrazhensky in terms of methodology (here Bukharin is correct in the part of his article published in *Pravda*). The uniqueness of the transition period is that the economic policy of the state becomes an element of the economic structure. Subsequently, in a factual analysis, Preobrazhensky is himself forced to take this into account, but there is no doubt that his methodological posing of the problem is incorrect. How is a scientific investigation of the objective economic patterns of the transition period to be combined with the real possibilities for the state of proletarian dictatorship to influence economic life? A scientific analysis must have as its goal: a) establishment of the tendencies of development of the elements of the economic structure that lie beyond the direct influence of the proletarian state; b) finding the most rational forms of organisation and regulation of the state economy in conditions of its co-habitation with the commodity-capitalist parts of the system; c) [determin-

15 [See Volume III of *The Preobrazhensky Papers*.]

ing] the possible limits of the economic influence of socialist elements on the private-capitalist encirclement at any given moment.

4) In his general posing of the question of struggle between 'two principles' ('two systems', 'socialism and capitalism', 'planning and spontaneity'), Preobrazhensky deals with the question non-dialectically on the level of a mechanistic confrontation between two systems and two series of economic categories – the value series and the law of primitive socialist accumulation. The methodological basis of this is a formal-logical assertion concerning the necessity of correspondence between form and content. According to Preobrazhensky, the state (socialist) economy employs its own specific methods of regulation and them alone, while the private economy is subjected entirely to the series of value categories that are involved in an acute struggle with the socialist series. This is not true. The same occurs in the discussion of planning. According to Preobrazhensky, the plan prevails entirely within the state sphere and spontaneity entirely in the private economy, and the growth or curtailment of planning depends upon the quantitative dimensions of the state economy and the private economy. This is also untrue.

The issue here must be regarded as follows. The capitalist and socialist systems exist not just alongside of each other but also within each other: the economic system of the USSR exists as an element of the world economy of capitalism; the private-capitalist economy of the USSR exists within the limits of our economic system, over which the influence of its socialist elements extends; capitalism that is already 'pure' and monopolistic, operating exclusively with its own categories, has prepared and grown into the elements of socialism – now a binding together of categories – and their social content is more complex; the socialist economy, *employing commodity-capitalist categories*, is growing stronger; all the while the mixture of capitalist and socialist forms of regulation, on the basis of *commodity* relations, is resulting in socialism (the cooperatives); on the other hand, the socialist forms (those same cooperatives and other forms) cover and give birth to the purest capitalism. As a general formula this can be expressed as follows: the elements of the socialist system use the apparatus of capitalist regulation (capitalist categories) with the goal of overcoming both their capitalist substance and their capitalist forms, and thus are inevitably partially subordinated to them. The capitalist categories must become obsolete on the basis of development of those same categories under the influence of the non-capitalist sector of our economy. The same applies to planning. The plan can grow and become stronger not only on the basis of extensive development of the state economy, but also on the basis of using and subordinating the planned elements of spontaneous regulation (the currency, seasonal fluctuations of the conjuncture, dependence of the conjuncture upon the credit system and so forth); on the other hand, the plan is limited even within the state economy by the organic connection between the state economy and the private-economic periphery. The plan grows, in the first place, as the state economy itself becomes stronger, and secondly,

with better regulation, with scientific awareness, and with development of the most rational methods of influencing the spontaneous relations of the private economy.

5) The greatest mistake of Preobrazhensky, which is reflected in all of his constructions, is the fact that he does not see the organic connection of all the spheres of our economy, including the indissoluble tie of industry, which is socialist in type, with the private economy, which on the one hand permits the state economy to influence the private economy while on the other hand reflecting back on the state economy itself.

The plan, in our country, is not merely opposed to spontaneity but also grows out of its soil, out of scientifically determining its patterns, relying upon the fact that the state economy itself is part of a single economic system along with this spontaneity. Thus, the possibility of planned leadership is also determined, on the one hand, by power as an economic potential in the hands of the proletariat, and on the other hand, by growth within the economy itself of the material preconditions for a plan. In the Trotskyist understanding, the planning principle has a certain abstract character.

6) From the formal-mechanical counterposing of two warring systems arises Preobrazhensky's error in the class analysis of Soviet reality: the economy of the poor, the middle-peasant, the handicraftsman, the kulak and the Nepman – all are merged together into a solid mass of the 'private economy', which has a spontaneous tendency to oppose the socialist system.

Of the greatest importance in the struggle of the Soviet system for socialism is the differentiation of class layers in the spontaneous private economy that surrounds us, distinguishing those that accompany socialism, those that are passively neutral, and those that are actively opposed. Comrade Preobrazhensky's error in this analysis brings with it, as we have seen, the gravest political errors.

7) The most bewildering aspect of Preobrazhensky's theory is why his 'law' is constructed as the law of primitive socialist accumulation. For an explanation of the 'primitiveness' he is compelled to turn to three interpretations that are strained, to say the least:

a) As a general premise concerning the first period of the construction of socialism by a country in which the proletarian revolution has triumphed, he assumes proletarian industry to have a lower, less perfected and more weakly developed technique by comparison with the surrounding capitalism. This does not hold true for the construction of socialism following the victory of the world proletarian revolution, nor for the socialist revolution in industrial countries in general. Preobrazhensky's error is analogous to that of Bukharin in *The Economics of the Transition Period* – the same mechanical point of view regarding the transition period and the same erection into a universal law of the exceptional conditions of the victory of the proletariat in a single backward country accompanied by a pause in the further unfolding of the proletarian revolution.

b) The second erroneous premise of the 'law' is the assertion that accumulation of the elements of socialism begins only with the proletarian revolution: hence the alleged

need for a long period of preliminary accumulation of the conditions for socialist construction, the period of primitive socialist accumulation. This contradicts Marx, the facts, and even common sense – accumulation of the elements of socialism begins and to a significant degree is completed (the socialisation of labour, consolidation of the proletariat, depersonalisation of management and so on) already under capitalism. In this context Preobrazhensky has a vulgar Stalinist understanding of the ‘prehistory’ of Socialism.

c) A third error is inclusion of the surplus product of state enterprises, which enters into the fund of expanded reproduction, as also being a component of *primitive* accumulation. Insofar as the ‘pumping over’ of resources from the private economy into socialist accumulation is an indispensable attribute of the entire pre-communist period, the ground beneath the law of primitive socialist accumulation is ultimately unstable.

A positive answer to the question of the laws that are regulating the economy of the initial period is impossible to formulate in a couple of lines. In approximate terms one can say the following: the state enterprises of the proletarian dictatorship are non-class in terms of their type (but they are not yet socialist, since that would also mean the prevalence of classlessness in the form of production organisation and in distributive relationships), and they are subject to the relations of surplus product (there is no relation of exploitation in the organisation of the production of surplus product); these relations, due to the connection of state industry with the private economy, are enveloped in capitalist categories (profit, price, interest, wages). To the extent that a sector of the economy, operating on the basis of these capitalist categories, becomes socialist in type and grows stronger, the objective basis of the capitalist categories is eroded – form begins to adjust to content. However, this external capitalist form finds its corresponding content in the territory of the private capitalist economy, which also exerts pressure – *through this same system of capitalist categories* – on the socialist sector in the direction of degeneration and adjustment of its non-class content to the capitalist form. Such is the dialectic of the struggle: hence the possibility of influence upon the private capitalist environment; hence the inevitability of partial dependence upon it; and hence a possible capitalist reaction.

These considerations apply to a period of secure socialist construction, but for our ‘conditions of a breathing-space’ we must also include a supplementary analysis of the world economy and its influence upon us.

8) The point of the ‘law of primitive socialist accumulation’ (if we concede that terminology) consists exclusively of the fact – and this is Preobrazhensky’s service, which must be emphasised in every way (the book really does not involve any ‘primitive moral censure of the countryside’ – I.K., N.K.) – that development of the socialist economy is possible only on the basis of permanently pumping resources from the private economy for the development of industry, and that the necessary tempo of this development

must significantly outstrip private accumulation in order to secure the breathing space, the survival, and the victory of socialist construction.

9) This entails corresponding conclusions for economic policy. As for what is unacceptable in this respect, Preobrazhensky should note:

a) as a result of considering the whole private economy as a single entity, the necessity of 'pumping over' is demonstrated by him in relation to the private economy in general, regardless of the class composition of the separate parts of this private economy. Hence the most 'convenient' methods of extraction, according to Preobrazhensky, are: non-equivalent exchange (the policy of prices), indirect taxes (he suggests almost complete avoidance of direct taxes) and so on – all of which are unconditionally harmful in political terms and will lead to weakening the position of precisely the socialist sector;

b) from the idea that 'state industry – is the plan' comes a completely fantastic estimation of a plan that is divorced from life;

c) from this follows a contemptuous attitude towards 'capitalist attributes' – money, the credit system and so forth – which is dangerous and harmful from the point of view of real policy since precisely these must be among the means of pumping over.

The endeavour to strengthen the socialist system must not be limited simply to 'growing plump' at the expense of 'all the others' – it is important for us to knock out our principal enemy – *growing* capitalism; hence the system of 'pumping over' must be constructed in such a way as simultaneously to undermine the possibility of accumulation on the part of *capitalist* economy (*and not of the private economy in general*). We must not count the entire private economy among those 'struggling against us'; a significant part of it (the poor) can and must be utilised by us for the struggle against growing capitalism and must be attracted into socialist construction (and that means the real poor, not Bukharin's middle peasants).

It is primarily necessary to extract not from the private economy in general, but from that sector of it in which we have rapidly expanding reproduction of private economic relations that are spawning capitalism – private capital, the kulaks, the upper strata in the countryside. This leads to a corresponding policy of pricing that would not strike at the whole of the private peasant economy (and partly also at the poorer strata in the cities), and it must be accompanied by a corresponding money-and-credit policy and the special importance of the taxation mechanism. Should it prove necessary, these fleeting and scattered observations can be developed further in the form of an article.

I. Kapitonov

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RGASPI. F. 325. Op.1. D. 585. L. 74–80.

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Debate on the Report of Comrade Preobrazhensky: 'The Law of Value in the Soviet Economy'¹

1 Concluding Remarks by Comrade Preobrazhensky

Comrades, twenty-four speakers have commented on my report. You will surely understand that I cannot possibly respond to all those who have spoken, or even to all those who have said something that merits a response, deliberation and further discussion. Therefore, I must be very brief in my response and keep to the time that we have allotted for this matter in the presidium.

Comrades, I have listened here to several remarks that are political in character. My report is not a political report but a scientific-theoretical one. For that reason, I have no intention to do battle in this auditorium with those comrades who have made political sorties. I wish only to make two observations concerning the speeches by comrades Stetsky and Pashukanis. Comrade Pashukanis here recalled 1923 and pointed to a connection, involving several phrases, between my current position and my position in 1923. He said that my position has not been rendered more correct by the fact that I am no longer speaking against Comrade Sokol'nikov, as the head of Narkomfin, but rather against comrade Sokol'nikov the oppositionist. I must point out to comrade Pashukanis that I am not one of those people *who systematically and on every occasion only speak out against the minority*. (*Applause.*) I completely fail to understand why this sortie was made. Comrade Pashukanis knows very well that I cannot answer him in the present gathering because it would involve opening the entire discussion and covering in detail all of the questions that he mentioned briefly. But if we cannot do so, then why this speech? To whom was it addressed? If not to this auditorium and not to me, then obviously it was addressed somewhere else. And since it was addressed somewhere else, let it go there and I shall not dwell upon it. And now the speech from comrade Stetsky. After I said that my present report concerns the article published 'On Socialist Accumulation', comrade Stetsky zealously recommended reading comrade Bukharin's answer to that article. To those who have not done so, I too recommend that they read my article, comrade Bukharin's reply, my reply to comrade Bukharin and the whole literature that is connected with this question. (*Laughter.*) Comrade Stetsky obviously wanted to say that once comrade Bukharin replied to me a year and a half ago, the whole matter was

1 Published in the journal *Vestnik Kommunisticheskoi akademii*, No. 15, 1926.

finished. No, history will pass a different judgement. Of course, one can make reference to an article that was written, but history decides questions on the basis of *substance* and quite independently of any references to written articles. But if we are speaking in political terms, the substance of the question (apart from the theoretical side, to which I shall turn below), was this: Was it timely or not for me to set out at that juncture the problem of socialist accumulation? The answer to that question is today's goods famine. Anyone who does not understand that the goods famine is the answer to that debate understands nothing. And anyone who does understand but, for political reasons, does not say in whose favour that debate ended – with that sort of person no discussion is possible in the area of theory.

Now, comrades, permit me to turn to the substance of the question, i.e., to a purely theoretical statement of it.

I have to say that our debates were very thoughtful, although they were naturally diverse and touched upon many problems that led us somewhat astray from the theme. Here I shall stick to the fundamental problems and later turn to individual speakers who made particular comments concerning the most important issues.

I shall begin with the method of studying the Soviet economy. Comrade Kon, who addressed this question, was perfectly correct when he said that insofar as the planning principle is beginning to play a role in our economy, the method of studying the economy must itself change, or more correctly, not the method but the methodological approach of the study must naturally change. This declaration, which he made here, and which was published in his programme of political economy, is one that I regard as perfectly correct. Comrade Kon understands the need for a change of approaches in a scientific investigation insofar as the material of the investigation itself significantly changes. But, citing this perfectly correct position, he made a mistake in reasoning that it is not possible to study the phenomena of the Soviet economy, or at least a specific group of these phenomena, in terms of an axis of causality. It turns out, therefore, that the law of causality continues to operate in our economy in general terms, but a methodological study of the phenomena of our economy on the basis of the law of causality, and especially a study of our planned economy, is impossible. This is a completely mistaken statement of the question. Here comrade Kon is confusing two things: he is confusing a lawful pattern, which operates with compelling force for any organisation, whether or not it is a collective one, *with the form of appearance of this lawful pattern*. While in an unorganised society, with the operation of the law of value, this pattern (in the present case, a certain distribution of the productive forces, etc.) appears as an externally compelling force and operates *post factum*, striking people in the back of their head, what we are dealing with here is *a lawful pattern in general* on the one hand, and on the other, *a specific form of manifestation* of this pattern. When we have a planned economy, say a fully organised socialist economy, does necessity really cease to exist? Is economic necessity really just the spontaneous element in the operation

of economic laws and nothing more? Is economic necessity really eliminated, as soon as it is channelled in a certain direction, by the fact that its operation can be foreseen and regulated? Of course not. The difference between an unorganised and an organised society consists of the fact that lawfulness makes its way in the latter not as the law of averages that Marx and Engels discussed. Lawfulness here is expressed not *post factum* but *ante factum*: it makes its way in advance, in the form of foresight, into the minds of a collective organisation. And it is through the consciousness of the collective, through measures thought out in advance, that the operation of this pattern is manifested. That is the difference. We cannot say, therefore, that a study of the Soviet economy along the axis of causality is impossible. Since the form in which lawfulness appears in a planned society changes, the methods of studying lawfulness also change, but it is still precisely a lawful pattern that is being studied. Otherwise there would be nothing at all left here for science to do. Thus comrade Kon's statement of the question regarding a change of approach in studying the Soviet economy is perfectly correct, but his motivation is incorrect.

Comrade Pashukanis undertook to correct comrade Kon on this point, but he did so in such a way that he spoke of the law of value almost as a law of nature, and still he attributed his interpretation to Marx. He attempted to knock down one mistake with another mistake. But when a mistake is knocked down by a mistake, it is the truth that usually suffers. And in this case the truth has suffered from this way of refuting one incorrect position by another position that is just as incorrect.

Now for the speeches of comrades Kan, Ronin and others, who were dissatisfied with my method of analysis insofar as they thought I did not provide a fully comprehensive view when analysing the Soviet economy. I shall not quote what they said, but this was the sense of it: I was mainly concerned, in their view, with analysing the separate parts of our economic front and even, as someone put it, with an analysis of separate commodity transactions, and I gave no picture of the whole. I am certain that had I not given illustrative examples, I would have been accused of exactly the opposite: that all of my conclusions were generally contrived and not supported by any perceptible basis in real social life, that there is no evident basis for the whole edifice. Anticipating such an objection, I chose to illustrate my position with a certain amount of concrete material. This is necessary when taking only the initial steps towards a more or less thorough theoretical study. Comrade Dvolaitzky has already answered all such objections, and there is no need for me to add anything here to what he has said. I must only comment that the results that we are aiming at in a theoretical study cannot be reached all at once. It is only as the result of a great *collective* effort that we shall be in a position, as Marx put it, to master the material in such a critical manner as to be able to express it in a dialectical form that corresponds to the movement that is occurring in reality. A great deal of collective work is required. I think that our three sessions will inspire many to undertake such work in different areas of theoretical study.

I now turn to the next question mentioned by many speakers, including the most prominent participants in our debates: the question of whether there is one regulator or two at work in our economy. First of all, I shall note the speech by comrade Kon. He also sides with those who insist that there cannot be two regulators, only one. At the same time, though, when he had to formulate here just how he regards this question himself, beginning with the struggle of two principles in our economy, he spoke of some kind of mystical substance of value, as opposed to the value form, and was so unable to give a clear formulation of anything that I could not even understand him. Nevertheless, I must say that comrade Kon is on the right track in his search, and perhaps the answer that I intend to provide will satisfy him so that there will be peace between us if he also abandons his error on the question of causality.

The next speakers who took part here – comrade Mendel'son, comrade Kats, comrade Motylev and others – posed the question this way with respect to a single regulator: there is one regulator in the economy of the USSR, i.e., the law of value; there are only deviations and distortions; these distortions, deformities and changes originate from the side of the state economy and its planned regulation. To think otherwise is to admit a dualism in the sphere of economic regulation. On the question of dualism, comrade Solntsev has already partially responded to my opponents and did so quite correctly. I would like to respond to the same accusation of dualism but from another point of view.

First of all, is it possible in general for there to be two regulators in any social system? Let us look at the history of capitalism itself. Did the law of value, as a regulator, suddenly fall from the sky? It was formed as the relations of commodity and commodity-capitalist economy developed. Are we not familiar with the period in history when, during the dissolution of the craft method of regulation, a struggle occurred between the craft method of the regulation of labour and the law of value, and thus two regulators existed? Why is it that something that was possible in the past is impossible today and in the future? Why is it that the law of value, which at one time was dualistically combined with the craft principle, cannot, at a certain historical stage, be combined with a dualism in the sphere of regulation resulting from the systematic displacement of this law by planned regulation? Why is that impossible? A dialectical process is frequently characterised by precisely that form of antagonistic movement. A formulation of the question in such a way that there cannot be two regulators in an economy, even in the kind of system where two principles are struggling, is therefore formally incorrect. With a struggle between two principles, between two systems within a single economy, there can be two regulators and *there cannot fail* to be two regulators. The whole issue is how the resultant develops from the struggle. That is the whole issue. I shall return to this issue, but now I shall show you how what has been said is linked to the law of primitive socialist accumulation.

We are told that a single regulator must exist in our economy. But then I have a question. After all, the law of value is the law of spontaneous reproduction of capitalist production relations, of definite proportions in the economy that correspond to the objective task of the reproduction precisely of capitalist relations. What, may I ask you, does the law of value reproduce in our economy? On the one hand, we have in our country the expanded reproduction of socialist relations, and on the other hand we have the development of commodity economy and expanded reproduction there too. And expanded reproduction in both sectors takes place on *the basis of a struggle*. I ask: What can the law of value reproduce in such a situation? It can only stimulate a tendency towards such a distribution of labour in society as would lead to overthrowing our entire system, to the conversion of capitalist relations into *the ruling* form of production, to conversion of the law of value itself into the sole regulator of production relations. That is how the question stands. And that is why, when people tell me that our planning organs must merely capture² the operation of the law of value, [I have to ask] what would then be the result? In that case our planning principle is merely *one of the functions of the operation of the law of value*. That, comrades Mendel'son, Motylev, Kats and the rest, is your formulation of the question.

I ask you: Have you thought through all of the conclusions that result from your point of view, especially comrade Motylev, who recalled – for reasons unknown, but in any case he did recall – the political resolution of the XIV party congress, which has no direct relation to the question of the theory of the Soviet economy but does mention state enterprises of ‘a consistently socialist type’? I ask him how he associates in his head, in his constructions, the two things: a consistently socialist type of state economy on the one hand and the concept of a single regulator on the other – the law of value – in our economy? This, comrades, is not a serious attitude towards scientific problems, especially coming from a comrade who professes to write quite voluminous books on theoretical economics. (*Laughter.*)

There is still another side to this question. Comrade Dvolaitzky has said here, perfectly correctly, that if we were to allow the operation of the law of value to develop freely in our economy, the first consequence must be renunciation of the monopoly of foreign trade and socialist protectionism, and the second consequence must be such a distribution of labour as would correspond to the reproduction of capitalist relations not just within our national frontiers but on the basis of the world distribution of labour in the world capitalist economy, in which our economy must be included as an individual link. And that means elimination of 3/4 of our large-scale industry. That is what the free operation of the law of value means. We are told that in Gosplan they only capture the operation of the law of value. I dare to think that comrade Mendel'son, who works at Gosplan, has not addressed this question in the name of Gosplan. He has

² [i.e. replicate or be consistent with.]

developed a point of view that comrade Dvolaitzky called a misunderstanding. There are, you know, all sorts of misunderstandings. There are simple lapses, or slips of the tongue, but a misunderstanding that lasts 15–20 minutes – that is no misunderstanding but rather a fundamentally incorrect statement of the question. I strongly recommend to comrades, especially those associated with the levers of planned regulation, that they think the question through to the end.

As you may know, the late Parvus assessed our economic system this way: ‘This is a typical bourgeois economy, it has a great future, it can move with American speed towards development of capitalist forms, but the dictatorship of the proletariat and the dictatorship of the Communist Party are the most important obstacle to development of the productive forces of this economy, which in terms of type is bourgeois from head to toe’. That is how Parvus regarded our economy. From that sort of viewpoint, the idea of a single regulator is perfectly correct and consistent, just as the point of view of the Mensheviks from ‘*Sotsialisticheskii vestnik*’ is perfectly consistent. The Mensheviks consider our economy to be a variant of the bourgeois system with those distortions and deformities of the laws of bourgeois economy – and therefore of the law of value above all – that are connected with the existence of the dictatorship of the proletariat.

Now, comrades, I turn to the next question. On the issue of the law of value, our comrades here all went astray in this direction. They confuse the law of value, as regulator in the capitalist system, whose operation extends over a specific historical period, with the socially necessary establishment of proportionality in the distribution of productive forces that is obligatory *for every system of social production*. The speech given here by comrade A.A. Bogdanov exemplified their error so clearly in this regard that his contribution has been extremely helpful to me. He demonstrated the loose ends of their construction and how they fail to pose the question of the law of value historically. They repeatedly speak of the regulator of labour expenditures in the sense of how this regulator will also exist with socialism, i.e., in the absence of exchange relations; they talk of the sort of proportionality that is absolutely necessary in our economy if the planning principle should fully prevail in future. Meanwhile, the whole question is by what methods, on what basis and with what distribution of labour the proportionality of labour distribution will be established. I shall turn to this important and crucial question when I explain my understanding of the law of primitive socialist accumulation as the regulator of our economy. I did not deal adequately with this in my report because the report was dedicated to the law of value, not to its antagonist.

Comrade Pashukanis spoke in such a way that his address fully corresponded, as regards the question of the law of value, with what Aleksandr Aleksandrovich Bogdanov had to say. Allow me later, when I turn my criticism to comrade A.A. Bogdanov, to criticise as well his faithful pupil, comrade Pashukanis.

Now, comrades, for the second question, which refers to the *methods of determining proportionality*. I regard it as an absolutely established fact that the distribution of productive forces, as it is constituted at the current moment, does not correspond to the distribution of productive forces as it would be constituted with capitalist relations in our country, even with the country's current level of industrialisation. I consider this to be completely beyond dispute. But even if we were persuaded that by some miracle both proportions corresponded, ask yourselves whether this would really demonstrate that the method of determining the proportionality that we need through a spontaneous regulator is essential for us. Why, when we possess methods that are much more historically advanced than the spontaneous methods of discovering this proportionality; why, when we hold the commanding heights in our hands, can we not find this proportionality, which would be established on the basis of the law of value, by using the methods of planning? Why would it be impossible for us to find the basic line of proportionality for one, two or three years ahead, while at the same time the law of value only makes corrections to our construction rather than the reverse? Why is this impossible? How can it be shown to be so except by references to the unfortunate planning work done by Gosplan in one instance or another? After all, the question of our errors and miscalculations, which do no objectively result from the objective preconditions of the Soviet economic system – that is another question that must be discussed separately.

Now for the next point. At the present moment, thanks to the fact that labour productivity and technique in our country are incomparably lower than in America, and that our existence is fenced off from the ocean of the world market by socialist protectionism, by the monopoly of foreign trade, such relations are being created in our economy as would be swept away with the operation of the law of value and with our inclusion in the world market on the basis of free trade. But when we reach the point where our technique will be on the level, say, of American or German technique, and when we underpin our economy with a technical base that corresponds to its structure, I ask you, how will the position change then? Above all it will change in the sense that, having approached the labour productivity per worker that is found in the world economy, we shall have another process, a process that results from what I called in my first article the factor of cooperation by enormous economic masses, which means that we shall have a completely new phenomenon in our economy due to the planned and scientific organisation of labour all down the line in our economy; we shall have a reduction of labour expenditures for any particular volume of production that will issue from an entirely different structure of our economy. It is only with equality of our technique with American technique that these factors will have the greatest effect. But that will mean that the law of value as we understand it, and not as A.A. Bogdanov understands it, will have no further room to operate in our economy, not from any direction nor for any period of our economy's development.

Now I turn to the next question, to the law of socialist accumulation. By far the greatest number of objections were made to my position on this issue, and several were connected with the fact (here I completely agree with comrade Dvolaitzky) that I did not outline this law clearly enough as the law of the distribution of productive forces in our economy that is antagonistic to the law of value. I shall make up for this shortcoming as much as I can in these brief concluding remarks. Comrades, you all know that the law of value is the law that, in conditions of the development of bourgeois production, spontaneously reproduces capitalist relations on an expanded scale. In our country we have expanded socialist reproduction. I ask you: If the basis of one process, the process of the reproduction of capitalist relations, is the law of value, then what lawful pattern is the basis of expanded socialist reproduction? Is there any lawful pattern here, expressed in the fact that, given the recurrence of a series of causes (relative, of course), we can observe a repetition of the same consequences? Is there a specific law of expanded socialist reproduction or is there not? Do we have the antagonistic activity of elements of capitalist development, with the law of value as their basis, while there is nothing whatsoever at the basis of the development of a socialist type of economy? People say that there is a conscious principle here, but is that really science? Is that an answer? We must establish a lawful pattern in the development of our socialist production. What might it entail? *It consists of the fact that, at each given stage of our development, definite proportions of accumulation of material resources in the state economy are imposed upon us with imperative necessity, on the one hand, together with definite proportions of the distribution of labour power and means of production within our state economy on the other hand.* This can be established by a concrete analysis of our economy and can also be proven purely theoretically.

What is the difference between simple and expanded reproduction? Imagine for a moment, comrades, that there is neither a process of expanded socialist reproduction in our economy nor a process of expanded reproduction in the commodity sector. Suppose for a moment that in both spheres we have a condition of simple reproduction, say for a year. I ask you: Will the proportions that prevail with simple reproduction differ from the proportions that would prevail with expanded reproduction, given the existing relation and the relative weight of the two sides? Every one of you who is familiar with theoretical economics will answer yes. You understand that in the second volume of *Capital* Marx, with the identical magnitude of capital in value terms, makes the transition from the scheme of simple reproduction to the scheme of expanded reproduction and gets a completely different proportion in the distribution of productive forces. This completely different proportion emerges here because, if it may be expressed this way, all the magnitudes are set out in marching order for battle. This is a photograph of the dynamic of the expanded reproduction process. We are in the same position in our own economy, with the fundamental difference that the proportions of the distribution of

productive forces are developing *on the basis of the struggle between two economic forms*, and the arrangement of productive forces in the state economy is subject to the task not simply of expanded reproduction but also of expanded *socialist* reproduction. In terms of the development of socialist reproduction, every year differs from the previous one. Every year compulsorily dictates to us specific proportions for pumping over values from the private economy. Anyone who fails to understand this gets hit on the head with the goods famine.

Failure to understand such an issue up to now, failure to see that we are dealing with a *law*, which compulsorily imposes upon us definite equations in the economy, is only possible in conditions where theoretical thought is making meagre progress. When I repeatedly emphasised a lawful pattern in our system's struggle for existence, people saw only one thing: take more from the countryside. They did not see what is fundamental: they did not see that the problem of 'take or give' is forcibly put to us by the proportions of our development, that it results from the fact that our system, existing within the capitalist encirclement, can only struggle to survive by way of a sufficiently rapid development of the socialist form of production. For expanded socialist reproduction in such circumstances, we require every year a greater volume of surplus product in the sense of the material means of production. These values must be taken from within our own system, i.e., from the surplus product of the worker and also from the surplus product of the peasant economy. How can a Marxist fail to see this dependence of our entire existence on determinate volumes of accumulation; how can an economist, when analysing the preconditions for our economy's existence, fail to see that at every particular stage of development we are under a sword of Damocles in the form of proportions of accumulation that are independent of our will? Definite proportions in the development of our industry are dictated to us by the economy as a whole.

The peasant economy, in turn, requires for its own development material preconditions that are determined by the level of the country's industrialisation. New resources must be acquired in a country that is not receiving foreign loans yet must live and develop. That is how the question stands. And that is why I say that the proportions of the distribution of productive forces and of the national income, which ensure a determinate volume of surplus product for every given year – those proportions are objectively dictated to us by our relations between the state economy and the private economy.

Is this a law or is it something else? It is a law for us with external compulsory force. If our system does not satisfy socially necessary requirements while moving forward, it will be overthrown from this direction. How is it possible not to see this? Can we really be unaware that every social system must, above all and independently of its particular methods of labour regulation, fulfil definite social functions in satisfying definite social needs? If this is not done, it will be overthrown. From the point of view of the

self-preservation of our system, the acquisition of a determinate quantity of material resources is dictated to us with compelling force. That is the law of primitive socialist accumulation.

At the same time, we must simultaneously concentrate around the new means of production more and more masses of people, subordinating the system of their distribution between the branches of production to the tasks of socialist accumulation. What does this mean? It means an arrangement of labour power different from what would occur with the law of value, a different distribution of labour. All of this is dictated to us in the same way every year, and with compelling force, on the basis of the changing proportions in the relation of our state economy with both the private and the world economy. When people see in my framing of the question nothing but the slogan 'take more from the peasant', that is the kind of biased thinking in the direction of Narodism that our party must decisively reject.

Let us continue. The comrades who have spoken here claimed that in my report I seriously over-estimated the possibilities of planning in our state economy. I must stipulate that I have not in any way measured these planning possibilities in my work – neither algebraically nor even less arithmetically. I only said, in general terms, that the law of value operates less in some sectors of our economy, more at the junction of our economy with the peasant economy, and more still within the private economy. Some people, comrade Dvolaitzky for example, find this part of my work quite valuable; others have seen it as a flaw in my work. If, in line with the general impression of those who have spoken, I have overestimated the planning principle, then that issue should be debated separately – but with the exception of one point on which we have an obvious misunderstanding.

Comrade Mendel'son and others have pointed out how our plans are often redrawn in fact by spontaneous events. Gosplan is corrected by the peasants' plan etc. When I say that in a certain sphere we have the potential to implement planned regulation to some extent or other, I am speaking of *an objective possibility* that results from the structure of our economy and the balance of forces between our state economy and the private economy at a given stage. But if we are unable to implement planning because we have produced poor plans, that is not the result of objective necessity, although in another respect we might consider it a sociological rather than an economic question: Why is it that we make so many mistakes, miscalculations, and so forth? That is a different question and has no relation to the theory of the Soviet economy. If we experience a great many errors and miscalculations, and if some of them result from the fact that the comrades in planning do not themselves believe that the planning principle can be extended far enough, or if they still have little experience in such matters, then in that case, comrades, our economic system, which was created by the October Revolution and is based upon the socialisation of industry and transport, is not responsible. It includes greater possibilities for planned regulation than they suppose

or have been able to achieve. A theoretical investigation must reveal only what is objectively inherent in this system.

Now, comrades, permit me to turn directly to some of those who have spoken here. First of all I must respond to Aleksandr Aleksandrovich. I have taken him out of sequence in view of the special interest of what he had to say. On the one hand, he helped to explain certain problems, while on the other hand he issued a call for 'Reaction in Science'. On the question of value, A.A. repeated what he has written in his textbook. He claims that his naturalistic and non-historical understanding of the law of value is a Marxist understanding of the law of value. We have a long-standing disagreement with him on this fundamental question. A.A. refuses to understand that the law of value is the regulator of an historically transitory system of production, i.e., the system of commodity and commodity-capitalist production. He stubbornly refuses to understand this part of the issue. From the very outset he did not correctly understand Marx on this point and he persists in his point of view. We therefore have no right to reproach him for reactionary thinking or to congratulate him for progressing. We and our young people have advanced further in our understanding of Marx compared to the way A.A. learned Marx in the 1890s.

The mistake of Aleksandr Aleksandrovich still lies in the fact that he does not correctly understand the subject matter and method of political economy. At the end of his address he pointed out that, at one of the meetings of the Academy, we already buried any understanding of Marx that sees political economy as a general science of the production relations between people and not simply the science of production relations in the commodity and commodity-capitalist system of production. He believes that on this point we have departed from Marx, and we believe that A.A. has always been at odds with Marx. When Marx spoke of the subject matter of political economy, he always indicated and declared that it is the science of the commodity and commodity-capitalist mode of production, and he called his work *Capital: A Critique of Political Economy*, not a theory of all modes of production. He provided several direct formulations on this theme. All of this is so obvious, so elementary, that it seems strange to dispute it.

We spent considerable time clarifying this problem when we debated with comrade Skvortsov. A.A. says that there are other formulations in Marx. And I claim that in Engels's *Anti-Dühring*, where this question is discussed in the chapter written by Marx himself, he provides the formulation that we are upholding.³ The second formulation,

3 [In Part II, Chapter x of *Anti-Dühring*, Marx wrote that 'political economy, as it made its appearance in history, is in fact nothing but the scientific insight into the economics of the period of capitalist production', involving principles and theorems relating to 'commodity production, trade, money, interest-bearing capital, etc.' (Marx, in Engels 1959, p. 313). Engels, in contrast, wrote in Part II, Chapter I, that 'Political economy, in the widest sense, is the sci-

by Engels, is inaccurate, and the correct one comes from Marx. How is this error linked with the other error by A.A. concerning the law of value? Here is how it is linked. A.A. reasons as follows: no system of society can exist if it does not satisfy the elementary needs of people. In order to satisfy these needs, people must work. Therefore, the most significant and fundamental question for each system is how much labour expenditure is needed for each product. All of this is true, and on this question we have no disagreement with you. But subsequently, when you want to impose the law of value as regulator upon all systems of production, and thereby to blur the distinction between the regulator in capitalist society on the basis of labour expenditures and the regulator in pre-capitalist systems and with a planned economy, at this point you commit a fundamental error. You follow the line that all bourgeois economists have taken in the struggle against Marxism. They eternalised a particular mode of production, and you eternalise the method of regulation that is characteristic only of unorganised social production, only of the commodity form of production, even though the basis of this regulator, as with all other social systems, was labour expenditures.

Universalising the subject matter and method of political economy, you also universalise the law of value, confusing the form with the content and providing a non-Marxist understanding of this law. It is true that with Marx there are two-three formulations in which he says that the law of value also operates with other modes of production, but in the sense of taking account of the labour time that is expended in the production of one product or another. This is a completely different way of posing the question. I shall quote for you one passage from Engels that quite clearly and definitively sets out this question. There are many places where Engels speaks of the law of value but with a completely different meaning, as in Volume 3 of *Capital*. In another sense, Marx spoke of socially necessary labour, which has tempted some Marxists to abandon the production-technical understanding of socially-necessary labour.

In *Anti-Dühring* Engels speaks with complete clarity of the elimination of the law of value following the elimination of commodity production.

Society can simply calculate how many hours of labour are contained in a steam-engine, a bushel of wheat of the last harvest, or a hundred square yards of cloth of a certain quality. It could therefore never occur to it still to express the quantities of labour put into the products, quantities which it will then know directly and

ence of the laws governing the production and exchange of the material means of subsistence in human society' (Engels 1959, p. 203). Engels added that political economy is an '*historical science*', meaning that 'it must first investigate the special laws of each individual stage in the evolution of production and exchange, and only when it has completed this investigation will it be able to establish the few quite general laws which hold good for production and exchange in general' (Engels 1959, p. 204).]

in their absolute amounts, in a third product, in a measure which, besides, is only relative, fluctuating, inadequate, though formerly unavoidable for lack of a better one, rather than express them in their natural, adequate and absolute measure, *time*.

Herrn Eugen Dührings Umwälzung der Wissenschaft. Stuttgart, 1921, p. 335⁴

This formulation answers the question that we are debating with perfect clarity.

Aleksandr Aleksandrovich expressed several other thoughts concerning the question under review. He criticised my construction insofar as he could see nothing in it apart from the law of supply and demand. But the point is that if we understand the law of value as a whole, i.e., as regulator, we must consider it from the perspective both of its base, i.e., labour expenditures, and of all its forms of manifestation, i.e., we must also analyse the mechanism of supply and demand. How then do you understand the role of the dynamic of prices and the entire mechanism of the deviation of prices from value, through which the distribution of productive forces occurs in an unorganised society? How do you connect one with the other? If, in the matter of regulation of the distribution of social labour, we emphasise one side of the law of value, i.e., the deviation of price from value, we naturally put the main emphasis on this aspect of the law; when we turn to the other side, we are more concerned with the equalisation of labour expenditures in individual branches. And it would be incorrect if we spoke otherwise of the law of value, leaving aside the entire mechanism of regulation as a whole. The point is that the law of value as a whole is manifested both in the deviation of price from value and in the correspondence of price with value.

And now for the theory of supply and demand. The worldview that Aleksandr Aleksandrovich holds regarding this question was formed in the struggle against Struvism⁵ and other sorts of criticism and distortions of Marxism. Naturally, he had to lean in the direction of a naturalistic understanding of the law of value. He has stuck to that position, and in that sense I cannot say that my opponent has shown any noticeable progress in his thinking. As for the sociological attacks from A.A. – to be precise, [the suggestion] that by ignoring his, A.A.'s, understanding of the law of value, we prove our detachment from labour, from the working class – to this I say: We have a divergence of views with you A.A., but as to any divergence from the working class in the sense of the movement towards socialism, the elimination of inequality, of the class system etc. – in this regard history has already had its say during the October days

4 [Engels 1954, p. 429.]

5 [The reference is to the 'legal Marxist' Petr Struve, who in 1905 abandoned socialism and joined the Cadet party, becoming a representative in the second State Duma. In 1917 Struve opposed the Bolsheviks and joined the White forces. He emigrated in 1920.]

and the period of Civil War, when it was precisely our party that accomplished its great work against all those who were wavering, doubting and betraying the proletariat.

Now comrades, permit me to turn to comrade Motylev. Greater attention has been paid to comrade Motylev than he deserves in terms of his scientific services. Comrade Motylev spoke with an aplomb that is inversely proportional to his scientific services. (*Applause.*) Comrades, I cannot devote much time to this speaker because, as someone pointed out, he mainly addressed a personal question rather than the essence of the theme under discussion here. But, in order to show how deeply comrade Motylev has penetrated the system of the Soviet economy, I must say the following.

Concerning the method of investigation, comrade Motylev looks at the question this way: the Soviet economy can and must be studied using the method of political economy; it has no specific laws and peculiarities that would require any modification of the methods and logical devices of the analysis. It is therefore perfectly admissible to see things as follows. We study rent under capitalism with the Marxist understanding of this category. Then we turn to the Soviet system and study rent in the economy of the USSR. The same automatically analogous treatment of the Soviet system occurs in analysis of all the other categories of capitalist economics. If our economy represented some distortion of the system of commodity economy in terms of the details, or a certain modification of it, then such a study would be completely natural. Meanwhile, this same comrade Motylev declares in another place that certain categories of political economy are completely disappearing in our country. Comrade Motylev writes on page 4 of his course in political economy: 'In the economy of the USSR all of the laws and categories of the capitalist economy undergo essential modifications; many of them are completely inapplicable to it'. At the same time, at the end of his 'Course' and in a work on price and value in the economy of the USSR, he says that the only regulator of our economy is the law of value. If the law of value operates in our country, then how can a whole series of categories that arise on the basis of the law of value disappear, and how can the gaps that emerge here be studied from the point of view of political economy and its categories?

Thus comrade Motylev's method of study shows that this researcher into the Soviet economic system does not understand its internal regularities and is merely confusing young students. On page 340 we find another remarkable formulation. You know that comrade Motylev has attempted to invent something new in the area of terminology concerning socialist surplus value. On the one hand, he writes that 'the social meaning of surplus value has fundamentally changed in the state enterprises of the USSR. And if we use the term "surplus value" this must not obscure the new social content, role and function of surplus value in the USSR'. Yet in communist society, to our astonishment, things turn out completely otherwise and take a turn for the worse: 'But in developed communist society the productive forces reach such a powerful level of development that, despite the existence of surplus value, the needs of the toilers can be satisfied on an

unprecedented scale'. On the very same page where such a passage appears, the author provides a formulation of the concept of differential rent that Marx opposed. For him [Motylev], rent grows out of the land without the capitalist mode of production being present (from the audience: *'Agitprop doesn't care'*).⁶ We should send the transcript of our deliberations to Agitprop.

Comrade Motylev said several times that he warned me that nothing can be accomplished in the sense even of an attempt at a theoretical analysis of the Soviet economy (from the audience: *'And you are being very naughty'*). I am willing to learn from anyone, even from Comrade Motylev, but in this case there is nothing to learn from him. During the debates at Sverdlovsk University I said to Comrade Motylev: 'If you undertake to study the Soviet economy as a side-line to theoretical economics, the attempt will end in failure'. The failure is evident, a total failure, as you can see.

Permit me now to turn to other speakers. First I shall deal with certain thoughts put forth by comrade Pashukanis. Lack of time prevents me from dealing again with the law of value, which comrade Pashukanis spoke of in a spirit close to that of Aleksandr Aleksandrovich Bogdanov. I shall move on to other questions. Comrade Pashukanis said: 'He would be a poor economist who would think it possible to return to the policy of War Communism in establishing a system of wages'. I must say that comrade Pashukanis is quite wrong to think that communism and War Communism are one and the same thing. In our country, the man in the street usually thinks that communism means everything that we imposed in 1918: Narkomprod, requisitions, starvation rations, herrings, queues, etc. But this system of distribution, which we adopted at the time due to hunger, poverty, wartime conditions etc. etc., is not what we consider to be a communist system of distribution. Is that really how you understand communism? If we can say that the form of wages will change and that piece-work will most certainly give way to some other form of wages if socialism's inherent stimuli for work develop, that by no means suggests that we shall return to the methods of War Communism. How can anyone foresee all the numerous forms that may be created in the sphere of distribution?

Several other comrades also touched on the question of wages. In terms of wages, I continue to maintain that we have made progress in some places and seriously lag in others. To some comrades, this appears to be a contradiction. They say: Either this category dies out or it remains, but it cannot be both ways. Yet there are occasions when one aspect of production relations of a particular type dies away while another remains, and anyone can be persuaded of this fact by a concrete analysis of our wage system. This is a real and actual fact. If we consider our workers and employees, we shall see that with

6 [The implication of the remark is that Motylev's writing involved only agitation and propaganda, not serious economic science.]

regard to the form of wages we are in the capitalist phase, while at the same time the content has changed in the sense that the worker works for his own state economy, for socialism, and not for capitalism.

Now for the question of severing the link with the value of labour power. In this respect we have made very little progress. But the fact that we have made that separation is evident all the same in the fact of a rise in wages *dependent upon the development of labour productivity*, dependent upon the resources that we have been able to devote to wages at the current stage of accumulation. Accordingly, we have begun to liquidate the law of value, which regulates the level of wages under capitalism. When our system, through quantitative development of the productive forces, the improvement of technique etc., makes it possible for us to raise wages significantly above the pre-war level, all of this will be much more obvious than it is now, when we have only just reached the pre-war level. There is no limit in our system to an uninterrupted rise in wages precisely because the development of labour productivity is taking place *in socialist forms and with socialist relations of production*. Here quantity becomes quality at a certain stage. However, the problem of accumulation collides with the problem of raising wages. And since growth of wages is growth of the *quality of socialist* production relations in our system, on this point there is an internal contradiction in the very law of socialist accumulation that reveals the transitional character of the law itself.

Some comrades claimed that the law of value must not be counterposed to the law of socialist accumulation, that it is only possible to counterpose capitalist accumulation to socialist accumulation. This is not true comrades. It would mean understanding the law of socialist accumulation *only as a law of the accumulation of material resources*. I have never understood it that way. The law of socialist accumulation is not simply a pattern of accumulating material resources of production. I have always understood the law of socialist accumulation in the same sense as Marx understood accumulation, *in the sense of expanded reproduction*, which requires both accumulation of material resources and – at the initial stage – creation of a cadre of hired labour and a certain system of labour organisation in society. From this point of view, it would be completely wrong to counterpose socialist accumulation to capitalist accumulation in our economy, understood precisely in the sense of a collection of resources in the hands of private capital. Capitalist accumulation, as the concentration of resources in the hands of a new bourgeoisie, is merely one of the elements of the process that must be counterposed to the law of primitive socialist accumulation. The concept of the law of value, when counterposed to the law of socialist accumulation, has the advantage that up to a certain point it formulates *all of the tendencies* of capitalist development. From this point of view, we can counterpose primitive socialist accumulation to the law of value, because the former law also concentrates within itself all of the tendencies of the struggle for a different form of labour organisation in society, for different proportions in the distribution of productive forces in our economy, for different forms of distribu-

tion and a different direction of the surplus product in the country. In this respect, it is in total competition with the law of value, understood in a broad sense. It is from this point of view that I consider this counterposing to be correct.

Take a most pertinent example. Within our economy we now have a disproportion that has found expression in the goods famine, which is the product of insufficient accumulation in the state economy. Insufficient accumulation of material resources prevents us from having a development of industry to match the level of effective demand, even though we have had no shortage of labour power but rather the exact opposite. The deficient supply of commodities coming from state industry has caused a paroxysm in the operation of the law of value. It is manifest in the ugliest form of a rise in prices that is not followed by the kind of redistribution of social labour that would eliminate the disproportion in our economy. This leads to the growth of private accumulation, to the disruption of fixed prices in cooperatives, to currency instability, to deterioration of the payments balance between the state and private economy and to a decline of real wages, all of which points towards dissolution of the entire system and is most strongly felt where the law of primitive socialist accumulation cannot fully replace the regulating role of the law of value, while the latter law emerges everywhere as the antipode of the law of socialist accumulation.

Comrade Kats, who spoke here, posed the question this way: Is it a coincidence that relations even within our state economy, relations between our enterprises and trusts, take the commodity-money form; is it by chance that they appear in the guise of capitalist forms in the way I mentioned? I reply: No, this is no mere coincidence. The form of commodity-money relations in our state economy is imposed upon us by the private economy. The private economy would be unable to progress in our country (as was demonstrated by requisitioning) if an alien form of exchange were imposed upon it, whereas our state economy can develop to some degree within the form of exchange relations while changing their content. That is the most essential fact for understanding the whole of this mechanism and our entire economy in general. That is why within our state economy, in many respects, the form is already such an empty shell that without the slightest disturbance, and perhaps even to our benefit, we can replace it with a different one. At the same time, it would be completely inappropriate to speak of such things in relation to the commodity and exchange economy. Here, by the way, the comrades who spoke of a single regulator pointed, as their main argument, to the unity of form on the part of these exchange relations, and particularly to the fact that the distribution of labour occurs through exchange. In response, I must note the following: if we look at the history of all economic forms and the history of class struggle, we shall always see that insofar as there is forward movement that movement occurs by way of a progressive change of content within the old form. The content changes sooner than the form. This is a general phenomenon. And that is the point of view we must adopt in relation to the corresponding process in our country. What is occurring in our coun-

try is emasculation of the old form. At some points this process is further advanced and at others less so, but failure to see the change of content within the fixedness of form means failure to understand the central nerve of the driving principle of our economy. And it is completely incorrect to take such a formal approach to the question of a single regulator and to pay attention solely to this side of the matter. For us, the form of commodity-exchange relations in the state economy is no accident, of course, but it is completely transitory. This can be shown by a whole series of facts concerning our economic practice.

Comrade Kats again repeats the idea that the successes of our planning work can presently be based to a great extent on foresight, on anticipation of the law of value, but not on the possibility of contriving new patterns and imposing them upon our economy.

I think I have sufficiently shown that the patterns that emerge from the proportions of our economy's development, from the very dynamic of our advance, are essentially patterns that exist in fact, and any failure to understand them involves severe consequences. They are not just contrived, nor is my current position contrived. I can understand only one objection, which amounts to the view that there is a single regulator in our economy, the law of value, and all that has changed somewhat is the method of apprehending this pattern. But this is exactly the Menshevik theory of our economy.

Comrade Ronin claims that in some instances I under-estimated and in others over-estimated the operation of the planning principle: I [am said to have] under-estimated the role of regulation in the grain trade insofar as I claimed that we hardly regulate grain purchases by poor peasants at all. I spoke in my report of the kind of exchange that occurs with the simultaneous sale of labour power. We cannot regulate such forms of exchange relations as occur when the poor peasant sells his labour power, receiving grain in the form of a loan that grows with interest, simply by referring to the fact that in Moscow and Leningrad we hold prices at a fixed level thanks to cooperative bread making or that we maintain price limits in procurements. The issue concerns a bilateral sale in which labour power is also sold, even if in masked form. The sphere of such relations is extraordinarily wide in our countryside. In this regard, comrade Ronin has refuted nothing.

Now, comrade Berin said approximately the following: 'I agree with comrade Preobrazhensky when he categorically denies the category of rent, profit and interest within our state economy, but I would also like to know how these three categories, which are manifestations of the surplus-value form, are disappearing, while he [Preobrazhensky] also thinks the question of surplus value itself is debateable'. It is clear why I consider that the category of rent – in Marx's sense – exists in our economy but is also provisional and found only in small parts of the economic sphere. After all, this category generally arises on the basis of capitalist relations not only in industry but also when capitalist relations embrace the whole of agriculture. In our country there is no such basis. What

is often called rent in our country is only the alienation of surplus product on the basis of the state exercising its right over nationalised land. This confusion of capitalist rent with the alienation of surplus product systematically occurs and is unconditionally mistaken from the point of view of theoretical economics. You know that Marx said, and Lenin frequently repeated, that private property in land, under the capitalist system, is not a necessity for the capitalist system itself and at the same time is often a great obstacle to more rapid development of the productive forces. From this point of view, if we could imagine nationalisation of the land in commodity society and a simultaneous transfer of all land to conditions where usage would occur without payment of absolute rent – whether as a matter of state policy or due to the same organic composition of capital being prevalent in agriculture and industry – then we would have a case where, within capitalist society and with the continuing presence of surplus value, one type of rent would disappear.

Comrade Dvolaitzky more than once said that I am going too far, from his point of view, in the sense of over-estimating the planning principle (comrade Dvolaitzky: ‘A *deviation*’). Yes, a deviation if you prefer that darling word. On this question, I must say the following. In a theoretical analysis, in order that this analysis not become outdated within a year or two, it is necessary to give not a photograph of what exists but rather of what is developing: a dynamic pattern. The point is that the abstract-dialectical method of study is the method of capturing regular patterns that are developing in the direction of their pure form. From this point of view, a theoretical investigation that is merely a photograph of what exists is not a theoretical investigation in the proper sense of the word. Beginning with concrete material, *the dynamic* of the process must be revealed, *the direction* of the movement, and in pure form if possible. An analysis of the planning principle’s dynamic of development not only can, but for this reason must always appear to be an exaggeration of the real relative weight of this principle in our economy. To the extent that comrade Dvolaitzky’s comments did not take this aspect of the matter into account, I consider them to be mistaken. To the extent that comrade Dvolaitzky was saying that my exaggeration of the role of the planning principle is based upon *ignorance* of the concrete facts, and that after I write the second, concrete volume of the present work, I shall have to reconsider the first one, I have no objection. I shall do so willingly, taking into account any concrete observation that may be connected with arguments that could involve a revision, not only after writing the second volume of the present work but also in proofreading the first one.

I completely agree with comrade Dvolaitzky when he points out that when I spoke of the price of a locomotive, I did not take into account transport’s link with the whole economy in the sense of the depreciation of inventory and the volume of freight shipments, which are also determined by the general economic situation. I must say, however, that I did formulate things as follows: in this part of the state economy, where the state is a monopolist in buying and selling, the law of value functions *minimally*. I did not say

that it absolutely does not function. A minimal [operation] of the law of value can be included and seen as occurring in exactly the way that Comrade Dvolaitzky indicated, which is something I did not specifically mention.

I agree that in a number of other instances this connection will also prove to be stronger than I portrayed in my work. Look upon it as a first draft. It does not and cannot include formulations that are so precise as not to require one change or another. I cannot provide such formulations single-handedly; that must be the product of a collective and quite prolonged effort.

Now, on the matter of anticipating the balance-sheets of our enterprises. Every industrialist who sits in a trust must agree that if the trust's production programme has been approved, if it has been given fixed prices that it cannot exceed without incurring serious consequences, if it has a specific volume of credit at the bank, if it receives its own fixed and circulating capital, which are more or less inflexible, then given all of these conditions – and when the sort of collective agreement that the trade union will conclude with this trust is also known, and when the condition of goods famine means there is no reason to expect any hitches in sales – with all of this information, 4/5 of the balance-sheet of this enterprise is completely determined in advance. If we leave aside currency fluctuations, which I shall not deal with here, is fulfilment of the production programme, given all of these conditions, assured or is it not? I think it is assured. And that means that the balance-sheet of the trust is also basically given in advance unless there is some upset in the entire economic conjuncture. That is the essential difference between today's state enterprises and the same enterprises prior to the revolution.

It was completely pointless for comrade Ragol'sky to rebuke me for not considering the possibility of a production strike on the part of the peasantry if we should offer a price that is lower than what corresponds to the labour expenditures on a particular crop. It is just the opposite. I said a good deal about this in my report, and I suspect that Comrade Ragol'sky did not hear this part of my report or even, perhaps, any of it. He said that socialist accumulation could be threatened by a rupture with the peasantry, by liquidation of the *smychka* and so forth. Meanwhile, we are already estranged from the peasantry today thanks to the goods famine, and the goods famine is occurring due to insufficient accumulation. How can we have a rupture with the peasantry as a result of successful accumulation when over-production benefits precisely the purchaser, not the producer? On this point he has misconstrued the whole issue. He has been influenced by the panicky shot that Bukharin took at me last year concerning my formulation of the law of primitive socialist accumulation.

Let me turn now to another comment from the same comrade, to the effect that I did not take into account such an interesting fact in our production relations as the 'socialist domestic worker' – the handicraftsman working for the state economy. I agree that this is something I did not mention. I take this comment to refer to a unique system of unique production relations that is developing in our economy. But the term 'socialist

domestic worker' is not appropriate. There is very little socialism involved here, and it is better to speak of a domestic worker for the state economy.

The speech by comrade Chernomordik was very informative. But with regard to the fundamental question, that of socialist accumulation, he too takes the viewpoint of those opponents who have not understood why I speak here of a law. Perhaps I am responsible for the misunderstanding because I did not develop this point adequately. He says: 'In my opinion socialist accumulation is completely innocuous; socialist accumulation and a fundamental law of socialist accumulation are two completely different things'. I cannot accept that merely speaking about socialist accumulation is perfectly innocuous: in my view, what is dangerous is merely speaking of socialist accumulation without sufficient socialist accumulation in reality. (Laughter.) A study of the *law* of socialist accumulation, as the necessary form for the advance of our system, promotes the real process of the development of socialist relations, which is the basic goal of all our deliberate and, in part, our semi-deliberate activity. I believe that once we talk about socialist accumulation, we must immediately pose the question of what regular pattern this entails. Comrade Solntsev was absolutely correct when he reproached opponents with the fact that they simply use the empty phrase of a planned economy while not understanding the lawful patterns that emerge precisely in the struggle of the planning principle against market spontaneity, in the struggle for elimination of the law of value.

Comrade Stetsky commented that it is possible to speak of a struggle of the planning principle against spontaneity, against the market and the private economy, but there is no justification in this context for speaking of a law of socialist accumulation. I must say to him, and to all the other comrades who share his viewpoint, that the struggle of the planning principle against spontaneity occurred in our country during the period of War Communism, and the struggle against spontaneity will be waged for another 25 years. What is distinctive, what characterises precisely the current period of this struggle, what is unique about our present situation? Marx and Lenin taught us to conceive and understand each particular period in terms of its uniqueness. What is it that characterises precisely the current period of the struggle against the principle of spontaneity? What is peculiar about it? To this question my opponents have no answer apart from saying: 'A struggle is occurring between the planning principle and the market'. That is not good enough for science. And insofar as we want to move forward, we run into the problem of the struggle between two basic laws that lie at the foundation of a mixed commodity-socialist system of economy, even though the law of primitive socialist accumulation, as distinct from the law of value, makes its way through the collective consciousness of the ruling proletariat and its organs.

Comrade Chernomordik made a very useful observation concerning the extent to which the spontaneous principle prevails in our country within the planning organs for transport and in the policy for setting planned rates. But what does this demon-

strate? What it demonstrates is that we are not yet properly implementing the planning principle even in the commanding heights such as transport. We need a planned policy of socialist accumulation in transport as well. In this respect we are still very, very far from utilising all of the objective possibilities inherent in our system. I have already mentioned all of this in my article on socialist accumulation. The question concerning the role of transport is of colossal importance in a planned economy. The greatest organisation of our state economy means, at the same time, the maximum opportunity to manoeuvre the whole sphere of the commanding heights that are at our disposal – something that we are not yet accomplishing, something that is difficult to accomplish, but also something that objectively can be accomplished.

Now for the comments from comrade Rosenberg. He criticised me concerning rent. He said: Suppose we have, say, a cinema, that this cinema leases a parcel of land, and because of leasing the parcel of land it has to charge more for tickets. But where differential rent arises here, in the Marxist sense of the term, was completely incomprehensible to me. If the purchaser, that is, the person attending the cinema, pays rent, then the question that follows is: Who produces the surplus value that yields the rent? There is no answer to this question. From this point of view, I consider the objection to be incorrect, although in the present case the question is more complex than when the issue involves two state organs. The issue is even more complex when it involves relations with the private economy. Here relations sometimes occur that resemble the relations of rent. Generally speaking, if we correctly classify them theoretically, this does not mean that we shall take any less from the private merchant who will lease one or another parcel of land from us.

Comrade Kogan said that he would like to go further than I do and show that in our country there is a single regulator of the economy, and that is the law of socialist accumulation. I must say that I do not share this view, which is an inadmissible exaggeration. However, in all other respects Comrade Kogan's way of posing the question was perfectly accurate. It correctly points out to our economists, who approach the organisation of production more like jurists, that the law of value begins to function whenever individual producers are in contact with the world economy and whenever there is private property in the means of production. The fact that we have implemented collectivisation of the most important means of production, and that in terms of the relation of fixed capital we have superiority over the peasantry, must have very important consequences in the matter of limiting the law of value. Otherwise, the law of value would be detached from the physical basis of the production relations that it regulates and on the basis of which it historically emerges.

This observation by comrade Kogan is absolutely true. In our country we do not pay sufficient attention to the fact of socialisation of the means of production, which seriously affects the entire system of regulation, and we over-estimate the importance of the form of exchange relations in the economy.

In conclusion, a few words concerning the comments from comrade Kritsman.

He made several observations, the most important and fundamental of which, in my view, was that I did not say to what extent we can alter value relations with the commodity economy when the issue is not one of encouraging some crops at the expense of others but rather our relations with the entire peasant economy as a whole. I did not consider that question in the current report, but I continue to believe that my previous assertion, made against comrades who spoke in defence of equivalent exchange with the countryside, is correct. I repeat that the question of equivalent exchange with the peasant economy is, for us, a utopia that is practically and theoretically mistaken, because there cannot be equivalent exchange when one system is developing at the expense of supplanting the other. After all, everyone here has acknowledged the fact of a struggle of two systems; how can you expect development to proceed with equivalent exchange between the two forms? That is neither science nor Marxism – which can be proven with a perfectly scientific, arithmetical accounting of the proportions of material exchange between the city and the country. Equivalent exchange would be a tax on socialism to the benefit of petty production.

At the same time, I believe that the way comrade Kritsman posed the question does not involve any demand for equivalence. Comrade Kritsman only raised the question of how to determine mutual relations when we take one system of economy, as a whole, in relation to the other. I regard this question as extremely important, and here is why. We do not encounter the peasant economy as competitors in one and the same sphere of production; the role of our Soviet farms is insignificant. Our industry, which is socialist in its organisation and simultaneously large-scale in terms of its technique, is a different branch of production from agriculture. Secondly, the peasant economy is one that finds itself at a different level of historical development from the state economy. Here is where all the difficulty of the problem posed by Comrade Kritsman lies – the difficulty of the question concerning how to regulate relations and the exchange of things between different economic systems that simultaneously represent different spheres of the application of social labour. However, it seems to me that in working out the law of primitive socialist accumulation we can find an answer to this question. There can be no permanent proportions here in material exchange. The proportions will change.

Next, Comrade Kritsman says that I have not recognised the importance of the commodity character of the connection between the state economy and the private economy. I have to admit that I did not say much about this; it is a question for a subsequent study. It amounts mainly to an appraisal of the relation between form and content in our economy and a study of the dynamic of the entire process. In one of my works, as comrade Dvolaitzky mentioned, I did touch upon this question, but in a form that was unfortunate and differed from a scientific investigation. I believe that this effort will continue for us now, because a great deal more research material has accumulated

since I wrote *From NEP to Socialism* in 1922,⁷ although there has been little progress in studying it theoretically. If my work involves only modest progress in working out this question theoretically, that is a common failing and not just my own.

My work on the theory of the Soviet economy, as several comrades have said, represents only a start in this direction. I personally consider that Lenin took the first step in his own works, where he provided the basis for a theory of the Soviet social system together with the first sketches of a theory of the Soviet economy. Our task is to continue his work. We cannot have serious scientific successes in this sphere unless the work is continued by all of us collectively. And we have to hope that our debates have provided a stimulus for such a collective elaboration of the theory of the Soviet economy.

Vestnik Kommunisticheskoi akademii,

M. 1926, No. 15, pp. 232–54.

⁷ [*From NEP to Socialism* was written in 1921 but published in 1922.]

Economic Notes: On the Benefits of a Theoretical Study of the Soviet Economy^{1,2}

The published chapters of my work *The New Economics* – a work devoted to theoretical analysis of the Soviet economy – have been subjected to fierce criticism. My opponents have especially attacked the chapter on the law of socialist accumulation. The chapter on the law of value in the Soviet economy initially met with a much milder reception during three days of debates in the Communist Academy. Several opponents even complimented the author. But since the article by comrade E. Gol'denberg, published in *Bol'shevik* on 30 April,³ the new chapter is being attacked just as harshly as its predecessor. I do not know, but perhaps such a tone is a personal trait of comrade Gol'denberg; former oppositionists are often more zealous than the norm. In any event, if all my other opponents are more objective, that can only help with the issue. And for my own part, I would like to preserve level-headedness and objectivity. Disagreements do exist, but what is the use of inflating them or inventing points of contention that do not exist? Anyone who engages in this, whether in theory or in politics, indulges that luxury only because he has not given sufficient thought to our future.

The value, or conversely the unsuitability, of any theoretical construction that we Marxists and Leninists produce in the sphere of social science is determined first by the extent to which it logically complies with the methodological foundations and fundamental tenets of Marxism and Leninism, and secondly by the extent to which it promotes proper foresight concerning economic phenomena and thus directly serves the practical goals of our class. The latter test is decisive and conclusive. Marxism and Leninism both provide a preliminary logical test for each new construction only because they have themselves been tested in the experience of the practical struggle of the working class. When a dispute arises over whether any particular construction is logically consistent with Marxism or Leninism, the dispute can go on as long

1 [This article was published for discussion purposes in the journal *Bol'shevik*, No. 15–16, 1926.]

2 This refers to Chapter 2, 'The Basic Law of Socialist Accumulation' and Chapter 3, 'The Law of Value in the Soviet Economy'. The whole book was recently published by the Communist Academy. [When originally published in the *Vestnik Kommunisticheskoi akademii*, Chapter 2 had the title 'The Basic Law of Socialist Accumulation', which was renamed 'The Law of Primitive Socialist Accumulation' in *The New Economics*.]

3 E. Gol'denberg, 'Delayed Reflex' in *Bol'shevik*, 1926, No. 7–8.

as you wish in the sphere of logic, but the issue, once again, is only finally and conclusively decided by practice.

It is from this perspective of a logical and, where possible, practical verification of my theory of the Soviet economy that I intend to consider the most important objections that comrade Gol'denberg and some of my other opponents have raised against the most essential parts of my work. Then I shall attempt to demonstrate that my opponents have not only failed to provide but also never will be able to provide, so long as they retain their current positions, anything resembling a Marxist-Leninist theory of our economy, along with all the ensuing *practical consequences*.

I shall begin with the question of method.

Comrade Gol'denberg accuses me of 'a vulgar, mechanistic approach to the question', of not grasping 'the dialectical connection of contradictory and contending principles', of engaging in a 'scholastic game of formal-logical definitions', etc. And where is the proof?

The first proof is that when I turn to analyse the manifestation of capitalist categories in our economy, I remind readers of precisely what is opposed to these categories in a planned socialist economy. Comrade Gol'denberg pretends that he does not understand the methodological significance of this opposition and its role in my presentation. In his opinion, 'this barren opposition ... reveals comrade Preobrazhensky's complete failure to understand the real role of the law of value in our economy'. 'In the final analysis, socialism obviously leads to complete elimination of the market and market relations. But there can be no more profound and harmful error than to confuse the result of the process with the process itself'.

Let me note the following, not for the sake of comrade Gol'denberg, who of course knows what I am talking about and is busy writing his refutation, but for readers who may take his 'argument' seriously:

- 1) No genuine scientific analysis of the transitional commodity-socialist system is conceivable without understanding where this economic formation is heading.
- 2) It is only with a continuous awareness of the two poles of the entire process – the point of departure and the destination – that we shall be in a position to understand the historical place of each transitional form, i.e., without getting lost in details or descending into the vulgar economics that is serving up a superficial description of today's conjuncture as a scientific analysis of the current economic system.
- 3) The opposition that we are discussing comes from Marx, Engels and Lenin. Without an opposition in principle between capitalism and socialism, a complete analysis even of capitalism itself is inconceivable. The reader will find proof of that in *Capital*, in *Anti-Dühring*, in the correspondence by Marx and Engels, etc. It is only the opposition of socialism to capitalism that enabled Lenin to provide a theory of monopoly capitalism.

- 4) Marx based the study of capitalism upon an analysis of abstract capitalism, i.e., according to Gol'denberg he confused the result of the process with the process itself, for which, as we all know, he was subjected to virulent attacks from the whole international of vulgar economists and philistines.
- 5) The opposition in principle of socialism to capitalism is also methodologically imperative for the analysis of each period in the development of the commodity-socialist form of economy. Since the entire process of the movement towards socialism is a process of the struggle of one economic formation against the other, we shall not be in a position to understand the relative importance of the contending sides, the uniqueness of each period and its lawful patterns, or the bizarre connections between the process of the struggle and its immediate results, without constantly having in mind an idea of what the transitional economy is becoming and where it is heading. To forget about this means sliding back to Bernstein in the sphere of theory, with his famous saying that the movement is everything and the end is nothing.⁴

The absurdity of comrade Gol'denberg's nit-picking is too obvious to dwell upon. However, it is by no means a coincidence that the counterposing of socialism to capitalism, when studying a determinate stage of the transitional economy, annoys both comrade Gol'denberg and certain other critics. After all, to be able to connect this opposition with a concrete analysis of a specific period in the development of the commodity-socialist system of economy means undertaking an analysis of the struggle of two principles in our economy; it means looking for regular patterns in this struggle. Like it or not, when analysing the patterns of development of the state economy, it means arriving at the law of primitive socialist accumulation. But my opponents find no joy in that prospect. On the one hand, they are therefore condemned to repeat, changing only the words and expressions, one and the same phrase about the struggle of the planning principle against the market, while on the other hand they serve up, as an 'analysis' of our economy, a compound of a certain number of Marxist terms with a description of the state's actual economic policy at any given moment. This tailism in theory is simply an ideological expression of tailism in the sphere of practical activity.

Just to read comrade Gol'denberg's article is enough to convince one of how he tramples over the same ground, combining it with polemical swipes at me, often using

4 [On the basis of an empirical argument, Bernstein repudiated Marxist dialectic and held Hegel accountable for Marx's economic predictions, which Bernstein thought had been disproven by economic conditions at the end of the nineteenth and during the early years of the twentieth century. Empiricism became the hallmark of 'Revisionism' and led Bernstein and others to doubt the prospect of socialist revolution and instead to seek compromise within the existing order. If the ultimate goal (the end) was unlikely to be reached, day-to-day progress (the movement) seemed to be the only realistic and morally responsible alternative.]

my own ideas, and then offers this up to the reader as an 'analysis' of the Soviet economy. Just think of how enriched we immediately become upon reading his article! Why, before Comrade Gol'denberg we never suspected that 'growth of sales by the peasant economy to the market is the precondition for its ... coordination with socialist industry'; that 'growth of the planning principle presupposes mastering market relations'; that 'this sort of movement towards socialism has its dangers and difficulties'; that we are accumulating from the surplus product not just of the countryside but also of industry itself. And this is the flood of profound and novel ideas with which comrade Gol'denberg inundates me in his polemical article.

Just imagine, dear reader, that we are travelling from Moscow to Leningrad and have already passed Tver'. Comrade Gol'denberg then turns up and begins to prove that it is impossible to travel from Moscow to Leningrad without passing through the city of Klin.⁵

You are absolutely correct comrade Gol'denberg. One has to pass through Klin, and we have already done so. But what comes next? How do you propose to enrich our knowledge further? We ask just one thing of you: When we arrive in Leningrad, do not astonish us with the truth that on the way there one has to go through Tver' and also cross the Volga, which flows into the Caspian Sea.⁶

Comrade Gol'denberg criticises me for saying nothing about 'the growing over of the relations of commodity economy into socialist relations, only about the displacement of one formation by the other'. This reproach clearly counts on the fact that not all readers of *Bol'shevik* are familiar with my works, which comrade Gol'denberg has undertaken to 'tear to pieces'. In my brochure *From Nep to Socialism*, in the two chapters of my work on the theory of the Soviet economy, and throughout my entire book on *The New Economics*, I frequently speak not just of the displacement of some forms by others but also of the subordination and transformation of historically backward forms under the influence of the leading principle of the socialist sector of the economy. In formal terms, therefore, comrade Gol'denberg's objection is a falsehood. Like his other objections, however, it does have its logical and social meaning.

Comrade Gol'denberg is dissatisfied with my analysis because it 'sharply splits the whole economy of our country into two halves, with the plan prevailing in one and spontaneity in the other ...' I nowhere said that the plan is already completely prevalent in the state economy: it has more than enough spontaneity. But I do claim that the original economic basis of the plan, of the socialist principle, of the development of expanded socialist reproduction – and thus the basis for manifestation of

5 [Klin lies approximately 80 km to the south of Tver'. If a train has reached Tver', it has long since passed Klin.]

6 [Tver is located on the Volga, but the Caspian Sea is nearly 2,000 km to the South-east, i.e. in the opposite direction.]

the law of primitive socialist accumulation – is our state economy, which finds itself in a struggle with the private economy completely apart from what forms this struggle assumes.

Cohabitation with the private economy by no means excludes struggle, just as coexistence of the Soviet state with capitalist countries is only another expression of the class struggle of the proletariat against bourgeois society. Is it not obvious that the metamorphosis of lower economic forms into higher ones, for example, cooperative production in the peasant economy with the support of state industry, is the product of the struggle of the socialist city with the mediaeval economy of the countryside? The cohabitation of two economic formations in our economy denotes a certain unity of the entire system, but equilibrium in this system is achieved on the basis of struggle along the entire front. This struggle of the socialist principle with the private economy is waged externally insofar as our links with the world economy are not diminishing but are growing and will continue to grow. This struggle also proceeds domestically insofar as the connection between the state economy and the private economy, through the market, is not diminishing but growing. The struggle includes an entire gamut of relations: the displacement of some forms by others, the subordination of some forms to others, and the transformation of lower forms into higher ones – all of this is the product of struggle, not of 'peaceful renovation'.

It is therefore impossible, without the 'split' in terms of theoretical analysis that upsets comrade Gol'denberg, to have any scientific analysis of our system. In fact, the opposite is true. Obscuring all the elements of struggle between two economic formations, if it is not the result of misunderstanding, is at best a consequence of strolling along the surface of social-economic phenomena in the Soviet system. From the viewpoint of foreseeing what will happen tomorrow, it condemns us to the cruellest disappointments; in the worst case, all of this can lead to the reproduction, in changed circumstances, of Bernstein's theory of blunting social-economic and class contradictions. On its own, such a conception does nothing in the interests of the dictatorship of the proletariat to blunt any of the contradictions that historically inhere in our system; it merely disorients the ruling working class and its party and prevents it from developing a correct view of the society within which it must fulfil its historical mission.

With regard to this question, it should be generally noted that a great confusion of opinions prevails amongst us, which is not the fault of comrade Gol'denberg. The analysis of our system, as a social formation in which forward movement occurs in the form of the antagonistic unfolding of contradictions – with the struggle between the law of primitive socialist accumulation and the law of value – is hopelessly mixed up with the question of whether the blunting of class contradictions is or is not beneficial for us. With regard to the first contradiction, a scientific-Marxist analysis simply reveals its existence as a fact. To blame my conception for irritating the country's petty bour-

geoisie means to capitulate to it in terms of theory; it means surrendering the entire intellectual life of our party, as well as the preparation of new cadres, to the prior moral censorship of the village.

In methodological terms, the question of blunting class contradictions within our country can only be correctly posed as follows. For us, as the ruling working class, a blunting of all the contradictions that may work against us is beneficial, as is the intensification of contradictions in all cases where that process works against capitalism. The formula of the worker-peasant bloc is firstly a formula of unifying the interests of the worker and peasant against the bourgeoisie, and secondly a formula of blunting the contradictions of interest between these two classes, which is also in the interest of the struggle against the bourgeoisie.

During the current period, the blunting of contradictions on this *basis* is accomplished first, best and most genuinely by the industrialisation of the country, i.e., by cheapening the products of urban industry, the intensification of agriculture, the absorption of redundant labour power in the countryside, long-term credits to the village (which a weak industry cannot provide), and cooperation in production among the poorest peasants. This process simultaneously means the creation of conditions for greater coherence and organisation of the whole economy of the country around the state economy, greater connection of the petty-bourgeois surroundings with the leading centres of our economy, and greater attraction of the countryside to the city. From the sociological point of view, this process signifies general consolidation of Soviet society, its greater internal cohesion and resistance to external pressure and, finally, replacement of flabby petty-bourgeois peasant patriotism – which is highly unreliable in the event of a foreign war – with the socialist patriotism of an industrialised country with the dictatorship of the proletariat.

But this salutary process for our class, for the Soviet system, for socialism and for socially progressive elements of the countryside, is simultaneously painful, protracted and dangerous – the more protracted it is the more dangerous it will be – because our main enemy must inevitably attempt to interrupt it as quickly as possible.

On the other hand, the pressure on our economy from world capitalism's law of value, which is comparatively weak while we are connected with the ocean of the world market through the narrow Dardanelles of our current imports and exports, must inevitably intensify. And thus the question of the tempo of industrialisation is transformed into a question not merely of domestic economic and political equilibrium but also of our survival in face of our *main* enemy.

But given the insignificance of the flow of foreign capital into the country in the form of long-term credits, the problem of industrialisation rests upon the problem of using domestic resources that guarantee at least approximate proportionality in the distribution of productive resources between town and country. Hence the problem of primitive socialist accumulation and its equations of proportionality in expanded

socialist reproduction, which are externally dictated to us with mandatory force. Hence the law of primitive socialist accumulation, which is not dreamt up by Preobrazhensky for the sake of a polemic with his opponents but instead flows objectively from the circumstances of the struggle of our state economy, created by the October Revolution, against the capitalist world. Among other things, this law dictates to us definite proportions for alienation of the surplus product of the village for purposes of expanded socialist reproduction. Objecting to this way of posing the question, my opponents are polemicising not with me personally, nor with all of us industrialisers, but essentially against the objective conditions in which socialist construction is occurring in a single country, and a peasant one at that. Their attacks, as there would be no difficulty in demonstrating on another occasion, are merely an ideological and political reflection of the backward tendencies of our economic development. The notion that my opponents are defending a prudent policy, which responds better to our conditions and is better able to support a bloc of workers with the majority of the peasantry, is totally and completely refuted by the facts.

When there is a goods famine – in our circumstances, when there is insufficient socialist accumulation in industry – the peasants overpay private capital and speculators, often including the cooperatives, by hundreds of millions each year on the difference between wholesale and retail prices. When they have unspent cash and unsold grain that is being eaten by mice, the alienation of a couple hundred millions of peasant accumulation for the development of industry will of course provoke some discontent. But such a policy simultaneously begins to create the preconditions *for allaying that discontent* thanks to the expansion of production, the recruitment of new workers from the countryside, the increase of commodities on the market, and the curtailment of merchant capital's exploitation of the peasantry. Conversely, a policy of systematic under-accumulation, of the goods famine and the high retail prices that inevitably accompany it, gradually accumulates peasant disaffection, which instead of being allayed steadily grows and threatens such pressure from the village on our system of protectionism and the monopoly of foreign trade as may have very serious consequences for the whole issue of socialist construction in our country. This policy, a concession to economic backwardness, only appears to be one of prudence: at a certain stage of our economy's development it turns into its opposite.

Comrade Gol'denberg sidesteps the question of non-equivalent exchange between socialist industry and petty production. Criticising my formulation of the question on this point, he appears to support equivalent exchange. On this important issue we require complete theoretical clarity, not evasion of a direct and clear formulation of the entire problem. I suggest to comrade Gol'denberg and my other critics that they say precisely what their own position is on this issue. In that case, if they support equivalent exchange, towards which they are inclined to one degree or another, then I am obliged to point out that they are either demonstrating economic illiteracy or breaking with

Marxism on the issue in question and going over to a position of petty-bourgeois Narodism. I shall undertake to prove that they are essentially supporting a tax on socialism to the benefit of small-scale production.

The extent to which comrade Gol'denberg does not understand my basic viewpoint concerning the law of primitive socialist accumulation, even though he is free and easy in articulating and criticising it, is evident in the following triumphant note directed against me. He writes:

According to Gosplan's five-year perspective plan, during the coming five years we shall invest up to 5 billion roubles in our fixed capital, of which 4.4 billion will come from industry itself; that is to say, the 'transfer', which for comrade Preobrazhensky is fundamental, essential and so forth, provides only a little more than ten per cent of the total sum that, according to this plan, is going into the basic form of actual socialist accumulation over the coming five years.

In formulating this objection, which comrade Gol'denberg considers to be truly death-dealing, he 'forgot' to tell readers what selling prices might make all this accumulation possible. He 'forgot' to say that all of this will be accomplished with prices that are much higher than those on the world market, i.e., on the basis of withdrawal from the world economy's law of value; with much greater non-equivalence in the exchange of large-scale with small-scale production than we see in the world economy;⁷ with preservation of the foreign-trade monopoly, socialist protectionism and so forth; and thus *on the basis of the law of primitive socialist accumulation*. With the operation of the world law of value, and with the corresponding structure of domestic prices, we shall not only fail to acquire the five billion but also squander a good half of all our fixed capital.

The reader can see from this example what fun it is to polemicise with such opponents as comrade Gol'denberg and how well they understand just what they are criticising.

Despite his all-encompassing understanding, however, comrade Gol'denberg admits that there is one point of my presentation that he appears not to grasp (which does not prevent him from exercising his wit, although not at all with regard to his own misunderstanding). He does not understand 'why, strictly speaking, comrade Preobrazhensky says the law of primitive socialist accumulation is the form in which the spontaneous patterns of an unorganised economy are dialectically transformed into a new way of achieving equilibrium'. Why dialectical? How are dialectics involved here?

⁷ In the world economy there is likewise no equivalence in exchange between these two branches because the prices for agricultural products are formed on the basis of competition between small-peasant production and large- and medium-scale capitalist agriculture.

Before explaining to the reader how dialectics are involved here, I would like to note that comrade Gol'denberg, when accusing me of a 'vulgar-mechanistic approach to the question', evidently awards himself a diploma for proficiency in a dialectical approach to studying our economy. Generally speaking, we are incredibly fortunate to have the word dialectics. People who have never read Hegel, not to mention those who have read but not understood him, bend this word in any direction. By endless repetition of this word they terrorise readers, who begin to feel ashamed of their ignorance and take peddlers of the word dialectics to be people who have perfectly mastered the method of Hegel and Marx.

Comrade Gol'denberg must have been aware that by applying the polemical methods that he uses against me, it is possible to 'shatter' the most perfect, the most classical research that scientifically reproduces the dialectical process of social development, beginning with Marx's *Capital*. After all, a dialectical process is first and foremost a unity. A description of one or another particular side of this single process can always be 'successfully' counterposed to the whole if one leaves the soil of dialectical logic and swims in the sphere of what Hegel calls 'simple and discrete determinations'.⁸

This is all the easier to do since a dialectical movement is one that unfolds on the basis of internal contradiction. We have directly before us an example of this sort of criticism. Having learned from my exposition that the law of primitive socialist accumulation, in the part that involves distribution of the country's material resources, is the law of a transfer of values from pre-socialist forms of production into the state economy of the proletariat, my critic says: 'With such an "understanding" of the basic law of socialist accumulation it is also natural to assert that the law of value is a limit to accumulation.'

My opponent sees no benefit to himself from understanding that the issue is not confined merely to this aspect of the law. The law of primitive socialist accumulation competes with the law of value not just in the sphere of distribution of the country's surplus product but also throughout the entire regulation of economic life, above all in the distribution of labour power. I speak of this throughout my whole book on *The New Economics* and particularly in the chapter on 'The Law of Value in the Soviet Economy', which Gol'denberg is criticising. The sentence cited above, in which the expression 'dialectically transformed' appears incomprehensible to comrade Gol'denberg, refers to the struggle of the law of primitive socialist accumulation with the law of value *throughout the entire sphere of economic relations*, and therefore also in the sphere of struggle for unified regulation of the economic system. My critic completely reveals himself here to be one of those peddlers of the word dialectics about whom I spoke previously.

8 [Hegel says 'simple determinations ... are a totality only as an immediate unity, or as an immediate conversion of the one into the other, and thus lack the shape of self-subsistence'. Hegel 2010, p. 482.]

And now for comrade Gol'denberg's sake, if he seriously does not understand my conception, and above all for readers, I shall explain in a few words and in the most straightforward way what I intended to say in the passage that comrade Gol'denberg cites.

If economic relations in our country were currently formed on the basis of the free operation of the world economy's law of value, this would lead to a situation in which, with today's prices on the world market and the present over-industrialisation of Europe, two-thirds of our large-scale industry would be eliminated due to its unprofitability and redundancy *from the viewpoint of the world division of labour on the capitalist basis*. Conversely, our agricultural economy would eventually suffer terribly from conversion of the entire country into an agrarian semi-colony of world capital, although in the first few years there is no doubt that it would benefit due to cheaper prices on industrial products due to much greater equivalence in exchange on the world market. Since there is neither a German, American nor Russian law of value, but only the law of value of the world economy, which appears only with certain variations and fluctuations on the territory of one or another country or group of countries, the uninterrupted expansion of the operation of this law on our territory, under external pressure from the world market and due to the development of domestic commodity relations, would overturn our entire system, after which the distribution of productive forces would occur in our country in the manner required for reproduction of capitalist relations *in the whole world economy* (and not in the interests of industrial-capitalist development within *our country*, as the Mensheviks dream, meanwhile demonstrating on this point, besides everything else, simple economic illiteracy and failure to understand the general tendencies of today's world economy).⁹ As a consequence, the sole regulator in our economy would then be the law of value.

What is it in our country that stands in opposition to the law of value, whose increased operation means reinforcing the tendencies to overthrow our entire system?

Every reader can count on his fingers what factors resist the law of value in our country: the monopoly of foreign trade; socialist protectionism; a strict import plan, constructed in the interest of the country's industrialisation; and non-equivalent exchange with the private economy, which ensures accumulation for the state economy in the extremely unfavourable conditions of our state economy's backward technology. But all of these, on the basis of a unified state economy of the proletariat, are external instruments and external expressions of the law of primitive socialist accumulation. In the struggle of this latter law against the law of value, we accomplish in every given year

9 By the way, in the struggle against the Mensheviks we hardly ever made use of the argument that the liquidation of Soviet power and implementation of the Menshevik slogan of 'Back to Capitalism' in practice means unemployment for two-thirds of our working class, and particularly for its most skilled elements.

(with more or less success) such a distribution of the country's surplus product and of the productive forces as a whole as to ensure, on the one hand, a certain satisfaction of social needs, and on the other hand creation of the preconditions for expanded socialist reproduction for the following year and, to some degree, for several ensuing years. The equilibrium of the entire economic system is achieved on the basis of the antagonistic development of the activity of both laws, in which the proportions of development in state industry and thus the proportions of alienation, for the sake of this development, of a certain part of the surplus product of the countryside (it is inconsequential whether this involves taxation or pricing policy), are dictated to us with inescapable external force. Displacement of the operation of the law of value, as regulator of the economy, occurs through replacing its functions with the regulating functions of the law of socialist accumulation. What changes here is not just the method of regulation, i.e., not only does planning replace spontaneity, but also the *material content* of the whole process in the sense that distribution of the country's productive forces is different every year from what would have occurred with free operation of the law of value. Our planned distribution of productive forces is subject to a different objective purpose – the preservation and expansion of the economy's socialist sector. On the one hand, a specific portion of its output has to satisfy a certain part the country's social needs; on the other hand, it must ensure forward movement, i.e., guarantee a definite level of accumulation.

With such a system, of course, the scale of social consumption in the country will also increasingly come under the operation of this law. It is perfectly obvious that gradual subordination of the country's system of exchange to planned regulation, with the state economy as its basis, means a gradual transformation of the law of value, on the basis of the struggle, into an historically more advanced type of regulation: here we have not merely displacement of this law but also its transformation into the law of primitive socialist accumulation. All of this occurs on the basis of market exchanges, in which the law of socialist accumulation gradually empties market relations of their *content* without presently affecting their form;¹⁰ at the same time, this process occurs much more rapidly within the state economy and much more slowly and painfully at the intersection of the state economy with the private economy. As it unfolds, the law of primitive socialist accumulation also begins simultaneously to resolve the problem of proportionality in distribution of the available productive forces for each type of social production along with the problem of expanded reproduction, but it does so within socialist rather than capitalist forms.

10 [The *content* of market exchanges would change, with no change of *form*, through the pricing policy of non-equivalent exchange for the purpose of primitive socialist accumulation.]

At the moment we still do not know what regular patterns will underpin the state economy when it catches up with and surpasses capitalism in technical terms, i.e., when genuinely socialist accumulation commences. That will depend upon how things go with the struggle for socialism and socialist construction in other countries. Nor can we foresee how our socialist construction might be accelerated, delayed or disrupted as a result of our relations with the capitalist world. But for the current period, while we are developing in technical conditions that are less advanced than capitalism, and we are alone in socialist terms within the world economy, the law of our development and our survival is the law of primitive socialist accumulation. This law will become evident to every serious Marxist investigator of our economy, however he personally formulates it, and particularly to any investigator who is concerned with the problem of economic equilibrium in our system in the circumstances of its connections with today's world market.¹¹

From the foregoing, the reader can see just how dishonestly the author of these lines has been accused of attempting to undermine the bloc of workers and peasants and blamed for slogans of 'converting the peasant economy into a colony for socialist industry', etc. I ask my critics, who regard themselves as Marxists and Leninists yet make all of these accusations, to answer the following questions:

- 1) Is it true that expanded capitalist reproduction requires a certain proportionality between the volume of accumulation and the volume of social consumption?
- 2) Is it true that, under concrete capitalism, the industrialisation of economically backward countries is facilitated and accelerated by capital imports from the leading industrial countries?
- 3) Is it true that technical progress and raising the organic composition of capital, which means the growth of constant capital both in branches producing means of production and in branches producing consumer goods, requires an ever-rising rate of growth in production of means of production and therefore more rapid growth of the social capital used in this subdivision, i.e., more rapid accumulation, above all, in the sphere of heavy industry at a cost to the country's entire economy?
- 4) Is it true that we are using all of our fixed capital and must now simultaneously resolve the two tasks of more rapidly satisfying social needs and of creating new fixed capital, whose functioning will only yield results, in the sense of expanding the supply of commodities, over the course of several years?

11 In the chapter of my work that is devoted to this theme, I shall attempt to give the law of primitive socialist accumulation a perfectly clear expression in the form of both abstract and concrete schemes of the distribution of productive forces in the commodity-socialist economic system.

- 5) Is it true that in an economically backward country with a socialist regime, which presently imports no capital and is compelled to struggle against the whole bourgeois world, the tempo of domestic accumulation must inevitably be far more rapid than in any capitalist country with the same level of development of the productive forces?
- 6) Is it true that in order to sustain economic equilibrium in such a country, rapidly growing commodity sales by the peasant economy require *additional* growth of industry and consequently *additional* industrial accumulation?
- 7) Is it true that industrialisation of any country, and even more so industrialisation of a country with a socialist regime, requires growth of the culture and skills of the working class and thus a systematic rise in wages?
- 8) Is it true that, after deducting accumulation by the state economy on its own basis, the remaining portion, which involves accumulation at the expense of petty production, cannot fall below a certain minimum that is dictated to the Soviet state in the form of iron-clad economic necessity?
- 9) Finally, is it true that under-accumulation in state industry leads to the goods famine, an increase of retail prices, the accumulation of private capital and a growing rupture between town and country?

There is not a single Marxist who can deny that all of this is true. And if all of it is true, then we must be able to move from this scientific analysis towards correct arithmetic sums in the area of economic policy and in constructing an economic plan for the country. At the same time, it is also perfectly clear that if we have a systematic goods famine in the country and are failing to satisfy effective demand; if we have the accumulation of money in the countryside that cannot be used to purchase commodities; if accumulated grain surpluses are being eaten up by mice and rats and lying idle for 8–9 months; and if we have abnormally high grain prices even with a good harvest – then what we have before us is *purely experimental proof of some sort of mistake in the sphere of distribution of the country's surplus product*. At the present time, it is not over-accumulation but under-accumulation in industry that can become the source of a rupture of the worker-peasant bloc. If such a situation endures, the peasantry will inevitably seek a *smychka* not with us but with foreign capitalist industry.

The problem of the worker-peasant bloc assumes a different content in different periods. Just repeating a barren phrase concerning this bloc does nothing for the Party nor does it protect us against any of the dangers. The peasants themselves are irritated by its emptiness. Leninism consists of providing this slogan, in each new period, with new content that derives from the economic and political as well as the domestic and international circumstances. At the current stage, the material expression of the slogan of the 'bloc and *smychka*' is industrialisation of the country and increasingly rapid socialist accumulation. As long as we have a yawning deficit here and are living under

the Damoclean Sword of growing pressure upon us from the world market, the most serious threats to preservation of the worker-peasant bloc are industrial under-production and our technical backwardness.

And when, given these circumstances, a conscientious attempt to think through the conditions for preservation and development of our state economy is met time and again with repetition of absurd accusations about 'colonies', are we not justified in fearing that such a polemical method may, in certain circumstances, become the starting point for mobilisation of the country's petty-bourgeois backwardness against socialism? While comrade Gol'denberg and other young *privatdozents*,¹² who have not shared our Party's experience in the protracted school of struggle with Narodism and Menshevism, may naturally succumb to the moral pressure of the 100 million petty-bourgeois mass in the country, and out of political inexperience may make one or another forgivable zigzag in the direction of Kuban, Penza or the Kursk 'magnetic anomaly', what are we to say of experienced comrades, of old Bolsheviks, who encourage these zigzags and themselves often fail to weigh their arguments against the possible political consequences? Is it really permissible, in the polemical excitement of an internal party discussion, to forget the fundamental social and historical ties that unite us?

In conclusion, I would like to say a few words concerning the practical verification of the general theoretical positions with which the author of these lines began, starting in 1923, and for which he has been exposed to such fierce attacks.

In 1924, when my article on the law of primitive socialist accumulation was written, what my opponents feared most of all was industrial over-accumulation and industrial over-production. They mechanically carried over to 1924 and subsequent years the experience of the sales crisis of late 1923, which they misunderstood and vastly exaggerated. Their slogan was: greater caution in the development of industry, greater caution in accumulation, and reduction of wholesale prices at any cost, with no regard to the problem of accumulation. As a general directive for the future they adopted a completely mistaken economic position: price reduction first, followed by accumulation, instead of the only valid slogan: accumulation first, a reduction of production costs on that basis, and then a reduction in prices. At the time, the very slogan of socialist accumulation was subjected to doubt, and they saw in it a threat to preservation of the worker-peasant bloc. Then came 1925–26, with the acute goods famine and disruption of the balance of payments between town and country – the natural consequence of under-accumulation – and it became perfectly obvious that the problem of socialist accumulation, which I had raised, was a *scientific prognosis*

12 [The word *privatdozent* referred to a private lecturer who had formal academic qualifications and was recognised by a University but received payment out of students' fees rather than a salary from the institution.]

of the goods famine, a timely warning, an attempt to turn the party's attention to the imminent danger of under-accumulation, while my opponents oriented the party *in exactly the opposite direction*. Nowadays there is no way to hide or cover up that fact. The general theoretical premises of my opponents, connected with their inability to apply the Leninist method to new circumstances, led to practical errors in the area of economic policy. And by some miracle the theory of socialist accumulation, which had been declared anti-Leninist, provided the correct prognosis of the difficulties we now face, which have become evident to everyone during the past 1½ to 2 years.

The correctness of the prognosis from the pro-industrialists can also be seen at other points in our disagreements. Comrade Trotsky's report at the 12th Party Congress was regarded by many as inordinately pro-industry, while the general line of our economic policy that it projected for a number of years turned out to be absolutely correct.

At the 13th Party Congress, comrade Pyatakov defended a position involving the greatest possible profit for our trusts compatible with maintaining the existing level of wholesale prices and wages, i.e., he advocated a regime of the strictest economising in the interest of accumulation at the same time as the comrades who opposed him adopted the slogan of the lowest possible profit. They hopelessly confused the slogan of 'The greatest profit, *with other conditions remaining the same*' with a slogan of 'Maximal prices', and at the time they celebrated a cheap but short-lived victory. Today, hardly anyone will seriously defend the so-called principle of 'the lowest possible profit'. On the contrary, all the efforts to rationalise industry – efforts that have often been undertaken incorrectly and sometimes have even taken a dangerous direction – are actually nothing more than an attempt to secure a higher profit for state industry with the existing or even with reduced prices, that is, to implement precisely the slogan that was so criticised in 1923.

Why did comrade Pyatakov prove to be correct and his opponents incorrect? Because he espoused, as did all of the pro-industrialists, the correct position of the most rapid industrial accumulation possible, which was a prognosis of the goods famine and the economic difficulties involved in passing over from utilisation of old fixed capital to the creation of new fixed capital, a position that simultaneously presupposed a conception of our entire economy as a whole and its paths of development that was more accurate than that of the critics. This correct general-theoretical posture obliged comrade Pyatakov to set out the problem of managing the whole state economy as a single unit, with all of the organisational implications that followed. Today, all of this looks to be elementary truth, but at the 13th Party Conference the advocates of a 'realistic policy' laughed at comrade Pyatakov as a hopeless utopian.

Subsequently, comrade Trotsky produced his articles in *Towards Socialism or Capitalism?*, in which he laid out a most productive formulation of the question of comparat-

ive dynamic coefficients, comparing our economy with the world capitalist economy.¹³ This way of framing the issue, whose importance is yet to be sufficiently appreciated by our party, could likewise only be proposed on the basis of a theoretical conception of our economy that is correct in principle.

A correct theoretical analysis of our economic system is of the utmost importance for our policies and for our practical activity in general. On this point, I particularly want to emphasise the difference between bourgeois and socialist economics. In capitalist society, economic science plays an extremely modest role for the agents of capitalist production. The maintenance of equilibrium in the economy, if I may use that expression, depends upon the law of value. In spontaneously supporting a path towards equilibrium throughout the system, this law is wiser and more reliable than bourgeois science, bourgeois professors and bourgeois governments. Although this method of regulation costs society dearly, since it only gives notice *post factum* of mistakes that have been made in the distribution of productive forces, there is nothing that can replace it in bourgeois society. And while monopolistic capitalism has achieved greater organisation within one or another branch of the domestic economy, it is not in a position to eliminate the lack of planning either in the national economy as a whole or especially in the world market. To the contrary, the Soviet state, which is based upon nationalisation of large-scale industry, transport, credit and foreign trade, is compelled by the very fact of nationalisation to protect itself and to move ahead with planning, thus opening a new page in terms of utilising economic science for the purpose of production.

The further we advance, the more we shall have to regulate the economy in a planned manner on the basis of the expanding operation of the law of primitive socialist accumulation. But in order to plan, we need foresight. And foresight requires that we continuously, ever more widely and with ever-greater precision, focus the searchlights of scientific research on the entire terrain of causes and effects observed in the economic sphere. Our economy is becoming more complex; regulation is becoming more and more difficult and crucial; it involves a steadily expanding sphere of economic relations and sets in motion greater and greater masses of people and material values. Major errors, given centralisation of the entire mechanism of management, are becoming more and more dangerous. The role of the planning organs is continuously growing. To be a good politician is generally becoming less and less of a qualification for being a good economic politician, a leader of a new type of economy in the leading socialist organs. Improvisation and diletantism are becoming more and more costly for our economy. Leaving aside particulars, a regime of economic efficiency demands more economy in terms of avoiding mistakes in leadership. And the latter is possible, with the

13 [The text mistakenly gives the title of Trotsky's book as *Towards Capitalism or Socialism?*]

least cost, precisely through having a correct theory of our economy – which requires the fullest democratic participation by everyone who sincerely wishes to learn and make progress.

And how are things with us in this respect? Since Lenin's death we have no broad conceptions that are continuously tested by new facts and constitute a basis for a scientific theory of our economy. Everything that the so-called industrialisers have undertaken in this respect has been met with a barrage of objections, accusations of anti-Leninism, of Trotskyism, of a petty-bourgeois deviation etc.

It is true that no one nowadays attaches any credibility to the latter charge, and people will soon disbelieve all the others. However, this does nothing to promote the constructive participation of our critics in the matter of working out a theory of the Soviet economy. My opponents are extremely aggressive in polemics and in formulating all sorts of dreamt up accusations, but I ask: Just what positive alternative do they offer to my conception? The years are passing, new facts are accumulating, and we are acquiring new experience, but what have they given to the party in the positive sense of a generalised understanding of that experience? After all, we are Bolsheviks, and in the theoretical sphere we are very demanding people: in our past we have the monumental works of Marx and Engels, and we have Lenin. With such a legacy behind us, we cannot agree to swimming on the surface of vulgar Soviet economics.

In the area of theory, my opponents have provided just about nothing. And I make so bold as to predict that, while sticking to their current positions of theoretical cowardice and eclecticism, they will provide nothing that they could pass off – without falling into ridiculous self-conceit – as a theory of the Soviet economy. They may write a stream of articles, pamphlets and perhaps even books. But none of them will be what our economy and our party require in the area of theory. By denying the law of primitive socialist accumulation – as an attempt to furnish a proletarian and Marxist-Leninist conception of our economy, understood in terms of its dynamic – they condemn themselves to theoretical sterility. When chewing positions that are general, indisputable and long familiar to everyone, adding a little more saliva cannot yield any theory of the Soviet economy.

E.A. Preobrazhensky, Economic Notes:

'On the Benefits of a Theoretical Study of the Soviet Economy',
in *Bol'shevik*, 1926, No. 15–16, 31 August, pp. 68–83.

Declaration of E.A. Preobrazhensky to the Presidium of the xv Conference of the All-Union Communist Party(B)

I make the following factual corrections to the speeches of those comrades who mentioned my name, because I was not given the floor and it was not possible for me to do so more thoroughly in an address.

1) From my book *The New Economics*, comrade Rykov quoted the section concerning currency emissions, as a source of accumulation, in a context that might suggest that I am today a supporter of inflation. The fact that I am a resolute opponent of inflation is evident from the section of my speech on the report by comrade Milyutin at the Communist Academy, which can be found on page 234, No. 17 of the *Vestnik Kommunisticheskoi akademii* (in the section of verbatim reports).

2) Comrade Stalin in his report, quoting the same book by me, repeated the accusation of a non-Leninist attitude on the question of the worker-peasant bloc and of defending the thesis concerning the need for exploitation of the peasantry by the proletariat. In my book I emphatically repeated several times my total agreement with Lenin on these questions and said: 'In our party there is no such madman who would fail to understand that if the whole building of the proletarian dictatorship is shaken to its very foundations due to a rupture between the proletariat and peasantry, then the proletariat also will not fulfil its historic task in the matter of development of the state economy' (*New Economics*, p. 233 of the first edition and p. 272 of the second edition).¹ I do not disagree in the slightest with Lenin, although I do disagree with those who interpret him in the spirit of Narodism.

As far as 'exploitation of the peasantry' is concerned, I have never and nowhere spoken of exploitation of the peasantry by the proletariat, although in the article 'On the Fundamental Law of Socialist Accumulation' I did mention the socialist form of economy exploiting lower, pre-socialist forms, which cannot be confusing to a single literate and honest Marxist-Leninist. In spite of what comrade Stalin said, in both the first and second editions of the book I omitted the term 'exploitation'. Attempts to accuse a Bolshevik of 'plundering the peasantry' – a Bolshevik who has attempted in a theoretical work to think through, without the prior moral censorship of a petty bourgeois, the conditions of existence and development of the Soviet economy, and who, in the area

¹ [In this edition, see Part 2, Appendix 2.]

of economic policy, stands for relieving 40% of the poor of any taxation, who does not support any increase of taxation on the middle peasant and proposes progressive taxation on capitalist development of the countryside that would increase year by year – means unwittingly to agitate the petty bourgeoisie against socialism.

3) In his speech comrade Bukharin attributed to me an utterly appalling assertion to the effect that in my address to the Communist Academy I spoke of Cavaignac² and Gallifet³ as somehow being related to current state policy. In fact I referred to 'Cavaignac and Gallifet' in an entirely different connection, which is evident from the following portion of my speech, the only place where I mentioned these people. I said: 'For the time being we cannot eliminate capitalist accumulation in the countryside, only curb it, but we must not forget for a moment that the elements who are presently improving the economy on a capitalist basis, elements who are our class enemies, will try to overthrow us at some auspicious moment but will never grow into socialism. They will try to topple us, as Lenin says, and are dreaming of Cavaignac and Gallifet, as we have seen on similar occasions in Western Europe' (*Vestnik Komakademii*, No. 17, pp. 232–3, in the verbatim reports).

In this case I referred to Lenin because I merely repeated a passage familiar to everyone from his essay on the tax in kind, which declared: 'Either we subordinate the petty bourgeoisie to our control and accounting ... or they will overthrow our workers' power as surely and as inevitably as the revolution was overthrown by the Napoleons and the Cavaignacs who sprang from this very soil of petty proprietorship. That is how the question stands. That is the only view we can take of the matter ...'⁴

E.A. Preobrazhensky

The document is stamped: 'Reviewed at the Session of the Secretariat of the Central Committee of the RKP(B) on 26/XI of 1926 (pr. No. 72, p.3)

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Typewritten Copy.

2 [Louis-Eugène Cavaignac (1802–1857) was the French general who put down a massive rebellion by workers in Paris in 1848, known as the June Days Uprising.]

3 [Gaston Alexandre Auguste, Marquis de Gallifet (1830–1909) was a French general involved in crushing the Paris Commune in 1871.]

4 [Lenin 1965b, p. 332.]

Biographical Index

Adoratsky, Vladimir Viktorovich (1878–1945), historian, member of the Academy of Sciences of the USSR (1932). Participated in the revolution of 1905–07. From 1220 one of the leaders of the Central Archival Administration. In 1931–39 Director of the Communist Party's Institute of Marx-Engels-Lenin.

Andreev, Leonid Nikolaevich (1871–1919), Russian writer.

Astrov, Valentin Nikolaevich (1898–?), party journalist during the 1920s and a supporter of N.I. Bukharin. Purged and subsequently rehabilitated.

Babeuf, Gracchus (Francois-Noël) (1760–1797), French utopian communist. One of the leaders of the 'Conspiracy of Equals' to replace the bourgeois Directory; in 1796 led preparations for the uprising to enforce the constitution of 1793. Guillotined.

Ballivet, French worker-mechanic and syndicalist, delegate of the mechanics union at the Second Working-Class Congress at Lyons in 1878. Called for collectivisation of the land and the instruments of labour.

Bebel, August (1840–1923), one of the founders and leaders of the Social-Democratic Party of Germany and the Second International. Elected several times to the Reichstag.

Bedny, Demyan (Efim Alekseevich Privdorov) (1883–1945). Russian writer. Published in the Bolshevik papers 'Sevzda' and 'Pravda'.

Bentham, Jeremy (1748–1832), English philosopher, founder of modern utilitarianism.

Bergson, Henri (1859–1941), French philosopher, exponent of 'intuitionism' and 'creative evolution'.

Berin, a participant in discussing a report by E.A. Preobrazhensky.

Bernstein, Eduard (1850–1932), one of the leaders of German Social Democracy and the Second International, a leading advocate of reformism and the 'revision' of Marxism. Rejected scientific socialism and regarded socialist society as an ethical ideal.

Berth, Édouard (1875–1939), French syndicalist and a disciple of Georges Sorel.

Biermann, Johannes (1863–1915), German legal theorist associated with the neo-Kantian school of Rudolf Stammler.

Bismarck, Otto von (1815–1898), first Chancellor of the German Empire from 1871–90.

Blanqui, Louis Auguste (1805–1881), French utopian communist. While in prison, elected *in absentia* as a member of the Paris Commune. Believed the success of the social revolution was connected with a conspiratorial

organisation of revolutionaries who would be supported at the decisive moment by the masses.

Bogdanov (*Malinovsky*) **Aleksandr Aleksandrovich** (1873–1928), political figure, physician, philosopher, economist and Bolshevik. From 1918 headed Proletkult. In 1926 organised and headed the Institute of Blood Transfusion; died while conducting a self-experiment.

Bogolepov, Dmitry Petrovich (1885–1941), economist and a party and Soviet figure, lecturer in financial law at Moscow University.

Briand, Aristide (1862–1931), French politician, served numerous times as Prime Minister and Foreign Affairs Minister.

Brousse, Paul (1844–1912), originally an anarchist. From 1880 onwards he became increasingly reformist and in 1902 joined the French Socialist Party.

Bukharin, N.I. (1888–1938), political figure, member of the Academy of Sciences of the USSR (1928). Participated in the revolution of 1905–07 and the October Revolution in 1917. Leader of the 'Left Communists' in 1917–18. Editor of 'Pravda' from 1918–29 and member of the Executive Committee of the Comintern from 1919–29. In 1929 member of the presidium of VSNKh. From 1932 member of the Collegium of the People's Commissariat of Heavy Industry. Editor of 'Izvestiya' 1934–37. Member of the Central Committee of the Bolshevik Party (Candidate member from 1934–37). Member of the Politburo of the Central Committee 1924–29 (candidate member 1919–24). Candidate member of the Orgburo of the Central Committee 1923–24. Purged. Rehabilitated posthumously.

Cabet, Étienne (1788–1856), lawyer and a representative of French utopian communism.

Cavaignac, Louis Eugène (1802–1857), French general. In 1848 Minister of War and head of the executive of the French Republic. Brutally suppressed the June uprising by workers in 1848.

Chernomordik, V. discussion participant on a report by E.A. Preobrazhensky.

Chlenov, Semen Borisovich (1890–1937), in the mid-1920s an employee of the People's Commissariat of Foreign Trade. 1930 a lecturer at the Institute of Red Professors, then at the People's Commissariat for Foreign Trade. Professor of international law. Purged.

Chuprov, Aleksandr (1842–1908), economist.

David, Eduard (1863–1930), German Social Democrat and economist. Minister of Foreign Affairs in Germany from 1919–20.

Denikin, Anton Pavlovich (1872–1947), Lieutenant-General in 1916. One of the leaders of the White forces. Emigrated in 1920.

Deprez, Marcel (1843–1918), French electrical engineer.

Diehl, Karl (1864–1943), German economist.

Dietzgen, Joseph (1828–1888), German Social Democrat and philosopher.

Dostoyevsky, Fyodor Mikhailovich (1821–1881), Russian writer and philosopher

Dvolaitsky, Shalom Moiseevich (1893–1937), political figure and economist. Purged and posthumously rehabilitated.

Dühring, Eugen (1833–1921), German political economist and philosopher of economics and law. Considered violence to be the most important factor in history. Opposed Marxism.

Dzerzhinsky, Felix Edmundovich (1877–1926), political figure, one of the leaders of the revolution of 1905–07. In October 1917 member of the party's Military-Revolutionary Centre and the Petrograd Military-Revolutionary Committee. From 1917 chairman of the All-Russian Extraordinary Committee for Struggle Against Counter-Revolution (Cheka: GPU from 1922–23, OGPU from 1923–34). People's Commissar of Internal Affairs for the RSFSR in 1919 and 1923, Commissar of Communications from 1921. From 1924 Chairman of VSNKh of the USSR. Member of the Bolshevik Central Committee 1907–12 and from 1917. Candidate member of the Politburo of the Central Committee from 1924.

Engels, Friedrich (1820–1895), principal associate and co-author of Karl Marx.

Epicurus (341–270 BC), ancient Greek philosopher.

Fourier, Charles (1772–1837), French utopian socialist.

Frumkin, Moses Il'ich (1878–1938), until 1929 Deputy People's Commissar of Finance of the USSR, in 1932–35 Deputy People's Commissar of Foreign Trade. Purged and rehabilitated posthumously.

Gallifet, Gaston Alexandre August, Marquis de (1830–1909), French general involved in crushing the Paris Commune.

Gol'denberg, E., party journalist.

Griffuelhes, Victor (1874–1922), French syndicalist, leader of the *Confédération Générale du Travail*.

Groman, Vladimir Gustavovich (1874–?), Social Democrat and Menshevik economist. Purged.

Grünberg, Karl (1861–1940), Austrian Social Democrat, lawyer, economist and historian.

Guesde (Bazile), Jules (1845–1922), one of the founders of the French Workers' Party, active in the Second International, Marxist propagandist.

Guloyan, Abram Abramovich, party journalist, economist and Vice-Rector of the Transcaucasian Communist University.

Hegel, Georg Wilhelm Friedrich (1770–1831), German philosopher and objective-idealist dialectician.

Heinzen, Karl (1809–1880), German revolutionary author.

Hesse, Albert, German lawyer associated with the Stammler school.

Jaurès, Jean (1859–1914), one of the first social-democratic reformists, became leader of the French Socialist Party in 1902 (after 1905 the French Section of the International). Founder of 'Humanité' in 1904. Opposed colonialism, militarism and war. Assassinated in 1914 on the eve of the First World War.

Kan, a participant in the dispute over E.A. Preobrazhensky's report to Proletkult.

Kant, Immanuel (1724–1804), German philosopher, a founder of German classical philosophy. Professor at the University in Königsberg. Foreign honorary member of the Petersburg Academy of Sciences (1794).

Kapitonov, Ivan Petrovich (1900–?), Soviet economist.

Kareev, Nikolai Ivanovich (1850–1931), historian, corresponding member of the USSR Academy of Science. Corresponding member of the Petersburg Academy of Science from 1910. Corresponding member of the Russian Academy of Science from 1917. Honorary member of the USSR Academy of Science (1929).

Kareev, Nikolai Afanasyevich (1901–1936), party journalist. Purged, posthumously rehabilitated.

Karyshev, N.A. (1855–1905), economist and statistician.

Kats, a participant in the discussion of a report by E.A. Preobrazhensky.

Kautsky, Karl (1854–1938), a leader and theorist of German Social Democracy and the Second International. Took a pacifist position from the beginning of World War I. Hostile to the Russian Revolution.

Kerensky, Aleksandr Fedorovich (1881–1970), politician and lawyer. In the Provisional Government held the posts of Minister of Justice, Minister of the Army and Navy, Prime Minister, and Supreme Commander. Lived in France after 1918 and from 1940 in the US.

Kestner, Fritz, German economist and specialist in cartel law.

Kogan, a participant in discussing a report by E.A. Preobrazhensky.

Kon, Aleksandr Feliksovich (1897–1941), economist. From 1935 worked at Institute of Marx-Engels-Lenin in preparing a new edition of the economic writings of Karl Marx.

Kondratiev, Nikolai Dmitrievich (1892–1938). Author of the theory of long cycles of the conjuncture and their relation to qualitative changes in the economic life of society. Purged, posthumously rehabilitated.

Kritsman, Lev Natanovich (1890–1941), public official and economist specialising in agricultural questions during the 1920s.

Ksenofontov, F.K., a party journalist.

Kugelmann, Ludwig (1828–1902), physician and participant in the revolution of 1848–49 in Germany. Friend of Karl Marx and Friedrich Engels.

Kviring, Emmanuel Ionovich (1888–1937), 1925–27 Deputy Chairman of the USSR VSNKh. 1927–30 Deputy Chairman of the USSR Gosplan. 1931 Deputy People's Commissar of Railways of the USSR. 1932–34 Deputy Chairman of the Committee of Commodity Funds of the Council of Labour and Defence. From 1934, First Deputy Chairman of the USSR Gosplan. From 1930 headed the Economic Institute of Red Professors (in 1932–36, the Economic Institute of the Communist Academy). Purged.

Labriola, Arturo (1873–1959), economist and a leader and theorist of syndicalism in Italy.

Lafargue, Paul (1842–1911), one of the founders of the French Workers' Party, a member of the First International. K. Marx's son-in-law, the husband of his daughter Laura.

Lagardelle, Hubert (1874–1958), French anarcho-syndicalist, follower of Georges Sorel and Minister of Labour in the Vichy government from 1942–43. Convicted in 1946 of collaboration.

Lange, Friedrich Albert (1828–1875), German neo-Kantian philosopher and economist.

Larin, Yu. (Lur'e, Mikhail Zal'manovich (Aleksandrovich)) (1882–1932), economist active in the Social-Democratic movement from 1900. Member of the RSDRP(B) from August 1917. After October advocated a coalition government with Menshevik and SR representatives. From late 1917 to early 1918 member of the Presidium of VSNKh. Worked in several Soviet economic organs.

Lenin (Ulyanov), Vladimir Il'ich (1870–1924), Russian politician. In 1887 entered the law faculty of Kazan University. In December expelled from the university for participation in the student movement. In 1891 passed the exams for the Faculty of Law at St. Petersburg University. Assistant attorney in Samara. In 1893 moved to St. Petersburg. In 1895 participated in creation of the St. Petersburg 'Union of Struggle for the Emancipation of the Working Class', then arrested. In 1897 exiled for three years to a village in Shushenskoe Yenisei guberniya. In 1900, together with G.V. Plekhanov and others, began publishing the newspaper 'Iskra'. At the second congress of the RSDLP (1903) led the Bolshevik Party. From 1905 in St. Petersburg. Emigrated in December 1907. In April 1917 arrived in Petrograd. Principal leader of the October uprising in Petrograd. At the Second All-Russian Congress of Soviets, elected chairman of the Council of People's Commissars, at the same time (from 1918) chairman of the Council of Workers' and Peasants' Defence (from 1919 the Council of Workers' Defence). Member of the All-Russia Central Executive Committee and the Central Executive Committee of the USSR. From March 1919 in Moscow. Fell seriously ill in 1922 and after December did not participate in political activity.

An early adherent of the ideas of Karl Marx and Friedrich Engels. Concluded that

Russia had entered the path of capitalist development and saw the need for a bourgeois-democratic revolution that would develop into a socialist revolution.

Leone, Enrico, Italian syndicalist.

Liebknecht, Karl (1871–1919), one of the founders of the Communist Party of Germany.

Murdered (together with Rosa Luxemburg) by counter-revolutionaries.

Lloyd George, David (1863–1945), British Prime Minister from 1916–22.

Lukács, Georg (1885–1971), Hungarian writer and philosopher. First a Social Democrat and later a Communist.

Luxemburg, Rosa (1871–1919), Marxist theorist and a leader of Polish Social Democracy and the left-radical wing of German Social Democracy and the Second International. One of the organisers of the 'Spartacus League' and a founder of the Communist Party of Germany. Murdered (together with Karl Liebknecht) by counter-revolutionaries.

MacDonald, James Ramsay (1866–1937), one of the founders and leaders of the Labour Party of Great Britain, Prime Minister in 1924 and in 1929–31.

Marx, Karl (1818–1883), philosopher, economist and revolutionary. Founder of Marxism. In 1835–41 studied at the Law Faculty of Bonn, then the University of Berlin. From 1842 editor of the democratic 'Rheinische Zeitung'. Met with representatives of the socialist and democratic movement in Paris in 1843. During the revolutionary events in Europe in 1848–49, participated in the international 'Union of Communists' and, together with Engels, wrote its 'Manifesto of the Communist Party' (1848). Marx was the organiser and leader of the First International (1846–76). In 1867, his main work was published, Volume 1 of *Capital*. He did not complete the work on the following volumes. Engels prepared them for publication (Vol. 2, 1885; Vol. 3, 1894). In the last years of his life, Marx actively participated in the formation of proletarian parties.

Marx worked out the principles of the materialist interpretation of history (historical materialism), the theory of surplus value, studied the development of capitalism and anticipated its inevitable collapse and the transition to communism by way of proletarian revolution.

Mendel'son, Lev Abramovich (1899–1962), economist.

Merezhin, A.N. (1880–?), party worker and journalist.

Mikhailovsky, Nikolai Konstantinovich (1842–1904), journalist, literary critic, sociologist.

Mikoyan, Anastas Ivanovich (1895–1978), political figure. In 1926–46 People's Commissar for Foreign and Domestic Trade, People's Commissar of Supply, People's Commissar for the Food Industry, People's Commissar for Foreign Trade of the USSR and simultaneously, from 1937, deputy chairman of the USSR Council of People's Commissars. In 1942–45 member of the State Committee for Defence. From 1946 Deputy

- Chairman then First Deputy Chairman of the Council of Ministers of the USSR. In 1964–65 Chairman of the Presidium of the USSR Armed Forces. Member of the Central Committee of the party from 1923–76. Member of the Politburo (Presidium) of the Central Committee from 1935–66 (candidate from 1926).
- Millerand, Alexandre Étienne** (1895–1978), political figure, lawyer and journalist. In 1920 Prime Minister and Minister of Foreign Affairs. President of France 1920–24.
- Milyukov, Pavel Nikolaevich** (1859–1943), politician, historian, journalist, theorist and leader of the Cadet Party. Emigrated after the October Revolution.
- Milyutin, Vladimir Pavlovich** (1884–1937), from 1917 People's Commissar of Agriculture. In 1918–21 Deputy Chairman of VSNKh. From 1928 headed the Central Statistical Department and was deputy chairman of Gosplan. From 1934 Chairman of the Academic Council attached to the Central Executive Committee of the USSR. Member of the Central Committee of the party in 1917–18 (candidate in 1920–22). Purged, rehabilitated posthumously.
- Morgans** – a reference to the J.P. Morgan Company.
- Morris, William M.** (1834–1896), British artist, writer, art theorist. From the 1880s participated in the British labour movement.
- Motylev, Wolf Evnovich** (1899–1967), economist.
- Nagiev, J.**, journalist.
- Napoleon I** (Napoleon Bonaparte) (1769–1821), French emperor in 1804–14 and March–June 1815.
- Oerter, Freidrich (Fritz)** (1869–1935), German syndicalist.
- Ol', P.V.**, statistician.
- Olivetti, Angelo** (1874–1931), Italian syndicalist. Joined the Italian Socialist Party in 1892, began editing a syndicalist journal by 1906, and in 1914 authored a fascist manifesto.
- Owen, Robert** (1771–1858), British utopian socialist.
- Parvus** (Alexander L. Gelfand) (1869–1924), participant in the Russian and German Social-Democratic movement.
- Pashukanis, Evgeny Bronislavovich** (1891–1937), Marxist legal theorist. From 1936 Deputy Commissar of Justice of the USSR. Purged, rehabilitated posthumously.
- Pelloutier, Fernand** (1867–1901), French anarcho-syndicalist, leader of the *Bourses du Travail*.
- Peter I** (1672–1725), Russian tsar and first emperor.
- Plekhanov, Georgy Valentinovich** (1856–1918), political figure, philosopher, theorist of Marxism. In exile from 1880. One of the founders of the RSDLP and the newspaper 'Iskra'. After the Second Congress of the RSDLP, one of the leaders of the Mensheviks. In 1917 returned to Russia and supported the Provisional Government. Opposed

the October Revolution and believed that Russia was not sufficiently developed for a socialist revolution.

Pokrovsky, Mikhail Nikolaevich (1868–1932), historian, political figure, member of the USSR Academy of Sciences (1929). From 1918 Deputy Commissar of Education. Head of the Communist Academy and the Institute of Red Professors.

Pouget, Émile (1860–1931), French anarcho-syndicalist, leader of the *Confédération Générale du Travail* from 1901–08.

Prokopovich, Sergei Nikolayevich (1871–1955), Russian politician, economist, and revisionist proponent of 'economism'. Leader of the 'Union of Liberation'. In 1917 Minister of the Provisional Government. After the October Revolution worked in famine relief. In 1922 expelled from the Soviet Union.

Proudhon, Pierre-Joseph (1809–1865), French socialist and anarchist economist.

Pyatakov, Georgy (Yuri) Leonidovich (1890–1937), 1917–18 Commissar of the People's Bank. Chairman of the Provisional Workers' and Peasants' Government of Ukraine. From 1920 deputy chairman of the RSFSR Gosplan, chairman of the Main Concession Committee. From 1923 Deputy Chairman of VSNKh. In 1927 trade representative in France. In 1928 deputy chairman, and in 1929 chairman of the USSR Gosbank. From 1932 Deputy, and from 1934–36 first Deputy Commissar of Heavy Industry of the USSR. Member of the Central Committee of the party from 1923–27 and 1930–36. Purged, rehabilitated posthumously.

Rathenau, Walter (1867–1922), German industrialist and financier. In 1922 Minister of Foreign Affairs. Signatory to the Rapallo treaty with Soviet Russia.

Renan, Joseph Ernest (1823–1892), philosopher, historian of Christianity.

Ronin, Solomon Lazarevich (1894–?), economist.

Rosenberg, David Iokhelevich (1879–1950), economist, corresponding member of the USSR Academy of Sciences.

Rosengol'ts, Arkady Pavlovich (1889–1938), 1930–37 USSR Commissar of Foreign Trade. Purged, rehabilitated posthumously.

Rousseau, Jean-Jacques (1712–1778), French writer and philosopher.

Ruskin, John (1819–1900), British writer and art critic.

Ryazanov (Gol'dendakh) David Borisovich (1870–1938), political figure, member of the Academy of Sciences of the USSR (1929). In 1921–31 Director of the Institute of Karl Marx and Friedrich Engels. Purged, rehabilitated posthumously.

Rykov, Aleksei Ivanovich (1881–1938), participant in the revolution of 1905–07 and the October 1917 revolution. Commissar of Internal Affairs (November 1917) in the first Soviet government. In 1917–21 and 1923–24 chairman of VSNKh and from 1921 deputy chairman of the Council of People's Commissars and the Council of Labour and Defence. In 1924–30 Chairman of the Council of People's Commissars of the USSR, and in 1924–29 Chairman of the Council of People's Commissars of the RSFSR. In

1926–30 chairman of the Council of Labour and Defence. 1931–36 Commissar of Posts and Telegraphs, Commissar of Communications of the USSR. Member of the Party Central Committee in 1905–07, 1917–18, and 1920–34 (candidate in 1907–12 and 1934–37). Member of the Politburo of the Central Committee 1922–30. Member of the Organising Bureau of the Central Committee in 1920–24. Purged, rehabilitated posthumously.

Saint-Simon, Claude Henri de Rouvroy (Henri de Saint-Simon) (1760–1825), French utopian socialist.

Scheidemann, Philipp (1865–1939), one of the leaders of the Social-Democratic Party of Germany, first Chancellor of the Weimar Republic.

Schmidt, Conrad (1863–1932), German economist and philosopher, initially a supporter of Marx and Engels, from the 1890s supported revisionists.

Shanin, Lev M. (Shapiro L.G.), economist, Social Democrat, Menshevik and then Bolshevik from 1918.

Skvortsov-Stepanov, Ivan Ivanovich (1870–1928). From 1925 editor of 'Izvestia', deputy editor of 'Pravda', editor of 'Leningradskaya Pravda'. Translator of *Capital* by Karl Marx.

Smilga, Ivar Tenisovich (1892–1938), political figure and economist. From 1921 deputy chairman of VSNKh, deputy chairman of the USSR Gosplan, rector of the Plekhanov Institute of National Economy. Purged, rehabilitated posthumously.

Smirnov, Vladimir Mikhailovich (1887–1937), member of the RSDLP from 1907. After October, member of the Presidium of VSNKh. A 'Left Communist' in 1918 and one of the leaders of the 'military opposition' in 1919. In 1920–21 active in the 'democratic centralism' group. Joined the Trotskyist opposition in 1923. Purged.

Sokol'nikov (Brilliant), Grigory Yakovlevich (1888–1938). In 1921 Deputy Commissar, in 1922–26 Commissar of Finance. From 1926 Deputy Chairman of Gosplan. From 1928 chairman of the Oil Syndicate. Engaged in diplomatic work from 1929. In 1935–36 first Deputy People's Commissar of the USSR forest industry. Candidate Member of the Politburo of the Central Committee of the RCP(B) in 1924–25. Purged, rehabilitated posthumously.

Solntsev, Elizar Borisovich (1900–1937), Bolshevik economist and historian. Member of the Trotskyist Opposition, exiled in 1928.

Sorel, Georges (1847–1922), French philosopher of anarcho-syndicalism.

Stalin (Dzhugashvili) Joseph Vissarionovich (1878–1953). Joined the Georgian Social-Democratic organisation 'Mesame-dasi' in 1898. In 1902–13 arrested six times and exiled, escaped from places of exile four times. Joined the Bolsheviks in 1903. Supporter of V.I. Lenin, on whose initiative he was co-opted in 1912 into the Central Committee and the Russian Bureau of the Central Committee of the RSDLP. In 1917 member of the editorial board of the newspaper 'Pravda', the Politburo of the Central

Committee, and the Military-Revolutionary Center. In 1917–22 People's Commissar for Nationalities and in 1919–22 People's Commissar of State Control, head of the Workers' and Peasants' Inspection, and from 1918 member of the Revolutionary War Council of the Republic. In 1922–53 General Secretary of the Central Committee of the party. From 1941 chairman of the Council of People's Commissars (Council of Ministers) of the USSR. Served during the war as chairman of the State Defence Committee, People's Commissar of Defence, and Supreme Commander. In 1946–47 Minister of the Armed Forces of the USSR.

Stammler, Rudolf (1856–1938), German neo-Kantian legal philosopher.

Stepanov – see Skvortsov-Stepanov.

Stetsky, Aleksei Ivanovich (1896–1938), party activist and economist. In the 1920s a supporter of N.I. Bukharin.

Stolzmann, Rudolf (1852–1930), German neo-Kantian philosopher of law and economics, adherent of the Stammler school.

Strumilin (Strumillo-Petrashkevich), **Stanislav Gustavovich** (1877–1974), economist and Statistician, Academician of the USSR (1931).

Struve, Peter Berngardovich (1870–1944), political figure, philosopher, economist, historian, journalist, member of the Russian Academy of Sciences in 1917, excluded in 1928. In the 1890s theorist of 'legal Marxism' and author of the Manifesto of the RSDLP (1898). From the early 1900s a leader of Russian liberalism and of the 'Union of Liberation'. From 1905 a member of the Cadet Party and its Central Committee. Deputy of the second State Duma. After October 1917 opposed the Bolsheviks. In exile from 1920 onwards.

Thalheimer, August (1884–1948), German Social Democrat. In 1918 one of the founders of the German Communist Party. In 1929 expelled from the Communist Party of Germany and the Comintern.

Thiers, Adolphe (1797–1877), French statesman and historian. President of France 1871–73.

Timofeev, party activist.

Trotsky (Bronstein), Lev Davydovich (1879–1940), politician and statesman. In the social-democratic movement from 1896. After 1904, advocated unification of the Bolsheviks and Mensheviks. In 1905 the principal leader of the Petrograd Soviet. In 1908–12 editor of the newspaper 'Pravda'. In 1917 chairman of the Petrograd Soviet of Workers' and Soldiers' Deputies. One of the leaders of the October armed uprising. In 1917–18 Commissar for Foreign Affairs. In 1918–25 Commissar for Military Affairs, Chairman of the Revolutionary Military Council of the Republic, one of the creators of the Red Army. Member of the Central Committee in 1917–27, member of the Politburo of the Central Committee in October 1917 and in 1919–26. The struggle with Stalin for leadership in the party ended in the defeat of Trotsky. In 1924 his views (so-

called Trotskyism) were declared a 'petty-bourgeois deviation' in the RKP(B). In 1927 expelled from the party, sent to Alma-Ata, exiled from the USSR in 1929. Murdered in Mexico by an NKVD agent.

Viviani, René (1863–1925), French political figure and social reformist. In 1914 Prime Minister of France and Minister of Foreign Affairs.

Vladimir Il'ich – see Lenin, V.I.

Vollmar, Georg von (1850–1922), social-democratic reformist politician.

Vol'skii, Stanislav (Sokolov, A.V.) (1880–1936?), author, philosopher, Social Democrat and Bolshevik. No party affiliation after 1917.

Weitling, Wilhelm (1808–1871). German worker and member of the 'League of the Just'. Regarded revolution as a spontaneous process in which the major role belongs to declassed elements. Advocated egalitarian communism.

Yudenich, Nikolai Nikolaevich (1862–1933), General of the Infantry (1915), one of the leaders of the White forces in North-West Russia. After the failure of the 'advance' on Petrograd (October–November 1919), retreated to Estonia with the remnants of his army. Emigrated in 1920.

Zander, a participant in the dispute over E.A. Preobrazhensky's report to Proletkult.

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